Guide to

Patents • Industrial Designs • Trade Marks • Copyrights • Confidential Information • Know-how • Industrial & Trade Secrets • Geographical Indications of Goods • Protection of Plant Varieties & Farmers' Rights • Information Technology • Semiconductor Integrated Circuits Layout-Design

Intellectual Property Law

P. Narayanan

Copyright (Amendment) Act 2012 incorporated

Third Edition

REVISED with

Updated and Amended Statutes

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Since the publication of the third edition, a series of amending laws covering the diverse statutes on intellectual property have widened the map of the subject. All these changes are adequately reflected in the appropriate places in the book reprinted now. While every care has been taken to update this reprint, any omission, if creeps in, may be excused.

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Intellectual Property Law

BY

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Third Edition

REVISED
WITH
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Preface to the Third Edition

The Intellectual Property Law in India now stands enriched by our Parliament enacting the Trade Marks Act 1999, the Geographical Indications of Goods Act 1999, the Designs Act 2000, the Semiconductor Integrated Circuits Layout Design Act 2000 and the Information Technology Act 2000. The Patents (Second Amendment) Bill 1999, the Protection of Plant Varieties and Farmer's Rights Bill 1999 are on the anvil.

Naturally, in the present work, the chapters relating to Industrial Designs and Trade Marks have been rewritten in conformity with the new Designs Act and Trade Marks Act. In the case of Patents (Second Amendment) Bill the salient features are included in Chapter 15. In respect of the other Bills/Acts a concise but comprehensive summary of the provisions are included in the new Chapter 45.

For convenience of reference the full texts of the Patents Act, Designs Act, Trade Marks Act and Copyright Act and the notification in respect of India's Ratification of Paris Convention and relevant extracts from GATT and TRIPs agreements have been placed in the Appendices providing, at the same time, an overall picture of the Intellectual Property Law in India as it stands at present.

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I am grateful to Mr. Asok De, Director of Eastern Law House for supplying me with copies of all relevant new Bills and Statutes and to the staff of Eastern Law House for bringing out this edition in record time.

Bangalore
15th May 2001

P. NARAYANAN

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Preface to the First Edition

Intellectual Property includes Patents, Designs, Trade Marks, Copyright, Confidential Information, Trade Secrets and know-how. It plays a crucial role in the development of industry, commerce and trade and in the growth of creative effort in almost every field of human endeavour. Although the value of this species of property is recognised the law relating to this form of property is understood only by a few specialists.

A knowledge of the basic principles of the various branches of this law is essential to all those who are engaged in any business or industrial activity and in the technological and cultural development of the country. This book is written with a view to enlightening such persons in the intricacies of this law without going too much into technicalities.

This book is particularly addressed to business executives, civil servants, students of law, engineering and technology, artists including commercial artists, junior lawyers and patent and trade mark attorneys. Even senior advocates and judges may find the book useful for getting an overall view of this branch of law in a succinct form.

The principles of intellectual property law is substantially the same in all countries, with variations to suit the national requirement of each country. Intellectual property plays a key role in the transfer of technology. Piracy of intellectual property

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has become international in character. This book which deals with the Indian law on the subject will be found useful by foreign business executives and lawyers who have to deal with transfer of technology and piracy of intellectual property.

The Appendix deals with the "International Convention for the Protection of Intellectual Property (Paris Convention)" which will be useful to those who are interested in assessing the consequences of India becoming a member of this Convention.

The author is grateful to Eastern Law House Private Ltd., Calcutta, for bringing out this publication in record time.

Bangalore
2nd January 1990

P. NARAYANAN

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Introduction

1 General

The term "Intellectual Property" has come to be internationally recognised as covering patents, industrial designs, copyright, trade marks, know-how and confidential information. Patents, designs and trade marks used to be considered as different kinds of 'industrial property'. But when copyright and confidential information were included the term 'intellectual property', though a little high sounding, is a more appropriate description for this class of property. Although the creation of a trade mark has very little to do with intellectual creativity, it cannot be doubted that patents, designs and copyright are the products of intellectual effort and creative activity in the field of applied arts or technology and fine arts.

The scope of intellectual property is expanding very fast and attempts are being made by persons who create new creative ideas to seek protection under the umbrella of intellectual property rights.

There are many similarities in the law relating to the different species of intellectual property in regard to the nature of the property, the mode of its acquisition, the nature of rights conferred, the commercial exploitation of those rights, the enforcement of those rights and the remedies available against infringement of those rights.

2 Basic concepts intellectual property law

The law relating to intellectual property is based on certain basic concepts. Thus patent law centres round the concepts of novelty

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(or lack of anticipation) and inventive step (or lack of obviousness). Design law is based on novelty or originality of the design not previously published in India or any other country. The substantive law of trade marks is based on the concepts of distinctiveness and similarity of marks and similarity of goods. Copyright is based on the concepts of originality and reproduction of the work in any material form.

Although these concepts are expressed in ordinary English words they are given special meaning and significance in intellectual property law. Their application to particular facts is often difficult and even complex. It may be noted that the majority of case law on intellectual property deals with the application of these concepts to particular facts.

Intellectual property includes Patents, Designs, Trade Marks, Copyright, Confidential Information and Industrial Know-how. Patents relate to novel products or processes of manufacturing a product. Design relates to the non-functional appearance of a product which appeals solely to the eye. Trade Mark consists of word, name, device or get-up used in relation to particular goods to indicate the source of manufacture or trade origin of the goods. Copyright relates to original literary, dramatic, musical and artistic works, cinematograph films and sound recordings.

The statute law relating to intellectual property in India is undergoing changes so as to bring them to harmonize with the corresponding laws in the developed countries. This has become necessary after India signing the GATT and TRIPS and becoming a member of WTO.

In this edition the chapters on Industrial Designs, Trade Marks and Copyright have been suitably amended as necessitated by the Designs Act 2000, Trade Marks Act 1999 and the Copyright (Amendment) Act 1999.

3 Nature of intellectual property

Intellectual property of whatever species is in the nature of intangible incorporate property. In each case it consists of a bundle of rights in relation to certain material object created by the owner. In the case of patent the property consists of the exclusive right to use the invention patented, to grant licences to others to exercise that right or to sell that right to a third person. Patent rights are created by statute and are governed by the Patents Act 1970 (India). The invention may relate to a new product or an improvement of an existing product or a new process of manufacturing an existing or a new product. The

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acquisition of this monopoly, the conditions to be satisfied for acquisition, its duration, the licensing of this monopoly rights or their assignment to others are strictly governed by the Patents Act. After the expiry of the term of the patent (which is twenty years for all products), it becomes public property when anybody can use the patented invention.

In the case of industrial designs the property consists in the exclusive right to apply the design registered under the Designs Act 1911 now replaced by the Designs Act 2000, in relation to the class of goods for which it is registered for a maximum period of fifteen years subject to payment of renewal fees prescribed by the rules. This right can also be licensed for use by third parties or assigned to any person. On expiry of the term of registration anybody can use the design.

In the case of trade mark there are two types of rights; one conferred by registration under the Trade and Merchandise Marks Act 1958 now replaced by the Trade Marks Act 1999 and the other acquired in relation to a trade mark, trade name or get-up by actual use in relation to some product or service. The rights conferred by registrations are confined to the use of the mark in relation to the actual goods or services for which it is registered. The exclusive rights granted by registration enables the proprietor of the registered mark to prevent others from not only using the mark as registered but also marks which are deceptively similar to the registered mark i.e. marks which so nearly resemble the registered mark as to be likely to deceive or cause confusion among the customers of the goods or services covered by registration. In the case of an unregistered mark, get-up and other badges of goodwill of business the protection is given to the goodwill of the business in relation to which such trade mark, or get-up is used. Such protection may also extend, in appropriate cases, to allied goods or business. Unlike patents, designs or copyright the rights conferred by registration of a trade mark can be availed of for an indefinite period by periodic renewal of registration and the proprietor being able to ward off rectification of the register on the ground of non-use or any other specified ground under the Act.

The Trade Marks Act 1999 has introduced many important changes in the law which are dealt with in Part 3 of this book.

In the case of an unregistered trade mark the right to protection of the goodwill continues indefinitely provided the owner of the

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goodwill uses the mark lawfully and prevents other persons infringing those rights by appropriate timely action (passing off) in courts of law against the infringers.

Copyright like patents and industrial design is purely a creation of the statute, the Copyright Act 1957 as amended from time to time. But there is no formality required for the acquisition of the right. Copyright subsists in any original work specified in the Act from the moment of its publication during the lifetime of the author plus sixty years. The works specified in the Act are (1) an original literary, dramatic, musical and artistic work, (2) a cinematograph film and (3) a sound recording. Literary work includes computer programmes, tables and compilations including computer databases. The licensing and assignment of the copyright in any work is governed by the provisions of the Act.

The Copyright (Amendment) Act 1999 has effected certain changes in the law. For details see Part 4 of this book.

Know-how and confidential information can be protected only so long as the owner is able to keep them secret and takes action against unlawful use of such information by others by an action for breach of confidence or contract.

The law of patents, designs and trade marks are territorial in its operation. As regards copyright, by virtue of international conventions such as the Berne Convention and the Universal Copyright Convention copyright acquired in one country extends to other countries which are members of these conventions. India is a member of both the conventions.

Although the relevant statute defines the rights conferred on a particular species of intellectual property as the exclusive right to use the patent, apply the design, use the trade marks or commercially exploit the work in certain forms (as in copyright), in practice what the statute confers is the right to prevent competitors from commercially exploiting the respective rights to the detriment of the owner of that property.

4 Commercial exploitation of intellectual property

The commercial exploitation of the different kinds of intellectual property is made in different ways. In the case of patent the patentee may himself exploit the patent or assign his rights or license them to industrialists for a lump sum payment or on a royalty basis. A registered design can be similarly exploited by assigning or licensing the rights to others capable of exploiting

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it on a royalty or lump sum basis. Copyright can also be exploited in a similar manner, the scope of assignment or licensing being much wider having regard to the variety of rights conferred on the copyright owner. Commercial exploitation of a registered trade mark by licensing others to use it on a royalty basis is not permissible except by registration of the licensee as a registered user under conditions prescribed by the statute. Unfettered licensing of trade mark in the same manner as licensing of a patent, design or copyright will destroy the property rights in the trade mark. This is a very vital difference between a trade mark and other forms of intellectual property. Unregistered licensing of a registered trade mark subject to conditions is permitted under the Trade Marks Act 1999. Licensing of an unregistered trade mark under suitable conditions is recognised by courts. Such licensing is called common law licensing.

5 Enforcement of rights and remedies against infringement

Intellectual property rights are enforced by an action for infringement of those rights before a District Court or High Court. Criminal prosecution is also possible in respect of trade mark and copyright.

The remedies available against infringement of different intellectual property rights bear a close resemblance. Thus in the case of infringement of a patent the patentee may obtain an injunction restraining the infringer from using the patent and either damages or an account of profits. The remedies available against infringement of a registered design are similar namely, an injunction and either damages or an account of profits.

In respect of trade marks the civil remedies available against infringement are an injunction, either damages or an account of profits and the delivery-up of the infringing articles for erasure or destruction. In addition there is a criminal remedy also against an infringer under which the person accused of infringement may be punished by imprisonment and fine.

Civil and criminal remedies are available against infringement of copyright. The civil remedies are: an injunction, and either damages or an account of profits. In addition, damages can be claimed for conversion which may be very substantial. Criminal remedies include imprisonment and heavy fine and seizure of infringing copies of the work which will be delivered to the copyright owner.

There is no criminal remedy available for infringement of patent or of a registered design.

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6 Intellectual property and economic development

The contribution of intellectual property to the economic and cultural development of a country is substantial. The granting of patent monopoly in consideration of the disclosure of the invention enables competitors in the field to manufacture new products or improved products or effect improvements in the process of manufacture. But for a patent system much of the technological information would have remained secret and lost to the world. As it is the patent specifications which are available to the public contains practically all the information relating to any field of technology. What is not available in the patent literature consists of confidential information, industrial and business secrets and what is called know-how which others have no free access but which could be obtained by negotiation with the owner of such information for a price.

Industrial design protection encourages people with creative faculty to devote their talent and energy in developing new designs for products. This is particularly so in the case of consumer products including toys, garments, furniture and so on.

Protection of trade marks enables consumers to obtain their products of the right quality which they are accustomed to get identifying the product by the mark. If trade marks cannot be protected from infringement the market will be flooded with shoddy and spurious goods by unscrupulous persons by copying wellknown trade marks.

Today copyright affects every industry conceivable. The printing, publishing and entertainment industries like the film and recording industry are almost completely dependant on copyright protection. The manufacture of any kind of machinery or machine is based on industrial drawings which enjoy copyright protection.

7 International character of intellectual property

The enormous technological development of transport and commu-nications has resulted in the globalization of trade and commerce. This has its impact on intellectual property which is becoming international in character.

Intellectual property can travel effortlessly from one country to another. Piracy of intellectual property has become international in character. This is particularly important in the case of copyright. Piracy of copyright work has become extremely easy and inexpensive owing to the availability of gadgets like tape recorder, video, cassette recorder, magnetic tape, photocopying

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machines and so on. No foolproof method of preventing this piracy has so far been developed.

The international character of intellectual property is recognised in the various international conventions for the protection of such property. India is a member of both the Berne Convention and the Universal Copyright Convention. It has also become a member of the "International Convention for the Protection of Industrial Property (Paris Convention)" dealing with patents, designs, utility models, trade marks, trade names and so on.

As technology in all fields of human activities are developing exponentially the field of intellectual property is also expanding correspondingly. Protection of plant varieties, prevention of various forms of unfair competition or misappropriation of goodwill, reputation or trade values, unfair business practices, slavish copying of the details of products, dilution of reputed trade marks and their commercial value by using them by competitors in fields of activity different from the owners' are becoming more and more difficult. Piracy of intellectual property has become international owing to globalization of trade and commerce. Intellectual property law is one of the fastest growing branch of law today practically all over the world. Broadcasting cable casting and telecasting rights are some of the new branches of intellectual property. Now the internet website and cyber space facilities have produced many problems relating to protection of intellectual property.

This book is only an introduction to the various branches of Intellectual Property Law in India. It deals with the basic principles on which the law is founded without going too deep into technicalities or intricacies of the law or case law. For a detailed exposition of each branch of intellectual property law both statute law and case law one has to refer to exhaustive treatises on the respective branches of law.

8 Amendment of patent law

The Patents Act 1970 was amended by the Patents (Amendment) Act 1999. Thereafter the Act was further amended by the Patents (Amendment) Act 2002 and finally it was amended by the Patent (Amendment) Act 2005. The Patent Rules 1972 amended by the Patents (Amendment) Rules 1999 and after that the Rule was replaced by the Patents Rules 2003 and finally it was amended by the Patents (Amendment) Rules 2006.

The main object of the Amendment Act of 2002 was to grant product patents for inventions relating to medicine and drug,

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and to provide the requisite procedure to deal with such claims made in applications for patents filed on or after 1st January 1995. These applications are not examined for anticipation till December end 2004. During the interim period the applicants for such claims will be granted exclusive marketing rights to sell or distribute the products in India provided they follow the prescribed procedure and satisfy certain conditions.

9 New Acts affecting intellectual property

Various Acts relating to intellectual property have been passed by the Parliament which make a sea change in intellectual property law. These are:

(1) The Patents (Amendment) Act 2005, *passed by the Parliament and brought into force on 1st January 2005.*

(2) The Designs Act 2000, *passed by the Parliament and brought into force on 11th May 2001.*

(3) The Trade Marks Act 1999, *passed by the Parliament and brought into force on 15th September 2003.*

(4) The Geographical Indications of Goods (Registration and Protection) Act 1999, *passed by the Parliament and brought into force on 15th September 2003.*

(5) The Protection of Plant Varieties and Farmer's Rights Act 2001, *passed by the Parliament.* Sections 2 to 13 and ss. 95 to 97 come into force on 11th November 2005 vide S.O. 1588(E), dated 11th November 2005 and s. 1 and ss. 14 to 94 come into force on 19th October 2006 vide S.O. 1797(E), dated 19th October 2006.

(6) The Semiconductor Integrated Circuits Layout Design Act 2000, *passed by the Parliament and brought into force on 1st March 2004.*

(7) The Information Technology Act 2000, *passed by the Parliament and brought into force on 17th October 2000.*

The chapters on Industrial Designs and Trade Marks have been suitably modified so as to be in conformity with the Designs Act 2000 and the Trade Marks Act 1999 respectively.

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Part 1

Patents

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CHAPTER

1

Introduction

1 General

"The works of founders of states, law givers tyrant destroyers and heroes cover but narrow spaces, and endure but for a little time, while the work of the inventor though of less pomp is felt everywhere and lasts forever". (Francis Bacon, quoted in mainly on *Patents*, Ed. 1972 at page 1, edited by Felix Liebesny, Butterworths).

The law of patents in India is governed by the Patents Act 1970 as amended by the Patents (Amendment) Act 1999. A bill named Patents (Second Amendment) Bill 1999 which had proposed substantial changes in the law was introduced in the Parliament in December 1999, and was passed as the Patents (Amendment) Act 2002. This Act was further amended by the Patents (Amendment) Act 2005. The salient features of this Act are included at Chapter 15 of this book.

2 What is a patent

A patent is a exclusive right granted to a person who has invented a new and useful article or an improvement of an existing article or a new process of making an article. It consists of an exclusive right to manufacture the new article invented or manufacture an article according to the invented process for a limited period. After the expiry of the duration of patent, anybody can make use of the invention.

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The concept of patent and its essential ingredients like novelty, inventive step, lack of obviousness and sufficiency of description have remained the same ever since it was conceived over four hundred years ago. (See Mainly on *Patents* (supra)).

A patent is a form of industrial property or as it is now called intellectual property. The owner of the patent can sell this property. He can also grant licences to others to exploit the patent. The property in a patent is similar in many respects to other forms of property.

A patent being a creation of statute is territorial in extent. A patent granted in one state cannot be enforced in another state unless the invention concerned is also patented in that state.

A patent is not granted for an idea or principle as such, but for some article or the process of making some article applying the idea.

3 Object of patent law

The object of granting a patent is to encourage and develop new technology and industry. An inventor may disclose the new invention only if he is rewarded; otherwise he may work it secretly. In consideration of the grant of monopoly for a limited period, the inventor discloses the details of the new invention and the method of working it so that after the expiry of monopoly period others can use the invention or improve upon it.

Thus "the theory upon which the patent system is based is that the opportunity of acquiring exclusive rights in an invention stimulates technical progress in four ways: first, that it encourages research and invention; second, that it induces an inventor to disclose his discoveries instead of keeping them as a trade secret; third, that it offers a reward for the expenses of developing inventions to the stage at which they are commercially practicable; and fourth, that it provides an inducement to invest capital in new lines of production which might not appear profitable if many competing producers embarked on them simul-taneously. Manufacturers would not be prepared to develop and produce important machinery if others could get the results of their work with impunity".

The considerations which are said to constitute the *quid pro quo* for the grant of a patent monopoly are: (1) the working of the invention within the country so as to result in the establishment in the country of a new industry or an improvement of an existing industry which would profitably

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employ the labour and capital of the country and thus increase the national wealth, and (2) disclosure to the public of the invention and the manner of its working so that on the expiry of the life of the patent the public are enabled to work the invention themselves and in competition with each other.

The term of patent grant in India was 14 years except for food and drug patents for which the term was five years from the date of sealing or seven years from the date of patent (whichever is shorter). In almost all other countries at present the term of patent for all inventions varies from 16 to 20 years. By the Patents (Amendment) Act 2002 it increases the term to 20 years.

Today inventions of new products or new processes particularly in the field of medicine, in general, involves the collective effort of many highly skilled professionals and expenditure of considerable amount of money and time which only big corporations and institutions can afford. Besides, the manufacture of the article or product on a commercial scale requires further effort and money. Accordingly under modern conditions only big corporations or institutions can afford to engage in research and development of new products or processes. Further, even if an individual research scientist or technologist invents a new product or process he will have seldom the financial resources for developing the invention for commercial use and fighting against infringement of the patent by competitors. Thus it may be seen that almost all the major patents relating to new useful inventions, particularly in the medical field, are held by big transnational corporations.

4 Value of patent system

Some controversy exists as to the precise extent of the contribution made by a patent system to the economic development of a country. But the adoption of some kind of patent protection for inventions in almost all countries and the ever-increasing number of applications for patents received by the patent offices in all industrially advanced countries is an indication of the universal recognition of the value of a patent system. Most of the discoveries and inventions made in technology in all fields are published in the patent specifications filed at the patent offices of different countries. A world-wide exchange of technical information has been made possible only by the publication of such patent specifications. But for the

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existence of patent system which enables the inventors to disclose their inventions without fear of the benefits of their labour being lost to competitors, much of the technological innovations would have remained secret.

The value of the patent system is demonstrated by the fact that in almost all advanced countries the number of patents granted has shown substantial increase. A good percentage of them are foreign patents. However, only a small percentage of the granted patents lasts the full term as most of them are either unworkable or have no commercial value or superseded by subsequent inventions. Quite a number of them are retained for speculative reasons or to prevent competition.

The Patents Act contains provisions against abuse of patent rights by providing for compulsory licensing and even for revoking the patent for non-working. Besides the publication of the specification enables competitors to experiment and find out ways of designing around the patent, thus encouraging bringing out substitute products for the patented goods. This is very common in the pharmaceutical field.

5 International character of patents

In a sense patents have assumed an international character. The increasing number of applications for patents from foreigners received in almost all countries is recognition of this fact. Attempts are being made from time to time by international associations for the protection of industrial property to introduce more and more uniformity and harmonisation among national patent systems. The International Convention for the Protection of Industrial Property (Paris Convention) and GATT and TRIPS agreements are examples of attempts at harmonisation of the law of patents and other forms of intellectual property.

6 Advantages of patent to inventor

To the inventor a patent system confers certain definite advantages. The incentive for technological innovations is monetary reward. It is not compulsory for an invention to be patented. An inventor may use his invention secretly as long as he can keep it secret. But the chances of keeping the formula secret are meagre especially when he has to engage workmen to carry out the invention. In the case of machines or apparatus it is well nigh impossible to keep the invention secret since knowledge of the invention may be obtained by dismantling the machine. If other people start manufacturing the article by

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independent discovery or by pilferage of the secret, the original inventor has no effective legal remedy. There is also the danger of a competitor taking out a patent for the article and suing the secret user for infringement. On the other hand, if a patent is obtained for the invention the patentee gets the exclusive right to use the invention for a definite period, which right can be lawfully enforced against infringers. If he has not the financial resources to work the patent, he can get monetary reward by granting licences to others or by assigning the patent.

Further, a patent enables the owner to prevent others from copying what the patent monopoly covers unless he agrees to pay royalties. A competitor is also forced to design around the patent to produce an alternative to the patented product or process. This encourages the growth of technology and enables the public to get substitutes for the patented product which in turn compels the owner of the patent not to overcharge his product.

Furthermore, a patent specification does not disclose all the details of manufacture. By licensing the patent the owner is able to enter into separate agreements with the licensee to transfer for a consideration what is called know-how which includes manufacturing techniques which are not patentable and which the owner invariably does not include in the specification.

7 Rights and obligations of patentee

The rights conferred on a patentee are purely statutory rights conferred by the Patents Act 1970. There is no such thing as a common law right in inventions as in the case of trade marks. A patent when granted confers on the patentee the exclusive right to use the invention during the term of the patent, or as long as it is in force, on payment of the renewal fee from time to time. The patentee may assign his rights or grant licences to use the invention. There is an obligation cast on the patentee to work the invention on a commercial scale either by himself or through licensees. If the patentee does not do this any interested person may obtain a compulsory licence to work the patent. In respect of patents relating to drug or medicine or substances used as food, any person interested in working the patent may obtain a licence as a matter of right after a period of three years from the date of grant of patent. If in spite of compulsory licences being granted the invention is not worked on a commercial scale, the patent is liable to be revoked on the ground of non-working by following the procedure prescribed.

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The legal remedy against infringement of patent rights consists in a court injunction restraining the infringer from using the invention, and damages or account of profits. This may be obtained in a suit for infringement filed in a district court or High Court.

8 Validity of patent not guaranteed

The Act provides for search among the records of the Patent Office for anticipation based on published material. Such a search, however, can never be exhaustive or final. Further, there is no provision for examination by the office to test the presence of inventiveness. This is because the question of inventiveness depends upon the state of the art at a particular point of time which includes not only published material but also public knowledge and public user. Besides, the question of obviousness or inventiveness has to be judged from the point of view of a man skilled in the art which requires evidence of experts. This question can be resolved only in opposition or revocation proceedings. But many patents are granted unopposed. The Act therefore does not guarantee the validity of the patent which can finally be decided only by the High Court in infringement or revocation proceedings.

There is no system of patents in existence which guarantees absolutely the validity of a patent when granted.

There are many patents which are invalid but the patentee has some advantage in retaining them. The existence of such patents often causes competitors either to buy such patents or obtain licences from the owner for working them.

Blanco White in his *Patents for Inventions,* 4th Ed. 1974 has observed at page 8 that many United Kingdom patents are only doubtfully valid. Possibly the same is true of patents granted in many countries. Probably this is due to the enormous development of technology all over the world which makes it impossible to make a thorough search for novelty and obviousness before grant of a patent.

9 Procedure

The procedure for obtaining a patent, and matters connected therewith are detailed in the Patents Act 1970 and Patent Rules 2003. Time-limits are prescribed within which parties to the proceedings before the Controller have to comply with certain requirements at various stages through which an application for a patent has to pass. These time-limits are designed to facilitate

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quick disposal of the applications well within the monopoly period of the patent when ultimately granted.

10 Patentable invention—section 2(1)(j)

An invention is defined as follows:

> Invention means a new product or process involving an inventive step and capable of industrial application.

It has been held that a method or process is a manufacture if it (1) results in the production of some vendible product, or (2) improves, or restores to its former condition a vendible product, or (3) has the effect of preserving from deterioration some vendible products to which it is applied.

A patent can be obtained only for an invention which is new and useful. The invention must relate to a machine, article or sub-stance produced by manufacture, or the process of manufacture of an article. A patent may also be obtained for an improvement of an article or of a process of manufacture. In regard to medicine or drug and certain classes of chemicals no patent is granted for the substance itself even if new, but a process of manufacturing the substance is patentable.

The applicant for a patent must be the true and first inventor or a person who has derived title from him, the right to apply for a patent being assignable. He must give a full and sufficient disclosure of the invention and specify the precise limits of the monopoly claimed. The invention claimed must be novel and must not be obvious to those who are skilled in the art to which it relates.

The three essential requirements of a patentable invention are, novelty, inventiveness (i.e. inventive step or lack of obviousness) and utility.

There are some inventions which may satisfy the above criteria but yet are not patentable.

11 Secret processes and technological know-how

There are some secret processes, formulas and techniques which have been kept secret for long periods. The formulas and processes of blending of coffee, tea, perfume, whisky, flavourings and so on have been kept completely secret for centuries. In the field of microelectronics certain key parts can be enclosed in black boxes which cannot be opened or disassembled without destroying the instrument. These secrets are susceptible to industrial espionage. There is no property in trade secrets. If they are

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patentable it is better to patent them so that there is no danger of it being stolen by competitors at least for a limited period.

12 Inventions not patentable—sections 3–4

The following inventions are not patentable:

(1) An invention which is frivolous or which claims anything obviously or contrary to well-established natural laws.

(2) An invention the primary or intended use of which would be contrary to law or morality or injurious to public health.

(3) The mere discovery of a scientific principle or the formulation of an abstract theory or discovery of any living or non-living substances occurring in nature (e.g. the theory of relativity is not patentable).

(4) The mere discovery of any new from of a known substance which does not result in the enhancement of the known efficacy of that substance or the mare discovery of any new property or new use for a known substance or of the mere use of a known process, machine or apparatus unless such process result in a new product or employs at least one new reactant.

(5) A substance obtained by a mere admixture resulting only in the aggregation of the properties of the components thereof or a process for producing such substance.

(6) The mere arrangement or rearrangement or duplication of known devices each functioning independently of one another in a known way.

(7) A method of agriculture or horticulture.

(8) A process for the medical, surgical, curative, prophylactic diagnostic, therapeutic or other treatment of human beings or any process for a similar treatment of animals to render them free of disease or to increase their economic value or that of their products.

(9) Plants and animals in whole or any part thereof other than micro-organisms but including seeds, varieties and species and essentially biological processes for production or propagation of plants and animals.

(10) A mathematical or business method or a computer programe per se or algorithms.

(11) A literary, dramatic, musical or artistic work or any other aesthetic creation whatsoever including cinematographic works and television productions.

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(12) A mere scheme or rule or method of performing mental act or method of playing game.
(13) A presentation of information.
(14) Topography of integrated circuits.
(15) An invention which in effect, is traditional knowledge or which is an aggregation or duplication of known properties of traditionally known component or components.
(16) An invention relating to atomic energy.

13 Product patents for inventions relating to medicine and drug

Under the Patents (Amendment) Act 1999 a claim for a product in respect of an invention relating to medicine or drug can be made subject to certain exceptions. Such claims will be dealt with in the manner provided by the Amendment Act. The exceptions are chemicals used as intermediates in the manufacture of medicine or drug. For details see Chapter 3.

14 Computer programme

A computer programme is not considered a patentable invention. However it is now protectable under the Copyright Act as a literary work. See Part IV on Copyright in this book.

15 Biotechnical processes and products and micro-organisms

Modern technology has produced high-yielding varieties of agricultural seeds, creation of plants by tissue culture and micro-organisms and new products based on them which have been found beneficial in industry, medicine and food production. The question of patenting such processes and products is a highly controversial subject even in advanced countries.

Invention must be distinguished from innovations. Invention is the result of intellectual creativity resulting in new products and processes. Innovation relates to workshop improvements of known products. Sometimes innovations may lead to patentable improvements.

A discovery should be distinguished from invention. Discovery relates to new information and knowledge which already exists in nature. Invention on the other hand relates to the creation of new products or processes which never existed before.

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16 Illustrations

A process of treating malignant tumour cells was refused grant, but a claim to a system for aiding hearing was not considered a method of treatment and was allowed. A method of reducing gastric secretion in mammals by the administration of certain compounds was disallowed.

A scheme, plan or system, a system of indexing, a system of musical notation, a scale or chart for map reading, an architect's plan or design have been refused grant. Some of these may be capable of protection under the copyright law.

17 Patents—a source of technological information

Patent literature is a mine of technological information which is not available in text books, periodicals or other sources. Patent speci-fications, particularly the claims part are notoriously abstruse and complicated. It requires professional skill and expertise in the technology involved to extract valuable information. In respect of technological fields patents are the only source of information of practical value relating to details of manufacture of products and processes in all fields of technology, particularly uptodate information.

18 Relevance of foreign judgments in the interpretation of Patents Act 1970

The Patents Act 1970 is modelled substantially on the U.K. Patents Act of 1949.[1] The basic concepts of this law in India and U.K. being the same, the decisions of English Courts on the subject are often cited by lawyers and Judges alike in the interpretation of some of the provisions of the Indian Act. Even decisions of Commonwealth Countries are referred to as being of persuasive value.

1 This Act has been replaced by Patents Act 1977 which introduces substantial changes in the U.K. Patent Law.

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CHAPTER

2

How to Obtain a Patent

1 Who may apply—section 6

An application for a patent may be made by the actual inventor of the invention, or an assignee of the right to make an application or a legal representative of either. It is the person who first applies for a patent who is entitled to the grant. A prior inventor of the invention who applies subsequently will not get the patent as against the first applicant. A person who has merely communicated an idea to another, who actually gave practical shape to the idea and developed the invention, cannot claim to be the first and true inventor. A mere financial partner, a firm or a Corporation cannot be the sole applicant claiming to be the inventor. But they can apply as assignee of the right to apply.

The right to apply for a patent is assignable. Though an oral assignment is not precluded, for establishing title to apply an assignment in writing is preferable. An application to which the actual inventor is not a party is void and the irregularity cannot be cured by amendment. The right to apply, on the death of the owner of the right, devolves to his legal representative.

Whether in a particular case the invention made by the employee should belong to the employer depends upon the contractual relations, express or implied, between the employer

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and employee. In the absence of special contract, the invention of a servant even though made in the employer's time, and with the employer's materials, and at the expense of the employer, does not become the property of the employer. Inventions made by employees specifically employed for research and development may in general belong to the employer. An employee's obligation to the employer arising from service agreement in respect of patent rights can be enforced by an action for breach of service agreement. An employer can bring an action for an order that the patent should be assigned to him.

2 Procedure

An application for a patent in the prescribed form along with the prescribed fee should be filed in the appropriate office of the patent office. The application should be accompanied by a provisional or complete specification. A provisional specification need describe the invention only briefly and need not contain the claims. Where the application is accompanied by a provisional specification, a complete specification should be filed within twelve months from the date of filing the application. If this is not done, the application will be deemed to be abandoned. The complete specification should fully and particularly describe the invention and the method by which it is to be carried out. It should disclose the best method of performing the invention known to the applicant and end with a claim or claims defining the scope of the invention for which protection is claimed. The complete specification shall be accompanied by an abstract to provide technical information on the invention. The claims should relate to a single invention or to a group of inventions. They should be clear and succinct and should be fairly based on the matter disclosed in the specification. The specification should be accompanied by drawings where appropriate and necessary. The specification should relate to a single invention.

An application for a patent will not be open to public for a period of eighteen month from the date of filing or date of priority which is earlier. Thereafter the application will be published. After the publication of the application within the prescribed period a request for examination of application should be made by the applicant or interested person failing which the application will be treated as withdrawn.

The application is examined by examiners of patents to see whether it complies with the requirements of the Act and the

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Rules, whether there is any lawful ground of objection to the grant of the patent, and whether the invention has already been published or claimed by any other person. The examiner makes a search in the publications available in the Patent Office and specifications of prior applications and Patents to see whether the same invention has already been published or claimed or is the subject-matter of existing or expired patents.

After examination of the application, the Patent Office will communicate to the applicant, the objections, if any, to the grant of a patent. The objections, generally relate to the drafting of the specification and claims, anticipation of any of the claims in prior publication of any specification or claims, or documents. In many cases these objections can be overcome by suitably amending the description of the invention and the claims and in some cases by insertion of a reference to the prior specification number. If the objections are not satisfactorily met the Controller of Patents, after giving an opportunity of hearing to the applicant will refuse the application.

Where the applicant has satisfactorily removed the official objections the Controller will accept the complete specification and advertise it in the Official Gazette. From the date of acceptance to the date of grant of the patent the applicant will get the benefits of the grant except that he will not be entitled to institute infringement proceedings until the patent is granted.

Any person interested may give notice of opposition within three months from the date of publication in the Official Gazette. The Controller will forward a copy of the notice of opposition to the applicant who may file a reply statement within one month from the date of receipt of the copy. Thereafter the parties may file their evidence in support of their respective cases and the matter will be heard and decided.

Where the application is accepted either without opposition or after opposition, a patent will be granted if a request for sealing is made by the applicant.

An inventor, if he so desires, may make a request for mentioning his name in the patent. The Controller, if satisfied, will cause his name to be mentioned as inventor in the patent granted, in the complete specification and in the register of patents. The mention of the inventor's name in the patent will not confer, or derogate from, any rights under the patent.

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3 Term of patent

The term of every patent granted, after the commencement of the Patents (Amendment) Act 2002, and the term of every patent which has not expired and has not ceased to have effect, on the date of such commencement, shall be twenty years. A patent can be kept alive only by paying the renewal fee from time to time.

4 Patent of addition

In respect of any improvement in or modification of a previous invention already patented, a patent called "patent of addition" may be obtained. The term of the patent of addition will run concurrently and terminate with the main patent. No renewal fee is payable so long as the main patent remains in force.

5 Statutory provisions

Sections 6–11	Application for patent.
Sections 12–24	Examination of application.

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CHAPTER

3

Product Patents in respect of Medicine and Drug

1 Exclusive marketing rights

Under the Patents (Amendment) Act 1999 applications for product patents for inventions relating to medicine and drug are permitted with certain exceptions and conditions. These applications are not examined for anticipation till the end of December 2004.

Applicants for such patents are allowed to make separate applications for grant of exclusive marketing rights to sell or distribute the article subject to certain conditions. Such rights are not granted if the inventions are considered not patentable under the provisions of ss. 3 and 4 of the Act of 1970. Further such exclusive rights are not granted to an article or substance based on the system of Indian Medicine as defined in s. 2(1) of the Indian Medicine Central Council Act 1970 and where such article is already in the public domain. "Indian Medicine" means the system of Indian medicine commonly known as Ashtang Ayurveda, Siddha or Unani Tibb.

The applicant should fulfil the following conditions:

He must have filed an application for the same inventin in a convention country on or after 1st January 1995 and obtained the approval to sell or distribute the article in that country by an appropriate authority of that country. Or,

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He must have already filed after 1st January 1995 a claim for the process of manufacturing an identical article and a patent granted therefor in India and after making a claim for the patent for the same article has obtained the approval of the appropriate authority in India to sell or distribute the product in India till the date of grant of patent or the date or rejection of the application for the patent whichever is earlier.

2 Prior users of the invention protected

Where the specification or an invention relating to medicine or drug has been recorded in a document, or the invention has been used, or the article sold by a person before a claim for a patent of that invention is made in India or in a convention country; then the sale or distribution of that article by such person after the claim for the patent of that invention is made in India will not be deemed to be infringement of the exclusive right to sell or distribute in India.

This does not apply to a case where the person who makes or uses the article to sell or distribute it in India, the details of the invention relating thereto were given by a person who was holding exclusive right to sell or distribute the article in India.

3 Compulsory licence in respect of exclusive marketing rights

Compulsory licences in respect of exclusive marketing rights granted to a person may be obtained by a third party subject to the following modifications on the grounds for obtaining such licence:

(*i*) working of the invention will be deemed to be selling or distributing the article in India;

(*ii*) reference to patent will be deemed to be reference to exclusive rights to sell or distribute;

(*iii*) references to patented article will be deemed to refer to an article for which exclusive right to sell or distribute has been granted;

(*iv*) three years from the date of sealing of a patent in s. 84 will be deemed to be two years from the date of approval for exclusive right to sell or distribute;

(*v*) the time elapsed since the sealing of the patent in s. 85 will be deemed to be the time elapsed since the approval for exclusive right to sell or distribute;

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(*vi*) the grounds for granting compulsory licence or revocation of the patent contained in cl. (*d*) or (*e*) of s. 90 based on the importation of the patented article have been deleted.

4 Power of Central Government

The Central Government under certain circumstances has the right to sell or distribute the article for which exclusive rights have been granted.

The Central Government has also the power to control the pricing of the article for which exclusive rights have been granted.

5 Suits

Suits relating to infringement of exclusive rights will be dealt with in the same manner as suits for infringement of patents.

6 Validity of grant of exclusive right

The validity of any grant of exclusive rights under the Amendment Act is not warranted.

7 Other amendments made under the Amendment Act of 1999

Section 39 dealing with the permission required by an Indian applicant for filing an application for a patent outside India is deleted and consequential changes are made in ss. 40, 54 and 118 of the Act of 1970.

8 Protection of security of India relating to fissionable materials, traffic of arms, ammunition etc.

The Central Government will not disclose any information relating to any patentable inventions or application relating to grant of a patent which is prejudicial to the interest or security of India.

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CHAPTER

4

Specification*

1 General

A description of the invention called the 'specification' is an essential part of a patent, for it is the consideration which constitute the *quid pro quo* for the grant of patent monopoly. The specification begins with a title sufficiently indicating the subject-matter of the invention. It should fully and particularly describe the invention and the method by which it is to be performed. It should disclose the best method of performing the invention which is known to the applicant for patent. It should end with a claim or claims defining the scope of the invention for which protection is claimed. The claims should relate to a single invention. They should be clear and succinct and should be fairly based on the matter disclosed in the specification. Where the invention relates to a machine, instrument or any mechanical device, it invariably includes drawing of the invention.

A patent specification is a technical as well as a legal document.

2 Provisional specification

An applicant for a patent may file a provisional specification which need not be full and specific. It is sufficient if it contains

* Sections 9–11.

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a general description of the invention, its field of application and the anticipated results. It need not contain the claims. The object of the provisional specification is to fix the priority date of the patent. Where a provisional specification is filed, the applicant gets a maximum period of 12 months to file the complete specification. During this period, he may conduct further research on the subject-matter of his invention and perfect the method of carrying out the invention or introduce further developments or addition to the invention which he may incorporate in the complete specification and the claims. Where the claims in the complete specification are fairly based on the matter disclosed in the provisional specification, the applicant for patent gets the liberty to publish or use his invention after the filing date of the application without endangering the validity of the patent when granted in course of time.

3 Complete specification

The object and purpose of a specification (complete specification) is that it should enable, not anybody, but a reasonably well informed artisan, technologist, or skilled workmen, dealing with the subject-matter with which he is familiar to make the thing so as to make it available for the public at the end of the protected period. The object and function of the claims is to define clearly and with precision the monopoly claimed, so that others may know the exact boundaries of the area within which they will be trespassers.

A complete specification should contain beside the title the following:

(1) A full and particular description of the invention and its operation or use and the method by which it is to be performed.

(2) A disclosure of the best method of performing the invention which is known to the applicant and for which he is entitled to claim protection.

(3) A claim or claims defining the scope of the invention for which protection is sought. The claim or claims should relate to one invention only whether the invention is for a process or product. It should be clear and succinct and should be fairly based on the matter disclosed in the specification. A patentee should make out with adequate distinctness the boundary of the territory that he claims to be exclusively his own.

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(4) It shall be accompanied by an abstract to provide technical information on the invention, provided that the Controller may amend that abstract. If a biological material is mentioned without giving description and if such material is not available to the public the material shall be deposited to an international depository authority under the Budapest Treaty.

Priority date and State of the art

Priority date is the date on which the patentee claims his complete specification. Normally it is the date of filing the provisional specification provided the claims are fairly based on the matter disclosed in the provisional specification. It is the date on which novelty and inventiveness of the invention is tested. The invention must be novel and must possess an inventive step on the basis of the state of the art on the priority date. The state of the art includes all matter (whether a product, a process, information about either or anything else) which has at any time before the priority date of the invention has been made available to the public (whether in India or elsewhere) by written or oral description, by use or in any other way.

Drafting of specification

The drafting of the complete specification, particularly the claims, is very difficult, and calls for the utmost care. All its statements must be accurate. At the same time, it should include all possible equivalent variations of the invention to guard against infringements. The aim of the patentee is usually to obtain the broadest valid claims. The validity of a patent can be challenged on certain specified grounds. These should be borne in mind while drafting the specification to avoid any pitfall. Having regard to the complexity of the problems involved, the specification is invariably drafted by professionals skilled in the field.

4 Construction of specification

When a dispute arises regarding the infringement of the patent or its validity the question arises as to what is the scope of the invention. This is determined by courts by construing the specification. Expert evidence is admissible to explain technical terms to show the practical working of machinery described or drawn, and to point out what is old and what is new in the specification. But the nature of the invention for which a patent is granted must be ascertained from the specification by the judge and not by any expert or other witness.

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Due to enormous development of technology, modern inventions have become more complicated and the technical questions involved are more difficult to understand, and are often less easy to describe in precise terms, and certainly not in everyday simple English. This is true particularly in the rapidly developing fields of organic chemistry, electronics, computer technology and biotechnology, and terms of art or technical terms now used by technical men in industry and in patent specifications can often be imprecise or even have more than one meaning. Persons in the art read the language, and particularly the technical terms involved, in the context of the specification or other documents in which they occur and it is the context which often controls their meaning.

Claims

The claims and their construction are the most important part of the specification from the legal point of view. A claim should be a precise legal statement of a technical fact and expresses in legal terms the scope of the invention. The main claim is the first claim. It should state what the invention is in the broadest form possible and permissible. It should be precise and should have only one meaning. The subsequent claims are ordinarily subordinate claims. It refers to the previous claim and add some extra feature to it and therefore narrower than the earlier claim which it refers. It concludes with an omnibus claim which relates to any arrangement substantially as described and as shown in the drawings.

The patentee in his own interest should draft the claims in such a way that it is not too wide, in which case it may be held invalid, nor too narrow which will enable competitors to avoid infringement.

Where technology is advancing rapidly the monopoly period of a patent cease to be of great importance. Inventors therefore try to keep the claims broad to avoid competitors trying to design around the patent.

Principles of construction of specification

The specification is construed in the light of the previous state of knowledge of the art at the time of publication. The construction put on a specification by a court in one proceeding is generally followed in other proceedings. The object of construction of the specification is to ascertain what is the invention described and claimed by the patentee. The

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specification must be construed in reference to its subject-matter and in reference to the state of knowledge at the time it was composed. It must be considered as a whole including the drawings. The claims are intended to define the invention, to point out what it is that the inventor regards as new and for which he claims protection. The general rule is to treat what is not claimed as disclaimed.

If the claim is solely for a combination, there is no infringement unless the entire combination is taken. If a subordinate part is desired to be protected, it is necessary to claim it even when it is new and material. A subordinate part can be claimed only if it is new, useful and patentable *per se*.

The claims must be read as part of the entire specification and not as a separate document; but the forbidden field must be found in the language of the claims and not elsewhere. A patentee who describes an invention in the body of specification obtains no monopoly unless it is claimed in the claims. If the language of a claim is plain and unambiguous, its scope cannot be restricted or expanded by reference to the body of the specification. Any special or unusual meaning resulting from technical knowledge possessed by persons skilled in the art must be read into the specification.

Construction of claims is probably the most important and difficult topic in patent law.

Purposive construction

"A patent specification is a unilateral statement by the patentee in words of his own choosing, addressed to those likely to have a practical interest in the subject-matter of his invention (i.e. 'skilled in the art') by which he informs them what he claims to be the essential feature of the new product or process for which the letters patent grant him a monopoly. It is those novel features only that he claims to be essential that constitutes the so called 'pith and narrow' of the claim. A patent specification should be given a purposive construction rather than a purely literal one derived from applying to it the kind of meticulous verbal analysis in which lawyers are too often tempted by their training to indulge. The question in each case is: whether persons with practical knowledge and experience of the kind of work in which the invention was intended to be used, would understand the strict compliance with a particular descriptive word or phrase appearing in a claim was intended by the patentee to be an

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essential requirement of the invention so that any variant would fall outside the monopoly claimed, even though it could have no material effect upon the way in which the invention was worked" [Lord Diplock in *Catnic* v *Hill* [1982] RPC 183 at 243 (HL)].

The principles of construction of specification may be summarised as follows:

(1) The general rules of construction of documents apply to patent specification.

(2) The complete specification must be read as a whole in the context of the surrounding circumstances prevailing at the date of publication of the specification without regard to subsequent infringement or conduct of the patentee. In some cases the priority date is preferred.

(3) The claim cast in precise language marks out the legal limits of the monopoly granted by the patent. What is not claimed is disclaimed. It is not permissible to restrict, expand or amend the clear language of the claim by reference to a limitation in the language used in the earlier part of the specification. It is legitimate to refer to the rest of the specification to explain the background to the claims, to ascertain the meaning of the technical terms and resolve ambiguities in the construction of the claims.

(4) The specification should be read and construed objectively through the eyes of the person to whom it is addressed and to whom common general knowledge is imputed. That person is the hypothetical or notional man of ordinary skill in the relevant art. It is not permissible to construe the claims by reference to the subjective thoughts, intentions, purposes and opinions of the patentee or his witnesses or by reference to his actions before or after the grant of the patent.

(5) The specification should be given a purposive construction rather than purely a literal one, see *Catnic* v *Hill & Smith* [1982] RPC 183 at 243. The court asks what are the essential and novel features of the process covered by the patent which a man skilled in the art would understand.

(6) It is for the court, not for a witness, however expert to decide the question of construction. Experts can give evidence to enlighten the judge on the special meaning of technical or scientific terms and phrases used in the specification.

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(7) Documents relied on as a ground of invalidity or documents subsequent to the complete specification are inadmissible.

[For authority for the above propositions see *Glaverbel* v *British Coal Corporation* [1994] RPC 443 at pages 485-487 and various cases cited therein.]

(8) A patent claim must be given the same construction for the purpose of infringement as well as for invalidity.

5 Amendment of specification

Subject to certain conditions, a complete specification may be amended: (*a*) before acceptance; (*b*) after acceptance but before sealing of the patent; and (*c*) after the grant of the patent. Amendment before acceptance may be required to overcome objections raised by the patent office. Where the applicant, of his own accord, desires to amend the specification, unless the proposed amendment could be considered as fairly based on the original specification, postdating of specification may be necessary.

Amendment of specification after acceptance but before sealing may arise in the course of opposition proceedings by directions of the Controller or by request by the applicant himself to overcome any objections raised in opposition proceedings.

An applicant for patent or a patentee may apply for amendment of the complete specification. The High Court may, in any proceeding before it for revocation of a patent, allow the patentee to amend his complete specification. Where the application for amendment is filed after acceptance of the complete specification, the application will be advertised to enable any interested person to oppose it. The application will be decided after following the procedure laid down for such opposition.

Any amendment of the complete specification before or after its acceptance is subject to the following conditions:

(*a*) the amendment must be by way of disclaimer, correction or explanation; or

(*b*) it must be for the incorporation of actual fact; or

(*c*) the specification as amended should not claim or describe matter not in substance disclosed in the specification before amendment; and

(*d*) any claim of the amended specification should not fall wholly within the scope of a claim of the specification before the amendment.

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Disclaimer

Disclaimer is ordinarily employed to limit the scope of the invention claimed or to remove doubts as to the meaning of the specification. It is introduced for the purpose of specifying what the inventor does not claim. It enables him to reduce the ambit of his monopoly by limiting a wide claim (which covers two or more ways of construction) to a particular claim (which covers only one of those ways of construction). Disclaimer need not be made expressly; it can be done implicitly. In the case of combination patent, if an essential feature is added, a subcombination is produced, and an amendment so as to limit the scope of the specification to a subcombination which is within the original claims is disclaimer. Thus to put an additional integer into a combination which already consists of a number of integers would amount to a disclaimer of part of the ambit of the unamended claim.

If a patent is invalid the patentee may amend the specification to avoid revocation. This may be done by striking out the invalid claim or by amending them. Where, however, the patent is invalid for subject-matter amendment will be refused.

Correction

By a correction is meant the putting right of some mistake that has been made in the preparation of the specification and not the correction of an error of judgment. A mistake may be apparent on the face of the specification in which case there is no need of any evidence to prove that a mistake has been made. If the mistake is not of this character, evidence may be necessary to establish that there was a mistake.

Explanation

The function of an 'explanation' is to explain more clearly what is necessary to understand the meaning of the patentee at the time he patented the invention. A patentee is, therefore, permitted to amend, correct and explain the enunciation of his invention as he originally intended to give it. An amendment will be allowed if it merely expresses with clarity what a true construction of the specification would inevitably secure to the unamended document, and it leads neither to the claiming nor description of new matter, nor to any variation in the scope of the claims.

Explanation means making plain or making clear. In general an explanation involves the addition of words. But there may be

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cases where deletion of words may be considered an explanation e.g. where the deletion of certain words would remove uncertainty and would turn what can be regarded as an ambiguous specification into a clear specification.

Correction of obvious mistake

This clause was substituted by the Patents (Amendment) Act 2002. An obvious mistake in the specification may be corrected. The mistake must be obvious to the instructed reader of the specification from reading that specification. What must be obvious is not simply that there has been some mistake but also what the mistake is and what is the correction needed. But the correction needed does not fail to be obvious merely because, as a matter of drafting, there is more than one way of expressing it without affecting the meaning. The mistake must be apparent on the face of the specification itself to an instructed reader versed in the particular art to which the invention relates. If some evidence extraneous to the specification is required to show that there has been a mistake in expressing the real intention of the inventor, the mistake is not an 'obvious mistake'. Proof of the evidence of a mistake and of the correction necessary to remove it are not in themselves sufficient to justify an amendment. Where, however, the amendment sought relates to the correction of a matter which is on the face of the document plainly incorrect and inconsistent with the body of the specification as a whole and constitutes a mistake obvious to the instructed reader of the specification from a reading of the specification, it may be allowed.

Discretion

The Controller or the Appellate Board or the High Court has a discretion to allow or refuse an amendment of specification. Long delay in moving for amendment and the conduct of the party may be taken into consideration in exercising the discretion. If a patentee knowingly allows an invalid claim in a specification to remain unamended, he may not be allowed to amend. Where the patentee knowing the defect in the specification did not seek to amend his specification but successfully insisted on retaining it in its original form it may be a ground for not permitting an amendment at a considerably later date when the validity of the patent was attacked in a proceeding for revocation. The Controller or the Appellate Board or the High Court may impose conditions in allowing an amendment of the specification.

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Apart from the amendment of a specification any clerical error in any specification may be corrected by the Controller at the request of a person interested (including the patentee) or without such request. If the correction sought to be made in a request would materially alter the scope of the specification, notice of the nature of the proposed correction will be advertised in the Official Gazette and any interested person may give notice of opposition to the request. The matter will then be decided after following the procedure laid down for such opposition.

In an application for amendment of patent specification the patentee must disclose fully all relevant facts in the evidence filed in support of the application. Failure to do so may result in refusal of the application. See *Chevron Research Co.'s Patent* [1970] RPC 580 at 586 approved in *SCM Corporations Appln.* [1979] RPC 341 (CA). See also *Du Pont-de Nemours' Appln.* [1972] RPC 545 and *Hsuiong's Patent* [1992] RPC 497.

In a pregrant amendment it is not material whether that amended claim had the effect of widening or narrowing the monopoly claimed. What is important is that the amended claim should not relate to a different invention from that which was disclosed in the specification. See *Edwards* v *Acme Signs* [1990] RPC 621 at 640.

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CHAPTER

5

Opposition Proceedings to Grant of Patents*

1 Procedure

The acceptance of the complete specification will be advertised in the Official Gazette. Any person interested may, within one year from the date of publication of grant of patent, give notice of opposition in the prescribed form. The notice of opposition will be dealt with in accordance with the procedure laid down by the Patents Act and the Rules framed for the purpose. The applicant for patent will be given an opportunity to reply to the grounds of opposition and both parties will be enabled to support their respective cases by evidence. The matter will then be heard and decided by the Opposition Board. The aggrieved party may go on appeal against the Opposition Board's decision to the High Court having jurisdiction.

2 Discretion of the Controller

In deciding an opposition the Controller will take into consideration the public interest even if the opposition fails. He has, therefore, a discretion to require at any stage, when the case comes before him, any amendment of the specification to prevent ambiguity and make the description of the invention fair and definite and the claims clear and succinct. He will not allow a

* Sections 25–28.

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claim which is wider in scope than that to which the patentee is, on the evidence, entitled. He is not restricted to information given to him by an opponent. He is entitled to avail himself for the public benefit of the information of the Patent Office. Thus he may, in the public interest consider any alleged prior publication which may be brought to his notice after the hearing and before the issue of the decision. He has power to insert any specific reference other than that specifically claimed by the opponent, if thought proper in the public interest so to do. The Controller has also got power to consider an objection not raised by the opponent. He has an implied power to allow amendment of the specification in opposition proceedings.

3 Disclaimer and references

In order to define clearly the scope of the invention claimed a disclaimer of what is described in an earlier specification is sometimes inserted in the applicants' specification. Reference to earlier patents are inserted in the specification to overcome the objection based on prior publication or prior claim. A reference may be either general or specific. A general reference is inserted for the purpose of preventing the later patentee from alleging that his invention is wider than that which he is entitled to claim, both in his own interest in order that his specification may not be invalidated by excessive width of claim and in the interests of the public on the ground that the public are entitled to know what the patentee is entitled to claim and to have a fair description of the existing state of knowledge.

A specific reference is inserted in order to warn the public and to call attention to the relationship existing between the invention described and claimed in the specification in which such reference appears and the invention described and claimed in the patent the subject of such specific reference. The principle which should govern the insertion of specific reference has been stated as follows: "Is the governing idea, or basic principle of an invention sought to be protected claimed or protected by a specific earlier patent?" The object of a specific reference is to protect the public in cases where, but for the insertion, they would be likely to be misled. The form of specific reference is prescribed by the rules.

4 Grounds of opposition—section 25

An application for a patent may be opposed by any person interested on one or more of the following grounds and no other:

(1) Obtaining wrongfully.

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(2) Prior publication in any Indian specification or prior publication in any other document in India or elsewhere.
(3) Prior claim in a concurrent application.
(4) Prior public use or public knowledge in India.
(5) Obviousness and lack of inventive step.
(6) Invention not patentable under the Act.
(7) Insufficient description of the invention.
(8) Failure to disclose information relating to foreign applications, and
(9) In the case of a convention application, not made within the prescribed time.
(10) Lack of discloser or wrongly mentions the source or geographical origin of biological material.
(11) Anticipated having regard to the knowledge, oral or otherwise, available within any local or indigenous community.

Person interested

A "person interested" includes a person engaged in, or in promoting, research in the same field as that to which the invention relates. An opponent can establish his *locus standi* to oppose on the basis of: (*a*) possession of patents relating to the same matter, (*b*) a manufacturing interest in a *bona fide* manufacture of an article or carrying on of a process which *prima facie* appears to come within the claims of the specification, and (*c*) a trading interest (*i.e.* a real, definite and substantial interest). The interest must be a commercial interest and a genuine interest. The right to oppose is extended to all those who can show *bona fide* and satisfactory reasons for wishing to oppose. A manufacturer of raw materials required for the working of the invention and a holding company having a controlling interest in such a manufacture have been held to be persons interested.

The right to oppose is not assignable, although the right to apply for a patent is assignable. The right to oppose is given only to persons who possess the necessary interest in the period prescribed for filing notice of opposition and not to those who acquires such interest subsequently, even if it is acquired from a person who had it and used it at the time for lodging an opposition.

Wrongful obtainging

The invention sought to be patented must have been obtained wrongfully from the opponent. It is sufficient if the person from

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whom the applicant himself claims the invention had obtained it from the opponent or from the person from whom he claims. Thus the applicant might be ignorant of the obtaining. The obtaining must be wrongful. Even if a part of the invention has been obtained it is sufficient ground for opposition. To succeed on this ground, a clear case of obtaining must be established. When the matter is in doubt, the application may be allowed to proceed leaving the question to be decided by the court in a revocation proceeding.

Where the invention has been obtained from the opponent, the novelty of such invention must be considered in the light of prior specifications and patents. The remedy may take the form of giving a share of the patent to the opponent, or of deleting the part obtained from him, or making a complete disclaimer of such portion. Where there is a prior public use the opponent can have no personal remedy. Where the Controller refuses the application on the ground of obtaining, he may on request made by the opponent in the prescribed manner, direct the application to proceed in the name of the opponent, with the benefit of priority date attached to the application. If, however, a part of an invention described in the complete specification has been obtained from the opponent, the Controller may allow the specification to be amended by the exclusion of that part. The opponent may file an application accompanied by a complete specification for the invention so excluded from the applicants' specification. In such an application, the opponent will get the same priority date as the earlier application.

Prior publication

Prior publication of any of the claims in any Indian specification or in any document in India or elsewhere is a ground of opposition. The prior publication must have been effected before the priority date claimed in the application. 'Publication' means 'making publicly known' and 'publish' means 'make generally known'. The publication must be such that the persons to whom the information is communicated must be free to use it as they please which includes freedom to communicate the information to others. Where the document relied upon for prior publication was sent from one person to another confidentially such transmission will not make the document available to the public. When the matter in question has been distributed with the object of spreading the knowledge among interested parties, it would constitute publication. A document according to its ordinary meaning must contain some

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writing or letter press. It need not be written or printed with ink; a document could be something which contained only a diagram and lettering or only a diagram. An article without any writing cannot be considered a document.

A prior document relied upon must contain a clear and specific disclosure of something which can fairly be stated to be the invention of the patentee. If it is shown that the carrying out of the directions contained in the prior specification would in the vast majority of cases result in the claimed product, then prior publication is established. An invention will stand anticipated if the carrying out of the claim of an earlier document would result in infringement of the claim alleged to be anticipated. A mosaic of separate steps each known in manufacture, will not suffice to constitute anticipation.

Prior claim

If any claim made in the applicants' specification is claimed in a specification published after the applicants' priority date and whose priority date is earlier than that of the applicants' claim, then it can be taken as a ground for opposition.

Prior claiming may arise in three types of cases. First, where the earlier claim lies wholly within the area of the latter claim; secondly, where the areas of the earlier and later claims overlap; and thirdly, where the earlier claim is broader than and includes within the area covered by the later claim. The first two cases can be dealt with by amendment of the common or overlapping area. The third case is liable to give rise to difficulties in practice.

In order to establish prior claim it must be shown that the subject-matter of a claim in the applicants' specification forms the subject-matter of a distinct claim in the cited specification. Comparison must be made between and limited to the claims in the relevant specifications and not to something described in the specifications.

It has been held that where an earlier claim is wider in its scope than a later claim and there is no separate claim in the earlier specification restricted to the subject-matter of the later claim, the claimant of the earlier claim cannot assert that he had a prior claim to the subject-matter of the later claim, vide *Daikin Kogyo Co. Ltd.'s Appln.* [1974] RPC 559 at 580 (CA).

Prior public knowledge or public use

If the invention claimed by the applicant in any claim was publicly known or publicly used in India before the priority date of that

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claim, it is a ground for opposing the application. If the invention claimed includes a process it will be deemed to have been publicly known or used in India before the priority date if a product made according to the process had already been imported into India before that date. This ground protects the interests of prior user of the invention claimed. A patent is not to be granted to an inventor if the result would be to stop a prior user of the invention from continuing to use it. There are certain exceptions to this (see ss. 29-33 of the Patents Act). Where the prior user claimed is doubtful the application may be allowed to proceed to grant.

Any commercial sale of a product by any trader before the priority date of a claim to that product as an invention is 'use' of that invention notwithstanding the sellers' ignorance of its identity or his lack of knowledge of its composition or his uncertainty, as to how and where further supplies of it would be obtained.

The prior use must be public use and not secret use. Mere publication is not sufficient to establish public knowledge. A thing may be publicly known without being published in a document, as for example, when it has been publicly used. A thing may be made publicly known either orally or through document. In either case, the publication must be such that the persons to whom the information is communicated must be free to use it as they please which includes freedom to communicate the information to others. A thing may be publicly known without being published in a document, for it may form part of the common knowledge among the public concerned although not found in any book. It is enough if the thing is known among workmen skilled in the particular art.

Where the prior user alleged was not intentional but was purely fortuitous then prior user is not established.

The secret use of an article denotes use which does not give knowledge or the means of knowledge to the public of the fact that the article is being used. Deliberate intention to keep a use secret is not necessary. Secret use is use which is unknown to the public and not discoverable by the public.

Obviousness and lack of inventive step

The presence of an inventive step is the *sine qua non* for any patentable invention. In fact the concept of inventive step is inherent in the concept of invention itself. Hence if any claim for an invention is obvious and clearly does not involve any inventive

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step, then it is a ground for opposing the grant. The question must be decided in the context of any prior publication or public user excluding any secret use. Publications will include books and foreign specification. Besides, the Controller is entitled to make use of his own knowledge and experience of the relevant scientific and technical background to the subject-matter of the alleged invention. The Controller in an opposition proceeding will refuse an application on this ground only in clear cases. Where the matter is in doubt, he may allow the grant leaving the question to be finally decided, when an occasion arises, by the High Court.

In order to succeed on this ground the claim must have been obvious to a man skilled in the particular art on the priority date of the claim. Where prior publications are relied on, one has to consider what the disclosure in the publication would have suggested to an instructed reader. Lack of evidence of commercial success is not conclusive on the question of inventive step. But the presence of an inventive subject-matter can in a proper case be inferred if there has been a long-felt want for the solution of a particular problem, a number of unsuccessful attempts in the past to solve that problem, the solution of the problem by the invention in question, and immediate commercial success upon such solution.

Claim not a patentable invention

This ground includes those cases where the Act has specifically laid down that certain inventions are not patentable. These are discussed in Chapter 1.

Invention not sufficiently and clearly described

The *quid pro quo* for the grant of patent monopoly is the disclosure of the invention. This the applicant for a patent does in the complete specification in which he is expected to describe sufficiently and clearly the invention and the method by which it is to be performed. Accordingly if the applicant fails to perform this duty it can be made a ground of opposition to the grant of patent.

The sole question under an objection of insufficiency is whether or not the description which has been given is going to be sufficient to enable a person who is reasonably skilled in the particular field to make an embodiment of the invention which will have the features which make it fall within the objects of the invention. The fact that the scope of the monopoly claimed is unclear or that there are inconsistencies between the description

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and claims, or that the specification provides no explanation of the operation of the part concerned, or provides a wrong explanation of the parts concerned, are not relevant in considering the question of insufficiency.

The date at which insufficiency should be considered is the date of publication of the specification.

When the claims are inconsistent with the description of the invention the application will not be allowed to proceed. Where the claims are broad and indeterminate and of a speculative character the application can be refused on the ground of insufficiency.

Since the disclosure of the invention to the public through the medium of the specification filed at the Patent Office is the basis of the patent grant, the Controller in deciding whether the description is sufficient and clear has to consider the rights of the public quite apart from those of the opponent. Patent specifications particularly the claims part are notoriously complicated and confusing. This is because of the highly technical nature of the subject-matter. Accordingly where the specification is presented in a confused and complicated form, although it relates to a process capable of perfectly simple and clear explanation, the patent will not be refused provided there is an invention that is sufficiently and fairly described and capable of being disentangled and ascertained. Ultimately the question to be decided is whether in fact a skilled addressee can, from the wording of the specification, carry out the invention there described. In the case of inventions relating to drugs and chemicals the specification should identify the starting materials but need not make it available to the public.

Failure to disclose information regarding foreign applications

The applicant for a patent is required to disclose the particulars regarding any application in respect of substantially the same invention, which he might be prosecuting in some foreign country. Failure to furnish such information is made a ground for opposing the application.

Convention application time barred

A convention application is required to be filed within twelve months from the date of the first application for protection for the invention made in a convention country by the applicant or a person from whom he derives title. Failure to comply with this requirement is a ground for refusing the application. The

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advantage of making a convention application is that the applicant gets the same priority as in the convention country.

The Central Government may declare any country as a convention country which grants certain privileges to citizens of India in the matter of patent applications, the effect of which is to grant corresponding reciprocal privileges in India. A person who has made applications in a convention country and in India need not necessarily take advantage of this privilege. He can proceed with an Indian application as a non-convention application.

Where a patent application in a convention country has been postdated, the period of twelve months will run from the date on which the foreign application is deemed to have been filed, for since there is a discretion for post-dating, that later date will take the place of the original date.

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CHAPTER

6

Register of Patents and Patent Office

1 Register of patents—sections 67–72

At the Patent Office is kept a register of patents in which the following particulars are entered:

(*a*) the name, address, etc., of the grantee, the title of the invention, the date of the patent, the date of grant thereof and the official number of the patent,

(*b*) notification of assignments, transmissions, licences, amendments, extensions and revocations of patents, and

(*c*) particulars of such other matters affecting the validity or proprietorship of patents. No notice of any trust, whether express, implied or constructive, will be entered in the register.

The register of patents is open to public inspection.

It shall be lawful for the Controller to keep register in computer floopies, diskettes or any other electronic form.

The register is *prima facie* evidence of any matter entered therein. A certificate signed by the Controller as to any entry made in the register is *prima facie* evidence of that entry in the register. A copy of any entry in the register certified by the Controller and sealed with the seal of the Patent Office will be

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admitted in evidence in all courts and in all proceedings without further proof or production of the original. Any person may obtain a certified copy sealed with the seal of the Patent Office of any entry in the register.

The Controller has power to correct any clerical error in any matter entered in the register on a request made by any person interested or without such a request. If the proposed correction would materially alter the meaning or scope of the document sought to be corrected the request and the nature of the proposed correction will be advertised in the Official Gazette. Copies of the request should be sent to interested persons as directed by the Controller. Any interested person may within the prescribed time give notice of opposition to the proposed correction. After following the procedure laid down for opposition proceedings the matter will be decided after a hearing.

Rectification of register

Where any person is aggrieved by:

(*a*) the absence or omission from the register of any entry; or

(*b*) any entry made in the register without sufficient cause; or

(*c*) any entry wrongly remaining on the register; or

(*d*) any error or defect in any entry in the register,

he may make an application to the Appellate Board for rectification of the register. Any order of the Appellate Board rectifying the register will be notified to the Controller who will then rectify the register accordingly.

Where the Appellate Board in any proceeding for revocation has allowed the patentee to amend the specification the Controller will on receipt of the order make necessary entries in the register.

Grant of patent to true and first inventor

Where a patent has been revoked wholly or in part on the ground that it was wrongfully obtained in contravention of the rights of the petitioner, the Appellate Board or court may permit the grant of the patent to the petitioner in respect of the whole or such part of the invention so obtained. In such a case the Controller on request made will grant to him a new patent bearing the same date as the patent revoked in accordance with the order of the court.

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Registration of assignments, etc.

The persons entitled to registration as having an interest in the patent include an assignee, a transmittee, a mortgagee, licensee and one who acquires any other interest in the patent. An application for registration of title or interest may be made either by the person becoming entitled to it or by the person who creates that title or interest. It should be made in the prescribed form and accompanied by the original of the document and two certified copies. On proof of title the Controller will make the necessary entries in the register. An assignment before the grant of the patent will not pass the legal interest in the patent. A deed of assignment executed before the sealing of the patent can only be considered as an equitable assignment. It is only a legal assignment of the patent, when sealed, would entitle a person to be registered as proprietor. An equitable assignee can ask for an entry on the register of his interest in the patent as equitable assignee. A mortgagee can be entered as a mortgagee.

Renewal of patent

If it is desired to keep a patent in force, the prescribed renewal fee should be paid from time to time during the term of the patent. Renewal fee should be paid at the expiration of every succeeding year. It may be paid also in advance. If the renewal fee is not paid within the prescribed time, the patent will cease to have effect on the expiry of such time.

Restoration of lapsed patent

Where a patent has lapsed for non-payment of renewal fee, it may be restored on certain conditions. Where the Controller is satisfied *prima facie*, that the failure to pay the renewal fee was unintentional and that there has been no undue delay in making the application for restoration, he will advertise the application in the Official Gazette. Any person interested may, within the prescribed time, oppose the application. The matter will be decided after following the procedure for opposition and hearing the parties. As a condition of restoration the Controller may require that an entry should be made in the register relating to any assignment or licence or other interest created on the patent by the patentee. The order of restoration may contain provisions for the protection of persons who have begun to avail themselves of the patented invention between the date when the patent ceased to have effect and the date of advertisement of the application for restoration.

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Where a patent is restored, the rights of the patentee will be subject to the conditions imposed by the Controller for the protection or compensation of persons who may have begun to avail themselves of the patented invention during the period when the patent ceased to have any effect. There will be no infringement of the patent during this period.

The renewal fee increases from year to year of the term of the patent. Unless therefore the patent could be profitably put to industrial use the patentee may not consider it worthwhile to keep the patent alive and may allow it to lapse.

2 Patent Office—sections 73-76

The Patent Office is the office established for the purpose of administering the various provisions relating to the grant of patents and maintenance of the register of patents. Its Head Office is at Calcutta. There are branch offices at Bombay, Delhi and Madras. The Controller General of Patents, Designs and Trade Marks is the Controller of Patents. To assist the Controller in the discharge of his functions there are examiners of Patents and other Officers. These Officers will discharge the functions authorised by the Controller and under his superintendence and direction.

3 Powers of the Controller—sections 77-81

The Controller of Patents is conferred with various statutory powers for the discharge of his functions. In respect of certain matters he has the powers of a Civil Court. Besides, vast discretionary powers have been conferred upon him by various sections of the Act. Before exercising any discretionary powers adversely to any applicant for a patent or a party to any proceeding or for amendment of a specification the Controller should give the parties concerned an opportunity to be heard. Some of the orders passed by him are appealable to the High Court. His powers are similar to that of a tribunal in any proceeding under the Act.

The procedure for dealing with applications for patents, oppositions, etc., are laid down in the Patent Rules which are exhaustive. The Code of Civil Procedure is not applicable to proceedings before the Controller, but the principles underlying the Code, in so far as they are principles of natural justice, are observed by him.

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Ordinarily in any proceeding before the Controller evidence should be given by affidavit. But the Controller can take oral evidence in lieu of, or in addition to, evidence by affidavit. He may also allow any party to be cross-examined on the contents of his affidavit.

The Controller has the following powers:

(1) To review his own decision following the rules prescribed.

(2) To correct any clerical errors in any patent, specification, document, or matter in the register, either *suo moto* or on request made by the person interested following the procedure laid down in the rules.

(3) To revoke a patent:
   (*a*) for an invention relating to atomic energy, on directions from Central Government,
   (*b*) on surrender of patent, and
   (*c*) on non-working.

(4) To require a patentee or licensee to furnish periodical statements as to commercial working of the patent.

(5) To give secrecy directions to an applicant for patent relating to invention which is relevant for defence purposes.

(6) To permit amendment of any document for which no provision is made in the Act.

(7) To correct any irregularity in procedure.

(8) To strike out or stay any proceeding before him.

4 Powers of Central Government—sections 99–103

The Central Government has various powers including the following under the Act:

(1) Notification of invention relevant for defence purposes and their periodical review.

(2) Petitioning for revocation of a patent under any ground specified in the Act.

(3) Giving directions to the Controller in respect of inventions relating to atomic energy.

(4) Declaring a patent as deemed to be revoked in public interest.

(5) Applying to the Controller for endorsement of a patent with the words "Licences of right."

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(6) Applying to the Controller for revocation of a patent on the ground of non-working in India.
(7) Notifying any patent for granting compulsory licence.
(8) To use an invention/patent for the purpose of Government without payment of royalty in specified circumstances.
(9) To use an invention for the purpose of Government on payment of royalty.
(10) Acquisition of a patent by notification for a public purpose.
(11) Making reference to High Court in respect of disputes as to the use of an invention for the purposes of Government and in respect of amount of payment of compensation for patent acquired.
(12) Removal and restoration of names of persons registered as patent agents.
(13) Declaration of any country as a convention country.
(14) To sell or use any article forfeited under any law.

5 Appeals—sections 116-117

No appeal lies against any order or decision or direction of the Central Government or from any order of the Controller giving effect to such order, decision or direction.

No appeal lies from an order of the Controller granting extension of time under any provisions of the Act or the Rules.

Except for the above an appeal from any decision, order or direction of the Controller under the various provisions of the Act lies to the High Court.

It has been held that a court will not interfere with an order passed by the Controller on an interlocutory application by exercising its writ jurisdiction unless a strong case is made out, as for example where the order was perverse or there was want of jurisdiction, the order was illegal, or there has been a breach of any fundamental principle of justice. The party will be relegated to adhere to the alternative remedy provided for. See *Guest, Keen Williams* v *Controller of Patents* AIR 1985 Cal 314 at pp. 336-337.

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CHAPTER

7

Rights and Obligations of a Patentee*

1 Nature of patent rights

A patent is a statutory grant conferring certain monopoly rights on the grantee for a defined period, subject to certain conditions. In some respect it may be considered as a species of property. A patent grant gives the patentee the exclusive right to make or use the patented article or use the patented process. As a consequence flowing from this he can prevent all others from making, using, offering for sale, selling or importing the patented article or using the patented process. A patentee has also the power to assign the patent, grant licences under, or otherwise deal with it for any consideration. These rights created by statute are circumscribed by various conditions and limitations.

It may be noted that a patent does not give the patentee any right to use the invention; they do not confer upon him a right to manufacture according to his invention. That is a right which he would have equally effectively if there were no patent grant at all; only in that case all the world would equally have the right. What the patent confers is the right to exclude others from manufacturing in a particular way and using a particular invention. The right of a patentee to the exclusive use of a patented invention during the period of its protection is a right to property.

* Sections 47–53 and 83.

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There is no exclusive right similar to that of a patent in a secret formula or process not patented. A person can be prevented from using a secret process only on the basis of breach of contract, breach of confidence or fraud. Thus an employer cannot prevent the employee using, after termination of the employment, knowledge honestly acquired during the course of his former employment. If there was a contract as to secrecy, or if the servant acquired the knowledge dishonestly or surreptitiously, the employer could restrain the employee from making an improper use of such information.

Right to exploit patent

A patentee has the exclusive right to make use, exercise, sell or distribute the patented article or substance in India, or to use or exercise the method or process if the patent is for a process. This right can be exercised either by the patentee himself or by his agents or licensees. The patentee's rights are exercisable only during the term of the patent.

The term of every patent granted, after the commencement of the Patents (Amendment) Act 2002, and the term of every patent which has not expired and has not ceased to have effect, on the date of such commencement, shall be twenty years from the date of filing of the application for patent. The patent will be in force only so long as the renewal fees prescribed are paid from time to time within the prescribed period.

Rights to assign and licence

A patentee has power to assign, grant licences under, or otherwise deal with the patent for any consideration. If he is a co-owner of the patent, he can assign his share of the patent or grant licences to others to use the patent only with the consent of the co-proprietors or under the directions of the Controller. The power to transfer the patent rights is also subject to any rights vested in any other person of which notice is entered on the register.

Right to surrender

A patentee has the right to surrender his patent. But before accepting the offer of surrender notice of surrender is given to persons whose name is entered in the register as having an interest in the patent and their objections, if any, considered. The application for surrender is also published in Official Gazette to enable interested persons to oppose.

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This is necessary to protect the interest of persons like licensees, equitable assignees and others with whom the patentee might have contractual obligations which are dependant on the continuance of the patent.

Rights before sealing

During the period from the date of advertisement of the acceptance of the complete specification and the date of sealing of the patent, the applicant for patent can exercise all the privileges and rights of a patentee except the filing of a suit for infringement. This provision is now deleted by the Patents (Amendment) Act 2005.

2 Limitations of the patentees' rights—use for experiment, research, etc.

Any person may, for the purpose merely of experiment or research, or for the purpose of imparting instructions to pupils, make or use a patented article or use a patented process without the consent of the patentee and without payment of any royalty.

Government use of patent

A patent has the same effect as against the Government as it has against any other person. But the Government may use the patented invention, and even acquire it, under certain circumstances and terms, or prohibit a person from using an invention. The Government may import the patented article or make the article for its own use, or use the patented process for its own use. In the case of a patent relating to medicine or drug the Government may import the medicine or drug for its own use or for distribution to hospitals or medical institutions. The aforesaid use can be made without the consent of the patentee or payment of any royalties. Apart from this, the Government has also power to make use of the patented invention and sell the articles made in accordance with the patented invention on payment of royalties. The Government may also acquire a patent on payment of suitable compensation.

Compulsory licences

If the patent is not worked so as to satisfy the reasonable requirements of the public at a reasonable price the Controller may grant compulsory licences to any applicant to work the patent. Further the Central Government may also declare that compulsory licences should be granted in respect of any patent or class of patents. The terms of the licence will be determined

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by the Controller. Certain patents may be endorsed with the words "Licences of right". This is done at the instance of the Central Government where the reasonable requirements of the public in respect of the patented invention have not been satisfied or that the patented invention is not available to the public at a reasonable price. In respect of patents relating to food, medicine or drug they are deemed to be endorsed with the words "Licences of right" after the expiration of three years from the date of sealing. Where the patents are so endorsed any person interested in working the patented invention may require the patentee to grant him a licence on terms mutually agreed upon or settled by the Controller. Compulsory licences may also be obtained in respect of related patents where one patent cannot be worked without using the related patent.

Revocation for non-working

A patent may be revoked for non-working or where the working has not resulted in the satisfaction of the reasonable requirements of the public in respect of the patented invention at a reasonably affordable price.

Inventions for defence purposes

Inventions relevant for defence purposes may be subject to certain secrecy provisions. Publication or communication of information relating to such inventions may be restricted or prohibited by directions of the Controller. Secrecy provisions affect the invention at the application stage. So long as the directions prohibiting or restricting the publication of communication of the invention remain in force the application will not be refused but the complete specification, if accepted, will not be advertised and no patent will be granted for the invention. During the continuance of the directions the applicant will be debarred from using the invention, but the Central Government may use it and pay royalties to the applicant. If the applicant suffers hardship he may be made suitable payment as solatium.

Use in foreign vessels, etc.

A patent is not deemed to be infringed by the use of the invention in a foreign vessel or aircraft, or a vehicle owned by a foreigner which comes into India or its territorial waters temporarily or accidentally if it satisfies certain conditions. The conditions are that the invention is used in the body of the vessel or its machinery, apparatus or its accessories. It must be used on board the vessel for its actual needs. In the case of an aircraft or land vehicle the

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invention must be used in the construction or working of the aircraft or vehicle as the case may be.

Limitations on restored patents

When a patent which has once lapsed has been restored, certain limitations are imposed on the rights of the patentee. If any infringement was committed during the period between the date of lapse and the date of advertisement of the application for restoration the patentee is debarred from taking any action in respect of the infringement. The Controller may also impose conditions for the protection or compensation of persons who may have begun to make use of the invention or avail themselves of the invention during the period when the patent was not effective due to lapse.

Validity of patent

The validity of the patent is not guaranteed by the grant. A patent may be revoked on various grounds, *see* chapter on "Revocation". Where some only of the claims have been held invalid the patentee may delete the claims by suitable amendment of the claims. The register of patents may be rectified by order of the High Court on application by any person aggrieved. The rectification may be by way of making a new entry or varying or deleting an existing entry. This may result in the abridgment of the rights of the patentee.

Rights how enforced

The rights of the patentee can be enforced by a suit for infringement of the patent, or an action for recovery of royalties, or an action for specific performance of contract depending upon the nature of the rights under the patent sought to be enforced, *see* Chapter on "Infringement". The reliefs available to a patentee for infringement of patent are an injunction and either damages or an account of profits. There are some statutory restrictions on the grant of reliefs.

3 Obligations of patentee

The possession of a patent confers on the patentee not only certain valuable monopoly rights and privileges, but also certain obligations and duties. Patents are granted not only to encourage inventions but also to secure that the inventions are worked in India on a commercial scale and to the fullest extent that is practicable without undue delay. It is also essential that the monopoly created by the patent should not unfairly prejudice

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the interests of the public. If the patent is not used or the monopoly abused, compulsory licence may be granted to any person who is willing to work the patent or the patent may even be revoked. It is an implied responsibility of the patentee to work the patent in India in such a manner that the reasonable requirements of the public with respect to the patented invention are satisfied and the products of the invention is made available to the public at a reasonable price. Failure to discharge this obligation may amount to abuse of the monopoly granted. Further, the patentee may be restrained from making unjustifiable threats of an action for infringement of the patent.

Every patentee and licensee should furnish to the Controller periodical statements as to the extent to which the patented invention has been worked on a commercial basis in India. Failure to supply such information is a punishable offence.

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CHAPTER

8

Transfer of Patent Rights*

1 General

A patent is recognised as a species of property and can be transferred from the original patentee to any other person by assignment or by operation of law. Property in a patent is purely a creation of the statute. There is no such thing as a common law property in a patent as in the case of a trade mark. The rules of transfer of a patent are therefore determined by statute. A patentee can also give licences to others to exploit the patent.

Where a patent is granted to two or more persons each of these persons, in the absence of an agreement to the contrary, is entitled to an equal share in the patent. But a co-owner cannot assign or license his share in the patent except with the consent of the other co-owners.

2 Scope of power to transfer patent rights

The registered grantee or proprietor of a patent has power to assign, grant licences under or otherwise deal with, the patent for any consideration. In the case of co-owners of patents this power is limited by the provisions of s. 50. The power to assign etc. is also subject to any rights vested in any other person of

* Sections 68–70.

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which notice is entered in the register. This power is sufficiently wide to include a transfer of the patent rights in whole or in part, or a licensing of it either exclusively to one person or to several persons. In fact a patentee can part with any one or more of his interests in the patent to others.

Any equities in respect of the patent may be enforced in like manner as in respect of any other movable property.

In any contract relating to the sale or lease of a patented article, or in a licence to work the patent, it is not lawful to insert certain restrictive conditions regarding the purchase or use of non-patented articles. Such conditions will be void. Any contract for the sale or lease of a patented article or for licence to use the patent may be terminated, at any time, after the patent has ceased to be in force, by the purchaser, lessee or licensee of the patent by giving three months notice to the other side.

The creation of any interest in a patent, including an assignment, mortgage, or licence is not valid unless it satisfies the following requirements:

(1) the assignment, mortgage or licence or creation of any other interest is reduced to writing in a document embodying all the terms and conditions governing the rights and obligations between the parties;

(2) an application for registration of such document is filed in the prescribed manner within the time prescribed under s. 68.

The document when registered will have effect from the date of execution.

A document in respect of which no entry has been made in the register will not be admitted by the Controller or by the court (except in a rectification proceeding) as evidence of title of any person to a patent unless the Controller or the court directs otherwise.

3 Assignments

A patentee may assign the whole or any part of the patent rights for the whole of India or for a part thereof. Assignee includes the legal representative (that is a person who in law represents the estate of a deceased person) of a deceased assignee. Where the assignee consists of two or more persons, they become co-owners of the patent. There are three kinds of

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assignments: (1) legal assignment, (2) equitable assignments, and (3) mortgages.

Legal assignment

An assignment of (or an agreement to assign) an existing patent by deed is a legal assignment. A legal assignee is entitled to have his name entered on the register of patents as the proprietor of the patent and can thereafter exercise all the rights of the proprietor of a patent.

Equitable assignment

Any document (including a letter) in which the patentee agrees with another person to give him a certain defined share of the patent with immediate effect, is an equitable assignment of the patent. As an equitable assignment, it is a document which affects the proprietorship of the patent. It does not alter the proprietorship but it affects it, because it gives a man a right in equity to have it altered in law. An equitable assignee cannot have his name entered in the register as proprietor of the patent. But he may have notice of his interest in the patent entered in the register. An agreement to assign an invention by an applicant for a patent during the pendency of the application or an assignment of the right to apply for a patent does not amount to assignment of the patent which he might obtain. It is only an equitable assignment. An equitable assignee cannot get his name entered in the register until he obtains a legal assignment. He can, however, sue the assignor to compel him to execute a legal assignment. The right to apply for a patent for an invention may be assigned.

Mortgages

A mortgage is a document transferring the patent rights, wholly or partly, to the mortgagee with a view to secure the payment of a sum of money. On repayment of the money the mortgagor becomes entitled to have the patent retransferred to him. A mortgagee is not entitled to have his name entered in the register as the proprietor; but he may have notice of his interest in the patent as mortgagee entered on the register.

Transmission of patent

Transfer of patent by operation of law occurs when the patentee dies or becomes bankrupt or, in the case of a Company, is dissolved.

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On the death of the patentee, his interest in the patent passes to his legal representative in the same manner as any other form of property. In the case of bankruptcy or dissolution of a Company, devolution of property in the patent takes place in the same manner as in any other property.

The Central Government has power to acquire a patent from the patentee or an invention which is the subject of an application for a patent from the applicant for a public purpose.

4 Licences

A patentee may, by a licence, permit others to make, use, or exercise, the invention which would otherwise be illegal for them to do. A licence is not valid unless it is in writing. Where there is an agreement to pay royalties at a rate mentioned for all articles made under a patent, such agreement may in effect constitute a licence. Where there is an agreement to take a licence from the patentee, the patentee may obtain an order for specific performance of the agreement. A licence to use the patent may be granted after filing the provisional specification. Such a licence is enforceable after the patent is granted.

Different kinds of licences

A licence may be express, implied or statutory. It may be exclusive, non-exclusive or limited. An exclusive licence excludes all other persons including the patentee from the right to use the invention. In a limited licence the limitation may arise as to persons, time, place, manufacture, use or sale.

A sole licence should be distinguished from an exclusive licence. An exclusive licence prevents the owner of the patent from using the patented invention whereas a sole licence prevents only persons other than the patentee from using the patented invention. It is always desirable that a licence should specify whether or not the licensor is excluded from exercising the licensed rights.

An express licence is one in which the permission to use the patent is given in express terms. It is not valid unless it is in writing in a document embodying the terms and conditions, and the document is registered in the patent office. In an implied licence, the permission is not given in express terms but is implied from the circumstances. Implied licence usually arise in connection with the purchase of patented articles sold with or

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without restrictions. Thus where a person buys a patented article either directly or indirectly from the patentee or his licensees, there is an implied licence to use the article in any way and to resell it. The patentee may sell the patented article subject to restrictions on the use or the subsequent dealings of the article. The right of the purchaser to use or otherwise deal with the article will depend upon the nature of restrictions imposed by the patentee and whether the purchaser has or has not notice of such restrictions; and if so, whether he received the notice at the time of purchase or thereafter. A parol licence to use the patent is also an implied licence. Besides the above there are compulsory licences and licences under patents endorsed with the words "Licences of right", *see* Chapter 9.

Registration of assignment, licence, etc.

An assignment of a patent, mortgage, licence or the creation of any other interest in a patent will not be valid unless it is in writing and registered with the Controller of Patents. However, in proceeding before the Controller or the High Court, the Controller or the High Court has a discretion to accept unregistered documents as evidence of the title of any person to a patent or interest therein. The position of unregistered assignments, licences, etc., is not clear. Difficult questions will arise whether an unregistered interest in a patent would be effective against a subsequent registered proprietor or a registered licensee who took without notice of it.

If an assignee or licensee fails to register his name or notice of interest it may be fatal to the successful proof of his title in a suit or proceeding, as registration of the document is compulsory and transactions based on unregistered documents are not valid. Failure to register the document may disentitle the assignee or licensee (exclusive) to sue for infringement, for the right to sue for infringement belongs only to a registered proprietor of a patent or a registered exclusive licensee. Where a patentee assigns his patent to *A* on certain terms as to royalty and *A* assigns his rights to *B* who had notice of the terms of the first assignment, then *B* takes the patent subject to the terms of the first assignment.

It has been held that the validity of the ownership as assignee is not dependant upon registration of the title in the patent

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office; see *International Control Automation* v *Controller of Patents* (1994) IPLR 176 (Cal).

Estoppel

A patentee in an action relating to assignment of the patent and a licensee in an action arising from the licence are, under certain circumstances, estopped from impeaching the validity of the patent in question.

Assignability of licence

A mere licence to work a patent is in itself not assignable unless there is more. Where there are licences and sub-licences, or concurrent licences, the real relationship of the parties is to be determined by the contract into which they have entered. The question whether a sub-licence would cease to operate simultaneously with the putting an end to the head 'licence' would depend upon the terms of the head 'licence and sub-licence.'

Sale of patented article subject to conditions

It is open to the patentee, by virtue of his statutory monopoly to make a sale *submodo* i.e. under conditions or restrictions which would not apply in the case of ordinary chattels. But the imposition of any conditions on the sale is not presumed. Where a sale has occurred the presumption is that the full right of ownership was meant to be vested in the purchaser. The purchaser's right in a patented article will be limited if there is brought home to him the knowledge of conditions imposed by the patentee upon him at the time of sale.

Avoidance of restrictive conditions

Patentees while leasing the patented article or granting licences to use the patent, sometimes device various forms of restraints on trade which are injurious to public interest. Some of the conditions which are imposed on the lessees and licensees include the prohibition of the purchase of non-patented articles from persons other than the patentee or his nominee. Payment of royalties even after the termination of the patent and the requirements to purchase solely from the patentee non-patented articles necessary for the use of the invention, both during the term of the patent and thereafter are some of the other restrictions imposed. The Patents Act has therefore made provisions to

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prevent such abuse of patent monopoly. Thus it is unlawful to insert certain kinds of restrictive conditions in any contract relating to the sale or lease of a patented article or a licence to use the patent.

Such conditions will be void. It is immaterial that the prohibited conditions are contained in an agreement entered into separately whether before or after the contract. In an action for infringement it will be a defence to prove that at the time of infringement there was in force a contract relating to the patent containing an unlawful condition.

Contracts in which restrictive conditions are prohibited are: (1) contract for sale or lease of a patented article or an article made by a patented process; (2) contract relating to the sale or lease of a patented article or an article made by a patented process; (3) a licence to manufacture or use a patented article; and (4) a licence to work any process protected by a patent.

In a contract between the patentee and the purchaser of the patented article, lessee or licensee it is unlawful to insert any conditions prohibiting or restricting the purchaser, lessee or licensee from acquiring any non-patented article or non-patented process from any person other than the patentee or his nominee, or requiring the purchaser, lessee or licensee to use only non-patented articles or process acquired from the patentee or nominee. Such conditions are void.

However, a patentee who has licensed a wholesaler or retailer to sell the patented article may prohibit them from selling his competitors' goods. He can also insist that spare parts required for repairing the patented article leased or licensed should be purchased from him only. This is a reasonable requirement to preserve the reputation and quality of the patented article. Besides such a condition if observed will avoid infringement of the patent under certain circumstances.

Restrictive conditions if imposed on the sale or use of the patented article will afford a defence in an action for infringement against a person even if he is not a party to the contract in which such a condition was imposed. This will not apply if the plaintiff in the suit was not a party to the contract and proves that the restrictive conditions were imposed without his knowledge or consent.

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Sale or licensing of co-owner's share

A joint patentee may work the invention for his own benefit without accounting to his co-patentee. But a co-owner cannot assign his share of the patent or grant a licence under the patent without the consent of the other co-owners. Where a joint owner wants to sell his interest or grant a licence he may make an application to the Controller who may issue appropriate directions for the sale, lease or grant of licence after hearing the other joint owners of the patent.

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CHAPTER

9

Compulsory Licences, Licences of Right & Revocation for Non-working*

1 Abuse of patent rights

Abuse of the monopoly rights granted under a patent is a common phenomenon in all countries. It may take various forms: (1) meeting the demand for the patented articles solely by importation from abroad and not by manufacturing the patented articles locally, thereby discouraging and prejudicing the establishment of new trade or industry, or the development of an existing trade or industry; (2) refusing to grant licences to work the patent locally; (3) imposing unreasonable terms on licensees thereby discouraging voluntary licensing; (4) imposing restrictive conditions on the use, sale or lease of the patented articles thereby prolonging the patent monopoly rights even after the patent has expired. To remedy this evil a system of compulsory working of the patent by the grant of compulsory licences by a statutory authority and revocation of the patent for non-working have been adopted in almost all countries, including the United Kingdom.

Statutory remedies for abuse of patent rights

The remedies adopted under the present Indian Act against abuse of patent rights consist in defining the purpose of patent grants

* Sections 84–90 and 94–96.

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and providing for a system of compulsory licensing by the Controller under specified circumstances and revocation of the patent for non-working. Patentees sometimes make their patent rights an instrument of a monopoly wider in scope or longer in duration than that afforded under the patent by the statute. Sections 140 and 141 of the Patents Act are designed to remedy this evil to some extent.

The authority for granting compulsory licence or revocation for non-working is the Controller of Patents. His orders passed in this respect are appealable to the High Court.

Object of granting patent

The policy of the Act in granting patents is to encourage inventions and to ensure that the inventions are worked in India on a commercial scale and to the fullest extent that is reasonably practicable without undue delay. Patents are not granted merely to enable patentees to enjoy a monopoly for the importation of the patented articles. An obligation is, therefore, imposed on a patentee to work the patent in India on a commercial scale and to the fullest extent. The patent may be worked by the patentee himself or through licensees. Failure to fulfil this obligation will entail in the granting of compulsory licences or the revocation of the patent itself. Sections 82 to 98 deal with the circumstances and the grounds under which compulsory licences of different kinds may be granted or the patent revoked for non-working. The object of these elaborate provisions is to prevent the "abuse of monopoly" granted by the patent. By these provisions in conjunction with the provisions relating to use of inventions for the purposes of Government, patent monopolies will be made to subserve national interests and will cease to be a handicap to industrial progress.

2 Different kinds of compulsory licences

There are three types of compulsory licences:

(1) A compulsory licence to work a patented invention may be granted by the Controller to an interested person on the ground that the reasonable requirements of the public with respect to the patented invention have not been satisfied; or, that the patented invention is not available to the public at a reasonably affordable price and the patented invention is not worked in India. An application for licence under this category can be entertained only after three years from the date of grant

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of patent. Failure to satisfy the reasonable requirements of the public may arise from various causes which are spelt out in the Act. They are, briefly stated: (*a*) inadequate manufacture in India or failure to grant licences on reasonable terms resulting in prejudice to Indian industry and commercial activities, (*b*) restrictive conditions imposed by patentee resulting in prejudice to industry or trade in goods not protected by patent, (*c*) non-working of the patent on a commercial scale in India, (*d*) demand for patented article being met by importation thereby hindering commercial working of the patent in India. The class of cases where the reasonable requirements of the public will be deemed not to have been satisfied are defined in the Act. They arise in the following circumstances, namely:

(*a*) failure of the patentee to manufacture the patented article in India to an adequate extent and supply them on reasonable terms; or as a result of the refusal of patentee to grant licences on reasonable terms resulting in prejudicing the establishment of new trade or industry in India,

(*b*) prejudice caused to industry and trade by reason of conditions imposed by the patentee upon the grant of licences,

(*c*) non-working of the patent to the fullest extent that is practicable, and

(*d*) import of the patented article thereby hindering the working of the patented invention in India on a commercial scale.

The applicant must establish that he has a *bona fide* interest and also make out a *prima facie* case. When once this onus is discharged the patentee will be called upon to show why a compulsory licence should not be granted. The terms and conditions of the licence will be determined by the Controller.

(2) Compulsory licence may be granted in respect of a patent without the use of which another patent cannot be worked.

(3) The Central Government may notify in the Official Gazette that compulsory licences should be granted in respect of certain patents or classes of patents. The Controller will grant a licence to any person interested who applies for such licence.

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3 Licences of Right

A patent may be endorsed with the words "Licences of Right" after three years from the date of sealing the patent. Where so endorsed any person who is interested in working the patented invention may require the patentee to grant him a licence. If the terms of the licence cannot be mutually agreed upon they will be settled by the Controller. Thus any person may obtain a licence as a matter of right without having to establish a case as in a compulsory licence. Patents for inventions relating to food and medicine are deemed to be endorsed with the words "Licences of Right" immediately on completion of three years from the date of sealing of the patent.

4 Revocation for non-working

It may so happen that in spite of the grant of a compulsory licence or the endorsement "Licences of right" having been made or deemed to have been made, the reasonable requirement of the public with respect to the patented invention remains unsatisfied or that the patented invention is not available to the public at a reasonably affordable price. In such a case the patent may be revoked by the Controller under the provisions of s. 89 on application made to him by either the Central Government or any person interested.

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CHAPTER

10

Government Use of Inventions*

A patent has the same effect against the Government as against any other person. This is, however, subject to the right of the Government to use the patented invention in specified circumstances. In some cases the use can be made without the payment of any royalty or compensation, while in others the use is subject to payment of royalty as may be agreed upon or as determined by the High Court. The power of the Government to use patents relating to medicine or drug is very wide. It includes the right to make, exercise and vend the invention and also to import and sell the patented article.

All patents granted under the Act are subject to the condition that the patented article can be imported or made, or the patented process used, by the Central or State Government for the purpose of its own use. In respect of drug patents the drug or medicine may be imported by the Central and State Governments for the purposes of their own use as well as for distribution to Government hospitals, dispensaries, and medical institutions and similar institutions notified by the Central Government. Such use of the patent by the Government does not require any payment of royalties to the patentee.

* Sections 99–103.

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The Government can use a patented invention for the benefit of in-and-out patients of dispensaries and hospitals maintained by Government including hospitals under the Central Health Scheme without payment of any royalty.

1 Use without payment of royalty

In the following circumstances the use of a patented invention may be made by or on behalf of the Government without payment of royalty:

(*a*) To import or make the patented article for the purpose merely of its own use. It may also use any patented process for its own use. Patented medicines or drugs can be imported by the Government for its own use or for distribution to Government dispensaries, hospitals or other medical institutions or similar institutions specified by the Government. It cannot, however, manufacture them in India. The Government cannot sell any patented article.

(*b*) Where an invention has been recorded, tested or tried on behalf of the Government or Government Undertaking before the priority date of the relevant claim of the complete specification, otherwise than as a result of a communication from the patentee, it may be used for the purpose of Government without payment of royalty. The right to use them includes the right to make, use, exercise, vend and sell the goods made in exercise of that right. The patented article can also be imported for its own use.

2 Use on payment of royalty

In all cases other than those mentioned above the use of an invention for the purposes of Government will require payment of royalty or other remuneration to the patentee. The terms upon which use of the invention may be made for the purpose of Government may be settled between the Central Government and the patentee. If the terms could not be agreed upon they will be determined by the High Court on a reference made to it. In respect of any patent relating to medicine or drug or article of food the royalty should not exceed four per cent of the net ex-factory sale price in bulk of the patented article.

Where an invention has been used under the authority of the Central Government for the purposes of Government the

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Government should notify the patentee of the fact and furnish him information as to the extent of use from time to time.

3 Acquisition of Invention by Government

The Central Government can acquire an invention for a public purpose, either before the grant or after the grant. Notice of acquisition will be given to the applicant, or to the patentee and other persons, if any, appearing on the register as the case may be. Compensation for the acquisition will be paid to the persons interested in the invention or patent, the amount of which being determined either by agreement or by a reference to the High Court. In determining the compensation the Government will take into consideration: (1) the expenditure incurred in connection with the invention, (2) the terms under which, the period during which and the manner in which the invention has been worked, (3) the profits made during such period, by the patentee or his licensees, and (4) other relevant factors.

Disputes arising in connection with the use of invention for the purpose of Government or acquisition of the patent may be referred to the High Court by either party to the dispute. If the dispute is between an employee of the Government or Government Undertaking, then such disputes will be disposed of by the Central Government after giving an opportunity to the patentee and other parties having an interest in the matter to be heard.

4 Inventions relevant to defence

The Central Government will notify to the Controller the classes of invention relevant for defence purposes. In respect of any such invention the Controller may give directions prohibiting or restricting the publication of information regarding the invention to any person or class of persons. The directions may be revoked by the Central Government considers subsequently if the publication will not be prejudicial to the defence of India. No patent will be granted in respect of an invention which is relevant for defence purposes but the application for a patent may proceed up to the acceptance stage. Where a complete specification has been accepted in respect of such an invention the use of the invention by the Government will be subject to payment of royalty as in the case of other patents. Where the applicant has suffered hardship due to the continuance of the directions the Central Government may pay the applicant a suitable sum by way of solatium.

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CHAPTER

11

Revocation and Surrender of Patents*

1 General

Although the patentee has the exclusive right of making, using or selling the invention, the validity of the patent is not guaranteed as is made clear in the form of the grant itself. This is a basic principle of patent law. The reason is not far to seek. A patent is a kind of limited monopoly granted to the true and first inventor as a reward for the creation of something new and useful which might benefit the public. Whether the patentee is the true and first inventor, whether what he has claimed as an invention is really new, or merely what is already known dressed up in a new form, whether he has disclosed the invention completely so that a person skilled in the art could use the invention after the expiry of the term without employing further inventive skill, are all questions which can seldom be finally determined at the application stage by the Patent Office. The public should therefore be given an opportunity to challenge the validity of the grant if the patent does not fulfil any of the conditions laid down under the Act for the grant of monopoly.

There are various modes of revocation of a patent, namely: (1) revocation in the public interest by the Central Government,

* Sections 63–66.

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(2) revocation of patents relating to atomic energy by the Controller, (3) revocation for non-working, (4) revocation by the High Court on petition for failure to comply with the requirements of the Central Government to use the invention and, (5) revocation by the High Court on petition by a person interested on various specified grounds. By far the most common form of revocation is the last one. The other cases seldom arise in practice.

Generally revocation arises only as a counterblast to suit for infringement.

2 Revocation by petition by an interested person

Person interested

Only a "person interested" can make an application for revocation. This expression has been interpreted to include a person who has a manufacturing or trading interest in the patented article, or who has a financial interest in concerns manufacturing such articles, or who possesses patents relating to the same subject or who is engaged in, or promoting, research in the same field as that to which the invention relates. A defendant in a suit for infringement of patent may counter-claim for revocation of the patent.

Instead of revoking the whole patent the specification may be amended. But the scope of such amendment is limited to those which are in the nature of disclaimers, correction or explanation.

The onus of establishing invalidity of a patent lies on the petitioner for revocation or the defendant in an infringement suit who pleads invalidity as a defence.

Jurisdiction

A petition for revocation by any interested person should be filed before the Appellate Board. A counter claim in a suit for infringement of the patent should be filed before a High Court of competent jurisdiction. The jurisdiction is not determined by the location of the patent office or the place of business or residence of the patentee.

3 Grounds for revocation

There are three classes of grounds for revocation of a patent. They are (*a*) grounds relating to rights of the patentee and his conduct; (*b*) grounds relating to the invention and its quality; and (*c*) grounds relating to the description of the invention.

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Grounds relating to rights of the patentee and his conduct

These are the following:

(1) Patentee is not entitled to the patent.
(2) Patent wrongfully obtained as against the person entitled.
(3) Patent obtained by false suggestion or representation.
(4) Failure to disclose information regarding foreign applications.
(5) Non-compliance with directions for secrecy.
(6) Amendment of specification obtained by fraud.

Ground (1) is applicable where the applicant for the patent was not a person entitled to apply. See Chapter 2 as to who is entitled to apply for a patent. Ground (2) arises where the patentee has wrongfully obtained the patent in contravention of the rights of the petitioner for revocation. Ground (3) applies where the patentee has made some false suggestion or representation in the specification; for instance where the process claimed depends upon some chemical substance which is found to be non-existent, or where the theory upon which the patent is founded is shown to be completely wrong. Errors in specification which are discoverable only by experiment and further enquiry may amount to false suggestion or representation. Ground (4) will apply where the patentee has failed to comply with the statutory obligation to disclose information regarding foreign application for the same invention. Ground (5) applies where the patentee has contravened the directions for secrecy issued by the Controller or made a foreign application in certain circumstances without obtaining the prior permission of the Controller. Where the patentee has fraudulently obtained an amendment of the specification Ground (6) will apply.

Grounds relating to the invention and its quality

The following grounds come under this category:

(1) Subject of a claim not an invention.
(2) Subject of a claim not a patentable invention.
(3) Invention claimed was secretly used before the priority date.
(4) Invention claimed already the subject of a prior grant.
(5) Invention claimed lacks novelty having regard to prior knowledge or prior use.

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(6) Invention is obvious or does not involve inventive step having regard to prior knowledge or prior use.

(7) Invention not useful.

(8) Invention claimed was anticipated having regard to the knowledge, oral or othereise within any local or indigenous community in India or elsewhere.

Grounds (1) and (2) will apply where the invention claimed in any claim is not an invention or a patentable invention. As to what is an invention and what is not a patentable invention, *see* Chapter 1.

4 Prior secret use

Prior secret use will invalidate a patent unless such use was made for the purpose of reasonable trial or experiment or by Government authority to whom the invention was communicated by the applicant for the patent, or by a third person to whom the invention was communicated by the applicant for the patent and where the use was made without the consent or acquiescence of the applicant. Secret use is a ground for revocation of patent but not for opposing the grant. Secret use on a commercial scale is sufficient to invalidate a patent. If use of the invention is made in the presence of persons other than the inventor, who are in no way bound by any confidential relationship not to disclose the invention or the user, and in circumstances which enable them to appreciate the essentials of the invention, the user would in general constitute publication, although it was experimental only. The question is whether the prior user was under the circumstances of an experimental nature, or was it more than what was genuinely necessary for the inventor to satisfy himself as to the practicability of his invention. If it exceeds such limit and is carried out for profit such a user will defeat the subsequent patent.

5 Prior grant

If any claim made in the complete specification has already been claimed in a valid claim of earlier priority date in another patent the subsequent claim can be revoked. This is based on the general principle that a patent for an invention is granted only to one person. Thus a patent can be revoked if it is shown that it is the subject-matter of a prior grant. It must, however, be shown that a claim in the patent sought to be revoked was the subject of an identical claim in a patent of earlier priority date and that the earlier claim is valid. Since the wording of a claim is often

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complicated and no two draftsmen will draft the same claim in identical language difficulties may arise in establishing identity of the claims. In such circumstances it must be established that the invention claimed in the two specifications are the same in substance. Addition of matters of common general knowledge is not sufficient to prove that the two claims are not identical. A claim to process producing product can be prior-claimed by claim to product produced by process.

6 Lack of novelty or anticipation

The notion behind anticipation is that it would be wrong to prevent a man from doing what he has lawfully done before the patent was granted. See *Windsurfing* v *Tabur* [1985] RPC 59 at p. 77 (CA). Clear guidelines for the determination of the question can be gathered from authorities. The exercise is essentially one of comparison between the claims made by the patentee and prior publication in order to see whether the information imparted in the prior document is equal in practice to that imparted in the patentee's claims. See *Glaverbd* v *British Coal Corp.* [1994] RPC 443 at 504-506.

The definition of an invention states that the invention must be new. Thus novelty in the alleged invention is an essential prerequisite for obtaining a patent grant. Lack of novelty is therefore a ground for revocation. Lack of novelty is also referred to as anticipation. Lack of novelty has to be determined having regard to what was publicly known or publicly used in India before the priority date of the claim or to what was published in India or elsewhere in any document.

State of the art

The set of facts against which lack of novelty and obviousness is judged is often called the state of the art. This term is not defined under Indian Act. According to the definition in s. 2(2) of the U.K. Patents Act 1977: "The state of the art in the case of an invention shall be taken to comprise all matters (whether a product, a process, information about either, or anything else) which has at any time before the priority date of that invention been made available to the public (whether in the United Kingdom or elsewhere) by written or oral description, by use or in any other way".

What was publicly known or publicly used could be proved only by evidence from persons versed with the subject-matter of the invention. What was published could be established by the

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production of documentary evidence. There are certain circumstances in which prior publication or prior use will not constitute anticipation. These relate to cases where the invention was published without the consent of the applicant, or where the invention was communicated to Government to investigate the invention or its merits or of anything done in consequence thereof, or where the invention was displayed at an industrial or other exhibition approved by the Central Government, or published in a paper read by the inventor before a learned society, or if invention was publicly worked for the purpose of reasonable trial.

The importation into India of a product made abroad by a patented process will constitute knowledge or use in India of the invention on the date of importation except where such importation was made for the purpose of reasonable trial or experiment.

The extent of knowledge among the public or the extent of use is not material in determining whether a particular invention was publicly known or publicly used. If the information, whether in a documentary form or in the form of the invention itself, has been communicated to a single member of the public without inhibiting fetter, that is enough to make the invention available to the public.

Mere publication is not sufficient to establish public knowledge. On the other hand a thing may be publicly known without being published in a document, as for example, when it has been publicly used. 'Publication' means "making publicly known" and 'publish' means "make generally known" (*Oxford Dictionary*). A thing may be made publicly known either orally or through document. In either case the publication must be such that the persons to whom the information is communicated must be free to use it as they please which includes freedom to communicate the information to others. In order to establish that a thing is publicly known it is not necessary to show that it has been published in a document for it may form part of the common knowledge among the public concerned although not found in any book.

The public concerned are workmen skilled in the particular art. It is the class of persons to whom the specification is addressed who constitute the public for the purpose.

A secret use of the invention is not to be taken into account to decide whether it is publicly known or publicly used. The test

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of publicity is whether or not the secret process was being carried out with the assistance of people who were not bound by secrecy.

If the anticipation is based on prior publication it must be shown that in some prior publication there is to be found information about the alleged invention equal for the purpose of practical utility to that given by the patent in suit. To anticipate a patent, a prior publication or activity must contain the whole of the invention impugned, i.e. all the features by which the particular claim attacked is limited. In other words, the anticipation must be such as to describe, or be, an infringement of the claim attacked. The information given in the prior document must be sufficient to enable the instructed reader at once to perceive and understand and be able practically to apply the discovery without the necessity of making further experiments.

Novelty can exist in the adaptation of a known process to the making of an article which is different from that contemplated by the inventor of the process.

Publication and public knowledge

An invention could become publicly known by prior disclosure orally or through books or documents. If the public once becomes possessed of an invention by any means whatsoever no subsequent patent for it can be granted either to the first inventor or any other person. Prior invention by another person will not invalidate a patent if that inventor had kept that knowledge to himself. If the communication of the invention is made to any person or a number of persons (but not too large) under a bond or seal of confidence that communication does not enure to the benefit of the public and there is no publication.

Publication does not depend either upon anything in the nature of a dedication to the public or upon the degree of dissemination of the information alleged to have been published. It is sufficient if the information is made available to the public. The information must have been available to at least one member of the public who was free in law and equity to use it; see *Genentech's Patent* [1989] RPC 147 at 204.

Publication in a book or document would be sufficient if it is accessible to the public without much trouble, e.g. if the document is to be found in the library of the Patent Office or its branches or on the shelves of a public library in any known place in India or of a library attached to any educational institution or scientific institution and easily accessible. Under the present law

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publication of the invention not only in India but anywhere in the world may be considered for determining novelty. But a mosaic of publications from which the invention could be extracted by studying, collating and applying a number of facts spread over various publications would not be sufficient to invalidate a patent.

The publication of the photograph of a machine may constitute anticipation. The photograph must be looked at through the eyes of the typical addressee of the specification the kind of persons who would be expected to make a machine of the kind. It must be possible for the typical addressee to work from the photograph, and, without himself adding a scintilla of invention, to prepare the necessary drawings and ultimately by a process of trial and error to produce a workable machine which incorporates all the integers contained in the claim of the patent under attack.

To satisfy the requirement of being publicly known it is not necessary that it should be widely used to the knowledge of the consumer public. It is sufficient if it is known to the persons who are engaged in the pursuit of the knowledge of the patented product or process either as men of science or men of commerce.

Public user—prior user

A patent cannot be granted to an invention which has been publicly used as obviously the alleged inventor is not giving anything new to the public. Public use does not mean use by the public, but use in a public manner and not secretly. Use for the purpose of reasonable trial or experiment is permitted, if secrecy is maintained. An inventor is entitled to ask his friends confidentially to advise him, taking care that they are not so many that may be regarded as a portion of the public. He is entitled to have the assistance of experts to tell him what things can be done and what things cannot be done. But he is not entitled to put those things on the market or publish them or exhibit them to the public.

Prior use which defeats a patent need not be habitual; one single instance is sufficient. It is clearly established that non-commercial use for the private purpose of the user is sufficient to found an objection based on prior user, as long as the user is overt, in the sense of being exposed to public view. A man cannot be said to be the inventor of that which has been exposed to public view and which he might have access to it if he had thought fit.

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Prior sale of the article is equivalent to prior use because it gives the means of knowledge to the purchaser. Even a single sale of a machine operating a method to a purchaser who is free to sell it to anybody or show it to all is a publication of the method. Sending samples of the goods before the date of the patent even if they be only rough samples, to potential customers, with a view to obtain orders for the goods when it is patented amounts to prior user sufficient to invalidate the patent. Distribution of the article to a person as a gift who could do with it as he likes, would amount to prior publication. But accidental use without any intention to use is not public use. There is no novelty in the use of a well-known mechanical contrivance which is not the same but is analogous to the manner in which or purpose for which it has been hitherto used.

7 Obviousness or lack of inventive step

The definition of 'invention' does not refer to the need for inventive step as a necessary condition of patentability. It only stipulates that the invention must be new and useful. However, the necessity for the existence of inventiveness in a patent is recognised as the very foundation of patent law. Hence if the invention is obvious or lacks inventive step it is not patentable and is therefore a ground of revocation.

The word 'obvious' is an ordinary English word and does not have in patent law any technical meaning. The test is whether what is claimed is so obvious that it could at once occur to anyone acquainted with the subject and desirous of accomplishing the end. The material question to be considered is, whether the alleged discovery is so much out of the track of what was known before as not naturally to suggest itself to a person thinking on the subject.

The word 'obvious' means something which lies in the way, and is used in its normal sense of something which is plain or open to the eye or mind, something which is perfectly evident to a person thinking on the subject. Obviousness and inventiveness are antithesis. What is obvious cannot be inventive and what is inventive cannot be obvious.

No general rule can be laid down as to what does and what does not constitute invention. The general criterion seems to be whether that which is claimed lies within the limits of development of some existing trade, in the sense that it is such a development as an ordinary person skilled in that trade

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could, if he wished to do so, naturally, make without any inventive step.

"Obviousness or lack of inventive step" must be judged having regard to what was publicly known or publicly used in India or what was published in India or elsewhere before the priority date of the claim.

What is publicly known or publicly used has already been discussed under novelty.

In assessing inventiveness *ex post facto* analysis is not permitted. In this connection it is relevant to refer to Milton's *Paradise Lost*, Book VI, lines 498-501 where he said:

> "The invention all admired, and each, how hee
> To be th'inventor miss'd, so easy it seem'd
> Once found, which yet unfound most would have thought
> Impossible".

Obviousness or lack of inventive step at a particular point of time must be answered objectively with reference to the individual claims and without the benefit of hind-sight and *ex post facto* analysis and reconstruction. The question is to be answered by reference to the notional addressee skilled in the art, the hypothetical skilled man. The question is whether immediately before the priority date, the allegedly inventive step would have been obvious to him.

The words 'obvious' and 'inventive step' involve questions of fact and degree which must be answered in accordance with the general policy of the Patents Act to reward and encourage inventions without inhibiting improvements of existing technology by others. The question is therefore whether in accordance with this policy the patent discloses something sufficiently inventive to deserve the grant of a monopoly.

Although the word 'obvious' and the expression 'inventive step' are ordinary English words of well-known significance, they have acquired some special signification in the terminology of patent law. In order to show that the alleged invention was obvious and did not involve any inventive step it is enough to prove that the person versed in the art would assess the likelihood of success as sufficient to warrant actual trial.

The invention must be obvious to the hypothetical addressee who is a skilled technician who is well acquainted with workshop technique and who has carefully read the relevant literature. He

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is supposed to have an unlimited capacity to assimilate the contents of, it may be, scores of specifications but to be incapable of a scintilla of invention.

The fact that the inventor himself may not have found difficulty in arriving at his invention is irrelevant. The question is whether the invention, in the legal sense, that is, regarding the matter objectively, made by him, having regard to the existing state of knowledge. An inventor may well arrive at his invention by a flash of genius which causes him no difficulty or concentrated thought at all, but the invention may still be a most brilliant one which would never have occurred to the notional skilled man in the art at all or only after prolonged investigation and the concentrated exercise of his, perhaps lesser, inventive faculty. In such a case, though it is in a sense obvious to the inventor, nevertheless the invention may be worthy of patent protection.

An invention usually involves three stages: (1) the definition of the problem to be solved, or the difficulty to be overcome, (2) the choice of the general principle to be applied in solving the problem overcoming the difficulty, and (3) the choice of the particular means to be used. Merit in any one of these stages, or in the whole combination may support the invention, and it is, therefore, probably more important to consider the advance in knowledge due to the inventor rather than to examine in detail the variations from the former product.

The matter of obviousness is to be judged by reference to the 'state of the art' on the date of the patent in the light of all that was previously known by persons versed in that art derived from experience of what was practically employed, as well as from the contents of previous writings, specifications, text books and other documents. There may be invention in a 'combination'. The question of obviousness is seldom easy to decide. It must be decided objectively by taking into consideration all the relevant circumstances of the case.

In determining whether the alleged invention is obvious the relevant question to be asked may be put in different forms. One form is: "Was it for practical purposes obvious to a skilled worker, in the field concerned in the state of knowledge existing at the date of the patent to be found in the literature then available to him, that he would or should make the invention the subject of the claim concerned?" See *Hoechst* v *Unichem* [1969] RPC 55 at 67 (Bom HC). Another form is: "The material question to be considered is whether the alleged discovery lies so much out of

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the track of what was known before as not naturally to suggest itself to a person thinking on the subject; it must not be the obvious or material suggestion of what was previously known" [quoted in *Biswanath* v *Hindustan Metal* (1979)2 SCC 511 at 519]. A third form which is of interest in relation to chemical patents is: "Was it for all practical purposes obvious to any skilled chemist in the state of chemical knowledge existing at the date of the patent, which consists of the chemical literature available..... and his general chemical knowledge, that he could manufacture valuable therapeutic agents by making the higher alkyl resorcinols....." [*Sharpe* v *Boots* (1928)45 RPC 153 at 173]. This, however, does not mean that the hypothetical technician must try every possible permutation or combination of existing methods. That might be an endless task. What he must be supposed to have done is to try everything which would appear to him as giving any prospect of valuable results.

For reaching a conclusion on the issue of obviousness, it is necessary for the court to put itself into the position of a skilled addressee at the time the specification was published. For it is to a skilled addressee—a skilled man reasonably well versed in the art—that the specification is deemed to be addressed, and it is by the standard of the *common general* knowledge of such a man that one tests whether the invention was obvious or not. The state of common general knowledge at any specified date is a question of fact to be decided upon evidence.

The question of obviousness is ultimately one for the court and not for the witnesses though undoubtedly the evidence of the witnesses may help the court to arrive at its decision. It must be decided objectively by taking into account all the relevant circumstances of the case.

In answering the question there are four steps to be considered:

(1) to identify the alleged inventive step embodied in the patent,

(2) the court should assume the mantle of a normally skilled but imaginative addressee in the art at the priority date and to impart to him what was, at that date common general knowledge in the art in question,

(3) to identify what, if any, differences exist between the matter cited as being "known or used" and the alleged invention,——

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(4) the court has to ask itself whether viewed without any knowledge of the alleged invention, those differences constitute steps which would have been obvious to the skilled man or whether they require any degree of invention.

The best guide is "what did people do"? After the event it is easy to cry "obvious" and even to persuade oneself that it would have been obvious to take a particular step.

Mosaic of publications

It is not enough to make a mosaic of prior publications and to say that the whole invention has been disclosed. This is particularly the case where the invention is said to consist of a novel combination, or, as is sometimes said, a new functional interrelation of integers. However, it has been observed that when dealing with obviousness, unlike novelty, it is permissible to make a "mosaic" out of the relevant documents, but it must be a mosaic which can be put together by an unimaginative man with no inventive capacity [*Technograph* v *Mills* [1972] RPC 346 at 355 (HL)].

Commercial success

Commercial success of the patented article is not conclusive on the question of inventive step, for commercial success may be achieved entirely through the skilled use of marketing techniques and advertising. The presence of inventive subject-matter can in a proper case be inferred if there has been a long-felt want for the solution of a particular problem, a number of unsuccessful attempts made in the past to solve that problem, the solution of the problem by the invention in question, and immediate commercial success upon such solution.

Analogous user

The mere adaptation to a new purpose of a known material or appliance, if that purpose be analogous to a purpose to which it has already been applied and does not require any inventive faculty is not a patentable invention.

Inventiveness in idea

Invention may lie in the idea, and it may lie in the way in which it is carried out, and it may lie in the combination of the two; but if there is invention in the idea plus the way of carrying it out, then it is good subject-matter for a patent. But if the invention is in the idea, and there is none in the means employed, then the

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idea must be meritorious in the sense of leading to a new advantage or result.

Simplicity of invention

It is no objection to a patent that the invention claimed there is a simple one. It may be of so simple a character that when once they were made known it was difficult to understand how the idea had been so long in presenting itself, or not to believe that they must have been obvious to every one. An *ex post facto* analysis of the invention is not permitted in order to determine the presence of inventive step. Nothing is easier than to say, after the event, that the thing was obvious and involved no invention.

Workshop improvements

Ordinary workshop improvements of a well-known type of apparatus does not constitute an invention within the recognised principles of patent law. Where the alterations in an apparatus have resulted in high speed performance with unwarying accuracy, they may involve invention. There may be invention in simplification.

8 Combination patents

A mere placing side by side of old integers so that each performs its own proper function independently of any of the others is not a patentable combination, but where the old integers when placed together have some working inter-relation producing a new or improved result then there is patentable subject-matter in the idea of the working inter-relation brought about by the collection of the integers. Almost every patent is for a new combination.

A new combination may be the subject-matter of a patent although every part of the combination *per se* is old, for here the new article is not the parts themselves, but the assembling and working them together, which is new. If the result produced by such a combination is either a new article or a better article, or a cheaper article, then, such combination is an invention and may be capable of protection. In a combination patent the elements of which the combination is composed must be combined together so as to produce a new result. A patentee may claim protection not only for the whole combination but also for sub-combinations involving one or more integers provided such sub-combinations themselves contain patentable inventions. Obviousness in a combination patent must be judged not by considering whether each integer is obvious but whether the whole combination is obvious. A claim to a combination is

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not rendered invalid by prior claim to such combination with additional integers.

9 Selection patents

The term "selection patent" is not used in the Patents Act but is judicially recognised as a category of patents particularly in the chemical field. In a selection patent the inventive step lies in the selection for a useful and special property or characteristic adequately defined.

A mere selection among possible alternatives is not subject-matter. A selection to be patentable must be a selection in order to secure some advantage or avoid some disadvantage. It must be an adaptation of means to ends impossible without exercise of the inventive faculty. It follows that in describing and ascertaining the nature of an invention consisting in the selection between possible alternatives, the advantages to be gained or the disadvantages to be avoided, ought to be referred to. The *quid pro quo* for the monopoly granted to the inventor is the public disclosure by him in his specification of the special advantages that the selected members of the class possess. So there can be no invention to support a selection patent until the would be patentee is in a position to define with adequate precision what those special advantages are.

In a selection patent there are three propositions. First, a selection patent to be valid must be based on some substantial advantage to be secured by the use of the selected members; secondly, the whole of the selected members must possess the advantage in question. Thirdly, the selection must be in respect of a quality of a special character which can fairly be said to be peculiar to the selected group.

Selection patents usually arise in the chemical field. If, for example, a man who merely picks out a number of items from an already disclosed group or series (chemical compounds), there is no invention in it. But if his researches have led him to the discovery that certain items (compounds) in the group or series possess qualities or characteristics peculiar to themselves and hitherto unknown there may be invention in it. This is particularly true of organic compounds, expressed in elaborate and involved formulae and having or capable of having "homologues" or "analogues" with minute variations in composition, the members of which may run into millions. A scientist may discover and disclose the whole range of compounds

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and obtain a patent for the compounds or the process of manufacturing them. This may be called the originating patent. But within such a range there is room for a second scientist whose researches may discover and disclose that certain of the items or a section of them have advantages peculiar to themselves, hitherto unknown; and, if so, patent protection may be granted to such discovery. But such discovery should not be obvious and must possess inventiveness.

10 Difference between lack of novelty and obviousness

Although 'lack of novelty' and 'obviousness' have to be judged in the background of the same set of facts there is some distinction between the two. The area of enquiry in obviousness is wider than that in anticipation. The court looks at the prior art as a whole having regard to everything which was known or used before the priority date. The court does not confine itself to looking at the particular prior documents individually as in anticipation. In general what is new may be obvious and what is not obvious may not be new. Further there are degrees of novelty and degrees of obviousness. Obviousness would cover practically every case of lack of novelty.

Extent of difference between invention claimed and prior disclosure

"In considering subject-matter novelty is assumed; the question is whether, assuming the invention to be new, it is one for which a patent can be granted. In considering novelty the invention is assumed to be one for which a patent can be granted if new, and the question is whether on that assumption it is new. Has it been disclosed before? If there is an earlier specification for the very same thing, the second invention is not new; but if the two things are different, the nature and extent of the difference have to be considered. The question then becomes one of degree. But unless it can be said that the differences are practically immaterial, that there is no ingenuity in the second invention, no experiment necessary to show whether it can be usefully carried out or not, the second cannot be said to have been anticipated by the first" [*Gadd* v *Mayor* (1892)9 RPC 516 at 525-526 (CA)].

11 Inutility

One of the essential requirements of a patentable invention is that it should be useful. It is, therefore, natural that a patent which is not useful must be capable of being revoked on the

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ground of inutility. Not useful in patent law means that the invention will not work either in the sense that it will not operate at all or more broadly, that it will not do what the specification promises that it will do. The practical usefulness or commercial utility of the invention does not matter, nor does it matter whether the invention is of any real benefit to the public, or particularly suitable for the purposes suggested. It is only failure to produce the results promised that will invalidate the patent, not misstatements as to the purposes to which such result might be applied. If the patentee has claimed a process which is so dangerous that an expert chemist would avoid it, or even a process which an expert chemist would take to be impossible, the patent will be held invalid. Further, if a patentee claims for a process for producing a result, and that result cannot be produced by the process the patent is invalid. Similarly, if a patentee claims for a process for producing two or more results combined and only one of these results is in fact produced by the process, there is a partial failure of consideration which is sufficient to avoid the patent. There may be cases in which the result which the patentee claims to have produced can in fact be produced, but the result produced cannot be applied to one or more of the purposes for which the patentee claims that it can be applied. In such a case the patent may not necessarily be void.

The amount of utility required to support a patent is very small. It is not necessary that the invention as described should be commercially useful, unless the specification promises that it would be, and that it is sufficient that the invention should, by reason of the features that distinguish it from earlier proposals be of some use to the public. It is also not necessary that a new result should be obtained by using the invention, and that the test is whether the new method gives the public a useful choice.

Any erroneous statement in a specification amounting to a false suggestion may invalidate the patent, even though the error would be at once observed by a workman possessed of ordinary knowledge of the subject.

Inutility may result from a broad claim. An invention consisting of the production of new substances from known materials by known methods cannot be held to possess subject-matter merely on the ground that the substances produced are new unless they are also useful. This is subject to the qualification that the substances produced must be truly new, as opposed to

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being merely additional members of a known series (homologues) and that their useful qualities must be inventors' own discovery as opposed to mere verification by him of previous prediction.

Grounds relating to the description of invention

(1) Invention not sufficiently described, and the best method of performing it not disclosed.
(2) Claims not clearly defined or not fairly based.

12 Insufficiency

It is the duty of the patentee to describe fully and particularly the invention and its operation or use and the method of performing it. Failure to perform this duty is a ground for revocation. Sufficiency must be tested on the date of acceptance of the complete specification. Whether or not the specification is sufficiently described must be judged from the standard of a person possessing average skill in, and average knowledge of, the art to which the invention relates. The description of the invention has only to be a description sufficient to enable the notional skilled man to put it into practice. Only those familiar in the field in question can be expected to make anything of the claims.

Insufficiency of description has two branches: (1) the complete description must describe an embodiment of the invention claimed in each of the claims and that the description must be sufficient to enable those in the industry concerned to carry it into effect "without their making further inventions" and (2) that the description must be fair, i.e. it must not be unnecessarily difficult to follow; see *Farbwerke Hoechst* v *Unichem Laboratories* AIR 1969 Bom 255 at 266.

In the field of genetic engineering, for example, the persons skilled in the art of the patent must be taken to be a team of persons of about Ph.D. standard including microbiologists experienced in such recombinant DNA techniques as those involved in gene cloning and probably, though not necessarily a chemist or chemists skilled in the synthesis of biochemical compounds, see *Genentech's Patent* [1989] RPC 613 at 619-620 and *Genentech's Patent* [1987] RPC 553 at 591; [1990] RPC 147 (CA).

Both in interpreting and in considering the sufficiency of a specification, one has not to consider what the patentee meant

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by the words he used, but with what those to whom the specification is addressed would at the date of the patent, have understood him to mean. In some cases more than one art may be involved. In order to carry out the instructions contained in such a specification the cooperation of men skilled in different arts may be necessary.

The claim need only be as clear as the subject admits, and that a patentee need not so simplify his claim as to make it easy for infringers to evade it.

The patentee must describe and identify the starting materials used for carrying out the invention. But he is under no obligation to make the starting materials available to the public. The purpose of the specification which is a document is to describe. Failure to give access to starting materials cannot be called a failure of description. The problem of starting materials arises in inventions relating to antibiotics the starting materials for which often consists of some strains of certain microorganisms.

A patentee must not use language so vague as to enable him to secure a monopoly for more than his real invention and so to invade the rights of free rivals. But on the other hand, it is permissible to state the real invention in language of such generality as is essential to preserve it and to prevent those rivals from invading the rights of the patentee.

In inventions relating to chemical substances or processes, a class of chemicals e.g. alkalis or acids, may be suitable for use in the manufacture of the chemicals concerned. In such a case it is not necessary for the patentee to list the names of all the members of the class, but it is sufficient if he gives the names of a few members of the class which are suitable for the purpose.

Specifications may frequently contain mistakes; they also have omissions. The test to be applied is whether a man skilled in the art can rectify the mistakes and supply the omissions without the exercise of any inventive faculty. If he can, then the description of the invention is sufficient; if not, the patent will be void for insufficiency.

Insufficiency may result from ambiguities in the specification. But ambiguity is itself a separate ground for revocation, the actual term used being claim not clearly defined.

It is fundamental to the law that a producer of a product must know where he cannot intrude. If a producer cannot determine after applying the test to the patent whether his

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product would infringe the claims, then there is an insufficiency in the definition.

13 Non-disclosure of best method known to applicant

The complete specification should disclose the best method of performing the invention which is known to the applicant at the time of filing it and for which he is entitled to claim protection. Non-compliance with this requirement is made a ground for revocation of the patent. The best method need be disclosed only if the patentee is entitled to claim protection for it. In disclosing the best method of performing the invention known to him utmost good faith is expected of the applicant. The intentional introduction of an ambiguity for the purpose of misleading the public, or of embarrassing them in the exercise of their common law right to trade in such manner as they think best, would be alone sufficient to avoid the patent and in a case reasonably capable of unambiguous statement the want of good faith may be gathered from the terms of the specification itself.

14 Claim not clearly defined or not fairly based

The specification should contain a distinct statement of what is the invention. If the patentee, whether designedly, or unskilfully fails to make distinct what his invention is, the patent would be bad. A greater degree of clarity than the subject reasonably admits of is not to be demanded of the patentee. The obligation of the inventor is to give as clear a definition of the monopoly claimed as the subject admits of. Lengthy and complicated specification and claims face the risk of being declared void for ambiguity. If the patentee uses language which, when fairly read, is avoidably obscure or ambiguous, the patent is invalid, whether the defect is due to design or to carelessness or to want of skill. Where the invention is difficult to explain, due allowance will, of course, be made for any resulting difficulty in the language. But nothing can excuse the use of ambiguous language when simple language can easily be employed and the only safe way is for the patentee to do his best to be clear and intelligible.

Ambiguity may arise in various ways. In some cases the language used may not be sufficiently explicit in describing the nature and ambit of the invention. Such ambiguity invalidates the patent. In some other cases the language may have been used with the object of creating complexity, or leaving often to the patentee or his advisors a choice of alternative constructions.

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This may be called a studied or affected ambiguity. Such ambiguity will invalidate the patent. A third case of ambiguity arises from the difficulty of accuracy in expression there being no suspicion of the want of good faith, and where the language used, if capable of being construed in the sense claimed, would give a sufficient description of a new and useful invention.

For ambiguity to exist it must be shown that, in respect of the matters particularised, the language of the specification is fairly and equally open to diverse meanings.

Claim not fairly based

The claim in a patent must not go beyond the disclosure in the specification. A patentee is granted his monopoly in order to protect the invention which in his specification he has communicated to the public. He is not entitled to claim a monopoly more extensive than is necessary to protect that which he has himself said is his invention. The fundamental rule of patent law is that the monopoly claimed must not go beyond the consideration. Broad and indeterminate claims of a speculative character are not allowed.

Where the patentee has knowingly and deliberately obtained, claims of unjustified width, i.e. 'Covetous' claims, the patent may be revoked. Amendment of covetous claims may also be disallowed. A patentee is not entitled to claim a monopoly more extensive than is necessary to protect that which he has himself said in his invention. The consideration which the patentee gives to the public disclosing his inventive idea entitles him in return to protection for an article which embodies his inventive idea but not for an article which, while capable of being used to convey his inventive idea into effect is described in terms which cover things quite unrenlated to his inventive idea, and which do not embody it at all.

In the case of drug patents a broad cover to some extent is permissible. Research and Development in the medical field is very expensive and the number of "winners" found is only a minute proportion of those synthesized and tested. Once a winner is found it is very common also to find that bodies more or less closely related to it have the same or even greater activity. Unless the original inventor is given reasonably broad cover, it is likely that soon after others hear of his success similar bodies will be made by others having as good or better activity. Unless he can control such activities, any reward he may obtain for his

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invention and research is likely to be of little value. However, his claim must not be so broad as unjustifiably to stifle research by others. A balance should be struck between the patentee's interest and the public interest. If it is possible for the patentee to make a sound prediction and to frame a claim which does not go beyond the limits within which the prediction remains sound, then he is entitled to do so and his claim will be considered fairly based.

It might be possible in many cases of a claim for apparatus to evolve a claim for a principle from a description given of the result achieved, and to maintain accordingly that it was the principle of the invention, in that sense, which was the real subject of the claim. If any claim for a principle is made it must undoubtedly appear in the claim as that claim is stated. Though a patent cannot be taken for a principle, yet if the principle is new and the patentee shows one mode of carrying it into effect, then he may protect himself against all other modes of carrying the principle into effect. If, however, the principle is not new, the patentee can protect himself against those modes of carrying it into effect which are substantially the same as the mode he has himself invented, the question in each case being what is the pith and marrow of the invention sought to be protected, and it being impossible to treat any principle already known as part of such pith and marrow. Thus where the principle is old, a claim to all modes of carrying it into effect will avoid the patent.

In the invention actually claimed the patentee need not distinguish the old from the new. He must distinguish what is old from what is new by his claim.

15 Surrender of patents

A patentee may at any time offer to surrender his patent by giving notice to the Controller. When such notice is received the Controller will publish the offer and also notify every person whose name appears in the Register as having an interest in the patent. Any person interested may give notice to the Controller of opposition to the surrender. The Controller after completing the procedure and hearing the parties may accept the offer and revoke the patent if he is satisfied. The procedure for publishing the offer and inviting notice of opposition is necessary in order to protect the interests of persons like licensees, equitable assignees, and others with whom the patentee might have contractual obligations which are dependent upon the continuance of the patent.

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CHAPTER

12

Infringement of Patents*

1 General

What constitutes infringement of Patent is not defined in the Patents Act. But obviously infringement of a patent is the violation of the monopoly rights conferred by the grant. The rights conferred by the Patent is the exclusive right to make, use, exercise, sell or distribute the invention in India. Hence infringement consists in the violation of any of these rights.

Where the invention claimed is not a process but a substance irrespective of the means by which it is produced, the rights of the patentee are infringed by any one who makes or supplies that substance commercially for use by others even though he does not know that it is that substance he is making or supplying. In the case of a patent for a process the rights of the patentee are infringed by one who uses or exercises the method or process in India. Since the patentee's rights are subject to various conditions under the Act, the scope of infringement must be considered in the background of these statutory conditions.

In determining whether what the alleged infringer is doing amounts to an infringement of a particular patent three questions are involved:

* Sections 104–114.

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(1) the extent of monopoly right conferred by the patent which has to be ascertained by a construction of the specification, particularly the claims. Construction of specification is discussed in Chapter 4,

(2) whether the alleged acts amount to making, using, exercising, selling or distributing a product or using or exercising a method or process in the case of a process patent, and

(3) whether what the alleged infringer is doing amounts to an infringement of the monopoly conferred by the patent grant.

First, in order to ascertain the scope of the claims made in the patentee's specification, the court must ascertain what are the essential integers of the claim. This is a question of construction and no general rule can be laid down. The claim must be construed as a document without having in mind the alleged infringement. Secondly, the essential integers having been ascertained, the infringing article must be considered. To constitute infringement the article must take each and every one of the essential integers of the claim. Non-essential integers may be omitted or replaced by mechanical equivalents; there will still be infringement. Where the invention resides in a new combination of known integers, or merely in a new arrangement and interaction of ordinary working parts, it is not sufficient to show that the same result is reached; the working parts must act on one another in the way claimed in the claim of the patent.

If the patentee has in his specification limited the essential features of his claim in a manner that may appear to be unnecessary, it may be that the copier can escape infringement by adopting some simple mechanical equivalents so that it cannot be said that every essential integer of the claim has been taken.

Onus

The onus of establishing infringement is on the plaintiff. There is no obligation on the part of the patentee to warn the infringer, but his conduct should not amount to acquiescence. It follows from the general law of evidence but in the case of an infringement of a patent for a process under certain circumstances the onus may shift to the defendant.

There is no infringement of an invalid patent. On the question of infringement intention or the absence of intention is not material. If the defendant did not know that the patent existed,

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he will not be liable to pay damages or account of profits. The onus is on the defendant to prove that he was innocent at the date of the infringement. The mere application of the word 'Patent' or 'patented' is not sufficient to show that the article is patented unless it is accompanied by the number of the patent. A defendant who was informed of a patent application cannot plead ignorance of a patent granted thereon.

Declaration of non-infringement

A person may obtain a declaration from the court to the effect that the use by him of any process, or the making, use or sale of the article does not constitute infringement of a patent claim even though the patentee or licensee has not alleged any infringement.

Alleged infringement not novel and is obvious

If the defendant could show that the alleged infringement was not novel at the date of the patent, it would provide a good defence; for then the validity of the patent could be successfully challenged for want of novelty. This will obviate the great length and expense of the patent suit. This is called the Gillette defence as enunciated by Lord Moulton. This defence can be extended to obviousness.

Who is an infringer

Apart from the person who actually manufactures the infringing article or uses the patented process, others who are indirectly connected with the manufacture or sale of the article may also be involved in the infringement. Where a company infringes a patent, the directors who have not authorised the wrongful acts may not be held liable.

Modes of infringement

There are various modes of infringing the patent. Inducing and procuring infringement amounts to infringement. But facilitating the doing of an act is obviously different from procuring the doing of the act. Selling non-patented articles to persons to be used for the purposes of infringing a patent is not an infringement of the patent. The manufacture or sale of parts of a combination patent is not an infringement of that patent although such parts are meant for the purpose of making the combination provided that the parts themselves are not the subject-matter of patents. If, however, a person sells the patented machine in parts which are so manufactured as to be adapted to be put together it may constitute infringement. But merely sale of some one or other of

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the parts, not separately claimed, of one or other of the patented articles, it cannot constitute infringement.

Repairing of a patented article to prolong the life of the article is permitted, but one must not make a new one under the guise of repairing it. It is largely a question of degree, depending on the nature of the patented article and the character of the work carried upon it.

Use for experiments and instruction

Use of a patented invention for the purpose merely of experiment or research is not an infringement of the patent. Similarly the use of patented article or the patented process for imparting instruction to pupils would not amount to infringement of the patent.

Use of invention in foreign vessels, etc.

In certain circumstances the use of patented invention in a foreign vessel or aircraft or land vehicle which temporarily happens to be within the jurisdiction is not deemed to be an infringement of the patent. It is necessary that the invention must be used in the body of the vessel or in machinery tackle, apparatus or other accessories thereof on board the vessel and for its actual needs only; or in the case of aircraft or land vehicle in the construction or working of such aircraft or vehicle or of the accessories thereof. This exemption is available only to foreign vessels, etc., where the foreign country concerned confer similar benefits on Indian vessels, etc.

2 What constitutes infringement

In order to constitute infringement the defendant must be shown to have taken the invention claimed in substance. As to what is the real substance of the invention, whether it be a combination or a process must be decided on the evidence, that is to say, it is a question of fact. It is seldom that an infringer takes the whole of the invention he may omit some unessential part or step, and substitute another step or part. But if he takes all the essential features of the invention he cannot avoid infringement. This leads to the question what are the essential features of the invention claimed.

The patentee himself specifies in his claims with particularity those elements or integers of his invention which he claims to be essential. If the language which the patentee has used in the claims specifies a number of elements or integers acting in a

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particular relation to one another as constituting the essential features of his claim, the monopoly which he obtains is for that specified combination of elements or integers so acting in relation to one another and for nothing else. There is no infringement of his monopoly unless each and every one of such elements is present and such elements also act in relation to one another in the manner claimed. Non-essential integers may be omitted or replaced by mechanical equivalents; there will still be infringement. The question whether the infringing apparatus is substantially the same means "in all essential respects the same".

Where the infringer has taken all the essential features claimed in the patent but has altered one or more unessential features, or has added some additional feature which may or may not of itself involves a new inventive step, it is called a 'colourable imitation". A process or an article which makes use of the same principle as the patented invention or achieves the same result or makes use of some only of the essential features is not a 'colourable imitation' in any sense relevant to patent law unless it does adopt all the essential features which the patentee has specified in his claim. Copying the 'essential features' of the invention is sometimes referred to as taking the 'pith and marrow' of the invention.

A person is guilty of infringement if he makes what is in substance the equivalent of the patented article. He cannot get out of it by some trifling or unessential variation. One cannot avoid infringement by substituting an obvious equivalent for an unessential integer. On the other hand, one cannot be held to have taken the substance of an invention if one omits some essential integer or substitutes something else for an essential integer.

Chemical equivalents

The use of chemical equivalents in place of chemicals used in a patented process will not avoid infringement if the chemical equivalents, were known at the time of the specification. But if they were not so known the use of such chemical equivalents will not infringe the patent. Where a patented process relies for achieving its result on the use of a particular chemical A, it is no infringement if another manufacturer produces the same result by the use of other chemicals B and C notwithstanding the fact (if it was unknown at that time) that in the course of the process the use of B & C results in the production of A.

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Combination claims

Where the invention claimed consists of a combination of a number of parts acting upon each other in a particular way, in order to constitute infringement, it must be shown that the infringers' selection and arrangement of parts is substantially the same as the patentee's selection and arrangement of parts, for it is in such selection and arrangement the patentee's invention resides.

Where a patentee has described his invention in his claim by reference to a specified number of integers say eight features or integers, and the court could see that one of them was not of the essence of the invention, a person who took the other seven and then added a mechanical equivalent for the non-essential eight, would be held guilty of infringement. If on the other hand a patentee in his claims first of all were to describe his invention by reference to seven integers and then in the next claim were to repeat the statement of his invention by reference to those seven integers but adding an eighth, it would be impossible to say that the eighth integer was not the essence of the invention claimed in the second claim and the doctrine of mechanical equivalent will not apply.

3 Action for Infringement

Jurisdiction

An action for infringement of a patent must be instituted by way of a suit in any district court or a High Court having jurisdiction to try the suit. Where the defendant counter-claims for revocation of the patent the suit along with the counter-claim will be transferred to the High Court for decision.

The cause of action must have arisen in a place within the jurisdiction of the court where the suit is to be filed. A suit for infringement filed before a court in which the defendant has pleaded invalidity as a defence is maintainable even though a petition for revocation of the patent is pending before another court since the question of infringement is a separate and different issue.

The procedure to be followed in conducting a suit for infringement is governed by the relevant provisions of the Code of Civil Procedure.

A suit for infringement can be instituted only after the patent has been granted. But damages sustained in respect of infringement committed during the period between the date of

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publishing of acceptance of the complete specification and the date of grant may be claimed in the suit. A suit for infringement of a patent which has expired may be brought in order to claim damages sustained during the term of the patent. Where the patent was obtained wrongfully by the patentee and was subsequently granted to the true and first inventor, no suit can be brought for infringement committed before the actual date on which such patent was granted. Where a patent had lapsed and subsequently restored no suit or other proceeding can be commenced or prosecuted in respect of any infringement committed between the date on which the patent ceased to have effect and the date of publication of application for restoration.

The period of limitation for bringing the suit is three years from the date of infringement. No notice of infringement to the defendant before filing the suit is necessary.

Plaintiff

The right to sue for infringement belongs to the patentee. The exclusive licensee, if the licence is registered, may file a suit. If the patentee is not joined as a plaintiff he must be added as a defendant. A compulsory licensee may also file a suit for infringement under certain circumstances. An assignee is entitled to file a suit if the application for registration of the assignment has been filed before the date of filing the suit. A co-owner may also bring a suit for infringement.

Defendant

Any person who infringes the patent, that is to say, who exercises without authority any of the monopoly rights conferred by the grant may be sued for infringement. Thus manufacturers, importers and dealers, their servants and agents and sometimes even users of the patented articles may be made defendants in a suit for infringement. A person who threatens to infringe may also be sued. The consignees of the alleged infringing articles could be made a party to the action, but mere carrier or warehouseman is not an infringer. The directors of a company cannot be personally sued for infringement unless they had authorised the wrongful acts or unless the evidence establishes the relationship of principal and agent between the directors and the company. Action may also be taken against agents and servants of the infringer either individually or collectively and with their employer or principal.

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Defences

The defendant in a suit for infringement of a patent may plead one or more of the following defences:

(1) plaintiff not entitled to sue for infringement,
(2) denial of infringement or of any threat or intention to infringe,
(3) leave or licence express or implied to use the invention,
(4) estoppel or *res judicata*,
(5) claims alleged to be infringed are invalid on certain grounds, see chapter on Revocation of Patents,
(6) the acts complained of are in accordance with the conditions specified in s. 47 (Government use, experiment, research and education),
(7) existence of a restrictive contract declared unlawful,
(8) acts complained of come within the scope of innocent infringement, or done after failure to pay renewal fee, or done before the date of amendment of the specification (available only against a claim for damages or account of profits),
(9) alleged infringement not novel or is obvious (Lord Moulton's defence or Gillette defence).

Counter-claim for revocation may be made by the defendant in his written statement instead of a separate petition for revocation.

Evidence

Expert evidence is required to assist the court to explain technical terms, to show the practical working of machinery described or drawn and to point out what is old and what is new in the specification. Expert evidence is also admissible and is often required to show the particulars in which an alleged invention has been used by the alleged infringer and the real importance of whatever differences there may be between the plaintiffs invention and whatever is done by the defendant. But the nature of the invention for which a patent is granted must be ascertained from the specification and has to be determined by the Judge and not by any expert or other witness.

4 Reliefs

The reliefs available to a successful plaintiff in a suit for infringement include: (1) an injunction, and (2) either damages or an account of profits.

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The power to grant reliefs is subject to certain restrictions. Thus where the patent is endorsed "licences of right", and the infringing defendant is ready and willing to take a compulsory licence no injunction will be granted. In the case of innocent infringement no damages or account of profits will be granted. Damages or account of profits may be refused in respect of any infringement committed after a failure to pay the renewal fee within the prescribed period. In certain circumstances damages or account of profits will not be granted in respect of the use of the invention before the date of amendment where the specification has been amended after its publication. If the patent is held to be only partially valid, reliefs may be granted in respect of the valid claims which is infringed, provided the plaintiff proves that the invalid claim was framed in good faith and with reasonable skill and knowledge.

Interlocutory injunction

The plaintiff may at the commencement of the action move for an interim injunction to restrain the defendant from committing the acts complained of until the hearing of the action or further orders.

The principles upon which an interlocutory injunction may be granted in a patent action are the same as in any other action, namely, that the plaintiff should make out a *prima facie* case and also that the balance of convenience lies in his favour. In patent actions it may frequently happen that the defendant is able to show that there are substantial grounds for disputing the validity of the patent and often also that there are good reasons for saying that his apparatus does not infringe the plaintiff's claim. If either of those circumstances are shown to be present, the court may not grant an interlocutory injunction. The onus of showing a *prima facie* case which lies on the plaintiff is a heavy one and that it is comparatively easy for the defendant to establish a defence sufficient to prevent the grant of such an injunction. The remedy by interlocutory injunction is kept flexible and discretionary and is not made the subject of strict rules.

The object of an interlocutory injunction is to protect the plaintiff against injury by violation of his rights for which he could not be adequately compensated in damages recoverable in the action if he succeeds at the trial. The court must weigh one need against another and determine where the balance of convenience lies. In granting the injunction the court must be satisfied that the claim is not frivolous or vexatious; in other words, that there is a serious question to be tried.

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Since the use of a patent may be licensed on a royalty basis it may be possible to compensate the plaintiff in damages if he succeeds at the trial if the defendant is ordered to keep accounts and is in a financial position to pay damages. In such a case, no interlocutory injunction may be granted. Similarly if the defendant could be adequately compensated under the plaintiffs' undertaking as to damages, if an injunction is granted, and the defendant ultimately succeeds at the trial, and the plaintiff would be in a financial position to pay the damages, there would be no reason upon this ground to refuse the injunction. It is where there is a doubt as to the adequacy of the respective remedies in damages available to either party or to both, that the question of balance of convenience arises.

Various factors are taken into consideration in deciding the balance of convenience, such as whether the patent is a new one or an old one, whether the defendant's trade is a new one or an old established one and so on. If a patent is a new one, challenging its validity may be sufficient for a refusal of an injunction, but if the patent is sufficiently old and has been worked, the court would, for the purpose of temporary injunction presume the patent to be a valid one. Even if a likelihood of infringement is established, interlocutory injunction will be refused if there is a serious attack on the validity of the patent. If the patent relied on will expire before the action can be heard, the balance of convenience can be considered against the grant of an interlocutory injunction.

Interlocutory injunction for a short period may be granted on *ex parte* motion where a *prima facie* case is established.

In the case of a recent patent, even if a *prima facie* case of infringement has been made out, an interlocutory injunction will not normally be granted where the plaintiff is in no danger of suffering irreparable injury and damages would provide an adequate remedy should the claim succeed. Where the plaintiff has not started manufacturing the product under the patent and the defendant had been manufacturing the product for quite sometime interlocutory injunction may not be granted. On the other hand where it is shown that the patentee has been using the patent undisturbed for a number of years interlocutory injunction may be granted against a recent infringer.

Where interlocutory injunction has been refused the court may order the defendant to maintain accounts of his business in

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respect of the alleged use of the patent and file periodical statement of account in the court.

The fact that the defendant has applied for a compulsory licence is no ground for refusing interlocutory injunction in a case otherwise eligible for relief since the compulsory licence when granted is only valid from the date of grant. If there is clear evidence of willingness to accept a royalty payment the court may infer that damages would be adequate.

Delay on the part of the plaintiff in applying to the court will be fatal for the grant of interim relief though it will not bar their right at the trial. But delay will not be fatal if the defendant had been warned sufficiently early. What is important is not so much the length of the delay *per se* but whether the delay has in some way made it unjust to grant the injunction claimed.

The classic case on interlocutory injunction is *American Cyanamid* v *Ethicon* [1975] RPC 513 (HL) (Lord Diplock).

Springboard doctrine

The court in deciding the balance of convenience may take into consideration the fact that if no interim injunction was granted and the defendant proceeded with the marketing of his product which will be an extremely valuable bridgehead or springboard for him if he can elect to take a licence of right which he would be entitled to in a few years time to continue developing this market, instead of having him start from scratch like other licensees of right.

Final injunction

An injunction granted after the trial of the suit will be limited for the duration of the patent.

Injunction will be granted even where the defendant has not committed infringement but only threatens to infringe, but damages will not be granted in such a case.

When the infringement relates to a patent endorsed "licences of right", no injunction will be granted if the defendant is willing to take a licence.

Damages or account of profits

A successful plaintiff in a suit for infringement is entitled to the relief of damages or an account of profits with certain exceptions. The exceptions are: (1) infringement was innocent, (2) the infringement was committed after a failure to pay the renewal fee within the prescribed time and before any extension of the

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period. (3) where the specification has been amended, the infringement was committed before the date of amendment unless it was shown that the original specification was framed in good faith and with reasonable skill and knowledge, and (4) where the patent was held partially valid, damages or account of profits in respect of the valid claims will be granted only under certain circumstances.

Assessment of damages

In assessing damages the sole question is what is the loss sustained by the patentee by reason of the unlawful sale of the defendants' goods. The loss must be the natural and direct consequences of the defendants' acts. The object of damages is to compensate for loss or injury. The general rule is that the measure of damages is to be, so far as possible, that sum of money which will put the injured party in the same position as he would have been in, if he had not sustained the wrong. There are two essential principles in valuing the damages, first, that the plaintiffs have the burden of proving their loss; second, that the defendants being wrongdoers, damages should be liberally assessed but the object of this is to compensate the plaintiffs and not to punish the defendants.

The measure of damages may be estimated by applying the following principles:

(1) Where the patentee manufactures the product and does not grant licences, the measure of damages will be the profit which would have been realised by the owner of the patent if the sales of the infringing articles had been made by him.

(2) Where the patent is exploited through the granting of licences for royalty payments, the measure of damages which the infringer must pay will be the sums which he would have paid by way of royalty, if instead of acting illegally, he had acted legally. The solution to this problem will depend upon the evidence as the rates of royalty may vary from time to time.

(3) The pecuniary equivalent of the injury resulting from the natural consequences of the acts done by the defendants. An estimate should be made of the number of articles the plaintiff did sell less by reason of the acts of the defendants. Then find the profit that they would have made upon each article.

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(4) Where only a part of a complex machine is protected by a patent the importance of the patented part to the whole machine should be considered. If it forms the very essence of the machine damages may be measured by the profit on the whole machine; otherwise account should be taken only of the patented part.

Account of profits

Where a patentee elects to claim the profits made by the unauthorised use of his machinery, it is material to ascertain how much of his invention was actually appropriated, in order to determine what proportion of the net profits realised by the infringer was attributable to its use. It would be unreasonable to give the patentee profits which were not earned by the use of his invention.

Order for delivery-up or destruction

An order for delivery-up or destruction is made with a view to prevent the defendant from making use of the infringing articles which might be in his possession. It is a discretionary order. The property in the articles which are made in violation of a patent resides in the infringer though he is prevented from using them.

Certificate of validity

If in any proceeding before a High Court for the revocation of a patent the validity of any claim of a specification is contested and that claim is found by the courts to be valid, the court may certify that the validity of that claim was contested in that proceeding and was upheld. Where a certificate has been granted in respect of a claim, in a subsequent suit for infringement or proceeding for revocation if the patentee relying on the validity of that claim obtains a final judgment in his favour he will be entitled to full costs in respect of that claim.

Costs

The costs of any suit is in the discretion of the court. Ordinarily costs follow the event. The party who on the whole succeeds in the action gets the general costs of the action, but where the action involves separate issues the costs of any particular issue go to the party who succeeds upon it. Where infringement was proved but patent was held bad the plaintiff may not be given the costs of the issue in which he has succeeded. Apportionment of costs when both parties have succeeded partially is often difficult and can be done only on a rough basis. Where it is too difficult to apportion the costs no order may be made as to costs.

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CHAPTER

13

Threat of Infringement Proceedings*

1 General

Threatening a rival manufacturer, dealer or even a purchaser of goods with proceedings for infringement of a patent is sometimes resorted to by a patentee who suspects that the goods in question are infringement of his patent rights. He may do it with a view to stop the suspected infringement without resorting to expensive infringement suits. He may also do it when he is not quite sure whether he would succeed in an infringement action or when he fears that he may not be able to defend the validity of the patent which will almost surely be attacked if an action is brought. If the acts in respect of which threats of proceedings were given constitute an infringement of the patent, the threats are justified and the threatened person has no cause for grievance. The best course open to him is to stop the infringing acts. But where the acts do not in fact constitute an infringement, or where the patent is not valid, the person threatened is obviously an aggrieved person and the law provides a remedy against such unjustified threats. The reliefs available are: (*a*) a declaration to the effect that the threats are unjustifiable, (*b*) an injunction against the continuance of the threats, and (*c*) damages, if any, sustained.

* Sections 106.

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The threat of proceedings may be made by any person whether interested in a patent or not. It may be made in any manner, directly or indirectly, i.e., by circulars, advertisement or, by communication, oral or in writing. The communication containing the threat may be addressed to the person threatened or to any other person. But the mere notification of the existence of a patent does not constitute a threat of proceedings. Correspondence conducted "without prejudice" will not affect the right of action.

The plaintiff in an action for threat has only to make out a *prima facie* case that the alleged threats have in fact been made. Then it is for the defendant to show that the acts in respect of which proceedings were threatened constitute an infringement of the patent. If he succeeds in establishing this the plaintiff may show that the patent is invalid. The reliefs available will be granted in the following circumstances:

(1) Where the plaintiff shows that he is a person aggrieved and that the alleged threats have in fact been made, and the defendant fails to establish that the acts constitute infringement of a patent.

(2) Where the defendant proves that the acts constitute infringement, but the plaintiff establishes that the patent is invalid.

2 What is a threat

The question whether what a person has communicated to another constitutes a threat of proceedings depends upon the language used in the communication and what a normal reader or hearer of the communication will understand by such language. If a normal person reading or hearing the communication would understand it to mean that the person making the communication intended to take proceedings in respect of the act complained of it must necessarily constitute a threat of proceedings. It is immaterial if it is expressed in general language stating that the complainant will protect his interests with the utmost vigour. A general warning issued to potential or actual infringers without specifying any person will not constitute a threat of proceedings.

3 What the plaintiffs must prove

The plaintiff must prove that the defendant, by whatever form of words he has used, has in substance alleged that certain acts by a particular person will constitute an infringement of a patent, and has in substance threatened that person with proceedings

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for that infringement. If, however, the true gist of what the defendant has said is properly to be understood as a mere warning that he will take proceedings for infringement if and when anyone, or even a particular person, should commit an actual infringement of the patent, then he cannot be held liable.

The threat alone is the basis of the action and the action lies whether the person making the threat has got an interest under a patent or an application for a patent or not.

If the defendant proves infringement and the plaintiff did not establish that the patent is invalid, the threat action fails.

4 Persons aggrieved

A person who is threatened with an action for infringement is a 'person aggrieved' for the purpose of an action and need not prove actual damage at the trial in order to claim reliefs. The threat may be made directly or indirectly through a third person. Where the threat is addressed to wholesalers or retailers of the alleged infringing goods the manufacturer of the goods will be a person aggrieved.

5 Injunction

Interim injunction may be obtained in a threat action. In granting such an injunction the court will take into consideration whether the plaintiff has made out a *prima facie* case and also consider the balance of convenience and inconvenience to the parties concerned. Interlocutory injunction will be granted only where there is a reasonable expectation that threats of the particular type alleged are likely to be made again either to the person to whom they were first made or to some other person. Where the defendants made threats without bringing an action, injunction may be granted. Interlocutory injunction may not be granted where there is an action for infringement pending. Delay in bringing the matter to the court may be fatal to interim relief. Permanent injunction may be granted if the plaintiff succeeds at the trial.

6 Ex parte orders

Orders made *ex parte* should only be made for a limited period, generally a few weeks, until the matter can be fully considered by the court. Save in exceptional cases the court would dismiss the motion with the consequence that the *ex parte* order lapses, where there is inexcusable and inordinate delay by the plaintiff in carrying out the duty of pushing the proceedings to hearing,

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see, *Hong Kong Toy Centre* v *Tomy V.K.* [1994] FSR 593 (Patent Court), delay of eleven months, interim injunction refused.

7 Damages

The plaintiff who succeeds in the action is entitled to damage caused by the natural and reasonable consequences of the threats made. Loss of contract with the plaintiff owing to the defendants' threats, loss of profits resulting from the breaking of contract may be taken into account in assessing damages. Where negotiations were broken off by reason of the threats, the loss of profits which would have resulted from completion of negotiation will be a factor to be taken into consideration in assessing the damage.

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CHAPTER

14

Offences and Penalties* and Miscellaneous Matters

1 Offences

Under the Patents Act, the following acts or omissions are offences punishable with imprisonment of a maximum period of two years or fine or with both:

(1) Contravention of secrecy directions given by the Controller prohibiting the publication or communication of information relating to inventions relevant for defence purposes.

(2) Making of an application for a patent in a foreign country by a resident Indian in respect of an invention subject to secrecy directions without the permission of the Controller.

(3) Making of an application for a patent in a foreign country by any resident Indian before making a similar application in India.

(4) Failure to supply information to the Controller regarding the use of patented invention in India (fine only).

(5) Fabrication of entries in the register of patents or production of a false copy of an entry in the register as evidence.

* Sections 118–124.

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(6) Wrongful use of the words "Patent Office" by any person which will lead to the belief that his place of business is connected with the patent office.

(7) Making false representation by a person that any article sold by him is patented in India or is the subject of an application for a patent.

(8) A false indication that the goods are the subject of an existing patent (this is an offence under the Trade & Merchandise Marks Act).

(9) Describing or holding himself out by any person as a patent agent who is not a registered patent agent.

There is no provision for taking criminal proceedings against infringement of patents as in trade marks and copyright.

2 Inventions relevant for defence purposes—sections 35-42

There are certain restrictions on the granting of patents and the use of inventions relevant for defence purposes. The Central Government decides the class of inventions relevant for defence purposes. The Controller will give directions prohibiting or restraining the publication of information relating to such inventions or the communication of such information to specified persons. If the Central Government considers that publication of the invention would not be prejudicial to the defence of India, it will give notice to that effect to the Controller who will then revoke the directions and inform the applicant. Where directions of secrecy have been given, the Central Government will from time to time review the necessity for continuation of the secrecy directions. If in any case the secrecy directions are revoked the applicant may be allowed to prosecute his application with appropriate extension of time being granted.

During the continuance of the directions the application for the patent will not be advertised and no patent will be granted. Where, after the acceptance of the complete specification, the Central Government uses the invention, royalty payments will be made as in the case of use of other patented inventions by the Government. If the applicant has suffered hardship by reason of the directions the Central Government may make some reasonable payments to the applicant as solatium.

3 Convention countries and reciprocity arrangements—sections 133-139

Any country, which is a signatory or party or a group of countries, union of countries or intergovernmental organisations which are signatories or parties to an international, regional or

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bi-lateral treaty, convention or arrangement to which India is also a signatory or party and which affords to the applicants for patents in India or to citizens of India similar privileges as are granted to their own citizens or citizens to their member countries in respect of the grant of patents and protection of patent rights shall be a convention country.

If any country does not accord to citizens of India the same rights as they accord to their own citizens in respect of patents the Central Government may declare that no national of that country will be entitled to have patent protection in India.

If a person who has made an application called a basic application for a patent in a convention country makes an application for the same invention in India within twelve months from the date of the basic application he will get the same priority date for his claims in India.

4 Patent agents—sections 125–132

The work relating to drafting of specification, making an application for a patent, subsequent correspondence with the Patent Office on the objections raised, representing the applicant's case at the hearings, filing opposition proceedings or defending an application against an opposition, all being of a highly technical nature is ordinarily entrusted to a qualified patent agent, although the applicant for a patent is free to handle it himself. For the purpose of maintaining a high standard of efficiency and professional integrity the Act has prescribed certain qualifications for persons practising as patent agents and provided for their registration. Only persons who satisfy those qualifications and registered under the Act are allowed to practise as patent agents. A register of patent agents is maintained by the Controller.

In order to qualify as a patent agent a person must be a citizen of India and completed the age of 21 years. He must possess a degree in science, engineering or technology from or one who has passed the written examination prescribed and also pay the necessary fees.

It is an offence for any person who is not a registered patent agent to describe or hold himself out as a patent agent.

Every registered patent agent is entitled to practise before the Controller and to prepare all documents, transact all business connected with patent applicants and patents. A patent agent duly authorised by an applicant for patent or a patentee may sign all applications and communications to the Controller. But the following documents must be signed by the applicant himself;

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namely (1) applications for patents, (2) applications for restoration of a lapsed patent, (3) applications for sealing of patents after the time allowed for it has expired, (4) applications for leave to amend, (5) applications for compulsory licences or for revocation, and (6) notices of surrender of patents.

The Controller may refuse to recognise as agent certain categories of persons.

Degree of knowledge and care of patent agent

The degree of knowledge and care to be expected of a patent agent is that degree possessed by a notional duly qualified person practising the profession. In Halsbury's *Laws of England*, 3rd Ed., vol. 28, para 17, p. 19 the position is stated as follows:

> "*Duty to exercise special skill.* The practice of a profession, art or calling which, from its nature, demands some special skill, ability, or experience, carries with it a duty to exercise, to a reasonable extent, the amount of skill, ability and experience it demands. If a person so practising fails to possess that amount of skill and experience which is usual in his profession or calling, or if he neglects to use the skill and experience which he possesses or the necessary degree of care demanded or professed, he will usually be liable for breach of contractual duty."

Professional privilege

In England under the Civil Evidence Act 1986 (s. 15) statutory privilege has been given to certain communications for the purpose of certain proceedings under the Patents Act. There is no similar provision under the Indian Law.

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CHAPTER

15

The Patents (Amendment) Act 2005

Salient features

A substantial change was made in the Patents Act 1970 by the Patents (Amendment) Act 2005. The salient features of the Amendment Act are as follows:

(1) Inclusion of the definition of "Budapest Treaty" and "Pharmaceutical Substances".

(2) Substitution of definition of "High Court", "inventive step" and "new invention".

(3) Deletion of the word "food" from definition.

(4) Section 3 on "what are not inventions" cl. (*d*) thereof substituted by the following clause:

> (*d*) the mere discovery of a new form of a known substance which does not result in the enhancement of the known efficacy of that substance or the mere discovery of any new property or new use for a known substance or of the mere use of a known process, machine or apparatus unless such known process results in a new product or employs at least one new reactant.
>
> *Explanation.* For the purposes of this clause, salts, esters, ethers, polymorphs, metabolites, pure form, particle size, isomers, mixtures of isomers, complexes, combinations and other derivatives of known substance shall be considered to be the same substance, unless they differ significantly in properties with regard to efficacy.

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(5) Section 5 on "Invention where only methods or processes of manufacture patentable" deleted.

(6) Section 8 regulating "Information and undertaking regarding foreign applications" sub-sec. (2) substituted as follows:

(2) At any time after an application for patent is filed in India and till the grant of a patent or refusal to grant of patent made thereon, the Controller may also require the applicant to furnish details, as may be prescribed, relating to the processing of the application in a country outside India, and in that event the applicant shall furnish to the Controller information available to him within such period as may be prescribed.

(7) While a provisional specification is filed under s. 9 the time limit for filing complete specification limited to 12 months.

(8) Provision to deposit the biological material, mentioned in the specification which is not available to public has now to be made to the international depository authority under the Budapest Treaty.

(9) The heading of Chapter IV renamed by substitution as "Publication and examination of application".

(10) In s. 11A on "Publication of applications", sub-secs. (1), (2) and (3) substituted.

(11) The provisions in s. 11B on "Request for examination" and also in s. 12 on "Examination of application" substantially changed.

(12) The provision of s. 15 substituted as follows:

15. *Power of Controller to refuse or require amended applications, etc., in certain case.* Where the Controller is satisfied that the application or any specification or any other document filed in pursuance thereof does not comply with the requirements of this Act or of any rules made thereunder, the Controller may refuse the application or may require the application, specification or the other documents, as the case may be, to be amended to his satisfaction before he proceeds with the application and refuse the application on failure to do so.

(13) Provision in s. 21 on "Time for putting application in order for grant" entirely substituted.

(14) Provisions for acceptance, advertisement of acceptance and effect of acceptance of complete specification—deleted (vide ss. 22, 23 & 24).

(15) Chapter IVA — deleted.

(16) The provision in s. 25 on "Opposition to the Patent" entirely substituted.

(17) The provisions in s. 39 regulating application for patent substituted by new provision prohibiting residents not to apply outside India without prior permission.

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(18) Provisions in s. 43 on "Grant of Patents" substituted as follows:

43. *Grant of patents.* (1) Where an application for a patent has been found to be in order for grant of the patent and either—

(*a*) the application has not been refused by the Controller by virtue of any power vested in him by this Act; or

(*b*) the application has not been found to be in contravention of any of the provisions of this Act,

the patent shall be granted as expeditiously as possible to the applicant or, in the case of a joint application, to the applicants jointly, with the seal of the patent office and the date on which the patent is granted shall be entered in the register.

(2) On the grant of patent, the Controller shall publish the fact that the patent has been granted and thereupon the application, specification and other documents related thereto shall be open for public inspection.

(19) Section 48 on "Right to patentees" — Proviso is deleted.

(20) In s. 52, the word "court" is substituted by the words "Appellate Board or court".

(21) The provision in s. 58 on "Amendment of specification before Appellate Board or High Court"— entirely substituted.

(22) In s. 65, provision for patent relating to "atomic energy" substituted as follows:

65. *Revocation of patent or amendment of complete specification on directions from Government in cases relating to atomic energy.* (1) Where at any time after grant of a patent, the Central Government is satisfied that a patent is for an invention relating to atomic energy for which no patent can be granted under sub-section (1) of section 20 of the Atomic Energy Act, 1962 (33 of 1962), it may direct the Controller to revoke the patent, and thereupon the Controller, after giving notice, to the patentee and every other person whose name has been entered in the register as having an interest in the patent, and after giving them an opportunity of being heard, may revoke the patent.

(2) In any proceedings under sub-section (1), the Controller may allow the patentee to amend the complete specification in such manner as he considers necessary instead of revoking the patent.

(23) In s. 90 on "Terms and conditions of compulsory licences", cls. (*vii*), (*viii*) and (*ix*) of sub-sec. (1) substituted as follows:

(*vii*) that the licence is granted with a predominant purpose of supply in the Indian market and that the licensee may also export the patented product, if need be in accordance with the provisions of sub-clause (*iii*) of clause (*a*) of sub-section (7) of section 84;

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(*viii*) that in the case of semi-conductor technology, the licence granted is to work the invention for public non-commercial use;

(*ix*) that in case the licence is granted to remedy a practice determined after judicial or administrative process to be anti-competitive, the licensee shall be permitted to export the patented product, if need be.

(24) Inclusion of provision for compulsory licence for export of patented pharmaceutical products made as follows:

92A. *Compulsory licence for export of patented pharmaceutical products in certain exceptional circumstances.* (1) Compulsory licence shall be available for manufacture and export of patented pharmaceutical products to any country having insufficient or no manufacturing capacity in the pharmaceutical sector for the concerned product to address public health problems, provided compulsory licence has been granted by such country or such country has, by notification or otherwise, allowed importation of the patented pharmaceutical products from India.

(2) The Controller shall, on receipt of an application in the prescribed manner, grant a compulsory licence solely for manufacture and export of the concerned pharmaceutical product to such country under such terms and conditions as may be specified and published by him.

(3) The provisions of sub-sections (1) and (2) shall be without prejudice to the extent to which pharmaceutical products produced under a compulsory licence can be exported under any other provision of this Act.

Explanation. For the purposes of this section, 'pharmaceutical products' means any patented product, or product manufactured through a patented process, of the pharmaceutical sector needed to address public health problems and shall be inclusive of ingredients necessary for their manufacture and diagnostic kits required for their use.

(25) In s. 120, fine for "ten thousand rupees" enhanced to "one lakh rupees".

(26) In s. 122. fine for "twenty thousand rupees" enhanced to "ten lakh rupees".

(27) The provision in s. 133 on "Convention countries", substituted as follows:

133. *Convention countries.* Any country, which is a signatory or party or a group of countries, union of countries or intergovernmental organisations which are signatories or parties to an international, regional or bi-lateral treaty, convention or arrangement to which India is also a signatory or party and which affords to the applicants for patents in India or to citizens of India similar privileges as are granted to their own citizens or citizens to their member countries in respect of the grant of patents and protection of patent rights shall be a convention country or convention countries for the purposes of this Act.

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Part 2

Industrial Designs

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CHAPTER

16

Industrial Designs

1 Introduction

Those who wish to purchase an article for use are often influenced in their choice not only by practical utility and efficiency but also by its appearance. Some look for artistic merit. Some are attracted by a design which is strange or bizarre. Many simply choose the article which catches their eye. Whatever the reason may be, one article with a particular design may sell better than one without it. It would, therefore, be profitable to use a design which will attract customers. Much thought, time and expense may have been incurred in finding a design which will increase sales. The object of design registration is to see that the originator of a profitable design is not deprived of his reward by others applying it to their goods without his permission.

The law protecting designs was governed by the Designs Act 1911 which has now been replaced by the Designs Act 2000 which has been brought into force with effect from 11th May 2001. This Part is based on the provisions of the Designs Act 2000.

Copyright under the Designs Act and Copyright Act

The right conferred by registration of a design is called 'copyright'. This appears to be a misnomer as it has no resemblance to the copyright under the Copyright Act. This right is a monopoly right more akin to the right given under the Patents Act.

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Copyright in an industrial design or product design is governed by the Designs Act 2000. If a design is registered under this Act it is not eligible for protection under the Copyright Act even though it may be original artistic work. In the case of a design which is capable of registration under the Designs Act, but not so registered, copyright will subsist under the Copyright Act 1957, but it will cease to exist as soon as any article to which the design has been applied has been reproduced more than fifty times by an industrial process by the owner of the Copyright. It would, therefore, follow that designs which are not registrable under the Designs Act get protection under the Copyright Act provided they are original artistic works.

The protection given under the Designs Act is not Copyright Protection but a true monopoly based on statute. Although there is an area of overlap between the Copyright Act and Designs Act in respect of designs, the two statutes do not give coterminous protection as regards the subject-matter.

Functional designs

Designs which are functional are not registrable under the Designs Act. Thus if a designer makes an article in a certain shape not in order to make it appeal to the eye of a customer but solely to make the article work or to perform functional requirements, no registrable design exists. The drawings or diagram on the basis of which the articles are made are artistic works within the definition of artistic work under the Copyright Act, and the articles being three dimensional representations of the drawing are reproductions in a material form of the drawings. Thus such drawings and the articles made therefrom enjoy copyright protection for the lifetime of the author plus sixty years.

Definition of design—sections 2(d) and 4 of the Designs Act 2000

"Design" means only the features of shape configuration, pattern, ornament or composition of lines or colours applied to any article whether in two dimensional or in three dimensional or in both forms by any industrial process or means whether manual, mechanical or chemical separate or combined which in the finished article appeal to and are judged solely by the eye but does not include any mode or principle of construction or anything which is in substance a mere mechanical device. It does not include a trade mark or property mark or an artistic work. A design in order to be registrable must be new or original not

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previously published in India or anywhere in the world. A design may be incorporated in the article itself as in the case of a shape or configuration which is three dimensional in nature or it may be represented two dimensionally on a piece of paper in such a way that the article to which it is applied could be visualised. Shape and configuration are three dimensional, e.g. the shape of a bottle, vase and so on; while patterns or ornaments are two dimensional as in the case of patterns for textiles, wallpaper, etc., which serves the purpose of decoration. A design may be the shape of a wash basin, a motor car, a locomotive engine or any material object, it may be the shape embodied in a sculptured or a plastic figure, which is to serve as a model for commercial production, or it may be a drawing in the flat or a complex pattern to be used for the manufacture of things such as linoleum or wallpaper. A design must have individuality of appearance, which makes it not merely visible but noticed although it need not possess any artistic merit.

A design not distinguishable from known designs or which consists of scandalous or obscene matter is not registrable.

An industrial design is different from a trade mark. If after the expiry of the monopoly period, the design is not used by other traders it might in course of time become distinctive of the goods of the original proprietor and acquire significance as a trade mark (get-up). In such circumstance it can be protected from copying by others by a passing off action.

The statutory definition of design should be distinguished from another sense in which the word is used in common parlance in the sense of contrivance or method or process.

Design must be applied to articles

A design is something which is applied to an article and is not the article itself. A piece of paper on which a pattern is drawn cannot be a subject-matter for registration of design. But a piece of paper on which is drawn a three dimensional object with the pattern shown on it may be registered as a design because here the design is a representation of the article, on which the pattern is applied. Similarly if the drawing is that of an article like a bottle, vase, chair, table, a motor body it would be registrable as a design if it is novel. Here what may be registered is the shape of an article and the drawing on the paper is only a convenient representation of the shape of the article. However, a wall paper or Christmas cracker is an article of manufacture within the meaning of the definition of a design.

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An article to which the design is to be applied must be something which is to be delivered to the purchaser as a finished article. Thus in general buildings and structures like a petrol filling station cannot be considered as articles within the definition of design. But portable structures which are sold as finished articles may be subject-matter for registration of design. Similarly models of buildings and structures (toys for example) may also be subject-matter of a design.

The design of a part of an article is not registrable as a design unless the part is sold separately as an article.

A design applicable to a thing for its shape can only be applied to the thing by making it in that shape. Applied is an appropriate word for a pattern or ornament but it is an awkward word with regard to shape.

There are six features to a design. They are shape, configuration, pattern ornament composition of lines and colours. The terms *shape and configuration* refer to the form of an article and is usually three dimensional in nature. Pattern and ornament are decorative features ordinarily applied to the surface of the articles as in the case of wallpaper, textiles and playing cards. It is two-dimensional in nature. Pictures or devices printed on packages are also considered as industrial designs. Composition of lines or colours are applied to the surface of the article.

The author of an industrial design is the one who conceived and created the design for the first time and reduced it to a visible form whether by drawing or making a model.

2 Appeal to the eye

The definition of design refers to features of shape, etc., which in the finished article appeal to and are judged solely by the eye. This shows that not all shapes or configurations or patterns are registrable designs. The features should appeal to the eye and should be judged solely by the eye and not by any functional considerations. The eye must be the eye of the customer on a visual test. "The policy of the Act is to preserve to the owner of the design the commercial value, resulting from customers preferring the appearance of articles which have the design to that of those which do not have it. So the design must be one which appeals to the eye of some customers. And the words 'judged solely by the eye' must be intended to exclude cases where a customer might choose an article of that shape not because of its appearance but because of the shape that made it

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more useful to him" [*Amp.* v *Utilux* [1972] RPC 103 at 108 (HL)].

There must be a special, peculiar, distinctive, significant or striking appearance—something which catches the eye and in this sense appeals to the eye. The features must have some individual characteristic. It must be calculated to attract the attention of the beholder. The design must be non-functional, as it is to be judged solely by the eye. The customer must be influenced only by the eye and not by the suitability of the article for any particular purpose. The eye to which appeal must be made and the eye which is to judge is the eye of the customer.

It is not necessary that all the features of the design should be visible at the time of purchase; but they should be visible when it is actually used for the purpose for which the article was bought, e.g. an egg shaped chocolate with the exterior and interior having different colours.

Any mode or principle of construction or anything which is in substance a mere mechanical device is not a registrable design. A conception or suggestion as to a mode or principle of construction though in some sense a design, is not registrable. A trade mark also is not considered a registrable design.

Where a design is functional, but it also contains features of shape that appeal to the eye in addition to or supplementary to the function, it may be registrable.

3 Novelty and originality

A design in order to be registrable must be both new and original not previously published in India or elsewhere. Natural objects applied as designs may be novel or original. For example the representation of a tree or a building on a spoon may be considered new or original. Here the novelty consists in the application of a drawing or design taken from a material source to an article. The words new or original involve the idea of novelty either in the pattern, shape, or ornament itself or in the way in which an old pattern shape or ornament is to be applied to some special subject-matter. A paper weight in the shape of an animal may be new and original. In order to be registrable the design should be substantially different from pre-existing designs applied to the class of article. What amounts to a substantial difference must depend on the particular facts of each case. A design which is a fraudulent or obvious imitation of an existing design will be considered a pirated copy.

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"Original" means originating from the author of the design, s. 2(*g*).

The novelty or originality of a particular part of the article may be sufficient to impart the character of novelty and originality to the whole. A combination of known designs may be considered novel if the appearance of the combination as a whole is new. The design must be substantially novel and substantially original, having regard to the nature and character of the subject-matter to which it is to be applied. Workshop alterations which a skilled workman is expected to produce in his day-to-day business will not be considered novel. A combination of two or more old features may be registrable if the combination is not obvious but is new and original.

Colour may form an element in a design, but colour or colouring as such does not constitute a design, unless the change of colour creates a new pattern or ornament. Composition of lines or colours can constitute or design under the new definition.

In deciding the question of novelty or originality evidence of experts in the trade is admissible. Whether the design is new and original should be considered by an instructed person who knows what was common trade knowledge and usage in the class of articles to which the design is applied. The introduction of ordinary trade variants into an old design cannot make it new or original.

4 Publication

An application for registration of a design should be for a new or original design not previously published in India or in any other country. This raises the question as to what is meant by publication. The Designs Act does not define the word publication as in the Copyright Act. In order to constitute publication, a design must be made available to the public or it is shown or disclosed to some person without any obligation to keep it secret. It is not necessary that the design should have been actually used. Publication may be of two types: (*a*) Publication in prior document, and (*b*) Publication by prior user. If a copy of the publication is available in a public library that may be sufficient to constitute publication.

Where, however, the design has been disclosed to a person in confidence that would not constitute publication of the design. Thus disclosure of the design in breach of good faith by a third person or the acceptance of a first and confidential order for

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goods bearing a new or original textile design intended for registration will not amount to prior publication.

Publication by prior user arises when the design has been applied to articles before the date of registration, and the articles used in such a way as to constitute disclosure to public. Showing the articles to a person in a shop, exhibition of articles to visitors in a private house, free gifts of the articles to individuals who are at liberty to use them as they like may constitute publication.

In regard to patent specification, if the design was so described in the specification that some persons may fairly be supposed to have known of it, there is publication of the design. The presence of such specification or copies thereof in the Patent Office constitute publication.

Mere private or secret use or mere experimental working in the laboratory before the date of registration may not invalidate a registered design.

Exhibition of a design or an article to which the design has been applied in an industrial or other exhibition notified by the Central Government, publication of a description of the design elsewhere during or after the period of exhibition without the privity or consent of the proprietor will not amount to prior publication if prior notice of such exhibition is given to the Controller of Patents and Designs and an application for registration is made within six months of the date of first exhibiting or publishing a description of the design.

Designs prohibited from registration—sections 4 and 5

The following designs are prohibited from registration:

(1) A design which is not new or original.
(2) A design which has been disclosed to the public anywhere in the world prior to the filing date or the priority date of application.
(3) A design which is not significantly distinguishable from known design or combination of known design.
(4) A design which comprises or contains seandalous or obscene matter.
(5) A design which is contrary to public order or morality.

5 Registration of designs

Registration of designs is done by the Patent Office at Calcutta. The procedure for registration is contained in ss. 5-10 of the Designs Act and Rules prescribed.

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Any person claiming to be the Proprietor of any new and original design not previously published in any country may apply for registration of the design. For the purpose of registration goods are classified into 32 classes under the Third Schedule to the Designs Rules 2001.

An application may endorse on the application a brief Statement of the novelty he claims for his design as for example: "novelty resides in the shape of the ash-tray as illustrated"; "novelty resides in the shape or configuration in the bookshelf as illustrated"; novelty resides in the ornamental surface pattern of the football as illustrated; "novelty is claimed for the floral ornamentation of the pot as illustrated" and so on.

On receipt of an application the application will be examined by an examiner as to whether the design is registrable under the Act and the Rules and submit a report to the controller.

If the application is in order and satisfies the requirements of the Act and the Rules the Controller will accept the application and register it. The design when registered will be registered as of the date of the application for registration. There is no provision under the Act for advertisement of the application before registration or any opposition proceedings as in the Patents Act or Trade Marks Act.

If the application due to any default on the applicant is not completed within the prescribed time it will be deemed to be abandoned.

If the controller refuses an application any person aggrieved may appeal to the High Court.

Certain emblems and seals like the emblem and seal of the United Nations Organisation, of the World Health Organisation, of the Government of India or any State and the Indian National Flag are not registrable as designs.

Registration of the design in the first instance will be for a period of ten years which can be extended by five years.

The controller has power to correct clerical errors in the register on a request made for the purpose in the prescribed form (s. 29).

Substitution of applicant—section 8

During the pendency of an application the controller may substitute the name of the applicant by any person who has satisfactorily established a claim to the design by assignment or agreement.

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Application abandoned or refused—section 28

Where an application for a design has been abandoned or refused, the application and related documents left with the application will not at any time be open to public inspection or published.

The register of design—sections 10 and 25

The register of designs will contain particulars of the registered proprietor and the registered designs, notifications of assignment or transmission of registered designs and other matters prescribed. But no notice of trust will be entered on the register.

The register may be maintained in computer floppies or diskettes.

The register of designs existing at the commencement of the Act will form part of the register of designs under the Act.

The register of designs is *prima facie* evidence of any matter entered therein. The register is open to public inspection subject to the conditions prescribed. Certified copies of entry in the register may also be obtained (s. 26).

Cancellation of registration—section 19

Any person interested may present a petition to the controller for cancellation of registration of a design on any of the following grounds, namely—

(*a*) that the design has been previously registered in India, or

(*b*) that it has been published in India or in any other country prior to the date of registration, or

(*c*) that the design is not a new or original design, or

(*d*) that the design is not registrable under the Act, or

(*e*) that it is not a design as defined under cl. (*d*) of s. 2.

An appeal from the order of the controller will lie to the High Court. The controller may also at any time refer any such petition to the High Court for decision.

Assignment and license—section 30

The registered proprietor of the copyright in a design may assign the design or grant licences to use the design or otherwise deal with the design. The assignment or license should be in writing and registered with the controller.

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Rectification of register—section 31

The controller may rectify the register on the application in the prescribed manner by any person aggrieved in respect of the following matters:

(*a*) non-insertion of or any omission of any entry, or
(*b*) any entry made without sufficient cause, or
(*c*) any entry wrongly remaining on the register, or
(*d*) an error or defect in any entry.

The rectification may be by way of expunging or varying any such entry.

The controller has power to decide any question necessary or expedient in connection with rectification.

An appeal lies from any decision of the controller to the High Court. The controller may also refer any application for rectification to the High Court for decision.

Any other of the court rectifying the register will be sent to the registrar who will then rectify the register accordingly.

The controller cannot in the name of rectification cancel the registration as provided in s. 19.

6 Rights conferred by registration—sections 11–15

The registered proprietor of a design has the exclusive right to apply a design to any article in any class in which it is registered. This right is called a Copyright in the design. The nature of the Copyright is different from the Copyright under the Copyright Act. Copyright in a design can last for a maximum period of fifteen years. Thereafter it becomes public property and anybody can use it.

The rights conferred by registration is subject to the following conditions:

(1) If exact representations or specimens of the design are not supplied to the Controller by the registered proprietor as required the Controller may erase his name from the register.

(2) The articles on which the design is applied should be marked in the prescribed manner with the word "Registered" or its abbreviation 'Regd' or 'RD' followed by the registration number. This requirement may be waived in the case of certain articles subject to conditions.

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If the proprietor fails to apply the marking as above, he will not be entitled to recover any penalty or damages in respect of any infringement of copyright unless he shows that he has taken all precautions to ensure the marking of the article or that the infringer had knowledge of the existence of the Copyright in the design.

Registration does not in fact give any exclusive right to the registered proprietor. What it gives is the right to stop others from infringing his registration by making, applying the design or importing articles bearing the design and so on. Registration is not a guarantee of its validity since the official novelty search is a very limited one.

Lapsed designs—sections 12-14

If the registration is not renewed in the prescribed manner after the expiration of ten years from the date of registration, the registration will lapse and cease to have effect. The registered proprietor may make an application for restoration of the lapsed design in the prescribed manner within the prescribed time. The controller will then if satisfied that the failure to pay the fee for extension of the period of copyright was unintentional and that there has been no undue delay in the making of the application may upon payment of all fees due restore the registration of the design. If so desired the controller may offer a hearing to the applicant. Where the restoration is allowed the controller may impose such conditions as prescribed or as he may think fit to protect the interests of persons who had commenced to use the design during the lapsed period.

The proprietor of the registered design is barred from instituting a suit for infringement of the design during the period of lapse and claim penalty or damages.

Inspection of registered design—sections 17 and 18

During the existence of the copyright in the registered design any person may inspect the register on payment of the prescribed fee and identification of the registered design. Any person may obtain a certified copy of the register on payment of the prescribed fee.

The controller may furnish information as to whether the registration of the design exists, to any person making an application for the purpose in the prescribed manner.

Effect of disclosure of design—section 16

The disclosure of a design by the proprietor in confidence to any person who has contrary to good faith used or published that

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design or the acceptance of a first and confidential order for articles bearing a new or original textile design intended for registration will not be deemed to be a publication of the design sufficient to invalidate the copyright thereof if registration thereof is obtained subsequently to the disclosure or acceptance.

7 Infringement of copyright in a design—piracy of registered design—section 22(1)

The Designs Act refers only to the piracy of registered design which in substance is the same as infringement of the Copyright in the design. During the existence of Copyright in the design it is not lawful for any person to do the following acts without the consent or licence of the registered proprietor of the design:

(1) to apply or cause to apply the registered design to any class of goods covered by the registration the design or any fraudulent or obvious imitation thereof;

(2) to import for the purpose of sale any article belonging to the class in which the design has been registered and to which the design or a fraudulent or obvious imitation thereof has been applied;

(3) to publish or expose or cause to be published or exposed for sale any article of the class in question to which the design or a fraudulent or obvious imitation thereof has been applied.

In fact any unauthorised application of the registered design or a fraudulent or obvious imitation thereof to any article covered by the registration for trade purpose or the import of such articles for sale is a piracy or infringement of the Copyright in the design.

A distinction is made between a 'fraudulent' and 'obvious' imitation. In both cases the design applied must be an imitation of the registered design. In the case of fraudulent imitation the imitation need not be obvious. It is sufficient if it is fraudulent, that is to say, the imitation has been made with the intention to deceive another person with the knowledge that what is being done is a violation of the other person's rights. In the case of an obvious imitation the imitated article must be very much closer to the genuine article than the merely imitated article. The test of determining whether the design is an imitation is for the eye because the finished article bearing the design must appeal to and is solely judged by the eye.

In deciding whether the defendants' article is an infringement of the registered design one has to consider the essential features

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of the registered design and the scope of its monopoly. It may be that the registered design is made up of a pattern which has no one striking feature in it but appeals to the eye as a whole. Another design may be an imitation of it if it makes the same appeal to the eye notwithstanding many differences in details. On the other hand, a design may have a striking feature which catches and holds the eye when one looks at the design. If another design is like the registered design but without the striking feature or an altered one that is not recognisable then it may not be an imitation.

The task of the judge is to look at the two articles, to observe their similarities and differences, to see them together and separately, and to bear in mind that in the end the question whether or not the design of the defendants' article is substantially different from that of the plaintiff is to be answered by consideration of the respective designs as a whole, and viewed through the eyes of a consumer or customer. Common trade usage and trade variants and the degree of novelty in the registered design must be considered. The statement of novelty in the registered design and the state of knowledge at the date of registration must be taken into account. A difference in scale cannot be regarded as evidence of dissimilarity of design.

In so far as the appeal to the eye is concerned the customers to be considered are the manufacturers to whom the article with the design is supplied, the shopkeeper or the trade customers who sell the final article in which the registered design is a part and also the ultimate customers of the article.

Copying is not a criterion for determining infringement as in the case of infringement under the Copyright Act. Independently conceived designs can also be an infringement of the registered design.

8 Civil remedies against piracy—section 22(2)

The civil remedies available against infringement of Copyright in a design are: (*a*) an injunction, (*b*) damages or compensation, and (*c*) delivery-up of infringing articles. Injunction may be temporary or permanent. There is no provision for criminal proceedings against piracy of designs.

Interlocutory injunction

The principles applicable to the grant of interlocutory injunction in the case of a design are the same as are applicable in the case of a patent as indeed in the case of any other action.

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They are as follows:

(1) Plaintiffs should make out a *prima facie* case and show that the balance of convenience is in his favour.

(2) Interlocutory injunction may not be granted when the plaintiffs can be monetarily compensated in the event of his success in the action.

(3) Interlocutory injunction will not be granted if there are substantial grounds for attacking the validity of the registration.

(4) Interlocutory injunction will not be granted if the defendant gives an undertaking to keep an account if he is a person of substance and the undertaking will give the relief which the Plaintiff requires.

(5) If injunction is granted the Plaintiff should give a cross undertaking in damages to recoup the defendant for any loss sustained if the Plaintiff fails in the action.

(6) If there is undue or unexplained delay in seeking relief interim relief will be refused.

The registration of a design is not *prima facie* evidence of its validity. Hence if the defendants counter-claim for cancellation of the design on the ground that it is not new or original interlocutory injunction may not be granted. Where the defendants' design is also registered interim injunction will not be granted. If there is evidence that the registered design was applied to articles sold in India prior to the date of registration interim injunction will not be granted.

Damages or compensation

If the plaintiff succeeds in the action the defendant is liable to pay by way of compensation a sum of rupees twenty-five thousand for each of the three categories of infringement, namely commercial application of the design to articles, importation of the infringing articles and publication for sale of the infringing article subject to a maximum of fifty thousand rupees. If the proprietor elects to bring a suit for injunction and recovery of damages the amount of damages may be assessed on the same basis as in patent cases as the two are analogous, but it should not exceed fifty thousand rupees.

9 Defences

In an action for infringement of a registered design, the following defences are open to the defendant:

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(1) denial of infringement,
(2) Every ground on which the registration of a design may be cancelled under s. 19,[1]
(3) plaintiff is not entitled to sue,
(4) acquiescence and laches.

10 Suit for injunction and recovery of damages

Jurisdiction—section 22(2) second proviso

No suit or any other proceeding for relief under the sub-section should be instituted in any court below the court of District Judge. The suit can therefore be filed in a High Court also having original jurisdiction.

Remedies when design not registered

A design registrable under the Designs Act can be considered also as an artistic work under the Copyright Act 1957. Where the design is registered it cannot be protected under the Copyright Act. Where the design is not registrable under the Designs Act, Copyright can generally be claimed under the Copyright Act if the design is original. Where the design is capable of registration under the Designs Act, but which has not been so registered protection under the Copyright Act will cease as soon as any article to which the design has been applied has been reproduced more than fifty times by an industrial process by the owner or licensee.

If the design by user has become distinctive of the owner's articles it may be protected under the law of passing off.

11 Action for groundless threats—section 23

In the case of groundless threats of legal proceeding in respect of a registered design similar provisions under the Patents Act will apply in like manner as they apply to patents. See Chapter 13.

The basis of the action is that the threats are groundless. If the defendant could show that the alleged acts of the defendant would constitute infringement of the registered design there will be no cause of action unless the plaintiff could show that the registration is invalid.

1. This ground gives statutory recognition to the principle applied in *Nuky Tasha* case AIR 1985 Del 136 (DB). The decision to the contrary in *Metro Plastics* v *Galaxy Footwear* 2000 PTC 1 Del at 15 (FB) and *Rotomac* v *Milap Chand* 1999 PTC 757 Cal (DB) is no longer valid.

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The provisions of the Patents Act 1970 with regard to certificates of the validity of a patent will apply to designs also with substitution of references to the copyright in a design for reference to a patent, and of references to the proprietor of a design for references to the patentee and of references to the design for references to the inventions—see page 108 *ante*.

12 Powers and duties of controller—sections 32–36

In any proceedings before the controller, he has the powers of a civil court for the purpose of receiving evidence, administering oaths, enforcing the attendance of witnesses, compelling the discovery and production of documents, issuing commissions for examining witnesses, and awarding costs and such award will be executable in any court having jurisdiction as if it were a decree of that court.

The controller cannot exercise the discretionary powers under the Act adversely to an applicant for registration of a design without giving an opportunity of being heard.

In any case where the controller finds any difficulty in administering any provisions of the Act, he may apply to the Central Government for directions.

The controller may refuse to register a design, the use of which would be contrary to public order or morality.

The controller will not disclose any information relating to the registration of a design or an application for registration of a design which is prejudicial to the interest of the security of India—s. 46.

13 Appeal

Any appeal from the decision of the controller to the High Court should be made within three months of the date of the receipt of the order passed by the controller by the appellant.

The High Court may obtain the assistance of an expert in deciding appeals and the decision of the High Court is final.

The High Court may make rules consistent with the Act as to the conduct and procedure of all proceedings under this Act before it.

14 Evidence—section 37

Evidence before the controller in any proceeding under the Act should be given by affidavit. But he may also take evidence *viva voce* in lieu of or in addition to evidence by affidavit or may

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allow cross-examination of any party on the contents of his affidavit.

15 Certificate of Controller—sections 38 and 39

A certificate of the controller as to any entry, matter or thing which he is authorised to do will be *prima facie* evidence of such facts.

Copies of extracts or documents certified by the controller will be admitted in evidence in all courts without further proof or production of the originals. The court may, however, if it has reasons to doubt the accuracy or authenticity of the copies tendered as evidence may require the production of the originals.

16 Communication—section 40

Any document required to be submitted to the controller or any or any other person may be sent by post.

17 Declaration by infant, lunatic etc.—section 41

Any act required to be done by a disabled person may be done by his lawful guardian or other lawful representative.

18 Restrictive conditions in contracts—section 42

Section 42 deals with the circumstances in which a contract or dealing with a registered design imposing certain kinds of restrictive conditions will be treated as void.

19 Agents—section 43

Any act required to be done under the Act by any person in respect of registration of a design and related matters may be done by a duly authorised agent who may be a legal practitioner or a person registered as a patent agent under the Patents Act 1970.

20 Powers of Central Government—sections 44–47

The Central Government has the following powers:

(1) to make reciprocal arrangements with other countries regarding priority date and other rights relating to application from convention countries.
(2) to place before the Parliament the report of the controller regarding execution of this Act,
(3) to notify certain registered designs in the interest of the security of India.
(4) to make rules for carrying out the provisions of the Act.

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21 Repeal and savings—section 48

(1) The Designs Act 1971 is repealed.

(2) All acts done under the Designs Act 1911 which are in force at the commencement of the Act will continue to be in force and will have effect as if done under the corresponding provisions of this Act.

(3) The provisions of this Act will apply to all applications pending at the commencement of the Act and to any proceedings consequent thereon.

(4) Cases pending before any court will be continued as if this Act had not been passed.

(5) The date of expiration of the copyright in the designs registered before the commencement of this Act will be the date immediately after the period of five years for which it was registered or extension obtained.

22 Bibliography—Industrial Designs

— Morris and Quest: *Design—The Modern Law and Practice*, Ed. 1987, Butterworths.

— Russell-Clarke on *Copyright in Industrial Designs*, 5th Ed. 1974, Sweet & Maxwell.

— P. Narayanan: *Law of Copyright and Industrial Designs*, 3rd Ed. 2002, Eastern Law House.

The Designs Act 2000—Summary

The Designs Act 2000 was passed by Parliament, and brought into force with effect from 11th May 2001. It has many new features. The following is a brief summary of the new provisions of the Act.

(1) The definition of the "article" now includes part of an article capable of being made and sold separately—s. 2(*a*).

(2) The definition of "design" has been enhanced to include combination of lines or colours, article whether two dimensional or three dimensional or in both forms, and any artistic work as defined in cl. (*c*) of s. 2 of the Copyright Act 1957—s. 2(*d*).

(3) "Original" has been defined as originating from the author of such design and include the cases which though old in themselves yet are new in their application—s. 2(*g*).

(4) Prohibition of registration of certain designs.

The following designs are not registrable:

(*a*) a design which is not original;

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(*b*) a design disclosed to the public anywhere in the world by publication in tangible form or by use or in any other way prior to the filing date or priority date;

(*c*) a design which is not significantly distinguishable from known design or combination of known designs;

(*d*) a design comprising or containing scandalous or obscene matter.

(5) The design applied for registration must not be previously published in any country and which is not contrary to public order or morality—s. 8.

(6) The application for registration of a design will be examined by an examiner in respect of the registrability of the design—s. 8 proviso.

(7) When the application is refused by the controller, the applicant may appeal against the decision to the High Court—s. 8(4).

(8) The design after registration will be published by the controller in the prescribed manner—s. 7 and r. 22 of Designs Rules 2001.

(9) Any claimant to the design, before registration of the design may get his name substituted as the applicant subject to certain conditions—s. 5.

(10) The register of designs may be kept in computer floppies or diskettes—s. 10.

(11) A design which has lapsed due to non-payment of fees may be restored subject to certain conditions—ss. 12 and 13.

(12) The right of persons who had started using the lapsed design is protected when the design is restored—s. 14.

(13) Inspection of registered design is permitted and certified copy of any registered design may be obtained—s. 17.

(14) In respect of cancellation of registration by controller, two more grounds have been added, namely, (*i*) that the design is not registrable under the Act and (*ii*) that it is not a design as defined under the Act—s. 19.

(15) Penalty for piracy of a design is enhanced to a maximum of fifty thousand rupees.

In any suit or legal proceeding relating to piracy of a design the defendant can avail of any ground for cancellation as a ground for invalidity—s. 22.

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(16) The assignment of a design is not valid unless it is made in writing in the form of instrument containing all the terms and conditions and application for registration filed within the time prescribed—s. 30.

(17) Contract for sale of article or lease or license or manufacture of the article bearing a registered design should not contain any restrictive conditions—s. 42.

(18) Reciprocal arrangement with United Kingdom and other convention countries for protection of designs provided—s. 44.

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Part 3

Trade Marks

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CHAPTER

17

Introduction

1 General

Patents, registered designs and copyright are protected only for a limited period. On the other hand, in general, a registered trade mark can be protected in perpetuity subject only to the conditions that it is used and renewed periodically and the registered proprietor takes prompt action against infringers. It is interesting to note that the first trade mark registered in U.K. under No. 1 of 1876 consisting of a red equilateral triangle in respect of alcoholic beverages is still in force.

An unregistered trade mark, called a common law trade mark can be kept alive and protected for as long as it continues to be used provided the owner of the mark takes appropriate action against infringers by a passing off action or by criminal proceedings.

The statute law of trade marks in India till now was governed by the Trade and Merchandise Marks Act 1958. This Act has now been replaced by the Trade Marks Act 1999. This Part on Trade Marks is based on the new Act of 1999. The Trade Marks Rules 2002 deals with the various proceedings required to implement the provisions of the Act.

2 What is a trade mark

A trade mark is a visual symbol in the form of a word, a device, or a label applied to articles of commerce with a view to indicate

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to the purchasing public that they are the goods manufactured or otherwise dealt in by a particular person as distinguished from similar goods manufactured or dealt in by other persons. A person who sells his goods under a particular trade mark acquires a sort of limited exclusive right to the use of the mark in relation to those goods. Such a right acquired by use is recognised as a form of property in the trade mark, and protected under common law. A person can also acquire a similar right over a trade mark, not so far used but only proposed to be used, by registering it under the Trade Marks Act 1999. The law of trade marks is based mainly on the concepts: distinctiveness similarity of marks and similarity of goods.

Statutory definition of trade mark—section 2(1)(zb) of the 1999 Act

(1) Trade mark must be a mark which includes a device, brand, heading, label, ticket, name, signature, word, letter, numeral, shape of goods, packaging or combination of colours or any combination thereof—s. 2(1)(*m*).

(2) The mark must be capable of being represented graphically.

(3) It must be capable of distinguishing the goods or services of one person from those of others.

(4) It may include shape of goods, their packaging and combination of colours.

(5) It must be used or proposed to be used in relation to goods or services.

(6) The use must be for the purpose of indicating a connection in the course of trade between the goods or services and some persons having the right as proprietor to use the mark.

(7) The right to proprietorship of a trade mark may be acquired by registration under the Act or by use in relation to particular goods or services.

(8) The right of proprietorship acquired by registration is a statutory right which requires no actual user but only an intention to use the mark. On the other hand the right acquired by actual user in relation to particular goods or services, is a common law right which is attached to the goodwill of the business concerned.

A registered trade mark can be protected against unauthorised use by others by an action for infringement. This is a statutory remedy. An unregistered trade mark can be protected against unauthorised use by others by an auction for passing off which is a common law remedy.

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3 Function of a trade mark

The function of a trade mark is to give an indication to the purchaser or possible purchaser as to the manufacture or quality of the goods, to give an indication to his eye of the trade source from which the goods come, or the trade hands through which they pass on their way to the market. It tells the person who is about to buy that what is presented to him is either what he has known before under the similar name as coming from a source with which he is acquainted, or that it is what he has heard of before as coming from that similar source. It gives the purchaser a satisfactory assurance of the make and quality of the article he is buying, the particular quality being not discernible by the eye. It is on the faith of the mark being genuine and representing a quality equal to that which he has previously found a similar mark to indicate that the purchaser makes his purchase. A trade mark may be used to indicate not only that the goods are of a particular maker but are goods of that maker of a particular kind or quality. Thus a trader may indicate his best quality by one trade mark, his second quality by another trade mark and so on.

Under modern business conditions a trade mark performs four functions: (1) it identifies the product and its origin, (2) it guarantees its unchanged quality, (3) it advertises the product, and (4) it creates an image for the product.

The function of a service mark in relation to services is similar to that of a trade mark in relation to goods.

4 Evolution of trade mark law

The concept of identifying the source of manufacture by a mark is an ancient one. But its importance in commerce and trade was recognised only after the industrial revolution which enabled large scale production and distribution of goods and publicity through the printing media. Trade mark is essentially a product of competitive economy where more than one person competed for the manufacture of the same product which necessitated the marking of each manufacturers' goods by a symbol which distinguished similar goods made by others.

The growth of big companies dealing in various kinds of goods manufactured by itself or through other companies but marketed by it led to the use of its own trade mark on goods manufactured by others but marketed by it or otherwise dealt by it. To cope with this situation, the original concept of a trade mark indicating a source of manufacture was extended to include any connection in the course of trade. Thus under the present

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law a trade mark is defined as a mark used or proposed to be used in relation to goods for the purpose of indicating or so as to indicate a connection in the course of trade between the goods and the proprietor with or without any indication of the identity of that person. It is not necessary that the proprietor of the mark must himself manufacture the goods. He may get the goods manufactured by others.

By virtue of extensive use and advertisement a trade mark began to acquire goodwill and reputation among the customers of the goods. This tempted competitors to copy well known trade marks or choose marks which bore deceptive resemblance to reputed trade marks so that ordinary purchasers would be led to believe that the goods bearing such marks are the same goods which they were hitherto accustomed to buy and consequently the competitor could reap profits by trading on the reputation of another trade mark. Thus arose the necessity for protecting the goodwill and reputation of a trade mark.

Prior to the statutory registration of trade marks, the only way in which copying of a trade mark could be prevented was by bringing an action for passing off, which required proof of use and reputation of the mark each time an action is launched against an infringer. This process was cumbersome, time consuming and the outcome uncertain. Hence a system of registration of trade mark was evolved which gave statutory recognition to ownership of trade marks, and defined the rights conferred by registration and prescribed remedies in respect of infringement of those rights. The statutory law relating to trade marks was codified in the Trade and Merchandise Marks Act 1958 and the Trade and Merchandise Marks Rules 1959. The Act also provides for criminal action against infringers fraudulently copying another's trade mark. The law relating to passing off is still based on case law.

The statutory law of trade marks is now based on the new Trade marks Act 1999 and the Rules framed thereunder.

5 The object of trade mark law

The object of trade mark law is to deal with the precise nature of the rights which a person can acquire in respect of trade marks, the mode of acquisition of such rights, the method of transfer of those rights to others, the precise nature of infringement of such rights, and the remedies available in respect thereof. This branch of commercial law has undergone changes from time to time in tune with the changing pattern of business

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methods and practices. Even the very concept of a trade mark and its functions have changed.

6 What is a good trade mark

Apart from distinctiveness or capable of distinguishing a good trade mark should possess the following attributes:

(1) it should be easy to pronounce and remember, if the mark is a word,
(2) in the case of device mark the device should be capable of being described by a single word,
(3) it must be easy to spell correctly and write legibly,
(4) it should not be descriptive but may be suggestive of the quality of the goods,
(5) it should be short,
(6) it should appeal to the eye as well as to the ear,
(7) it should satisfy the requirements of registration,
(8) it should not belong to the class of marks prohibited for registration.

In general a manufacturer of goods is free to adopt any mark to distinguish his goods. There are a few exceptions to this, see the Emblems and Names (Prevention of Improper Use) Act 1950. The mark chosen may be a device, word, name, numeral, letters and so on. Not all marks have the intrinsic quality to distinguish the goods of one manufacturer from those of others. Thus purely descriptive or laudatory words like, good, best, perfect, excellent, names of places of industrial or commercial importance potentially suitable for manufacture of the goods, surnames, certain numerals and letters and so on are unsuitable for trade marks. Every manufacturer has a right to use words to describe the quality or character of the goods and the names of places where the goods are manufactured, or the name of the person who has manufactured the goods. Similarly letters are used as abbreviation of names, and numerals used to indicate quantity. Barring these exceptions any device or word which has no direct reference to the quality or character of the goods or which is not ordinarily required by other traders for *bona fide* descriptive use may constitute a good trade mark. Invented words or original artistic devices are generally considered to be very good trade marks.

It should be noted that a trade mark is something extra added to the goods for the purpose of indicating trade origin. A design which forms part of the goods itself cannot, therefore, be a trade mark.

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A mark may cover the whole of the visual surface of the goods. Further a distinctive colour combination or scheme of colouring can be a trade mark. A container in three dimensional form is also a trade mark. A two dimensional drawing of a container could be a trade mark. A trade mark should be visible to the purchaser when purchasing the goods.

7 Different forms of protecting trade marks and goodwill

If the mark is a registrable one the best way to protect it is by registration. Infringement of the mark can be easily established. If the infringing mark is identical and the goods covered by registration, the success in an action for infringement is almost certain unless the registration can be attacked on the ground of invalidity of registration or the defendant could establish honest concurrent user, or acquiescence on the part of the registered proprietor, or prior user. If the marks are not identical but only similar then the plaintiff will have to establish that the defendants' mark is deceptively similar, that is to say, the similarity is such as to be likely to deceive or cause confusion which is a proposition not easy to establish. Ultimately the question of similarity is one for the judge to decide on which opinion may often differ.

In the case of unregistered marks and marks which are not registrable the only way they can be protected is by an action for passing off. The plaintiff will have to prove sufficient use of the mark so as to create valuable goodwill of the business connected with the goods bearing the mark. *See* Chapter 26 on Passing Off.

8 Criminal proceeding

Criminal action against the infringer is possible whether the mark is registered or unregistered provided the marks are very close. Though *mens rea* i.e. intention to deceive need not be proved, evidence of fraudulent intention will be an important factor in favour of the complainant.

9 Trade marks becoming generic words

The value of a trade mark, whether registered or not can be main-tained only if the proprietor uses it and takes prompt action against infringers by an action for infringement, or passing off or by criminal proceedings.

If infringement of the mark is not prevented the mark is likely to become generic words, i.e. the name of the goods (this happens in respect of goods once patented) or common to the trade as it is called by the use of the mark or a similar mark by others. The

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distinctiveness of the mark will be lost or eroded or diluted if other traders use the same or similar mark in relation to the same or similar goods or sometimes to even totally different goods (if the mark is a well known one). Words like Linoleum, aspirin, celluloid, gramophone, nylon & gripe water were at one time registered trade marks but in course of time the unchecked use of the mark by others or sometimes by the owners own mistake in using the mark as the name of the product lost its distinctiveness and became generic.

A well chosen and well protected trade mark is the most valuable of industrial property and the strongest.

10 Service marks

There is now provision for registration of service marks in India under the new Act. Such marks or names used by business rendering various kinds of services can, therefore, be protected by an action for infringement if registered.

11 Licensing of trade marks

Licensing of patent, a registered design or a copyright is allowed by law without any restriction. This is because in the case of a patent the monopoly right consists in the manufacture of an article under the patent. If a third person is given a licence by the owner of the patent to manufacture the product, there is no question of any public interest involved. In fact if the patentee does not work the patent within a certain period the statute provides for compulsory licensing which is considered to be in the public interest. Similarly if a copyright owner licenses a third person to reproduce the work it is not considered to be against public interest. In many cases the only way in which the copyright owner can enjoy the benefits of copyright is by licensing a third person to exploit the work.

In respect of trade marks the position is different. The function of a trade mark being to indicate origin of the product it was considered deceptive to allow the trade mark to be used on goods which originate from a different source. Unrestricted licensing of trade mark was considered as trafficking in trade mark which is against public interest. However, development of modern industry and commerce has necessitated the licensing of trade marks, particularly registered trade marks, under suitable conditions and safeguards. The statute has provided for licensing of registered trade marks as registered users.

Licensing of unregistered trade mark or of a registered trade mark, except under the provisions of registered users, although

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not prohibited, is not recognised by law. However, many large companies particularly companies which have trading interests in different countries licence their trade marks, whether registered or unregistered under terms and conditions which are similar to those accepted for registration of permitted use. The present Act of 1999 has provided for licensing of registered trade mark without being registered as registered users under suitable conditions, see s. 2(1)(*r*)(*ii*) of the 1999 Act.

As regards unregistered trade marks courts have recognised licensing of unregistered trade marks as legitimate and lawful provided proper control over the use of the mark by the licensee is maintained and care taken to see that the ownership of the mark is indicated to the public. This is called common law licensing.

12 Certification trade mark

There is a species of trade mark called certification trade mark whose function is not to indicate trade origin as an ordinary trade mark but to indicate that the goods bearing the mark have been certified by the proprietor of the mark as to certain characteristics of the goods like geographical origin, ingredient and so on.

13 Collective trade marks—sections 2(1)(g) and 61-68

The new Act provides for registration of a species of trade mark called collective marks which is a trade mark distinguishing the goods or services of members of an association of persons (not being a partnership firm) from those of others. The proprietor of the mark is the association.

14 Service mark—section 2(1)(z)

A service mark is one which distinguishes the service rendered by one person from those of others. Service means service of any description which includes services in connection with business of any industrial or commercial matters such as banking, communication, education, financing, insurance, chit funds, real estate, transport and so on.

15 Appellate Board—sections 83-100

The new Act provides for the creation of an appellate Board to hear and decide all appeals from the decision of the Registrar. It is also empowered to entertain original application for rectification of the register.

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CHAPTER

18

Trade Marks Registry and Register of Trade Marks

1 Trade Marks Registry—sections 5 and 6

An office called the Trade Marks Registry has been established for the purpose of registration of trade marks, maintenance of the register and matters incidental thereto. The Head Office of the Registry is at Mumbai. It has branch offices at Kolkata, Delhi, Chennai and Ahmedabad. The Trade Marks Registry has a seal.

The Trade Marks Registry is under the charge of the Registrar of Trade Marks who is also the Controller-General of Patents, and Designs. He is assisted by a Joint Registrar, Deputy Registrars, Assistant Registrars, Examiners of Trade Marks and a Complement of Clerical staff. The Branch Offices are in the charge of Deputy Registrar or Assistant Registrar assisted by Examiners and clerical staff. The Joint Registrar, Deputy Registrar and Asst. Registrar exercise the same powers as the Registrar in respect of any matter under powers delegated to them by the Registrar.

Apart from the Register of Trade Marks the Registry maintains indexes of: (*a*) registered trade marks, (*b*) applications for registration, (*c*) the names of proprietors of trade marks, and (*d*) the names of registered users. The branch offices keep a copy of the register and copies of the indexes.

Under the new Act the register may be maintained in computer floppies or diskettes—s. 6(2).

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The following documents are open to public inspection on payment of certain fee:

(*a*) the register, applications for registration, evidence, if any, filed in connection with registration and all correspondence relating thereto;

(*b*) notice of opposition, applications for rectification, counter-statements and affidavits and documents filed by the parties in any proceedings before the Registrar;

(*c*) all regulations deposited relating to certification trade marks;

(*d*) all indexes kept in the Registry; and

(*e*) copies of applications for registration of trade marks.

2 Certified copies—section 137

Certified copies of entries in the register or of certain documents open to public inspection may be obtained by any person. A copy of the entry in the Register or of any document certified by the Registrar and sealed with the seal of the Trade Marks Registry will be admitted in evidence in all courts in all proceedings without further proof or production of the original.

3 Registrar a tribunal—section 2(1)(ze)

The Registrar of Trade Marks is a tribunal and has vast discretionary powers in regard to matters pertaining to registration of trade marks and functions connected therewith. He has also the powers of a Civil Court in certain matters, and certain residuary powers, but he is not a court. The Registrar will not exercise any discretionary or other powers vested in him adversely to a person without giving to that person an opportunity of being heard. The registrar has also power to review his own decision.

The decisions of the Registrar are appealable to the Appellate Board and the Appellate Board in dealing with the appeal has the same discretionary powers as the Registrar.

4 Jurisdiction of the trade marks offices

The jurisdiction of the Head Office and the Branch Offices are territorially demarcated on a zonal basis. Applications for registration should be filed in the Office within whose territorial jurisdiction the applicants' principal place of business is located. All oppositions and rectifications should be filed in the office where the application for registration was filed.

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All applications for registration of trade marks are examined and processed in the Head Office. Hearings in respect of the applications are held at the appropriate office where the applications were filed. Applications for rectifications and oppositions to applications are filed and dealt with in the respective offices where the applications for registration of the marks were filed.

5 Trade marks journal

This journal is published by the registrar of trade marks on the first and sixteenth of every month. It contains (1) particulars of applications for registration of trade marks accepted and those advertised before acceptance; (2) notifications of corrections and amendments made in the applications after advertisement; (3) list of applications refused after opposition; (4) list of registered trade marks, registered users of registered trade marks, particulars of subsequent proprietors of registered marks, list of registrations renewed from time to time, particulars of rectification, corrections and amendments made in the register and so on.

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CHAPTER

19

Property in a Trade Mark and Registration of Trade Marks

1 Property in a trade mark

Under common law a trader acquires a right of property in a distinctive trade mark merely by using it upon or in relation to some goods irrespective of the length of such user or the extent of his trade. As between two who are each desirous of adopting the same mark it is entirely a question of who gets there first.

Property in a trade mark which is only proposed to be used in relation to some goods can be obtained by registration of the mark under the Trade Marks Act 1999.

There is no right to the exclusive ownership of a trade mark apart from its use or application of it in connection with some vendible commodity. In other words property in a trade mark does not exist in vacuo.

Property in a non-distinctive trade mark as for example a descriptive word, surname, geographical name can be acquired by extensive use of the mark in relation to some goods which has resulted the mark becoming distinctive of the goods of the trader who has used the mark.

Property in a trade mark can be lost in many ways: in the case of registered trade mark by non-payment of renewal fee and for other reasons and in the case of a common law trade mark by non-use for a length of time or by unrestricted piracy.

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2 What marks are registrable—sections 9–12

The Trade Marks Act 1999 does not define the categories of marks registrable or the requisites for registration of a mark. It defines what marks are not registrable under two headings, namely; Absolute grounds for refusal—s. 9 and Relative grounds for refusal—s. 11 and then proceeds to state the circumstances in which they may be registered. The basic qualification for registrability of a mark is contained in the definition of trade mark itself, namely:

(1) capable of being represented graphically, and

(2) capable of distinguishing the goods or services of one person from those of others.

The advantage of this scheme is that whatever is not prohibited from registration is registrable if it satisfies the above two requirements. This has enormously increased the scope of registrable marks.

Absolute grounds for refusal of registration—section 9

A trade mark—

(*a*) which is devoid of any distinctive character; that is to say, not capable of distinguishing the goods or services of one person from those of others;

(*b*) which indicates quality or other descriptive character of the goods or services;

(*c*) which have become customary in the current language or in the *bona fide* or established practice of the trade. This may relate to generic names or marks common to the trade.

The above categories of marks are registrable if they have acquired a distinctive character as a result of use or is a well known trade mark. Well known trade mark is defined in s. 2(1)(*zg*) as a mark which in relation to any goods or services has become so to the substantial segment of the public which uses such goods or received such services that the use of such mark in relation to other goods or services would be likely to be taken as indicating a connection in the course of trade or rendering of services between those goods or services and a person using the mark in relation to the first mentioned goods or services. The factors which have to be considered in determining whether a trade mark is a well known trade mark is detailed in s. 11(6) to (11).

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Marks not registrable—sections 9 and 11

There is another category of marks which are not registrable under any circumstances there are:

(*a*) a mark by its very nature will deceive the public or cause confusion;

(*b*) a mark which is likely to hurt the religious susceptibilities of any section of the people of India;

(*c*) a mark which contains scandalous or obscene matter;

(*d*) a mark the use of which is prohibited under the Emblems and Names (Prevention of Improper Use) Act 1950;

(*e*) the shape of goods which are purely functional or necessary to obtain technical result or which gives substantial value to the goods.

Besides the above, although not mentioned specifically in the list of marks subject to absolute grounds of refusal of registration these are marks which are nevertheless unregisterable. These are chemical names and international non-proprietary names—s. 13.

Relative grounds for refusal of registration—section 11

Under this category comes:

(*a*) a mark which is identical or similar to an earlier trade mark and the respective goods or services are identical or similar, or

(*b*) a mark which is identical or similar to an earlier trade mark, but the goods or services are not similar.

The first category of marks corresponds to s. 12(1) of the Act of 1958. The second category of marks corresponds to s. 11(*a*) of the Act of 1958; but substantially different in some respects.

The above categories of marks may however be registered if the proprietor of the earlier trade mark consents or the mark is registrable under s. 12 by virtue of honest concurrent use.

The question of refusal of registration of a mark similar to an earlier trade mark where the goods are different can be considered only in opposition proceedings.

In considering the second category of marks where the marks are similar but the goods are different the following factors will have to be taken into account in considering their registrability:

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(*a*) the extent to which the earlier trade mark is a well known trade mark in India;

(*b*) whether the use of the applicants mark without due cause would take unfair advantage of the earlier trade mark;

(*c*) whether the use of the applicants' mark would be detrimental to the distinctive character or repute of the earlier mark.

Further, a mark should not be registered if its use is likely to be prevented under the law of passing off or the law of copyright.

What are good trade marks?

The best marks are invented words, non-descriptive words and distinctive devices. Device marks are popular for ordinary consumer goods like cosmetics, textiles, household articles and articles of food. Even here the device may serve only the purpose of attractive packaging and a good word mark will be required as goods are ordered only by word marks. In the case of pharmaceutical products word marks are indispensable, for a particular medicine is prescribed or ordered only by the brand name.

Device marks have one advantage over other marks, in that if the device is original it can be considered as an artistic work capable of being protected under the copyright law. If the device is distinctive it can be protected under the trade mark law also. Even where the device is not capable of registration as a trade mark, if it is original not necessarily having any artistic merit, copyright will subsist in it and any person copying it can be sued for infringement of copyright. Hence it gets double protection. In the case of word marks also if it is written in an original style with embellishments, it will be capable of protection under copyright law. It may therefore be advisable to adopt, in addition to a word mark, a distinctive original device as part of the trade mark.

3 Distinctiveness, distinctive character and capable of distinguishing

A trade mark will be registered only if it has distinctive character that is to say, it must be capable of distinguishing the goods or services of the applicants from the goods or services of others. Distinctive character may be inherent in the mark itself as in the case of invented word, non-descriptive words, non-descriptive devices and so on. It can also be acquired by user as in the case of words which have a descriptive significance, surnames or names of

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places which have no industrial or commercial importance. How far such a mark has become in fact distinctive or acquired a distinctive character will depend upon the extent of user, the nature of the goods and the degree of inherent distinctiveness of the mark itself. But there are some marks like purely descriptive words or laudatory expressions, very common surnames or geographical names of commercial or industrial importance which are not registrable even upon proof of hundred per cent factual distinctiveness. Examples of such marks are 'Perfection', 'All wool' for woollen goods, 'Electrics' for electrical goods, 'Liverpool', 'Simla', 'Janata' and so on.

4 Meaning of the different expressions

In the Act of 1999 the expressions capable of distinguishing, distinctive and distinctive character are used. Distinctive character has been used as synonymous with capable of distinguishing. Word distinctive is used in s. 133 (preliminary advise of registrar). In the former Act of 1958, the expressions, distinctiveness, adopted to distinguish and capable of distinguishing are used. The difference in meaning between these expressions and the corresponding expressions used in the former Act would appear to be only a matter of degree. However, for the exact meaning of these expressions used in the present Act we have to wait for judicial interpretation.

It is advisable that in choosing a trade mark, one should avoid words which are directly descriptive of the goods, common surnames, or geographical names (unless it is the name of an obscure place unfit for human habitation).

Evidence of distinctiveness should be in the form of an affidavit giving particulars of year-wise sales turnover of the goods and advertisement expenditure supported by documentary evidence in the form of invoices, orders, specimens of labels and advertisement cuttings. If possible evidence from dealers and consumers will be helpful in proving distinctive character.

It is not necessary that a person should wait for registration before using the mark. As registration of the mark is time consuming, it is advisable to start using the mark after an application for registration is made provided preliminary investigation made show that there is no similar existing mark. An application will enable the applicant to put in a claim to proprietorship of the mark even if it is only proposed to be used. Records of the investigations made regarding the possible existence of similar marks should be

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preserved as it might serve as evidence of honest adoption in case of opposition proceedings against the application.

Where the distinctive character of the mark is questioned by the Registrar and he is not willing to proceed with the application without evidence of user, it is better to withdraw the application and make a fresh application after sufficient user has been built up. In such a case it is advisable to keep the application pending as long as possible and by making a few successive applications so that it gives a sort of notice to others to keep off from the mark.

5 Procedure

Statutory provisions

The procedure for registration of trade marks is contained in ss. 18-24 of the Trade Marks Act 1999.

Who may apply to register?

Any person claiming to be the proprietor of the trade mark used or proposed to be used by him can apply. The application may be made in the name of an individual, partners of a firm, a Corporation, any Government Department, a Trust or joint applicants. The proposal to use the trade mark may be by a Company to be formed or by a registered user.

Preliminary advise and search

Before or after applying for registration the applicant may apply for a report as to whether the mark or one similar to it has already been registered or applied for. He may also request for the Registrar's opinion as to the distinctive character of the mark. The Registrar's search report or opinion is not, however, binding on him.

Examination and objections

The Registrar will cause the application to be examined and communicate to the applicant any objection to the mark which mainly relates to distinctive character and similarity with already registered marks. The applicant can put forward his case either in writing or at a hearing. If the application is accepted, it will be advertised in the Trade Marks Journal. If refused, the applicant may go on appeal to the Appellate Board, which is seldom worthwhile unless the applicant has built up goodwill by extensive use in which case of course the application will seldom be refused.

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If the application is refused on the ground of lack of distinctive character, the applicant may, after some years of use, make a fresh application. If it is refused on the ground of conflict with any registered trade mark and the mark is proposed to be used it is better to go for a fresh mark. If however, the similarity is doubtful, the applicant may use the mark and make a fresh application after some years of use. He will have to take the risk of being sued for infringement by the owner of the conflicting mark.

6 Basic principles of registration of trade mark

The purpose of the Act, as stated in the preamble, is to provide for the registration and better protection of trade marks and to prevent the use of fraudulent marks. In consonance with this object the following fundamental principles of trade mark law are embodied in the various provisions of the Act:

(*a*) Since registration confers on the proprietor a kind of monopoly right over the use of the mark, which may consist of a word or symbol legitimately required by other traders for *bona fide* trading or business purposes, certain restrictions are necessary on the class of words or symbols over which such monopoly right may be granted. Thus descriptive words, surnames and geographical names are not considered *prima facie* registrable. (*See* s. 9)

(*b*) Registration of a trade mark should not interfere with the *bona fide* use by any person of his own name or that of his place of business, or the use of any *bona fide* description of the character or quality of the goods. (*See* s. 35)

(*c*) Property rights in a trade mark acquired by use are superior to similar rights obtained by registration under the Act. It, therefore, follows that prior users of trade marks should be protected against any monopoly rights granted under the Statute. (*See* s. 34)

(*d*) There are obviously two main interests to be protected when a mark is presented for registration. There is first the interest of the public. A trade mark ought not to be registered if its use will be apt to mislead the public as to the origin of the goods they are purchasing. There is also the interests of other traders who are entitled to object if the use of the trade mark proposed for registration will be calculated to enable the applicant's goods to be passed off on the public as such

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other traders' goods. Thus a mark which is similar to a mark already registered or used for similar goods will not be allowed registration. (*See* s. 11)

(*e*) It may so happen that a trader honestly used a trade mark for a number of years although an identical or similar mark has been registered or used by another. It will obviously cause hardship to such a trader if he is deprived of the benefits of registration. There is therefore provision for registration of such marks subject to suitable conditions and limitations. (*See* s. 12)

(*f*) Broadly speaking, the life of a trade mark depends on its use; and continued non-use may lead to its eventual death. There is, therefore, no equitable or logical basis for the continuance of the protection afforded by registration where the mark is no longer in use for a sufficiently long period. This principle is recognised in the Act by providing for removal of a mark from the register on the ground of non-use. (*See* s. 47)

(*g*) A trade mark is recognised as a form of property. The term "proprietor of a trade mark" is used in the definition of a trade mark and also in various other provisions of the Act. It should, therefore, be assignable and transmissible as in the case of other forms of property. Having regard to the peculiar nature of this property, the Act has taken care to impose various restrictions and conditions for the assignment or transmission of property rights in a trade mark, whether registered or unregistered. (*See* ss. 40-45)

(*h*) Granting the benefits of registration under the Statute is not only a matter of interest to the applicant seeking registration, but is a matter in which the public is also interested. It is, therefore, necessary that any member of the public who wants to object to the registration should be permitted to do so. The Act accordingly provides for advertisement of the application and opposition thereto by any person. (*See* ss. 20 & 21)

These principles are substantially the same in all countries administering trade mark law.

7 Opposition to registration—section 21

Every application accepted will be advertised in the Trade Marks Journal (an official publication). Any person may object to the registration by following the procedure prescribed for the

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purpose. Since registration of marks which have a descriptive significance or which are surnames or geographical names are registrable under certain circumstances it is necessary to give notice to the trading public whose existing or future rights or interests might be adversely affected by such registration to object to the registration if they so desire. The usual grounds of opposition are, that the mark is not capable of distinguishing, that it is similar to another trade mark already registered or in use, that the applicant's claim to proprietorship is not justified or that the adoption of the mark is dishonest and so on. The Registrar considers the objections and the evidence filed in support of the contentions and decides the case after giving an opportunity for hearing to the parties.

The Registrar may either accept the application with or without condition or limitations or refuse the application. Conditions are in the form of disclaimer of certain parts of the mark or as to mode of use. Limitations may be in the form of amendment of the goods or as to area of the use of the mark or as to mode of use. An appeal against the registrar's order lies to the Appellate Board.

Onus

The onus of establishing a case for registration is on the applicant.

8 Duration and renewal of registration—sections 25 and 26

If the application for registration after its advertisement is unopposed; or if opposed decided in favour of registration the mark will be registered as of the date of the application for registration. The first registration is for a period of ten years which can be renewed from time to time by paying the renewal fee. Although registration is antedated to the date of application, no infringement action can be instituted before the mark is actually entered on the register.

If the mark is not renewed, it will be removed from the register but can be restored if a request is made to that effect within one year from the date of expiry of registration or last renewal.

9 Defensive registration

There is no provision for this in the Act of 1999.

10 Certification trade mark—sections 69–78

Trade marks indicate trade source or trade connection. There is a class of marks the purpose of which is to indicate that the

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goods on which it is impressed have been certified by some competent person in respect of some characteristic of the goods like origin, composition, mode of manufacture or quality.

The proprietor of such a mark does not himself sell or deal in the goods. Manufacturers or dealers in the goods get them certified by the proprietor of the mark and affix the mark thereon to indicate to the public that the goods have been so certified. The manufacturer or dealer may in addition to the certification trade mark affix his own trade mark on his goods. Thus an ordinary trade mark and a certification trade mark may be used side by side in relation to the same goods.

The rights conferred by registration or a certification trade mark are analogous to those of an ordinary trade mark. Registration gives to the proprietor the exclusive right to the use of the mark in relation to the goods certified. This is subject to the validity of the registration and to any conditions and limitations entered in the registrar.

The registered proprietor or a person authorised by him in accordance with the regulations deposited alone has the legal right to use a certification mark. The use by any other person of an identical or deceptively similar mark in relation to any goods in respect of which it is registered constitutes an infringement, whether such use is as a certification trade mark or as an ordinary trade mark.

The best examples of certification trade marks are "ISI" and "Agmark" which have played an important part in maintaining the quality of the products certified in India.

11 Marks not registrable—sections 9 and 11

See under the heading "Absolute grounds for refusal", *ante*.

Whether a mark comes within the prohibition of any of the above categories arises for consideration at the time of examination of the application by the Registrar, in opposition and rectification proceedings and in infringement and passing off actions.

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There is a general prohibition of registration of a mark which is likely to deceive or cause confusion. Thus the mark may be likely to decerive or cause confusion by virtue of something inherent in the mark itself, e.g. when it makes a false representation as to the nature or quality or place of manufacture of the goods, or by virtue of its similarity to another mark already in use, whether registered or unregistered. Confusion or deception may arise as to the goods themselves or as to the trade source.

Goods different

Ordinarily the simultaneous use of identical or similar marks in relation to goods which are different will not lead to any deception or confusion. Circumstances may, however, exist where the mark of a person is so well known in the market in relation to a wide variety of goods that the use of the same in relation to different goods may indicate to the public that they are coming from the same trade source. Likelihood of deception or confusion will depend upon the degree of resemblance between the marks, the extent and nature of connection between the goods, the extent of reputation of the existing mark, the trade channels and the class of customers. Section 11 deals with the circumstances in which such cases should be dealt with in connection with applications for registration.

Illustrations

"Fruit Salt" for baking powder was refused registration in view of the reputation of "Fruit Salt" for a powder for making an effervescent drink.

'Kodak' registered for cycles expunged on motion by the owners of the same mark for Cameras.

"Nuvol" for illuminating, heating and lubricating oils refused in view of the opponents' well-known mark 'Nujol' for some petroleum product used as a medicine for human consumption.

"Black Magic" for laxatives refused in view of opponents' well known mark "Black Magic" for chocolates.

"Gluvita" was refused registration for biscuits on opposition by the owners of the well known mark "Glucovita" for glucose powder.

"Caltex" for watches refused registration in view of the reputation of the same mark for petroleum products.

"Lotus" for honey refused registration in view of the reputation of the same mark for hydrogenated edible oils.

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"Telerad" registered for domestic electric appliances expunged on application by the owners of the same mark used extensively for radio receiving sets.

Emblems and names etc.

The name, emblem or official seal of the United Nations Organisations or of the World Health Organisation , the Indian National Flag, the name, emblem or official seal of the Government of India or of the States, the name or pictorial representation of Rashtrapati, Rashtrapati Bhavan, Raj Bhavan, the names and portraits of national leaders like Mahatma Gandhi, Pandit Jawaharlal Nehru, Prime Minister of India, Chatrapati Shivaji Maharaj, etc., are prohibited registration or use as trade mark under the Emblems and Names Act.

The names or pictorial representations of Gods or of religious heads as a trade mark may hurt the religious susceptibilities of people following the particular religious faith. Thus the use of the portrait of Lord Buddha may be objected to by Buddhists or of Guru Nanak by Sikhs. The picture of the Goddess Meenakshi registered for fertilizers was expunged on this ground. The word "Lallelujah" was refused registration in the United Kingdom for articles of clothing for women on a similar ground (the word meaning "Praise (Ye) the Lord" and "Song of praise to God").

Consent of registered proprietor

Consent of the registered proprietor of a conflicting mark is sufficient to overcome the objection if there is no reasonable probability of confusion. If the matter of confusion is in doubt, consent may be sufficient to accept the application.

"Identical or similar goods" and same goods or goods of same description

The term "identical or similar goods" appears in s. 11 (relative grounds for refusal) in s. 29 (infringement), in s. 12 (honest concurrent user).

"Goods of the same description" appears in s. 16 (associated trade marks), s. 36 (words used as name of an article etc.), ss. 40 and 41 (restriction on assignment etc.), s. 47 (removal from register on the ground of non-use).

The question arises whether these expressions are to be given the same meaning or different meanings. From the context in which they are used in the Act it would appear to be inconsistent to give different meanings to these expressions, although literally they may connote different significations.

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Under the former Act of 1958 while dealing with the expression goods of the same description in many sections of that Act courts have laid down the following facts to be taken into consideration for determining whether two sets of goods were goods of the same description:

(*a*) the nature and composition of the goods;
(*b*) their respective uses and functions; and
(*c*) the trade channels through which they are bought and sold.

It is submitted that under the Act of 1999 these principles are applicable in considering the question whether the goods are similar or goods of the same description.

It is not necessary that all the three criterion should be fulfilled in order for specified goods to be of the same description as other specified goods. No single one of these factors are conclusive on the point. The fact that goods are used in close association is not in itself a reason that they should be regarded as goods of the same description.

Shoe and shoe polish held goods of different description, raw materials are not necessarily or normally goods of same description as articles made therefrom, steel and steel goods, piece goods and readymade garments are goods of different description.

Agarbathis and perfumery; All medicinal preparations, whether Allopathic, Ayurvedic or Homoeopathic; Tyres for automobiles and Cycle tyres were held goods of same description.

Goods for export only

Where the applicant's goods are for export only the question of likelihood of deception and confusion should be considered in the export markets in India. If there is any intention to deceive the public in the foreign country, the Registrar may not allow the mark to go on the register.

Disastrous consequences arising from confusion

In some cases relating to food, medicine and dangerous drugs, the question has sometimes been raised whether registration of a similar mark should be refused on the ground of disastrous consequences arising from a mistake or confusion even though the goods are not of the same description ('Jardex' for disinfectants refused against 'Jardox' registered for extract of meat; 'Nardelzyne' held not similar to 'Nardyl' but refused because of the possibility of dangerous consequences, the former used for a stimulant and the latter for a depressant).

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Disclaimer

There is no specific provision for disclaimer in the Act of 1999 as in the former Act of 1958 (s. 17). However under s. 18(4) of the 1999 Act the Registrar has power to require a disclaimer as a condition of registration of the mark.

The effect of a disclaimer is that the registered proprietor will not be able to restrain any other person from using the feature *per se*. Disclaimer will not affect common law rights acquired by user. Disclaimer will be taken into consideration by the court in an infringement action. Disclaimer will not affect the likelihood of confusion as it would not appear on the mark as used.

Common to the trade—publici juris

Any symbol, word or get-up commonly used by traders in connection with their trade and in respect of which no particular trader can claim an exclusive right to use may be considered common to that particular trade, or *publici juris*. The expression includes any matter which is open to the trade. Thus words, expressions or devices which are descriptive of particular goods are open to use by all persons engaged in the trade. Such matters which are generally of a non-distinctive character may or may not be in actual use at any particular time. What is important is that the trading public has a right to use them in connection with their business as and when they want. But this interpretation is not applicable in a passing off action in which the term means in common use in the trade.

A word or device which was originally a trade mark may subsequently become *publici juris* due to failure to take action against infringers or due to use by the proprietor not as a trade mark but in a descriptive sense. The words "Thermos", "Linoleum", "Refrigerator", "Aspirin", "Gripe Water" were at one time trade marks, but have since become names of goods.

A mark which is common to the trade connected with particular goods cannot be considered adapted to distinguish those goods. However, where a device is common to the trade, a special and particular representation of that device may be distinctive. Similarly where a word is common to the trade, the word in combination with other words conveying a different idea may be considered distinctive. Thus if the device of a star or the word 'Star' is common to the trade, a special representation of the star with embellishments or expressions like 'Seven Stars' or "Star of Hope" may be treated as distinctive.

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Concurreht registration—section 12

Concurrent use by two or more persons of the same trade mark for the same goods is contrary to the whole essence of trade mark jurisprudence, for a trade mark is intended to denote that the goods come from one source and one source only. However, exceptional circumstances arise where more than one person honestly and independently adopts the same or similar mark and continue to use without objection and without knowledge of each other's marks, often in different territories, and without causing any confusion or deception of the public. It is considered just and natural to confer the benefit of registration to such concurrent users, even if it causes some occasional confusion.

In order to entitle a person to concurrent registration, the following facts must be established:

(1) the adoption and subsequent use of the mark must be honest;

(2) the quantum of concurrent user is commercially significant and substantial having regard to duration, area and volume of trade;

(3) the degree of confusion likely to follow from the resemblance of the rival marks should be minimal;

(4) the relative hardship which would be caused to the applicant, if registration is not granted should be great; and the inconvenience that might be caused to the public, if registration is granted, should be minimal.

Ordinarily concurrent registration is granted only subject to conditions as to mode of use or limitations of goods or territorial restrictions with a view to minimise the risk of confusion. Where the marks, goods and area of use are identical confusion is inevitable and registration will not be granted without suitable conditions and limitations as to area or mode of use or amendment of the mark.

12 Evidence in proceedings before Registrar—section 129

In all proceedings before the Registrar evidence is given in the form of affidavit. The Registrar has, however, discretion to take oral evidence also. Cross-examination of declarants will also be permitted if the party who wants to cross-examine shows that it is necessary. The Registrar being a tribunal has power to admit hearsay evidence, that is, evidence in the form of letters and other documents not necessarily on oath, and seldom tested by cross-examination, provided the other side is given a fair

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opportunity to contradict it. On questions relating to reputation of a trade mark or whether two marks are so similar as to be likely to deceive or cause confusion, parties in a contested proceeding like opposition, rectification or infringement, file affidavits based on answers to questionnaires sent to members of the particular trade and customers of the goods. Proper weight will be given to such evidence if the questionnaire was drafted properly and the answers were drawn from a true cross-section of the class of customers or traders whose impression or opinion is relevant to the matter in issue.

13 Protection of trade mark through international registration—sections 36A–36G

Chapter 4A consisting of ss. 36A-36G was inserted in the Trade Marks Act 1999 by the Trade Marks (Amendment) Act 2010 (Act 40 of 2010) that prescribes the special provisions relating to protection of trade marks through international registration under the Madrid Protocol.

An applicant who makes an application for registration of trade mark or a registered proprietor may make an international registration of that trade mark (s. 36D). Such an application shall be dealt with by the Head Office of the Trade Marks Registry or its Branch Office (s. 36C). The Register after receiving the application shall certify in prescribe manner the particulars relating to application and forward the international application to the International Bureau for registration within prescribed period [s. 36D(4)].

Any international registration of a trade mark where India has been designated, the protection of that trade mark in India shall from the date of the international registration, be the same as if the trade mark had been registered in India (s. 36F). The international registration of a trade mark at the International Bureau shall be for a period of ten years and it may be renewed for a further period of ten years from the date of expiry of the preceding period (s. 36G).

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CHAPTER

20

Similar, Near Resemblance and Deceptively Similar

1 General

The question whether two marks are "deceptively similar" or "similar" is an important question which arises for consideration in connection with registration of trade marks i.e. during the processing of an application for registration, in opposition and rectification proceedings and in infringement and passing off actions. A trade mark is said to be deceptively similar to another mark if it so nearly resembles that other mark as to be likely to deceive or cause confusion, s. 2(1)(*h*). The word "similar" is not defined in the Act.

Similar marks, nearly resembling marks and deceptively similar marks

In s. 11 the expression "similar marks" is used. In s. 2(1)(*h*) "deceptively similar" is defined. This expression is used in s. 13(2) (non-proprietary names), in s. 29 (infringement of trade mark), in s. 75 (infringement of certification trade mark) and in s. 102 (falsification of trade mark).

The expressions "so nearly resembles" or "nearly resembles" are used in s. 16 (associated trade marks) in s. 34 (saving for vested rights), and in s. 76 (acts not constituting infringement of certification trade mark).

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From the context in which these expressions are used in the Act, it would appear that there is no significant difference in the meaning of these expressions. Deceptively similar includes not only confusion but also deception. This is also relevant in cases where the marks and goods are identical because in such case deception is inevitable.

The principles enunciated by courts in determining the question of deceptive similarity between trade marks would be equally applicable to the determination of the question whether two marks are similar or nearly resemble each other.

Nature of the problem in different proceedings

The principles to be followed and the factors to be taken into consideration by a tribunal in arriving at a finding whether a trade mark is or is not deceptively similar to another trade mark have been discussed in various cases. Some of them have been laid down while dealing with opposition and rectification proceedings, and others while dealing with infringement and passing off cases. When applying the principles contained in decided cases to the facts of a particular case, it is therefore necessary to bear in mind the limitations, if any, inherent in those principles having regard to the nature of the proceedings in which, or the issue in connection with which, they were enunciated.

In the determination of the question of likelihood of confusion the tribunal in all cases has necessarily to assess the psychological reaction and mental association the mark will generate in the mind of the average customer when he buys the goods under normal circumstances and conditions of the trade.

Value of decided cases

As has often been emphasised, each case depends upon its own particular facts and circumstances. Decided cases are, therefore, of value only in so far as they provide the necessary principles to be followed, which are often referred to as rules or tests of comparison, and the factors to be taken into consideration. Further, it may be borne in mind that there are some rules which are applicable to all kinds of marks, while some are appropriate only to word marks and others to device marks.

In any proceeding where this question comes up for decision whether before the Registrar or before the court it is for the tribunal to decide this issue. Evidence of witnesses will be considered but not conclusive.

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Onus of proof

The onus of showing whether there is or there is no deceptive resemblance depends upon the nature of the proceedings where the question arises. In an application for registration of a trade mark, the onus is always on the applicant to show that the mark is not deceptively similar to the opponent's mark. In rectification proceedings the burden is on the applicant for rectification to prove that the similarity is such as to be likely to deceive or cause confusion. In infringement and passing off actions the onus is on the plaintiff to establish similarity.

2 Factors to be taken into consideration

The question of similarity between two trade marks or the likelihood of deception or confusion arising from their use is not to be decided in vacuo but to be determined always in the background of the surrounding circumstances. The following factors must be taken into consideration:

(1) the nature of the marks i.e. whether they are invented words, words having descriptive significance, non-descriptive words, geographical names, surnames, letters, numerals or devices,

(2) the degree of resemblance between the marks–phonetic, visual as well as similarity in idea,

(3) the nature of the goods in respect of which they are used or likely to be used as trade marks,

(4) the similarity in the nature, character, and purpose of the goods of the rival traders,

(5) the class of purchasers who are likely to buy the goods bearing the marks, their level of education and intelligence, and the degree of care they are likely to exercise in purchasing the goods,

(6) the mode of purchase of the goods or of placing orders for the goods,

(7) any other surrounding circumstances.

These factors are not to be treated in isolation. The weight to be attached to one factor may often depend upon the relative importance of other factors.

The tribunal may consider the visual as well as phonetic similarity. Similarity in the ideas conveyed by the marks is also important. In the case of devices, similarity in the net impression formed in the mind or similarity in the words or legends describing the devices may also be taken into account. But "what

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degree of resemblance is necessary is from the nature of things, incapable of definition *a priori*". Each case must be decided on its own facts. Decided cases are, therefore, of little assistance in determining the question of deceptive similarity in a particular case. They are useful only in so far as they lay down any general principles.

3 Word marks

The following rules laid down in *Pianotist* case [(1906)23 RPC 774] has been often quoted as the basic rules for comparison:

> "You must take the two words. You must judge of them, both by their look and by their sound. You must consider the goods to which they are to be applied. You must consider the nature and kind of customer who would be likely to buy those goods. In fact, you must consider all the surrounding circumstances; and you must further consider what is likely to happen if each of those trade marks is used in a normal way as a trade mark for the goods of the respective owners of the marks. If, considering all those circumstances, you come to the conclusion that there will be confusion—that is to say, not necessarily that one man will be injured and the other will gain illicit benefit, but that there will be confusion in the mind of the public which will lead to confusion in the goods—then you may refuse the registration, or rather you must refuse the registration in that case". ('Neola' held not similar to 'Pianola'; goods pianos, expensive item).

These rules were laid down in connection with the comparison of word marks. But they can be applied with suitable modification equally to other kinds of marks. Various other rules of comparison have been propounded which are listed below:

(1) Whether the sound of one word resembles too nearly the sound of another, must nearly always depend on first impression, for obviously a person who is familiar with both words will neither be deceived nor confused. It is the person who only knows the one word, has perhaps an imperfect recollection of it, who is likely to be deceived or confused. Little assistance, therefore, is to be obtained from a meticulous comparison of the two words, letter by letter and syllable by syllable, pronounced with the clarity to be expected from a teacher of elocution. ("Aristoc" and "Rysta" held similar *Aristoc* case (1943)60 RPC 87 at 108). The court must

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be careful to make allowance for imperfect recollection and the effect of pronunciation and speech on the part not only of the person seeking to buy under the trade description, but also of the shop assistant ministering to that person's wants.

(2) In deciding questions of phonetic similarity of marks consisting of words in English language, English cases proceeding on the English way of pronouncing an English word by Englishmen, which is not always the same, may not be of much assistance in India ('Gluvita' and 'Glucovita' held similar AIR 1960 SC 142 at 147). Proper regard must be paid to the various circumstances, including whether goods marked with the word will be commonly demanded by children and uneducated persons, whether recollections are likely to be faulty, and whether enunciation is likely to be indistinct or imperfectly heard (for example, on the telephone). Phonetic similarity is particularly important when goods are ordered over telephone. ('Heatherfresh' similar to 'Everfresh', [1972] RPC 799).

The fact that people would pronounce words in a variety of ways and with a variety of distortions and slurs is a factor to be borne in mind when deciding the question of confusing similarity between word marks. ('Buler' held similar to 'Bulova', [1966] RPC 141 at 147).

(3) A *prima facie* view that there is no likelihood of deception or confusion arising by the use of a word need not necessarily be conclusive on the subject. There may be special considerations which induce the court to infer that confusion may arise, though from the words themselves *prima facie* it is unlikely that any such confusion would arise. ('Sanrus' and 'Rus' held similar (1937)54 RPC 141).

(4) The marks, whether words or devices, must be considered as a whole. The true test is whether the totality of the proposed trade mark is such that it is likely to cause mistake or deception or confusion, in the minds of persons accustomed to the existing mark. ('Egall' and 'Egrol' held similar, (1922)39 RPC 155).

(5) The words must not be subjected to a side by side comparison or to a meticulous individual analysis;

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nevertheless some structural examination of the words is permissible, particularly with the object of ascertaining if either possesses any outstanding characteristic that will inevitably cause a more or less lasting impression on the hearers' mind. ('Amritdhara' and 'Lakshmandhara' held similar, AIR 1963 SC 449).

(6) Similarity in ideas conveyed by the marks should be considered. Words conveying the same meaning or suggesting the same idea are in general likely to cause confusion. ('Water-Matic' and 'Aquamatic' similar, [1958] RPC 387). Words in one language and its equivalents in other languages may cause confusion if both the languages are known to the customers. ('Suryan' and 'Sun' held similar AIR 1967 Mad 148).

(7) In the case of marks consisting of more than one word or where the word is a long one any tendency to abbreviate the mark among the consumers of the goods must be taken into consideration. ('State Express' and 'State Room' held similar (1912)29 RPC 489).

(8) Similarity of words having common prefix or common suffix or those having both prefix and suffix common or where one word contains the whole of the other are often difficult to decide and each case has to be decided on the basis of its own facts and circumstances. In general the first syllable of a word mark is considered the most important part, especially in the case of short words ('Motrate' and 'Filtate' not similar (1920)37 RPC 37); where the common part is highly distinctive the marks may be similar. ('Rus' and 'Sanrus' held similar (1937)54 RPC 341).

(9) Where trade marks composed of more than one word contain a common distinctive word the question of likelihood of confusion is not easy to decide. It may depend upon the relative emphasis and importance of the common word in relation to the mark as a whole. It is important to consider whether the two words forming the trade mark hold together as a phrase or present a wholly different meaning from the separate components.

Medicinal preparations—prescription drugs

Where the goods are medicines they are sold only by licensed dealers controlled by Drug and Cosmetic Rules. The dealer is

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expected to exercise care in selling the product. If the goods can only be sold under a Doctor's prescription, a Chemist cannot supply it without such a prescription. A Doctor can be expected to have full knowledge of the drug and its brand name. Mistakes will seldom happen unless the marks are near-identical. In the case of medicines the brand names chosen are invariably coined from the Chemical names of its ingredients. Some similarity in words coined by different persons may therefore result unintentionally. Since the drugs are prescribed by knowledgeable persons and supplied by skilled persons, the chances of confusion are reduced and some degree of similarity is permissible. However, in conditions prevailing in India prescription drugs are often sold over the counter. This factor should also be borne in mind. Where the drugs are different and a mistaken administration of one drug instead of the other may lead to dangerous consequences this factor must be considered.

4 Devise marks

It is well settled that the test of comparison of the marks side by side is not a sound one, since a purchaser will seldom have the two marks actually before him when he makes his purchase; and marks with many differences may yet have an element of similarity which will cause deception, more especially if the goods are in practice asked for by a name which denotes the mark or the device on it. The question is not whether if a person is looking at two trade marks side by side there would be a possibility of confusion; the question is whether the person who sees the proposed trade mark in the absence of the other trade mark, and in view only of his general recollection of what the nature of the other trade mark was, would be liable to be deceived and to think that the trade mark before him is the same as the other, of which he has a general recollection. In most persons the eye is not an accurate recorder of visual detail and that marks are remembered rather by general impressions or by some significant detail than by any photographic recollection of the whole.

The trade marks should be looked at as a whole. The true test is whether the totality of the proposed trade mark is such that it is likely to cause mistake or deception or confusion on the minds of persons accustomed to the existing mark. In comparing the mark a disclaimed feature should not be ignored since a disclaimer does not alter the significance which a mark conveys on others when it is used in the course of trade.

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Distinguishing or essential features

In general, traders and customers cannot be expected to carry in their heads the details of any particular mark. A mark containing various features very often comes to be remembered by some features in it which strikes the eye and fixes itself in the recollection. Such a feature is referred to sometimes as the distinguishing feature, sometimes as the essential feature of the mark. In cases of this nature, the question of resemblance and the likelihood of deception are to be considered by reference not only to the whole mark, but also to its distinguishing or essential features, if any. What constitutes the distinguishing or essential feature is determined partly by the Judge's own impression and partly by evidence.

The real question is as to how a purchaser, who must be looked upon as an average man of ordinary intelligence, would react to a particular trade mark, what association he would form by looking at the trade mark, and in what respect he would connect the trade mark with the goods he would be purchasing. It is impossible to accept that a man looking at a trade mark would take in every single feature of the trade mark. The question would be, what would he normally retain in his mind after looking at the trade mark? What would be the salient features of the trade mark which in future would lead him to associate the particular goods with that trade mark?

House mark and product mark or brand name

In many businesses particularly in the Pharmaceutical business a distinction is made between a house mark and a product mark. The former is used on all the products of the manufacturer. It is usually a device in the form of a logo, emblem, word or both. For each product a separate mark known as a product mark or a brand name is used which is invariably a word or a combination of a word and letter or numeral by which the product is identified and asked for. In respect of all products both the product mark and house mark will appear side by side, on all the labels, cartons, etc. Goods are ordered only by the product mark or brand name. The house mark serves as an emblem projecting the image of the manufacturer generally.

Blanks, colours

Where a registered trade mark contained blanks, which in actual use were filled with something, for the purpose of comparison with other marks, it should be looked at not as registered but as

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it will probably be used in the course of trade. Similarly where a mark is registered in black and white without any restriction as to colours, and it is likely to be used in the course of trade in one or more colours, the mark should be looked at in the manner in which it is likely to be coloured when used. Where registration is subject to limitation of one or more specified colours, comparison with another trade mark must be made keeping this limitation in the background.

If the goods, from the mark or device used, has become known in the market by a particular name, the adoption by a rival trader of any mark which will cause his goods to bear the same name in the market is a violation of the formers' rights.

Two marks may be calculated to deceive either by appealing to the eye or to the ear, or one appealing to the eye and one to the ear. Thus a trade mark containing words which are a verbal description of another mark will be considered deceptively similar.

Similarity in ideas

Two marks when compared side by side may exhibit many points of dissimilarity, yet the idea left in the mind by both may be the same. Many examples of such marks can be conceived. Thus take for example the pictorial representation of a game of football, or hockey. One can make any number of representations by showing the players in different positions or in different dresses; but all of them would convey the idea of a game of football or a game of hockey, as the case may be. Two such representations when used as trade marks by different persons in relation to the same goods will undoubtedly cause confusion and deception. Very often such marks are likely to be known by the same name or description.

Marks containing features common to trade

Trade marks may contain features that are common to the trade, over which no person has an exclusive right to use in connection with that trade. Such features may consist of devices, or words, or get-up or a combination thereof. Matters common to the trade are of two kinds: (1) those which are descriptive of the goods, and accordingly every trader has a right to use them; and (2) those which have no descriptive significance in relation to the particular goods but which by virtue of long use by different traders or due to other circumstances in the trade have become *publici juris*. The onus of establishing that a particular element is common to the trade is always on the party who alleges it to be so.

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In dealing with matters which are common to the trade the tribunal must look at the combination of those different matters common to the trade, their collocation and arrangement, and if he finds things that are common to the trade all inserted in a similar position, in a similar form, and in similar arrangements as to be calculated to deceive, that would be sufficient to hold them deceptively similar.

The true test is whether the totality of the proposed trade mark is such that it is likely to cause mistake or deception, or confusion, in the minds of persons accustomed to the existing trade mark. Although the proprietors of the registered trade mark have no monopoly in the common feature, he may have a monopoly in it in combination with the other features on the mark.

Letters and numerals

The general principles of comparison of letters and numerals are the same as for other marks. Both phonetic and visual similarity must be considered.

5 Surrounding circumstances

Imperfect recollection

A purchaser cannot retain in his mind every detail of the mark which he has once seen. Defective memory is a notorious human failing. Thus in determining the probability of confusion or deception due allowance must be made for the imperfect recollection of the customers. The chances of confusion through imperfect recollection will, in general, be diminished if one of the words happens to be in a foreign language, unknown to the class of customers and the other a known word. The same principle would apply if one of the words has a well-known meaning and the other is an invented word suggesting no idea.

Class of purchasers

The ultimate purchasers of the goods are more important than the manufacturers or traders. But it is not a person who carefully looks at the mark who is to be regarded; it is a person who only looks at it in the ordinary way who has to be considered. Similarly a person who is so careless that he does not look and does not "treat the label fairly" is not to be considered. In fact, the tribunal in deciding the question of similarity between two marks, has to approach it from the point of view of a man of average intelligence and of imperfect recollection. It is not sufficient if skilled persons, or experts, or persons who know the real facts are not deceived;

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but one has to see whether an ordinary or unwary customer is likely to be deceived or confused. Where the class of purchasers of the goods are illiterate, this is a factor to be taken into account.

Where the goods are expensive articles which are bought generally by persons of some education, this fact must be taken into account. When the marks contain features common to the trade, the customer to be considered must be one who, knowing what is fairly common to the trade, knows also the distinguishing characteristics of the plaintiff's mark. Where the goods are supplied only through doctor's written prescription which pass through the hands of skilled persons the probability of confusion is considerably diminished. In an application for registration of a mark intended for use in respect of goods to be exported to foreign countries, the class of persons to be considered are those engaged in the business of exporting the goods to the particular countries in question. Dishonest traders are not to be considered.

Size of article, blurring etc.

The tribunal may have regard to the size of the article upon which the mark is intended to be affixed, the material upon which it is to be impressed, the natural imperfection of the impressions, and the natural effect of wear and tear of the marked goods on the trade mark. He may also consider the question whether or not blurring may possibly take place.

Nature of goods

The nature of the goods, that is, whether they are household articles which are commonly purchased by children, domestic servants or relatively illiterate people, or whether they are such that they are purchased only by experts and people with special knowledge of the goods, is an important factor to be borne in mind.

6 Evidence

Evidence of facts and circumstances which are relevant for consideration in deciding the question of similarity of marks is always admissible. But the question whether one mark so nearly resembles another as to be likely to deceive or cause confusion is purely a question for the tribunal to decide and no evidence from the witnesses on this point will be admissible. Although it is not competent to ask a witness whether the public would be deceived, he may be asked the question whether he himself being in the trade and familiar with the subject-matter concerned would be deceived. Opinions expressed by witnesses as to the

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likelihood of the public being confused are not admissible evidence.

Where goods are of a kind which are not normally sold to the general public for consumption or domestic use but are sold in a specialised market consisting of persons accustomed to dealing in that market evidence as to the likelihood of deception or confusion is essential. A judge, although he must use his common sense in assessing the credibility and probative value of that evidence is not entitled to supplement any deficiency in evidence of this kind by giving effect to his own subjective view whether or not he himself would be likely to be deceived or confused. This would apply to large industrial or electrical machinery or other heavy equipments.

The class of customers, their intelligence and education, their knowledge of the language of the marks, how the goods are ordered by the customers, what they look for in the goods, the degree of care exercised by them in purchasing the goods and other circumstances attending the manufacture, distribution and sale of the goods under consideration are all matters of fact on which expert evidence is admissible.

There is no expert on human nature and accordingly evidence purporting to be expert evidence as to human nature is not admissible. A witness may be asked what would happen to himself individually when he sees a mark. But he cannot be asked what he thinks the rest of the world would be likely to suppose or believe on the point.

Evidence of actual deception is not necessary, although weight will be given to instances of actual deception or confusion. Where the rival marks have been circulating side by side for a long time absence of instances of confusion will be material. Where the similarity is close no further evidence is required. But where it is in doubt, evidence of a few clear cases of deception may tip the scale. When the goods are different, evidence of confusion may be essential.

Intention to deceive

Intention to deceive is not necessary to prove deceptive similarity. But when established, fraudulent intention will be a material fact to be considered. Intention to deceive is a matter of inference to be drawn from the circumstances of the case.

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CHAPTER

21

Assignment and Transmission

1 Scope of assignment or transmission—sections 37-45

A registered trade mark can be assigned or transmitted whether with or without the goodwill of the business concerned.[1] Under the Act of 1999 an unregistered trade mark is assignable or transmissible with or without the goodwill of the business concerned. Certain restrictions on assignment or transmission are imposed to prevent the creation of multiple exclusive rights. Where the assignment is without the goodwill of business, special conditions are imposed. Associated trade marks can be assigned or transmitted only as a whole. Certification trade marks cannot be assigned or transmitted without the consent of the Registrar of trade marks.

An assignment of a trade mark must be in writing. No specific form has been prescribed. Transmission means transmission by operation of law, devolution on the personal representative of a deceased person and any other mode of transfer not being an assignment. The law relating to transmission of a trade mark is the same as that for assignment.

Sale and transfer of the goodwill of business will transfer to the purchaser or transferee the trade marks used in the business by implication even if the trade marks are not specifically

1 As to what is goodwill, see Chapter 25.

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mentioned in the deed of assignment. This is because a trade mark is part of the goodwill of business.

2 Assignment of an unregistered trade mark—section 39

An unregistered trade mark can be assigned with or without the goodwill of business concerned.

If an unregistered trade mark which has been used is assigned without the goodwill of business the assignee will not be able to protect the trade mark since in the absence of the goodwill of business no action for passing off will lie. However criminal prosecution may be available.

3 Restriction on assignment and transmission—sections 40, 41

Assignment or transmission should not result in the creation of concurrent exclusive rights in more than one person to the use of the same mark or similar mark in respect of the same or similar goods or services if such use in exercise of those rights would be likely to deceive or cause confusion. Confusion or deception can be avoided by territorial limitation or limitation of the goods. Confusion or deception can be avoided if conditions are imposed to prevent use within India except for export to other countries. Where the proposed assignment is likely to create multiple exclusive rights, the proprietor of the registered trade mark may submit to the Registrar a statement of case setting out the circumstances and the Registrar may issue a certificate stating whether the proposed assignment would or would not be invalid. If the certificate is in favour of the assignment, an application for registration of the assignment should be made within six months from the date of issue of the certificate.

Assignment or transmission which would create exclusive right to the use of the mark in different parts of India is not permitted. In such a case the proprietor of the mark may apply to Registrar for approval of proposed assignment or transmissions.

4 Assignment without goodwill of business

In the case of an assignment of a trade mark, whether registered or unregistered, without the goodwill of business, the assignment will not take effect unless the assignee advertises the assignment in newspapers in accordance with the directions of the Registrar, given on application made for the purpose. The purpose of the advertisement is to give notice of the assignment to the public.

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It may be noted that a mark on the face of its indicative of one origin, if applied to goods of a different origin, would *prima facie* be deceptive. Advertisement of the change of origin will mitigate this defect. Advertisement may be necessary only where the mark has been in use. In the case of unused trade marks, since no public confusion would follow their assignment, advertisement may not be necessary.

5 Registration of assignments and transmission

The procedure for entering the name of the subsequent proprietor of the trade mark as a result of assignment or transmission is contained in s. 45. An application for registration of a subsequent proprietor should be accompanied by proof of title to the mark. This may be in the form of a deed of assignment, deed of partnership or dissolution or any other document establishing title to the mark.

Registration of assignment or transmission is necessary to establish title to the registered mark. A document or instrument which is not registered is not ordinarily admissible as evidence of title to the trade mark by assignment or transmission unless the Registrar or Appellate Board otherwise directs.

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CHAPTER

22

Licensing of Trade Marks and Registered Users

1 General

The function of a trade mark being to indicate trade origin, any use of the mark by a person other than the proprietor will lead to deception of the public, for it will indicate that the goods come from a particular source when in fact it does not. Based on this principle, under common law, it is not permissible for the owner of a trade mark, registered or unregistered, to allow others to use his trade mark in relation to goods not connected with him. Such licencing of a trade mark is fatal to its distinctiveness. It may constitute a sufficient ground for its removal from the register. Unrestricted licencing of trade mark will amount to trafficking in trade mark which is repugnant to Trade Mark Law.

2 Permitted use and registered user—sections 48–53

The new Act of 1999 makes substantial changes in the provisions relating to registered users and permitted use. Section 2(1)(*r*) defines two types of permitted use by third parties. One is permitted use, by registration of the third party as registered user. The other is permitted use by the third party without registration as a registered user, but subject to certain conditions.

The provisions as to registered user is contained in ss. 48 to 53. Application for registration as registered users should be

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made jointly by the registered proprietor and the proposed registered user in the prescribed form. The Registrar is under the Act the final authority to grant registration as registered user.

Permitted user of a registered trade mark by a person other than the registered user is allowed under the following conditions:

(a) the trade mark must remain registered for the time being,

(b) the registered proprietor should consent to use by a written agreement,

(c) the use must comply with any conditions or limitations to which such use is subject and to which the registration of the mark is subject.

Under s. 48(2) of the Act the permitted use of a trade mark will be deemed to be use by the proprietor thereof for any purpose under the Act including s. 47. Thus the benefit of use of the mark by an unregistered permitted user also accrues to the registered proprietor.

The registered user can institute infringement proceedings in certain circumstances while the unregistered permitted user does not have this power.

Control by registered proprietor

Registration as registered user is granted only if the registered proprietor will exercise proper control over the use of the mark by the registered user. Control may be exercised or presumed to be exercised in various ways. In some cases the relationship between the registered proprietor and registered user will imply sufficient degree of control. Where the registered user is a wholly owned subsidiary of the registered proprietor company or *vice versa*, control is complete. Where, however, the proprietor owns only the majority of the equity shares of the registered user company, the degree of control is considered sufficient so long as such a position is maintained. Cases may arise where both registered user and the registered proprietor companies are completely controlled by another Company. These are in the nature of financial or administrative control. In all such cases and in all other forms of control it is stipulated that the registered user should manufacture the goods only in accordance with the specifications, formulae and standards of quality prescribed from time to time by the registered proprietor. The registered proprietor also reserves the right to inspect the goods and methods of

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manufacturing them at the premises of the registered user. Whatever be the form of control exercised by the registered proprietor over the use of the mark by the registered user, it is entered in the register as one of the conditions of the permitted use. The Registrar is the authority to grant registered users.

The aggreement of use by consent of the registered proprietor in respect of an unregistered permitted use should also presumably be in conformity with the terms of a registered user agreement.

Variation or cancellation of registration as registered user may be made by the Registrar on application by the registered proprietor. The registered user entry may be cancelled by the Registrar on an application made by the registered proprietor or the registered user, or any other registered user of the trade mark. Cancellation may also be effected by the Registrar on an application by any person on certain specified grounds. The Registrar may of his own motion cancel the registration on certain grounds.

Effect of registration as registered user

The registered user has a right to use the registered trade mark subject to the conditions and restrictions entered on the register. He may also institute infringement proceedings in certain circumstances. But the right to use is not an assignable or transmissible right. The permitted use by the registered user is deemed to be use by the registered proprietor.

Trafficking in trade mark

The word "trafficking" does not appear in the Act of 1999. It has been held under the Act of 1958 that trafficking in a trade mark context conveys the notion of dealing in a trade mark primarily as a commodity in its own right and not primarily for the purpose of identifying or promoting merchandise in which the proprietor of the mark is interested. If there is no real trade connection between the proprietor of the mark and the licensee or his goods, the grant of licence is a trafficking in the mark.

Examples of trafficking may be found in *Batt's Tm.* (1898) 15 RPC 262; *Bowden Wire* case (1914)31 RPC 383; *Holly Hobbie Tm.* [1984] RPC 329 (HL).

The notion of trafficking is relevant to applications for registration of a mark proposed to be used by future registered users. Thus, where applications for registration of a trade mark are made in one or more classes of goods, the intention being that thereafter the marks will be licensed albeit in terms and

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subject to the provisions of the registered user agreements to any number of traders, it may be concluded that the grant of such applications would tend to facilitate a trade in the relevant mark, that is trafficking, see *Holly Hobbie Tm.* [1984] RPC 329. To get a trade mark registered without any intention to use it in relation to any goods but merely to make money out of it by selling to others the right to use it would be trafficking in that trade mark (*Dristan* case, AIR 1986 SC 137 at 155).

3 Character merchandising

The expression "character merchandising" is used to signify the exploitation of well known invented names whereby the author or promoter of the name licences or purports to license its use on the goods of traders who have no other connection with the licensor. Character merchandising in the sense of the exploitation of the reputation of famous marks by making them available to a wide variety of products has become a widespread trading practice in America and Europe.

A person who has a popular fictional character to exploit, for instance, a fictional character from a film or television series or book or drawing, does so by granting licences to use the character, its name, and relevant copyright material, usually on a royalty basis to licensees, who wish to promote their own goods by using the fictional characters in association with those goods. It has been observed that the phrase "trafficking in a trade mark" is precisely an apt description of the commercial activity now widely known as "character merchandising" [*Holly Hobbie Tm.* [1984] RPC 329 at 350 (HL)].

4 How far licensing possible

Decided cases show that licensing of trade marks other than by way of registered users may not be objectionable provided:

(1) the licensing does not result in causing confusion or deception among the public;

(2) it does not destroy the distinctiveness of the mark; that is to say, the trade mark, before the public eye, continues to distinguish the goods connected with the proprietor of the mark from those connected with others; and

(3) a connection in the course of trade consistent with the definition of trade mark continues to exist between the goods and the proprietor of the mark.

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Such licencing is governed by common law.

See *Manus* case (1949) 66 RPC 71 (CA); *Bostitch* case [1963] RPC 183 (ChD); *British Petroleum* case [1968] RPC 54; *GE* case [1969] RPC 418; [1972] All ER 507 (HL); *Dristan* case (1970) 75 CWN 118 at 129; *Formica* case (1976) 80 CWN 222 at 227-230; *Molyslip* case [1978] RPC 211; *Gujarat Bottling Co.* v *Coca Cola* (1996) IPLR 201 (SC) at page 219, para 13.

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CHAPTER

23

Rectification of Register*

1 General

Registration of a trade mark does not guarantee its validity. A mark may have been wrongly registered or may be wrongly remaining on the register due to events subsequent to registration, or the mark not being used. In such cases the Act provides for rectification of the register, on application by a person aggrieved. In certain circumstances the Registrar himself can on his own initiative *suo motu* rectify the register after following the prescribed procedure. Rectification may take the form of removal of the mark, or imposition of any condition or limitation such as disclaimers, limitation of goods or territories, etc. The onus of making out a case for rectification lies on the applicant for rectification. Generally speaking it is more difficult to rectify the register than to oppose the registration.

2 Jurisdiction

The Trade Marks Registry has branches at Bombay, Calcutta, Delhi, Madras and Ahmedabad. Where an application for registration was filed in a particular branch office, an application for rectification in respect of the same mark should be filed either before that office or before the Appellate Board. The

* Sections 57–60 and 47.

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Registrar may also refer an application for rectification filed before it to the Appellate Board. Where some action relating to the registered mark is pending before a court, application for rectification should be filed before the Appellate Board.

3 Person aggrieved

An application for rectification can only be made by a person aggrieved. Courts have been very liberal in interpreting this expression. Thus persons who are aggrieved are persons who are in some way or other substantially interested in having the mark removed from the register or whose business interests in the same field are affected by the existence of the mark on the register. Where a person is engaged in the same trade and he is likely to require the mark registered for *bona fide* descriptive purposes he is considered a person aggrieved. A defendant or plaintiff in an action for infringement or passing off is a person aggrieved for rectification of the mark relied upon by the plaintiff or defendant respectively. An applicant whose application for registration is objected to by the Registrar or opposed on the basis of a registered trade mark, is a person aggrieved for the rectification of that registered mark.

4 Improper or illegal registration—purity of register

The purity of the register of trade marks is of great importance to trade in general, quite apart from the merits or demerits of particular litigants. If on an application for rectification the attention of the Registrar or appellate board is called to an entry on the Register of a trade mark which cannot in law be justified as a trade mark the tribunals duty may be to purify the register and to expunge the illegal entry in the interest of trade. But the matter is wholly different when the trade mark complained of is one which is not in itself illegal or improper, although at the date of registration its registration might have been successfully opposed by some third party who did not in fact oppose it. In such a case the tribunal will not rectify the register at the instance of an unmeritorious applicant.

The procedure before Registrar is similar to opposition to registration. The same grounds are generally applicable to both proceedings, only the onus is reversed. The rules of procedure are prescribed under the rules.

5 Grounds for rectification—sections 57 and 47

The grounds for rectification may be one or more of the following:

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(1) That the register suffers from the absence or omission of an entry, e.g. a disclaimer, a condition or limitation.

(2) That the entry was made without sufficient cause, that is to say, contrary to some provisions of the Act, e.g. the mark was, at the time of registration was lacking in distinctive character or capable of distinguishing, was similar to an already registered or used trade mark, that the applicant for registration was not the proprietor of the mark, that registration was obtained by misrepresentation of material facts, and so on.

(3) That the entry was wrongly remaining on the register, that is, contrary to some provision of the Act, e.g. the mark has ceased to be distinctive, that it is likely to deceive or cause confusion, that it offends against some express provision of the Act.

(4) That the mark has not been in use for a continuous period of more than five years; or that the proprietor had no intention to use at the time of registration and had not subsequently used.

(5) That renewal fee has not been paid.

A registered proprietor should take the following precautions to prevent rectification or removal of his mark:

(*a*) He should renew the mark from time to time.

(*b*) He should not do anything which will have the effect of destroying the distinctive character of the mark or making it deceptive, e.g. by licensing others to use it without proper control or without indicating a connection with the registered proprietor.

(*c*) He should not allow the mark to remain unused for more than five years continuously.

(*d*) He should restrain others from infringing his mark by taking prompt action against them.

6 Ghost marks

Manufacturers and traders have a tendency to coin marks starting from descriptive words, generic names, surnames or names of places which themselves are not registrable. The result may be that the marks so coined have some indirect descriptive significance. Sometimes they may also use as trade marks, descriptive words, surnames or names of places. In either case it may be difficult to protect them against infringement by others.

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In order to safeguard such marks they coin invented words similar to their marks actually used and register them as associated marks. The object of registration of such marks is not to use them but to enable them to fight infringement. When infringement suits are launched, such marks are liable to be expunged on the ground of non-use.

7 Non-user—section 47

If a trade mark is registered without any *bona fide* intention to use, and not used, or if it has not been used continuously for a period of more than five years it may be removed on the ground of non-user. These two grounds are generally combined but seldom rectification is effected on the first ground alone. The usual grounds of defence are special circumstances in the trade like import restrictions (in the case of foreign proprietors) or war time restrictions which are considered as special circumstances.

Rectification on the ground of non-user arises usually in the course of opposition proceedings or infringement action as a counterblast. Where the proprietor has not used the mark for more than five years and has not taken any steps to use it, the wiser course would be not to object to the registration of similar marks by others or launch infringement proceedings. But then the value of the registered mark will be diluted by the use by others of similar marks.

8 Words used as name or description—section 36

Although registration might properly be allowed by the Registrar and be maintained for a period, circumstances subsequently arising, in relation to the use of the marks might affect the propriety of allowing the mark to remain on the register. Cases of this kind arise when a patentee of a patented article gives the article a name, often an invented word, which becomes public property after the expiry of the patent (e.g. "Linoleum") or where a word, properly registered as a trade mark subsequently becomes the name of the article itself (e.g. Gripewater). The Act provides for removal of such marks from the register.

9 Alteration of registered trade mark—section 59

In course of time the registered proprietor may like to effect some changes in the mark in keeping with business trends and change of fashion. The registered mark may be altered provided the alteration does not affect substantially the identity of the

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mark. Alteration will not be allowed if the altered mark is similar to any existing registered mark or unregistered mark.

10 Correction or alteration of register—section 58

The Registrar may on the application of the registered proprietor correct any error or enter any change in the name, address or description of the registered proprietor, strike out any goods or enter a disclaimer or memorandum relating to a trade mark which does not in any way extend the rights given by the existing registration.

The Registrar may also, on application by the registered user, correct any error, or enter any change in the name, address or description of the registered users. But this will be done only after giving notice to the registered proprietor.

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CHAPTER

24

Infringement, Threat and Trade Libel

1 Rights conferred by registration—sections 27 and 28

A registered trade mark gives to the registered proprietor the exclusive right to use the trade mark in relation to the goods for which it is registered. It enables the proprietor to file a suit for infringement of this right and obtain injunction, damages and other reliefs against an infringer.

The rights conferred by registration are confined to the actual goods in respect of which the mark is registered.

The exclusive rights conferred by registration is circumscribed by various limitations. These are:

(1) the right can be challenged on the ground that the registration is not valid. Validity can be considered only in an application for rectification—s. 31;

(2) it is subject to any conditions and limitations entered on the register. Any use of the mark beyond the periphery of such conditions and limitations is not protected by registration and an action for infringement will not lie against such use by others;

(3) registration will not operate against persons who are registered proprietors of identical or similar marks;

(4) certain acts do not constitute infringement by express provisions of the Act—s. 30;

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(5) the registered proprietor cannot interfere with prior users of the same or similar mark—s.34;

(6) the registered proprietor cannot interfere with any *bona fide* use by a person of his own name or that of his place of business, or the use of any *bona fide* description of the character or quality of the goods—s. 35;

(7) in the case of a word mark, if in course of time it becomes the name of an article or substance, then the rights conferred by registration ceases—s. 36;

(8) registration of a mark is not a defence against an action for passing off, see ss. 27(2) and 28(1).

Validity of registration

Validity of a trade mark cannot be challenged on the ground that it was not a registrable trade mark under s. 9 except upon evidence of distinctive character if it is proved that the mark had become distinctive by use at the date of registration.

Where the mark is registered in breach of s. 9(1) it cannot be held invalid if it is proved that it has acquired a distinctive character after the registration and before the commencement of the legal proceeding—s. 32.

Where the proprietor of an earlier trade mark has acquiesced for a continuous period of five years in the use of the registered mark, being aware of that use, he is not entitled to attack the validity of that registration or oppose the later use of that mark unless the registration of the later trade mark was not applied in good faith. However, the proprietor of the later trade mark cannot oppose the use of the earlier trade mark.

2 Infringement of trade marks—sections 27 and 29(1)

A registered trade mark will be infringed if a person in the course of trade, in relation to the same goods for which the mark is registered, uses without authority the same mark or a deceptively similar mark. For the interpretation of deceptive similarity, *see* Chapter 18. The use must be use as a trade mark. It is sufficient if the essential feature of the mark is taken. The identification of an essential feature depends partly on the courts' own judgment and partly on the evidence. The question of determination of the essential feature arises generally in device marks particularly composite marks where there are a number of features. A disclaimed feature is not an essential particular. If the goods bearing the registered mark have come to be known by a word

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then the use of that word by any other trader may constitute infringement. If the whole of the registered mark is taken the addition of other matter will not affect the issue. Fraudulent intention is not necessary to prove infringement, but if established it will go a long way to prove infringement especially in doubtful cases. Inconspicuous additions may indicate fraudulent intention.

The mark must be used in the course of trade as a trade mark and use must be of a printed or other visual representation of the mark. Use on advertisement, invoices or bills would be infringement.

Where the registered proprietor's name incorporates the registered trade mark, use of such name to indicate former connection with the plaintiffs will not constitute infringement. Unauthorised printing of the plaintiffs' label will be an infringement of the mark. Use of the mark as part of the trading style of the defendant is also an infringement. Use on reconditioned or second hand articles will infringe the registered mark even if it is made clear that the goods are not original but only reconditioned.

Where the mark registered consists of a descriptive word, surname or geographical name, any *bona fide* use of that word or name by others for descriptive purposes is protected and will not be an infringement.

Infringement under section 29(2) to (9)

Under s. 29(2) & (3) the following uses of the registered trade mark which are likely to cause confusion or likely to have an association with the registered mark also constitute infringement of the registered trade mark:

(*a*) marks identical and goods or services similar;
(*b*) marks similar and goods or services identical or similar;
(*c*) marks identical and goods or services identical.

Section 29(4)

(a) Marks identical or similar, and goods or services not similar; and
(*b*) the registered trade mark has a reputation in India; and
(*c*) the use of the mark without due cause takes unfair advantage of or is detrimental to the distinctive character or repute of the registered trade mark.

Section 29(5)

Mark used as trade name or part of trade name or name of business concern or part of the name of business concern dealing

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in goods or services in respect of which the trade mark is registered.

Section 29(6)

For the purpose of this section (i.e. s. 29) a person uses a registered trade mark if, in particular he—

(*a*) affixes it to goods or to the packaging thereof;

(*b*) offers or exposes goods for sale, puts them on the market, or stocks them for there purposes under the registered trade marks, or offers or supplies services under the registered trade mark;

(*c*) imports or exports goods under the mark; or

(*d*) uses the registered trade mark on business papers or in advertising.

It would appear that this sub-section will apply to all kinds of infringement where the marks are similar and/or the goods are similar.

Section 29(7)

Unauthorised application of the registered trade mark to a material intended to be used for labelling or packaging goods as a business paper, or for advertising goods or services, provided that such person when he applied the trade mark knew or had reason to believe that the application of the mark was not duly authorised by the proprietor or a licensee.

Section 29(8)

Any unauthorised advertisement of the registered trade mark if such advertisement—

(*a*) takes unfair advantage of and is contrary to honest practices in industrial or commercial matters, or

(*b*) is detrimental to its distinctive character; or

(*c*) is against the reputation of the trade mark. This refers to comparative advertisement.

Section 29(9)

Unauthorised spoken (oral) use of words which constitute distinctive elements of a registered trade mark.

The various types of infringement listed under s. 29(2) to (9) involves expressions like similar mark, similar goods or services use of the mark without due cause, taking unfair advantage, detrimental to distinctive character or repute, contrary to honest

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practices in industrial or commercial matters, against the reputation of a trade mark, and distinctive elements of a registered trade mark.

The terms "similar marks" and "similar goods" have been explained in Chapters 20 and 19 respectively. As to the other expressions the exact meaning and significance will depend upon the particular circumstances of each case and judicial interpretation.

Use of registered trade mark not constituting infringement—section 30

The following uses will not constitute infringement:

(*a*) use in accordance with honest practices in industrial and commercial matters which will not take unfair advantage of or cause detriment to distinctive character or repute of the trade mark.

(*b*) use in relation to goods or services indicating character, quality or geographical origin.

(*c*) in relation to services to which the mark has already been applied by the proprietor or registered user the object of the use is to indicate that the services have been performed by the proprietor or registered user.

(*d*) where a trade mark is registered subject to any conditions or limitations, any use of the mark beyond the scope of such conditions or limitations will not constitute infringement. Thus if registration is limited to certain territories, any use of the mark outside the territory will not infringe, but such use may lead to passing off;

(*e*) the use of the mark in relation to goods to which the mark has been lawfully applied, or where the registered proprietor has consented to the use of the mark. This applies to cases where the goods are purchased in bulk and sold in retail applying the mark. This may not be applicable to goods like medicines or foodstuffs where repacking may affect the quality of the product;

(*f*) the use of the mark in relation to parts of or accessories to the goods in respect of which the mark is registered if the use is reasonably necessary to indicate that the goods are so adapted. This generally arises in the case of machinery, automobiles, cycles, etc., where the parts and accessories are manufactured by different persons;

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(g) the use of the mark or a similar mark in the exercise of a right conferred by independent registration. This arises where identical or similar marks are registered by more than one person;

(h) assignment of the registered trade mark to another person will not affect the right of a person to sell or deal in the goods bearing the mark lawfully purchased by him before assignment. This will not apply when the condition of the goods has been changed and impaired.

3 Action for infringement—section 134

Jurisdiction

A suit for infringement of registered trade mark must be filed in a District Court having jurisdiction or in a High Court having original jurisdiction to entertain such suits. The jurisdiction of the court and the procedure are governed by the Code of Civil Procedure. The infringement must have taken place within the territorial jurisdiction of the court. The period of limitation for filing the suit is three years from the date of infringement.

Where the registered mark is in use it is advisable to file a combined suit for infringement and passing off. If the mark consists of an artistic label in which copyright subsists, infringement of copyright may also be included in the suit, in which case it has been held that the suit may be filed before a court within the local limits of whose jurisdiction the plaintiff resides or carries on business. This may have the advantage of filing the suit in a court situated far away from the business place of the defendant to his disadvantage.

Under s. 134(2) the District Court within whose territorial jurisdiction the person instituting the suit or proceeding actually or voluntarily resides or carries on business or personally works for gain can entertain a suit for infringement of registered trade mark. This may act as deterrent against infringement by persons carrying on business far away from the place of business of the potential plaintiff.

Plaintiff

The persons who can file an infringement suit are: (1) the registered proprietor or his legal heirs, (2) a registered user if the proprietor refuses to file the suit, (3) an applicant for registration of the mark provided the mark is registered before the hearing of the suit, (4) assignee of a registered mark even if the assignment is not recorded on the register.

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Defendant

The persons who may be sued for infringement are those who use or threaten to use the mark in relation to any of the goods or services in respect of which it is registered, the master of the servant who commits the infringement, agents of the principal infringer, printers of the infringing labels, directors of a limited company if they have personally committed or directed infringing acts, or persons directly responsible for the promotion of a company for the purpose of committing infringement. All those persons whose use of the mark constitutes infringement under s. 29 of the Act may be sued.

Evidence of infringement and proof of title to sue

Evidence of infringement in the form of specimens of goods bearing the infringing mark or advertisements, catalogues, labels, cartons or trade literature containing the infringing mark should accompany the plaint. Plaintiffs' title to the mark should be proved by producing a certified copy of the entry in the register obtained from the Registrar. In all legal proceedings the original registration and subsequent assignments are *prima facie* evidence of their validity. If the defendants wants to challenge the validity of registration he must file an application for rectification of the register.

Plaint

There is no special form of pleading prescribed for infringement suit. The pleadings must contain a clear and concise statement of all material facts relied upon by the plaintiff. It should specifically allege that the defendant has infringed or threatened to infringe the registered mark and the reliefs sought. The reliefs available are an injunction, damages or account of profits and delivery up of infringing labels. Particulars of the acts committed by the defendant which form the basis for the alleged infringement must be given. Where fraud is desired to be raised, it must be specifically pleaded and particulars of fraud stated. In an infringement action there is no need to plead user of the registered mark or particulars of user, though it is often given. But in a combined suit for infringement of trade mark and passing off, the plaintiff should plead that he has used the trade mark and that by virtue of such user the mark has become distinctive of his goods and acquired goodwill and reputation.

Written statement and defences

The defendant in his written statement or statement of defence should state all the material facts relied upon by him. Where the

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validity of registration is attacked by way of defence, the defendant must state his grounds and make an application to the appropriate High Court for the rectification of the register. In such a case the trial court will order stay of the suit pending decision on the rectification proceedings. The defendant may plead one or more of the following defences as may be applicable to his case:

(1) the plaintiff has no title to sue,
(2) registration of the mark is not valid and is liable to be expunged,
(3) the use of the mark complained of is not an infringement of the registered trade mark,
(4) in the case of Part B registration, the use complained is not likely to deceive or cause confusion,
(5) the defendant has a statutory right to use the mark by virtue of concurrent registration,
(6) the defendant's use is prior to the registration and use of the plaintiff,
(7) the defendant has a right to use by virtue of honest concurrent use,
(8) the defendant is using the mark *bona fide* for descriptive purposes or he is *bona fide* using his own name or that of his place of business, or the name or the name of the place of business of his predecessors in business. This does not apply to use of the name as a trade mark,
(9) the plaintiff's mark has become the common name of the goods or has become common to the trade,
(10) the plaintiff is debarred from suing or claiming the reliefs sought by his own conduct, for example, the plaintiff's trade is fraudulent, or his trade mark is deceptive, or he is guilty of estoppel, acquiescence, laches or abandonment of the mark.

Honesty of adoption of the mark is not a defence. Even if the defendant had originally adopted the mark honestly, if in fact the use of the mark is calculated to deceive purchasers, the continued use of the mark will be considered as fraudulent use and an infringement of the mark. Innocent infringement is not a defence against injunction but It is a good defence against grant of damages or account of profits.

Interlocutory injunction

In almost all cases the plaintiff along with the plaint files an application for interlocutory injunction i.e. an injunction

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restraining the defendant from using the offending mark pending the trial of the suit or until further orders. If the matter is urgent and serious, an *ex parte* injunction for a short period may be obtained. Interlocutory injunction pending trial of the suit may be granted only after notice to the defendant and giving him an opportunity to reply to the application for interlocutory injunction and hearing the parties. If an interlocutory injunction is obtained, in practically all cases, that is the end of the matter. The trial of the suit may come up only after many years. The defendant should be wise enough to choose another mark instead of fighting the suit. An application for interim injunction is decided on affidavit evidence only. If the marks are identical or near identical no further proof of infringement is necessary. If the marks are not identical, affidavits from dealers and customers to the effect that they would be deceived or confused may be helpful though ultimately the question of similarity is a matter for the judge to decide. Delay is fatal to interlocutory relief. The plaintiff will have to make out a *prima facie* case of infringement and show that the balance of convenience is in his favour. Interim injunction will rarely be granted, (1) if there is unexplained delay in coming to court, (2) where the defendant has been using the mark for quite some time, (3) where the likelihood of confusion is doubtful, (4) or where damages would be adequate relief, or (5) where the balance of convenience is in favour of the defendant. However, if the defendant has adopted the mark fraudulently, in the absence of other circumstances, interim injunction will rarely be refused. Where the case is not sufficiently strong for granting an interim injunction and damages may be adequate remedy the defendant may be ordered to keep accounts and submit periodical statements of the sales turnover of the goods sold under the impugned mark. The defendant may, in lieu of an injunction, give an undertaking not to use the mark pending trial.

Interim injunction granted may be suspended for a reasonable period to enable the defendant to comply with the order. This is essential especially where the defendant is a limited company and compliance of the order requires change of corporate name.

Where interlocutory injunction is granted, the plaintiff must give an undertaking to pay damages for loss, if any, suffered by the defendant, if the defendant succeeds at the trial.

Lord Diplock's Judgment in *American Cyanamid* v *Ethicon* [1975] RPC 513 at 539-542 (HL) is worth reading as it is widely quoted in Indian cases.

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Whether perpetual injunction and other reliefs like damages or account of profits and delivery-up of offending labels should be granted or not will be decided at the trial of the suit.

Stay of proceeding—section 124

If the defendant challenges the validity of registration of the plaintiffs' mark, and files an application for rectification, the suit will be stayed pending final disposal of the application for rectification; for, if the mark is removed from the register the infringement suit becomes infructuous. When the suit is stayed, the court may grant interlocutory orders including interim injunction or keeping of accounts.

Proof of infringement

The plaintiff must establish that the use of the mark complained of comes within the scope of the definition of infringement. Where the marks are identical there is no need for any further evidence. But when the defendant's mark is not identical the plaintiff has to establish that it is deceptively similar. The question is for the judge to decide taking into consideration all the circumstances of the case including any evidence from dealers and customers. Instances of confusion, if proved, may be useful but not necessary to establish that the marks are deceptively similar. Evidence of infringement may be obtained by test purchase of the defendants' goods bearing the spurious mark. The plaintiff or his agent places an order with the defendant for the supply of the goods bearing the registered mark. If the defendant in answer to such orders, supplies the spuriously marked goods, this will constitute a clear case of infringement. If such orders are fairly given they will be accepted as evidence of actual infringement. This kind of test orders are referred to as trap orders. Trap order evidence is useful more in passing off cases.

Where the plaintiff pleads infringement under s. 29 (4) (marks similar but goods different), the plaintiff will have to prove reputation of his mark and that the use of the mark by defendant without due cause takes unfair advantage of or is detrimental to the distinctive character or repute of the registered trade mark.

Reliefs in suit for infringement—section 135

The reliefs in a suit for infringement include an injunction, restraining further use of the mark, damages or an account of profits, and an order for delivery-up of the infringing labels and marks for destruction or erasure. If the infringement committed was innocent, only nominal damages will be awarded. In lieu of

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injunction the defendant may give an undertaking not to use the mark.

Breach of injunction or undertaking by the defendant amounts to contempt of court. The appropriate remedy for the breach is committal in the case of individuals and sequestration of property in the case of companies. Where there is a breach of undertaking or injunction by a company, the directors of the company would be personally liable if they had notice of the undertaking or injunction. Injunction may be discharged if the defendant subsequently obtains concurrent registration of the offending mark.

4 Threat of legal proceedings—section 142

Where any person threatens another with an action for infringement of a trade mark or similar proceeding, the aggrieved person may bring a suit against that person for obtaining a declaration to the effect that the threats are unjustified, and for an injunction against the continuance of the threats. He may also recover damages, if any, he has sustained. The threat may be communicated through circulars, advertisements or otherwise. The plaintiff in such a suit will not succeed if the defendant is able to show that his trade mark is registered and that the acts of the plaintiff forming the basis for the threats would constitute infringement of such trade mark. A threat action will not lie if the registered proprietor of the trade mark with due deligence commences and prosecutes an action for infringement against the person threatened.

If the owner of a trade mark publishes in good faith and in the belief that it is well founded, a general warning or cautionary notice to the public regarding infringement of his rights, it will not amount to a threat.

See Chapter 12 for further details.

5 Trade libel

It is an actionable wrong to make defamatory statements about a man's goods or business:

(a) if they are untrue and made maliciously,
(b) if they are intended to produce or are reasonably likely to produce damage, and
(c) if in the ordinary course of things they do produce damage.

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Such an action is known as slander of title, or malicious or injurious falsehood and come under the general category of an action for trade libel. The subject-matter of the action may relate to a trade mark, patent, design or any other kind of property.

An action for slander of title or injurious falsehood can be maintained only if the plaintiff proves three things; (1) that the statements or representation complained of were false or untrue; (2) that they were made maliciously, that is, without just cause or excuse; and (3) that the plaintiff has suffered special damage thereby. "Malice" in the law of slander of title and other forms of injurious falsehood means some dishonest or otherwise improper motive. A *bona fide* assertion of title, however, mistaken, if made for the protection of one's own interest or for some other proper purpose, is not malicious. The term "maliciously" is used not in the sense of illegality, but in the sense of being made with some indirect or dishonest motive. Honest belief in an unfounded claim is not malice, but the nature of the unfounded claim may be evidence that there was not an honest belief in it. It may be so founded that the particular fact that it is put forward may be evidence that it is not honestly believed.

In order to succeed in an action for trade libel the plaintiff should prove either actual damage or likelihood of actual damage. It is sufficient for the plaintiff to prove that the libel is calculated to injure his trade; it is not necessary that he should prove actual damage.

Illustrations

The following have been held to be malicious falsehood:

(1) Circulars suggesting that the goods of the plaintiff were imitations of the goods sold by the defendant,

(2) sale of old tinned milk manufactured by the plaintiff as and for the plaintiffs' current stock, and

(3) letter written by defendant saying that the plaintiffs were intending to make use of a patented invention of the defendant which was abandoned by him because it lead to an inadequate construction.

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CHAPTER

25

Goodwill

Nature of goodwill

The goodwill of a business is recognised as a form of property. It can be bought and sold like any other property. It can be protected against infringement by others by process of law. What is goodwill is very difficult to define though it can be described. It is the benefit and advantage of the good name, reputation, and connection of a business. It is the attractive force which brings in custom. It is the one thing which distinguishes an old established business from a new business at its first start. The goodwill of business must emanate from a particular centre or source. It has power of attraction sufficient to bring customers home to the source from which it emanates. Goodwill is composed of a variety of elements. It differs in its composition in different trades and in different businesses in the same trade. One attribute common to all cases of goodwill is the attribute of locality. It has no independent existence; it must always be attached to a business. Goodwill regarded as property has no meaning except in connection with some trade, business or calling. It includes whatever adds value to a business by reason of situation, name and reputation, connection, introduction to old customers, and agreed absence from competition. Goodwill is the whole advantage, whatever it may

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be, of the reputation and connection of the firm, which may have been built up by years of honest work or gained by lavish expenditure of money. Goodwill is inseparable from the business to which it adds value (*Commissioners* v *Miller* (1901) AC 217 at 223-225).

In some cases goodwill may be considered as having a distinct locality, the goodwill of a retail shop for instance. The goodwill of a business adds value to the land or house in which it is carried on if sold with the business. If the business is carried on in different territories or countries, a separate goodwill attaches to it in each. Under modern business conditions a business, particularly of the manufacture and sale of a product, is carried on all over the country. In such a case it will be difficult to localise goodwill.

The owner of a trade mark or business name may have a goodwill in a country without having any place of business there.

Goodwill is a species of intangible property capable of being sold or charged or bequeathed by will. It is invariably symbolised or identified by a trade mark or trade name. Goodwill forms part of the assets of a firm. Trade mark, trade name and get-up form part of the goodwill of business. The name of a firm is a very important part of the goodwill of the business carried on by the firm. The transfer of goodwill of a business confers on the transferee the exclusive right to carry on the business transferred, the exclusive right to represent himself as carrying on such business, and as against the transferor the exclusive right to use the name under which the business has been carried on, but such name must not be used so as to expose the transferor to a risk of personal liability owing to his being held out as the owner of or a partner in the business. The sale of the business and goodwill carries with it the right to use the old firm's name. The sale of the business is a sale of the goodwill, whether the word 'goodwill' is mentioned or not. Any unregistered trade mark vested in a company would pass with an assignment of its goodwill by the company.

In the absence of any express restrictive covenant, the vendor of a business is at liberty to set up a competing business, but he may not solicit the customers of the business of which he has sold the goodwill and so deprive the purchaser of the benefit of

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that which he has bought. Thus where the goodwill of a firm is sold after dissolution, a partner may carry on a business competing with that of the buyer and he may advertise such business, but, subject to agreement between him and the buyer, he may not, (1) use the firm's name, (2) represent himself as carrying on the business of the firm, or (3) solicit the custom of persons who were dealing with the firm before its dissolution.

In *Star Industrial* v *Yap Kwee Kor* [1976] FSR 256 at 269 (PC) Lord Diplock stated as follows:

> "Goodwill as the subject of proprietary right is incapable of subsisting by itself. It has no independent existence apart from the business to which it is attached. It is local in character and divisible; if the business is carried on in several countries a separate goodwill attaches to it in each. So when the business is abandoned in one country in which it has acquired a goodwill, the goodwill in that country perishes with it, although the business may continue to be carried on in other countries".

Thus goodwill is territorial in nature.

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CHAPTER

26

Passing off

Passing off is a form of tort. The law of passing off, based on common law, has remained substantially the same over more than a century though its formulation has changed over the time. The object of this law is to protect the goodwill and reputation of a business from encroachment by dishonest competitors.

An unregistered trade mark which has been used can be protected only by an action for passing off or by criminal proceeding. See s. 27 and s. 2(1)(*zb*)(*i*) and Chapter 27.

1 Classical formulation of passing off

'No man is entitled to represent his goods as being the goods of another man, and no man is permitted to use any mark, sign or symbol, device, or other means, whereby, without making a direct false representation himself to a purchaser who purchases from him, he enables such purchaser to tell a lie or to make a false representation to somebody else who is the ultimate customer' (*Singer v Loog* (1881) 18 Ch D 395 at 412). This principle also applies to business where no goods are involved. To put it shortly, it is an actionable wrong for any person to pass off his goods or business as and for the goods or business of another person by whatever means that result may be achieved. The law of passing off has been extended to professions and non-trading

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activities. In fact today it is applied to many forms of unfair competition where the activities of one person cause damage or injury to the goodwill associated with the activities of another person or group of persons. Fraudulent intention is not necessary to constitute passing off.

Passing off by misrepresenting connection

In certain circumstances passing off action will lie when there is a representation to the effect that the defendants' goods or business is connected or associated with the goods or business of the plaintiff. The concept of connection is more appropriate in the case or business where one gets groups of subsidiary and associated companies or trading arrangements. But in the case of goods the concept should not be given too wide a meaning. Not every kind of connection will amount to passing off e.g. if one says that one's goods are very suitable for use in connection with another's. It is, however, sufficient if what is done represents the defendants' goods to be connected with the plaintiffs' in such a way as would lead people to accept them on the faith of the plaintiffs' reputation. The association or connection must be sufficiently close to affect the goodwill of the injured party. If the defendants' conduct has been such as to mislead members of the public into a mistaken belief that the goods or services of the defendants or defendants' business are, (*a*) the goods or services or business of the plaintiff or (*b*) connected with the plaintiffs' business in some way which is likely to damage the plaintiffs' goodwill in that business, the defendants will be liable to the tort of passing off. The basic features of the tort are: first a misrepresentation, express or implied but not necessarily fraudulent and secondly a consequent likelihood of damage to the plaintiffs' goodwill.

Passing off and goodwill

The nature of the property protected in passing off cases is goodwill which has become attached to the plaintiffs' business, the name, mark or get-up being the badge or vehicle for the goodwill. Thus an author, playwright or film script writer can claim goodwill in a fictional character and a film producer who has a licence to use the story creating the character can build up a goodwill which may be protected in a passing off action even though he may not be the owner of the copyright (*Shaw Bros.* v *Golden Harvest* [1972] RPC 559 at 563, 567).

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Passing off applied to non-trading activities

The principle of the law of passing off has been extended and applied to many kinds of businesses other than trading business in the ordinary sense, for example professional associations, the business of looking after children, or organising exhibitions, or any kind of services and beauty contests. Damages or likelihood of damage to goodwill is the gist of all such actions.

Passing off and unfair trading

The broad principle of passing off is: 'In the interest of fair trading and in the interests of all who may wish to buy or to sell goods the law recognises that certain limitations upon freedom of action are necessary and desirable. In some situations the law has had to resolve what might at first appear to be conflicts between competing rights. In solving the problems which have arisen there has been no need to resort to any abstruse principles but rather to the straightforward principle that trading must not only be honest but must not even unintentionally be unfair' [*Parker-Knoll* v *Knoll International* [1962] RPC 265 at 278 (HL)].

What should be established in a passing off action

The basis of a passing off action being a false representation by the defendant, it must be proved in each case as a fact that the false representation was made. It may have been made in express words which is rather rare. The more common case is where the representation is implied in the use or imitation of a mark, trade name, or get-up with which the goods of another are associated in the minds of the public, or a particular class of public. In such cases the point to be decided is whether, having regard to all the circumstances of the case, the use by the defendant in connection with his goods of the mark, name or get-up in question impliedly represents such goods to be the goods of the plaintiff, or the goods of the plaintiff or a particular class or quality, or, as it is sometimes put, whether the defendants' use of such mark, name, or get-up is calculated to deceive. It would, however, be impossible to enumerate or classify all the possible ways in which a man may make the false representation relied on. (Lord Parker in *Spadling* v *Gamags* (1915) 32 RPC 273 at 284 (HL)): The representation need not be made fraudulently. It is enough if it has in fact been made whether fraudulently or otherwise, and the damages may probably ensue.

How far the use of particular words, signs, or pictures does or does not lead to passing off must always be a question of

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evidence, and the more simple the phraseology, the more like it is to a mere description of the article sold, the greater becomes the difficulty of proof, but if the proof establishes the fact the legal consequence will follow. [Lord Halsbury in *Camel Hair Belting* case (1896) 13 RPC 218 at 224 (HL)]. These principles apply not only to passing off of goods but also to passing off of business.

2 Modern formulation of the law of passing off

The essential characteristics which must be present in order to create a valid cause of action for passing off has been stated by Lord Diplock in *Erven Warnink* v *Townend* (Advocaate) [1980] RPC 31 at 93 (HL) as follows:

(1) misrepresentation,
(2) made by a person in the course of trade,
(3) to prospective customers of his or ultimate customers of goods or services supplied by him,
(4) which is calculated to injure the business or goodwill of another trader (in the sense that this is a reasonably foreseeable consequence), and
(5) which causes actual damage to a business or goodwill of the trader by whom the action is brought or (in a *quia timet* action) will probably do so.

Lord Fraser of Tullybelton in the same case (at p. 105) expressed the requirements in a different form as follows: The plaintiff must show:

(1) that his business consists, or includes selling in England a class of goods to which the particular trade name applies,
(2) that the class of goods is clearly defined and that in the minds of the public, or a section of the public in England, the trade name distinguishes that class from other similar goods,
(3) that because of the reputation of the goods, there is goodwill attached to the name,
(4) that he, the plaintiff, as a member of the class of those who sell the goods, is the owner of the goodwill in England which is of substantial value, and
(5) that he has suffered, or is really likely to suffer a substantial damage to his property in the goodwill by reason of the defendants selling goods which are falsely described by the trade name to which the goodwill is attached.

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In *Reckitt & Colman* v *Borden* [1990] RPC 341 at 406 (HL) Lord Oliver of Aylmerton reformulated the classical formulation of passing off as follows:—

> "The law of passing off can be summarised in one short general proposition—no man may pass off his goods as those of another. More specifically it may be expressed in terms of elements which the plaintiff in such an action has to prove in order to succeed. These are three in number. First, he must establish a goodwill or reputation attached to the goods or services which he supplies in the mind of the purchasing public by association with the identifying get-up (whether it consists simply of a brand name or a trade description or the individual features of labelling or packaging under which his particular goods or services are offered to the public such that the get-up is recognised by the public as distinctive specifically of the plaintiffs' goods or services. Secondly, he must demonstrate a misrepresentation by the defendant to the public (whether or not intentional) leading or likely to lead the public to believe that goods or services offered by him are the goods or services of the plaintiff. Thirdly he must demonstrate that he suffers or, in a *quia timet* action that he is likely to suffer damage by reason of the erroneous belief engendered by the defendants' misrepresentation that the source of the defendants' goods or services is the same as the source of those offered by the plaintiff.

These principles are sometimes referred to as the classical trinity, goodwill, confusion and damage.

Remedies

The remedies in a passing off action includes an injunction, damages or an account of profits and delivery-up of the offending article for erasure or destruction.

Shared goodwill

The plaintiff in a passing off action need not be the exclusive owner of the goodwill. It may be shared by others. There can be a multiplicity of plaintiffs or possible plaintiffs in a passing off action all suing or capable of suing in respect of one and the same alleged misrepre-sentation (*Bulmer* v *Bollinger* [1978] RPC at 96, 97). Thus in the '*Champagne*' case, the plaintiffs who were champagne Houses of France established that only wine produced in the champagne District of France by the Champagne Houses

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were known as 'Champagne' and that such wine has great reputation and that the use of the term 'Spanish-Champagne' would deceive by causing persons to believe that the wine so described was champagne. Injunction was granted against the use of the term 'Spanish Champagne' (*Bollinger* v *Costa Brava* [1961] RPC 116). In *Dent* v *Turpin* (1861)2 J and H 139 where two firms were trading under the name 'Dent' as watch makers, it was held that either could prevent a third person from carrying on the same business under the same name. Similar cases, may be found in '*Sherry*' case [1969] RPC 1, '*Scotch Whisky*' case [1970] RPC 489 and *Advocaat* case [1980] RPC 31 (HL).

The above cases show that a word or name can become distinctive of not one trader but of a class of traders. It is, however, necessary to be able to identify with reasonable precision the members of the class of traders of whose products a particular word or name has become distinctive as to make their right to use it truthfully as descriptive of their product a valuable part of the goodwill of each of them, but it is the reputation that that type of product itself has gained in the market by reason of its recognisable and distinctive qualities that has generated the necessary goodwill. The reputation of the type of product may have been gained as the result of its having been made in, or from ingredients produced in a particular locality or are the result of its having been made from particular ingredients regardless of their provenance.

Proof of damage

Damage or likelihood of damage to the goodwill of the plaintiff is an essential ingredient for passing off. Although proof of actual damage is not necessary the plaintiff must show that there is a reasonable probability of his being injured by the defendant's action even if the conduct of the defendant might be calculated to deceive the public. If the defendant had been using the mark or name for a long time and no damage was shown to have occurred there could be no reason for supposing that it is likely to occur in the future. But once it is established that the defendants' action will lead to passing off, it will be presumed that damage to the plaintiffs' business will follow as a natural consequence.

The object of passing off action is to protect the goodwill of business of the plaintiff. A private individual, therefore, cannot institute a suit for passing off even if the defendant practices deception upon the public unless it is proved that the defendants'

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action is likely to cause damage to that individual. The court will, however, take into consideration the interest of the public, i.e. whether they are going to be deceived or confused.

The adoption of a family name, or the name of a house or an address similar to that of the plaintiff without malicious intention or damage or injury to his trade or business is not an actionable wrong, although it may cause inconvenience or annoyance to the plaintiff.

Means adopted for passing off

The method adopted for passing off include:

(1) Direct false representation, (2) adoption of a trade mark which is the same or a colourable imitation of the trade mark of a rival trader, (3) adoption of an essential part of a rival traders' name, (4) copying the get-up or colour scheme of the label used by a trader, (5) imitating the design or shape of the goods, (6) adopting the word or name by which the rival trader's goods or business is known in the market, and many other ingenious methods.

Direct misrepresentation is rare. If a customer orders goods of a particular make under a particular name and received something else, it is a case of passing off although if he had examined the goods he would not have been deceived.

The defendant cannot rely on the fact that his statement is literally and accurately true, if, notwithstanding the truth, it carries with it a false representation. The circumstances under which and the reasons for which, the trade description was adopted is material.

Use of 'similar to', 'better than', 'model', 'type', 'substitute for', etc.

If a person sells his goods as 'similar to' or 'better than' those of another trader, he is not liable to an action for passing off even if such statements are untrue and injurious to the plaintiff. But the addition of the words 'equal to', or 'substitute for' even if inconspicuous may be liable to action. Thus injunction was granted against the use of 'equal to Day and Martin', 'Day and Martin' being the plaintiffs' trade mark and 'equal to' in small letters. In another case 'Yeast tablets', a substitute for 'Yeast-Vite' (Plaintiffs' trade mark) was held passing off although not infringement.

The use of plaintiffs' trade mark followed by the word 'model' may be actionable ('Bechstein Model Pianos' held passing off, Bechstein being Plaintiffs' trade mark).

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A reference to former connection with same business or firm may be permissible but the representation should not suggest that the defendant is still connected with the firm or that he is their successor ('Late of 107 Strand' restrained).

Second hand articles and adulterated goods

Sale of second hand articles as genuine articles of the plaintiff will amount to passing off. Similarly sale of adulterated goods of the plaintiff as that of the plaintiff will constitute passing off.

Goods meant for export

Where the acts by the defendant in India are meant for passing off in a foreign country, an action will lie against him.

Name of patented article or of a new article

Where the plaintiff had adopted a name for a patented article, no other trader can use the name during the period of monopoly but thereafter it can be used by any person as a name for the same article. In the case of a new article not patented any name adopted for describing the article may be used by other traders to describe the same article.

Use of plaintiffs' reference letters and numerals

It is a common practice to use numbers and letters to indicate the range of products of a manufacturer. When placing orders such numbers or letters are referred to for identifying a particular item or spare part. The use of such numbers or letters may result in passing off if they refer solely to plaintiffs' goods. But where the numbers and letters used by the defendant are descriptive of the size and shape of the items sold, it may be difficult to establish passing off. Similarly if they are used to mean parts for use in the plaintiffs machines, there may be no passing off.

Effect of disclaimer

The fact that a plaintiff has disclaimed a particular word or feature in his registration of the mark is not a defence if the word or feature has become distinctive of the plaintiffs' goods.

Goods or business different—common field of activity

Ordinarily where the court has intervened to restrain passing off, the plaintiff and the defendants were engaged, however remotely in a common field of activity. However cases have arisen where the plaintiffs and defendants were carrying on different businesses. In general it is difficult to establish passing off where the goods or business are different. Where the goods are cognate

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or alike or there is overlapping of businesses or there is a probability of extension of plaintiff's field of activity it may be possible to establish a case of passing off. Each case will depend upon its own facts and circumstances. The motive of the defendant in adopting the mark, name or symbol will be an important factor in determining the issue.

In a passing off action there is no requirement that the defendant should be carrying on a business which compete with that of the plaintiff or which would compete with any natural extension of the plaintiffs' business. The necessity for a common field of activity was propounded in *McCullock* v *Lewis A. May* (1948)65 RPC 58 where the plaintiffs' claim was dismissed for want of this factor. This was contrary to many previous authorities. See for example *Eastman Photographic Materials* v *John Griffiths Cycle Corporation* (1898)15 RPC 105 (cameras and bicycles); *Walter* v *Ashton* (1902)2 Ch 282 (The Times Newspaper and Bicycles); *Lego Systems* v *Lego* [1983] FSR 155 (plastic toy construction kits and plastic irrigation equipment).

Although the absence of a common field of activity is not fatal, it is not irrelevant either. In deciding whether there is a likelihood of connection, it is an important and highly relevant consideration. "Whether there is any kind of association or could be in the minds of the public any kind of association between the field of activities of the plaintiffs and the field of activities of the defendant". Where there is no or only a tenuous degree of overlap between the parties' respective fields of activity the burden of proving the likelihood of confusion and resulting damage is a heavy one. The further removed from one another, the respective fields of activities, the less likely was it that any member of the public could reasonably be confused into thinking that the one business was connected with the other; see *Harrods Ltd.* v *Harrodian School Ltd.* [1996] RPC 697 (CA).

Erosion of distinctiveness and dilution of trade mark

In some cases erosion of the distinctiveness of a brand name has been recognised as a form of damage to the goodwill of the business with which the name is connected. Thus in *Tattinger* v *Allbev* [1993] FSR 641 it was held that if the defendants were allowed to market their product (a sparkling wine) under the name "Elder-flower Champagne" there would take place a blurring or erosion of the uniqueness that attends the word 'champagne', so that the exclusive reputation of the champagne houses would be debased. The debasement of the distinctiveness

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of the name champagne will occur if it gradually came to be used by the public as a generic term to describe any kind of sparkling wine. In *William Grant* v *McDowell* [1994] FSR 690 (Del HC) erosion of reputation and impairment by gradual debasement, dilution or erosion of what is distinctive was considered.

The erosion of distinctiveness of a brand name which occurs by reason of its degeneration into common use as a generic term is not necessarily dependant on confusion at all. The danger that if the defendants' product (in the *Tattinger* case) was called champagne then all sparkling wines would eventually come to be called champagne would still exist even if no one was deceived into thinking that such wine really was champagne.

The concept of dilution of trade mark is part of American law of trade marks by statutory recognition. Dilution is not known to common law, even in America but it is defined under the statute as a form of damage which arises despite the absence of confusion between the parties, or their goods or services. It is actionable only by virtue of statutory law. As far as India is concerned there appears to be no decision where the technical meaning of the concept is discussed in detail, apart from casual reference to the term.

Illustrations

The figure of a guardsman was restrained from use in relation to smoking pipes, plaintiff used the same figure in relation to Cigarettes.

Injunction granted against the use of 'Osram' for flash light batteries. Plaintiffs' electric bulbs under the same name was well-known. They were also well-known manufacturers of various electrical goods including dry cell batteries.

The defendant was restrained from trading under the name 'Kodak Cycle Co. Ltd.'. Plaintiffs' cameras under the name 'Kodak' was well-known and evidence showed that there was a close connection between bicycle and photographic trades.

Plaintiffs' smoking tobacco and cigarettes sold under a trade mark consisting of the device of a red elephant were well-known. Defendants used the device of an elephant for their chewing tobacco. Injunction was refused.

Plaintiffs, Crystalate Gramophone Record Manufacturing Co. Ltd., were selling electrical accessories but not electric lamp. Defendants, "British Crystalite Co. Ltd." began selling electric lamps. Injunction was granted.

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Plaintiffs were selling lollypops under the name 'Zoom'. Defendants proposed to market their bubble gum under the same trade mark. Injunction was granted.

No injunction was granted against the use of 'Bata' for lungies and handkerchiefs. 'Bata' well-known brand of plaintiffs' footwear.

Mark 777 well-known for toilet preparations like hair oils, perfumes etc. Injunction refused against use of '777' for bar soaps.

Plaintiffs' 'Granada' had acquired goodwill in the field of television, cinema, theatre and publicity activities. Defendants proposed to use the same mark for motor cars. Injunction refused.

Plaintiffs' mark used for cigarettes. Defendants used the same mark for bidies. Injunction was refused.

Plaintiffs' weekly news magazine 'News Week' had world wide circulation. Defendants proposed to put out a weekly television programme to be called 'News Week'. Injunction was refused.

Plaintiffs using "Stringfellows" as the name of a high class night club and restaurant. Defendant using the same name for chipped potatoes. Injunction refused.

"Lego" used for plastic toy kits by plaintiffs. Defendants using the same name for plastic irrigation equipment. Injunction granted.

"Safeguard" for soaps used by plaintiff, a multinational foreign company. Use in India not substantial and limited. Defendants using the same name for ayurvedic antiseptic cream for eleven years. Injunction refused.

3 Distinction between infringement and passing off

Infringement action	*Passing off*
1. Based on property acquired by registration of the trade mark, user of the mark not relevant.	Based on property in goodwill acquired by use of the mark. Registration is not relevant.
2. Defendant must use the offending mark on the same goods for which plaintiffs' mark is registered.	Defendants' goods need not be same, it may be allied or even different.

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Infringement action	Passing off
3. If the marks are identical or deceptively similar no further proof is required.	Identity or similarity of the marks not sufficient. The use of the mark or symbol must be likely to deceive or cause confusion.
4. Use of the mark by the defendant need not cause any injury or damage to plaintiff.	Use of mark by defendant must be likely to cause injury or damage to the plaintiffs' goodwill.
5. Use of the registered trade mark or a mark similar to it necessary and sufficient.	Use of Plaintiffs' trade mark not essential. Use of get-up, colour scheme layout, shape of the goods, trade name, etc., sufficient. Passing off can be committed orally also.
6. Applies only to goods.	Applies to any business whether trading or non-trading, profit making or non-profit making or professions, or services.
7. Based on violation of a statutory right.	Based on violation of a common law right.
8. Use of the mark as a trade mark is sufficient. Use of additional matter indicating a different trade source is not material.	Objection to use of plaintiffs' mark may be off-set by added matter clearly distinguishing the defendants' goods from the plaintiffs'.
9. Action for infringement is a statutory remedy.	Action for passing off a common law remedy.
10. Infringement need not necessarily lead to passing off.	Passing off by use of mark need not necessarily lead to infringement.

4 Passing off by use of false trade description

The principle of a passing off action has been extended to the use of false trade description. It has been stated that the cases in which the court has restrained passing off in the popular and usual sense are merely instances of the application by the court of a much wider principle, the principle being that the court will always interfere by injunction to restrain irreparable injury being done to the plaintiffs' property (*Samuelson v Producers Distributors* (1931) 48 RPC 580 (CA). The property protected in such cases is the property in the goodwill of the business likely to be injured by the false representation. Thus in the *Champagne* case [1960] RPC 16, it was held that the defendants' sparkling wine sold

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under the name "Spanish Champagne" would be considered as genuine Champagne and injunction was granted restraining the use of the expression although there was no allegation that the defendants' wine will be passed off as the plaintiffs' wine. 'Champagne' is in fact a description of the,wine produced in the Champagne district in France.

Terms like 'Sherry', 'Scotch Whisky', and 'Advocaate' are trade descriptions of different types of alcoholic drinks produced by certain classes of producers and are not trade marks in the ordinary sense. However injunctions have been granted restraining the use of such terms falsely by persons who do not belong to the class of persons who manufacture the genuine goods.

5 What the plaintiff has to prove in a passing off action

To succeed in a passing off action the plaintiff has to establish the following:

(1) he has acquired a sufficient goodwill and reputation in a trade mark, get-up, or other badge, or trade name in relation to some goods or business in India;

(2) what the defendant is doing has actually caused or is likely to cause deception among the particular class of customers of the goods or business;

(3) the plaintiff has suffered or is reasonably likely to suffer damage or injury to his business or goodwill as a consequence of the defendants' action.

Reputation, goodwill and distinctiveness

The plaintiff has to establish that his goods or business is identified by the concerned public by some name, mark, trade name, get-up or other indicia. This is variously referred to as reputation of the mark or other symbol in relation to the goods or business, or goodwill of the business connected with the goods or services or distinctiveness of the mark or 'symbol'. By whatever name it is called, it can be acquired only by extensive user. If the mark or symbol is not known to the public there is no question of any passing off by another person. It is not necessary to prove that all persons or substantially all the persons in the market are aware of the mark or symbol in question. However, the plaintiff must prove that to a substantial proportion of persons who are purchasers or probable purchasers of goods of the kind in question, the name, mark or other symbol of origin indicates the goods of the plaintiff, but it is not necessary that all or almost all such purchasers must entertain that view.

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The existence of the reputation, goodwill or distinctiveness must be proved as on the date on which the alleged passing off was first committed by the defendant.

What degree of reputation is required or to what extent the plaintiffs' mark or symbol must be known to the public is a question of fact depending on the nature of the trade mark, the nature of the goods, the class of customers and other circumstances of the case.

It is not impossible for goodwill in a new kind of business to be built up in a short period of time by modern methods of distribution and advertisement through television.

In the case of perishable articles like food, reputation for the mark can be built up by use over a period of few months or even few weeks. Thus for example it has been held that 'Mr. Chippy' for fish and chips acquired sufficient reputation for initiating passing off action with three weeks user. The word 'Kojak' acquired sufficient reputation for lollipops by six months user. Generally speaking in the case of coined words or fancy names which are non-descriptive of the goods the time required for building up reputation will be much less than that required in the case of surname, geographical name or a descriptive word. Where the use of the mark has been discontinued for a period of time, it would be sufficient if it could be shown that sufficient residual reputation existed at the time of the alleged act of passing off.

Reputation of the mark must be established in India. Reputation in foreign countries is not sufficient. Knowledge of the mark obtained by certain members of the public in India through advertisements in foreign periodicals circulating in India is not sufficient if the plaintiff has no business in India which will be injured by the defendants' acts. A foreign plaintiff can acquire reputation or goodwill in India in respect of a business or goods under a name even though he has no business place here, e.g. when the plaintiffs' goods bearing the mark are imported by local traders.

Trans-border reputation

A foreign plaintiff ordinarily acquires reputation and goodwill for his product in India by actually selling his branded products directly or through importers or by establishing manufacturing facilities locally. Where sale of the particular products through import was not possible due to import restrictions or setting up business was not commercially viable or feasible a foreign plaintiff

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could still create a reputation for his products, if not goodwill, by advertising his product under its brand name through local newspapers and magazines or by advertising their product in foreign newspapers and periodicals which have a circulation in India among the potential customers of the goods. The reputation can also be brought to India by Indians who have visited the foreign country or stayed there for some time when they had opportunities of buying the product and using them and bringing with them when they return to India memory of those products and often bringing with them specimens of the product and distributing them to their relations and friends. The foreign returned Indians become customers of the particular product. The number of persons visiting foreign countries for various purposes have increased substantially. The number of Indians who have stayed in foreign countries have also increased substantially in recent times and many of them become potential customers of foreign products familiar to them when they return to India. Because of globalization of trade and commerce and the enormous development in communication facilities through radio, television particularly satellite television advertisement of the products in foreign countries have become available for viewing by large number of persons in India through television broadcasts. By the above means it is now possible to create reputation for foreign products in India and create potential customers for the goods in India. This form of creation of reputation is often called trans-border reputation.

The question arises whether such reputation by itself without actual availability of the goods can be considered as a factor in a passing off action against local traders who have adopted the foreign brands for their products manufactured in India by them. There is no doubt that if the foreign plaintiff could establish the three elements of passing off—reputation or goodwill confusion and damage—a case of passing off can certainly be established.

The term reputation should be distinguished from goodwill although in trade mark literature the two are often used interchangeably. A reputation is the means by which something is recognised. It is the knowledge among a large number of people of the existence of something, a well-known product or a well-known person. Goodwill exists in the minds of customers of goods or business who are aware of the good qualities or reliability of the goods or business concerned. "It is the state of mind which makes them wish to patronise certain brands of goods or

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services. Foreign traders may well have a reputation in the sense that they are known to members of the public in this country even though they carry on no business here. Such a reputation however extensive it is will not support a passing off action unless the business's goods or services are available in this country so that the business is able to have customers here" (Drysdale & Silverleaf on *Passing off*, 2nd Ed., 1995 at p. 25).

However, recent decisions in the High Courts in India which have received the approval of the Supreme Court that trans-border reputation in India can be taken into consideration as one of the factors in favour of a foreign plaintiff in an action for passing off. But there appears to be no reported case either in India or in the U.K. or other Commonwealth countries where a foreign plaintiff has succeeded in a passing off action by virtue of trans-border reputation alone without the availability of the relevant goods (excepting cases relating to services).

Authorities

1. *Apple Computers* v *Apple Leasing* (1993) IPLR 63 (Del HC).
2. *Whirlpool Corporation* v *N.R. Dongu* 56 DLT 304 (Del), AIPC 87 (Del-DB); (1996) PTC 583.
3. *W.W.F. International* v *Mahavir Spinning* (1995) IPLR 148 (Del).
4. *Calvin Klein Inc* v *International Apparel Syndicate* (1995) IPLR 83 (Cal).
5. *Haw Par Bros.* v *Tiger Balm Co.* (1996) PTC 311 (Mad-DB).
6. *Kamal Trading* v *Gillette (U.K.)* (1988) PTC 1 (Bom-DB).
7. *Blue Cross & Blue Shield* v *Blue Cross Health* (1990) IPLR 92.
8. *Maxim Ltd.* v *Dye* [1977] FSR 364 Ch D.
9. *Tan-Ichi* v *Janear* [1990] FSR 151 (Hong Kong HC).
10. *William Grant* v *McDowell* [1994] FSR 690 (Del).
11. *Boskin-Robbins* v *Gutman* [1976] FSR 545 Ch D.
12. *C. & A. Mode* v *C. & A. (Waterford)* [1978] FSR 126 (S.C. of Ireland).

6 Different indicia used for indicating trade source

Coined words, fancy names and non-descriptive words

Where the word has been coined by the plaintiff or is a fancy name or non-descriptive word, it is comparatively easy to establish distinctiveness in respect of the plaintiffs' goods. Where the trade mark is a word or device never used before, and meaningless, except as indicating the goods of the plaintiff there could be no

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conceivable legitimate use of it by another person. His only object in employing it in connection with goods of his manufacture must be to deceive (*Reddawayv Benham* (1896)13 RPC 218 at 228).

Descriptive words, surnames or geographical names

Where the alleged passing off is based on the use by the defendant of words used by the plaintiffs to distinguish his goods which are *prima facie* descriptive of the goods, the principle of law is the same, the difficulty being only in proving distinctiveness. The more simple the phraseology, the more like it is to a mere description of the article sold, the greater becomes the difficulty of proof, but if the proof establishes the fact the legal consequence will follow. A trader could describe his goods truly by enumerating the particulars of what they consisted, unless such description was calculated to deceive and make his goods pass as the goods of another. What in each case or in each trade will produce the effect intended to be prohibited is a matter which must depend upon circumstances of each case, and the peculiarities of each trade.

The name of a person, place or words forms part of the common stock of language. The mere proof of use by the defendant of a word which the plaintiff has adopted to distinguish his goods is not sufficient to entitle him to relief. He could only obtain relief by proving further that the defendant was using it under such circumstances or in such manner as to put off his goods as the goods of the plaintiff.

Where the plaintiffs' mark consists of a purely descriptive word, it would be difficult to make out a case of passing off by the use of such word alone. But if the defendant in addition to using the descriptive word by the plaintiff also uses plaintiffs' colour scheme, get-up, etc., it may be easier to establish passing off.

There is no such thing as a monopoly or a property in the nature of a copyright or in the nature of a patent in the use of any name. Whatever name is used to designate goods, anybody may use that name to designate goods always subject to this, that he must not make, directly or through the medium of another person, a false representation that his goods are the goods of another person.

Where a new article is manufactured by one person only, whether because of a patent or otherwise, the name given to the article by him, even if it is an appropriate description, may be associated with the product of the original manufacturer. But

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when this monopoly ceases any other person has a right to use it as descriptive of the article manufactured by him. Examples of such cases are: 'Flaked Oatmeal' for a preparation of Oats, 'Cellular Clothing' for a particular kind of fabrics, 'Shredded Wheat' for a cereal whole wheat biscuit.

There may be words which are distinctive to some people and descriptive to others. Examples: 'a corona cigar' indicated to some the brand name of a cigar, while to others it indicated the size and shape of the cigar, 'Staunton' chessmen indicated to the trade a brand name, but was also used to indicate chessmen made according to the design of a famous chess player of that name, and use of the words 'Genuine Staunton' was not considered objectionable.

Geographical names

The name of a place is *prima facie* descriptive of the place of manufacture or produce of the goods. But it can by extensive use become distinctive of a particular manufacturer in which case other traders may be restrained from using the name except for *bona fide* purposes. Some distinction must be made between the case where a geographical name is applied to a manufactured product and the case where it is applied to a natural product. In the case of a natural product like sand, stones, marble, coal, mineral waters, etc., the use of a geographical name in relation to a natural product which is not the produce of the place well known for it may amount to a false trade description.

Defendants' corporate name or trading name containing plaintiffs' trade mark

The use of the defendants' name containing the plaintiffs' trade mark may be liable to an action for passing off. It is easier to establish passing off where the trade mark in question is a fancy name or invented word. The use of the name 'Ellora Industries' was restrained in an action for passing off by the owners of 'Elora' trade mark (goods similar). Similarly injunction was granted against the use of the trading style 'Blue Super Flame Industries' in an action for passing off by the owners of the trade mark 'Super Flame' (goods gas stoves).

Imitation of get-up

Imitation of get-up of goods or labels may result in passing off. The get-up of goods comprises the shape of the package or container, labels and wrappers, the style of writing, colour or colour scheme of the labels, its decoration, the manner of

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arrangement of the various features of the label and so on. The plaintiff must establish that his get-up has become distinctive of his goods, in other words, the consumers must identify his goods by the get-up. Where the get-up is original and striking it may be easier to establish distinctiveness. Green and black capsules for drugs, dimple shaped bottle for whisky, orange coloured cellophane wrappers for cough sweets known as 'red paper cough sweets' are examples of passing off by using similar get-ups.

Where the features of resemblance between the plaintiffs' goods and the defendants' goods are common to the trade, the plaintiffs will have to show that the defendant has adopted some feature or combination of features which is peculiar to his goods and which is a distinctive feature of his goods.

Imitation of the appearance of the plaintiffs' article is not a case of passing off by use of get-up. However, if the appearance of the goods has become distinctive as in the case of Washing blue sold in a wrapper or bag of cotton with a stick protruding (*Edge* v *Niccols* (1911) AC 693) injunction may be obtained.

There can be a get-up not only of goods but also of a business. The get-up of a business will consist in the get-up of shop or business premises, or the carrier in which the business is performed as in the case of a bus service or Ice cream vans.

7 Non-profit making bodies

The law of passing off has been applied to non-trading business or non-profit making bodies. Thus a professional association may prevent non-members from using a name or initials so as to represent themselves as members of the association. What is necessary in such a case is to prove either positive injury or, in a *quia timet* action, a reasonable probability of injury. In the case of professional association, in general, the injury consists in the probability of existing members leaving the association or the acts of the defendant dissuading new members from joining the association. In general the plaintiff and defendant must be engaged, however remotely, in a common field of activity.

8 Trade names

Apart from a trade mark in the strict sense of the term, a trader may use a name to indicate his business or goods. A trade name can serve the purpose of a trade mark. Where the business does not involve sale of any goods, it is carried on invariably under a trading name or trading style as it is called. Individuals, firms or

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companies rendering professional services come under this category. Transport companies, Insurance companies, persons who carry on repairs or cleaning services, beauty saloons are organisations which render some kind of professional service. The name under which such business is carried on is called a 'trade name'. The reputation and goodwill of the business is often attached to the trade name which will be protected by courts. Copying of their names by competitors would cause injury to their business. The law is that no man is entitled to carry on his business in such a way as to represent that it is the business of another, or is in any way connected with the business of another. The general principles of the law applicable to cases where a person uses a name or initials or intends to use a name which is likely to deceive and thereby divert the business of the plaintiff to the defendant or cause confusion between the two businesses are analogous to the principles which are applicable to ordinary cases of passing off relating to sale of goods *Vacuum-Cleaner* case (1907)24 RPC 641 at 650, *Office Cleaning* case (1946)63 RPC 39 at 42 (HL)). Where the name of a company has acquired reputation in relation to some goods or business, if another person subsequently adopts a deceptively similar name for similar goods or business the latter can be restrained by an injunction from carrying on its business under such a name (*Simatul* v *Cibatul* AIR 1978 Guj 216 at 223).

The trade name need not be applied to the goods as a trade mark. But if by user it has come to mean the goods of the plaintiff, then the use of that name by a competitor may lead to passing off.

The question in all these cases is whether the use by the defendant of the trade name or trading style is calculated to lead to the belief that his business is the business of the plaintiffs. The nature of the words which are used in the trade name, the circumstances and peculiarities of the trade, the motives proved or presumed of the trader who would use the words, all these and many other factors must be considered in determining whether a plaintiff can succeed in his claim. It is a question upon which the judge who has to decide the case has to bring his own mind to bear and which he has to decide for himself. But instances of actual confusion will be given due weight (*Office Cleaning* case (1946)63 RPC 39 at 42 (HL)).

Similarity of names

The question whether the name of one firm so nearly resembles the name of another as to be likely to deceive is one for the court

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to decide. Evidence may be given as to whether or not there are other firms carrying on similar businesses either in the same place or at other places, or whether there are several firms doing similar business nearly resembling it in name, what the state of the trade is, and whether there is any trade name. The plaintiff must prove that the defendant has adopted such a name as may lead people who have dealings with the plaintiff to believe that the defendants' business is a branch of or associated with the plaintiffs' business.

Trade names containing descriptive words, geographical names, personal names, etc.

Where a trader adopts a trading name containing words in common use, some risk of confusion may be inevitable, but that risk must be run unless the first trader is allowed an unfair monopoly. Just as in the case of trade mark the use of descriptive words is jealously safeguarded, so in the case of trade names the courts will not readily assume that the use by a trader as part of his trade name of descriptive words already used by another trader as part of his trade name is likely to cause confusion and will easily accept small differences as adequate to avoid it.

Thus the following names were not considered likely to confuse: 'Official Cleaning Association' and 'Office Cleaning Service'; 'Cash Register Company' and 'National Cash Register'; 'South Tigon Mining' and 'Tigon Mining'; 'Reaves Industrial Furnances Ltd.' and 'Industrial Furnances Ltd.', 'Asiatic Government Security Life Assurance Co. Ltd.' and 'New Asiatic Insurance Co. Ltd.'.

In the case of a limited company, in general, the honest use of a personal name as part of a limited company may be prohibited or restricted if such use would cause or be likely to cause confusion with that of another established business, even though the name be the personal name of the whole or principle shareholder in the limited company. The reason for this appears to be that the choice of a name for a company lies in the discretion of the promoter, whereas the acquisition of the name of a natural as opposed to an artificial person depends as a rule on causes over which he has no control. However, where a limited company is formed to take over an established business lawfully carried on, it can include as part of its name the name of that business. No element of suspicion of fraud attaches to the man who has established a business under his own name if he turns that business into a limited company and applies to that limited

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company his own name with the word 'Limited', the reason for doing so being to retain the goodwill which he has gained for that name. If, however, he has assumed a name to which he was not born and to which there was attached some goodwill relating to another man's trade, one may be justified to infer a fraudulent intention.

Names of limited companies

Where the names of two limited companies are so similar as to cause confusions the same principles which are applicable in the ordinary cases of passing off may be applied. A distinction must be drawn between cases where the word in question is a word of common ordinary use, descriptive of an article or business, and where it is in the nature of a fancy word or primarily does not relate to the article but to the person who makes the article.

Although the Companies Act has provision to ensure that a new company is not registered under a name closely resembling an existing registered company, this is not very effective. Hence a passing off action may be launched to prevent the registration of a newly proposed company or to change the name of an existing company whose name is confusingly similar to another company with established business and reputation. Where a limited company is registered under the same name as a previously existing unincorporated body, injunction may be obtained restraining the limited company from using the name. A person is not entitled as of right to have a company registered under a name containing his own name. A civil court has jurisdiction to entertain a suit for injunction restraining the defendant from using its name similar to the plaintiffs' name although a complaint under the provisions of the Companies Act on the same question may be pending before the Registrar of Companies.

An action for passing off may succeed where the integral part of the names of the two companies are synonymous the one with the other. Thus "Edison Storage Batteries' and 'Edison Accumulators' were held similar. Similarly 'Chill Foods' and 'Cool Foods' were held similar.

See *Montari Industries Ltd.* v *Montari Overseas Ltd.* 1995 PTC 399 (Del) where various cases are discussed.

Name of a shop or factory or business premises

Where the name of shop or factory has acquired reputation in connection with the business or goods of a trader, an action for passing off will lie against another trader using a name calculated

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to cause his business or goods to be confused with that of the first trader. If the businesses are different, no confusion may arise and consequently no action will lie.

Right of a person to use his own name as a trade mark

An honest trader will not be prevented from trading under his own name but will be prevented from placing his name upon his goods as a trade mark or selling them under his name if it would result in passing off.

Right of a person to carry on business in his own name

A man is entitled to carry on his business in his own name so long as he does not do anything more than that to cause confusion with the business of another, and so long as he does it honestly. This is an exception to the general proposition that no man is entitled to carry on his business in such a way as to represent that it is the business of another, or is in any way connected with the business of another. The exception is made in the interest of honest trading and only authorises the use by a man of his own name, it is not an exception which, even in an honest case entitles a man to use something that is not his own name. Thus it does not entitle him to use his name in combi-nation with something else, such as the words 'and Company'. A person will not be restrained absolutely from carrying on a business under his own name.

The use of the natural abbreviation of a person's name may be protected but not an abbreviation which reduced it to less than his ordinary name thereby increasing the likelihood of confusion.

Miscellaneous cases of passing off

The law of passing off has been applied to names of exhibitions, professional names, pseudonym or nom-de-plume, publication of songs, title of periodical publication, book or song, names of characters in fiction, musical acts, false claim to prizes and medals, theatrical sketches or plays and cinematographic versions, beauty contests, escort agencies and so on. But mere copying a rival trader's ideas is not susceptible to a passing off action.

Class of customers to be considered

See Chapter 20 on Deceptive Similarity.

9 Defences in passing off actions

In an action for passing off the defendant may set-up the following defences:

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(1) the name, mark or other symbol, the use of which is sought to be restrained, is not distinctive of the plaintiffs goods or business and has not acquired reputation.

(2) the defendants' use of the name, mark or other symbol is not such as to be likely to pass off his goods or business as those of the plaintiff.

(3) the defendant has a right of his own to use the name, mark or other symbol complained of by virtue of honest concurrent use or otherwise.

(4) the instances of passing off that has occurred are isolated due to *bona fide* mistake and are not likely to be repeated.

(5) the plaintiff is not entitled to relief on account of delay, estoppel, acquiescence, deceptive use of the mark or symbol, misrepresentation of facts or fraudulent trade.

(6) the defendant is using the words complained of for *bona fide* description of his goods.

(7) the goods or businesses of the plaintiff and of the defendant are totally different.

The fact that the defendants' mark is registered is no defence.

10 Reliefs available in passing off actions—section 135

The following reliefs are available in an action for passing off:

(1) an injunction subject to terms,

(2) either damages or an account of profits at the option of the plaintiffs, and

(3) an order for delivery-up of the offending labels and marks for destruction or erasure.

In the case of innocent passing off, if the defendant had ceased to use the mark when he became aware of the plaintiffs' mark, no damages (other than nominal damages) or an account of profits will be granted. But the other reliefs will be available.

Procedure in suits for passing off

A suit for passing off arising out of the use by the defendant of any trade mark resembling the plaintiffs' trade mark must be instituted in a court not inferior to a District Court having jurisdiction to try the suit. Where the passing off does not involve the use of any trade mark or where there is no sale of goods (e.g. passing off relating to professional bodies or service business) the suit may be filed in a subordinate judge's court or a court superior to it.

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The plaintiff in a suit for passing off must be the owner of a trade mark which has acquired reputation in relation to some goods or the owner of the goodwill in a trade name, or get-up relating to some goods or business or profession. The defendant in the suit must be a person who has passed off or whose activities are likely to pass off his goods or business as the goods or business of the plaintiffs.

Passing off action may be instituted by many plaintiffs in a representative capacity provided there is common interest, common grievance and a remedy beneficial to all.

The rules governing the preparation of the plaint and the subsequent proceedings are the same as in any other suit and are governed by the Code of Civil Procedure.

Interim Injunction

It is a general practice to file an application for interim injunction along with the plaint. In suitable cases an *ex parte* injunction may be obtained for a short period. Interlocutory injunction pending the trial of the suit may be granted if the plaintiff establishes a strong *prima facie* case and shows that the balance of convenience is in his favour. Once an interlocutory injunction is granted in most cases, the matter may not come up for trial as the defendant might think it wise to choose a different trade mark or name. In lieu of an interim injunction the court may order the defendant to keep accounts, in which case there is a probability of the parties coming to an out of court settlement. The trial of the suit when it comes is a long drawn out process involving considerable expenditure and time for the parties.

For further details regarding interlocutory injunction, *see* Chapter 24.

Form of Injunction

In passing off cases an absolute injunction as in an infringement action restraining the defendant from using a mark or name is seldom granted. The injunction will generally be in a qualified form as for example: 'an injunction restraining the defendant from passing off..... etc., by the use of the word, mark, name, etc., without clearly distinguishing their goods or business from those of the plaintiffs'.

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CHAPTER

27

Offences and Penalties*

1 Nature of offences—sections 101 and 102

There are certain criminal offences relating to trade marks, trade description, etc., which are punishable with imprisonment, fine or both. The following is a list of such offences:

(1) Falsifying a trade mark to goods or services.
(2) Falsely applying a trade mark to goods or services.
(3) Making or possessing instruments for falsifying trade marks.
(4) Applying false trade description to goods.
(5) Applying false indication of country of origin.
(6) Tampering with an indication of origin already applied to goods.
(7) Causing any of the above acts.
(8) Selling goods or possessing or exposing for sale of goods falsely marked.
(9) Removing piece goods, cotton yarn and threads from the factory before stamping thereon certain particulars like length, weight, counts, etc.
(10) Falsely representing a trade mark as registered.

* Sections 101–121

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(11) Improperly describing a place of business as connected with the Trade Marks Office.

(12) Falsification of entries in the Register.

For definition of trade mark *see* s. 2(1)(*zb*)(*i*).

The onus of establishing criminal liability of the accused is on the prosecution. But when the accused pleads that he acted innocently or without intent to defraud, or sets up any other defence, the burden of proof is on him. A master is held liable for the acts of his servants done in the course of employment.

A servant may be exempted from liability if he had acted in good faith in obedience to the instructions of his master, and, on demand, made by the prosecutor gives full information as to his master and as to the instructions which he has received from his master.

In order to constitute an offence it is not necessary to establish *mens rea*. But an offender charged with any of the offences can set-up a defence that he acted without intent to defraud.

Falsification of trade mark—section 103

A person is said to falsify a trade mark if he makes a trade mark without the assent of the proprietor. In a case of falsification of trade mark it is therefore necessary to prove the existence of a genuine trade mark, whether registered or unregistered, belonging to some person. If registered, a certified copy of the entry in the register is sufficient to prove the existence of the registered trade mark. In the case of an unregistered trade mark, evidence of prior user of the mark by the proprietor is necessary to establish title to the mark. The quantum of user is immaterial if the mark is *prima facie* distinctive. Where the mark is *prima facie* not distinctive evidence of distinctiveness or of substantial user may be necessary to prove title to the mark.

To constitute falsification it is sufficient if the offender makes a mark deceptively similar to the genuine trade mark, or if he carries out alterations, additions or effacement in the genuine trade mark. A trade mark so falsified is called a false trade mark. Any person who falsifies a trade mark is punishable with imprisonment which may extend from six months to three years fine which may vary from fifty thousand to two lacs. For every subsequent offence the term of imprisonment will vary from one year to three years and the amount of fine may vary from one lac to three lacs rupees—s. 105. He can escape punishment only if he proves that he had acted without intent to defraud.

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Without intention to defraud

This expression has been interpreted to mean without intention to do the act. In other words he did not do the act intentionally.

Falsely applying a trade mark

When a person applies to goods a trade mark belonging to another person without the assent of the proprietor of that mark he is deemed to falsely apply the mark. Even if the mark used is only deceptively similar to the mark of another proprietor, he is still said to falsely apply the mark. The application of the mark may be made to the goods themselves or to any package containing the goods. Instead of actually applying the mark himself the offender may use any package bearing the objectionable mark for the purpose of packing, filling or wrapping therein any goods other than the genuine goods of the proprietor of the mark. Any person who falsely applies to goods a trade mark of another proprietor is punishable with imprisonment, for a period from six months to three years and fine which may vary from fifty thousand to two lacs. Where the offender is able to prove that he has acted without intent to defraud he may escape punishment.

Instruments for falsifying trade mark

If any person makes, disposes of, or has in his possession, instruments like die, block, machine or plate for the purpose of falsifying a trade mark, he is punishable with imprisonment and fine. The quantum of punishment will be the same as for the other offences stated above. Punishment may be avoided if the offender is able to prove that he had acted without intent to defraud.

False trade description

A person who applies any false trade descriptions to goods or services (unless he proves that he acted without intent to defraud) is punishable with imprisonment and fine. The quantum of punishment will be the same as for the other offender stated above. Trade description include description of the number, quantity, or weight, quality strength, or performance, or fitness for the purpose, place or country or time of manufacture, name and address of the identity of the manufacturer, mode of manufacture and description as to raw materials or ingredients, patent or copyright.

False trade description may relate to a description or indication as to number, quantity or other measure of the goods, the place

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or country of origin of the goods, the mode of manufacturing them, or their composition, whether they are the subject of any patent, privilege or copyright which is untrue or misleading in a material respect. Permissible variations of measurable characteristics of goods are governed by instructions issued by the Central Government.

Penalty for removal of piecegoods etc. contrary to sections 81-106

If a person removes piecegoods etc. contrary to s. 81 all such goods will be forfeited by the Government and the person will be punishable with fine which may extend to one thousand rupees.

Master's liability for servants' acts

Apart from the person who commits the offence, any person who causes any offence to be committed is also guilty of the offence. Thus a master is made criminally liable for the acts done by his servant within the scope of his employment. This is so even if the servant has acted contrary to the owner's orders.

Acted innocently

If a person has acted inadvertently or under some misapprehension or mistake of fact, he may be considered as having acted innocently. It has been observed that the fact that he had acted in good faith and had taken all precautions against committing an offence will not amount to proof that he had otherwise acted innocently. If the offender could establish that he had acted innocently that would appear to constitute a complete defence.

False representation as registered—section 107

False representation of a trade mark as registered is an offence punishable with imprisonment, for a term of which may extend to three years or with fine or with both. The use of the word 'registered' or the abbreviation 'regd' or 'Rd' or the letter 'R' inscribed in a circle is commonly accepted as indicating registration of the mark.

Penalty for improperly describing a place of business as connected with the trade marks office is imprisonment extending to two years or with fine or with both—s. 108.

Penalty for falsifying entries in the register is imprisonment extending to two years, or with fine, or with both—s. 109.

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2 Defences available to the accused

(1) Denial of allegation made by prosecution.

(2) Acted without intent to defraud.

(3) Use of mark permitted under the Act or under any other law in force.

(4) Acted inadvertently, or under a mistake of fact, or that he had no knowledge that the trade mark in question belonged to any particular person provided the defendant had taken all reasonable precautions.

(5) Otherwise acted innocently.

3 Persons exempted from punishment—section 112

In committing an offence apart from the trader who is interested in making profit by the Commission of the offence, other persons like printers and block makers may be involved who have no intention to commit the offence but who are employed by the trader to manufacture the offending labels or other instruments for the commission of the offence. If such a person is accused of an offence he will be acquitted if he proves:

(1) that he is a person who in the ordinary course of his business is employed by other person to apply trade marks or trade descriptions, or to make dies, blocks or other instruments for making trade marks, and

(2) that in the particular case he was so employed and was not interested in the goods or other things by way of profit or commission depending upon the sale of goods, and

(3) that he had taken all reasonable precautions against committing the offences charged and that he had at the time of commission of the alleged offence no reason to suspect the genuineness of the trade mark or trade description, and

(4) that on demand made by the prosecutor he gave all the information in his power with respect to the persons on whose behalf the trade or trade description was applied.

4 Offences by companies

If the person committing an offence is a Company, the company as well as every person responsible to the company for the conduct of its business at the time of the commission of the offence will be deemed to be guilty of the offence and liable to be proceeded

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against. If the person accused however, proves that the offence was committed without his knowledge or that he exercised due diligence to prevent the commission of such offence, he will not be liable to any punishment. The protection is not available to any director, manager, secretary or other officer of the company if it is proved that the offence has been committed with the consent or connivance of such officer or that the commission of the offence is attributable to any neglect on the part of such officer.

5 Criminal proceedings

If a person copies a trade mark of another, whether registered or unregistered, the owner of the mark or any other person may file a criminal complaint against the offender. Criminal proceedings take much less time to obtain relief than Civil proceedings. The fear of going to jail may persuade many offenders to give an undertaking not to use the mark which is as good as an injunction. To obtain success in a criminal action, the plaintiffs' case must be very strong. The accused must have copied the mark in toto or the similarity must be near identical and goods must be the same as those for which the plaintiff has registered or used the mark. In the case of unregistered mark, the plaintiff must satisfactorily prove ownership of the mark by evidence of user.

Although *mens rea* is not necessary in order to constitute an offence, fraudulent intention on the part of the accused if proved will tip the scale in favour of conviction.

In regard to false trade description and other offences also a complaint may be made by any person stating the facts supported by evidence. However, in respect of certain offences, namely, false representation of a trade mark as registered, improperly describing a place of business as connected with the Trade Marks Office, and falsification of entries in the register, the Registrar of Trade Marks alone can make a complaint.

Forfeiture of goods—section 111

Where a person has been convicted or would have been convicted under ss. 103, 104 or 105, the court may direct the forfeiture to Government of all goods and things concerned. An appeal lies against conviction as well as forfeiture.

Invalidity of registration—section 113

Where invalidity of registration is pleaded by the accused the court may adjourn the hearing to enable the accused to apply for rectification before the Appellate Board. If the accused fails to

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move for rectification within the time granted the court may proceed as if the registration was valid. If the application for rectification has been filed by the accused the court may stay the proceeding till the rectification is decided and thereafter dispose of the case in conformity with the result of the rectification proceeding.

Jurisdiction of courts

No court inferior to that of a Sessions Judge, Presidency Magistrate or Magistrate of the First Class has power to try an offence relating to trade mark or false trade description. The complaint should be lodged in the court within whose territorial jurisdiction the offence was committed. It is not necessary that the complaint should be made by the owner of the trade mark or his agent. Any person can file a complaint to the Magistrate in regard to any offence.

A person whose trade mark has been copied may file a complaint before a Criminal Court or file a suit for infringement and/or passing off in a Civil Court, or he may simultaneously file a Criminal Complaint and a Civil suit in the appropriate courts. Where, however, there is a *bona fide* dispute between the parties as to the right to use a trade mark the adjudication must be done in a Civil Court.

A prosecution for an offence should be commenced within three years from the date of commission of the offence, or within two years after the discovery thereof by a prosecutor whichever period first expires.

Offences relating to trade marks and trade description are not cognizable. They are bailable but non-compoundable. Investigations into such offences cannot be effectively carried out without the assistance of the Police force. Thus in making a complaint where the complainant cannot give particulars of the persons who committed the offence or the dates and places of the commission of offence, the Magistrate is bound to cause an enquiry to be made by the police, as otherwise the offences being non-cognizable, the police could not investigate into them without being authorised by a Magistrate, thereby rendering the complainant helpless.

Certain police officers can in certain circumstances of their own accord make search and seize without warrant the offending goods and other materials under s. 115(4) from the suspected place.

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6 Importation of goods bearing false trade mark

Goods bearing false trade marks or false trade description are prohibited from being imported into India under the Customs Act and when imported are liable to detention or confiscation. If the Chief Customs Officer upon representation made to him, has reasons to believe that the goods imported bear a false trade mark he may require the importer of the goods to produce any documents in his possession relating to the goods and also to furnish information as to the name and address of the person by whom the goods are consigned to India and the name and address of the person to whom the goods were sent to India. Any information thus obtained from the importer may be communicated by the Chief Customs Officer to the registered proprietor or registered user of the trade mark which is alleged to have been used as a false trade mark. The information furnished will enable the owner of the mark to take action against the offender.

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CHAPTER

28

Miscellaneous Matters

1 Fraud

The effect of fraud on trade mark rights arises for consideration in various proceedings like application for registration, rectification proceedings, infringement and passing off actions and in offences relating to falsification of trade marks and false trade description.

Registration obtained by fraudulent mis-representation of a material fact is liable to be rectified. A trade mark which has been used fraudulently for several years will not be registered even if registration is sought as a new mark with the objectionable matter deleted therefrom, for registration in effect will enable the applicant to get the benefit of the past fraudulent user to which he is not entitled.

In infringement and passing off actions to obtain relief it is not necessary that the defendant's acts should be fraudulent. But if fraudulent intention is proved, the court will more readily grant injunction. Similarly if the plaintiff's trade is fraudulent, the court will hesitate to grant full relief to him.

Fraud has not been defined exhaustively in any statute. "Courts have always refused to define fraud as it is as hydraheaded as the devices of human ingenuity. Every unfair means used to obtain an unconscionable advantage over another is spoken of as fraud"

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(*Rajah of Ramnad* v *Arunachalam* AIR 1916 Mad 350 at 361). "Fraud is proved when it is shown that a false representation has been made; (1) knowingly, or (2) without belief in its truth, or (3) recklessly and carelessly whether it be true or false." (Lord Herschell in *Derry* v *Peek* (1897) 14 RPC 337 at 374-376).

2 Res Judicata

The object of the rule of *res judicata* is put upon two grounds, namely, public policy and hardships on the individual. It is in the interest of the State that there should be an end to litigation, and an individual should not be vexed twice for the same cause. The general principal is that the earlier judgment relied must have been a final judgment, and that there must be identity of parties and of subject-matter in the former and in the later litigations.

In all cases where the cause of action is really the same, and has been determined on the merits, and not on some ground which has ceased to operate when the second action is brought, the plea of *res judicata* would succeed. The doctrine applies to all matters which existed at the time of the giving of the judgment, and which the party had an opportunity of bringing before the court. But if there be matter subsequent which could not be brought before the court at the time, the party is not estopped from raising it (*Halsbury*). Section 11 of the Code of Civil Procedure deals with the principles of *res judicata.*

3 Res Judicata in trade mark proceedings

The doctrine of *res judicata* can be applied in trade mark proceedings. There are, however, difficulties in the application of the doctrine as the grounds on which issues have to be determined at one time may cease to operate at another time when the same matter comes up for determination. For example a mark may be refused registration on the ground that it is not adapted to distinguish on the date of filing the application for registration but the same may subsequently be registered on production of evidence of acquired distinctiveness.

Since some of the factors on the basis of which issues in trade mark proceedings are determined, by their very nature, change in course of time, the doctrine of *res judicata* can have only limited application in such proceedings. Thus an aggrieved person is not debarred by *res judicata* from filing rectification proceedings repeatedly on the ground that the mark has ceased to be distinctive since this is a question of fact depending upon the state of things at a particular time.

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A decision of the Registrar after hearing the parties on a question of similarity between two marks may be considered as *res judicata* between the parties. Where an opposition was deemed to have been abandoned for failure to file evidence by the opponent the original grounds of opposition never came up for consideration and therefore are not subject to *res judicata*. However, where an opponent did not take up certain grounds which he could have taken up in the opposition he will be debarred from taking up such grounds in a subsequent rectification proceedings. If an application was refused in an earlier application as a result of opposition, it may not constitute *res judicata* in a subsequent application for the same mark on the basis of honest concurrent user if the mark is otherwise entitled to registration.

4 Associated trade marks—sections 16 and 44

Where a proprietor has more than one trade mark resembling each other, in respect of the same goods or description of goods or goods of an allied nature, the Registrar may at any time require them to be entered on the register as associated trade marks. If a trade mark and any part thereof are registered as separate trade marks they will be deemed to be and registered as associated trade marks.

The object of association of trade marks is to prevent the assignment or transmission of similar marks to different persons resulting in confusion and deception of the public. This is achieved by the provision that associated trade marks can be assigned or transmitted only as a whole and not separately.

In general the use of one associated trade mark is accepted as equivalent to use of the other marks with which it is associated.

Association between two or more marks may be dissolved if the proprietor could prove that there would be no likelihood of confusion if they were used by different persons.

5 Death of a party to a proceeding—section 130

If a person who is a party to a proceeding before the Registrar dies during the pendency of the proceeding, the Registrar may substitute in the proceeding the name of his successor in interest in his place, on proof of transmission of the interest of the deceased person.

6 Appeals before the Appellate Board—sections 91 and 98

An appeal lies against any order or decision of the Registrar to the Appellate Board. No appeal lies against orders passed on

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procedural matters like interlocutory petitions or applications for extension of time.

The Registrar has the right to appear and be heard before Appellate Board in respect of rectifications proceedings, appeals against an order of the Registrar on an unopposed application, and appeals against order in opposition proceedings if it is in the public interest. The Registrar may, in lieu of appearing, submit a statement in writing signed by him.

7 Trade mark agents—sections 145 and 146

There is provision for registration of qualified persons as trade marks agents who may be authorised to act on behalf of an applicant for registration, opponent or any other party to a proceeding before the Registrar, sign documents and, attend the hearing etc.

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Part 4

Copyright

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Salient Features of the Copyright (Amendment) Act 2012

Introduction

While deciding the seminal case between *Indian Performing Rights Society* v *Eastern India Motion Pictures Association*, reported in AIR 1977 SC 1443 Hon'ble Justice Krishna Iyer made certain observations in the form of "A footnote" which are as follows:

> "20. The judgment just delivered is on behalf of the Court, which makes this footnote, in a sense otiose. But I do append the abbreviated opinion solely to belight a slightly penumbral area of the law and to voice a need for legislative exploration to protect a category now left in the cold.
>
> "21. A cinematograph is a felicitous blend, a beautiful totality, a constellation of stars, if I may use these lovely imageries to drive home my point, slurring over the rule against mixed metaphor. Cinema is more than long strips of celluloid, more than miracles in photography, more than song, dance and dialogue and, indeed more than dramatic story, exciting plot, gripping situations and marvellous acting. But it is that ensemble which is the finished product of orchestrated performance by each of the several participants, although the components may, sometimes, in themselves be elegant entities. Copyright in a cinema film exists in law, but s. 13(4) of the Act preserves the

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separate survival, in its individuality, of a copyright enjoyed by any 'work' notwithstanding its confluence in the film. This persistence of the aesthetic 'personality' of the intellectual property cannot cut down the copyright of the film qua film. The latter right is, as explained earlier in my learned brother's judgment, set out indubitably in s. 14(1)(*c*). True, the exclusive right, otherwise called copyright, in the case of a musical work extends to all the sub-rights spelt out in s. 14(1)(*a*). A harmonious construction of s. 14, which is the integral yoga of copyrights in creative works, takes us to the soul of the subject. The artist enjoys his copyright in the musical work; the film producer is the master of his combination of artistic pieces and the two can happily co-exist and need not conflict. What is the modus vivendi?

"22. The solution is simple. The film producer has the sole right to exercise what is his entitlement under s. 14(1)(*c*) qua film, but he cannot trench on the composer's copyright which he does only if the 'music' is performed or produced or reproduced separately in violation of s. 14(1)(*a*). For instance, a film may be caused to be exhibited as a film but the pieces of music cannot be picked out of the sound track and played in the cinema or other theatre. To do that is the privilege of the composer and that right of his is not drowned in the film copyright except where there is special provision such as in s. 17, proviso (*c*). So, beyond exhibiting the film as a cinema show, if the producer plays the songs separately to attract an audience or for other reason, he infringes the composer's copyright. Anywhere, in a restaurant or aeroplane or radio station or cinema theatre, if a music is played, there comes into play the copyright of the composer or the Performing Arts Society. These are the boundaries of composite creations of art which are at once individual and collective, viewed from different angles. In a cosmic perspective a thing of beauty has no boundary and is humanity's property but in the materialist plane on which artists thrive, private and

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exclusive estate in art subsists. Man, the noblest work of the Infinite Artist, strangely enough, battles for the finite products of his art and the secular law, operating on the temporal level, guardians material works possessing spiritual values. The enigmatic smile of Mona Lisa is the timeless heritage of mankind but, till liberated by the prescribed passage of time, the private copyright of the human maker says, 'hands off'.

"23. The creative intelligence of man is displayed in multiform ways of aesthetic expression but it often happens that economic systems so operate that the priceless divinity which we call artistic or literary creativity in man is exploited and masters, whose works are invaluable are victims of piffling payments. World opinion in defence of the human right to intellectual property led to international conventions and municipal laws, commissions, codes and organisations, calculated to protect works of art. India responded to this universal need by enacting the Copyright Act 1957.

"24. Not the recommendations in conventions but provisions in municipal laws determine enforceable rights. Our copyright statute protects the composite cinematograph work produced by lay-out of heavy money and many talents but does not extinguish the copyrightable component parts in toto. The music which has merged, through the sound track, into the motion picture, is copyrighted by the producer but, on account of this monopoly, the music composer's copyright does not perish. The twin rights can co-exist, each fulfilling itself in its delectable distinctiveness. Section 14, in its careful arrangement of the rights belonging to each copyright, has a certain melody and harmony to miss which is to lose the sense of the scheme.

"25. A somewhat un-Indian feature we noticed in the Indian Copyright Act fails to be mentioned. Of course, when our law is intellectual borrowing from British

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reports, as admittedly it is, such exoticism is possible. 'Musical work', as defined in s. 2(*p*) reads:

> '(*p*) musical work means any combination of melody and harmony or either of them printed, reduced to writing or otherwise graphically produced or reproduced.'

Therefore, copyrighted music is not the soulful tune, the superb singing, the glorious voice or the wonderful rendering. It is the melody or harmony reduced to printing, writing or graphic form. The Indian music lovers throng to listen and be enthralled or enchanted by the nada brahma, the sweet concord of sounds, the raga, the bhava, the laya and the sublime or exciting singing. Printed music is not the glamour or glory of it, by and large, although the content of the poem or the lyric or the song does have appeal, strangely enough, 'author' as defined in s. 2(*d*), in relation to a musical work, is only the composer and s. 16 confines 'copyright' to those works which are recognised by the Act. This means that the composer alone has copyright in a musical work. The singer has none. This disentitlement of the musician or group of musical artists to copyright is un-Indian, because the major attraction which lends monetary value to a musical performance is not the music maker, so much as the musician. Perhaps, both deserve to be recognised by the copyright law. I make this observation only because art in one sense depends on the ethos and the esthetic best of a people, and while universal protection of intellectual and esthetic property of creators of 'works' is an international obligation, each country in its law must protect such rights wherever originality is contributed. So viewed, apart from the music composer, the singer must be conferred a right. Of course, lawmaking is the province of the Parliament, but the Court must communicate to the law-maker such infirmities as exist in the law extant."

It took Parliament 33 years to give effect to the recommendations made by Hon'ble Justice Krishna Iyer by bringing in certain amendments to the Copyright Act 1957.

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Changes introduced by the Copyright (Amendment) Act 2012

The Copyright (Amendment) Act 2012 has introduced provisos to ss. 17 and 18 of the Copyright Act which gives the much desired and awaited recognition to the authors, lyricists and composers and their entitlement to equal share of royalties. Further the Act prohibits assignment of any medium or mode of exploitation of the work which did not exist or was not in commercial use at the time when the assignment was made, unless the assignment specifically referred to such medium or mode of exploitation of work. This amendment has affected the Indian film industry in a huge way.

Section 17 proviso introduced by the Amendment clear states that "Provided that in case of any work incorporated in a cinematographic work, nothing contained in cls. (*b*) and (*c*) shall affect the right of the author in the work referred to in cl. (*a*) of sub-sec. (1) of s. 13."

In s. 19, sub-secs. (8), (9) and (10) have been inserted. They are as follows:

(8) The assignment of copyright in any work contrary to the terms and conditions of the rights already assigned to a copyright society in which the author of the work is a member shall be void.

(9) No assignment of copyright in any work to make a cinematograph film shall affect the right of the author of the work to claim an equal share of royalties and consideration payable in case of utilization of the work in any form other than for the communication to the public of the work, along with the cinematograph film in a cinema hall.

(10) No assignment of the copyright in any work to make a sound recording which does not form part of any cinematograph film shall affect the right of the author of the work to claim an equal share of royalties and consideration payable for any utilization of such work in any form.

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The introduction of the aforesaid three clauses clearly demonstrates that the different rights can co-exist together as was observed by Hon'ble Justice Krishna Iyer. Further the author of the work shall also be entitled to receive equal share of royalties and consideration payable save and except when the work is exploited as part of the cinematograph film in a cinema hall.

Changes have been introduced in the definition of "communication to the public" where the word "performance" has been added.

Changes have also been introduces in Chapter VI which deals with Licenses and Compulsory Licenses. Sections 31B, 31C and 31D which deal with compulsory license for benefit of the disabled, statutory license for cover versions and statutory license for broadcasting of literary and musical works and sound recording have been inserted.

In Chapter VII, which deals with Copyright Societies, rights of authors have been recognized for the first time. The amendment Act envisages the control of the copyright society by the authors and other owners of right. Prior to the amendment the word "authors" was absent as a result of which several litigations ensued between authors on the one hand and owners of rights and the copyright societies on the other hand. In terms of the amended Act, the governing body of every copyright society shall have equal number of authors and owners for the purpose of administration and all members shall enjoy equal membership rights and there shall be no discrimination between authors and owners of rights in the distribution of royalties.

Sections 38A and 38B have been introduced which deal with exclusive right of performers and moral rights of performers.

Section 52 which deals with certain acts which are not the infringement of copyright has been amended. Section 53 which deals with the aspect of importation of infringing copies has been amended giving certain powers to the Commissioner of Customs or to any other officer authorized in this behalf by the

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Central Board of Excise and Customs to deal with infringing copies and treat them as prohibited goods.

Sections 65A and 65B which deal with protection of technological measures and protection of rights management information have been inserted.

By virtue of s. 78 the Central Government has framed the Copyright (Amendment) Rules 2013 which have been notified on 14th March 2013.

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CHAPTER

29

Introduction

1 What is copyright

Copyright means the exclusive right to do or authorise others to do certain acts in relation to (1) original, literary, dramatic, musical and artistic works, (2) cinematograph film, and (3) sound recordings. The nature of the acts varies according to the subject-matter. Basically copyright is the right to copy or reproduce the work in which copyright subsists. The various acts for which copyright extends is listed in s. 14 of the Act. Copyright does not extend to any right beyond the scope of s. 14. The exclusive right for doing the respective acts extends not only to the whole of the work but to any substantial part thereof or to any translation or adaptation thereof, where applicable. The term of the copyright is the life of the author of the work plus sixty years with certain exceptions.

2 Copyright a kind of intellectual property

Copyright is a kind of intellectual property the importance of which has increased enormously in recent times due to the rapid technological development in the field of printing, music, communication, entertainment and computer industries.

3 Object of copyright

The object of copyright law is to encourage authors, composers, artists and designers to create original works by rewarding them

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with the exclusive right for a limited period to exploit the work for monetary gain. The economic exploitation is done by licensing such exclusive right to entrepreneurs like publishers, film producers and record manufacturers for a monetary consideration. People who economically exploit the copyright are the greater beneficiaries of the copyright law than the creators of works of copyright.

4 Copyright and technology

Technological progress has made reproduction of copyright material easy and cheap, but at the same time it has made piracy of copyright work simple and difficult to control. The seriousness of piracy in copyright work was realised only after the development of gadgets like tape recorder, video cassette recorder, magnetic tapes and reprography. These technological innovations have made copyright infringement international in character.

Today the law of copyright is of interest not only to those who deal with literary, dramatic or musical works but also artists, dress designers, architects, publishers, persons concerned with cinematograph film and recording and broadcasting authorities, and printing, publishing and entertainment industries. Apart from the above copyright law affects the manufacturing industry as a whole. Copyright subsists in original industrial drawings used in the manufacture of machines and machine parts. The effect of this is that an unauthorised manufacture of a machine or a machine part based on such drawing (i.e. the three dimensional representation of the drawing) is an infringement of the copyright in the original drawing even if the person making the article has not seen the original drawing but has copied only a machine made in accordance with that drawing. This gives better protection than a patent for the article made according to the drawing. Patent expires after fourteen years, whereas copyright protection extends beyond sixty years. Besides, no formalities are required for copyright acquisition whereas obtaining a patent is a laborious and long drawn out process involving considerable expenditure.

5 International conventions

Owing to the international character of copyright various countries have joined to form conventions for the protection of copyright owned by its nationals in other countries. The Berne Convention and Universal Copyright Convention are the result of such joint effort. Most of the countries of the world are members

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of one at least of these conventions. India is a member of both these conventions. Accordingly Indian Copyright owners can protect their copyright in almost any country in the world.

6 Statutory position

The law of Copyright in India is contained in the Copyright Act 1957 as amended subsequently from time to time. Infringement of copyright can be stopped by an action for infringement. The remedies available are an injunction and damages or account of profits and in some cases conversion damages. Infringement of copyright is also an offence punishable with imprisonment and fine.

7 Copyright and GATT

Consequent upon India signing the GATT and entering the global market economy, a number of changes have been made in the Copyright Act of 1957 by the Amending Act of 1994, to give effect to the obligations arising from the signing of the GATT and to make Indian law more in line with the present law in many developed countries.

8 Extension of copyright and allied right

In the rapidly changing technological environment, copyright protection is being extended to many areas of creative work particularly in the computer industry, relating to computer software and databases. This has found recognition in the 1994 Amendment Act. Further certain special rights have been introduced for the first time for the benefit of performers like musicians, actors, acrobats, jugglers, snake charmers and so on. Computer software piracy and video piracy is a world wide phenomenon. To act as a deterrent against such piracy, the provisions relating to protection of computer software have been tightened by substantially enhancing the punishment for infringement of software and increasing the scope of such infringement.

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CHAPTER

30

Nature of Copyright

1 General

The law does not permit one to appropriate to himself what has been produced by the labour, skill and capital of another. This is the very foundation of copyright law. The object of copyright law is to protect the author of the copyright work from an unlawful reproduction or exploitation of his work by others. Copyright protection is essential to encourage exploitation of copyright work for the benefit of the public. The exploitation is done by entrepreneurs like publishers, film producers or sound recording producers to whom the owner of copyright assigns or licences the particular rights. If the entrepreneur is to recover the capital invested and earn profits he has to be protected from unauthorised reproduction otherwise a pirate would reproduce the work at a fraction of the original cost of production and undersell the producer. In the case of sound recordings and cinematograph films a pirate could ruin the producer by his piracy. Without legal protection for a certain period no entrepreneur will undertake publication of books or production of sound recordings or films.

In ancient times creative writers, musicians and artists wrote, composed or made their works mainly for fame and recognition rather than to earn a living or make profits. Copying was a

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laborious and expensive process. The importance of copyright protection was recognised only after the invention of the printing press in the 15th century which enabled the reproduction of books in large numbers practicable.

2 Scope of copyright

Copyright is a creation of the statute. No person is entitled to copyright or any similar right in any work except those provided under the Copyright Act. Copyright law is, in essence, concerned with the negative right of preventing copying of physical material existing in the field of literature and the arts. Its object is to protect the writer or the creator of the original work from the unauthorised reproduction or exploitation of his materials. The right also extends to prevent others, from exercising without authority any other form of right attached to copyright, for example, in the case of literary work the right of making a dramatic version, cinematograph version, translation, adaptation or abridgement.

3 Multiple nature of right

Copyright is a multiple right consisting of a bundle of different rights in the same work. These rights can be assigned or licensed either as a whole or separately. Thus in the case of a literacy work there is the right of reproduction in hardback and paperback editions, the right of serial publication in magazines, the right of dramatic and cinematographic versions, the right of translations, adaptation, abridgement, the right of public performance of a play or a musical work and so on.

4 Ideas

There is no copyright in ideas. Copyright subsists only in the material form in which the ideas are expressed. It is not an infringement of copyright to adopt the ideas of another.

5 Labour, skill and capital

In order to secure copyright protection what is required is that the author must have bestowed upon the work sufficient judgment, skill and labour or capital. It is immaterial whether the work is wise or foolish, accurate or inaccurate, or whether it has or has not any literary or artistic merit.

What is the precise amount of knowledge, labour judgment or skill, which the author of any work must bestow in order to acquire copyright, cannot be defined in precise terms. In every

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case, it must depend largely on the special facts of the case, and is very much a question of degree.

6 Original

Copyright subsists only in original work. The word "original" does not mean that the work must be the expression of original or inventive thought. The originality which is required, relates to the expression of the thought but the expression need not be in an original or novel form, but that the work must not be copied from another work—that is it should originate from the author.

No formalities like registration are required to acquire copyright. Copyright in a work automatically subsists as soon as the work comes into existence provided it is original. Although there is a provision for registration of copyright work, it does not confer any special right or privilege on the owner of the copyright.

7 Nature of rights and work

The nature of the rights conferred on the owner of the copyright depends upon the nature of the work. But one feature common to all kinds of work is the right to reproduction in a material form and the right to publication.

The words 'reproduction' and 'publication' have different meanings when applied to different works.

8 Live events

There is no copyright in live events. No licence is required to transmit programmes of sporting events and news events. This is subject to the special rights conferred on performers.

9 Work immoral, illegal etc.

Copyright protection is not granted where the work is grossly immoral, illegal, defamatory, seditious, irreligious or contrary to public policy or calculated to deceive the public.

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CHAPTER

31

Subject-matter of Copyright

1 Works in which copyright subsists—section 13

Copyright subsists only in certain classes of works. They are:

(*a*) original literary, dramatic, musical and artistic works,

(*b*) cinematograph films, and

(*c*) sound recordings.

"Literary work" includes computer programmes tables, compilations including computer databases—s. 2(*o*). "Dramatic work" includes any piece for recitation, choreographic work or entertainment in dumb show, the scenic arrangements or acting, form of which is fixed in writing or otherwise but does not include a cinematograph film—s. 2(*h*). "Musical work" means a work consisting of music and includes any graphical notation of such work, but does not include any words or any action intended to be sung, spoken or performed with the music—s. 2(*p*).

An "artistic work" means a painting, a sculpture, a drawing (including a diagram, map, chart or plan), an engraving or a photograph, whether or not any such work possesses artistic quality; a work of architecture and any other work of artistic craftsmanship—s. 2(*c*). A "work of architecture" means any building or structure having an artistic character or design, or any model for such building or structure—s. 2(*b*).

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"Engravings" include etchings, lithographs, woodcuts, prints and other similar works, not being photographs—s. 2(*hh*)(*i*). 'Photograph' includes photo lithograph and any work produced by any process analogous to photography but does not include any part of cinematograph film—s. 2(*s*).

A work of sculpture includes casts and models—s. 2(za).

"Cinematograph film" means any work of visual recording and includes a sound recording accompanying such visual recording and "cinematograph" shall be construed as including any work produced by any process analogous to cinematography including video films—s. 2(*f*).

"Sound recording" means a recording of sounds from which such sounds may be produced regardless of the medium on which such recording is the method by which the sounds are produced—s. 2(*xx*).

From the above list it may be seen that copyright subsists in a wide variety of articles created by man, provided they are original in the copyright sense. In fact one can have a copyright in almost everything created by man which is original. The precise rights conferred on various types of work is discussed in a subsequent chapter.

2 Qualification for copyright subsistence—section 13(2)

In order to qualify for copyright the works, apart from being original, 'should also satisfy the following conditions, (except in the case of foreign works):

(1) The work is first published in India.

(2) Where the work is first published outside India the author, at the date of publication must be a citizen of India. If the publication was made after the author's death the author must have been at the time of his death a citizen of India.

(3) In the case of an unpublished work the author is on the date of making of the work a citizen of India or domiciled in India. This does not apply to works of architecture.

These conditions do not apply to foreign works or works of international organisations.

(4) In the case of work of architecture, the work is located in India.

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Thus where the work is first published in India, copyright subsists in India irrespective of the nationality of the author. But where the work is first published outside India, copyright subsists only if the author is a citizen of India. In the case of an unpublished work the author must be a citizen of India or domiciled in India. Works by foreign authors published outside India will get copyright protection by virtue of India being a member of the Berne Convention and the Universal Copyright Convention.

In the case of works of joint authorship the conditions regarding nationality should be satisfied by all the authors.

In regard to cinematograph films, copyright will not subsist if it is an infringement of any other copyright work. Similarly if in making a sound recording, the copyright in any literary, dramatic or musical work is infringed copyright will not subsist in that sound recording.

Cinematograph films and sound recordings are generally based on some literary, dramatic, musical or other works in which copyright may be subsisting. If so the copyright in the film will not affect the separate copyright in those works.

In the case of a work of architecture, copyright will subsist only in the artistic character and design and will not extend to processes or methods of construction.

3 Literary works

Copyright subsists in original literary work. Originality for the purpose of copyright law relates to the expression of thought, but the expression need not be original or novel. What is important is that the work must not be copied from another work but must originate from the author. Thus two authors independently producing identical works, though improbable will get copyright for their respective works. The degree of originality required for copyright protection is minimal, the emphasis is more on the labour, skill, judgment and capital expended in producing the work.

Definition of literary work—section 2(o)

"Literary work" includes computer programmes tables and compilations including computer databases. This statutory definition is not exhaustive. 'Literary work' covers work which is expressed in print or writing irrespective of the question whether the quality of style is high. The word 'Literary' in copyright law is to be used in a sense somewhat similar to the use of the word literature in political or electioneering literature

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and refers to written or printed matter. So long as there is sufficient amount of skill and labour in creating or selecting the material, no particular skill in literary form is needed. The words "Literary work" are not confined to works of literature in the commonly understood sense but includes all works expressed in writing whether they have any literary merit or not. Thus books on arithmetic, football coupons, a set of logarithmic tables, railway time table, telephone directories and income-tax returns have been considered as literary works, although they have no appeal to the aesthetic sense and some of them are more apt to produce a feeling of revulsion than a sense of beauty.

A literary work must be expressed in some material form, i.e., writing or print or in some form of notation or symbols. When a person has delivered any address or speech in public that person will be the first owner of the copyright therein. If the address or speech is delivered on behalf of any other person such other person will be the first owner of the copyright therein— s. 17(*cc*).

Shorthand and Braille may be considered different forms of writing. Computer programme recorded on any disc, tape or any perforated media or information storage device is considered a literary work.

When a person delivers an extempore lecture, tells a story or performs a piece of music which has not previously been written down or recorded, he is protected under s. 38 (performer's rights).

A literary work is intended to afford either information, or instruction, or pleasure in the form of literary enjoyment.

Computer includes any electronic or similar device having information processing capabilities.

Computer programme means a set of instructions expressed in words, codes, schemes, or in any other form, including a machine readable medium, capable of causing a computer to perform a particular task or achieve a particular result.

A database is an accumulation of information stored in a way such that it can be systematically searched and retrieved by computer.

What is protected in a literary work

It is the product of the labour, skill and capital expended by an author on his work that is protected and not the elements or raw material used in the work. To secure copyright for the product it is necessary that labour, skill and capital should be expended sufficiently to impart to the product some quality or character which the raw material did not possess, and which differentiates

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the product from the raw material. What is the precise amount of knowledge, labour, judgment or literary skill or taste which the author of any book or other compilation must bestow upon its composition in order to acquire copyright in it cannot be defined in precise terms. It must depend largely on the special facts of each case, and is very much a question of degree. The quantum of skill, judgement and labour required is not very high since copyright has been recognised in such works as trade catalogues and street directories.

Further a literary work need not have any literary quality. Even so prosaic a work as an index of railway stations or a railway guide or a list of stock exchange quotations, qualifies as a literary work.

In determining whether a work is entitled to copyright protection a rough practical test is: "What is worth copying is *prima facie* worth protecting".

Adaptation of literary work—section 2(a)(ii)

Copyright subsists in the original adaptation of a literary work. Adaptation means the conversion of the work into a dramatic work by way of performance in public or otherwise; any abridgement of the work or any version of the work in which the story or action is conveyed wholly or mainly by means of pictures in a form suitable for reproduction in a book or in a newspaper, magazine or periodical.

A genuine abridgement of a literary work is an original work and can be the subject of copyright. An abridgement of an authors' work has been interpreted to mean a statement designed to be complete and accurate of the thoughts, opinions and ideas by him expressed therein but set forth much more concisely in the compressed language of the abridger. The arrangement of the book abridged must be preserved, the ideas must also be taken and expressed in language not copied but condensed. To copy certain passages and omit others so as to reduce the volume in bulk is not an abridgement entitled to copyright.

Collective works

Collective works are compilations which include, encyclopaedias, dictionaries, year books, newspaper, review, magazines, or similar periodicals and any work written by distinct authors or in which works or parts of works of different authors are incorporated. In a collective work there are two copyrights: (1) Copyright in the separate parts which are vested in the respective authors of the parts, and (2) the copyright in the collective work as a whole

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which is vested in the person who collects the various articles from different authors arranges and edits them and very often incorporates notes of his own. The preparation of a collective work requires considerable amount of labour, skill, judgement and investment of capital and is, therefore, original literary work entitled to copyright protection.

Computer software and programmes—section 2(ffc)

Computer software includes many items like the programmed manuals and papers, punch cards and magnetic tapes or discs required for operation of computers. Program manuals and papers and computer printouts may be considered as literary work. But the concept or idea of algorithms, frequently used in computer programming is not capable of copyright protection. Punched cards which contain certain information in a particular notation may be considered as literary work. Programmes devised for the working of computers is generally regarded as literary work. Magnetic tapes and discs including floppy discs which contain information recorded by means of electronic impulses may be considered as databases and accordingly literary work by definition.

Other literary works

Headnotes on law reports, commentaries on statutes, historical works, a lecture reduced to writing before delivery, private letters, reports prepared by stenographers from shorthand notes taken by them of lectures and speeches, questionnaires for collecting statistical information and catalogues are all considered as literary works.

The judgment or order of a court, tribunal or other judicial authority is exempted from copyright protection.

Titles of books or other literary matter, pseudonyms are not protected under copyright law. They can, however, be protected under the law of passing off.

Illustrations—literary works

Copyright has been held to subsist in Telegraph Code; a system of shorthand; Tambole ticket books, compilation of code words for cabling purposes; explanatory notes; question papers for examinations; list of matches to be played on a particular day. They are all considered original literary works.

On the other hand, it has been held that copyright did not subsist in the following works being not original literary works: Heading of football coupons; Layout of football coupons; Pocket

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diaries which contained information of the kind usually found in diaries, such as a calendar for the year, postal information, tables of weights and measures, etc. Date pad (calendar) incorporating certain pictures of deities and public personalities and some decorative features in none of which separate copyrights were claimed; Single Word; Advertisement slogans; News and Precis of news; and syllabus and guidelines for writing text books.

4 Dramatic works

Copyright subsists in original dramatic work and its adaptation. A dramatic work includes any piece of recitation, choreographic work or entertainment in dumb show, the scenic arrangement or acting form of which is fixed in writing or otherwise but does not include a cinematograph film. Although cinematograph film is not a dramatic work the script or scenario for a cinematograph film is a dramatic work.

Adaptation in relation to dramatic work means, (1) the conversion of the work into a non-dramatic work, (2) the abridgement of the work or any version of the work in which the story or action is conveyed wholly or mainly by means of pictures in a form suitable for reproduction in a book, or in a newspaper, magazine or periodical.

Choreography is the art of arranging or designing of ballet or stage dance in symbolic language. It is a form of dramatic work. In order to qualify for copyright protection it must be reduced to writing usually in the form of some notation and notes.

Scenic arrangement or acting form must be fixed in writing or otherwise. Representation of scenic effects in drawings can also be considered as artistic works, costumes used by actors if represented in the form of drawings can be treated as artistic works. A dramatic work does not include a cinematograph film because it is a separate subject-matter for copyright.

Gags which are an actors' interpolation in a dramatic dialogue are not the subject-matter of copyright as they are changed from time to time and are not a permanent part of the play.

The elements of a ballet are the music, the story, the choreography, the scenery, and the costumes. It is a composite work and could be the subject-matter of copyright.

5 Musical works—section 2(p)

Copyright subsists in original musical work. Musical work means a work consisting of music and includes any graphical notation

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of such work, but does not include any word or any action, intended to be sung or spoken or performed with the music. An original adaptation of a musical work is also entitled to copyright.

Adaptation of musical work are usually called arrangements e.g. an orchestral work arranged for piano, or conversely a song written with piano accompaniment orchestrated for voice and orchestra. In popular music there are many arrangements of original songs made to suit a particular performer or a particular language version of the text. Each such adaptation or arrangement is a musical work provided there is a sufficient element of intellectual creation.

If a musical arranger so decorates, develops, transfers to a different medium or otherwise changes the simple music of a popular song as to make his arrangement fall within the description of an original musical work, such arrangement or adaptation is capable of attracting an independent copyright. There is no need for the ideas embodied in the arrangement to be novel.

When a person makes a piano forte score of the music of another's opera, he will be the author of a new composition. Similarly if a person puts new words in a non-copyright melody or song it may constitute a new composition.

'Transcription' in relation to music is defined as 'an arrangement of a musical composition for some instrument or voice other than the original' (*Webster's Collegiate Dictionary*).

Original work

A musical work must be original in order to qualify for copyright protection. In relation to musical work, as in literary and dramatic work, the answer to the question; "is this an original work?" must depend on whether sufficient skill or labour or talent has gone into it to merit protection. It is always a question of degree.

Song

There is no copyright in a song as such because a song is not one of the types of work in which copyright subsists. A song has its words written by one man and its music by another; its words have a literary copyright, and so has its music. But these two copyrights are entirely different, and cannot be merged. It follows that the song itself has no copyright. In the exceptional case, where the words and music are written by the same person, or in the case where the copyright in both the words and music are owned by the same person, he would own the copyright in the song. But no third and separate copyright in the combination of words and music subsists and the song is not a collective work.

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The position may be different in the case of a complicated work comprising musical and literary compositions such as an opera.

6 Artistic works—section 2(c)

Artistic work means: (*i*) a painting, a sculpture, a drawing (including a diagram, map, chart or plan), an engraving or a photograph, whether or not any such work possesses artistic quality; (*ii*) a work of architecture, and (*iii*) any other work of artistic craftsmanship. Adaptation of an artistic work means the conversion of the work into a dramatic work by way of performance in public or otherwise. Work of sculpture includes casts and models. Essentially an artistic work is concerned with visual image.

As in the case of other works, to qualify for copyright protection an artistic work must be original, i.e. that it must originate from the author. In respect of painting, sculpture, drawing, engraving or photograph the work need not possess any artistic quality but the author must have bestowed skill, judgment and effort upon the work. The skill, judgment and effort required is minimal e.g. a simple drawing of a human hand showing voters where to mark their cross on a voting paper was held entitled to protection. Protection has been given to the arrangement of a few decorative lines on a parcel label and three concentric circles drawn to precise measurements as a plan for technical device.

A poster used in advertisement is an artistic work. The written matter in the advertisement may be considered as literary work. But advertisement slogans consisting of a few words only are not copyright matter. Commercial furniture is not artistic work.

Get up, arrangement and colour scheme of labels used as trade marks or decoration of the containers of goods may constitute works of artistic craftsmanship and subject-matter of copyright protection. Such labels may also be considered as drawings or engraving. However copyright does not subsist in mechanically reproduced labels and cartons because no skill or label is involved in the production of such labels or cartons. Copyright can be claimed only in the original artistic work produced by a natural person by the expenditure of his personal skill and labour.

Painting

A painting is an artistic work whether or not it possesses any artistic quality. A painting is a product of the art of representing or depicting by colours on surface (*Concise Oxford Dictionary*).

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A painting must be on a surface of some kind. Facial make-up as such, however, idiosyncratic it may be as an idea, cannot be painting for the purpose of copyright.

Sculpture

A work of sculpture includes casts and models. 'Sculpture' according to *Concise Oxford Dictionary* is the art of forming representations of objects etc. or abstract designs in the round or in relief by chiselling stone, carving wood, modelling clay, casting metal, or similar processes. A work of sculpture is a product of such art.

Drawing

A drawing includes any diagram, map, chart or plan. Drawing will include any kind of drawing including mechanical or engineering drawings. According to the *Concise Oxford Dictionary* "drawing" is the art of representing by line, delineation without colour or with single colour, and drawing in the noun is the product of such art. Mechanical and engineering drawings involve considerable skill and effort on the part of the draughtsman, and if the drawing is original it is entitled to copyright protection. Simple drawing which involves no skill or effort may not be entitled to copyright e.g. a single straight line, with the aid of a ruler. A drawing derived in part from earlier drawings can claim to be a separate original artistic work. This is because the making of a drawing of industrial application is a skilled business involving hours of labour, although the end result may seem relatively simple. Copyright may subsist in a product drawing even though it is based on an earlier product drawing provided the designer has performed sufficient independent labour to justify copyright protection.

Drawing made from three dimensional model

Where three dimensional models had been made and from those models drawings had been compiled, they would qualify as original work. A person who has prepared drawings from the finished product and made the three dimensional object is an infringer of the original drawings of the finished product.

Drawings in a patent specification

The question whether working drawings in a patent specification are "artistic works" is not free from doubt. However, since the Patents Act and the Copyright Act give different independent

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rights, it would appear that the copyright in the patent drawings is an independent right not lost by patenting the product. But this may conflict with the right of any person to make the product by using the patent specification including the drawings, if any, after the expiry of the Patent.

Engravings—section 2(i)

Engravings include etchings, lithographs, woodcuts, prints and other similar works, not being photographs. Engraving is the art of inscribing or carving figures, etc., upon surfaces, or cutting figures, etc. in lines on metal surfaces for printing (*Concise Oxford Dictionary*). Although an engraver is ordinarily a copyist, his art requires considerable work and talent. Accordingly copyright subsists in an engraving distinct from the copyright on the picture from which it is produced. Copying from an engraving is an infringement of the copyright therein, but an engraving produced independently from the same picture is not. The 'other similar work' in the definition of 'engraving' would appear to include a plate. Plate includes any stereotype or other plate, stone, block, mould, matrix transfer, negative duplicate equipment or, other device used for printing or reproducing copies of any work. Engraving generally embraces not only the image made from the engraved plate but the engraved plate itself. Rubber stereos are also considered engravings. A plastic moulded product comes within the definition of sculpture or engraving. A die or mould for making a three dimensional object is an engraving.

Photographs—section 2(s)

A photograph is considered an artistic work entitled to copyright. It includes photolithograph and any work produced by any process analogous to photography but does not include any part of a cinematograph film which is considered a separate work for the purpose of copyright. A photograph must be original (i.e., originally taken) to be entitled to protection and to be original some degree of skill and effort must have been expended on it. A photograph of an existing photograph is not entitled to copyright protection because it is a mere copy. The positive made from the negative is a reproduction of the photograph.

Work of architecture—section 2(b)

A work of architecture means any building or structure having an artistic character or design, or any model for such building or structure. To qualify for copyright protection it must be original and not a mere copy of another man's work. Further it must have

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artistic quality unlike other artistic works like painting, drawing, etc., which do not require such quality.

The building or structure which constitutes a work of architecture is built on the basis of a plan which enjoys a separate copyright apart from the copyright in the building. This is in contrast with engineering drawings where the machines built on the basis of the drawing do not have a separate copyright.

The layout of a garden containing steps, walls, ponds, etc., and the design for semi-detached villas may be considered as works of architecture.

The only way in which a work of architecture can be published is by publishing a model of the work.

Works of artistic craftsmanship

Copyright subsists in original works of artistic craftsmanship. The primary purpose of conferring copyright on a work of artistic craftsmanship is to protect the man who puts on to the market articles each one of which is a work of artistic workmanship, a product of his own handicraft, from unauthorised reproduction whether by hand, machine, or otherwise. It has been held that prototype furniture does not qualify for copyright; some higher level of artistic interest or attainment is necessary.

The question whether a particular article is a work of artistic craftsmanship is very difficult to decide. A few examples may throw some light on what constitutes artistic craftsmanship. A cobbler is a craftsman, but his craftsmanship is not artistic. A maker of hand painted tiles is a craftsman, but his craftsmanship is artistic and his products are works of artistic craftsmanship. Stained glass windows are works of artistic craftsmanship. A blacksmith when he makes wrought iron gate may be exercising artistic craftsmanship, but most of his other works cannot be considered as works of artistic craftsmanship. Some of the works of carpenters, painters, bookbinders, weavers and many others may be considered as works of artistic craftsmanship but the bulk of their products will not be considered as such.

7 Cinematograph films—section 2(f)

A cinematograph film is a work capable of acquiring copyright. "Cinematograph film" means any work of visual recording and includes a sound recording accompanying such visual recording and cinematograph shall be construed as including any work produced by any process analogous to cinematography including video films. Under Indian law video films are deemed to be work produced by a process analogous to cinematography. A cinematograph film is a film which by rapid projection through an

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apparatus called cinematograph produces the illusion of motion on a screen of many photographs taken successively on a long film (*Concise Oxford Dictionary*).

There is no express stipulation in the Copyright Act, that a cinematograph film should be original as in the case of literary, dramatic, musical or artistic works. But copyright will not subsist in a cine film if a substantial part of it is an infringement of the Copyright in any other work. It would therefore follow that the originality criterion is applicable to cinematograph film as well. Copyright protection is available only to the cinematograph film including the sound track. The cine artists who act in the film are not protected by copyright law for their acting. The actors and performers in the film are conferred certain special rights called performers' rights. *See* s. 38 of the Act for details.

A cinematograph film may be taken of a live performance like sport events, public functions, or dramatic or musical performance or it may be based on the cinematograph version of a literary or dramatic work. In the latter case if the corresponding literary or dramatic work is copyrighted the making of the film will require the consent or licence of the owner of the copyright in the literary or dramatic work since such copyright includes the right to make a cinematograph film. Similarly if the film has a sound track recording music the producer will have to obtain the consent of the verse writer and the song writer if copyright subsists in them.

Where the owner of a cinematograph film has committed an offence relating to film censorship and is liable to prosecution for the offence, it will not affect the subsistence of copyright in the film or the enforcement of remedies against infringement.

The author of the cinematograph film is the producer.

8 Sound recording—section 2(xx)

Copyright subsists in a sound recording which means a recording of sounds from which such sounds may be produced regardless of the medium on which such recording is the method by which the sounds are produced. Copyright will subsist in a sound recording only if it is lawfully made. If the recording includes material which is an infringement of any literary, dramatic or musical work, copyright will not subsist in the sound recording.

The right of sound recording is different from the subject-matter recorded as they are subjects of independent copyrights. The author of the sound recording is the producer.

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Musical works and sound recordings embodying the music are considered separate subject-matter for copyright. The copyright in the recording of music is separate from the copyright in the music. Copyright in the music vests in the composer and the copyright in the music recorded vests in the producer of the sound recording. Where the song has not been written down and the composer who is also the performer records the song two copyrights come into existence simultaneously, one for the music and one for the sound recording.

The issue of a record recording a literary, dramatic or musical work does not amount to publication of the work recorded, although it is publication of the sound recording.

The publication of any sound recording in respect of any work is prohibited unless the sound recording displays the following particulars:

(*a*) The name and address of the person who has made the sound recording,

(*b*) the name and address of the owner of the copyright in the work, and

(*c*) the year of its first publication.

Similarly no person can publish a video film or video cassette unless the following particulars are displayed in the video film when exhibited and on the video cassette or other container thereof:

(*a*) A copy of the certificate granted by the Board of Film Certification,

(*b*) the name and address of the person who has made the video film and a declaration that he has obtained the necessary licence or consent of the owner of the copyright in the work for making the video film,

(*c*) the name and address of the owner of the copyright in such work.

Failure to comply with the above is a punishable offence. This is done with a view to check and detect piracy.

9 Visual recording—section 2(xxa)

It is inserted by the Copyright (Amendment) Act 2012 and it means the recording in any medium, by any method including the storing of it by any electronic means, of moving images or of the representations thereof, from which they can be perceived, reproduced or communicated by any method.

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CHAPTER

32

Term of Copyright

Statutory provisions—sections 22–29

The term of copyright varies according to the nature of the work and whether the author is a natural person or a legal person e.g. a Corporation, Government Institution, etc., or whether the work is anonymous or pseudonymous.

In the case of literary, dramatic, musical or artistic work when published during the lifetime of the author, copyright subsists during the lifetime of the author plus sixty years. Where the work is of joint authorship the sixty years period will start after the death of the author who dies last. In the case of anonymous or pseudonymous works the terms of copyright is sixty years from the year of publication. If the identity of the author is disclosed before the expiry of the sixty years period the term will extend to sixty years after the death of the author. In the case of posthumous publications the term will be sixty years from the year of publication.

For cinematograph film and sound recording also the term is sixty years from the year of publication.

Where the first owner of copyright is the Government or a public undertaking the term of copyright is sixty years from the

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year of publication. Copyright works of International Organisations also have a term of sixty years from the year of publication.

Thus it may be seen that in the case of literary, dramatic, musical or artistic works where the author is a natural person the term is lifetime plus sixty years. In all other cases the term is sixty years from the year of publication.

As to what constitutes "Publication" in respect of different works *see* Chapter 39.

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CHAPTER

33

Author and Ownership of Copyright

1 Statutory provisions—sections 2(d) and 17

An author may create a work on his own behalf or at the instance of another person for valuable consideration or in the course of employment by another person. In the first case the author is the owner of the copyright in the work. Authors who write books or compose music come under this category. In the second category, in the absence of any agreement to the contrary, the person at whose instance the work is made is the owner of the copyright work. In the case of the third category, the ownership depends upon the nature of employment.

Since there is no copyright in ideas even if they are original, the originator of a brilliant idea is not the owner of the copyright in the work which gives concrete form to the idea unless he is also the creator of the work. Thus if a person has a brilliant idea for a story, play or a picture and if he communicates that idea to an author or playwright or an artist the production based on that idea is the copyright of the person who has clothed the idea in a form whether by means of a book, play or picture, and the originator of the idea has no right to the product, for copyright subsists not in ideas but in the tangible form in which it is expressed.

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Where a person provides the material to another for writing a book and the latter (ghost writer) writes the book on the basis of the materials supplied then the latter person becomes the owner of the copyright in the book.

2 Who is the author

As to who is the author of a work depends upon the nature of the work. In the case of literary, or dramatic work the author of the work is the person who creates the work. The author of a musical work is the composer. In respect of an artistic work (other than a photograph) the author is the artist. The author of a photograph is the person who takes the photograph. In the case of a cinematograph film the author is the producer of the film at the time of completion. The author of a sound recording is the producer. In the case of any literary, dramatic, musical or artistic work which is computer-generated, the person who causes the work to be created is the author.

3 Nationality requirement for ownership

Where the work is first published in India there is no nationality requirement for subsistence of the copyright. If the work is first published outside India the author must be a citizen of India at the time of publication (if alive at that date) or if dead at the time of death.

In the case of unpublished work the author must be a citizen of India or domiciled in India at the time of making the work.

Copyright in an architectural work will subsist only if the work is located in India irrespective of the nationality of the author.

In respect of literary, dramatic or musical work it is an "Indian work" if the author is a citizen of India or if it is first published in India, or where the work is unpublished the author is a citizen of India.

4 Author an employee

In the case of literary, dramatic and artistic work where the work is made by an employee in the course of employment by the proprietor of a newspaper, magazine or similar periodical under a contract of service or apprenticeship the said proprietor, in the absence of any agreement to the contrary, will be the first owner of the copyright in the work in relation to publication of the work in the newspaper or magazine or periodical or to its reproduction for the said purpose. In all other respects the author will be the first owner of the copyright. The same rule applies to photographs taken, painting or portrait drawn or on engraving

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or a cinematograph film made by a newspaper employee in the course of employment.

Where the employer is not a newspaper proprietor, the employer will be the first owner of the copyright in the work made in the course of employment under a contract of service or appointment. This is of course subject to any agreement to the contrary.

Where the employer is a Government Department the Government is the first owner of the copyright in a work made by its employee in the absence of any agreement to the contrary. The same rule is applicable to works made by employees of public undertakings. In the case of works of international organisations, the organisation concerned is the first owner of the copyright.

The general principle is that if a person is employed to do a job of work and paid for his services the product of his labour, subject to any agreement to the contrary, belong to the employer.

The copyright in a work done by an employee on his own time and not in the course of his employment belongs to him.

A distinction is made between a contract *of* service and contract *for* services. In the case of contract of service the relationship is that of employer-employee; whereas in a contract for services, the relationship is that of an independent contractor and the person who engages the contractor for a specified work.

5 Commissioned works

An author may create a work at the instance of another person for valuable consideration. Examples are: a person writing a report on a subject for a company, a composer composing a song for a film company, or a photographer taking a photo at the instance of another person, or a painter drawing a portrait at the request of another person, all for valuable consideration. In such cases, in the absence of any agreement to the contrary, the person at whose instance the work is made is the owner of the copyright.

Where the commissioned work is partly sub-contracted, the person who commissioned the ultimate article and is ultimately to pay for the work is the person who commissioned the work and the copyright in the work belongs to him.

6 Shorthand writer

If a shorthand writer takes down some matter word for word dictated by a person, the person who dictated the matter is the author and copyright owner of the work.

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7 Employee teacher

If an employee teacher writes a text book on the subject he teaches, he is the author of the work and is entitled to the copyright because he is employed to teach not to write text books.

8 Examination question papers

Copyright in examination question papers, in the absence of a contract to the contrary, is vested in the papersetter who is the author and not in the Board of Examination or authority for whom the question papers are set.

9 Collective works

Collective works include encyclopaedia, dictionary, year book, newspaper, magazine or generally a work in which works or parts of works by different authors are incorporated. The first owner of the copyright in a collective work as a whole is the person who has collected, edited and organised the work.

10 Musical work

The first owner of the copyright in a musical work is the composer of the work. Where, however, the work is composed in the course of employment under a contract of service, the employer will be the first owner of copyright. The person who commissions a musical work is not the owner of the copyright but he gets a licence to use the work for the purpose for which it is commissioned. Thus when a film producer commissions a musical work for remuneration, he gets the right to incorporate the music in his film and all other rights connected with the film. The composer, however, retains the copyright in the work in all other respects.

11 Artistic work

The artist who created the work is the first owner of the copyright in the work. Where the work is created in the course of employment the employer will be the owner of the copyright. If the employer is the owner of newspaper or magazine his right is restricted to the use of the work for publication in the newspaper or magazine. In the case of commissioned work for valuable consideration the person who commissioned the work will be the owner of the copyright. All these rules are applicable in the absence of any agreement to the contrary.

12 Plan

In the absence of any agreement to the contrary the copyright in a plan of a building or structure remains with the architect and

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the client for whom the plan is made cannot make copies of the plan except for private study. He may not use the plan or design of the existing building even for the purpose of making extensions to that building.

13 Engraving

Engraving is an artistic work and includes etchings, lithographs, woodcuts, prints and other similar works; not being photograph. The rights of ownership of copyright is the same as those for artistic work discussed above.

14 Photograph

The person who takes the photograph is the author of the work and is the owner of the copyright in it. Where the photograph is taken in the course of employment or at the instance of any person for valuable consideration the ownership of copyright is determined in the same manner as in the case of artistic work discussed above.

15 Work of architecture and work of artistic craftsmanship

In these cases the architect or the artist, as the case may be, is the owner of the copyright subject to the exception where the author is an employee or where the work is commissioned for valuable consideration in which case the rule is the same as for other artistic works.

16 Cinematograph film

The author and owner of copyright in a cinematograph film is the producer. But in case of any work incorporated in a cinematograph work, nothing contained in cls. (*b*) and (*c*) of s. 17 shall affect the right of the author in the work referred to in cl. (*a*) of sub-sec. (1) of s. 13.

17 Sound recording

The author of a sound recording is the producer and he is also the owner of the copyright therein.

The producer of a cinematograph film and a sound recording is the person who takes the initiative and responsibility for making the work.

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CHAPTER

34

Rights Conferred by Copyright*

1 General

Copyright is not a positive right but a negative right, that is the right to stop others from exploiting the work without the copyright owners' consent or licence. Thus where, for instance, the work is derived from some other work in which copyright subsists as in the case of translation, adaptation or abridgement of a literary work the author of such work can stop others from exploiting it but cannot himself exploit that work without the consent or licence of the original work from which the work has been derived.

Copyright is not a single right but a bundle of rights which can be exploited independently. Further, the nature of these rights depends upon the category of work. But one right which is common to all works is the right to reproduce or make copies of the work. The owner of a copyright may exploit the work himself or licence others to exploit any one or more of the rights for a consideration in the form of royalty or a lump sum payment.

Moral rights—section 57

The author of a work has also got certain rights called "moral rights" as distinguished from the other rights called "economic rights". These are:

* Section 14.

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(1) the right to decide whether or not to publish the work (the right of publication);

(2) the right to claim authorship of a published or exhibited work (the right of paternity); and

(3) the right to prevent alteration and other actions that may damage the author's honour or reputation (the right of integrity).

Section 57. The following are the author's special rights:

(*a*) to claim authorship of the work, and

(*b*) to restrain or claim damages in respect of any distortion, mutilation, modification or other act in relation to the work, if such distortion etc., would be prejudicial to his honour or reputation.

Provided that the author shall not have any right to restrain or claim damages in respect of any adaptation of a computer programme to which cl. (*aa*) of sub-sec. (1) of s. 52 applies.

These rights remain with the author even after the transfer of copyright and the protection lasts during the whole of the copyright term. If the author desires to transfer these rights also he can do so specifically in writing in the deed of assignment. The author's moral or special rights can be enforced under other branches of law: for example, if the author's reputation has suffered, under the law of defamation; if any person publishes the work without the author's consent; under the law of contract for breach of implied term of contract or breach of trust; and if some person has mislead the public into the belief that he is the author of the work, under the law of passing off. Section 57 gives statutory recognition to these moral rights which were recognised under common law. The rights conferred upon an author of a work under s. 57(1) may be exercised by the legal representative of the author—s. 57(2).

The author's special rights are substantially the same in all countries.

Performing artist's rights—section 38

An artist who performed a dramatic or musical work had no right in relation to his performance except that which existed from the contract with the organisers of the performance under which he performed. There is no copyright in the performance as such,

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although the owners of the copyright in the dramatic work, in the lyrics and music can restrain unauthorised publications of the performance. The performer had, as the law stood prior to the Copyright (Amendment) Act 1994, no cause of action against a person who records his performance or deals in a recording of it made by somebody else. To prevent unauthorised recording of his performance the performers have to enter into specific contractual agreement with the organisers of the performance prohibiting such recording.

The Copyright (Amendment) Acts 1994 & 2012 has conferred on the performers certain special rights to protect the rights in performance; *see* s. 38 of the Act.

In terms of the Copyright (Amendment) Act 2012 the performer's right shall subsists for a period of 50 years from the beginning of the calender year next following the year in which the performance is made. Before the Amendment it was 25 years.

By virtue of the Copyright (Amendment) Act 2012, ss. 38A & 38B have been inserted which deal with exclusive right of performers and moral rights of the performer.

Limitations on copyright

The exclusive right conferred on a copyright owner is subject to a number of exceptions which are discussed in the chapter on Infringement of Copyright.

The rights conferred in respect of each category of work is discussed below:

2 Literary, dramatic or musical work—section 14(a) and (b)

The owner of the copyright in the above works has under s. 14 of the Act the exclusive rights to do or authorise the doing of any of the following acts in respect of a work or any substantial part thereof, namely:

(*a*) in the case of a literary, dramatic or musical work, not being a computer programme,—

(*i*) to reproduce the work in any material form including the storing of it in any medium by electronic means;

(*ii*) to issue copies of the work to the public and not being copies already in circulation;

(*iii*) to perform the work in public, or communicate it to the public;

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(*iv*) to make any cinematograph film or sound recording in respect of the work;

(*v*) to make any translation of the work;

(*vi*) to make any adaptation of the work;

(*vii*) to do, in relation to a translation or an adaptation of the work, any of the acts specified in relation to the work in sub-cls. (*i*) to (*vi*);

(*b*) in the case of a computer programme—

(*i*) to do any of the acts specified in cl. (*a*);

(*ii*) to sell or give on commercial rental or offer for sale or for commercial rental any copy of the computer programme provided that commercial rental does not apply in respect of computer programmes which by itself is not the essential subject of the rental.

Communication to the public—section 2(ff)

This expression means making any work or performance available for being seen or heard or otherwise enjoyed by the public directly or by means of display or diffusion other than by issuing physical copies of it, whether simultaneously or at places and times chosen individually, regardless of whether any member of the public actually sees, hears or otherwise enjoys the work or performances so made available.

The communication through satellite or cable or any other means of simultaneous communication to more than one household or place of residence including residential rooms of any hotel or hostel shall be deemed to be communication to the public.

Reproduction

'Reproduction' means not only any exact reproduction but also a copy of the work which may be considered an infringement. For infringement it is sufficient if a substantial part of the work is copied. Reproduction means copying and does not include cases where an author or compiler produces a substantially similar result by independent work without copying. In a reproduction there should be sufficient copying to amount to infringement. For further discussion *see* chapter on "Infringement of Copyright".

Publication of the work—section 3

"Publication" means making a work available to the public by issue of copies or by communicating the work to the public.

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Performance of the work in public

This applies only to dramatic and musical works. Performance means any visual or acoustic presentation made by one or more performers.

'Performer' includes an actor, singer, musician, dancer, acrobat, juggler, conjurer, snake charmer, a person delivering a lecture or any other person who makes a performance.

Translation

Translation is not defined in the Act. It has the ordinary meaning of translating the work from one language to another. The copyright owner of the work is entitled to the translation right. There is nothing preventing a man from translating a work. The translator has a copyright in the translation. But he cannot reproduce or publish the translation without the consent of the owner of the copyright in the original work.

Adaptation of work—section 2(a)

Adaptation of a literary work means the conversion of the work into a dramatic work by way of performance in public or otherwise an abridgement of the work or any version of the work in which the story or action is conveyed wholly or mainly by means of pictures in a form suitable for reproduction in a book or in a newspaper, magazine or similar periodical or any use of such work involving its rearrangement or alteration.

In respect of a dramatic work it means the conversion of the work into a non-dramatic work, any abridgement of the work or any version of the work in which the story or action is conveyed wholly or mainly by means of pictures in a form suitable for reproduction in a book, or in a newspaper, magazine or similar periodical.

Adaptation of a musical work means, any arrangement or transcription and any use of such work involving its rearrangement or alteration.

Right to reproduce in any material form

This right includes the right to record the music as part of the sound track in a film, known as the synchronisation right. A film producer who incorporates or records the musical work in the sound track of a cinematograph film, gets a copyright which gives him the exclusive right of performing the work in public. The composer of lyric or the musical work, however, retains the right of performing it in public for profit otherwise than as part

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of the cinematograph film. Thus the film producer has no right to play the songs separately to attract an audience in a restaurant or aeroplane or radio station or cinema theatre. But where a film producer commissions a composer of music or a lyricist for reward or valuable consideration for composing music or lyric for incorporating in the sound track of the film the film producer becomes the owner of the copyright in the music and lyric in the absence of any contract to the contrary. The same result follows where the composer of music or lyric is employed under a contract of service to compose the work.

The definitions of expressions like adaptation, communication to the public and publication are framed in a general way so as to be applicable to all categories of works which differ from each other in many respects. Accordingly when these terms are applied to different types of work the special nature of the particular work should be borne in mind.

Public and private audience

The exclusive right does not include communication to private audience. For the distinction between public and private audience *see* Chapter 38.

Computer programme—section 14(b)

A computer programme has the following rights:

(*i*) to do any of the acts specified in s. 14(*a*) for literary works;

(*ii*) to sell or give on commercial rental (or offering the same) a programme except where the programme itself is not the object of rental.

3 Artistic works

Rights of the owner—section 14(c)

The owner of the copyright in an artistic work has the exclusive right to do or authorise the doing of the following acts in respect of the work or a substantial part thereof:

(*i*) to reproduce the work in any material form, including the storing of it in any medium by electronic or other means or depiction in three-dimensions of a two-dimensional work or depiction in two-dimensions of a three-dimensional work;

(*ii*) to communicate the work to the public;

(*iii*) to issue copies of the work to the public not being copies already issued;

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(*iv*) to include the work in any cinematograph film;
(*v*) to make any adaptation of the work;
(*vi*) to do in relation to an adaptation of the work any of the acts specified in relation to the work specified in sub-cls. (*i*) to (*iv*).

Artistic work includes: (*i*) a painting, a sculpture, a drawing (including a diagram, map, chart or plan), an engraving or a photograph, whether or not any such work possesses artistic quality; (*ii*) a work of architecture; and (*iii*) any other work of artistic craftsmanship.

Adaptation of an artistic work means the conversion of the work into a dramatic work by way of performance in public or otherwise. This appears to be possible only when the artistic work consists of a series of pictures depicting a story, or an episode as for example in a cartoon.

Drawing includes engineering drawings, and the making of a machine or part of a machine based on a copyright drawing without the consent of the owner of the copyright in the drawing will constitute infringement. *See* chapter on Infringement.

Reproduction in a material form

What constitutes reproduction in a material form is discussed in the chapter on Infringement.

Communication of the work to the public

This expression has the same meaning as given under literary work, except that in the case of artistic work which is visual in nature there is no question of hearing the work. Artistic work is something to be seen and not heard.

Artistic work applied industrially—section 15

Where the owner of the copyright in an artistic work chooses to apply industrially a design which corresponds to that artistic work to some article and if that design is registered under the Designs Act 2000, then protection under the Copyright Act will not be available. Where the design is capable of registration under the Designs Act but not registered, the copyright in that design under the Copyright Act will cease as soon as any article to which the design has been applied has been reproduced more than fifty times by an industrial process by the owner of the Copyright or his licensee.

Where the artistic work in question is a functional engineering drawing or design not registrable under the Designs Act, the

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making of three dimensional representation of it in the form of a machine or machine part without the consent or license of the copyright owner constitutes an infringement of the copyright even if the drawing or design is a common place one not involving artistic merit or much engineering skill. This rule in practice leads to certain anomalies (*see* chapter on "Infringement").

Publication—section 3

Publication of an artistic work means making the work available to the public by issue of copies or by communicating the work to the public. But in the case of a work of architecture, this does not include the issue of photographs and engravings of the work. Thus although publishing the photograph of a painting or drawing without the consent of the owner of the copyright is an infringement of the copyright, one can freely publish the photograph of a sculpture or a work of architecture. Copyright in a plan does not extend to processes or methods of construction.

4 Cinematograph films

Rights of the owner—section 14(d)

The owner of the copyright in a cinematograph film has the exclusive right to do or authorise the doing of the following acts in respect of the work or any substantial part thereof—

(*i*) to make a copy of the film, including: (A) a photograph of any image forming part thereof; or (B) storing of it in any medium by electronic or other means;

(*ii*) to sell or give on commercial rental or offer for sale or for such rental, any copy of the film;

(*iii*) to communicate the film to the public.

Exhibition of the film in private is not an infringement of the copyright in the film.

The copyright in the cinematograph film is separate from the copyright in lyric or music in the sound track, the copyright in the literary work from which the film is made, the copyright in the dialogue, and so on.

If a person has lawfully purchased a copy of the film or its video version, he will require the licence or consent of the owner of the copyright for resale or hire of the copy to the public. Communication of the work to the public has the same meaning as in the case of literary, or dramatic work. For the distinction between public and private *see* Chapter 38.

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It has been held that when a person purchases the negative rights of a film he is entitled to the copyright in the film. Taping the film in a cassette tape would appear to be to copy the film since a film includes a video film.

5 Sound recording

Rights of copyright owner—section 14(e)

The owner of the copyright in a sound recording has the exclusive right to do or authorise the doing of the following acts in respect of the work or any substantial part thereof:

(*i*) to make any other sound recording embodying it including storing of it in any medium by electronic or other means;

(*ii*) to sell or give on commercial rental or offer for sale or for such rental, any copy of the sound recording;

(*iii*) to communicate the sound recording to the public.

"Sound recording" means a recording of sounds from which such sounds may be produced regardless of the medium on which such recording is the method by which the sounds are produced.

The right to hire a sound recording is not important in respect of audio cassettes or magnetic tape which are not expensive. It may be useful in respect of compact discs.

Communication of the sound recording to the public has the same meaning as for literary, dramatic or musical works except that communication for the purpose of viewing does not apply to a sound recording having regard to its nature. Communication to a private audience is not an exclusive right conferred by copyright in a sound recording. Playing a sound recording for private use is not prohibited. As to the distinction between public and private *see* Chapter 38.

Publication as such is not a right associated with sound recording. Since there is no copyright as such in a live performance which is not a category of work under the Copyright Act the recording of sporting events or musical performance is not an infringement of copyright. However the Act provides certain special rights called performer's rights to various kinds of performers under s. 38 of the Act, see Chapter 35 for details.

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CHAPTER

35

Rights of Broadcasting Organisations and of Performers

Section 37 of the Act deals with broadcasting reproduction rights. Section 38 deals with performer's rights.

1 Broadcasting reproduction rights and infringement — section 37

Every broadcasting organisation will have a special right known as "Broadcasting Reproduction Right" in respect of its broadcasts. This right will subsist for twenty five years from the year of broadcasts. During this period if anybody does the following acts without licence from the owner of the right he will be deemed to have infringed the broadcast reproduction right:

(a) rebroadcasts the broadcast;
(b) causes the broadcast to be heard or seen by the public on payment of any charges;
(c) makes any sound recording or visual recording of the broadcast; or
(d) makes any reproduction of such sound recording or visual recording where such initial recording was done without licence; or where it was licenced for any purpose not envisaged by such licence; or

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(*e*) sells or gives on commercial rental or offer for sale or for such rental, any such sound recording or visual recording referred to in cl. (c) or cl. (*d*).

The same is, however, subject to the provisions of s. 39 of the Act.

2 Acts not constituting infringement of broadcast reproduction rights or performer's right—section 39

No broadcast reproduction right or performer's right will be deemed to be infringed by:

(*a*) the making of any sound recording or visual recording for the private use of the person making such recording, or solely for purposes of *bona fide* teaching or research; or

(*b*) the use consistent with fair dealing of excerpts of a performance or of a broadcast in the reporting of current events or for *bona fide* review, teaching or research; or

(*c*) such other acts with necessary adaptations and modifications, which do not constitute infringement of copyright under s. 52.

Clause (*c*) is very difficult to interpret and apply. Section 52 deals with exceptions to infringement in respect of all works in various situations. According to this there is no infringements if the prohibited acts are done for the following purpose:

(1) private use, use by a society for *bona fide* teaching or research;

(2) fair dealing of excerpts in the reporting of current events *bona fide* review, in newspaper, magazine or periodicals or by broadcast or in a cinematograph film by means of photograph;

(3) reproduction for use in judicial proceedings—s. 52(1)(*c*);

(4) reproduction for use of the members of a legislature—s. 52(1)(*d*);

(5) the use in a certified copy in accordance with any law in force—s. 52(1)(*e*);

(6) use of sound recording or visual recording of the broadcast in the course of the activities of an educational institution if the audience are limited to students and parents and guardians of the students and persons

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directly connected with the activities of the institutions—s. 52(1)(*i*).

The aforesaid acts can be done only with the help of a sound recording or a visual recording of the performance. Accordingly the making of such recording for the purpose cannot be an infringement.

3 Copyright subsisting in the contents of the broadcast

A programme broadcast usually includes literary, dramatic or musical works or records in which independent copyright may subsist. In such cases the broadcasting organisation should obtain the consent or licence of the copyright owners in the work in question because copyright in such works includes the right to communicate the work to the public.

4 Television

This term does not appear in the Act. But the definition of broadcast is sufficiently wide to include a television broadcast also. The Concise Oxford Dictionary defines Television as 'a system for reproducing actual or recorded scene at a distance on a screen etc. by radio transmission, usually with appropriate sounds, vision of distant objects obtained thus; television programmes'. Television is a well understood word now and requires no definition.

5 Musical work

The owner of copyright in a musical work has the exclusive right to perform it in public, but any one may perform the work in private. The original performance in the studio will generally be in private, but the broadcasting performance at the receiving end, if in public, will be an infringement of copyright at that place.

6 Tape recording of broadcast—section 39

If a person makes a sound recording of a programme broadcast over the radio he will not be infringing the broadcasting right if the recording is used by him for private use or if the recording is done by a society for the purpose of teaching or research.

7 Infringing copy of a programme

A recording of the programme in which a broadcast reproduction right subsists is an infringing copy of the programme. This includes a sound recording imported in contravention of the Act.

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Importing of one copy for the private and domestic use of importer is allowed—s. 51(*b*)(*iv*) (proviso).

8 Applicability of other provisions—section 39A

The following provisions of the Act with necessary adaptations and modifications apply to broadcast reproduction right as they apply to the copyright in a work—s. 39A.

Sections 18 and 19 — Assignment of Copyright.

Section 30 — Licence, provided that a licence to utilise a broadcast for the purpose of making a record recording a programme in which broadcast reproduction right subsists or a substantial part of any such programme, will not take effect unless the person to whom such licence is granted has also obtained licence to make records recording the work embodied in such programme from the owner of the copyright in such work.

Section 30A — Application of s. 19.

Section 33 — Registration of copyright society.

Section 33A — Tariff scheme by copyright societies.

Section 34 — Administration of rights of authors and owners by the copyright society.

Section 35 — Control over the copyright society by the authors and other owners of right.

Section 36 — Submission of returns and reports.

Section 53 — Importation of infringing copies.

Section 55 — Civil remedies for infringement of copyright.

Section 58 — Rights of owner against persons possessing or dealing with infringing copies.

Section 63 — Offence of infringement of copyright or other rights conferred by the Copyright Act.

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Section 64 — Power of police to seize infringing copies.

Section 65 — Possession of plates for the purpose of making infringing copies.

Section 65A — Protection of technological measures.

Section 65B — Protection of Rights Management Information.

Section 66 — Disposal of infringing copies or plates for the purpose of making infringing copies.

Thus in many essential respects broadcast reproduction right is treated on a par with copyright.

9 Copyright in the work broadcast not affected—section 39

The broadcast reproduction right does not affect the copyright in any literary, dramatic or musical work which is broadcast or in any record recording any such work.

10 Performers' right—section 38

Performers' rights for the benefit of various kinds of performers like actors, dancers, musicians, jugglers, acrobats and so on are contained in s. 38. These rights are somewhat analogous to broadcast reproduction rights.

"Performer" includes an actor, singer, musician, dancer, acrobat, juggler, conjurer, snake charmer, a person delivering lecture, or any other person who makes a performance—s. 2(*qq*).

"Performance" in relation to performers' right means any visual or acoustic presentation made live by one or more performers—s. 2(*q*).

The performers' right will subsist for fifty years from the year of performance.

11 Exclusive right of performers—section 38A

Performer's right which is an exclusive right subject to the provisions of this Act to do or authorise for doing any of the following acts in respect of the performance or any substantial part thereof, namely:—

(a) to make a sound recording or a visual recording of the performance, including—

(*i*) reproduction of it in any material form including the storing of it in any medium by electronic or any other means;

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(*ii*) issuance of copies of it to the public not being copies already in circulation;

(*iii*) communication of it to the public;

(*iv*) selling or giving it on commercial rental or offer for sale or for commercial rental any copy of the recording;

(*b*) to broadcast or communicate the performance to the public except where the performance is already broadcast.

Once a performer has consented by written agreement to incorporate his performance in a cinematograph film, in absence of any contract to the contrary, he shall not object to the enjoyment by the producer of the film of the performer's right in the same film. But the entitled for royalties in case of making of the performances for commercial use.

12 Moral rights of the performer—section 38B

The performer of a performance shall, independently of his right after assignment, either wholly or partially of his right, have the right, (a) to claim to be identified as the performer of his performance except where omission is dictated by the manner of the use of the performance, and (*b*) to restrain or claim damages in respect of any distortion, mutilation or other modification of his performance that would be prejudicial to his reputation.

Mere removal of any portion of a performance for the purpose of editing, or to fit the recording within a limited duration, or any other modification required for purely technical reasons shall not be deemed to be prejudicial to the performer's reputation.

13 Application of broadcasting rights and performer's rights to foreign broadcasting organisations and performers—section 40A

Inserted by Copyright (Amendment) Act 1999.

Where any foreign country has made provisions to give Indian Broadcasting organisations and performers the same rights as available in India, the broadcasting organisations and performers of that country will be granted similar rights in India, for details *see* s. 40A.

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14 Restriction of rights of foreign broadcasting organisations and performers—section 42A

Inserted by Copyright (Amendment) Act 1999.

If any foreign country does not give adequate protection to broadcasting organisations and performers the broadcasting organisations and performers of that country will not be entitled to corresponding rights available in India. *See* s. 42A for details.

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CHAPTER

36

Assignment, Transmission and Relinquishment of Copyright

STATUTORY PROVISIONS—SECTIONS 18–21

1 Assignments

It is seldom that the author of a copyright work himself exploits the work for monetary benefit. Ordinarily he either assigns the whole or part of his rights to others to exploit economically for a lump sum consideration. In the alternative he may licence some or all of his rights to others usually on the basis of a royalty payment. The extent to which this can be done depends on the economic potential of the work. An assignment may be general, i.e. without limitations, or subject to limitations. It may be for the whole term of the Copyright or for any part thereof.

An assignment is in essence a transfer of ownership even if it is partial. Since registration of assignment is not compulsory a prospective assignee has no means of knowing whether there are prior assignments or licences except through the assignor. He has, therefore, to take some risk. Agreements can be made to assign future copyright works. This will automatically vest ownership in the assignee on the work coming into existence. Provided that no such assignment shall be applied to any medium or mode of exploitation of the work which did not exist or was not in commercial use at the time when the assignment

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was made, unless the assignment specifically referred to such medium or mode of exploitation of the work.

Provided also that the author of the literary or musical work included in a cinematograph film shall not assign or waive the right to receive royalties to be shared on an equal basis with the assignee of copyright for the utilisation of such work in any form other than for the communication to the public of the work along with the cinematograph film in a cinema hall, except to the legal heirs of the authors or to a copyright society for collection and distribution and any agreement to the contrary shall be void:

Provided also that the author of the literary or musical work included in the sound recording but not forming part of any cinematograph film shall not assign or waive the right to receive royalties to be shared on an equal basis with the assignee of copyright for any utilisation of such work except to the legal heirs of the authors or to a collecting society for collection and distribution and any assignment to the contrary shall be void.

An author of a work may assign virtually all his rights in all countries or he may assign some only of his rights or he may assign rights of a certain kind in one country to a particular person and rights of the same kind to another person in another country and so on. The combination of ways in which he may assign his rights is almost endless. Similarly a person holding a right from an author may himself make further assignments. In these ways there may be multiplicity of rights all stemming from the original work but all different and all capable of separate assignments. Thus in respect of a particular work each of the rights conferred by copyright on it may be assigned to different persons. Each of the several rights arising under copyright becomes the subject of a separate copyright.

Ownership of the copyright in a work is not the same as ownership in the material object in which the copyright work is embodied. Thus a person who buys a painting may be the owner of the canvas in which the painting is drawn but the copyright in the work may vest in the artist who has drawn the painting. Similarly when a person buys a book he is the owner of the book but not the owner of the copyright in the book.

An author of a work who has assigned some specified rights in his copyright can be restrained by the assignee from exercising those rights.

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Assignment of a copyright is valid only if it is in writing and signed by the assignor or by his duly authorised agent.

There is no form prescribed for assignment. The deed of assignment should contain the following:

(1) identity of the work,

(2) the rights assigned and the duration and territorial extent of such assignment,

(3) the amount of royalty and any other consideration payable, to the author or his legal heirs during the currency of the assignment and the assignment will be subject to revision, extension or termination on terms mutually agreed upon by the parties.

Where the assignee does not exercise the rights assigned to him within a period of one year from the date of assignment the assignment in respect of rights will be deemed to have lapsed after the expiry of said period unless otherwise specified in the assignment.

If the period of assignment is not stated it will be deemed to be five years from the date of assignment.

If the territorial extent of the assignment of the rights is not specified, it will be presumed to extent within India.

Registration of the assignment is not necessary for its validity, but it has some evidential value.

The above provisions are not applicable to assignment made prior to the Amendment Act 1994, w.e.f. 10.5.1995.

Assignment of copyright in any work contrary to the terms and conditions of the rights already assigned to a copyright society in which the author of the work is a member shall be void—s. 19(8).

No assignment of copyright in any work to make a cinematograph film shall affect the right of the author of the work to claim an equal share of royalties and consideration payable in case of utilisation of the work in any form other than for the communication to the public of the work, along with the cinematograph film in a cinema hall—s. 19(9).

No assignment of the copyright in any work to make a sound recording which does not form part of any cinematograph film shall affect the right of the author of the work to claim an equal share of royalties and consideration payable for any utilisation of such work in any form—s. 19(10).

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Disputes arising with respect to the assignment of any copyright will be settled by the Copyright Board. The Copyright Board has the power even to revoke the assignment in certain circumstances.

If any dispute arises with respect to the assignment of any copyright, the Copyright Board on receipt of a complaint and after holding such inquiry may pass such order including an order for the recovery of any royalty.

But Copyright Board shall not pass any order under s. 19A(2) to revoke the assignment unless it is satisfied that the terms of assignment are harsh to the assignor if the assignor is also the author.

Pending the disposal of an application for revocation of assignment under s. 19A(2), the Copyright Board may pass an order regarding implementation of the terms and conditions of assignment including any consideration to be paid for the enjoyment of the rights assigned.

But no order of revocation of assignment under s. 19A(2) shall be made within a period of five years from the date of such assignment.

Every complaint under s. 19A(2) shall be dealt with by the Copyright Board as far as possible and efforts shall be made to pass the final order in the matter within six months from the date of receipt of complaint and if there be any delay, the Copyright Board shall record the reasons thereof.

Where the author of an unpublished work bequeaths the manuscript to any person in his will, the beneficiary of the bequest will be entitled to the copyright, in the work unless a contrary intention is indicated in the will.

Equitable assignment

A mere agreement to assign operates as an equitable assignment. An assignment is effective only if it is in writing signed by the owner of the copyright. Acceptance of remuneration or delivery of the manuscript does not constitute an assignment.

Right of purchaser of all copies

If all copies of a particular edition of a book are sold to a person, he is an assignee of an interest in the copyright of the book until all the copies are sold. Until then the purchaser has the exclusive right to the copyright, at any rate, so far as the right to publish the book in any form is concerned.

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Commissioned work

In the case of commissioned works such as paintings, courts have generally construed documents as passing the copyright unless there is clear indication to the contrary. But when an artist sells a painting not commissioned the copyright will remain with the artist unless the agreement indicates a contrary intention.

Contracts between authors and publishers

In cases of agreements between authors, publishers and sellers, it is sometimes difficult to determine whether it is an exclusive licence or partial assignment of the copyright to publish and sell. If the agreement contains express words or terms as to copyright then an inference can be drawn. Where the agreement contains no such terms, if the consideration consists of payment of royalties or a share of profits instead of downright payment, then the copyright is not assigned. It would be an exclusive licence to publish and sell. The liability of the author to revise the work and keep it up-to-date weighs heavily against an assignment of the copyright. Similarly a payment of royalty instead of a sum of money paid down will also weigh heavily against partial assignment.

If the contract contains terms which are in restraint of trade or which shows unconscionable bargaining courts may refuse to enforce the contract.

2 Transmission by operation of law

Copyright is a kind of personal movable property. It can therefore be transferred, by a testamentary disposition or by the operation of law as in the case of similar properties. When the owner of the copyright dies the copyright will pass to his personal representatives if he dies intestate. If the manuscript of a literary, dramatic or musical work, or an artistic work has been bequeathed to a beneficiary without specifically bequeathing copyright the bequest will carry with it the copyright also unless a contrary intention appears from the will.

3 Relinquishment of copyright—section 21

The author of a work may relinquish all or any of the rights comprised in the copyright in the work by giving notice to the Registrar of Copyrights in the prescribed form or by way of public notice. The Registrar will cause the notice to be published in the Official Gazette and in other ways. The Registrar of Copyright, within fourteen days from publication of notice in

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the Official Gazette, shall post the notice on the official website of the copyright office so as to remain in the public domain for a period of not less than three years. The relinquishment of the rights will not affect any rights subsisting in favour of any person on the date of the notice e.g. the rights of an assignee or licensee.

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CHAPTER

37

Licences

1 Voluntary licences

General

A licence is an authorisation to do certain acts which, without such authorisation, would be an infringement, The owner of a copyright may grant a licence to do any of the acts in respect of which he has an exclusive right to do. Licensing usually involves only some of the rights and not the whole. An author of a novel may license the right to reproduce the work in hardback to one person and paperback to another, the serialisation rights and dramatisation rights to others and the translation rights in any language to yet another. Licences can be exclusive or non-exclusive.

A licence is different from an assignment. In the case of a licence the licensee gets the right to exercise particular rights subject to the condition of the licence but does not become the owner of that right whereas an assignee becomes the owner of the interest assigned.

In certain cases it may be difficult to decide whether what is intended by the deed is a licence or an assignment. This question can be determined only by interpretation of the document relating to the licence or assignment. The exact scope of the licence can also be determined only by construction of the licence deed.

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Form and contents of licence—sections 30 and 30A read with section 19

There is no prescribed form for a licence deed. But it should be in writing by the owner of the copyright or his duly authorised agent. A licence can be granted not only in respect of an existing work but also in respect of a future work. But in the case of a future work the licence will take effect only when the work comes into existence. Where the licensee of a future work dies before the work comes into existence his legal representatives will be entitled to the benefit of the licence if there is no provision contrary to this in the licence.

A licence deed in relation to a work should contain the following particulars:

(1) identification of the work,
(2) duration of licence,
(3) the rights licenced,
(4) territorial extent of licence,
(5) the quantum of royalty and any other consideration payable, and
(6) the terms regarding revision, extension and termination.

If the rights licensed are not specified it will be presumed that the licensor has licensed all his rights under the Act. If the licensee does not exercise the rights licensed to him within one year from the date of licence, the licence in respect of such rights will be deemed to have lapsed after the expiry of one year unless otherwise specified in the licence deed.

If the period of licence is not stated it will be deemed to be five years from the date of licence. If the territorial extent of licence is not specified it will be presumed to extend within India.

The above provisions will not apply to licences made before 10-5-1995, when the Amendment Act of 1994 came into force.

Disputes in respect of the licence will be settled by the Copyright Board which has the power to revoke the licence.

Provision of s. 19 shall with any necessary adaptations and modifications, apply in relation to a licence under s. 30 as they apply in relation to assignment of copyright in a work.

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Consent and licence

A licence should be distinguished from a consent. Thus, for example, inserting quotations from a copyright work in another work or printing the photograph for specified purpose may not require a licence but only a consent.

Different kinds of licence

There are different kinds of licences. A licence may be exclusive or non-exclusive; it may be granted by the owner or granted by the Copyright Board as a compulsory licence it may be limited to a specific period of time, to a territory within the jurisdiction or to part of the interest where possible (e.g. right to publish a book can be split into hardcover edition, paperback edition and serial publication) or to particular country. A licence can be granted in respect of a future work, but the licence will take effect only when the work comes into existence.

Exclusive licence

Exclusive licence means a licence which confers on the licensee or on the licensee and persons authorised by him, to the exclusion of all other persons (including the owner of the copyright) any right comprised in the copyright in a work. In the case of a non-exclusive licence, the owner of the copyright retains, the right to grant licences to more than one person or to exercise it himself. An exclusive licence should be distinguished from a sole licence. In the case of a sole licence the licensee can exclude all others except the owner of the copyright.

Licence by joint owner

A joint owner cannot without the consent of all the other co-owners grant a licence of any interest in the copyright. If such a licence is granted the other joint owners can sue the licensee and the joint owner who had granted the licence for infringement of copyright.

Consideration

A licence granted without consideration may be revoked at any time, but when given for consideration is irrevocable and conveys an interest in the copyright.

Implied licences

Licences can be implied from the circumstances. Where an architect has been engaged to prepare plans and was paid for the work, the landowner has an implied right to build in accordance with the plan employing another architect to supervise the work.

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But if the architect has been paid only a nominal fee licence to build according to the plan by engaging another architect will not be implied. If a person sends a letter to a newspaper or magazine on a matter of public interest licence to publish the letter is implied. Submission of an article to a magazine subject to payment of royalty, implies licence to publish.

Where a person grants to another an exclusive licence to use manufacturing know-how including all the designs, engineering information and other information and data relating to the manufacture of certain products, this would include drawings. Such an exclusive licence must by necessary implication include the exclusive right to use such design and drawings for the purpose of manufacture. In such circumstances even if the contract does not in express terms confer an exclusive copyright licence on the licensee, it is a necessary implication that it confers on the licensee an exclusive right to use the drawings for the purpose of manufacture of the articles to which the drawings relate.

2 Non-voluntary or compulsory licence

Many countries have provided in their copyright legislation for compulsory licences particularly in those fields of copyright where modern technology has created new uses for works giving new rights which can only be exercised effectively by bulk licencing through a collecting society or under a compulsory licence system. These provisions have been found necessary because new technology which has posed problems for the enforcement of copyright which could only be solved in a practical way by compulsory licence schemes.

International conventions and non-voluntary licensing

The Berne Convention Paris Acts (1971) and the UCC have made special provisions for non-voluntary licences for the benefit of developing countries. Under these provisions such licences are: (*a*) confined to the exercise of two rights—the translation right and the reproduction right; (*b*) confined to countries recognised as developing countries; (*c*) only permitted if all the prior conditions stipulated in the Annex and Protocol are fulfilled; and (*d*) temporary in the sense that they are permissible under the conventions only as long as the country concerned ranks as a developing country.

The Berne Convention contains compulsory licence provisions relating to the broadcasting right and recording right. Subject to the conditions that: (1) the moral rights of authors are safeguarded; (2) equitable remuneration is provided for and the

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amount of which to be fixed either by agreement or by 'competent authority' which is usually a Government agency or a special tribunal; and (3) the compulsory licence must be applicable only in the country which has provided for it.

Compulsory licence of any work—section 31

The Copyright Board is empowered to grant compulsory licences under certain circumstances on suitable terms and conditions in respect of an any work. The circumstances necessary for grant of such compulsory licences are the following:

(*a*) the work must have been published or performed in public,

(*b*) the author must have refused to republish or allow republication of the work or must have refused to allow the performance of the work in public,

(*c*) that by reason of such refusal the work is withheld from public, or

(*d*) the author must have refused to allow communication to the public of such work by broadcast, or in the case of a sound recording the work recorded in such record, on reasonable terms.

Procedure

On a complaint being made to the Copyright Board, the Board, after giving the owner of the copyright an opportunity of being heard and after holding necessary enquiries, may direct the Registrar of Copyright to grant a licence to such person or persons who, in the opinion of the Copyright Board, is or are qualified to republish the work, perform the work in public or communicate the work to the public by broadcast, as the case may be, subject to payment to the owner of the copyright reasonable compensation and subject to other terms and conditions, if necessary. The Registrar will then grant the licence on payment of such fee as may be prescribed.

Publication

As to what constitutes publication, see Chapter 38.

Indian work

'Indian work' is defined in s. 2(*l*) of the Copyright Act. According to this definition 'Indian work' means a literary, dramatic or musical work (*i*) the author of which is a citizen of India, or (*ii*) which is first published in India, or (*iii*) the author of which in the case of an unpublished work is, at the time of making of the work, a citizen of India.

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It is important to note that the word 'Indian' has been substituted by the word 'any' in s. 31 of the Copyright Act, by the Copyright (Amendment) Act 2012.

Compulsory licence in respect of unpublished or published works—section 31A

In the case of an unpublished work, or any work published or communicated to the public and the work is withheld from the public in India, the author is dead or unknown or cannot be traced, or the owner of the copyright in such work cannot be found, any person may apply to the Copyright Board for a licence to publish or communicate to the public such work or a translation thereof in any language. Before making the application the applicant should publish his proposal in one issue of a daily newspaper in English having circulation in the major part of India and where the application is for the publication of a translation in any language, also in one issue of any daily newspaper in that language. The application to the Copyright Board should be in the prescribed form and accompanied by the prescribed fee and with a copy of the advertisement issued.

The Copyright Board may after making certain prescribed enquiries direct the Registrar of Copyrights to grant a licence to the applicant to publish the works or its translation subject to payment of royalty and other conditions determined by the Board.

Where a licence is granted as above the Registrar may direct the applicant to deposit the amount of the royalty in the public account or in any other account specified by the Board so as to enable the owner of the copyright or his legal heirs to claim such royalty at any time.

In the case of a work whose author is dead the Central Government may require the heirs or legal representatives or executors to publish the work within a prescribed period if it considers the work to be of public interest. The exercise of this power is without prejudice to the compulsory licence provisions as stated above. Where the work is not published within the period specified the Central Government may on an application from a person, permit the person to publish the work on payment of a royalty determined by the Copyright Board in the prescribed manner.

Compulsory licence for benefit of disabled—section 31B

Any person working for the benefit of persons with disability on a profit basis or for business may apply to the Copyright Board,

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in such form and manner and accompanied by such fee as may be prescribed, for a compulsory licence to publish any work in which copyright subsists for the benefit of such persons, in a case to which cl. (*zb*) of sub-sec. (1) of s. 52 does not apply and the Copyright Board shall dispose of such application as expeditiously as possible and endeavour shall be made to dispose of such application within a period of two months from the date of receipt of the application.

The Copyright Board may, on receipt of an application under sub-sec. (7), inquire, or direct such inquiry as it considers necessary to establish the credentials of the applicant and satisfy itself that the application has been made in good faith.

If the Copyright Board is satisfied, after giving to the owners of rights in the work a reasonable opportunity of being heard and after holding such inquiry as it may deem necessary, that a compulsory licence needs to be issued to make the work available to the disabled, it may direct the Registrar of Copyrights to grant to the applicant such a licence to publish the work.

Every compulsory licence issued under this section shall specify the means and format of publication, the period during which the compulsory licence may be exercised and, in the case of issue of copies, the number of copies that may be issued including the rate or royalty:

But where the Copyright Board has issued such a compulsory licence it may, on a further application and after giving reasonable opportunity to the owners of rights, extend the period of such compulsory licence and allow die issue of more copies as it may deem fit.

Statutory licence for cover versions—section 31C

Any person desirous of making a cover version, being a sound recording in respect of any literary, dramatic or musical work, where sound recordings that work have been made by or with the licence or consent of me owner of the right in the work, may do so subject to the provisions of this section:

Provided that such sound recordings shall be in the same medium as the last recording, unless the medium of me last recording is no longer in current commercial use.

The person making the sound recordings shall give prior notice of his intention to make the sound recordings in the

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manner as may be prescribed, and provide in advance copies of all covers or labels with which the sound recordings are to be sold, and pay in advance, to me owner of rights in each work royalties in respect of all copies to be made by him, at the rate fixed by the Copyright Board in this behalf

Provided mat such sound recordings shall not be sold or issued in any form of packaging or with any cover or label which is likely to mislead or confuse the public as to their identity, and in particular shall not contain the name or depict in any way any performer of an earlier sound recording of the same work or any cinematograph film in which such sound recording was incorporated and, further, shall state on the cover that it is a cover version made under this section.

The person making such sound recordings shall not make any alteration in the literary or musical work which has not been made previously by or with the consent of the owner of rights, or which is not technically necessary for the purpose of making the sound recordings:

Provided that such sound recordings shall not be made until the expiration of five calendar years after me end of the year in which the first sound recordings of the work was made.

One royalty in respect of such sound recordings shall be paid for a minimum of fifty thousand copies of each work during each calender year year in which copies of it are made:

Provided that the Copyright Board may, by general order, fix a lower minimum in respect of works in a particular language or dialect having regard to me potential circulation of such works.

The person making such sound recordings shall maintain such registers and books of account in respect thereof, including full details of existing stock as may be prescribed and shall allow the owner ofrights or he duty aumorisedagert or representative to inspect all records and books of account relating to such sound recording:

Provided that if on a complaint brought before the Copyright Board to the effect that the owner of rights has not been paid in full for any sound recordings purporting to be made in pursuance of this section, the Copyright Board is, *prima facie*, satisfied that the complaint is genuine, it may pass an order *ex parte* directing the person making the sound recording to cease from making further copies and, after holding such inquiry as it considers

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necessary, make such further order as it may deem fit, including an order for payment of royalty.

For the purposes of s. 31C "cover version" means a sound recording made in accordance with s. 31C.

Statutory licence for broadcasting of literary and musical works and sound recording —section 31D

Any broadcasting organisation desirous of communicating to the public by way of a broadcast or by way of performance of a literary or musical work and sound recording which has already been published may do so subject to the provisions of this section.

The broadcasting organisation shall give prior notice, in such manner as may be prescribed, of its intention to broadcast the work stating the duration and territorial coverage of the broadcast, and shall pay to the owner of rights in each work royalties in the manner and at the rate fixed by the Copyright Board.

The rates of royalty for radio broadcasting shall be different from television broadcasting and the Copyright Board shall fix separate rates for radio broadcasting and television broadcasting.

In fixing the manner and the rate of royalty under sub-section (2), the Copyright Board may require the broadcasting organisation to pay an advance to the owners of rights.

The names of the authors and the principal performers of the work shall, except in case of the broadcasting organisation communicating such work by way of performance, be announced with the broadcast.

No fresh alteration to any literary or musical work, which is not technically necessary for the purpose of broadcasting, other than shortening the work for convenience of broadcast, shall be made without the consent of the owners of rights.

The broadcasting organisation shall—

(a) maintain such records and books of account, and render to the owners of rights such reports and accounts; and

(b) allow the owner of rights or his duly authorised agent or representative to inspect all records and books of account relating to such broadcast,

in such manner as may be prescribed.

Nothing in s. 31D shall affect the operation of any licence issued or any agreement entered into before the commencement of the Copyright (Amendment) Act 2012.

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Licence to produce and publish translations of literary or dramatic work in any language—section 32

A licence to publish a translation of the work in any language may be obtained from the Copyright Board by an applicant in certain circumstances and under certain terms and conditions, after a period of seven years from the first publication of the work.

Works which are not Indian

Where the work is not an Indian work any person may apply to the Board for a licence to produce and publish a translation, in printed or analogous form of reproduction, of a literary or dramatic work, in any language in general use in India after a period of three years from the first publication of such work, if such translation is required for the purposes of teaching, scholarship or research.[1] But where such translation is in a language not in general use in any developed country.[2] the application for licence may be made after a period of one year from such publication. The licence granted in respect of non-Indian work will not extend to the export of copies of the translation outside India and every copy of such translation should contain a notice in the language to the effect that the copy is available for distribution only in India. However the export of copies of translation in a language other than English, French or Spanish may be effected by the Government to any country if such copies are sent to citizens of

1 'Purposes of research' does not include purposes of industrial research, or purposes of research by bodies corporate (not Government corporations) or other associations or body of persons for commercial purposes—Explanation (*c*) to s. 32.

"Purposes of teaching, research or scholarship" include (*i*) purposes of instructional activity at all levels in educational institutions including schools, colleges, universities and tutorial institutions; and (*ii*) purposes of all types of organised educational activity—Explanation (*d*) to s. 32.

2 "Developed country" means a country which is not developing country, see Explanation (*a*) to s. 32. "Developing country" means a country which is for the time being registered as such in conformity with the practice of the General Assembly of the United Nations—Explanation (*b*) to s. 32.

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India resident outside India or to any association of such citizens outside India or where such copies are meant for purposes of teaching, scholarship or research, and not for any other purpose. The export is possible only if it is permitted by the Government of the country to which it is exported.

The circumstances necessary for the grant of such a licence by the Copyright Board are the following: (see s. 32 for details).

(1) The application should be filed after a period of seven years, three years or one year, as the case may be, from the first publication of the work.

(2) A translation of the work in the language has not been published by the owner of the copyright or any person authorised by him within seven years, three years or one year, as the case may be, of the first publication of the work or if a translation has been so published, it has been out of print.

(3) The applicant had requested and had been denied authorisation by the owner of the copyright to produce and publish such translation, or the applicant after due diligence on his part unable to find the owner of the copyright.

(4) Where the owner of the copyright is not traceable the applicant had sent a copy of his request for such authorisation by registered air mail post to the publisher not less than two months before the application for the licence.

(5) A period of six months in the case of an application relating to a non-Indian work (for translation in a language in general use in India) and nine months in the case of an application relating to non-Indian work (translation in a language not in general use in any developed country) must have elapsed from the date of making the request or from the date of sending the copy as the case may be. It is also necessary that a translation of the work has not been published within the period of such six months or nine months as the case may be.

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(6) (*i*) In the case of the translation of a non-Indian work the name of the author and the title of the particular edition of the work proposed to be translated should be printed on all the copies of the translation.

(*ii*) Where the work is composed mainly of illustrations the provisions of s. 32A are also complied with.

(7) The applicant is competent to produce and publish a correct translation of the work and has the means to pay to the owner of the royalty fixed by the Board.

(8) The author has not withdrawn copies of the book from circulation.

Procedure

The application for licence to produce and publish translations must be made in the prescribed form. It shall state the retail price of the copy of the translation. The applicant should also deposit with the Registrar of Copyright the prescribed fee.

The Copyright Board, on receipt of an application may hold any prescribed enquiry. Thereafter it may grant to the applicant a non-exclusive licence on condition that the applicant pays to the owner royalties in respect of copies of the translation of the work sold to the public. The rate of royalty will be calculated by the Board in the prescribed manner.

Licence to broadcasting authorities—section 32(5) and (6)

In the case of a non-Indian work any broadcasting authority may apply to the Copyright Board for a licence to produce and publish the translation of (*a*) a work published in printed or analogous forms of reproduction; or (*b*) any text incorporated in audio-visual fixation prepared and published solely for the purpose of systematic instructional activities, for broadcasting such translations for teaching purposes or for the dissemination of the results of specialised, technical or scientific research to the experts in any particular field. The procedure to be followed is the same as that prescribed for Indian work with necessary modifications. A licence as above will not be granted unless: (*a*) the translation is made from a work lawfully acquired; (*b*) the broadcasting is made through the medium of sound and visual recordings; (*c*) such recording is made lawfully and exclusively made for the purpose of broadcasting in India by the

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applicant or any other broadcasting agency; and (*d*) the translation and the broadcasting of such translation are not used for any commercial purposes.

Licence to reproduce and publish works at a reasonable price—section 32A

The Copyright (Amendment) Act 1983 has introduced new provisions for issuing Compulsory Licences for reproduction of an edition of a literary, scientific or artistic work, (whether or not the work is Indian) where copies are not made available in India or have not been put on sale in India for a period of six months after the expiration of certain prescribed periods from the date of the first publication. The periods prescribed are: (*a*) seven years for works relating to fiction, poetry, drama, music or art; (*b*) three years for works relating to natural science, physical science, mathematics or technology; and (*c*) five years for any other work. The authority for granting the licence is the Copyright Board.

The following further conditions must be satisfied for the grant of a licence:

(1) Copies of the edition of the work are not made available in India or such copies have not been put on sale in India for a period of six months, to the general public, or in connection with systematic instructional activities at a price reasonably related to that normally charged in India for comparable works.

(2) The application for licence must be for reproduction and publication of the work in printed or analogous forms of reproduction at the price at which such edition is sold or at a lower price for the purpose of systematic instructional activities.

(3) The application must be made in the prescribed form and must state the proposed retail price of a copy of the work to be reproduced.

(4) The applicant along with the application should deposit the prescribed fee.

(5) Only a non-exclusive licence will be granted.

(6) The applicant should pay to the owner of the copyright in the work royalties in respect of copies sold to the

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public at the rate determined by the Copyright Board in the prescribed manner.

(7) The licence granted will not extend to the export of copies of the reproduction of the work outside India.

(8) Every copy reproduced should contain a notice that the copies are available for distribution only in India.

(9) The applicant must prove that he had requested and had been denied authorisation by the owner of the Copyright to reproduce and publish the work, or he was unable to find the owner.

(10) Where the applicant was unable to find the owner of the copyright he had sent a copy of his request for authorisation by registered air mail post to the publisher whose name appears from the work, not less than three months before the application for licence.

(11) The applicant is competent to reproduce and publish an accurate reproduction of the work and has the means to pay royalties.

(12) The applicant undertakes to reproduce and publish the work at a price fixed by the Copyright Board, being related to the price normally charged in India, for works of the same standard on the same or similar subjects.

(13) A reproduction of the work has not been published by the owner of the copyright within six months (in the case of work of natural science, physical science or technology) or three months (in the case of any other work) from the date of making the request to the owner of the copyright for authorisation, to reproduce and publish the work or sending a copy of the request to the publisher, as the case may be.

(14) The name of the author and title of the particular edition of the work proposed to be reproduced are printed on all the copies of the reproduction.

(15) The author has not withdrawn from circulation copies of the work, and

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(16) An opportunity of being heard is given, where practicable to the owner of the copyright in the work.

A licence to reproduce and publish the translation of a work under s. 32A will not be granted unless such translation has been published by the owner of the right of translation or a person authorised by him and the translation is not in a language in general use in India—s. 32A(5).

A licence may be granted under s. 32A for the reproduction and publication or translation into a language in general use in India, of any text incorporated in audio-visual fixations prepared and published solely for the purpose of systematic instructional activities—s. 32A(6).

Termination of licence granted under sections 32(1A) and 32A of non-Indian work—section 32B

Where the Copyright Board has granted a licence to any person to produce and publish a translation of a non-Indian work in any language under s. 32(1A); if at any time after granting the licence the owner of the work or a person authorised by him has published a translation of the work in the same language which is substantially the same in content at a price reasonably related to the price charged in India for the translation of works of the same standard on the same or similar subject the licence granted will be terminated. The termination will not take effect until after the expiry of three months from the date of service of a notice in the prescribed manner on the person holding the licence by the owner of the right of translation intimating the publication. The licence-holder will be permitted to sell or distribute copies of the translation produced before the termination of the licence takes effect until they are exhausted.

A licence granted by the Copyright Board under s. 32A to produce and publish the reproduction or translation of any work will be terminated if at any time after the granting of licence the owner of the right of reproduction sells or distributes copies of such work or its translation in the same language and which is substantially the same in content at a price reasonably related to the price normally charged in India for works of the same standard on similar subject. The termination will not take effect until after the expiry of three months from the date of service of a notice on the holder of the licence by the owner of the right

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of reproduction or translation intimating the sale and distribution of copies of the edition of the work. The licence holder can, however, continue to sell the copies already reproduced before the termination takes effect until such copies are exhausted.

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CHAPTER

38

Publication and Public

1 Meaning of 'Publication'

'Publication' has different meanings in different branches of law. For example, in the law of patents, it means the communication of information about an invention to any member of the public who is free in law and equity to use it as he pleases. Under the law of defamation it means communication of the defamatory matter to any person other than the person defamed. In copyright law it means making a work available to the public by issue of copies or by communicating the work to the public.

2 Statutory definition of publication—section 3

Section 3 of the Act defines the term 'Publication' in a general way as follows:

"For the purposes of this Act "publication" means making a work available to the public by issue of copies or by communicating the work to the public."

"Communication to the public" means making any work or performance available for being seen or heard or otherwise enjoyed by the public directly or by any means of display or diffusion other than by issuing physical copies of it, whether simultaneously or at places and times chosen individually, regardless of whether any member of the public actually sees, hears or otherwise enjoys the work or performance so made available.

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It is sufficient if the communication is made through satellite or cable or any other means of simultaneous communication to more than one household or place of residence including residential rooms of any hotel or hostel.

There are two ways of publishing a work:

(1) by issue of copies of the work, or
(2) by communicating the work to the public.

What is important is that the work should be made available to the public. It is not necessary that the public should avail themselves of the work either by buying or lending a copy of the work or by actually hearing or seeing the work communicated or otherwise enjoy the work made available.

In the case of literary, dramatic and musical work the work can be published in both ways. In respect of artistic work like painting, sculpture or engraving it is sufficient if it is displayed for public viewing in a museum or art gallery.

Computer programmes can be published only by issue of copies for sale or for hire.

In the case of a cinematograph film publication can be made by sale or hire or by offer of sale or hire of copies of the work or by communicating the work by diffusion.

3 Publish

'Publish' is to make public. This meaning, the words 'publish', 'publishing', 'publication' will always have. But the context will determine, for example, whether the words 'publish', 'publication' refer exclusively to a first publication or include subsequent publication. Similarly the context will determine what constitutes the 'public'.

The right to 'publish the work' conferred by Copyright can only mean making public in India what has not previously been published or made public there.

The film can be communicated by diffusion through television, satellite or cable, or any other means of simultaneous communication to more than one household or place of residence including residential rooms of any hotel or hostel.

In the case of sound recording publication means making the work available to the public by issue of copies or by communicating it to the public by broadcast through satellite or cable or any means of simultaneous communication to more than one household or place of residence including residential

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rooms of any hotel or hostel irrespective of whether any person actually hears or enjoys the work.

Publication in respect of a work of sculpture or a work of architecture can be effected only by constructing the work in a location or display the work in a location where it is accessible for public viewing. Issue of photographs or engraving or paintings or drawings of the work cannot constitute publication because they are not copies of the work.

Regarding a work of artistic craftsmanship publication can be made either by display of the work in a public place or by issue of copies of the work. In these cases since the objects are of three dimensions their photograph or engravings cannot be considered a copy of the work. Thus publication does not include issue of copies of photograph or engravings of the work.

4 Publication without licence

A work is not deemed to be published or performed in public, if published, or performed in public without the licence of the owner of the copyright. This does not, however, apply to infringement of a copyright.

5 Simultaneous publication in India and abroad

A work published in India is deemed to be first published in India. This is so even if it has been published simultaneously in some other country unless such other country provides a shorter term of copyright for such work. A work will be deemed to be published simultaneously in India and in another country if the time between the publication in the two countries does not exceed thirty days. The Central Government may determine another period in relation to any specified country. If any question arises as to whether a work has been published or as to the date on which it was published or whether the term of the copyright for any work is shorter in any other country than that provided under the Act, it must be referred to the Copyright Board whose decision will be final.

The date of publication is important for determining the term of copyright. If in the opinion of the Copyright Board, the issue of copies or communication to the public referred to in s. 3 was of an insignificant nature, it shall not be deemed to be publication for the purposes of that section. The Copyright Board has under s. 6 of the Act power to decide whether a work has been published or as to the date on which a work was published.

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6 Sale of copies and publication

Since the definition of publication refers only to issue of copies to the public, sale of copies is not essential for the purpose of publication. It is sufficient if the copies are made available to the public. Copies are issued to the public when the copies are exposed for sale, even though no member of the public received any copy until some while later.

A work is not deemed to be published or performed in public, if published or performed in public without the licence of the owner of the copyright. This does not apply to infringement of copyright.

7 First publication

The first publication of a work is important for determining the subsistence of copyright. Thus copyright subsists in any work only if the work is first published in India or where it is first published outside India the author was a citizen of India at the time of publication.

Sale of copies is not essential for the purpose of publication, issue of copies to the public would be sufficient. Thus it would appear that if copies of a book are issued to the public on hire by a circulating library that would constitute publication of the book. In the case of cinematograph film the sale or hire or offer for sale or hire of the film to the public is sufficient to establish publication.

8 Meaning of publication for infringement

Under the Indian law issue of copies for public distribution is publication. In an infringement by publication what matters is the issue of copies in India for purposes of infringement. Whether they have already been published in another country is of little consequence. While publication generally refers to issue to public, importation for the specified purpose may be a necessary step in the process of issuing to the public and, therefore, for publishing. Thus the exclusive right of a person to print, publish and sell certain work in India would extend to the exclusive right to import copies into India for the purpose of selling or by way of trade offering or exposing for sale. (see *Penguin Books v India Book Distributors* AIR 1985 Del 29 at 37. This decision made under s. 14(1)(*a*)(*ii*) of the Act before 1994 is applicable to the corresponding section under the Act after the Amendment Act 1994.

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9 Performing the work in public

The question whether a work is performed or a sound recording, film or television broadcast seen or heard in public is solely one of fact. In determining this question the following considerations and tests have been applied, namely; whether there has been admission of any portion of the public with or without payment to the injury of the author, i.e. to say, of the class of persons who would be likely to go to a performance if there was a performance at a public theatre for profit, or whether the performance was private or domestic, a matter of family and household concern only. Any performance which is not domestic or quasi-domestic will be regarded as in public even if only a few members of the public are present or that no charge for admission was made. Performance by teachers or pupils in schools are, in general, not performance in public. Performing a literary, dramatic or musical work in public without the consent or licence of the copyright owner of the work is an infringement of the Copyright in that work. The expression 'in public' or 'public' is not defined in the Act. The public must mean the 'general public' and that performance before a 'closed group' however large in numbers may not necessarily constitute performance in public.

The criteria for determining the issue are:

(1) the character of the audience and whether it can be described as a private or domestic audience consisting of family members of the household;

(2) whether the audience in relation to the owner of the copyright can be so considered; and

(3) whether permitting such performance would in any way whittle down the protection given to the author of a copyright work under the Copyright Act resulting in the owner being deprived of monetary gains out of his intellectual property.[1]

1 *Garware Plastics* v *Telelink* AIR 1989 Bom 331 at 336: It was held that showing a video film over a cable TV. Network to various subscribers amounts to broadcasting video films to the public. The entire audience taken together cannot be considered as members of a common household or as family members. They can only be viewed as a portion of the public. Decision affirmed by a D.B. in Appeal Nos. 165 and 179 of 1989 dated 4th June 1989. The D.B. held that showing a video film over a cable TV Network amounts to broadcasting video films to the public. See *Venkatesan* v *Deputy General Manager, Telecommunications* (1991) 1 LW 465 at 472.

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10 Performing work in public or communicating it to the public

Under the amended Act the word performance is defined only in relation to performer's rights. There is no general definition of 'Performance' applicable to a work as distinguished from performance by performers.

In respect of literary, dramatic and musical works one of the rights conferred is to perform the work in public. Such performance can only be by some persons concerned. Accordingly this can be considered against persons who perform the work in public without the consent of the owner of the copyright in the work.

Communicating the work to the public means making the work available to the public for being seen or heard directly or through satellite or cable or any other means of simultaneous communication to more than one household or place of residence including residential rooms of any hotel or hostel. Accordingly to perform the work or communicate the work for private use (non-commercial use) is not an infringement of the work.

11 Dish Antenna System

If the common TV and VCR owned by all persons concerned are used merely for receiving the image broadcast by the Doordarshan and if the common TV and VCR are in no way connected to the Dish Antenna there is no need to obtain a licence under the Indian Telegraph Act 1885 or the Indian Wireless Telegraph Act of 1933 or the Licensing of Wireless Receiving Apparatus Rules 1985 or the Indian Wireless Telegraphy (Possession) Rules 1965 or in the case of dealers the Commercial Broadcast Receiver Licensing (Dealers) Rules 1965. But once the common TV and VCR are connected to the Dish Antenna, the amplifier and the cable system, they lose the benefit of the above under rr. 2 and 3 and squarely fall under r. 4. Since the Dish Antenna is capable of receiving the waves transmitted by the satellite the common TV and VCR are to be deemed under r. 4, to be "wireless Telegraphy apparatus" for the purposes of the Indian Wireless Telegraphy Act 1933 (17 of 1933) because no person can work or possess or deal in such TV or VCR sets without a licence from the Central Government under r. 4 of the Indian Telegraph Act

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1965 or the Indian Wireless Telegraph Act 1933 or the Wireless Telegraphy (Possession) Rules 1965.[2]

An important factor is the character of the audience. The relationship of the audience to the owner of the copyright rather than the relationship of the audience to the performance is a primary consideration. If the audience is one which the owner of the copyright could fairly consider as part of his public, then the performance is in public.

12 Presence or absence of guests

The presence or absence of guests is not a decisive factor. The absence of an open invitation to the general public does not seem to be a reason in itself for holding that a performance is not in public. 'Public' in the sense of the Act means "a portion of the public" and that can be a very limited section of the public.

This question may be usefully approached by enquiring whether or not the act complained of as an infringement would, if done by the owner of the copyright himself, have been an exercise by him of the statutory right conferred upon him. In other words, the expression 'in public' must be considered in relation to the owner of the copyright. The question of what the words 'in public' means is to be examined primarily in the light of the relationship of the audience to the owner of the copyright and not in the light of the relationship of the audience to the performers.

In deciding whether the performance of the work is in public an important factor is the character of the audience. The relationship of the audience to the owner of the copyright rather than the relationship of the audience to the performers is a primary consideration. If the audience is one which the owner of the copyright could fairly consider as part of his public, then the performance is in public.

The antithesis of performing in public is performing in private. In a situation where a person organises a private party in his own home or in what might reasonably be deemed to be an extension of his own home, then it seems reasonable to assume that the unauthorised publication or use of the copyright work is not redounding to the financial advantage of the owner of the

2 *Ramkrishna Dish Antenna System* v *Dy. Supt. of Police* AIR 1989 AP 295 quoted in *Venkatesh* v *Dy. General Manager, Telecom* (1991)1 LW 465 at 473-474.

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copyright since the selected audience is not enjoying the work under conditions in which they would normally pay for the privilege in one form or another. A performance of the work in such circumstances would ordinarily be regarded as being in private.

It has been held that performance of music in a hotel lounge, or in a Club, where the owner of the Club derived profit from providing entertainment to its paid members; the performance of a play by a dramatic society at a meeting of a women's rural institute; playing gramophone records to industrial workers to increase their efficiency; and the playing of certain musical compositions in the premises of a small club (non-profit making) formed to promote social intercourse among the members were all performance in public and infringement of the copyright in the respective works.

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CHAPTER

39

Infringement of Copyright

1 General

The owner of a copyright work has the exclusive right to do certain acts in respect of the work. If any person does any of these acts without authority he will be committing an infringement of the copyright in the work. The nature of the rights depends upon the nature of the work. Reproduction of the work in any material form, performance of the work in public and communication of the work to the public in certain forms are the usual methods by which the copyright in any work is commercially exploited for profit. If any person without authority commercially exploits the work for profit he will be infringing the copyright. There are three types of remedies available against infringement of copyright; namely, civil, criminal and administrative. The copyright work can be used for certain specified purposes without committing an infringement.

Definition of infringement—section 51

Copyright in any work is deemed to be infringed,

(*a*) when any person without a licence from the owner of the copyright, or the Registrar of Copyright, or in contravention of the conditions of a licence granted or any condition imposed by a competent authority under the Act:

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(*i*) does anything, the exclusive right to do which is conferred upon the owner of the copyright, or

(*ii*) permits for profit any place to be used for the communication of the work to the public where such communication constitutes an infringement of the copyright in the work, unless he was not aware and had no reasonable ground for believing that such communication to the public would be an infringement of copyright, or

(*b*) where a person,

(*i*) makes for sale or hire, or sells or lets for hire or by way of trade displays or offers for sale or hire any infringing copies of the work, or

(*ii*) distributes, either for the purpose of trade or to such an extent as to affect prejudicially the owner of the copyright, any infringing copies of the work, or

(*iii*) exhibits to public by way of trade any infringing copies of the work, or

(*iv*) imports into India any infringing copies of the work except one copy of any work, for the private and domestic use of the importer.

The reproduction of a literary, dramatic, musical or artistic work in the form of a cinematograph film will be deemed to be an infringing copy.

As to what are the exclusive rights conferred on the owner of a copyright work, *see* Chapter 34.

In general it is the commercial exploitation of the work in any from by a person without authority that constitutes infringement.

Infringing copy—definition—section 2(m)

Infringing copy means:

(1) In relation to literary, dramatic, musical or artistic works, a reproduction thereof otherwise than in the form of a cinematograph film.

(2) In relation to a cinematograph film, a copy of the film or a record embodying the recording of any part of the sound track associated with the film.

(3) In relation to a sound recording, any such recording embodying the same sound recording; and

(4) In relation to a programme in which a broadcast reproduction right subsists under section 37, a sound recording of the programme.

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The import of one copy of any work for the private and domestic use of the importer is permitted.

What copyright protects

There is no copyright in ideas however original or brilliant or in information. What copyright protects is not the raw materials from which the work is created but the skill and labour employed by the author in the creation of the work. Any other person can produce substantially the same work using the same raw materials or even ideas without infringement if he does it originally without copying from the other work. In determining whether there is an infringement, where the subject-matter of the work is not original, the question is how far an unfair or undue use has been made of the work. If a person instead of obtaining the subject-matter from common sources avails himself of the labour of his predecessor, adopts his arrangements and quotations, or adopts them with a colourable variation it is an illegitimate use. In the case of works not original in the proper sense of the term, but composed of or prepared from materials which are open to all, the fact that one man has produced such a work does not take away from anyone else the right to produce another work of the same kind, and in doing so to use all the materials open to him. The true principle in all these cases is that a person is not at liberty to use or avail of the labour and skill of another for the purpose of producing his work. It has been said that "What is worth copying is worth protecting".

Essential ingredients of infringement

Depending upon the kind of copyright work, infringement involves one or more of the following acts:

(1) reproduction of the work in a material form,
(2) publication of the work,
(3) communication of the work to the public,
(4) performance of the work in public,
(5) making of adaptations and translations of the work and doing any of the above acts in relation to a substantial part of the work.

See Chapter 34 for the rights conferred on the copyright owner and the meaning of expressions like reproduction, publication, communication and so on.

Infringement of copyright cannot be avoided by a difference in dimensions or inexact reproductions if a substantial part of the work has been copied.

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In most cases there will be no direct evidence of copying. Copying can only be deduced by inference from all the surrounding circumstances. In the case of infringement of literary works the defendants' work containing the same errors as in the plaintiffs' work, similarity in language and idiosyncrasies in style may constitute some evidence of copying.

2 Propositions relating to infringement

The Supreme Court (*Anand* v *Delux Films* AIR 1978 SC 1613) after considering a number of English, Indian and American authorities have laid down the following propositions:

(1) There can be no copyright in an idea, subject-matter, themes, plots or historical or legendary facts, and violation of the copyright in such cases is confined to the form, manner and arrangement and expression of the idea by the author of the copyright work.

(2) Where the same idea is being developed in a different manner, it is manifest that the source being common, similarities are bound to occur. In such a case the Courts should determine whether or not the similarities are on fundamental or substantial aspects or the mode of expression adopted in the copyright work. If the defendants' work is nothing but a literal imitation of the copyrighted work with some variations here and there it would amount to violation of the copyright. In other words, in order to be actionable the copy must be substantial and material one which at once leads to the conclusion that the defendant is guilty of an act of piracy.

(3) One of the surest and safest test to determine whether or not there has been a violation of copyright is to see whether a spectator or the viewer after having read or seen both the works is clearly of the opinion and gets an unmistakable impression that the subsequent work appears to be a copy of the original.

(4) Where the theme is the same but is presented and treated differently so that the subsequent work becomes a completely new work, no question of violation of copyright arises.

(5) Where, however, apart from the similarities appearing in the two works there are also material and broad dissimilarities which negative the intention to copy the original and the coincidences appearing in the two works

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are clearly incidental, no infringement of the copyright comes into existence.

(6) As a violation of copyright amounts to an act of piracy it must be proved by clear and cogent evidence after applying the various tests laid down by the case law.

(7) Where the question is of the violation of the copyright of stage play by a film producer or a director the task of the plaintiff becomes more difficult to prove piracy. It is manifest that unlike a stage play a film has a much broader perspective, wider field and a bigger background where the defendants can by introducing a variety of incidents give a colour and complexion different from the manner in which the copyrighted work has expressed the idea. Even so if the viewer after seeing the film gets a totality of impression that the film is by and large a copy of the original play, violation of the copyright may be said to be proved.

Factors considered

In *Intellectual Property* by W.R. Cornish, 5th Ed., 2003, the author has considered various factors involved in the determination of infringement of copyright as follows: (paras 11.03–11.17)

(1) Copying
  - (*a*) causal connection
  - (*b*) subconscious copying
  - (*c*) indirect copying

(2) Substantial taking
  - (*i*) unaltered copying
  - (*ii*) extent of defendants' alteration
  - (*iii*) character of plaintiffs' and defendants' works
  - (*iv*) nature of plaintiffs' effort
  - (*v*) extent of plaintiffs' effort
  - (*vi*) manner in which defendant has taken advantage of plaintiffs' work
  - (*vii*) extent of interference with plaintiff's exploitation by defendant's acts
  - (*viii*) reproduction by the original author.

The general principle is that no infringement of the plaintiffs' rights takes place where a defendant has bestowed such mental

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labour upon what he has taken and has subjected it to such revision and alteration as to produce an original result. But the ultimate test is: "Has there been a reproduction in the defendant's work of a substantial part of the plaintiffs' work." (See *Glyn* v *Weston* [1916]1 Ch 261 at 268 quoted in *Williamson* v *Pearson* [1987] FSR 97 at 104, 106).

To establish infringement it must be shown that the alleged infringing work closely resembles the original work and that use has been made directly or indirectly of the original work.

The question of infringement may be resolved by comparing the two works as a whole, and determining whether there is not merely an identity or a similarity or resemblance in some of the leading features or in certain of the details, but whether, keeping in view the idea and general effect created by the original, there is such a degree of identity or similarity as would lead one to say that the alleged infringement is a copy or reproduction of the original. Additions, omissions and modifications do not avoid infringement of copyright. Reproduction for the purpose of copyright includes colourable imitation. It has been said that "what is worth copying is what is worth protecting".

It is not an essential ingredient of infringement that the infringer had an intention to infringe. But some form of copying is required, direct, indirect or even subconscious. Subconscious copying generally occurs in music and perhaps poetry.

Plagiarism is not considered infringement of copyright. Thus if a film producer makes use of ideas, themes and incidents copied from other films he cannot be sued for infringement.

If the similarity between the works is solely due to coincidence, for example, photographs of an object taken by two persons from the same position and angle there is no infringement.

There is no infringement if what a person has taken is only the essential idea of the work, even if it is highly original provided he has given expression to that idea in his own way.

In order to succeed in an action for infringement the plaintiff has to establish: (1) that there is a close similarity between the two works, (2) that the defendant has directly or indirectly made an unlawful use of the plaintiffs' work, (3) that there is a chain of causation linking the plaintiffs' copyright work with the defendants' alleged infringing copy, and (4) the defendant had access to the plaintiff's work or an infringing copy of the work.

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Causal connection

There must be some causal connection between the original work and the alleged infringing copy apart from a sufficient degree of objective similarity between the two works. Where there is a substantial degree of objective similarity this will afford *prima facie* evidence of causal connection.

Indirect copying—copying from intermediate copy

A work may be copied by copying a copy to it. Copying of a three dimensional version of a two dimensional drawing establishes causal connection. Similarly a novel may be converted into a play. If another person converts the play into a ballet, it would constitute infringement of the novel. The presence of errors and idiosyncrasies of the original in the copy may be evidence of copying. It is an infringement of copyright to produce a work similar to a copyright work, although the defendant has never seen the plaintiffs' work but has copied an intermediate copy which he was entitled to copy. If an English book is translated into German, and someone without knowing of the English book, retranslated into English, that would be an infringement of the copyright in the original English book. The fact that the defendant acted innocently is no defence, for copyright is a proprietary right, and, if it is invaded the element of motive or intention on the part of the defendant is wholly irrelevant.

Reproduction and copying

Reproduction means, reproducing the original exactly or copying a substantial part of the original work and does not include cases where an author or compiler produces a substantially similar result by independent work without copying. A copy is that which comes so near to the original as to suggest that original to the mind of every person seeing it.

Whether or not a part is substantial must be decided by its quality rather than its quantity. The reproduction of a part which by itself has no originality will not normally be a substantial part of the copyright and therefore will not be protected. It is a question of fact and degree in each case whether the part taken is significant enough to count as substantial. In cases of alleged infringement it is material to consider those features of the work alleged to have been copied which can be said to be salient or principal features. An artistic work may be so novel in its concept or its manner of execution that the fact that an artistic work by another bears a strong resemblance to it may raise a strong inference that

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the latter work was at least to some extent copied from the former. Where the plaintiffs' labour, skill and judgment has been only minimal, exact imitation of features of individuality will be necessary to establish infringement.

The expression colourable imitation used in the Copyright Act 1914 no longer appears in the present Act. However, reproduction for the purpose of copyright embraces colourable imitation.

Bootlegging

Unauthorised recording of live performance is called bootlegging. The Copyright Act does not provide a remedy against bootlegging since there is no copyright in a live performance. However the present Act provides certain special rights to performers called performer's right to prevent bootlegging. See Chapter 35 for details.

Adaptation of original work

In the case of literary, dramatic, musical or artistic work in which copyright subsists, to make any adaptation of the work without the consent of the owner of the copyright amounts to an infringement.

Importation of infringing copies

Importation of infringing copies into India is an act of infringement. But importing one copy of the work for the private and domestic use of the importer is allowed. This exception does not apply to import of cinematograph film or records. Thus importing even a single copy of a video cassette or a musical record or cassette is an infringement of the copyright in the work.

Importation into India of copies of books lawfully published in a foreign country for the purpose of trade will constitute infringement. Importation of infringing copies into India for transit across the country is also an infringement.

3 Authorisation of infringement

There is no express provision under the Copyright Act 1957 to the effect that a person who authorises another to carry out an infringement is himself an infringer. However under s. 14 "to authorise the doing of any of the acts" referred to therein is itself one of the rights of the copyright owner. Accordingly a person who authorises another to commit infringement himself commits an infringement.

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"'Authorisation' means sanction, approval or countenance". It can also mean permit. Any one who sanctions, approves or countenance an infringement may be liable. Even indirect permission or countenancing of infringement would be sufficient to constitute authorising. The tort of authorising a breach of copyright is not complete until the breach which has been authorised has been committed.

Sale of Instruments for copying

A person who supplies machines (e.g. cassette recorder) which can be used by the purchaser for infringing sound recording or tape cannot be said to authorise acts of infringement.

Organisers of public entertainments

If public entertainments are organised by hiring musicians as independent contractors the organisers may be deemed to be authorising or permitting infringement if they leave the choice of music to the musicians. They should either obtain an appropriate licence or require the musicians to obtain the same. Where the defendant is only the owner of the hall and not the organiser of the entertainment, he may not be held to have authorised infringement if he was simply "indifferent", to the choice of music. Under the U.K. law the occupier of premises who provides receiving equipments for broadcasts or diffusion or apparatus for playing records is treated as causing the subject-matter to be heard or seen in public and thus infringing the copyright in the records.

A dealer who has placed orders with a manufacturer for the supply of a quantity of a particular article which was manufactured and supplied to him, has authorised their manufacture and accordingly authorised infringement of copyright in the drawings of the article.

Incitement of others to infringe copyright

An incitement, as in the case of sale and advertisement of audio systems capable of copying prerecorded cassettes, addressed merely to the world at large would not entitle any copyright owner to bring civil proceedings against the incitor in respect of the activities of any member of the public who had infringed his copyright in response to such incitement.

4 Acts not constituting infringements—statutory exceptions

The Copyright Act provides certain exceptions to infringement. The object of these exceptions is to enable the reproduction of

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the work for certain public purposes for encouragement of private study and research and promotion of education. They provide defences in an action for infringement of copyright.

Section 52 gives a long list of acts which do not constitute infringement of copyright. They are briefly stated as follows:

(1) A fair dealing with any work, not being a computer programme, for the purposes of private or personal use including research, criticism or review, making copies of computer programme for certain purposes, reporting of current events and current affairs, including the reporting of a lecture delivered in public.

The storing of any work in any electronic medium for the purposes mentioned in this clause, including the incidental storage of any computer programme which is not itself an infringing copy for the said purposes, shall not constitute infringement of copyright.

(2) Reproduction for judicial proceedings and reports thereof, reproduction exclusively for the use of members of legislature, reproduction (artistic work excluded) in a certified copy made or supplied in accordance with law.

(3) Reading or recitation in public of extracts (literary or dramatic work).

(4) Publication in a collection for the use of educational institutions in certain circumstances.

(5) Reproduction by teacher or pupil in the course of instructions or in question papers.

(6) Performance in the course of the activities of educational institutions in certain circumstances.

(7) The making of sound recording under certain circumstances subject to certain conditions.

(8) The causing of a sound recording to be heard in public by utilising it in an enclosed room or in clubs in certain circumstances.

(9) Performance in an amateur club given to a non-paying audience or for religious institutions.

(10) Reproduction in newspaper and magazine of an article on current economic, political, social or religious topics in certain circumstances.

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(11) Publication in newspapers or magazines a report of a lecture delivered in public.

(12) Making a maximum of 3 copies for the use of a public library.

(13) Reproduction of unpublished work kept in a museum or library for the purpose of study or research.

(14) Reproduction or publication of any matter published in official Gazette or reports of Government commission or other bodies appointed by Government.

(15) Reproduction of any judgment or order of court, tribunal or other judicial authority not prohibited from publication.

(16) Production or publication of a translation of Acts of Legislature or rules.

(17) Making or publishing of a painting, drawing or photographs of a work of architecture.

(18) Making or publishing of a painting, drawings or photographs or engraving of sculpture or other artistic work permanently situate in a public place.

(19) Inclusion in a cinematograph film of any artistic work permanently situate in a public place and other artistic work by way of background or incidental to the principal matter represented in the film.

Computer programme—section 52(1)(aa)—section 52(1)(ad)–section 52(1)(b)

In respect of computer programme the following acts do not constitute infringement:

The making of copies or adaptation of a computer programme by the lawful possessor of a copy of such computer programme from such copy—

(*i*) in order to utilise the computer programme for the purpose for which it was supplied; or

(*ii*) to make back-up copies purely as a temporary protection against loss, destruction or damage in order only to utilise the computer programme for the purpose for which it was supplied; or

(*iii*) the doing of any act necessary to obtain information essential for operating inter-operability of an independently created computer programme provided that such information is not otherwise readily available; or

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(*iv*) the observation, study on test of functioning of the computer programme in order to determine the ideas and principles which underline any elements of the programme while performing such acts necessary for the functions for which the computer programme was supplied; or

(*v*) the making of copies or adaptation of the computer programme from a personally legally obtained copy for non-commercial personal use; or

(*vi*) the transient or incidental storage in technical process of electronic transmission or communication to the public.

The definition of literary work include a computer programme. In s. 52(1) the term 'literary work' occurs in various clauses, but computer programme is excluded only from s. 52(1)(*a*). It would therefore appear that whenever the term literary work appears in s. 52 except cl. (*a*) it should be interpreted as including computer programme.

The exceptions to infringements listed in s. 52(1) apply also to the doing of any act in relation to the translation of a literary, dramatic or musical work or the adaptation of such work as they apply in relation to the work itself.

The nature of the exceptions vary according to the nature of the work. These are, therefore, dealt with separately for different categories of works.

Fair dealing

Section 52(1) provides that a fair dealing with any work for the following purposes does not constitute infringement:

(*i*) private or personal use, including research,

(*ii*) criticism or review, whether of that work or of any other work,

(*iii*) reporting of current events and current affairs including the reporting of a lecture delivered in public.

The Explanation to the section stipulates that the storing of any work in any electronic medium for the purposes mentioned in cl. (*a*) of s. 52(1), including the incidental storage of any computer programme which is not itself an infringing copy for the said purposes, shall not constitute infringement of copyright. In the case of item (*ii*) and (*iii*) the criticism or review or newspaper reporting must be accompanied by an acknowledgment identifying the work by its title or other description and identifying

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the author unless the work is anonymous, or the author of the work has previously agreed or required that no acknowledgment of his name should be made.

Further the above provisions also apply to the translation of a literary, dramatic or musical work or the adaptation of a literary, dramatic musical or artistic work as they apply in relation to the work itself.

In an action for infringement of copyright if the defendant pleads fair dealing interlocutory injunction may not be granted. (*Hubbard* v *Vosper* [1972]1 All ER 1023 (CA)).

Illustrations

Publication of a collection of examination question papers with answers for the private study of students would not be fair dealing of the examination papers and would constitute infringement of its copyright, *University of London Press* v *University Tutorial Press* [1916]2 Ch 601 at 613; Publication of confidential information leaked by third party cannot constitute fair dealing for the purpose of criticism or review, *Beloff* v *Pressdram* [1973]1 All ER 241.

5 Infringement of literary, dramatic or musical works

Statutory definition—section 51 read with section 14(a)

If a person without the consent or licence of the owner of the copyright does or authorise the doing of any of the following acts, he will be guilty of infringement of the copyright in the work.

(1) to reproduce the work in any material form including the storing of it in any medium by electronic means;
(2) to issue copies of the work to the public not being copies already in circulation;
(3) to perform the work in public or communicating it to the public;
(4) to make any cinematograph film or sound recording in respect of the work;
(5) to make any translation of the work;
(6) to make any adaptation of the work;
(7) to do in relation to a translation or an adaptation of the work, any of the acts specified in relation to the work in cls. (1) to (6);
(8) to permit for profit any place to be used for the communication of the work to the public where such

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communication constitutes an infringement of the copyright in the work, unless he was not aware and had no reasonable ground for believing that such communication to the public would be an infringement of the copyright;

(9) to make infringing copies of the work for sale or for hire or sells or lets for hire or display or offers for sale or hire infringing copies or;

(10) to distribute infringing copies either for the purpose of trade or to such an extent as to effect prejudicially the owner of the copyright;

(11) to exhibit infringing copies by way of trade to the public;

(12) to import into India infringing copies. However the import of one copy of the work for the private and domestic use of the importer is permitted.

(13) In respect of a computer programme which is a form of literary work;

(*i*) to do any of the acts specified above and

(*ii*) to sell or give on hire, or offer for sale or hire, any copy of the computer programme, regardless of whether such copy has been sold or given on hire on earlier occasions.

Infringing copy means reproduction of the work made or imported in contravention of the provisions of the Act s. 2(*m*). The reproduction of the work in the form of a cinematograph film is deemed to be an infringing copy—Explanation to s. 51.

"Literary work" includes computer programmes, tables and compilations including computer databases. See s. 2(*o*).

"Dramatic work" includes any piece of recitation choreographic work or entertainment in dumb show, the scenic arrangement or acting form of which is fixed in writing or otherwise, but does not include a cinematograph film. See s. 2(*h*).

"Musical work" means a work consisting of music and includes any graphical notation of such work but does not include any word or any action intended to be sung, spoken or performed with the music. See s. 2(*p*).

"Computer" includes any electronic or similar device having information processing capabilities. See s. 2(*ffb*).

"Computer programme" means a set of instructions expressed in words, codes, schemes or in any other form, including a

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machine, readable medium, of causing a computer to perform a particular task or achieve a particular result. See s. 2(*ffc*).

The rights conferred by s. 14(*a*) must be interpreted consistent with the above definitions.

Storing the work in any medium by electronic means would include storing the work by recording it on magnetic tape, in the form of cassettes, or compact disc or in a computer database. Storing by recording is more appropriate for dramatic and musical work. Literary works can be stored in a computer database.

Perform the work in public, in the case of literary work, is possible only by recitation. It is more appropriate for dramatic and musical works. In the alternative, literary, dramatic, musical work can be communicated to the public by diffusion or through satellite or cable. See s. 2(*ff*).

There must be substantial copying of the work. In deciding whether copying is substantial there are four principal matters to be taken into account, namely: first the volume of the material taken bearing in mind that quality is more important than quantity, secondly, how much of this material is the subject-matter of copyright and how much is not, thirdly, whether there has been any intention on the part of the defendant to take for the purpose of saving himself labour, fourthly, the extent to which the plaintiffs' and defendants' works are competing works.

Since there is no copyright in ideas a film based on an idea derived from another copyright work such as a film or a book, but not using the characters or dramatic incidents of that other work, is not an infringement of the copyright in that work.

Commentaries on Acts

Copyright subsists in commentaries on Acts. If whole passages or actual words in a number of instances have been taken it may amount to infringement. There is no copyright in judgments and Select Committee Reports. If the author has bestowed skill, labour in selecting the passages and quotations there will be infringement if the same selections are copied slavishly by another author, including the errors. If similarity between the two works is not due to coincidence or copying from non-copyright matter, and is substantial, and not inane, common and inevitable, it would be a case of infringement but not otherwise.

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Language copying

If the language of one work is copied in a number of instances it may be considered an infringement.

Unconscious copying

Unconscious or subconscious copying may constitute infringement. This happens when a person who has heard a song and afterwards forgets about it, and after some years composes a song believing to be his own but which resembles the song which he has once heard.

Reproduction

What is relevant to consider to constitute reproduction has been stated as follows:

(1) There must be a sufficient degree of similarity between the two works and some causal connection between the plaintiffs' and the defendants' work.

(2) It is quite irrelevant to inquire whether the defendant was or was not consciously aware of such causal connection.

(3) Where there is a substantial degree of objective similarity this will afford *prima facie* evidence of causal connection between the two works.

(4) The defendants' denial of conscious copying may provide some evidence to rebut the inference to causal connection but it is not conclusive.

Where there is a parody or burlesque, the test to be applied is whether the writer has bestowed such mental labour upon the material taken and had subjected it to such revision and alteration as to produce an original work.

Exceptions to infringements

The following acts in respect of a literary, dramatic, musical or artistic work are permitted without infringing the copyright.

Fair dealing

A fair dealing of the work is permitted for research, private study, criticism or review or for reporting current events in a newspaper or periodical or broadcast or in a cinematograph film or in a photograph. How much of the reproduction may be considered as fair will depend upon the circumstances of the case. In the case of artistic work fair dealing will involve two dimensional reproduction of the work or miniature models of the work.

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Fair dealing is a question of fact and impression. The court will take into consideration: (1) the quantum and value of the matter taken in relation to the comments or criticism, (2) the purpose for which it is taken, (3) whether the work is published or unpublished, circulated (if unpublished), and (4) the likelihood of competition between the two works. To take long extracts and attach short comments may be unfair. But, short extracts and long comments may be fair. If an author produced a book of questions for the use of students another person cannot with impunity republish the book with the answers to the questions on the plea of fair dealing. If the extracts taken are used as a basis for comment, criticism or review, that may be fair dealing. If they are used to convey the same information as the author, for a rival purpose, they may be unfair.

The publication of the whole of the work cannot be justified on the ground that it was required for research or private study. A student of music may however copy the whole of a musical work for the purpose of research and private study. In the case of a painting, drawing or other artistic work in two dimensions the whole of the work may be reproduced for the purpose of criticism. Study notes containing substantial reproduction of the original works which were intended as supplementary aid for students, have been held to be not fair dealing.

Although home taping is an infringement of copyright it is well nigh impossible to prevent it.

Reproduction—section 52

Reproduction of a part or whole of the work is permitted for the following purposes:

(*a*) in judicial proceedings or in a report thereof,

(*b*) for the exclusive use of the members of a legislature (State or Central),

(*c*) in a certified copy made or supplied in accordance with any law (artistic work excluded),

(*d*) for teaching or examination purposes,

(*e*) for use in a newspaper, magazine or periodical of an article of current economic political, social or religious topics unless the author has expressly reserved the right to himself,

(*f*) for use of public libraries (not more than three copies) where the work is not available in India,

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(g) reproduction of an unpublished work kept in a library subject to certain conditions,

(h) reproduction or publication of certain Government publications, e.g.:

(i) any matter published in any official gazette, except Acts of a legislature,

(ii) Acts of a legislature accompanied by Commentaries,

(iii) reports of Committees appointed by Government if there is no prohibition,

(iv) judgments or orders of any judicial authorities unless prohibited,

(v) production or publication of any translation of Acts of a legislature if such translations have not already been published or not available,

(vi) publication in a newspaper or magazine of a report of a lecture delivered in public,

(vii) inclusion of short passages of any work in a collection of non-copyright matter meant for educational institutions subject to certain conditions.

Performance

Performance of a work or a film or record by the staff of educational institutions subject to certain conditions or performance of the work by amateur club or society before a non-paying audience or for the benefit of religious institution, does not constitute infringement.

Sound recording

(a) making of sound recordings in respect of a work is permitted under certain circumstances on payment of royalty, and

(b) playing of sound recording in residential premises or in a club not for profit is also permitted.

The exhibition of a cinematograph film in which a literary, dramatic or musical work is recorded or reproduced after the expiry of the term of the copyright in the film is not an infringement of the copyright in the work recorded.

In cases where use of the work is permitted an acknowledgment of the work should be made giving particulars of the author.

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6 Musical work—special features

The acts constituting infringement of a musical work are the same as those for literary and dramatic works. The definition of adaptation however, differs. Adaptation of a musical work means any arrangement or transcription of the work.

Infringement of a musical work is not to be determined by a note for note comparison but should be determined by the ear as well as by the eye. The question whether the defendant has copied the plaintiffs' work depends to a large extent on the judge's own impression and on expert evidence. The defendant may make use of the plaintiff's work, but if he has not copied a substantial part of the plaintiffs' work or if he has altered it substantially it may not constitute infringement.

Performance in public

If the performance is domestic or quasi-domestic it is not in public. The character of the audience will determine whether the performance is given in public or in private. The performance may be given by means of a radio, loudspeaker or by means of gramophone records or by the diffusion of broadcast programme.

Broadcasting authorities should obtain a licence from the Copyright owners for broadcasting the work since communication to the public by broadcast constitutes infringement of Copyright.

When considering the infringement of a musical copyright by performance in public it is important to consider whether a particular performance is calculated to whittle down the monopoly conferred by legislature to any substantial extent. What the defendants does must interfere with the authors' proprietary rights and cause him injury. Profit is a very important element. It must be considered whether there has been admission of any important portion of the public with or without payment. Any portion of the public means the public who would go either with or without payment, the class of persons who would be likely to go to a performance if there was a performance at a public theatre for profit.

Programmes of music and gramophone records played at a Factory using loudspeaker for the benefit of the workers (strangers not allowed) and playing of records over loudspeaker more or less continuously in a record shop to increase the shop

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owner's profit have been held performances in public. If a person by means of an installation, makes audible the performance in a private place to a larger number of persons than the domestic circle, that is an infringement of the copyright in the programme by performing the work in public. To connect up and tune a wireless receiving set in public is performance in public.

It is not sufficient to show that the defendants' tune as recorded is identical to the printed record of music of the plaintiffs; they have to show that in producing their record the defendants had made direct or indirect use of the plaintiffs' printed record of it. The chain of causation must be established.

Authorisation

Dealers in musical records may have a record lending library, the subscribers to the scheme paying a subscription and a borrowing fee. The subscribers may use the hired records for home taping. It has been held that such activities of a dealer did not amount to authorising infringement of copyright. The defendants had at the request of the plaintiffs displayed warning notices and attached stickers to the records regarding the copyright position.

Acts not constituting infringement

The statutory exceptions to infringement of copyright in a musical work are:

(*a*) Fair dealing for research or private study, criticism or review, reporting current events in newspaper/ magazine or by broadcast or in a cinematograph film.

(*b*) Reproduction for judicial proceedings or for the exclusive use of members of a legislature, in a certified copy, for educational purposes including as part of question papers or answers to such questions, on of an unpublished work kept in a library for research and private study.

(*c*) performance in the course of activities of an educational institution, by an amateur club or society for a non-paying audience or for the benefit of a religious institution.

(*d*) Making of records on payment of royalty if the work had previously been recorded.

(*e*) Exhibition of the film in which the work has been recorded after the expiry of the term of copyright in the film.

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In all cases where reproduction of the work is permitted the reproduction should be accompanied by an acknowledgment as prescribed.

7 Infringement of artistic works—section 51 read with section 14(c)

In respect of an artistic work infringement of the copyright consists in doing or authorising the doing of any of the following acts without the consent or licence of the copyright owner:

(*i*) reproducing the work in any material form, including the depiction in three dimension of a two dimensional work or in two dimensions of a three dimensional work,

(*ii*) communicating the work to the public,

(*iii*) issuing copies of the work to the public not being copies already in circulation,

(*iv*) including the work in a cinematographic film,

(*v*) making any adaptation of the work,

(*vi*) in relation to an adaptation of the work any of the acts referred to above,

(*vii*) making for sale or hire, or selling or letting for hire, offering for sale etc., infringing copies of the work,

(*viii*) distributing, exhibiting in public for trade, infringing copies of the work,

(*ix*) importing infringing copies of the work except one copy for private use.

Artistic work means painting, sculpture, drawing, diagram, map, chart, plan, engraving, photograph, an architectural work of art and other work of artistic craftsmanship. Infringing copy means a reproduction of the work made or imported without the consent or licence of the copyright owner.

"Reproduction in any material form" includes a three dimensional representation of the work in two dimensional form and *vice-versa*. Reproduction copied from a reproduction in material form derived directly or indirectly from the original work is an infringement of the original artistic work.

In order to constitute infringement, a substantial part of the plaintiffs' work must have been taken and the defendant must have made use of the plaintiffs' work. What is substantial may depend upon how important that part, is to the recognition and appreciation of the artistic work. It is relevant to consider whether the feeling and artistic character have been taken.

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Infringement of painting or a picture can be detected by a close comparison of the two works to see whether minute details in the original work have been reproduced in the alleged infringing copy.

If a painter uses a copyright photograph only as a source of inspiration or for reference purposes only there may be no infringement. If, however, the ultimate painting is a copy of the photograph, there would be infringement, especially if the photograph is an original one.

If a person gets his photograph taken by a photographer on payment the copyright in the photograph belongs to the person. Accordingly the publication of the photograph or its exhibition at any place including the photographic shop window constitutes infringement of that copyright.

Industrial drawings

Copyright subsists in any original drawing including industrial drawings on the basis of which machines or parts of machines are made. Apart from the reproduction of such drawings which obviously constitute infringement, the three dimensional representation of such drawing which is a reproduction of the original drawing in a material form will also constitute infringement. Where there is copyright in the drawing of an article, copying of the article made in accordance with that drawing is indirect copying of the drawing and constitutes infringement of the copyright. Infringement may be committed by what is called 'reverse engineering'. One can dismantle a machine, make sketches and drawings of the various parts and then make the machines from such drawings. This act is an infringement of the copyright in the drawings from which the machine was originally produced.

When a person purchases a machine he has an implied licence to repair the machine and for that purpose to manufacture by himself or through others spare parts by the process of reverse engineering without infringement of the original drawings.

There is controversy as to whether any person can reproduce the drawings in a patent specification after the expiry of the patent and whether the patentee may be deemed to have abandoned his copyright in the patent drawings after the expiry of the patent. It would appear that since the rights conferred under the Patents Act and the Copyright Act are distinct there is no basis for inferring that by taking out a patent for the product the patentee has abandoned his copyright in the drawings forming part of the

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specification. In fact it may so happen that the owner of the patent may not be the owner of the Copyright in the drawings.

Where a garment is made by copying another garment made from some drawings it is an infringement of the copyright in the drawings although the copier may not have seen the drawings and no copyright is claimed in the garment originally made from the drawing.

Work of architecture

Construction of a building or structure in accordance with drawings and plans in which copyright subsists is an infringement of the copyright in the drawings and plans.

Restriction on remedies in the case of works of architecture

Where the construction of a building or structure infringes or would infringe the copyright in some other work has commenced, the owner of the copyright shall not be entitled to obtain an injunction or order of its demolition.

Sculpture or any other work of artistic craftsmanship

The making or publishing of a painting, drawing, engraving or photograph of a sculpture or any other work of artistic craftsmanship permanently situate in a public place to which the public has access is not an infringement of the copyright in the work. If an article is copied from a prototype which is a work of artistic craftsmanship then a person making the same article copying from the finished article infringes copyright in the prototype even though he has not seen the prototype which in itself may no longer be in existence.

Acts not constituting infringement of artistic works

The following acts do not constitute infringement of copyright in an artistic work:

(a) Fair dealing for the purpose of research or private study, criticism or review, reporting current events, in a newspaper or periodical, or by broadcast or in a cinematograph film by means of photographs.

(b) Reproduction for the purpose of judicial proceedings or any report thereof, in any work prepared for the exclusive use of members of any legislature, by a teacher or a student in the course of instruction, or as part of question papers or in answers to such questions, the making or publishing of painting, drawing, engraving

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or photograph of a work of architecture, the making or publishing of a painting, drawing, engraving or photograph of a sculpture or other work of artistic craftsmanship permanently situated in a public place, inclusion in a cinematograph film of any artistic work situated in a public place, or any other artistic work by way of background or incidental to the principal matters in the film.

(*d*) Use of architectural drawings for reconstruction of a building or structure originally constructed in accordance with such drawings with the consent or licence of the copyright owner.

(*e*) Use by the author of any mould, cast, sketch, plan, model or study made by him for the purpose of any work although the copyright of which is not owned by him.

8 Infringement of cinematograph films—section 51 read with section 14(d)

Definition of Infringement

In respect of a cinematograph film infringement consists in doing or authorising the doing of the following acts without the licence of the owner of the copyright in the film.

(1) to make a copy of the film, including a photograph of any image forming part thereof;

(2) to sell or give on hire or offer for sale or hire, any copy of the film, regardless of whether, such copy has been sold, or given on hire on earlier occasions;

(3) to communicate the film to the public;

"Communication to the public" means making the film available to the public for being seen or heard or otherwise enjoyed by the public directly or by any means of display or diffusion and regardless of whether any member of the public actually sees, or hears or otherwise enjoys the film so made available. The communication may be made through satellite or cable or any other means of simultaneous communication to more than one household or place of residence including residential rooms of the hotel or hostel—s. 2(*ff*).

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(4) to permit for profit any place to be used for the communication of the work to the public where such communication constitutes an infringement of the copyright in the film, unless he was not aware and had no reasonable grounds for believing that such communication to the public would be an infringement of copyright;

(5) to make an infringing copy of the film for sale or hire or to sell or let for hire or by way of trade display or offer for sale or hire an infringing copy;

(6) to distribute infringing copies either for the purpose of trade or to such an extent as to affect prejudicially the owner of the copyright;

(7) to exhibit infringing copies in public by way of trade;

(8) to import into India any infringing copies of the work. However, the import of one copy of the film for the private and domestic use of the importer is permitted.

'Infringing copy means a copy of the film made on any medium by any means—s. 2(*m*)(*ii*), if such copy is made contrary to the provisions of the Act.

"Cinematograph film' means any work of visual recording on any medium produced through a process from which a moving image may be produced by any means and includes a sound recording accompanying such visual recording and "cinematograph" shall be construed as including any work produced by any process analogous to cinematography including video films—s. 2(*f*) as amended by the 1994 Act.

For the meaning of public, *see* Chapter 38.

Playing a video tape in public would constitute infringement of the film.

There is no exception to infringement of a cinematograph film as in the case of literary, etc., works.

A cinematograph film except in the case of live performance like sporting events or other public events or natural events, etc., is ordinarily based on some literary, dramatic, musical or artistic work in which copyright may subsist. Hence the producer of a film must obtain licence from the copyright owners of such work because making a cinematograph film in respect of such work is the exclusive right of the copyright owner of the work. After the term of the copyright in the film (i.e. 60 years from the

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year of publication) has expired exhibition of the film is permitted even though the copyright in the literary, etc., work on which it is based has not expired.

If a cinematograph film is based on a copyrighted literary, etc., work without a licence from the owner of the copyright in that work, it is an infringement of the original work. Such a film will not be entitled to copyright.

The question whether a cinematograph film is an infringement of the copyright in another film depends upon the circumstances. Much will depend upon whether the plot, story and characters are taken from a copyrighted work or from the public domain, the extent of the similarity and whether the labour and effort bestowed upon one film been appropriated by the producer of another film.

The owner of the copyright in a dramatic work has the exclusive right to make any cinematograph film or a sound recording in respect of an adaptation of the work. A clever film producer may take the central ideas from the work and make such alterations in the scenario, story, plot and incidents in making the film so as not to infringe the copyright. The case of *Anand* v *Delux Films* AIR 1978 SC 1613, is an excellent illustration of the difficulties involved in establishing that a cinematograph film is an infringement of a dramatic work. Reprinting individual pictures from the film as still pictures are infringement of the copyright in the film.

9 Infringement of copyright in sound recording—section 51 read with section 14(e)

Definition of infringement

In the case of a sound recording the doing or authorising the doing of any of the following acts by utilising the sound recording without the consent or licence of the copyright owner constitutes infringement of the copyright in that sound recording:—section 51 read with s. 14(1)(*e*).

(1) to make any other sound recording embodying it;

(2) to sell or give on hire or offer for sale or hire any infringing copy of the sound recording regardless of whether such copy has been sold or given on hire on earlier occasions;

(3) to communicate the sound recording to the public;

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(4) to permit for profit any place to be used for the communication of the work to the public where such communication constitutes an infringement of the copyright in the sound recording unless he was not aware and had not reasonable ground for believing that such communication to the public would be an infringement of the copyright;

(5) to make infringing copies for sale or hire, or to sell or let for hire, or by way of trade displays, to offer for sale or hire;

(6) to distribute either for the purpose of trade or to such an extent as to affect prejudicially the owner of the copyright;

(7) to exhibit in public by way of trade;

(8) to import into India any infringing copy. However, the import of one copy of sound recording for the private and domestic use of the importer is permitted.

"Sound recording" means a recording of sounds from which such sounds may be produced regardless of the medium on which such recording is made or the method by which such sounds are produced. As to who is the first owner of copyright in a sound recording, see Chapter 31. Infringing copy means any other recording embodying the same sound recording made by any means if such sound recording is made or imported contrary to the provisions of the Act.

A sound recording may be of a literary work spoken or recited, the spoken dialogue of a dramatic work or of a song. There may be copyright subsisting in the subject-matter recorded. Since making of a sound recording of a literary, dramatic or musical work constitutes infringement of that work a sound recording made without the licence of the owner of the copyright in that work will constitute infringement of that work.

Home taping of sound recording

Home taping of sound recordings has become very common although it is an infringement of the copyright in the sound recording. It is perhaps impossible to prevent home taping for private use because of practical difficulties. Accordingly seldom any action is taken against home taping. But taping of a sound recording for commercial purposes will be a different matter.

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A dealer who hires records to customers is not authorising them to home tape the record although many of them in fact do so.

Videotaping of televised programmes is an infringement of the copyright in the television programmes.

Exceptions to infringement of the copyright in a sound recording

There is no fair dealing provision for sound recording as such. Accordingly copying a recording at home for whatever use even if it be for research or private study will be an infringement of the copyright in the recording.

The causing of a recording to be heard in public by utilising the sound recording will not constitute infringement: (*i*) if the sound recording is played in residential premises exclusively meant for the residents, (*ii*) if the sound recording is played as part of the activities of a non-profit making club, society or organisation. Playing a sound recording in private is not an infringement of the copyright in the sound recording. Broadcasting authorities, if they want to broadcast the recording must obtain a licence for the purpose from the recording company who are ordinarily the owners of the copyright in the sound recording.

Version recording

Version recording is a sound recording made of an already published song by using another voice or voices and with different mucisions and arrangers. Version recording is thus neither copying nor reproduction of the original recording, see *Gramophone Co. of India Ltd.* v *Mars Recording (Pvt.) Ltd.* 2000 PTC 117 Kant (125).

The lyrics (or words) in the original recording has got its own copyright which is a literary copyright. Accordingly the person who produces the version recording must obtain a licence to use the lyrics from the owner of this copyright, if any, subsisting in the lyrics.

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CHAPTER

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Remedies against Infringement of Copyright

1 Nature and kind of remedies—section 55

There are three types of remedies against infringement of copyright; namely, civil, criminal and Administrative. Civil remedies include injunction, damages or account of profits, delivery-up of infringing copies and damages for conversion. In the case of innocent infringement some of these remedies are not available. Criminal remedies provide imprisonment of the accused or imposition of fine or both, seizure of infringing copies and delivery-up of infringing copies to the owner of the copyright. Administrative remedies consist of moving the Registrar of Copyright to ban the import of infringing copies into India and the delivery of infringing copies confiscated to the owner of the copyright.

Apart from the remedies against infringement of copyright the Copyright Act provides for the protection of certain special rights: (moral rights).

Authors' special rights—section 57

An author of a copyright work has the following special rights:

(*a*) to claim authorship of the work,

(*b*) to restrain or claim damages in respect of any distortion, mutilation, modification or other act in relation to the said work, if such distortion, mutilation, modification

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or other act would be prejudicial to his honour or reputation.

However, this right is not available in respect of any adaptation of a computer programme to which certain acts do not constitute infringement of the copyright in the work—s. 52(1)(*aa*). This section provides that making of copies of adaptation of a computer programme for certain purposes or to make back up copies for protection against loss, destruction or damage will not amount to infringement of copyright in the work.

The author's special rights can be exercised even after the assignment of the copyright. They can be enforced by an action for breach of contract or confidence, a suit for defamation or passing off as the case may be.

In respect of works of architecture where the construction of a building or other structure which would infringe the copyright in some other work has been commenced the owner of the work will not be entitled to obtain an injunction to restrain the construction of such building or structure or to order demolition. He cannot also claim damages for conversion.

In appropriate cases a declaratory order may be obtained as to whether what the defendant is doing or proposes to do is an infringement of the copyright in a work.

2 Jurisdiction of courts—section 62

A suit or other civil proceedings relating to infringement of copyright should be instituted in the District Court or High Court within whose jurisdiction the plaintiff resides or carry on business irrespective of the place of residence or place of business of the defendant. The court within whose jurisdiction the cause of action has arisen has also jurisdiction to entertain the suit. The period of limitation for filing the suit is three years from the date of infringement. Where there has been no actual infringement but a real threat of infringement, a *quia timet* action may be instituted. A suit for infringement must be filed within three years from the date of infringement.

3 Parties to the suit for infringement

Normally the owner of the copyright is the plaintiff. An exclusive licensee can also file a suit in which case the owner of the copyright must be made a co-plaintiff or defendant. Where the several rights conferred by a copyright in any work are owned by different persons, the owner of any such right, to the extent of that right,

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may enforce that right by a civil or criminal proceeding. The following persons can sue for infringement of copyright:

(1) the owner of the copyright or a co-owner,
(2) the assignee of the copyright,
(3) the legatee in the case of testamentary disposition of the copyright,
(4) an exclusive licensee if the owner of the copyright is made a joint plaintiff or defendant,
(5) in the case of anonymous or pseudonymous work the publisher of the work,
(6) a non-exclusive licensee provided he joins the owner of the copyright.

The persons who may be sued are the infringers of the copyright (see *ante* for definition of infringement).

4 Procedure

The procedure before the court in a suit for infringement of copyright is governed by the Code of Civil Procedure.

The plaintiff has to establish the following:

(1) he is the owner of the copyright,
(2) copyright subsisted in the work infringed at the time the defendant committed the infringement,
(3) particulars of the alleged infringement,
(4) what the defendant has done constitutes infringement of the copyright,
(5) the nature of damage if any suffered by him or likely to suffer.

The defendant may set-up one or more of the following defences:

(1) no copyright subsists in the work alleged to be infringed,
(2) the plaintiff is not entitled to sue (not the owner of copyright),
(3) the alleged copyright work is not original,
(4) the alleged copyright is not entitled to protection being immoral, seditious or otherwise against public policy,
(5) the defendants' work is independent and is not copied from the plaintiffs' work,
(6) the defendants' action does not constitute infringement of the plaintiffs' work and is permitted under one or more of the exceptions to infringement,

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(7) the suit is barred by limitation,

(8) the plaintiff is guilty of estoppel, laches and acquiescence or consent,

(9) the infringement is innocent and the plaintiff is only entitled to the profits made by the defendants on the sale of the infringing copies.

Innocent infringement is not a defence against infringement as such. But if the defendant proves that at the date of infringement he was not aware and had no reasonable ground for believing that copyright sub-sisted in the work, the plaintiff will be entitled to only an injunction and a decree for the whole or part of the infringing copies. Plaintiff will not be entitled to any remedy in respect of conversion of infringing copies.

Anton Piller Order

In appropriate cases the court may on an application by the plaintiff pass an *ex parte* order requiring the defendant to permit the plaintiff accompanied by solicitor or attorney to enter his premises and take inspection of relevant documents and articles and take copies thereof or remove them for safe custody. The necessity for such an order arises where there is a grave danger of relevant documents and infringing articles being removed or destroyed so that the ends of justice will be defeated. Such an order is called in the United Kingdom as an Anton Piller Order (named after a plaintiff in a case where such an order was first passed). It is similar to an *ex parte* interlocutory order to inspect the premises of the defendant and take inventory of the offending articles etc., passed in an ordinary suit in India.

In passing an order of this nature the basic safeguards of equity must be strictly enforced. The plaintiff in his application must make the fullest possible disclosure of all material facts within his knowledge, and if he fails to discharge this obligation he will not be entitled to any advantage from the proceedings and he will be deprived of any advantage already obtained by the order.

Issues in a suit for infringement of copyright

The following issues arise in a suit for infringement of copyright:

(1) Is the plaintiff entitled to file the suit, in other words is he the owner of the copyright alleged to be infringed.

(2) Does copyright subsist in the work alleged to have been infringed.

(3) Does what the defendant has done or proposes to do constitute infringement of the copyright in the work.

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(4) Does the defendants' act come within the scope of any of the exemptions to the infringement.

(5) What remedies the plaintiff is entitled to.

Interlocutory injunction

In order to secure immediate protection from a threatened infringement or from the continuance of an infringement, a plaintiff may apply for an interlocutory injunction pending the trial of the action or further orders. An application for such relief is made along with the plaint supported by affidavit evidence. Very often an *ex parte* injunction is also sought, i.e. a temporary injunction granted for a short period, for a week or so, before the defendant has notice of the suit or is heard.

For obtaining an interlocutory injunction the plaintiff has to establish a *prima facie* case and that the balance of convenience is in his favour and that if the interim order is not granted it will cause irreparable injury to the plaintiff.

The defendant if injured as a result of the injunction, will be entitled to compensation by virtue of an undertaking as to damages by the plaintiff which is an invariable condition of the granting of such an injunction. An interlocutory injunction will not be granted where the defendant might suffer irreparable injury from an injunction pending trial and the plaintiff can be protected by the defendant being ordered to keep an account, nor will it normally be granted where a *bona fide* defence of fair dealing has been pleaded, or if the plaintiff has been guilty of undue delay in coming to the court or his conduct amounted to acquiescence in the infringement or if there is any substantial doubt as to the plaintiff's right to succeed. It has been held that in considering whether to grant an interlocutory injunction the court must look at the whole case. It must have regard not only to the strength of the claim, but also to the strength of the defence and then decide what is best to be done. The remedy by way of interlocutory injunction must not be made the subject of strict rules:

See Halsbury's *Laws of England*, 4th Ed., vol. 9, para 944 and *American Cyanamid* v *Ethicon* [1975] RPC 513 at pp. 539-542 (HL) (Lord Diplock).

Damages or account of profits

There are two types of damages available to a successful plaintiff, one under s. 55 for infringement and the other under s. 58 for conversion. The copyright owner is entitled to treat all infringing copies of his work as if they were his own property. He will have

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to take civil proceedings for the recovery of possession thereof or in respect of conversion thereof. The plaintiff may also claim special damages for the flagrancy of infringement. As an alternative to damages a successful plaintiff may claim account of profits.

5 Criminal proceedings—sections 63–70

In addition to Civil remedy the Copyright Act enables the owner of the copyright to take criminal proceedings against an infringer. Knowledge or *mens rea* is an essential ingredient of the offence. These two remedies are distinct and independent and can be availed of simultaneously. The offence of infringement of copyright is punishable with imprisonment which may extend from a minimum period of six months to a maximum of three years and with a fine of the order of Rs. 50,000 to Rs. 2.00 lakhs. A Police Officer of the rank of Sub-inspector and above is given the power to seize without warrant, all infringing copies of the work and accessories for making infringing copies wherever found, to be produced before a Magistrate.

All infringing copies of the work in which copyright subsists and all plates used for the production of such copies are deemed to be the property of the owner of the copyright in the work. The court trying the offence may order that all copies of the work appearing to be infringing copies or plates for making infringing copies in the possession of the alleged offender be delivered up to the owner of the copyright or may make such order as it may deem fit regarding the disposal of such copies or plates without any further proceedings. This is so whether the accused is convicted or not. However, for compensation in respect of conversion of infringing copies the owner of the copyright will have to take civil proceedings.

The Copyright Act requires certain particulars to be displayed on records and video films or containers thereof. These include the name and address of the person who has made the record, name and address of the owner of the copyright and year of first publication and in the case of a video film, a copy of the certificate granted by the Board of film Certification for the Cinematograph film, the name and address of the person who has made the film and the name and address of the copyright owner. Any person who publishes a record or a video film in contravention of the above requirements will be punished with imprisonment which may extend to three years and with fine.

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No court inferior to that of a presidency magistrate or a magistrate of the first class can try an offence under the Act. Any person can make a criminal complaint and a magistrate will be competent to take cognizance of any offence upon receiving a complaint of facts which constitutes such offence irrespective of the qualifications or eligibility of the complainant to file a complaint. Ordinarily, however, it is the owner of the copyright or any person who has an interest in the copyright, e.g. the licensee, who files a complaint. A joint author can also file a complaint. The conduct of the criminal proceeding is governed by the Criminal Procedure Code.

Sections 65A & 65B have been inserted by the Copyright (Amendment) Act 2012 which deal with protection of technological measures and protection of rights management information. Any person found guilty of circumventing an effective technological measure with the intention of infringing such rights shall be punishable with imprisonment which may extend to two years and shall also be liable to fine.

Section 2(*xa*) has also been inserted by the Copyright (Amendment) Act 2012 which defines rights management information. It means the title or other information identifying the work or performance; the name of the author or performer; the name and address of the owners of rights; terms and conditions regarding the use of the rights and any number or code that represents the information referred to above. However it does not include any device or procedure intended to identify the user. Any violation of s. 65B attracts punishment of imprisonment which may extend to two years and fine.

Offences relating to register of copyright—sections 67 and 68

The following offences are punishable with imprisonment or fine or both:

(*a*) making or causing to be made a false entry in the register of copyright,

(*b*) making or causing to be made a writing falsely purporting to be a copy of any entry in the register,

(*c*) producing or tendering to be produced or tendered as evidence any such entry or writing knowing the same to be false.

Making false statements knowing the same to be false with a view to deceiving any authority or officer in the execution of the provisions of the Act with a view to procuring or influencing the

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doing or omission of anything in relation to the Act or any matter thereunder is punishable with imprisonment, fine or both.

Where a company commits any offence under the Act every person who was in charge of and responsible to the company for the conduct of its business as well as the company will be deemed to be guilty of such offence.

6 Threat of legal proceedings and slander of title—section 60

Threat action

When the owner of the copyright in a work comes to know that his copyright is being infringed by a person he normally sends a notice to that person requesting him to forthwith discontinue the act which constitutes infringement of the copyright. If the person complies with the request the matter ends there subject to the question of compensation for damages and conversion, if any, being settled by mutual agreement. This procedure is adopted only where the nature of the infringement involved is such that it is not likely to be repeated, e.g. the performance in public of a dramatic or musical work where the damages involved will be negligible. But where the infringement involves the reproduction of a copyright work in large numbers and the damages involved might be heavy the owner of the copyright sends notices to the persons involved in the infringing acts, threatening them with legal proceedings. The threat may be direct or indirect. It may be addressed to particular persons or generally and it may be made through circulars, advertisements or otherwise.

The expression "or otherwise" would include any communication, oral or in writing direct or indirect.

Where any person claiming to be the owner of copyright in any work by circulars advertisements or otherwise, threatens any other person with any legal proceedings or liability in respect of an alleged infringement of a copyright, any person aggrieved may institute a declaratory suit and may obtain an injunction against the continuance of the threat and recover damages, if any. If the person making the threat with due diligence commences and prosecutes an action for infringement then the threat action will not lie. There are similar provisions under the Patents Act 1970 and Trade Marks Act 1999.

7 Slander of title

If a publisher publishes the work of *A* under the name of *B* with the approval of *B* and without the consent of *A*, *A* may, in the

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absence of any express or implied contract, sue the publisher and *B* for malicious falsehood or slander of title.

Copyright Act provides that the author of a work has the right to claim the authorship of the work. The Berne Copyright Convention also recognises this right. If this right is infringed the author can take proceedings against the persons concerned for the relief of injunction and damages. The right to claim authorship exists even after the assignment of the copyright in the work and can be exercised by the legal representatives of the author. The plaintiff has to prove that the statement or representations complained of were false or untrue; that they were made maliciously, that is, without just cause or excuse, and that the plaintiff has suffered special damage thereby.

Malice in the law of slander of title and other forms of injurious falsehood means some dishonest or otherwise improper motive. An intent to injure without just cause or excuse is sufficient.

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CHAPTER

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International Copyright

Copyright protection is given only to works first published in India irrespective of the nationality of the author except where the author is a foreign national whose country does not give copyright protection to the works of Indian authors to the extent available in the home country on a reciprocal basis. Unpublished works and works published posthumously will also get protection in India on a reciprocal basis. Since India is a member of the Berne Convention and the Universal Copyright Convention, Copyright Protection (subject to certain limitations) is granted to works published in the member countries of these Conventions which covers practically all countries of the world.

Works of International Organisation, like the United Nations Organisation, and its specialised agencies and Organisation of American States are granted copyright protection in India irrespective of the place of publication, provided they are first published by the international organisation and there is no Copyright for the work in India at the time of publication and any copyright in the work belongs to the organisation.

Works of foreign authors first published in India will be granted protection in India on a reciprocal basis, that is, provided similar protection is granted to Indian authors.

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CHAPTER

42

Copyright Societies

1 Introduction

Prior to the coming into force of the Copyright (Amendment) Act 1994, ss. 33 to 36 dealt with Performing Rights Societies which carried on the business of issuing or granting licences for the performance in India of any work in which copyright subsisted. Obviously the activities of such societies were limited to copyright subsisting in literary, dramatic and musical work which can be performed in public.

The Copyright (Amendment) Act 1994, has extended the operation of the legal provisions to the business of issuing or granting licences in respect of all rights relating to any class of work in which copyright subsists under the Act. Organisations which were authorised to carry on such business is called Copyright Societies. The provisions relating to such copyright societies are contained is ss. 33 to 36A.

The owner of a copyright in any work can derive monetary benefit from his work only by exercising some or all of the rights conferred under s. 14 either by himself or by authorising others to do so for a consideration. In the alternative he may assign some or all of the rights to others for a consideration.

The business of issuing or granting licence in respect of literary, dramatic, musical and artistic works incorporated in a

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cinematograph film or sound recording shall be carried out only through a copyright society duly registered under this Act.

Ordinarily the authors of creative works are not business minded and they have seldom the financial resources or the business skill to exploit their work by themselves. For example in the case of a literary, dramatic, musical or artistic work one of the ways in which the owner of the right can get monetary benefit is by issuing copies of the work to the public on a sufficiently large scale. The best way to do this is to license a publisher to publish the work on a royalty basis. In the case of dramatic and musical works the owner can derive monetary benefit by licensing its performance in public or communicating the work to the public for a fee. Further, it is extremely difficult for the owner of the work to prevent infringement of the work any where in India or abroad. To overcome this difficulty owners of copyright works have formed societies to license their works for performance or communication to the public or issue copies of the work to the public. Thus copyright societies are formed to license the works of owners of copyright to those interested in the reproduction, performance or communication to public of the works. They are authorised to do this service by the owners on payment of suitable fees. The societies are also authorised to watch out for infringement of the copyright and take appropriate legal action against the infringers.

To regulate the activities of such copyright societies ss. 33 to 36A have been enacted.

2 Statutory provisions

No person or association of persons are allowed to carry on the business of issuing or granting licences in respect of any work in which copyright subsists or in respect of any rights conferred by the Act except under a registration granted under the Act—s. 33.

However the owner of copyright in his individual capacity will continue to have the right to grant licences in respect of his own works consistent with his obligation if any as a member of the registered copyright society.

A performing rights society functioning under the former provisions of s. 33 will be deemed to be a copyright society provided it gets itself registered under the new s. 33 within one year from the date of commencement of Copyright (Amendment) Act 1994.

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The procedure for registration of any association of persons as a copyright society and the conditions for registration and maintenance of the register is laid down in s. 33(2) to (5). An application for the purpose may be made to the Registrar of Copyright. Every applicant should satisfy the conditions prescribed under the rules by the Government. The Registrar of Copyright will forward the application to the Central Government which will take into consideration the following factors before granting registration:

(1) interest of the authors and other owners of rights under the Act,

(2) the interest of and convenience of the public,

(3) the interest of the class of persons who are most likely to seek licences in respect of the relevant rights, and

(4) the ability and professional competence of the applicants.

The registration of a copyright society will be subject to such conditions as any be prescribed under the rules.

Ordinarily the Central Government will not register more than one copyright society to do business in respect of the same class of work—s. 33(3).

Registration granted to a copyright society shall be for a period of five years and may be renewed before the end of every five years—s. 33(3A).

If a copyright society is managed in a manner detrimental to the interest of the authors and other owners of right concerned the Central Government may cancel its registration—s. 33(4). In appropriate cases the Central Government may suspend the registration of a society pending enquiry for a period not exceeding one year during which period it may appoint an administrator to discharge the functions of the society.

3 Administration of rights of owners by a copyright society–section 34–power of copyright society

Subject to certain conditions prescribed:

(*a*) a copyright society may accept from author and other owners of right exclusive authorisation to administer any right in any work by issue of licences or collection of licence fees or both, and

(*b*) author and other owners of right have the right to withdraw such authorisation without prejudice to the rights of the copyright society under any contract.

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The copyright society may enter into any agreement with any foreign society or organisation administering rights corresponding to rights under the Act to entrust to such society or organisation the administration in any foreign country of rights administered by the said copyright society in India and *vice versa*. This is subject to the condition that there is no discrimination in regard to the terms of licences or the distribution of fees collected between rights in Indian and foreign works—s. 34(2).

Subject to such conditions as may be prescribed the copyright society has the following powers:

(1) to issue licences under s. 30 (power of the owner to issue licences) in respect of any rights under the Act;

(2) to collect the fees in pursuance of such licences;

(3) to distribute such fees among owners of rights after making deductions for its expenses;

(4) to perform any other functions consistent with the provisions of s. 35 (control over the society by the owner of rights).

4 Control over copyright society by the authors and other owners of rights—section 35

Every copyright society will be subject to the collective control of the author and other owners of right whose rights it administers in India. Foreign societies are exempted from this power. It shall in such manner as may be prescribed (rules not prescribed):

(*a*) obtain the approval of such author and other owners of right for its procedures of collection and distribution of fees;

(*b*) obtain approval of the author and other owners of right for the utilisation of any amounts collected as fees for any purpose other than distribution to the author and other owners of right; and

(c) provide to such owners regular full and detailed information concerning all its activities in relation to the administration of their rights.

All fees distributed among the author and other owners of right should, as far as may be, distributed in proportion to the actual use of their works.

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Every copyright society shall have a governing body with such number of persons elected from among the members of the society consisting of equal number of authors and owners of work for the purpose of the administration of the society. All members of copyrights society shall enjoy equal membership rights and there shall be no discrimination between authors and owners of rights in the distribution of royalties.

5 Submission of returns and reports—section 36

Every copyright society should submit to the Registrar of copyright such returns as may be prescribed.

Any officer duly authorised by the Central Government in this behalf may call for any report and also any records of any copyright society for seeing that the fees collected are being utilised or distributed in accordance with the provision of the Act.

6 Rights and liabilities of copyright society not affected-section 36A

The provision of Chapter VII relating to copyright societies will not affect any rights or liabilities in any work in connection with performing rights society which has accrued or were incurred on or before the day prior to the commencement of the Copyright (Amendment) Act 2012 or any legal proceedings in respect of rights or liabilities on that day.

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CHAPTER

43

Copyright Office, Copyright Board, Registration of Copyright & Appeals

1 Copyright Office and Register of Copyright—sections 9, 10, 44–50A

To administer certain provisions of the Copyright Act, the Copyright Office has been established under the charge of the Registrar of Copyright. The rules of procedure is contained in the Copyright Rules.

The Copyright Office maintains a Register of Copyright containing particulars of the authors of copyright works, particulars of the works and the names and addresses of publishers and owners of copyright. The register has a separate part for each category of work as follows:

Part	I	Literary works other than computer programmes, tables and compilations including computer databases, and dramatic works
Part	II	Musical works
Part	III	Artistic works
Part	IV	Cinematograph films
Part	V	Sound recordings
Part	VI	Computer programmes, tables and compilations including computer databases.

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There is provision for correction and rectification of the entries in the register. The Copyright Office maintains the following indexes: namely, (*i*) a general Author Index; (*ii*) a general Title Index; (*iii*) an Author Index of works in each language; and (*iv*) a Title Index of works in each language.

Registration of Copyright is not compulsory either for acquiring copyright or for enforcing the copyright by infringement suit.

2 Evidential value of the register

The register of copyright will be *prima facie* evidence of the particulars entered therein. Copies of any entries made in the register or extracts therefrom certified by the Registrar of Copyright and sealed with the seal of the Copyright Office will be admissible as evidence in all courts without further proof or production of the original.

3 Copyright Board—sections 11-13

The Copyright Board is a body constituted under the Copyright Act for the discharge of certain judicial functions under the Act. It consists of a Chairman and two other members. They are appointed for specific periods not exceeding five years. The Chairman must be a person who is or has been a judge of a High Court or is qualified for appointment as a judge of a High Court.

The terms and conditions of service of the Chairman and members are prescribed under the copyright rules. The Central Government may, after consultation with the Chairman of the Copyright Board, appoint a Secretary to the Copyright Board and such other officers and employees as may be considered necessary for efficient discharge of the functions of the Copyright Board.

The following are the main functions of the Copyright Board:

(1) to decide whether a work has been published or as to the date on which the work was published for the purpose of determining the term of copyright—s. 6,

(2) to decide whether the term of copyright for any work is shorter in any other country than under the Act—s. 6,

(3) to settle disputes arising in respect of assignment of copyright under s. 19A,

(4) to grant compulsory licences in respect of any work withheld from public—s. 31,

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(5) to grant compulsory licences to publish unpublished works—s. 31A,

(6) to grant compulsory licences to produce and publish translation of literary and dramatic works—s. 32,

(7) to grant compulsory licences to reproduce and publish certain categories of literary, scientific or artistic works for certain purposes—s. 32A,

(8) to rectify the register on the application of the Registrar of Copyright or of any person aggrieved—s. 50.

An appeal against all orders passed by the Copyright Board except under s. 6 lies to the High Court, having jurisdiction.

The Copyright Board has powers to regulate its own procedure including the fixation of places and times of its sittings. Ordinarily it will hear any proceedings instituted before it within the Zone in which the person instituting the proceedings resides and carries on business. For this purpose the territory of India is divided into five Zones—The Northern Zone, the Central Zone, the Eastern Zone, the Western Zone and the Southern Zone—s. 12(1).

(a) The Northern Zone comprising the States of Haryana, Punjab, Himachal Pradesh, Rajasthan, Jammu and Kashmir and the Union Territories of Delhi and Chandigarh,

(b) the Central Zone comprising the States of Uttar Pradesh and Madhya Pradesh,

(c) the Eastern Zone comprising the States of Bihar, West Bengal, Orissa, Assam, Manipur and Tripura,

(d) the Western Zone comprising the States of Gujarat and Maharashtra and the Union Territories of Dadra and Nagar Haveli and Goa, Daman and Diu, and

(e) the Southern Zone comprising the States of Andhra Pradesh, Tamil Nadu, Karnataka and Kerala and the Union Territory of Pondicherry.

The Registrar of Copyright and the Copyright Board have the powers of a Civil Court in respect of the following matters—s. 74:

(a) summoning and enforcing the attendance of any person and examining him on oath,

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(*b*) requiring the discovery and production of any documents,

(*c*) receiving evidence on affidavit,

(*d*) issuing commissions for the examination of witnesses and document,

(*e*) requisitioning any public record or copy thereof from any court or office,

(*f*) any other matter which may be prescribed.

4 Importation of infringing copies—section 53

The owner of copyright of any work or any performance or his agent may give notice to the Commissioner of Customs or any other authorised officer stating that he is the owner of the said work and requests the Commissioner to treat infringing copies which expected to arrive in India in a specified place and time as prohibited goods. The Commissioner on being satisfied may treat those infringing copies as prohibited goods excluding the goods in transit. But the owner of the work should deposit security amount regarding demurrage, cost of storage and compensation if the works are not found as infringing copies.

The Customs Officer treating the goods as prohibited may detain those goods and shall inform regarding these detention within forty-eight hours both to importer and the person who gave notice.

If the person who gave notice does not produce any order from a court regarding temporary or permanent disposal of such goods within fourteen days from the date of detention, the Customs Officer shall release those goods and those goods shall no longer be treated as prohibited goods.

For the definition of an infringing copy *see* Chapter 39 (infringement).

5 Appeals—sections 71-73

An appeal will lie against a decision of the Registrar of Copyright, the Copyright Board, the Magistrate in a Criminal proceedings and judges in infringement suits. An appeal against the decision of Registrar should be filed before the Copyright Board. An appeal against the decision of the Copyright Board (other than that against the order of the Registrar) will lie to the High Court.

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Orders of the Copyright Board regarding sufficiency of copies published to constitute publication and term of copyright in other countries are not appealable.

6 Copyright (Amendment) Rules 2013

By virtue of s. 78 the Central Government has made the Copyright (Amendment) Rules 2013 which has been notified in the Official Gazette on 14th March 2013.

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Part 5

Confidential Information

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CHAPTER

44

Confidential Information, Breach of Confidence & Know-how

There is no copyright in ideas or information as such and accordingly there is no remedy under the copyright law for unauthorised use of confidential ideas or information obtained directly or indirectly by one person from another. A remedy will have to be sought by proceedings for breach of confidence or breach of trust. The reliefs that can be obtained are an injunction and damages.

1 Protection of confidential information

If ideas and information were acquired by a person in such circumstances that it would be a breach of good faith to publish them and he has no just cause or excuse for doing so, the court will grant an injunction against him.

It is well settled that information imparted in confidence (especially information which is parted in confidence to servants and agents) will be protected. The courts will restrain the use of it if it is in breach of good faith. The law on this subject does not depend on any implied contract. It depends on the broad principle of equity that he who has received information in confidence shall not take unfair advantage of it. He must not make use of it to the prejudice of him who gave it without obtaining his consent.

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Nature of confidential information

It is a matter of common knowledge that, under a system of free private enterprise and therefore of competition, it is to the advantage of a trader to obtain as much information as possible concerning the business of his rivals and to let him know as little as possible of his own.

The information may be a trade secret, e.g. a method of production not protected by a patent, or a business secret, such as the financial arrangements of the undertaking or a piece of domestic information like the salary scale of clerks, or the efficiency of the firm's filing system. Some of this information would be of a highly confidential nature, as being potentially damaging if a competitor should obtain it, some would be less so and much would be worthless to a rival organisation.

Confidence implied in contract

If two parties make a contract under which one of them obtains for the purpose of the contract or in connection with it some confidential matter, even though the contract is silent on the matter of confidence the law will imply an obligation to treat that confidential matter in a confidential way, as one of the implied terms of the contract, but the obligation to respect confidence is not limited to cases where the parties are in contractual relationship.

> "If a defendant is proved to have used confidential information, directly or indirectly obtained from a plaintiff, without the consent express or implied of the plaintiff he will be guilty of an infringement of the plaintiffs' rights ..... The information to be confidential must, apart from contract, have the necessary quality of confidence about it, namely, it must not be something which is public property and public knowledge. On the other hand it is perfectly possible to have a confidential document, be it a formula, a plan, a sketch or something of that kind, which is the result of work done by the maker upon materials which may be available for the use of anybody, but what makes, it confidential is the fact that the maker of the document has used his brain and thus produced a result which can only be produced by somebody who goes through the same process" [*Saltman* v *Campbell* (1948)65 RPC 203 at 211].

To be confidential, the information must 'have the necessary quality of confidence about it, namely, it must not be something which is public property and public knowledge' (*ibid* at 215).

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Confidence implied by circumstances

An action for breach of confidence does not depend upon any right of property or contract or right of law. It rests on an equitable obligation of confidence which may be implied from the circumstances of the case. Even if there exists no contractual relationship between the plaintiff and defendant, if a defendant is proved to have used confidential information obtained directly or indirectly from the plaintiff and without his consent express or implied, he will be guilty of infringement of the plaintiffs' rights.

Identification of confidential information

In identifying confidential information four elements must be discerned: First, the information must be information the release of which the owner believes would be injurious to him or of advantage to his rivals or others. Second, the owner must believe that the information is confidential or secret, i.e. that it is not already in the public domain. It may be that some or all of his rivals already have the information, but as long as the owner believes it to be confidential he is entitled to try to protect it. Third, the owner's belief under the two previous headings must be reasonable. Fourth, the information must be judged in the light of the usage and practices of the particular industry or trade concerned. It may be that information which does not satisfy all these requirements may be entitled to protection as confidential information or trade secrets, but that any information which does satisfy them must be of a type which is entitled to protection.

Essential requirements of breach of confidence

Three elements are normally required if, apart from contract, a case of breach of confidence is to succeed. First, the information itself must have the necessary quality of confidence about it. Secondly, that information must have been imparted in circumstances importing an obligation of confidence. Thirdly, there must be an unauthorised use of that information to the detriment of the party communicating it. [*Coco* v *Clark* [1969] RPC 41 at 47]

The information must be judged in the light of the usages and practices of the particular industry or trade concerned.

The confidentiality of information does not solely depend upon the amount of labour and skill expended in collecting it. Facts relating to a person's private life can be protected although it involves hardly any labour or skill. Use of engineering drawings

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outside the contract may amount to breach of confidential relationship. If two persons make a contract under which one of them obtains, for the purposes of the contract or in connection with it, some confidential material, the law will imply an obligation to treat that confidential material in a confidential way as one of the implied terms of the contract.

Illustrations

If a person lends his manuscripts to another the latter will be obliged not to publish it. Where a person sits for his portrait by a photographer there will be an implied obligation on the part of the photographer not to sell or exhibit copies without the formers' consent. A similar situation arises when a guest of a house party takes a film of the party where well-known celebrities are present and uses it for commercial purposes without the consent of the persons photographed in the film. In such a case there may be a breach of confidence.

Where documents have been disclosed on discovery by a person in the course of legal proceedings he is entitled to protection of the court against use of the documents by the person at whose instance the documents were disclosed or by any third party except for the purposes of the legal proceedings in which they were disclosed. There is an implied undertaking on discovery that documents disclosed should not be used improperly for a collateral or ulterior purpose. This applies to those who receive the documents.

Springboard doctrine

The essence of the law of confidential information is that a person who has obtained information in confidence is not allowed to use it as a springboard for activities detrimental to the person who made the confidential communication, even when all the features have been published or can be ascertained by actual inspection by members of the public. The possessor of the confidential information must be placed under special disability in the field of competition in order to ensure that he does not get an unfair start. When the information is mixed, being partly public and partly private, then the recipient must take special care to use only the material which is in the public domain. He should go to the public source and get it, or at any rate not be in a better position than if he had gone to the public source. He should not get a start over others by using the information which he received in confidence. At any rate he should not get a start

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without paying for it. Even where a person has obtained confidential information from another person without the latters' consent or by theft, he is not entitled to use that information. Unconscious use of confidential information is also a breach of confidence.

A third party who has aided, abetted or procured a breach of con-fidence can be enjoined. Even if a person acquires the confidential information innocently if he comes to know that it was originally given in confidence, he may be restrained from disclosing the information.

2 Ingredients of an action for breach of confidence

In an action for breach of confidence the plaintiff must establish the following:

(*a*) the information must be traced to a particular source and must be identified in specific terms. The information need not be embodied in a document. It is sufficient if it is carried in the head,

(*b*) the information sought to be protected must be of a confidential nature,

(*c*) the information in question was communicated in circumstances importing an obligation of confidence,

(*d*) the defendant has made or is about to make an unauthorised disclosure or use of that information.

State secrets are protected by the Official Secrets Act.

Exceptions to breach of confidence

Where the information is such that it ought to be divulged in the public interest to one who has an interest in receiving it the court will not restrain such disclosure. Information relating to antinational activities which are against national security, breaches of law or statutory duty or fraud may come under this category. In fact whenever there is strong public interest in the disclosure of the matter courts may not consider such disclosure as breach of confidence.

3 Employer–employee relationship

In general an employee cannot be restrained by contract or confidence after termination of his employment for making use of the skill, knowledge and experience acquired by him during the course of employment. He can use the expertise and knowledge gained by him for his own benefit or for the benefit of others.

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But an employee may not, either during his employment or after the termination of his employment divulge or use confidential information obtained by him during the course of his employment. An ex-employee may be restrained from using or disclosing a chemical formula or a list of customers which he has committed to memory.

There is a distinction between an employee and an ex-employee regrading the obligation of fidelity. There is a contractual obligation of fidelity by employee to employer, express or implied, preventing a skilled employee from giving his assistance to a competitor despite the fact that no information has been disclosed to the employee in confidence.

The obligation of an ex-employee to his employer is obviously more restricted. A man can work for a Competitor of his former employer save so far as he is restrained by a valid restrictive covenant. Apart from a restrictive covenant, the ex-employee may be under an obligation not to make use of or disclose information imparted to him in confidence by his former employer.

Distinction between confidential and general information

Information which can fairly be regarded as an identifiable separate part of the employer's stock of knowledge, which a man of ordinary honesty and intelligence would recognise to be the property of the employer and not of the employee to deal with as he likes, is confidential information. Examples are: a chemical formula or a list of customers committed to memory or a design feature revealed to the employee in obvious confidence.

General information inevitably acquired by an employee in the ordinary course of his employment as part of the sum total of his experience with that employer, not distinguished by any particular badge of confidence, the employee will inevitably carry away in his head as part of his general stock of knowledge. An ex-employee is not entitled to make use of information which he has obtained from his former employer in confidence, but subject thereto he is entitled to make use of the knowledge and skill which he acquired while in that service.

Even if the employee is the copyright owner of the material, if the subject-matter is confidential and a trade secret the employee cannot divulge it to others.

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4 Industrial and trade secrets

In the case of confidential information relating to industrial or trade activities the following points must be considered:

(1) the information must be such that the owner must believe that the release of which would be injurious to the owner or advantageous to his rivals or others,

(2) the owner must believe that the information is confidential or secret,

(3) the owner's beliefs on the above points must be reasonable,

(4) the information must be judged in the light of the usage and practices of the particular industry or trade concerned.

Information which satisfy the above requirements may be entitled to protection, but information which does not satisfy the above may also be protected.

Manufacturing drawings are generally regarded and understood by persons working in the engineering field as being confidential.

An industrialist often imposes restrictive covenants on its employees as to confidential information. But if the covenant is wider than is necessary for the protection of its trade secrets it may be held void.

5 Know-how

There is no comprehensive definition of know-how. It has been described as an ambience that pervades a highly specialised production organisation. It is an intangible asset. It is a reality when associated with production and development as that of Rolls-Royce, and a large part, though not the whole of it, finds its material record in all those lists, drawings and manufacturing and engineering data that are specified in the various licences, agreements. It can be imparted to others without necessarily losing its value to the source organisations. Like goodwill know-how is built up by an established production or development organisation. The technical efficiency it generates may in itself be a valuable contribution to goodwill. Briefly stated, know-how consists of all those technical and commercial information documented in the form of detailed manufacturing data including specifications and drawings. *See* page 94 of *Mainly on Patents* Edited by Felix Liebesny, 1972 (Butterworths).

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Know-how seems to indicate some thing essentially different from secret and confidential information. It indicates the way in which a skilled man does his job, and is an expression of his individual skill and experience.

An employer is not entitled to impose a restriction which would prevent the employee from using in competition with his former employer the skill and aptitude and general technical knowledge acquired by him in his employment.

Breach of confidence does not apply to know-how learned in the course of employment. If an employer seeks to restrain his ex-employee from making use of know-how acquired by him during the course of his employment, the employer's evidence should specifically identify the secret which he claims to be his property and explain exactly how knowledge of that secret came into the possession of the employee in such circumstances that the conscience of the employee was affected so that it would be unconscionable of the employee to make use of the information for his own purpose. The general law protects only that confidential information which is the property of the ex-employer, it would *prima facie* be an unreasonable restraint of trade to forbid the use by the ex-employee of acquired know-how which was not the property of his employer.

6 Remedies

The remedies for breach of confidence consists of an injunction and damages and delivered-up where applicable. The injunction may be interlocutory or permanent. The information may remain confidential only for a limited period in which case the injunction will not extend beyond that period. The principles governing the grant of interlocutory injunction are the same for all kinds of actions. These are discussed elsewhere in this volume. Since the information alleged to be confidential may be of value to the plaintiff only for a certain period, interim injunction will ordinarily be granted only for a specified period depending upon the circumstances and the nature of the confidential information.

In regard to balance of convenience the following factors are considered:

(1) whether the effect of an injunction would be disastrous to the defendants,

(2) whether the terms of injunction are such that it is extremely difficult for the defendants to know what they may do and what they may not do,

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(3) whether it is certain upon the material before the court that even if they were successful at the trial, the plaintiff would obtain an injunction rather than damages.

Damages or compensation is determined on the basis of the market value of the confidential information based on a notional sale between a willing seller and a willing purchaser. This method may be more appropriate for confidential information relating to industrial designs or processes or business secrets.

Where a plaintiff elects in favour of an account of profits he will in the normal course receive the difference between the sale price of the goods and the sum expended in manufacturing them. This sum would be abated by the amounts, if any, expended by the defendants as commission in relation to the contract.

Where the information is contained in some documents or other material the court may order delivery-up of such materials.

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CHAPTER

45

New Acts relating to Intellectual Property

1 Introduction

In December 1999 various Bills relating to intellectual property have been introduced in the Parliament of which all of them have been passed. These are:

(1) The Patents (Amendment) Act 2005, *passed by the Parliament and brought into force on 1st January 2005.*

(2) The Designs Act 2000, *passed by the Parliament and brought into force on 11th May 2001.*

(3) The Trade Marks Act 1999, *passed by the Parliament and brought into force on 15th September 2003.*

(4) The Geographical Indications of Goods (Registration and Protection) Act 1999, *passed by the Parliament and brought into force on 15th September 2003.*

(5) The Protection of Plant Varieties and Farmer's Rights Act 2001, *passed by the Parliament.* Sections 2 to 13 and ss. 95 to 97 come into force on 11th November 2005 vide S.O. 1588(E), dated 11th November 2005 and s. 1 and ss. 14 to 94 come into force on 19th October 2006 vide S.O. 1797(E), dated 19th October 2006.

(6) The Semiconductor Integrated Circuits Layout Design Act 2000, *passed by the Parliament and brought into force on 1st March 2004.*

(7) The Information Technology Act 2000, *passed by the Parliament and brought into force on 17th October 2000.*

Brief summaries of the salient features of these Acts except items 4 to 7 are included at appropriate places in this Third Edition.

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(1) A summary of the Patents (Amendment) Act 2005 containing the salient features of the Act has been included in Chapter 15.

(2) The Chapters on Industrial Designs, (Part 2) in this book is based on the Designs Act 2000.

(3) Part 3 of this book dealing with trade marks is based on the Trade Marks Act 1999.

Regarding the remaining Acts short summaries are given below.

2 The Semiconductor Integrated Circuits Layout Design Act 2000

Introduction

The object of this Act is to give semiconductor integrated circuits layout—designs statutory protection for ten years subject to certain conditions. The term "Integrated Circuits" is not defined in the Act. But the expressions 'layout designs' and 'semiconductor integrated circuits' are given statutory definitions. These terms are used commonly in computer technology. The following are the meanings assigned to them in this field of computer technology and allied subjects.

Meaning of circuit

A communication channel or path between two devices capable of carrying electrical current. Also used to describe a set of components connected together to perform a special task.

Integrated circuit

Abbreviated IC also known as a chip. A small semiconductor circuit that contains many electronic components. An electronics assembly that contains many hundreds, if not thousands/ hundreds of thousands individual electronic components (transistors, diodes, etc.). Integrated circuit technology has had a major impact on the evolution of computers, enabling them to become both smaller and faster. An integrated circuit is manufactured using photochemical techniques on a silicon substrate a highly automated process that has ensured that the price of most electronic devices has fallen dramatically over the past twenty years. Silicon is used because of its favourable chemistry (a group 4 element on the boundary between metals and non-metals, silicon is a semiconductor).

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Semiconductor

It is a material half way between a conductor (which conducts electricity) and an insulator (which resists electricity) whose electrical behaviour can be precisely controlled by the addition of impurities called dopants.

The most commonly used semiconductors are silicon and germanium, and when electrically charged they change their state from conductive to non-conductive or from nonconductive to conductive. Semiconductor wafers can be manufactured to create a whole variety of electronic devices in personal computers. Semiconductors are used in the processor, memory and many other chips.

The most significant semiconductor device is the transistor, which acts like on/off switch and is incorporated into modern microprocessors by the millions.

Transistor

It is an electronic component that is the fundamental building block of all processors. The name transistor is derived from the expression transfer resistor, since it was found that this device could transfer a voltage from a low resistance circuit to a high resistance one and therefore an amplifier. The most common use of a transistor is as a switch, enabling it and its myriad associates on an integrated circuit to respond to and generate digital information, that is, machine code, which is merely a series of on/off signals.

For the above information and further details see (1) Ian Simmons: *Computer Dictionary;* (2) S.M.M. Collin: *Dictionary of Computing,* 2nd Ed. and (3) Peter Dyson: *P.C. Users Pocket Dictionary,* 2nd Ed.

Statutory definitions—sections 2(h) and (r)

"Layout design" means a layout of transistors, and other circuitry elements and includes lead wires connecting such elements and expressed in any manner in a semiconductor integrated circuit.

"Semiconductor integrated circuit" means a product having transistors and other circuitry elements which are inseparably formed on a semiconductor material or an insulating material or inside the semiconductor material and designed to perform an electronic circuitry function.

From the above statutory definitions it is clear that the subject matter for protection under the Act is highly complex functional

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design which can be easily distinguished from the designs registrable under the Designs Act 2000.

The Act provides for the establishment of a registry under a registrar and suitable officers and staff to implement the provisions relating to registration of layout design and matters incidental to registration and subsequent proceedings.

Prohibition of registration of designs—section 7

A layout design

(a) which is not original, or

(b) which has been commercially exploited anywhere in India or in a convention country; or

(c) which is not inherently distinctive, or

(d) which is not capable of being distinguishable from any other registered layout design shall not be registered as a layout design.

Section 7 enumerates what layout designs are not registrable in sub-sec. (1). The remaining part of s. 7 enumerates the circumstances in which a layout design is registrable.

Requisites for registration of a layout design

(1) It must be original i.e. to say it must be the result of its creators' own intellectual efforts and is not commonly known to the creators of layout design and manufacturers of semiconductions integrated circuits at the time of its creation. In short the layout design must be original and new at the time of creation. However the layout design may be a combination of known designs provided such combination taken as a whole is the result of its creator's own intellectual efforts.

(2) It must be inherently distinctive or inherently capable of distinguishable from any other registered layout design. These terms although same as appearing in the Trade Marks Act 1999 have different meanings. It must by its very nature be different from other registered designs.

(3) It must not be commercially exploited anywhere in India or in a convention country prior to the date of application for registration. However, if it has been commercially exploited for two years from the date of application for registration either in India or in a convention country it is not objectionable. Ordinarily the creator of the design is the owner of the design. Where the layout design has been created in execution of a commission or a contract of employment the right to apply for registration will belong to the person who commissioned the work.

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(4) It must not come within the scope of any of the designs prohibited.

Procedure for registration

Any person claiming to be the creator of a layout design may apply to the Registrar of semiconductor integrated circuits layout design for registration in the prescribed form.

The procedure for application, consideration by the registrar, advertisement of application. Opposition to registration and other incidental requirements in connection with the above closely resembles the corresponding provisions under the Trade Marks Act 1999.

There is provision for registration of jointly owned layout designs.

The duration of registration of a layout design is ten years from the date of application or from the date of first commercial exploitation in India or elsewhere whichever is earlier. There is no provision for renewal of registration. Thus the rights conferred by registration lasts only for a maximum period of ten years.

Rights conferred by registration

Registration gives to the proprietor the exclusive right to use the layout design, which if infringed by a third person can be protected by an infringement action. Such right is available even if the registered design is not used.

Infringement of a registered design can take place in various ways. There are some exceptions too.

Assignment of a registered layout design can be made with or without the goodwill of the business concerned.

This provision for assignment is rather difficult to understand since there is no question of any business concern. People who create original layout designs are highly skilled technicians who are intellectual workers and not business people.

The Act provides for registration of third parties as registered users of the registered design. There is also provision for rectification of the register. All these provisions closely resemble the corresponding provisions under the Trade Marks Act 1999.

The Act also provides for the establishment of an Appellate Board to hear and decide appeals from the Registrar's decisions. Here again the provisions are similar to the corresponding provisions under the Trade Marks Act 1999.

However, decisions of the Appellate Board are appealable to the High Court.

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There is provision for Government use of the registered design. The Appellate Board is the authority to decide this question.

Pending the establishment of the Appellate Board, the appellate board constituted under the Trade Marks Act 1999 will have jurisdiction to perform the functions of the board under this Act.

Under the Act infringements of a registered design is also made a criminal offence punishable with imprisonment and fine.

Other provisions for the creation of a registry and registrar to implement the provisions relating to registration and matters incidental thereto are similar to those under the Trade Marks Act 1999.

3 The Geographical Indications of Goods (Registration and Protection) Act 1999

Concept and definition of geographical indication

Under the Trade and Merchandise Marks Act 1958, a geographical name, except in certain cases, is considered *prima facie* not distinctive and is registrable only upon evidence of distinctiveness.

In the Geographical Indications of Goods Act a new concept of geographical names free from the concept of distinctiveness is introduced. In this Act, geographical indication is defined as an indication used to identify the goods, whether natural or manufactured goods emanating from a particular area or territory known for particular quality or characteristics of the goods. Such geographical names if used by any person in relation to goods originating from entirely different places is likely to cause confusion or deception. The Geographical Indications of Goods Act is designed to protect the use of such geographical indication from infringements by others and protect the consumers from confusion and deception through the process of registration of such indication by law. The object of the Geographical Indications of Goods Act is precisely this.

Procedure of registration etc.

The Act provides for registration of geographical indication coming within the scope of the definition under the Act and confers certain rights on the registered proprietors and provides for remedies against infringement of such rights by third parties. The procedure for registration, renewal, removal and restoration are exactly same as those for a trade mark registration under the

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Trade Marks Act 1999. The Act provides also for opposition to the registration. The procedure relating to such opposition is the same as for opposition under the Trade Marks Act. Similarly for rectification of the register, correction of the register, amendment of the register and so on the procedure for geographical indication registration is almost identical with the corresponding provisions under the Trade Marks Act 1999.

Organisational set up for implementation

The registrar of trade marks will be the registrar of geographical indication also. The organizational set up of the geographical indication registry is closely similar to that of the trade marks registry.

However, there are a few important differences from the Trade Marks Act. The registered proprietor of the geographical indication must be an association of persons or of producers or any organization. The users of the registered indication are producers of the goods for which the indication is registered.

The registered proprietors authorize the producers of goods to use the registered indication under appropriate conditions. In this respect it resembles a certification trade mark and collective trade mark.

There will be two registers called Part A and Part B. Part A register will contain particulars of the registered proprietor of particular geographical indication, including the goods for which it is registered and other particulars prescribed under the rules. Part B register will consist of particulars of the users of the registered indication as may be prescribed under the rules.

Infringement

Use of the registered geographical indication by a person who is not an authorized user constitutes infringement. Apart from such use, if the use by the unauthorized person constitute an act of unfair competition or passing off such use also constitutes an act of infringement. The meaning of the expression unfair competition is explained in the Act. The Act also describes certain other forms of infringement of the registered geographical indication. The plaintiff can file a suit for infringement within the jurisdiction of the court where he resides or carries on business.

Assignment

Assignment or transmission of a registered geographical indication is prohibited.

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Protection of marks registered under the Trade Marks Act

Geographical indication is not registrable as trade mark under the Trade Marks Act 1999. However, trade marks consisting of geographical indication already registered before the commencement of this Act or before the date of filing the application for registration under this Act are protected.

Appeals

Appeals from the decision of the Registrar of the geographical indication will lie to the Appellate Board constituted under the Trade Marks Act 1999.

Offences and penalties

The provisions relating to offences and penalties under this Act are similar to those under the Trade Marks Act 1999.

The other provisions of this Act relating to powers of registrar, filing of suit for infringement or passing off and reliefs in such suits are the same as the corresponding provisions under the Trade Marks Act 1999.

Prohibition of registration

The following geographical indications are prohibited from registration—an indications:

(a) the use of which would be likely to deceive or cause confusion, or
(b) the use of which would be contrary to any law for the time being in force, or
(c) which comprises or contains scandalous or obscene matter, or
(d) which comprises or contains any matter likely to hurt the religious susceptibilities of any class or section of the citizens of India; or
(e) which would otherwise be disentitled to protection in a court; or
(f) which are determined to be generic names or indications of goods in a country and are therefore not or ceased to be protected in that country of origin or which have fallen into disuse in that country; or
(g) which although literally true as to the territory, region or locality in which the goods originate, but falsely represent to the persons that the goods originate in another country, region or locality, as the case may be.

What constitutes generic name etc. is explained in the Act.

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Homonymous geographical indications

The registrar has power to register homonymous geographical indications satisfying certain conditions.

Examples of geographical indication

Basmati rice, Banaras Silk, Kancheepuram Silk, Champagne, Scotch, Whisky and Swiss Chocolates are some well known geographical indications.

4 The Protection of Plant Varieties and Farmer's Rights Act 2001

In view of the ever increasing population all over the world, the necessity for increasing agricultural production has become very important. This can be made possible only by creating new varieties of plants which will produce qualitatively and quantitatively higher yields of food grains, pulses, seeds and fruits of all varieties. Creation of such varieties has become possible by scientific research which involves expenditure of money, labour and intellectual effort. To encourage scientific research and create incentive for producing new plant varieties the persons or organizations which produce such varieties should be rewarded either by granting them patent rights or by an effective *sui generis* system. The Government of India have decided to adopt a *sui generis* legislation to give protection to breeders of new varieties of plants. This will be in conformity with the TRIPS agreement. This is the genesis of the above-noted Act.

The Act gives definition of the terms, 'breeder' 'denomination' in relation to a variety or its propagating material, 'essentially derived variety' or its propagating material, 'essential characteristics' of a new variety of plants 'extant variety' 'farmer' germplasm' 'seed', 'variety' in relation to plants, and so on.

The Act provides for registration of new plant varieties satisfying certain criteria in the name of a person claiming to be the breeder of the variety having a particular denomination. Registration gives an exclusive right to the breeder to produce, sell, market, distribute, import or export the variety for three years which may be renewed at a time for three years. This right may be extended to a maximum period of eighteen years by periodical renewals from the date of registration in respect of trees and vines and fifteen years in respect of extant variety and others from the date of registration.

The creation of new plant varieties and their use for agricultural production is a matter of great public interest. In order to implement

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the provisions of the Act, provision is made for the establishment of an Authority, a plant varieties registry manned by a registrar-general and a number of registrars with their respective powers and duties specified. This organizational set up will be under the general control of the Central Government.

Person who can apply for registration

Following persons can make an application for registration.

(a) Any person claiming to be the breeder of the variety, or
(b) any successor of the breeder of the variety, or
(c) any assignee of the breeder of the variety in respect of the right to make such application, or
(d) any farmer or group of farmers or community of farmers claiming to be the breeder of the variety, or
(e) any person authorised by a person mentioned above, or
(f) any university or publicly founded agricultural institution claiming to be the breeder of the variety.

Denomination

The applicant should give a single and distinct denomination to the variety he is seeking registration. The Authority constituted under the Act may make regulations governing the denomination. The denomination assigned by the breeder to the plant variety should satisfy the said regulations. The applicant should cause the variety to be catalogued by the institution or centre notified by the Central Government. The denomination is not registrable as a trade mark.

Requirements of an application

Every application for registration must be in the prescribed form and confined to a single variety. It should state the denomination assigned to the variety. It should be accompanied by an affidavit to the effect that such variety does not contain any gene organic sequence involving terminator technology. It should contain a complete passport data of the parental lines from which the variety has been derived. It should also contain the catalogue number and brief description of the variety bringing out the characteristics of novelty, distinctiveness, uniformity and stability.

Requisites for registration

(1) A new variety will be registered only if it conforms to the criteria of novelty, distinctiveness, uniformity and stability. An extant variety need not satisfy the criteria of novelty.

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(2) No variety will be registered if it contains any gene or gene sequence involving any technology including terminator technology which is injurious to the life or health of human beings, animals or plants.

(3) It should be novel, that is to say at the date of application for registration the propagating of harvested material of such variety has not been sold or otherwise disposed of by the breeder or with his consent for the purpose of exploitation; in India earlier than one year, or outside India in the case of trees and vines, earlier than six years, or in any other case earlier than four years, before the date of filing such application.

(4) It should be distinct in the sense that it is clearly distinguishable by at least one essential characteristics from any other variety commonly known in any country at the time of application.

(5) It should be uniform, i.e. it should be sufficiently uniform in its external characteristics.

(6) It should be stable, i.e. its essential characteristics remain unchanged after repeated propagation.

Prohibition of registration

A new variety will not be registered if the denomination given to such variety—

(*i*) is not capable of identifying such variety, or

(*ii*) consists solely of figures, or

(*iii*) is liable to mislead or to cause confusion concerning the characteristics, value identity of such variety or the identity of breeder of such variety, or

(*iv*) is not different from every denomination which designates a variety of the same botanical species or of a closely related species registered, or

(*v*) is likely to deceive the public or cause confusion in the public regarding the identity of such variety; or

(*vi*) is likely to hurt the religious sentiments respectively of any class or section of the citizens of India, or

(*vii*) is prohibited as a name under the Emblems and Names (Prevention of Improper Use) Act 1950, or

(*viii*) comprised of solely or partly of geographical name, provided that the use in respect of such variety is an honest use.

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Every applicant should furnish to the registrar sufficient quantities of seeds of a variety for the purpose of conducting tests to evaluate whether seeds of such variety along with parental material conform to the standards as may be specified by regulations. The tests may be conducted in the manner prescribed by rules.

Procedure on application

The Act provides for examination of application, advertisement of application and opposition to the registration, registration issue of certificate of registration etc. The procedure for these are substantially similar to those under the Trade Marks Act 1999.

Benefit sharing

The breeder in creating or developing the new variety ordinarily makes use of genetic materials obtained from various persons or organizations who could claim a share of the benefits accruing to the breeder from the commercial exploitation of the new variety. This benefit sharing is determined by the Authority constituted by Government who will by publishing the new varieties registered and calling for applications from persons who claim a share of the benefit. In determining each claimant's share the Authority will take into consideration the extent and nature of the use of the genetic materials of the claimant and the commercial utility and demand in the market for the variety.

Right of registered proprietor to authorize others to use etc. the variety

The breeder who has registered a new variety can authorize others to use it subject to limitations and conditions prescribed by regulations. The agent or licensee who is authorized by the breeder should get himself registered as registered agent or licensee in the prescribed manner.

Exclusion of certain varieties from registration

Where it is necessary to prevent commercial exploitation of certain varieties to protect public order, public morality or human, animal and plant life and health or to avoid serious prejudice to environment, the Central Government by notification specify the genera or species for the purpose of registration of varieties under the Act. Any variety belonging to the genera or species excluded from the notification will not be entitled to my protection under the Act.

Use of registered variety for research

Use of the registered variety is permitted for conducting experiment or research and for the purpose of creating other

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varieties. But, authorization of the breeder is required for repeated use of such variety as a parental line for commercial production of such other newly developed variety.

Farmer's rights

The provisions of the Act will not affect the right of a farmer to save, use, sow, resow, exchange, share or sell his farm produce of a variety protected under the Act. However, a farmer is not entitled to such right where the sale is for the purpose of reproduction under a commercial marketing arrangement.

Convention countries

There are special provisions in the Bill relating to applications from convention countries for granting of breeders' rights. Where any country does not grant to Indian citizens the same rights as it grants to its own nationals in respect of new plant varieties, the nationals of such country will not be entitled to the breeders rights granted under the Act.

Prohibition from production, sale etc. of plant varieties

No person who has not obtained authorization as an agent or licensee from the registered.breeder of any variety and has been registered as such under the Act will be permitted to produce, sell, market, export or import any variety registered under the Act.

Surrender of certificate or registration

A breeder of a variety registered under the Act may make an application for surrender of his certificate of registration to the registrar. The registrar will give notice to all the registered agents and licensees for the variety who may give notice of opposition in the prescribed manner. The registrar after hearing the parties, if satisfied that the certificate may be property, surrendered he may accept the offer and revoke the registration.

Revocation of protection

The Act provides for revocation of protection granted to a variety on any of the specified grounds; on an application by any person interested.

Royalty payments

Every breeder of a variety, agent and licensee registered under the Act will have to pay royalty annually for the retention of their registration under the Act. The quantum of the royalty will be determined by the Authority. Failure to pay the royalty will result in the forfeiture of protection available under registration.

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Rectification and correction of register

The Act provides for rectification or correction of the register on an application by an aggrieved party. The registrar has power to cancel or change registration and to rectify the register. The registrar may on his own motion rectify the register after following the procedure prescribed. These provisions are analogous to corresponding provisions under the Trade Marks Act.

Alteration of denomination of a registered variety

The breeder of a variety registered may apply in the prescribed manner to alter the denomination of such variety in any manner not substantially affecting the identity thereof. The procedure for dealing with such application closely resembles those under the Trade Marks Act.

Compulsory licence

There is provisions for granting compulsory licences in certain circumstances for the production, distribution and sale of the seed or other propagating material of that variety to any person who applies for such licence. The procedure to be followed and the circumstances in which compulsory licence may be granted are analogous to similar provisions under the Trade Marks Act. The power to grant compulsory licences and deal with matters connected therewith is vested in the Authority. The Authority has also power to revoke or modify the compulsory licence as provided under the Act.

Rights of communities

If the people of any village or local community has contributed in the evolution of any variety any person, group of persons or organization may on behalf of that village or local community file in a centre approved by Central Government any claim attributable to the contribution of the people of that village or local community. The Authority after making necessary enquiries and obtaining reports about the claims, if satisfied, will grant suitable compensation which will be deposited by the breeder of the variety in the gene fund constituted under the Act.

Framing of schemes

The Central Government has framed one or more schemes for the following purposes—

(a) The registration of claims and all matters connected therewith;

(b) the processing of such claims for securing their enforcements and matters connected therewith;

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(c) the maintenance of records and registers in respect of such claims;

(d) the utilization by way of disbursal (including apportionment) or otherwise of any amounts received in satisfaction of such claims;

(e) the procedure for disbursal or apportionment by the authority in the event of dispute regarding such claims;

(f) the utilization of benefit sharing for the purposes relating to breeding discovery or development of varieties;

(g) the maintenance and audit of accounts with reference to the amounts referred to in (d) above.

National gene fund

The Central Government will constitute a national gene fund to which will be credited the benefit sharing received from the breeder of a variety, the annual fee payable to the Authority by way of royalty, the compensation deposited in the gene fund, the contribution from any national or international organization and other sources.

The gene fund will be applied for meeting any amount to be paid by way of benefit sharing, the compensation payable, the expenditure for supporting the conservation and sustainable use of genetic resources etc.

Infringement, suit, reliefs, offences and penalties

Any person without authorization of the registered breeder does or perform any of the rights to which the registered breeder has the exclusive right commits an infringement of the breeder's rights. A suit for infringement can be instituted in a District Court. The reliefs available are an injunction and either damages or an account of profits.

The unauthorized use of the denomination of the registered variety is also an offence punishable with imprisonment and fine.

The Act also provides for various matters incidental to the implementation of the provisions contained in the Bill and the administration of the organizational set-up for implementation.

5 The Information Technology Act 2000

Introduction

New communication system and digital technology have made dramatic changes in the way we live. A revolution is occurring

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in the way people transact business. Business and consumers are increasingly using computers to create, transmit and store information in the electronic form instead of traditional paper documents. Information stored in electronic form has many advantages. It is cheaper easier to store, retrieve and speedier to communicate. Although people are aware of these advantages they are reluctant to conduct business or conclude any transaction in the electronic form due to lack of appropriate legal framework. The two principal hurdles which stand in the way of facilitating electronic commerce and electronic governance are the requirements as to writing and signature for legal recognition. At present many legal provisions assume the existence of paper based records and documents and records which should bear signatures. The law of evidence is traditionally based upon paper based records and oral testimony. Since, electronic commerce eliminates the need for paper based transactions, hence to facilitate e-commerce the need for legal changes have become an urgent necessity. International trade through the medium of e-commerce is growing up rapidly in the past few years and many countries have switched over from traditional paper based commerce to e-commerce. (See statement of objects and reasons for enacting the law).

The Information Technology Act 2000 has been designed on the Model Law adopted by the United Nations Commissions on International Trade Law (UNCITRAL).

Authentication of documents

The Act deals with authentication of electronic records by affixing his digital signature. The authentication of the electronic record will be effected by the use of asymmetric cryptosystem and hash function which envelop and transform the initial electronic record into another electronic record;

Hash function means an algorithm mapping or translation of one sequence of bits into another generally smaller, set known as hash result such that an electronic record yields the same hash result every time the algorithm is executed with the same electronic record as its input making it computationally infeasible:

(*a*) To derive or reconstruct the original electronic record from the hash result produced by the algorithm;

(*b*) that two electronic records can produce the same hash result using the algorithm.

Any person by the use of a public key of the subscriber can verify the electronic record.

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The private key and the public key are unique to the subscriber and constituting a functioning key pair. Key pair in an asymmetric cryptosystem means a private key and the mathematically related public key; which are so related that the public key can verify the digital signature created by the private key.

Electronic Governance

The Act provides for legal recognition of electronic records and electronic signature. It permits the use of electronic records and electronic signature in Government and its agencies. Documents which have to be retained for any specific period may be retained in the electronic forum.

Rules, regulations etc. will be published in the official gazette or electronic gazette. There is no compulsion to accept any document in electronic form.

The Central Government has power to make rules in respect of electronic signature. The Act provides for attribution, acknowledgment and dispatch of electronic records and the time and place of dispatch and dispatch of electronic records.

The Act provides for the security of electronic records and of electronic signature.

Implementation of the provisions of the Act

To implement the provisions of the Act the Central Government will appoint a Controller of certifying authorities and sufficient number of Deputy Controllers, Assistant Controllers, other Officers and employees.

The functions of the Controller are specified in the Act.

There is provision for recognizing foreign certifying authority as a certifying authority under the Act.

The Act also provides renewal of the licence, procedure for grant or rejection of licence and suspension or revocation of licence.

The certifying authority should follow the procedure laid down by the Act and ensure the compliance of the Act etc. It should disclose, its electronic signature certificate, any certification practice statement notice of revocation or suspension of its certifying authority certificate, if any, other fact materially and adversely affecting the reliability of a electronic signature certificate which the authority has issued or the authority's ability to perform its services.

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Electronic signature certificates

Electronic signature certificate will be issued by the certifying authority by following the procedure prescribed by Central Government for the purpose. There is provision for suspension of electronic signature certificate and also for revocation of electronic signature certificate in certain circumstances.

Duties of subscriber

A subscriber means a person in whose name the electronic signature certificate is issued. The Act has imposed certain duties on him. The subscriber, *inter alia*, should retain control of the private key corresponding to the public key listed in the electronic signature certificate.

Penalties, compensation and adjudication

If any person without authority accesses any computer or computer systems or computer network, or computer resource downloads copies of extracts, information, introduces any computer contaminant or virus damages my computer system or computer network, he will be liable to pay damages by way of compensation to the person affected. Failure to furnish information, records etc. by a person who is required by the Act or Rules to furnish the said material is punishable with a penalty not exceeding ten thousand rupees for every day during which the failure continues.

The Central Government will appoint suitable persons to adjudicate matters relating to any contravention of the provisions of the Act or the rules framed thereunder.

Cyber Appellate Tribunal

The Central Government will establish appellate tribunals to deal with appeals from any person aggrieved by any order of the controller or adjudicating officer. An appeal from the decision of this tribunal will lie to the High Court.

Offences and penalties

Tampering with computer source documents, computer related offences, sending offensive messages through communication service, identity theft, cheating by personation by using computer resource, violation of privacy, cyber terrorism, publishing of information which is obscene in electronic form, are offences under the Act and punishable with imprisonment and fine.

Penalty of imprisonment and fine

Penalty of imprisonment and fine is also provided for misrepresentation, breach of confidentiality and privacy,

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disclosure of information in breach of lawful contract, publishing of electronic signature certificate false in certain particulars, publication etc. of a electronic signature certificate for fraudulent purpose.

Exemption from liability of intermediary

An intermediary shall not be liable for any third party information, data or communication link made available or hosted by him, if his function is limited to providing access to a communication system over which information made available by third parties.

Powers of police officers, to enter search etc.

Certain police officers have been given the power to enter any public place and search and arrest without any warrant any person, found therein who is reasonably suspected of having committed or of committing any offence under the Act.

Cyber Regulations Advisory Committee

The Central Government will constitute a Cyber Regulations Advisory Committee to advise the Central Government as regards any rules or any other purpose connected with the Act. The Controller may after consultation with this committee and with the approval of Central Government make regulation consistent with the Act and the rules made thereunder.

Amendments to certain Acts

The Act provides for amendment of the following Acts to harmonize with the Information Technology Act with reference to particularly the use of electronic record and electronic signatures.

(1) Indian Penal Code.
(2) Indian Evidence Act.
(3) Banker's Books Evidence Act.
(4) Reserve Bank of India Act.

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Appendices

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APPENDIX

1

The Patents Act, 1970

As Amended by the Patents (Amendment) Act, 2005

An Act to amend and consolidate the law relating to patents.

BE it enacted by Parliament in the Twenty-first Year of the Republic of India as follows:

CHAPTER I
PRELIMINARY

1. Short title, extent and commencement. (1) This Act may be called the Patents Act, 1970.

(2) It extends to the whole of India.

(3) It shall come into force on such date as the Central Government may, by notification in the Official Gazette, appoint:

Provided that different dates may be appointed for different provisions of this Act, and any reference in any such provision to the commencement of this Act shall be construed as a reference to the coming into force of that provision.

2. Definitions and interpretation. (1) In this Act, unless the context otherwise requires,—

(a) "Appellate Board" means the Appellate Board referred to in section 116;

(ab) "assignee" includes an assignee of the assignee and the legal representative of a deceased assignee and references to the assignee of any person include references to the assignee of the legal representative or assignee of that person;

(aba) "Budapest Treaty" means the Budapest Treaty on the International Recognition of the Deposit of Micro-organisms for the Purposes of Patent Procedure done at Budapest on 28th day of April, 1977, as amended and modified from time to time;

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(*ac*) "capable of industrial application", in relation to an invention, means that the invention is capable of being made or used in an industry;

(*b*) "Controller" means the Controller General of Patents, Designs and Trade Marks referred to in section 73;

(*c*) "convention application" means an application for a patent made by virtue of section 135;

(*d*) "convention country" means a country or a country which is a member of a group of countries or a union of countries or an Inter-governmental organisation referred to as a convention country in section 133;

(*e*) "district court" has the meaning assigned to that expression by the Code of Civil Procedure, 1908 (5 of 1908);

(*f*) "exclusive licence" means a licence from a patentee which confers on the licensee, or on the licensee and persons authorised by him, to the exclusion of all other persons (including the patentee), any right in respect of the patented invention, and exclusive licensee shall be construed accordingly;

(*g*) *Omitted.*

(*h*) "Government undertaking" means any industrial undertaking carried on—

(*i*) by a department of the Government, or

(*ii*) by a corporation established by a Central, Provincial or State Act, which is owned or controlled by the Government, or

(*iii*) by a Government company as defined in section 617 of the Companies Act, 1956, or

(*iv*) by an institution wholly or substantially financed by the Government;

(*i*) "High Court", in relation to a State or Union territory, means the High Court having territorial jurisdiction in that State or Union territory, as the case may be;

(*ia*) "international application" means an application for patent made in accordance with the Patent Cooperation Treaty;

(*j*) "invention" means a new product or process involving an inventive step and capable of industrial application;

(*ja*) "inventive step" means a feature of an invention that involves technical advance as compared to the existing knowledge or having economic significance or both and that makes the invention not obvious to a person skilled in the art;

(*k*) "legal representative" means a person who in law represents the estate of a deceased person;

(*l*) "new invention" means any invention or technology which has not been anticipated by publication in any document or used in the country or elsewhere in the world before the date of filling of patent application with complete specification, *i.e.*, the subject matter has not fallen in public domain or that it does not form part of the state of the art;

(*la*) "Opposition Board" means an Opposition Board constituted under sub-section (4) of section 25;

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(m) "patent" means a patent for any invention granted under this Act;

(n) "patent agent" means a person for the time being registered under this Act as a patent agent;

(o) "patented article" and "patented process" means respectively an article or process in respect of which a patent is in force;

(oa) "Patent Cooperation Treaty" means the Patent Cooperation Treaty done at Washington on the 19th day of June, 1970 as amended and modified from time to time";

(p) "patentee" means the person for the time being entered on the register as the grantee or proprietor of the patent;

(q) "patent of addition" means a patent granted in accordance with section 54;

(r) "patent office" means the patent office referred to in section 74;

(s) "person" includes the Government;

(t) "person interested" includes a person engaged in, or in promoting, research in the same field as that to which the invention relates;

(ta) "pharmaceutical substance" means any new entity involving one or more inventive steps;

(u) "prescribed" means,—

(A) in relation to proceedings before a High Court, prescribed by rules made by the High Court;

(B) in relation to proceedings before the Appellate Board, prescribed by rules made by the Appellate Board; and

(C) in other cases, prescribed by rules made under this Act;

(v) "prescribed manner" includes the payment of the prescribed fee;

(w) "priority date" has the meaning assigned to it by section 11;

(x) "register" means the register of patents referred to in section 67;

(y) "true and first inventor" does not include either the first importer of an invention into India, or a person to whom an invention is first communicated from outside India.

(2) In this Act, unless the context otherwise requires, any reference—

(a) to the Controller shall be construed as including a reference to any officer discharging the functions of the Controller in pursuance of section 73;

(b) to the patent office shall be construed as including a reference to any branch office of the patent office.

CHAPTER II

INVENTIONS NOT PATENTABLE

3. **What are not inventions.** The following are not inventions within the meaning of this Act,—

(a) an invention which is frivolous or which claims anything obviously contrary to well established natural laws;

(b) an invention the primary or intended use or commercial exploitation of which could be contrary public order or morality or which causes serious prejudice to human, animal or plant life or health or to the environment;

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(*c*) the mere discovery of a scientific principle or the formulation of an abstract theory or discovery of any living thing or non-living substances occurring in nature;

(*d*) the mere discovery of a new form of a known substance which does not result in the enhancement of the known efficacy of that substance or the mere discovery of any new property or new use for a known substance or of the mere use of a known process, machine or apparatus unless such known process results in a new product or employs at least one new reactant;

Explanation. For the purposes of this clause, salts, esters, ethers, polymorphs, metabolities, pure form, particle size, isomers, mixtures of isomers, complexes, combinations and other derivatives of known substance shall be considered to be the same substance, unless they differ significantly in properties with regard to efficacy;

(*e*) a substance obtained by a mere admixture resulting only in the aggregation of the properties of the components thereof or a process for producing such substance;

(*f*) the mere arrangement or re-arrangement or duplication of known devices each functioning independently of one another in a known way;

(*g*) *Omitted.*

(*h*) a method of agriculture or horticulture;

(*i*) any process for the medicinal, surgical, curative, prophylactic diagnostic, therapeutic or other treatment of human beings or any process for a similar treatment of animals ...to render them free of disease or to increase their economic value or that of their products;

(*j*) plants and animals in whole or any part thereof other than micro-organisms but including seeds, varieties and species and essentially biological processes for production or propagation of plants and animals;

(*k*) a mathematical or business method or a computer programe *per se* or algorithms;

(*l*) a literary, dramatic, musical or artistic work or any other aesthetic creation whatsoever including cinematographic works and television productions;

(*m*) a mere scheme or rule or method of performing mental act or method of playing game;

(*n*) a presentation of information;

(*o*) topography of integrated circuits;

(*p*) an invention which in effect, is traditional knowledge or which is an aggregation or duplication of known properties of traditionally known component or components.

4. Inventions relating to atomic energy not patentable. No patent shall be granted in respect of an invention relating to atomic energy falling within sub-section (1) of section 20 of the Atomic Energy Act, 1962 (33 of 1962).

5. Inventions where only methods or processes of manufacture patentable. Repealed by the Patents (Amendment) Act, 2005 (*w.r.e.f.* 1.1.2005).

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CHAPTER III

APPLICATIONS FOR PATENTS

6. Persons entitled to apply for patents. (1) Subject to the provisions contained in section 134, an application for a patent for an invention may be made by any of the following persons, that is to say,—

(a) by any person claiming to be the true and first inventor of the invention;

(b) by any person being the assignee of the person claiming to be the true and first inventor in respect of the right to make such an application;

(c) by the legal representative of any deceased person who immediately before his death was entitled to make such an application.

(2) An application under sub-section (1) may be made by any of the persons referred to therein either alone or jointly with any other person.

7. Form of application. (1) Every application for a patent shall be for one invention only and shall be made in the prescribed form and filed in the patent office.

(1A) Every international application under the Patent Cooperation Treaty for a patent, as may be filed designating India shall be deemed to be an application under this Act, if a corresponding application has also been filed before the Controller in India.

(1B) The filing date of an application referred to in sub-section (1A) and its complete specification processed by the patent office as designated office or elected office shall be the international filing date accorded under the Patent Cooperation Treaty.

(2) Where the application is made by virtue of an assignment of the right to apply for a patent for the invention, there shall be furnished with the application, or within such period as may be prescribed after the filing of the application, proof of the right to make the application.

(3) Every application under this section shall state that the applicant is in possession of the invention and shall name the person claiming to be the true and first inventor; and where the person so claiming is not the applicant or one of the applicants, the application shall contain a declaration that the applicant believes the person so named to be the true and first inventor.

(4) Every such application (not being a convention application or an application filed under the Patent Cooperation Treaty designating India) shall be accompanied by a provisional or a complete specification.

8. Information and undertaking regarding foreign applications. (1) Where an applicant for a patent under this Act is prosecuting either alone or jointly with any other person an application for a patent in any country outside India in respect of the same or substantially the same invention, or where to his knowledge such an application is being prosecuted by some person through whom he claims or by some person deriving title from him, he shall file along with his application or subsequently within the prescribed period as the Controller may allow—

(a) a statement setting out detailed particulars of such application; and

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(*b*) an undertaking that, upto the date of grant of patent in India, he would keep the Controller informed in writing, from time to time, of detailed particulars as required under clause (a) in respect of every other application relating to the same or substantially the same invention, if any, filed in any country outside India subsequently to the filing of the statement referred to in the aforesaid clause, within the prescribed time.

(2) At any time after an application for patent is filed in India and till the grant of a patent or refusal to grant of patent made thereon, the Controller may also require the applicant to furnish details, as may be prescribed, relating to the processing of the application in a country outside India, and in that event the applicant shall furnish to the Controller information available to him within such period as may be prescribed.

9. Provisional and complete specifications. (1) Where an application for a patent (not being a convention application or an application filed under the Patent Cooperation Treaty designating India) is accompanied by a provisional specification, a complete specification shall be filed within twelve months from the date of filing of the application, and if the complete specification is not so filed, the application shall be deemed to be abandoned.

(2) Where two or more applications in the name of the same applicant are accompanied by provisional specifications in respect of inventions which are cognate or of which one is a modification of another and the Controller is of opinion that the whole of such inventions are such as to constitute a single invention and may properly be included in one patent, he may allow one complete specification to be filed in respect of all such provisional specifications.

Provided that the period of time specified under sub-section (1) shall be reckoned from the date of filing of the earliest provisional specification.

(3) Where an application for a patent (not being a convention application or an application filed under the Patent Cooperation Treaty designating India) is accompanied by a specification purporting to be a complete specification, the Controller may, if the applicant so requests at any time within twelve months from the date of filing of the application, direct that such specification shall be treated, for the purposes of this Act, as a provisional specification and proceed with the application accordingly.

(4) Where a complete specification has been filed in pursuance of an application for a patent accompanied by a provisional specification or by a specification treated by virtue of a direction under sub-section (3) as a provisional specification, the Controller may, if the applicant so requests at any time before grant of patent, cancel the provisional specification and post-date the application to the date of filing of the complete specification.

10. Contents of specifications. (1) Every specification, whether provisional or complete, shall describe the invention and shall begin with a title sufficiently indicating the subject-matter to which the invention relates.

(2) Subject to any rules that may be made in this behalf under this Act, drawings may, and shall, if the Controller so requires, be supplied for the purposes of any specification, whether complete or provisional; and any drawings so supplied shall, unless the Controller otherwise directs, be deemed to form part of the specification, and references in this Act to a specification shall be construed accordingly.

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(3) If, in any particular case, the Controller considers that an application should be further supplemented by a model or sample of anything illustrating the invention or alleged to constitute an invention, such model or sample as he may require shall be furnished before the application is found in order for grant of a patent, but such model or sample shall not be deemed to form part of the specification.

(4) Every complete specification shall—

(*a*) fully and particularly describe the invention and its operation or use and the method by which it is to be performed;

(*b*) disclose the best method of performing the invention which is known to the applicant and for which he is entitled to claim protection; and

(*c*) end with a claim or claims defining the scope of the invention for which protection is claimed.

(*d*) be accompanied by an abstract to provide technical information on the invention:

Provided that—

(*i*) the Controller may amend the abstract for providing better information to third parties; and

(*ii*) if the applicant mentions a biological material in the specification which may not be described in such a way as to satisfy clauses (*a*) and (*b*), and if such material is not available to the public, the application shall be completed by depositing the material to an international depository authority under the Budapest Treaty and by fulfilling the following conditions, namely:

(A) the deposit of the material shall be made not later than the date of filing the patent application in India and a reference thereof shall be made in the specification within the prescribed period;

(B) all the available characteristics of the material required for it to be correctly identified or indicated are included in the specification including the name, address of the depository institution and the date and number of the deposit of the material at the institution;

(C) access to the material is available in the depository institution only after the date of the application of patent in India or if a priority is claimed after the date of the priority;

(D) disclose the source and geographical origin of the biological material in the specification, when used in an invention.

(4A) In case of an international application designating India, the title, description, drawings, abstract and claims filed with the application shall be taken as the complete specification for the purposes of this Act.

(5) The claim or claims of a complete specification shall relate to a single invention, or to a group of inventions linked so as to form a single inventive concept, shall be clear and succinct and shall be fairly based on the matter disclosed in the specification.

(6) A declaration as to the inventorship of the invention shall, in such cases as may be prescribed, be furnished in the prescribed form with the complete

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specification or within such period as may be prescribed after the filing of that specification.

(7) Subject to the foregoing provisions of this section, a complete specification filed after a provisional specification may include claims in respect of developments of, or additions to, the invention which was described in the provisional specification, being developments or additions in respect of which the applicant would be entitled under the provisions of section 6 to make a separate application for a patent.

11. Priority dates of claims of a complete specification. (1) There shall be a priority date of each claim of a complete specification.

(2) Where a complete specification is filed in pursuance of a single application accom-panied by—

(*a*) a provisional specification; or

(*b*) a specification which is treated by virtue of a direction under sub-section (3) of section 9 as a provisional specification,

and the claim is fairly based on the matter disclosed in the specification referred to in clause (*a*) or clause (*b*), the priority date of that claim shall be the date of the filing of the relevant specification.

(3) Where the complete specification is filed or proceeded with in pursuance of two or more applications accompanied by such specifications as are mentioned in sub-section (2) and the claim is fairly based on the matter disclosed—

(*a*) in one of those specifications, the priority date of the claim shall be the date of the filing of the application accompanied by that specification;

(*b*) partly in one and partly in another, the priority date of that claim shall be the date of the filing of the application accompanied by the specification of the later date.

(3A) Where a complete specification based on a previously filed application in India has been filed within twelve months from the date of that application and the claim is fairly based on the matter disclosed in the previously filed application, the priority date of that claim shall be the date of the previously filed application in which the matter was first disclosed.

(4) Where the complete specification has been filed in pursuance of a further application made by virtue of sub-section (1) of section 16 and the claim is fairly based on the matter disclosed in any of the earlier specifications, provisional or complete, as the case may be, the priority date of that claim shall be the date of the filing of that specification in which the matter was first disclosed.

(5) Where, under the foregoing provisions of this section, any claim of a complete specification would, but for the provisions of this sub-section, have two or more priority dates, the priority date of that claim shall be the earlier or earliest of those dates.

(6) In any case to which sub-sections (2), (3),(3A), (4) and (5) do not apply, the priority date of a claim shall, subject to the provisions of section 137, be the date of filing of the complete specification.

(7) The reference to the date of the filing of the application or of the complete specification in this section shall, in cases where there has been post-dating under section 9 or section 17 or, as the case may be, an antedating under section 16, be a reference to the date as so post-dated or ante-dated.

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(8) A claim in a complete specification of a patent shall not be invalid by reason only of—

(a) the publication or use of the invention, so far as claimed in that claim, on or after the priority date of such claim; or

(b) the grant of another patent which claims the invention, so far as claimed in the first mentioned claim, if a claim of the same or a later priority date.

CHAPTER IV

PUBLICATION AND EXAMINATION OF APPLICATIONS

11A. Publication of applications. (1) Save as otherwise provided, no application for patent shall ordinarily be open to the public for such period as may be prescribed.

(2) The applicant may, in the prescribed manner, request the Controller to publish his application at any time before the expiry of the period prescribed under sub-section (1) and subject to the provisions of sub-section (3), the Controller shall publish such application as soon as possible.

(3) Every application for a patent shall, on the expiry of the period specified under sub-section (1), be published, except in cases where the application—

(a) in which secrecy direction is imposed under section 35; or

(b) has been abandoned under sub-section (1) of section 9; or

(c) has been withdrawn three months prior to the period specified under sub-section (1).

(4) In case a secrecy direction has been given in respect of an application under section 35, then it shall be published after the expiry of the period prescribed under sub-section (1) or when the secrecy direction has ceased to operate, whichever is later.

(5) The publication of every application under this section shall include the particulars of the date of application, number of application, name and address of the applicant identifying the application and an abstract.

(6) Upon publication of an application for a patent under this section—

(a) the depository institution shall make the biological material mentioned in the specification available to the public;

(b) the patent office may, on payment of such fee as may be prescribed, make the specification and drawings, if any, of such application available to the public.

(7) On and from the date of publication of the application for patent and until the date of grant of a patent in respect of such application, the applicant shall have the like privileges and rights as if a patent for the invention had been granted on the date of publication of the application:

Provided that the applicant shall not be entitled to institute any proceedings for infringement until the patent has been granted:

Provided further that the rights of a patentee in respect of applications made under sub-section (2) of section 5 before the 1st day of January, 2005 shall accrue from the date of grant of the patent:

Provided also that a patent is granted in respect of applications made under sub-section (2) of section 5, the patent-holder shall only be entitled to receive reasonable royalty from such enterprises which have made significant investment and were producing and marketing the concerned product prior to

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the 1st day of January, 2005 and which continue to manufacture the product covered by the patent on the date of grant of the patent and no infringement proceedings shall be instituted against such enterprises.

11B. Request for examination. (1) No application for a patent shall be examined unless the applicant or any other interested persons makes a request in the prescribed manner for such examination within the prescribed period.

(2) *Omitted.*

(3) In case of an application in respect of a claim for a patent filed under sub-section (2) of section 5 before the 1st day of January, 2005 a request for its examination shall be made in the prescribed manner and within the prescribed period by the applicant or any other interested person.

(4) In case the applicant or any other interested person does not make a request for examination of the application for a patent within the period as specified under sub-section (1) *... or sub-section (3), the application shall be treated as withdrawn by the applicant:

Provided that—

(*i*) the applicant may, at any time after filing the application but before the grant of a patent, withdraw the application by making a request in the prescribed manner; and

(*ii*) in a case where secrecy direction has been issued under section 35, the request for examination may be made within the prescribed perid from the date of revocation of the secrecy direction.

12. Examination of application. (1) When a request for examination has been made in respect of an application for a patent in the prescribed manner under sub-section (1) or sub-section (3) of section 11B, the application and specification and other documents related thereto shall be referred at the earliest by the Controller to an examiner for making a report to him in respect of the following matters, namely:

(*a*) whether the application and the specification and other documents relating thereto are in accordance with the requirements of this Act and of any rules made thereunder;

(*b*) whether there is any lawful ground of objection to the grant of the patent under this Act in pursuance of the application;

(*c*) the result of investigations made under section 13; and

(*d*) any other matter which may be prescribed.

(2) The examiner to whom the application and the specification and other documents relating thereto are referred under sub-section (1) shall ordinarily make the report to the Controller within such period as may be prescribed.

13. Search for anticipation by previous publication and by prior claim. (1) The examiner to whom an application for a patent is referred under section 12 shall make investigation for the purpose of ascertaining whether the invention so far as is claimed in any claim of the complete specification—

(*a*) has been anticipated by publication before the date of filing of the applicant's complete specification in any specification filed in pursuance of an application for a patent made in India and dated on or after the 1st day of January, 1912;

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(b) is claimed in any claim of any other complete specification published on or after the date of filing of the applicant's complete specification, being a specification filed in pursuance of an application for a patent made in India and dated before or claiming the priority date earlier than that date.

(2) The examiner shall, in addition, make such investigation "... for the purpose of ascertaining whether the invention, so far as claimed in any claim of the complete specification, has been anticipated by publication in India or elsewhere in any document other than those mentioned in sub-section (1) before the date of filing of the applicant's complete specification.

(3) Where a complete specification is amended under the provisions of this Act before the grant of patent, the amended specification shall be examined and investigated in like manner as the original specification.

(4) The examination and investigations required under section 12 and this section shall not be deemed in any way to warrant the validity of any patent, and no liability shall be incurred by the Central Government or any officer thereof by reason of, or in connection with, any such examination or investigation or any report or other proceedings consequent thereon.

14. Consideration of the report of examiner by Controller. Where, in respect of an application for a patent, the report of the examiner received by the Controller is adverse to the applicant or requires any amendment of the application, the specification or other documents to ensure compliance with the provisions of this Act or of the rules made thereunder, the Controller, before proceeding to dispose of the application in accordance with the provisions hereinafter appearing, shall communicate as expeditiously as possible the gist of the objections to the applicant and shall, if so required by the applicant within the prescribed period, give him an opportunity of being heard.

15. Power of Controller to refuse or require amended applications, etc., in certain case. Where the Controller is satisfied that the application or any specification or any other document filed in pursuance thereof does not comply with the requirements of this Act or of any rules made thereunder, the Controller may refuse the application or may require the application, specification or the other documents, as the case may be, to be amended to his satisfaction before he proceeds with the application and refuse the application on failure to do so.

16. Power of Controller to make orders respecting division of application. (1) A person who has made an application for a patent under this Act may, at any time before the grant of the patent, if he so desires, or with a view to remedy the objection raised by the Controller on the ground that the claims of the complete specification relate to more than one invention, file a further application in respect of an invention disclosed in the provisional or complete specification already filed in respect of the first mentioned application.

(2) The further application under sub-section (1) shall be accompanied by a complete specification, but such complete specification shall not include any matter not in substance disclosed in the complete specification filed in pursuance of the first mentioned application.

(3) The Controller may require such amendment of the complete specification filed in pursuance of either the original or the further application as may be necessary to ensure that neither of the said complete specifications includes a claim for any matter claimed in the other.

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Explanation. For the purposes of this Act, the further application and the complete specification accompanying it shall be deemed to have been filed on the date on which the first mentioned application had been filed, and the further application shall be proceeded with as a substantive application and be examined when the request for examination is filed within the prescribed period.

17. Power of Controller to make orders respecting dating of application. (1) Subject to the provisions of section 9, at any time after the filing of an application and before the grant of the patent under this Act, the Controller may, at the request of the applicant made in the prescribed manner, direct that the application shall be post-dated to such date as may be specified in the request, and proceed with the application accordingly:

Provided that no application shall be post-dated under this sub-section to a date later than six months from the date on which it was actually made or would, but for the provisions of this sub-section, be deemed to have been made.

(2) Where an application or specification (including drawings) or any other document is required to be amended under section 15, the application or specification or other document shall, if the Controller so directs, be deemed to have been made on the date on which the requirement is complied with or where the application or specification or other document is returned to the applicant, on the date on which it is refiled after complying with the requirement.

18. Powers of Controller in cases of anticipation. (1) Where it appears to the Controller that the invention so far as claimed in any claim of the complete specification has been anticipated in the manner referred to in clause (*a*) of sub-section (1) or sub-section (2) of section 13, he may refuse to the application unless the applicant—

(*a*) shows to the satisfaction of the Controller that the priority date of the claim of his complete specification is not later than the date on which the relevant document was published; or

(*b*) amends his complete specification to the satisfaction of the Controller.

(2) If it appears to the Controller that the invention is claimed in a claim of any other complete specification referred to in clause (*b*) of sub-section (1) of section 13, he may, subject to the provisions hereinafter contained, direct that a reference to that other specification shall be inserted by way of notice to the public in the applicant's complete specification unless within such time as may be prescribed,—

(*a*) the applicant shows to the satisfaction of the Controller that the priority date of his claim is not later than the priority date of the claim of the said other specification; or

(*b*) the complete specification is amended to the satisfaction of the Controller.

(3) If it appears to the Controller, as a result of an investigation under section 13 or otherwise,—

(*a*) that the invention so far as claimed in any claim of the applicant's complete specification has been claimed in any other complete specification referred to in clause (*a*) of sub-section (1) of section 13; and

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(*b*) that such other complete specification was published on or after the priority date of the applicant's claim,

then, unless it is shown to the satisfaction of the Controller that the priority date of the applicant's claim is not later than the priority date of the claim of that specification, the provisions of sub-section (2) shall apply thereto in the same manner as they apply to a specification published on or after the date of filing of the applicant's complete specification.

(4) *Omitted.*

19. Powers of Controller in cases of potential infringement. (1) If, in consequence of the investigations required under this Act, it appears to the Controller that an invention in respect of which an application for a patent has been made cannot be performed without substantial risk of infringement of a claim of any other patent, he may direct that a reference to that other patent shall be inserted in the applicant's complete specification by way of notice to the public, unless within such time as may be prescribed—

(*a*) the applicant shows to the satisfaction of the Controller that there are reasonable grounds for contesting the validity of the said claim of the other patent; or

(*b*) the complete specification is amended to the satisfaction of the Controller.

(2) Where, after a reference to another patent has been inserted in a complete specification in pursuance of a direction under sub-section (1)—

(*a*) that other patent is revoked or otherwise ceases to be in force; or

(*b*) the specification of that other patent is amended by the deletion of the relevant claim; or

(*c*) it is found, in proceedings before the court or the Controller, that the relevant claim of that other patent is invalid or is not infringed by any working of the applicant's invention,

the Controller may, on the application of the applicant, delete the reference to that other patent.

20. Powers of Controller to make orders regarding substitution of applicants, etc. (1) If the Controller is satisfied, on a claim made in the prescribed manner at any time before a patent has been granted, that by virtue of any assignment or agreement in writing made by the applicant or one of the applicants for the patent or by operation of law, the claimant would, if the patent were then granted, be entitled thereto or to the interest of the applicant therein, or to an undivided share of the patent or of that interest, the Controller may, subject to the provisions of this section, direct that the application shall proceed in the name of the claimant or in the names of the claimants and the applicant or the other joint applicant or applicants, according as the case may require.

(2) No such direction as aforesaid shall be given by virtue of any assignment or agreement made by one of two or more joint applicants for a patent except with the consent of the other joint applicant or applicants.

(3) No such direction as aforesaid shall be given by virtue of any assignment or agreement for the assignment of the benefit of an invention unless—

(*a*) the invention is identified therein by reference to the number of the application for the patent; or

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(*b*) there is produced to the Controller an acknowledgment by the person by whom the assignment or agreement was made that the assignment or agreement relates to the invention in respect of which that application is made; or

(*c*) the rights of the claimant in respect of the invention have been finally established by the decision of a court; or

(*d*) the Controller gives directions for enabling the application to proceed or for regulating the manner in which it should be proceeded with under sub-section (5).

(4) Where one of two or more joint applicants for a patent dies at any time before the patent has been granted, the Controller may, upon a request in that behalf made by the survivor or survivors, and with the consent of the legal representative of the deceased, direct that the application shall proceed in the name of the survivor or survivors alone.

(5) If any dispute arises between joint applicants for a patent whether or in what manner the application should be proceeded with, the Controller may, upon application made to him in the prescribed manner by any of the parties, and after giving to all parties concerned an opportunity to be heard, give such directions as he thinks fit for enabling the application to proceed in the name of one or more of the parties alone or for regulating the manner in which it should be proceeded with, or for both those purposes, as the case may require.

21. Time for putting application in order for grant. (1) An application for a patent shall be deemed to have been abandoned unless, within such peiod as may be prescribed, the applicant has complied with all the requirements imposed on him by or under this Act, whether in connection with the complete specification or otherwise in relation to the application from the date on which the first statement of objections to the application or complete specification or other documents related thereto is forwarded to the applicant by the Controller.

Explanation. Where the application for a patent or any specification or, in the case of a convention application or an application filed under the Patent Cooperation Treaty designating India any document filed as part of the application has been returned to the applicant by the Controller in the course of the proceedings, the applicant shall not be deemed to have complied with such requirements unless and until he has re-filed it or the applicant proves to the satisfaction of the Controller that for the reasons beyond his control such document could not be re-filed.

(2) If at the expiration of the period as prescribed under sub-section (1),—

(*a*) an appeal to the High Court is pending in respect of the application for the patent for the main invention; or

(*b*) in the case of an application for a patent of addition, an appeal to the High Court is pending in respect of either that application or the application for the main invention, the time within which the requirements of the Controller shall be complied with shall, on an application made by the applicant before the expiration of the period as prescribed under sub-section (1), be extended until such date as the High Court may determine.

(3) If the time within which the appeal mentioned in sub-section (2) may be instituted has not expired, the Controller may extend the period as prescribed under sub-section (1), to such further period as he may determine:

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Provided that if an appeal has been filed during the said further period, and the High Court has granted any extension of time for complying with the requirements of the Controller, then the requirements may be complied with within the time granted by the Court.

22. Acceptance of complete specification. Repealed by the Patents (Amendment) Act, 2005 (w.r.e.f. 1.1.2005).

23. Advertisement of acceptance of complete specification. Repealed by the Patents (Amendment) Act, 2005 (w.r.e.f. 1.1.2005).

24. Effect of acceptance of complete specification. Repealed by the Patents (Amendment) Act, 2005 (w.r.e.f. 1.1.2005).

CHAPTER IVA

Repealed by the Patents (Amendment) Act, 2005 (15 of 2005) (w.r.e.f. 1.1.2005).

24A. Application for grant of exclusive rights. Repealed by the Patents (Amendment) Act, 2005 (w.r.e.f. 1.1.2005).

24B. Grant of exclusive rights. Repealed by the Patents (Amendment) Act, 2005 (w.r.e.f. 1.1.2005).

24C. Compulsory licences. Repealed by the Patents (Amendment) Act, 2005 (w.r.e.f. 1.1.2005).

24D. Special provision for selling or distribution. Repealed by the Patents (Amendment) Act, 2005 (w.r.e.f. 1.1.2005).

24E. Suits relating to infringements. Repealed by the Patents (Amendment) Act, 2005 (w.r.e.f. 1.1.2005).

24F. Central Government and its officers not to be liable. Repealed by the Patents (Amendment) Act, 2005 (w.r.e.f. 1.1.2005).

CHAPTER V

OPPOSITION PROCEEDINGS TO GRANT OF PATENTS

25. Opposition to the patent. (1) Where an application for a patent has been published but a patent has not been granted, any person may, in writing, represent by way of opposition to the Controller against the grant of patent on the ground of—

(a) that the applicant for the patent or the person under or through whom he claims, wrongfully obtained the invention or any part thereof from him or from a person under or through whom he claims;

(b) that the invention so far as claimed in any claim of the complete specification has been published before the priority date of the claim—

(i) in any specification filed in pursuance of an application for a patent made in India on or after the 1st day of January, 1912; or

(ii) in India or elsewhere, in any other document:

Provided that the ground specified in sub-clause (ii) shall not be available where such publication does not constitute an anticipation of the invention by virtue of sub-section (2) or sub-section (3) of section 29;

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(*c*) that the invention so far as claimed in any claim of the complete specification is claimed in a claim of a complete specification published on or after priority date of the applicant's claim and filed in pursuance of an application for a patent in India, being a claim of which the priority date is earlier than that of the applicant's claim;

(*d*) that the invention so far as claimed in any claim of the complete specification was publicly known or publicly used in India before the priority date of that claim.

Explanation.—For the purposes of this clause, an invention relating to a process for which a patent is claimed shall be deemed to have been publicly known or publicly used in India before the priority date of the claim if a product made by that process had already been imported into India before that date except where such importation has been for the purpose of reasonable trial or experiment only;

(*e*) that the invention so far as claimed in any claim of the complete specification is obvious and clearly does not involve any inventive step, having regard to the matter published as mentioned in clause (*b*) or having regard to what was used in India before the priority date of the applicant's claim;

(*f*) that the subject of any claim of the complete specification is not an invention within the meaning of this Act, or is not patentable under this Act;

(*g*) that the complete specification does not sufficiently and clearly describe the invention or the method by which it is to be performed;

(*h*) that the applicant has failed to disclose to the Controller the information required by section 8 or has furnished the information which in any material particular was false to his knowledge;

(*i*) that in the case of a convention application, the application was not made within twelve months from the date of the first application for protection for the invention made in a convention country by the applicant or a person from whom he derives title;

(*j*) that the complete specification does not disclose or wrongly mentions the source or geographical origin of biological material used for the invention;

(*k*) that the invention so far as claimed in any claim of the complete specification is anticipated having regard to the knowledge, oral or otherwise, available within any local or indigenous community in India or elsewhere,

but on no other ground, and the Controller shall, if requested by such person for being heard, hear him and dispose of such representation in such manner and within such period as may be prescribed.

(2) At any time after the grant of patent but before the expiry of a period of one year from the date of publication of grant of a patent, any person interested may give notice of opposition to the Controller in the prescribed manner on any of the following grounds, namely:

(a) that the patentee or the person under or through whom he claims wrongfully obtained the invention or any part thereof from him or from a person under or through whom he claims;

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(*b*) that the invention so far as claimed in any claim of the complete specification has been published before the priority date of the claim—

(*i*) in any specification filed in pursuance of an application for a patent made in India on or after the 1st day of January, 1912; or

(*ii*) in India or elsewhere, in any other document:

Provided that the ground specified in sub-clause (*ii*) shall not be available where such publication does not constitute an anticipation of the invention by virtue of sub-section (2) or sub-section (3) of section 29;

(*c*) that the invention so far as claimed in any claim of the complete specification is claimed in a claim of a complete specification published on or after the priority date of the claim of the patentee and filed in pursuance of an application for a patent in India, being a claim of which the priority date is earlier than that of the claim of the patentee;

(*d*) that the invention so far as claimed in any claim of the complete specification was publicly known or publicly used in India before the priority date of that claim.

Explanation. For the purposes of this clause, an invention relating to a process for which a patent is claimed shall be deemed to have been publicly known or publicly used in India before the priority date of the claim if a product made by that process had already been imported into India before that date except where such importation has been for the purpose of reasonable trial or experiment only;

(*e*) that the invention so far as claimed in any claim of the complete specification is obvious and clearly does not involve any inventive step, having regard to the matter published as mentioned in clause (*b*) or having regard to what was used in India before the priority date of the applicant's claim;

(*f*) that the subject of any claim of the complete specification is not an invention within the meaning of this Act, or is not patentable under this Act;

(*g*) that the complete specification does not sufficiently and clearly describe the invention or the method by which it is to be performed;

(*h*) that the patentee has failed to disclose to the Controller the information required by section 8 or has furnished the information which in any material particular was false to his knowledge;

(*i*) that in the case of a patent granted on convention application, the application for patent was not made within twelve months from the date of the first application for protection for the invention made in a convention country or in India by the patentee or a person from whom he derives title.

(*j*) that the complete specification does not disclose or wrongly mentions the source and geographical origin of biological material used for the invention;

(*k*) that the invention so far as claimed in any claim of the complete specification was anticipated having regard to the knowledge, oral or otherwise, available within any local or indigenous community in India or elsewhere,

but on no other ground.

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(3) (*a*) Where any such notice of opposition is duly given under sub-section (3), the Controller shall notify the patentee.

(*b*) On receipt of such notice of opposition, the Controller shall, by order in writing, constitute a Board to be known as the Opposition Board consisting of such officers as he may determine and refer such notice of opposition along with the documents to that Board for examination and submission of its recommendations to the Controller.

(*c*) Every Opposition Board constituted under clause (*b*) shall conduct the examination in accordance with such procedure as may be prescribed.

(4) On receipt of the recommendation of the Opposition Board and after giving the patentee and the opponent an opportunity of being heard, the Controller shall order either to maintain or to amend or to revoke the patent.

(5) While passing an order under sub-section (5) in respect of the grounds mentioned in clause (*d*) or clause (*e*) of sub-section (3), the Controller shall not take into account any personal document or secret trial or secret use

(6) In case the Controller issues an order under sub-section (5) that the patent shall be maintained subject to amendment of the specification or any other document, the patent shall stand amended accordingly.

26. In cases of "obtaining" Controller may treat the patent as the patent of opponent. (1) Where in any opposition proceeding under this Act the Controller finds that—

(*a*) the invention, so far as claimed in any claim of the complete specification, was obtained from the opponent in the manner set out in clause (*a*) of sub-section (3) of section 25 and revokes the patent on that ground, he may, on request by such opponent made in the prescribed manner, direct that the patent shall stand amended in the name of the opponent;

(*b*) a part of an invention described in the complete specification was so obtained from the opponent, he may pass an order requiring that the specification be amended by the exclusion of that part of the invention.

(2) Where an opponent has, before the date of the order of the Controller requiring the amendment of a complete specification referred to in clause (*b*) of sub-section (1), filed an application for a patent for an invention which included the whole or a part of the invention held to have been obtained from him and such application is pending, the Controller may treat such application and specification in so far as they relate to the invention held to have been obtained from him, as having been filed, for the purposes of this Act relating to the priority dates of claims of the complete specification, on the date on which the corresponding document was or was deemed to have been filed by the patentee in earlier the application, but for all other purposes the application of the opponent shall be proceeded with as an application for a patent under this Act.

27. Refusal to patent without opposition. Repealed by the Patents (Amendment) Act, 2005 (w.r.e.f. 1.1.2005).

28. Mention of inventor as such in patent. (1) If the Controller is satisfied upon a request or claim made in accordance with the provisions of this section—

(*a*) that the person in respect of or by whom the request or claim is made is the inventor of an invention in respect of which application

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for a patent has been made, or of a substantial part of that invention; and

(*b*) that the application for the patent is a direct consequence of his being the inventor,

the Controller shall, subject to the provisions of this section, cause him to be mentioned as inventor in any patent granted in pursuance of the application in the complete specification and in the register of patents:

Provided that the mention of any person as inventor under this section shall not confer or derogate from any rights under the patent.

(2) A request that any person shall be mentioned as aforesaid may be made in the prescribed manner by the applicant for the patent or (where the person alleged to be the inventor is not the applicant or one of the applicants) by the applicant and that person.

(3) If any person other than a person in respect of whom a request in relation to the application in question has been made under sub-section (2) desires to be mentioned as aforesaid, he may make a claim in the prescribed manner in that behalf.

(4) A request or claim under the foregoing provisions of this section shall be made before the grant of patent.

(5) *Omitted.*

(6) Where a claim is made under sub-section (3), the Controller shall give notice of the claim to every applicant for the patent (not being the claimant) and to any other person whom the Controller may consider to be interested; and before deciding upon any request or claim made under sub-section (2), or sub-section (3), the Controller shall, if required, hear the person in respect of or by whom the request or claim is made, and, in the case of a claim under sub-section (3), any person to whom notice of the claim has been given as aforesaid.

(7) Where any person has been mentioned as inventor in pursuance of this section, any other person who alleges that he ought not to have been so mentioned may at any time apply to the Controller for a certificate to that effect, and the Controller may, after hearing, if required, any person whom he may consider to be interested, issue such a certificate, and if he does so, he shall rectify the specification and the register accordingly.

CHAPTER VI

ANTICIPATION

29. Anticipation by previous publication. (1) An invention claimed in a complete specification shall not be deemed to have been anticipated by reason only that the invention was published in a specification filed in pursuance of an application for a patent made in India and dated before the 1st day of January, 1912.

(2) Subject as hereinafter provided, an invention claimed in a complete specification shall not be deemed to have been anticipated by reason only that the invention was published before the priority date of the relevant claim of the specification, if the patentee or the applicant for the patent proves—

(a) that the matter published was obtained from him, or (where he is not himself the true and first inventor) from any person from whom he derives title, and was published without his consent or the consent of any such person; and

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(*b*) where the patentee or the applicant for the patent or any person from whom he derives title learned of the publication before the date of the application for the patent, or, in the case of a convention application, before the date of the application for protection in a convention country, that the application or the application in the convention country, as the case may be, was made as soon as reasonably practicable thereafter:

Provided that this sub-section shall not apply if the invention was before the priority date of the claim commercially worked in India, otherwise than for the purpose of reasonable trial, either by the patentee or the applicant for the patent or any person from whom he derives title or by any other person with the consent of the patentee or the applicant for the patent or any person from whom he derives title.

(3) Where a complete specification is filed in pursuance of an application for a patent made by a person being the true and first inventor or deriving title from him, an invention claimed in that specification shall not be deemed to have been anticipated by reason only of any other application for a patent in respect of the same invention made in contravention of the rights of that person, or by reason only that after the date of filing of that other application the invention was used or published, without the consent of that person, by the applicant in respect of that other application, or by any other person in consequence of any disclosure of any invention by that applicant.

30. Anticipation by previous communication to Government. An invention claimed in a complete specification shall not be deemed to have been anticipated by reason only of the communication of the invention to the Government or to any person authorised by the Government to investigate the invention or its merits, or of anything done, in consequence of such a communication, for the purpose of the investigation.

31. Anticipation by public display etc. An invention claimed in a complete specification shall not be deemed to have been anticipated by reason only of–

(*a*) the display of the invention with the consent of the true and first inventor or a person deriving title from him at an industrial or other exhibition to which the provisions of this section have been extended by the Central Government by notification in the Official Gazette, or the use thereof with his consent for the purpose of such an exhibition in the place where it is held; or

(*b*) the publication of any description of the invention in consequence of the display or use of the invention at any such exhibition as aforesaid; or

(*c*) the use of the invention, after it has been displayed or used at any such exhibition as aforesaid and during the period of the exhibition, by any person without the consent of the true and first inventor or a person deriving title from him; or

(*d*) the description of the invention in a paper read by the true and first inventor before a learned society or published with his consent in the transactions of such a society,

if the application for the patent is made by the true and first inventor or a person deriving title from him not later than twelve months after the opening of the exhibition or the reading or publication of the paper, as the case may be.

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32. Anticipation by public working. An invention claimed in a complete specification shall not be deemed to have been anticipated by reason only that at any time within one year before the priority date of the relevant claim of the specification, the invention was publicly worked in India—

(*a*) by the patentee or applicant for the patent or any person from whom he derives title; or

(*b*) by any other person with the consent of the patentee or applicant for the patent or any person from whom he derives title,

if the working was effected for the purpose of reasonable trial only and if it was reasonably necessary, having regard to the nature of the invention, that the working for that purpose should be effected in public.

33. Anticipation by use and publication after provisional specification. (1) Where a complete specification is filed or proceeded with in pursuance of an application which was accompanied by a provisional specification or where a complete specification filed along with an application is treated by virtue of a direction under sub-section (3) of section 9 as a provisional specification, then, notwithstanding anything contained in this Act, the Controller shall not refuse to grant the patent, and the patent shall not be revoked or invalidated, by reason only that any matter described in the provisional specification or in the specification treated as aforesaid as a provisional specification was used in India or published in India or elsewhere at any time after the date of the filing of that specification.

(2) Where a complete specification is filed in pursuance of a convention application, then, notwithstanding anything contained in this Act, the Controller shall not refuse to grant the patent, and the patent shall not be revoked or invalidated, by reason only that any matter disclosed in any application for protection in a convention country upon which the convention application is founded was used in India or published in India or elsewhere at any time after the date of that application for protection.

34. No anticipation if circumstances are only as described in sections 29, 30, 31 and 32. Notwithstanding anything contained in this Act, the Controller shall not refuse or to grant a patent, and a patent shall not be revoked or invalidated by reason only of any circumstances which, by virtue of section 29 or section 30 or section 31 or section 32, do not constitute an anticipation of the invention claimed in the specification.

CHAPTER VII

PROVISIONS FOR SECRECY OF CERTAIN INVENTIONS

35. Secrecy directions relating to inventions relevant for defence purposes. (1) Where, in respect of an application made before or after the commencement of this Act for a patent, it appears to the Controller that the invention is one of a class notified to him by the Central Government as relevant for defence purposes, or, where otherwise the invention appears to him to be so relevant, he may give directions for prohibiting or restricting the publication of information with respect to the invention or the communication of such information.

(2) Where the Controller gives any such directions as are referred to in sub-section (1), he shall give notice of the application and of the directions to the Central Government, and the Central Government shall, upon receipt of such notice, consider whether the publication of the invention would be prejudicial

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to the defence of India, and if upon such consideration, it appears to it that the publication of the invention would not so prejudice, give notice to the Controller to that effect, who shall thereupon revoke the directions and notify the applicant accordingly.

(3) Without prejudice to the provisions contained in sub-section (1), where the Central Government is of opinion that an invention in respect of which the Controller has not given any directions under sub-section (1), is relevant for defence purposes, it may at any time before grant of patent notify the Controller to that effect, and thereupon the provisions of that sub-section shall apply as if the invention where one of the class notified by the Central Government, and accordingly the Controller shall give notice to the Central Government of the directions issued by him.

36. Secrecy directions to be periodically reviewed. (1) The question whether an invention in respect of which directions have been given under section 35 continues to be relevant for defence purposes shall be reconsidered by the Central Government at intervals of six months or on a request made by the applicant which is found to be reasonable by the Controller and if, on such reconsideration it appears to the Central Government that the publication of the invention would no longer be prejudicial to the defence of India or in case of an application filed by a foreign applicant it is found that the invention is published outside India it shall forthwith give notice to the Controller to revoke the direction and the Controllers shall thereupon revoke the directions previously given by him.

(2) The result of every re-consideration under sub-section (1), shall be communicated to the applicant within such time and in such manner as may be prescribed.

37. Consequences of secrecy directions. (1) So long as any directions under section 35 are in force in respect of an application—

(*a*) the Controller shall not pass an order refusing to grant the same; and

(*b*) notwithstanding anything contained in this Act, no appeal shall lie from any order of the Controller passed in respect thereof:

Provided that the application may, subject to the directions, proceed up to the stage of grant of the patent, but the application and the specification found to be in order for grant of patent shall not be published, and no patent shall be granted in pursuance of the application.

(2) Where a complete specification filed in pursuance of an application for a patent for an invention in respect of which directions have been given under section 35 is found to be in order for grant of the patent during the continuance in force of the directions, then—

(*a*) if, during the continuance in force of the directions, any use of the invention is made by or on behalf of, or to the order of, the Government, the provisions of sections 100, 101 and 103 shall apply in relation to that use as if the patent had been granted for the invention; and

(*b*) if it appears to the Central Government that the applicant for the patent has suffered hardship by reason of the continuance in force of the directions, the Central Government may make to him such payment (if any) by way of solatium as appears to the Central Government to be reasonable having regard to the novelty and

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utility of the invention and the purpose for which it is designed, and to any other relevant circumstances.

(3) Where a patent is granted in pursuance of an application in respect of which directions have been given under section 35, no renewal fee shall be payable in respect of any period during which those directions were in force.

38. Revocation of secrecy directions and extension of time. When any direction given under section 35 is revoked by the Controller, then, notwithstanding any provision of this Act specifying the time within which any step should be taken or any act done in connection with an application for the patent, the Controller may, subject to such conditions, if any, as he thinks fit to impose, extend the time for doing anything required or authorised to be done by or under this Act in connection with the application, whether or not that time has previously expired.

39. Residents not to apply for patents outside India without prior permission. (1) No person resident in India shall, except under the authority of a written permit sought in the manner prescribed and granted by or on behalf of the Controller, make or cause to be made any application outside India for the grant of a patent for an invention unless—

(*a*) an application for a patent for the same invention has been made in India, not less than six weeks before the application outside India; and

(*b*) either no directions has been given under sub-section (1) of section 35 in relation to the application in India, or all such directions have been revoked.

(2) The Controller shall dispose of every such application within such period as may be prescribed:

Provided that if the invention is relevant for defence purpose or atomic energy, the Controller shall not grant permit without the prior consent of the Central Government.

(3) This section shall not apply in relation to an invention for which an application for protection has first been filed in a country outside India by a person resident outside India.

40. Liability for contravention of section 35 or section 39. Without prejudice to the provisions contained in Chapter XX, if in respect of an application for a patent any person contravenes any direction as to secrecy given by the Controller under section 35 ... or makes or causes to be made an application for grant of a patent outside India in contribution of section 39, the application for patent under this Act shall be deemed to have been abandoned and the patent granted, if any, shall be liable to be revoked under section 64.

41. Finality of orders of Controller and Central Government. All orders of the Controller giving directions as to secrecy as well as all orders of the Central Government under this Chapter shall be final and shall not be called in question in any court on any ground whatsoever.

42. Savings respecting disclosure to Government. Nothing in this Act shall be held to prevent the disclosure by the Controller of information concerning an application for a patent of a specification filed in pursuance thereof to the Central Government for the purpose of the application or specification being examined for considering whether an order under this Chapter should be made or whether an order so made should be revoked.

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CHAPTER VIII

GRANT OF PATENTS AND RIGHTS CONFERRED THEREBY

43. Grant of patents. (1) Where an application for a patent has been found to be in order for grant of the patent and either—

(*a*) the application has not been refused by the Controller by virtue of any power vested in him by this Act; or

(*b*) the application has not been found to be in contravention of any of the provisions of this Act,

the patent shall be granted as expeditiously as possible to the applicant or, in the case of a joint application, to the applicants jointly, with the seal of the patent office and the date on which the patent is granted shall be entered in the register.

(2) On the grant of patent, the Controller shall publish the fact that the patent has been granted and thereupon the application, specification and other documents related thereto shall be open for public inspection.

44. Amendment of patent granted to deceased applicant. Where, at any time after a patent has been granted in pursuance of an application under this Act, the Controller is satisfied that the person to whom the patent was granted had died, or, in the case of a body corporate, had ceased to exist, before the patent was granted, the Controller may amend the patent by substituting for the name of that person the name of the person to whom the patent ought to have been granted, and the patent shall have effect, and shall be deemed always to have had effect, accordingly.

45. Date of patent. (1) Subject to the other provisions contained in this Act, every patent shall be dated as of the date on which the application for patent was filed.

(2) The date of every patent shall be entered in the register.

(3) Notwithstanding anything contained in this section, no suit or other proceeding shall be commenced or prosecuted in respect of an infringement committed before the date of publication of the application.

46. Form—extent and effect of patent. (1) Every patent shall be in the prescribed form and shall have effect throughout India.

(2) A patent shall be granted for one invention only:

Provided that it shall not be competent for any person in a suit or other proceeding to take any objection to a patent on the ground that it has been granted for more than one invention.

47. Grant of patents to be subject to certain conditions. The grant of a patent under this Act shall be subject to the condition that—

(1) any machine, apparatus or other article in respect of which the patent is granted or any article made by using a process in respect of which the patent is granted, may be imported or made by or on behalf of the Government for the purpose merely of its own use;

(2) any process in respect of which the patent is granted may be used by or on behalf of the Government for the purpose merely of its own use;

(3) any machine, apparatus or other article in respect of which the patent is granted or any article made by the use of the process in respect of which the patent is granted, may be made or used, and any process in respect of which

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the patent is granted may be used, by any person, for the purpose merely of experiment or research including the imparting of instructions to pupils; and

(4) in the case of a patent in respect of any medicine or drug, the medicine or drug may be imported by the Government for the purpose merely of its own use or for distribution in any dispensary, hospital or other medical institution maintained by or on behalf of the Government or any other dispensary, hospital or other medical institution which the Central Government may, having regard to the public service that such dispensary, hospital or medical institution renders, specify in this behalf by notification in the Official Gazette.

48. Rights of patentees. Subject to the other provisions contained in this Act and the conditions specified in section 47, a patent granted under this Act shall confer upon the patentee—

(*a*) where the subject matter of the patent is a product, the exclusive right to prevent third parties, who do not have his consent, from the act of making, using, offering, for sale, selling or importing for those purposes that product in India;

(*b*) where the subject matter of the patent is a process, the exclusive right to prevent third parties, who do not have his consent, from the act of using that process, and from the act of using, offering for sale, selling or importing for those purposes the product obtained directly by that process in India:

49. Patent rights not infringed when used on foreign vessels, etc., temporarily or accidentally in India. (1) Where a vessel or aircraft registered in a foreign country or a land vehicle owned by a person ordinarily resident in such country comes into India (including the territorial waters thereof) temporarily or accidentally only, the rights conferred by a patent for an invention shall not be deemed to be infringed by the use of the invention—

(*a*) in the body of the vessel or in the machinery, tackle, apparatus or other accessories thereof, so far as the invention is used on board the vessel and for its actual needs only; or

(*b*) in the construction or working of the aircraft or land vehicle or of the accessories thereof,

as the case may be.

(2) This section shall not extend to vessels, aircraft or land vehicles owned by persons ordinarily resident in a foreign country the laws of which do not confer corresponding rights with respect to the use of inventions in vessels, aircraft or land vehicles owned by persons ordinarily resident in India while in the ports or within the territorial waters of that foreign country or otherwise within the jurisdiction of its courts.

50. Rights of co-owners of patents. (1) Where a patent is granted to two or more persons, each of those persons shall, unless an agreement to the contrary is in force, be entitled to an equal undivided share in the patent.

(2) Subject to the provisions contained in this section and in section 51, where two or more persons are registered as grantee or proprietor of a patent, then, unless an agreement to the contrary is in force, each of those persons shall be entitled, by himself or his agents, rights conferred by section 48 for his own benefit without accounting to the other person or persons.

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(3) Subject to the provisions contained in this section and in section 51 and to any agreement for the time being in force, where two or more persons are registered as grantee or proprietor of a patent, then, a licence under the patent shall not be granted and a share in the patent shall not be assigned by one of such persons except with the consent of the other person or persons.

(4) Where a patented article is sold by one of two or more persons registered as grantee or proprietor of a patent, the purchaser and any person claiming through him shall be entitled to deal with the article in the same manner as if the article had been sold by a sole patentee.

(5) Subject to the provisions contained in this section, the rules of law applicable to the ownership and devolution of movable property generally shall apply in relation to patents; and nothing contained in sub-section (1) or sub-section (2) shall affect the mutual rights or obligations of trustees or of the legal representatives of a deceased person or their rights or obligations as such.

(6) Nothing in this section shall affect the rights of the assignees of a partial interest in a patent created before the commencement of this Act.

51. Power of Controller to give directions to co-owners. (1) Where two or more persons are registered as grantee or proprietor of a patent, the Controller may, upon application made to him in the prescribed manner by any of those persons, give such directions in accordance with the application as to the sale or lease of the patent or any interest therein, the grant of licences under the patent, or the exercise of any right under section 50 in relation thereto, as he thinks fit.

(2) If any person registered as grantee or proprietor of a patent fails to execute any instrument or to do any other thing required for the carrying out of any direction given under this section within fourteen days after being requested in writing so to do by any of the other persons so registered, the Controller may, upon application made to him in the prescribed manner by any such other person, give directions empowering any person to execute that instrument or to do that thing in the name and on behalf of the person in default.

(3) Before giving any directions in pursuance of an application under this section, the Controller shall give an opportunity to be heard—

(*a*) in the case of an application under sub-section (1), to the other person or persons registered as grantee or proprietor of the patent;

(*b*) in the case of an application under sub-section (2), to the person in default.

(4) No direction shall be given under this section so as to affect the mutual rights or obligations of trustees or of the legal representatives of a deceased person or of their rights or obligations as such, or which is inconsistent with the terms of any agreement between persons registered as grantee or proprietor of the patent.

52. Grant of patent to true and first inventor where it has been obtained by another in fraud of him. (1) Where the patent has been revoked under section 64 on the ground that the patent was obtained wrongfully and in contravention of the rights of the petitioner or any person under or through whom he claims, or, where in a petition for revocation, the Appellate Board or court, instead of revoking the patent, directs the complete specification to be amended by the exclusion of a claim or claims in consequence of a finding that

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the invention covered by such claim or claims had been obtained from the petitioner, the Appellate Board or court may, by order passed in the same proceeding, permit the grant to the petitioner of the whole or such part of the invention which the Appellate Board or court finds has been wrongfully obtained by the patentee, in lieu of the patent so revoked or is excluded by amendment.

(2) Where any such order is passed, the Controller shall, on request by the petitioner made in the prescribed manner, grant to him—

(*i*) in cases where the Appellate Board or court permits the whole of the patent to be granted, a new patent bearing the same date and number as the patent revoked;

(*ii*) in cases where the Appellate Board or court permits a part only of the patent to be granted, a new patent for such part bearing the same date as the patent revoked and numbered in such manner as may be prescribed:

Provided that the Controller may, as a condition of such grant, require the petitioner to file a new and complete specification to the satisfaction of the Controller describing and claiming that part of the invention for which the patent is to be granted.

(3) No suit shall be brought for any infringement of a patent granted under this section committed before the actual date on which such patent was granted.

53. Term of patent. (1) Subject to the provisions of this Act, the term of every patent granted, after the commencement of the Patents (Amendment) Act, 2002, and the term of every patent which has not expired and has not ceased to have effect, on the date of such commencement, under this Act, shall be twenty years from the date of filing of the application for the patent.

Explanation. For the purposes of this sub-section, the term of patent in case of International applications filed under the Patent Cooperation Treaty designating India, shall be twenty years from the international filing date accorded under the Patent Cooperation Treaty.

(2) A patent shall cease to have effect notwithstanding anything therein or in this Act on the expiration of the period prescribed for the payment of any renewal fee, if that fee is not paid within the prescribed period or within such extended period as may be prescribed.

(3) *Omitted.*

(4) Notwithstanding anything contained in any other law for the time being in force, on cessation of the patent right due to non-payment of renewal fee or on expiry of the term of patent, the subject matter covered by the said patent shall not be entitled to any protection.

CHAPTER IX

PATENTS OF ADDITION

54. Patents of addition. (1) Subject to the provisions contained in this section, where an application is made for a patent in respect of any improvement in or modification of an invention described or disclosed in the complete specification filed therefor (in this Act referred to as the "main invention") and the applicant also applies or has applied for a patent for that invention or is the patentee in respect thereof, the Controller may, if the applicant so requests, grant the patent for the improvement or modification as a patent of addition.

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(2) Subject to the provisions contained in this section, where an invention, being an improvement in or modification of another invention, is the subject of an independent patent and the patentee in respect of that patent is also the patentee in respect of the patent for the main invention, the Controller may, if the patentee so requests, by order, revoke the patent for the improvement or modification and grant to the patentee a patent of addition in respect thereof, bearing the same date as the date of the patent so revoked.

(3) A patent shall not be granted as a patent of addition unless the date of filing of the application was the same as or later than the date of filing of the application in respect of the main invention.

(4) A patent of addition shall not be granted before grant of the patent for the main invention.

55. Term of patents of addition. (1) A patent of addition shall be granted for a term equal to that of the patent for the main invention, or so much thereof as has not expired, and shall remain in force during that term or until the previous cesser of the patent for the main invention and no longer:

Provided that if the patent for the main invention is revoked under this Act, the court, or, as the case may be, the Controller, on request made to him by the patentee in the prescribed manner, may order that the patent of addition shall become an independent patent for the remainder of the term for the patent for the main invention and thereupon the patent shall continue in force as an independent patent accordingly.

(2) No renewal fees shall be payable in respect of a patent of addition, but, if any such patent becomes an independent patent under sub-section (1), the same fees shall thereafter be payable, upon the same dates, as if the patent had been originally granted as an independent patent.

56. Validity of patents of addition. (1) The grant of a patent of addition shall not be refused, and a patent granted as a patent of addition shall not be revoked or invalidated, on the ground only that the invention claimed in the complete specification does not involve any inventive step having regard to any publication or use of—

(*a*) the main invention described in the complete specification relating thereto; or

(*b*) any improvement in or modification of the main invention described in the complete specification of a patent of addition to the patent for the main invention or of an application for such a patent of addition,

and the validity of a patent of addition shall not be questioned on the ground that the invention ought to have been the subject of an independent patent.

(2) For the removal of doubts it is hereby declared that in determining the novelty of the invention claimed in the complete specification filed in pursuance of an application for a patent of addition, regard shall be had also to the complete specification in which the main invention is described.

CHAPTER X

AMENDMENT OF APPLICATIONS AND SPECIFICATIONS

57. Amendment of application and specification or any document related thereto before Controller. (1) Subject to the provisions of section 59, the Controller may, upon application made under this section in the prescribed manner by an applicant for a patent or by a patentee, allow the application for

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the patent or the complete specification or any document related thereto to be amended subject to such conditions, if any, as the Controller thinks fit:

Provided that the Controller shall not pass any order allowing or refusing an application to amend an application for a patent or a specification or any document related thereto under this section while any suit before a court for the infringement of the patent or any proceeding before the High Court for the revocation of the patent is pending, whether the suit or proceeding commenced before or after the filing of the application to amend.

(2) Every application for leave to amend an application for a patent or a complete specification or any document related thereto under this section shall state the nature of the proposed amendment, and shall give full particulars of the reasons for which the application is made.

(3) Any application for leave to amend an application for a patent or a complete specification or a document related thereto under this section made after the grant of patent and the nature of the proposed amendment may be published.

(4) Where an application is published under sub-section (3), any person interested may, within the prescribed period after the publication thereof, give notice to the Controller of opposition thereto; and where such a notice is given within the period aforesaid, the Controller shall notify the person by whom the application under this section is made and shall give to that person and to the opponent an opportunity to be heard before he decides the case.

(5) An amendment under this section of a complete specification may be, or include, an amendment of the priority date of a claim.

(6) The provisions of this section shall be without prejudice to the right of an applicant for a patent to amend his specification or any other document related thereto comply with the directions of the Controller issued before the grant of a patent.

58. Amendment of specification before Appellate Board or High Court. (1) In any proceeding before the Appellate Board or the High Court for the revocation of a patent, the Appellate Board or the High Court, as the case may be, may, subject to the provisions contained in section 59, allow the patentee to amend his complete specification in such manner and subject to such terms as to costs, advertisement or otherwise, as the Appellate Board or the High Court may think fit, and if, in any proceedings for revocation, the Appellate Board or the High Court decides that the patent is invalid, it may allow the specification to be amended under this section instead of revoking the patent.

(2) Where an application for an order under this section is made to the Appellate Board or the High Court, the applicant shall give notice of the application to the Controller, and the Controller shall be entitled to appear and be heard, and shall appear if so directed by the Appellate Board or the High Court.

(3) Copies of all orders of the Appellate Board or the High Court allowing the patentee to amend the specification shall be transmitted by the Appellate Board or the High Court to the Controller who shall on receipt thereof, cause an entry thereof and reference thereto to be made in the register.

59. Supplementary provisions as to amendment of application or specification. (1) No amendment of an application for a patent or a complete specification or any document related thereto shall be made except by way of

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disclaimer, correction or explanation, and no amendment thereof shall be allowed, except for the purpose of incorporation of actual fact, and no amendment of a complete specification shall be allowed, the effect of which would be that the specification as amended would claim or describe matter not in substance disclosed or shown in the specification before the amendment, or that any claim of the specification as amended would not fall wholly within the scope of a claim of the specification before the amendment.

(2) Where after the date of grant of patent any amendment of the specification or any other documents related thereto is allowed by the Controller or by the Appellate Board or the High Court, as the case may be,—

(*a*) the amendment shall for all purposes be deemed to form part of the specification along with other documents related thereto;

(*b*) the fact that the specification or any other documents related thereto has been amended shall be published as expeditiously as possible; and

(*c*) the right of the applicant or patentee to make amendment shall not be called in question except on the ground of fraud.

(3) In construing the specification as amended, reference may be made to the specification as originally accepted.

CHAPTER XI

RESTORATION OF LAPSED PATENTS

60. Applications for restoration of lapsed patents. (1) Where a patent has ceased to have effect by reason of failure to pay any renewal fee within the period prescribed under section 53 or within such period as may be allowed under sub-section (4) of section 142, the patentee or his legal representative, and where the patent was held by two or more persons jointly, then, with the leave of the Controller, one or more of them without joining the others, may within eighteen months from the date on which the patent ceased to have effect, make an application for the restoration of the patent.

(2) *Omitted.*

(3) An application under this section shall contain a statement, verified in the prescribed manner, fully setting out the circumstances which led to the failure to pay the prescribed fee, and the Controller may require from the applicant such further evidence as he may think necessary.

61. Procedure for disposal of applications for restoration of lapsed patents. (1) If, after hearing the applicant in cases where the applicant so desires or the Controller thinks fit, the Controller is *prima facie* satisfied that the failure to pay the renewal fee was unintentional and that there has been no undue delay in the making of the application, he shall publish the application in the prescribed manner; and within the prescribed period any person interested may give notice to the Controller of opposition thereto on either or both of the following grounds, that is to say,—

(*a*) that the failure to pay the renewal fee was not unintentional; or

(*b*) that there has been undue delay in the making of the application.

(2) If notice of opposition is given within the period aforesaid, the Controller shall notify the applicant, and shall give to him and to the opponent an opportunity to be heard before he decides the case.

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(3) If no notice of opposition is given within the period aforesaid or if in case of opposition, the decision of the Controller is in favour of the applicant, the Controller shall, upon payment of any unpaid renewal fee and such additional as may be prescribed, restore the patent and any patent of addition specified the application which has ceased to have effect on the cesser of that patent.

(4) The Controller may, if he thinks fit as a condition of restoring the ent, require that an entry shall be made in the register of any document or atter which, under the provisions of this Act, has to be entered in the register which has not been so entered.

62. Rights of patentees of lapsed patents which have been restored. (1) here a patent is restored, the rights of the patentee shall be subject to such ovisions as may be prescribed and to such other provisions as the Controller icks fit to impose for the protection or compensation of persons who may ve begun to avail themselves of, or have taken definite steps by contract or herwise to avail themselves of, the patented invention between the date hen the patent ceased to have effect and the date of publication of the plication for restoration of the patent under this Chapter.

(2) No suit or other proceeding shall be commenced or prosecuted in spect of an infringement of a patent committed between the date on which e patent ceased to have effect and the date of the publication of the application r restoration of the patent.

CHAPTER XII

SURRENDER AND REVOCATION OF PATENTS

63. Surrender of patents. (1) A patentee may, at any time by giving notice the prescribed manner to the Controller, offer to surrender his patent.

(2) Where such an offer is made, the Controller shall publish the offer in e prescribed manner, and also notify every person other than the patentee hose name appears in the register as having an interest in the patent.

(3) Any person interested may, within the prescribed period after such blication, give notice to the Controller of opposition to the surrender, and here any such notice is given the Controller shall notify the patentee.

(4) If the Controller is satisfied after hearing the patentee and any opponent, desirous of being heard, that the patent may properly be surrendered, he may cept the offer and, by order, revoke the patent.

64. Revocation of patents. (1) Subject to the provisions contained in this t, a patent, whether granted before or after the commencement of this Act, ay, be revoked on a petition of any person interested or of the Central overnment by the Appellate Board or on a counter-claim in a suit for fringement of the patent by the High Court on any of the following grounds, at is to say—

(a) that the invention, so far as claimed in any claim of the complete specification, was claimed in a valid claim of earlier priority date contained in the complete specification of another patent granted in India;

(b) that the patent was granted on the application of a person not entitled under the provisions of this Act to apply therefor:

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(*c*) that the patent was obtained wrongfully in contravention of the rights of the petitioner or any person under or through whom he claims;

(*d*) that the subject of any claim of the complete specification is not an invention within the meaning of this Act;

(*e*) that the invention so far as claimed in any claim of the complete specification is not new, having regard to what was publicly known or publicly used in India before the priority date of the claim or to what was published in India or elsewhere in any of the documents referred to in section 13:

(*f*) that the invention so far as claimed in any claim of the complete specification is obvious or does not involve any inventive step, having regard to what was publicly known or publicly used in India or what was published in India or elsewhere before the priority date of the claim:

(*g*) that the invention, so far as claimed in any claim of the complete specification, is not useful;

(*h*) that the complete specification does not sufficiently and fairly describe the invention and the method by which it is to be performed, that is to say, that the description of the method or the instructions for the working of the invention as contained in the complete specification are not by themselves sufficient to enable a person in India possessing average skill in, and average knowledge of, the art to which the invention relates, to work the invention, or that it does not disclose the best method of performing it which was known to the applicant for the patent and for which he was entitled to claim protection;

(*i*) that the scope of any claim of the complete specification is not sufficiently and clearly defined or that any claim of the complete specification is not fairly based on the matter disclosed in the specification;

(*j*) that the patent was obtained on a false suggestion or representation;

(*k*) that the subject of any claim of the complete specification is not patentable under this Act;

(*l*) that the invention so far as claimed in any claim of the complete specification was secretly used in India, otherwise than as mentioned in sub-section (3), before the priority date of the claim;

(*m*) that the applicant for the patent has failed to disclose to the Controller the information required by section 8 or has furnished information which in any material particular was false to his knowledge;

(*n*) that the applicant contravened any direction for secrecy passed under section 35 or made or caused to be made an application for the grant of a patent outside India in contravention of section 39;

(*o*) that leave to amend the complete specification under section 57 or section 58 was obtained by fraud.

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(*p*) that the complete specification does not disclose or wrongly mentions the source or geographical origin of biological material used for the invention;

(*q*) that the invention so far as claimed in any claim of the complete specification was anticipated having regard to the knowledge, oral or otherwise, available within any local or indigenous community in India or elsewhere.

(2) For the purposes of clauses (*e*) and (*f*) of sub-section (1),—

(*a*) no account shall be taken of personal document or secret trial or secret use; and

(*b*) where the patent is for a process or for a product as made by a process described or claimed, the importation into India of the product made abroad by that process shall constitute knowledge or use in India of the invention on the date of the importation, except where such importation has been for the purpose of reasonable trial or experiment only.

(3) For the purpose of clause (1) of sub-section (1), no account shall be taken of any use of the invention—

(*a*) for the purpose of reasonable trial or experiment only; or

(*b*) by the Government or by any person authorised by the Government or by a Government undertaking, in consequence of the applicant for the patent or any person from whom he derives title having communicated or disclosed the invention directly or indirectly to the Government or person authorised as aforesaid or to the Government undertaking; or

(*c*) by any other person, in consequence of the applicant for the patent or any person from whom he derives title having communicated or disclosed the invention, and without the consent or acquiescence of the applicant or of any person from whom he derives title.

(4) Without prejudice to the provisions contained in sub-section (1), a patent may be revoked by the High Court on the petition of the Central Government, if the High Court is satisfied that the patentee has without reasonable cause failed to comply with the request of the Central Government to make, use or exercise the patented invention for the purposes of Government within the meaning of section 99 upon reasonable terms.

(5) A notice of any petition for revocation of a patent under this section shall be served on all persons appearing from the register to be proprietors of that patent or to have shares or interests therein and it shall not be necessary to serve a notice on any other person.

65. Revocation of patent or amendment of complete specification on directions from Government in cases relating to atomic energy. (1) Where at any time after grant of a patent, the Central Government is satisfied that a patent is for an invention relating to atomic energy for which no patent can be granted under sub-section (1) of section 20 of the Atomic Energy Act, 1962 (33 of 1962), it may direct the Controller to revoke the patent, and thereupon the Controller, after giving notice, to the patentee and every other person whose name has been entered in the register as having an interest in the patent, and after giving them an opportunity of being heard, may revoke the patent.

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(2) In any proceedings under sub-section (1), the Controller may allow the patentee to amend the complete specification in such manner as he considers necessary instead of revoking the patent.

66. Revocation of patent in public interest. Where the Central Government is of opinion that a patent or the mode in which it is exercised is mischievous to the State or generally prejudicial to the public, it may, after giving the patentee an opportunity to be heard, make a declaration to that effect in the Official Gazette and thereupon the patent shall be deemed to be revoked.

CHAPTER XIII

REGISTER OF PATENTS

67. Register of patents and particulars to be entered therein. (1) There shall be kept at the Patent Office a register of patents, wherein shall be entered—

(*a*) the names and addresses of grantees of patents;

(*b*) notifications of assignments and of transmissions of patents, of licences under patents, and of amendments, extensions, and revocations of patents; and

(*c*) particulars of such other matters affecting the validity or proprietorship of patents as may be prescribed.

(2) No notice of any trust, whether express, implied or constructive, shall be entered in the register, and the Controller shall not be affected by any such notice.

(3) Subject to the superintendence and direction of the Central Government, the register shall be kept under the control and management of the Controller.

(4) Notwithstanding anything contained in sub-section (1), it shall be lawful for the Controller to keep the register of patents or any part thereof in computer floppies, diskettes or any other electronic form subject to such safeguards as may be prescribed.

(5) Notwithstanding anything contained in the Indian Evidence Act, 1872 (1 of 1872), a copy of, or extracts from, the register of patents, certified to be a true copy under the hand of the Controller or any officer duly authorised by the Controller in this behalf shall, in all legal proceedings, be admissible in evidence.

(6) In the event the register is kept wholly or partly in computer floppies, diskettes or any other electronic form,—

(*a*) reference in this Act to an entry in the register shall be deemed to include reference to a record of particulars kept in computer floppies, diskettes or any other electronic form and comprising the register or part of the register;

(*b*) references in this Act to particulars being registered or entered in the register shall be deemed to include references to the keeping of record of those particulars comprising the register or part of the register in computer floppies, diskettes or any other electronic form; and

(*c*) references in this Act to the rectification of the register are to be read as including references to the rectification of the record of particulars kept in computer floppies, diskettes or any other electronic form and comprising the register or part of the register.

68. Assignments, etc., not to be valid unless in writing and duly executed. An assignment of a patent or of a share in a patent, a mortgage, licence or the

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creation of any other interest in a patent shall not be valid unless the same were in writing and the agreement between the parties concerned is reduced to the form of a document embodying all the terms and conditions governing their rights and obligations and duly executed.

69. Registration of assignments, transmissions, etc. (1) Where any person becomes entitled by assignment, transmission or operation of law to a patent or to a share in a patent or becomes entitled as a mortgagee, licensee or otherwise to any other interest in a patent, he shall apply in writing in the prescribed manner to the Controller for the registration of his title or, as the case may be, of notice of his interest in the register.

(2) Without prejudice to the provisions of sub-section (1), an application for the registration of the title of any person becoming entitled by assignment to a patent or a share in a patent or becoming entitled by virtue of a mortgage, licence or other instrument to any other interest in a patent may be made in the prescribed manner by the assignor, mortgagor, licensor or other party to that instrument, as the case may be.

(3) Where an application is made under this section for the registration of the title of any person the Controller shall, upon proof of title to his satisfaction,—

(*a*) where that person is entitled to a patent or a share in a patent, register him in the register as proprietor or co-proprietor of the patent, and enter in the register particulars of the instrument or event by which he derives title; or

(*b*) where that person is entitled to any other interest in the patent, enter in the register notice of his interest, with particulars of the instrument, if any, creating it:

Provided that if there is any dispute between the parties whether the assignment, mortgage, licence, transmission, operation of law or any other such transaction has validly vested in such person a title to the patent or any share or interest therein, the Controller may refuse to take any action under clause (*a*) or, as the case may be, under clause (*b*), until the rights of the parties have been determined by a competent court.

(4) There shall be supplied to the Controller in the prescribed manner for being filed in the patent office copies of all agreements, licences and other documents affecting the title to any patent or any licence thereunder authenticated in the prescribed manner and also such other documents as may be prescribed relevant to the subject-matter:

Provided that in the case of a licence granted under a patent, the Controller shall, if so requested by the patentee or licensee, take steps for securing that the terms of the licence are not disclosed to any person except under the order of a court.

(5) Except for the purposes of an application under sub-section (1) or of an application to rectify the register, a document in respect of which no entry has been made in the register under sub-section (3) shall not be admitted by the Controller or by any court as evidence of the title of any person to a patent or to a share or interest therein unless the Controller or the court, for reasons to be recorded in writing, otherwise directs.

70. Power of registered grantee or proprietor to deal with patent. Subject to the provisions contained in this Act relating to co-ownership of patents and subject also to any rights vested in any other person of which notice is entered in the register, the person or persons registered as grantee or proprietor of a

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patent shall have power to assign, grant licences under, or otherwise deal with, the patent and to give effectual receipts for any consideration for any such assignment, licence or dealing:

Provided that any equities in respect of the patent may be enforced in like manner as in respect of any other moveable property.

71. Rectification of register by Appellate Board. (1) The Appellate Board may, on the application of any person aggrieved—

(*a*) by the absence or omission from the register of any entry; or

(*b*) by any entry made in the register without sufficient cause; or

(*c*) by any entry wrongly remaining on the register; or

(*d*) by any error or defect in any entry in the register,

make such order for the making, variation of deletion, of any entry therein at it may think fit.

(2) In any proceeding under this section the Appellate Board may decide any question that may be necessary or expedient to decide in connection with the rectification of the register.

(3) Notice of any application to the Appellate Board under this section shall be given in the prescribed manner to the Controller who shall be entitled to appear and be heard on the application, and shall appear if so directed by the Board.

(4) Any order of the Appellate Board under this section rectifying the register shall direct that notice of the rectification shall be served upon the Controller in the prescribed manner who shall upon receipt of such notice rectify the register accordingly.

72. Register to be open for inspection. (1) Subject to the provisions contained in this Act and any rules made thereunder, the register shall at all convenient times be open to inspection by the public; and certified copies, sealed with the seal of the patent office, of any entry in the register shall be given to any person requiring them on payment of the prescribed fee.

(2) The register shall be *prima facie* evidence of any matters required or authorised by or under this Act to be entered therein.

(3) If the record or particulars is kept in computer floppies or diskettes or in any other electronic form, sub-sections (1) and (2) shall be deemed to have been complied with if the public is given access to such computer floppies, diskettes or any other electronic form or printouts of such record of particulars for inspection.

CHAPTER XIV

PATENT OFFICE AND ITS ESTABLISHMENT

73. Controller and other officers. (1) The Controller General of Patents, Designs and Trade Marks appointed under sub-section (1) of section 3 of the Trade Marks Act, 1999 (47 of 1999), shall be the Controller of Patents for the purposes of this Act.

(2) For the purposes of this Act, the Central Government may appoint as many examiners and other officers and with such designations as it thinks fit.

(3) Subject to the provisions of this Act, the officers appointed under sub-section (2) shall discharge under the superintendence and directions of the

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Controller such functions of the Controller under this Act as he may, from time to time by general or special order in writing, authorise them to discharge.

(4) Without prejudice to the generality of the provisions of sub-section (3), the Controller may, by order in writing and for reasons to be recorded therein withdraw any matter pending before an officer appointed under sub-section (2) and deal with such matter himself either *de novo* or from the stage it was so withdrawn or transfer the same to another officer appointed under sub-section (2) who may, subject to special directions in the order of transfer, proceed with the matter either *de novo* or from the stage it was so transferred.

74. Patent office and its branches. (1) For the purposes of this Act, there shall be an office which shall be known as the patent office.

(2) The Central Government may, by notification in the Official Gazette, specify the name of the Patent Office.

(3) The head office of the patent office shall be at such place as the Central Government may specify, and for the purpose of facilitating the registration of patents there may be established, at such other places as the Central Government may think fit, branch offices of the patent office.

(4) There shall be a seal of the patent office.

75. Restriction on employees of patent office as to right or interest in patents. All officers and employees of the patent office shall be incapable, during the period for which they hold their appointments, to acquire or take, directly or indirectly, except by inheritance or bequest, any right or interest in any patent issued by that office.

76. Officers and employees not to furnish information, etc. An officer or employee in the patent office shall not, except when required or authorised by this Act or under a direction in writing of the Central Government or Appellate Board or the Controller or by order of a court,—

(a) furnish information on a matter which is being, or has been, dealt with under this Act ...; or

(b) prepare or assist in the preparation of a document required or permitted by or under this Act ..., to be lodged in the patent office; or

(c) conduct a search in the records of the patent office.

CHAPTER XV

POWERS OF CONTROLLER GENERALLY

77. Controller to have certain powers of a civil court. (1) Subject to any rules made in this behalf, the Controller in any proceedings before him under this Act shall have the powers of a civil court while trying a suit under the Code of Civil Procedure, 1908, in respect of the following matters, namely:

(a) summoning and enforcing the attendance of any person and examining him on oath;

(b) requiring the discovery and production of any document;

(c) receiving evidence on affidavits;

(d) issuing commissions for the examination of witnesses or documents;

(e) awarding costs;

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(*f*) reviewing his own decision on application made within the prescribed time and in the prescribed manner;

(*g*) setting aside an order passed *ex parte* on application made within the prescribed time and in the prescribed manner;

(*h*) any other matter which may be prescribed.

(2) Any order for costs awarded by the Controller in exercise of the powers conferred upon him under sub-section (1) shall be executable as a decree of a civil court.

78. Power of Controller to correct clerical errors, etc. (1) Without prejudice to the provisions contained in sections 57 and 59 as regards amendment of applications for patents or complete specifications or other documents related thereto and subject to the provisions of section 44, the Controller may, in accordance with the provisions of this section, correct any clerical error in any patent or in any specification or other document filed in pursuance of such application or in any application for a patent or any clerical error in any matter which is entered in the register.

(2) A correction may be made in pursuance of this section either upon a request in writing made by any person interested and accompanied by the prescribed fee, or without such a request.

(3) Where the Controller proposes to make any such correction as aforesaid otherwise than in pursuance of a request, made under this section, he shall give notice of the proposal to the patentee or the applicant for the patent, as the case may be, and to any other person who appears to him to be concerned, and shall give them an opportunity to be heard before making the correction.

(4) Where a request is made under this section for the correction of any error in a patent or application for a patent or any document filed in pursuance of such an application, and it appears to the Controller that the correction would materially alter the meaning or scope of the document to which the request relates and ought not to be made without notice to persons affected thereby, he shall require notice of the nature of the proposed correction to be published in the prescribed manner.

(5) Within the prescribed time after any such publication as aforesaid any person interested may give notice to the Controller of opposition to the request, and, where such notice of opposition is given, the Controller shall give notice thereof to the person by whom the request was made, and shall give to him and to the opponent an opportunity to be heard before he decides the case.

79. Evidence how to be given and powers of Controller in respect thereof. Subject to any rules made in this behalf, in any proceeding under this Act before the Controller, evidence shall be given by affidavit in the absence of directions by the Controller to the contrary, but in any case in which the Controller thinks it right so to do he may take oral evidence in lieu of, or in addition to, evidence by affidavit, or may allow any party to be cross-examined on the contents of his affidavit.

80. Exercise of discretionary powers by Controller. Without prejudice to any provision contained in this Act requiring the Controller to hear any party to the proceedings thereunder or to give any such party an opportunity to be heard, the Controller shall give to any applicant for a patent, or for amendment of a specification (if within the prescribed time the applicant so requires) an opportunity to be heard before exercising adversely to the applicant any discretion vested in the Controller by or under this Act.

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Provided that the party desiring a hearing makes the request for such hearing to the Controller at least ten days in advance of the expiry of the time-limit specified in respect of the proceeding.

81. Disposal by Controller of applications for extension of time. Where under the provisions of this Act or the rules made thereunder the Controller may extend the time for doing any act, nothing in this Act shall be deemed to require him to give notice to or hear the party interested in opposing the extension, nor shall any appeal lie from any order of the Controller granting such extension.

CHAPTER XVI

WORKING OF PATENTS, COMPULSORY LICENCES AND REVOCATION

82. Definition of "patented articles" and "patentee". In this Chapter, unless the context otherwise requires,—

(*a*) "patented article" includes any article made by a patented process; and

(*b*) "patentee" includes an exclusive licensee.

83. General principles applicable to working of patented inventions. Without prejudice to the other provisions contained in this Act, in exercising the powers conferred by this Chapter, regard shall be had to the following general considerations, namely,—

(*a*) that patents are granted to encourage inventions and to secure that the inventions are worked in India on a commercial scale and to the fullest extent that is reasonably practicable without undue delay;

(*b*) that they are not granted merely to enable patentees to enjoy a monopoly for the importation of the patented article;

(*c*) that the protection and enforcement of patent rights contribute to the promotion of technological innovation and to the transfer and dissemination of technology, to the mutual advantage of producers and users of technological knowledge and in a manner conducive to social and economic welfare, and to a balance of rights and obligations;

(*d*) that patents granted do not impede protection of public health and nutrition and should act as instrument to promote public interest specially in sectors of vital importance for socio-economic and technological development of India;

(*e*) that patents granted do not in any way prohibit Central Government in taking measures to protect public health;

(*f*) that the patent right is not abused by the patentee or person deriving title or interest on patent from the patentee, and the patentee or a person deriving title or interest on patent from the patentee does not resort to practices which unreasonably restrain trade or adversely affect the international transfer of technology; and

(*g*) that patents are granted to make the benefit of the patented invention available at reasonably affordable prices to the public.

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84. Compulsory licences. (1) At any time after the expiration of three years from the date of the grant of a patent, any person interested may make an application to the Controller for grant of compulsory licence on patent on any of the following grounds, namely—

(*a*) that the reasonable requirements of the public with respect of the patented invention have not been satisfied, or

(*b*) that the patented invention is not available to the public at a reasonably affordable price, or

(*c*) that the patented invention is not worked in the territory of India.

(2) An application under this section may be made by any person notwithstanding that he is already the holder of a licence under the patent and no person shall be estopped from alleging that the reasonable requirements of the public with respect to the patented invention are not satisfied or that the patented invention is not worked in the territory of India or that the patented invention is not available to the public at a reasonably affordable price by reason of any admission made by him, whether in such a licence or otherwise or by reason of his having accepted such a licence.

(3) Every application under sub-section (1) shall contain a statement setting out the nature of the applicant's interest together with such particulars as may be prescribed and the facts upon which the application is based.

(4) The Controller, if satisfied that the reasonable requirements of the public with respect to the patented invention have not been satisfied or that the patented invention is not worked in the territory of India or that the patented invention is not available to the public at a reasonably affordable price, may grant a licence upon such terms as he may deem fit.

(6) In considering the application field under this section, the Controller shall take into account,—

(*i*) the nature of the invention, the time which has elapsed since the sealing of the patent and the measures already taken by the patentee or any licensee to make full use of the invention;

(*ii*) the ability of the applicant to work the invention to the public advantage;

(*iii*) the capacity of the applicant to undertake the risk in providing capital and working the invention, if the application were granted;

(*iv*) as to whether the applicant has made efforts to obtain a licence from the patentee on reasonable terms and conditions and such efforts have not been successful within a reasonable period as the Controller may deem fit:

Provided that this clause shall not be applicable in case of national emergency or other circumstances of extreme urgency or in case of public non-commercial use or on establishment of a ground of anti-competitive practices adopted by the patentee,

but shall not be required to take into account matters subsequent to the making of the application.

Explanation. For the purposes of clause (*iv*), "reasonable period" shall be construed as a period not ordinarily exceeding a period of six months.

(7) For the purposes of this Chapter, the reasonable requirements of the public shall be deemed not to have been satisfied—

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(a) if, by reason of the refusal of the patentee to grant a licence or licences on reasonable terms,—

(i) an existing trade or industry or the development thereof or the establishment of any new trade or industry in India or the trade or industry in India or the trade or industry of any person or class of persons trading or manufacturing in India is prejudiced; or

(ii) the demand for the patented article has not been met to an adequate extent or on reasonable terms; or

(iii) a market for export of the patented article manufactured in India is not being supplied or developed; or

(iv) the establishment or development of commercial activities in India is prejudiced; or

(b) if, by reason of conditions imposed by the patentee upon the grant of licences under the patent or upon the purchase, hire or use of the patented article or process, the manufacture, use or sale of materials not protected by the patent, or the establishment or development of any trade or industry in India, is prejudiced; or

(c) if the patentee imposes a condition upon the grant of licences under the patent to provide exclusive grant back, prevention to challenges to the validity of patent or coercive package licensing; or

(d) if the patented invention is not being worked in the territory of India on a commercial scale to an adequate extent or is not being so worked to the fullest extent that is reasonably practicable; or

(e) if the working of the patented invention in the territory of India on a commercial scale is being prevented or hindered by the importation from abroad of the patented article by—

(i) the patentee or persons claiming under him; or

(ii) persons directly or indirectly purchasing from him; or

(iii) other persons against whom the patentee is not taking or has not taken proceedings for infringement.

85. Revocation of patents by the Controller for non-working. (1) Where, in respect of a patent, a compulsory licence has been granted, the Central Government or any person interested may, after the expiration of two years from the date of the order granting the first compulsory licence, apply to the Controller for an order revoking the patent on the ground that the patented invention has not been worked in the territory of India or that reasonable requirements of the public with respect to the patented invention has not been satisfied or that the patented invention is not available to the public at a reasonably affordable price.

(2) Every application under sub-section (1) shall contain such particulars as may be prescribed, the facts upon which the application is based, and, in the case of an application other than by the Central Government, shall also set out the nature of the applicant's interest.

(3) The Controller, if satisfied that the reasonable requirements of the public with respect to the patented invention has not been satisfied or that patented invention has not been worked in the territory of India or that the patented invention is not available to the public at a reasonably affordable price, may make an order revoking the patent.

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(4) Every application under sub-section (1) shall ordinarily be decided within one year of its being presented to the Controller.

86. Power of Controller to adjourn applications for compulsory licences, etc., in certain cases. (1) Where an application under section 84 or section 85, as the case may be, is made on the grounds that the patented invention has not been worked in the territory of India or on the ground mentioned in clause (d) of sub-section (7) of section 84 and the Controller is satisfied that the time which has elapsed since the sealing of the patent has for any reason been insufficient to enable the invention to be worked on a commercial scale to an adequate extent or to enable the invention to be so worked to the fullest extent that is reasonably practicable, he may, by order, adjourn the further hearing of the application for such period not exceeding twelve months in the aggregate as appears to him to be sufficient for the invention to be so worked:

Provided that in any case where the patentee establishes that the reason why a patented invention could not be worked as aforesaid before the date of the application was due to any State or Central Act or any rule or regulation made thereunder or any order of the Government imposed otherwise than by way of a condition for the working of the invention in the territory of India or for the disposal of the patented articles or of the articles made, by the process or by the use of the patented plant, machinery, or apparatus, then, the period of adjournment ordered under this sub-section shall be reckoned from the date on which the period during which the working of the invention was prevented by such Act, rule or regulation or order of Government as computed from the date of the application, expires.

(2) No adjournment under sub-section (1) shall be ordered unless the Controller is satisfied that the patentee has taken with promptitude adequate or reasonable steps to start the working of the invention in the territory of India on a commercial scale and to an adequate extent.

87. Procedure for dealing with applications under sections 84 and 85. (1) Where the Controller is satisfied, upon consideration of an application under section 84, or section 85, that a *prima facie* case has been made out for the making of an order, he shall direct the applicant to serve copies of the application upon the patentee and any other person appearing from the register to be interested in the patent in respect of which the application is made, and shall publish the application in the official journal.

(2) The patentee or any other person desiring to oppose the application may, within such time as may be prescribed or within such further time as the Controller may on application (made either before or after the expiration of the prescribed time) allow, give to the Controller notice of opposition.

(3) Any such notice of opposition shall contain a statement setting out the grounds on which the application is opposed.

(4) Where any such notice of opposition is duly given, the Controller shall notify the applicant, and shall give to the applicant and the opponent an opportunity to be heard before deciding the case.

88. Powers of Controller in granting compulsory licences. (1) Where the Controller is satisfied an application made under section 84 that the manufacture, use or sale of materials not protected by the patent is prejudiced by reason of conditions imposed by the patentee upon the grant of licences under the patent, or upon the purchase, hire or use of the patented article or process, he may, subject to the provisions of that section, order the grant of

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licences under the patent to such costomers of the applicant as he thinks fit as well as to the applicant.

(2) Where an application under section 84 is made by a person being the holder of a licence under the patent, the Controller may, if he makes an order for the grant of a licence to the applicant, order the existing licence to be cancelled, or may, if he thinks fit, instead of making an order for the grant of a licence to the applicant, order the existing licence to be amended.

(3) Where two or more patents are held by the same patentee and an applicant for a compulsory licence establishes that the reasonable requirements of the public have not been satisfied with respect to some only of the said patents, then, if the Controller is satisfied that the applicant cannot efficiently or satisfactorily work the licence granted to him under those patents without infringing the other patents held by the patentee and if those patents involve important technical advancement or considerable economic significance in relation to the other patents, he may, by order, direct the grant of a licence in respect of the other patents also to enable the licensee to work the patent or patents in regard to which a licence is granted under section 84.

(4) Where the terms and conditions of a licence have been settled by the Controller, the licensee may, at any time after he has worked the invention on a commercial scale for a period of not less than twelve months, make an application to the Controller for the revision of the terms and conditions on the ground that the terms and conditions settled have proved to be more onerous than originally expected and that in consequence thereof the licensee is unable to work the invention except at a loss:

Provided that no such application shall be entertained a second time.

89. General purposes for granting compulsory licences. The powers of the Controller upon an application made under section 84 shall be exercised with a view to securing the following general purposes, that is to say,—

(*a*) that patented inventions are worked on a commercial scale in the territory of India without undue delay and to the fullest extent that is reasonably practicable;

(*b*) that the interests of any person for the time being working or developing an invention in the territory of India under the protection of a patent are not unfairly prejudiced.

90. Terms and conditions of compulsory licences. (1) In settling the terms and conditions of a licence under section 84, the Controller shall endeavour to secure—

(*i*) that the royalty and other remuneration, if any, reserved to the patentee or other person beneficially entitled to the patent, is reasonable, having regard to the nature of the invention, the expenditure incurred by the patentee in making the invention or in developing it and obtaining a patent and keeping it in force and other relevant factors;

(*ii*) that the patented invention is worked to the fullest extent by the person to whom the licence is granted and with reasonable profit to him;

(*iii*) that the patented articles are made available to the public at reasonably affordable prices;

(*iv*) that the licence granted is a non-exclusive licence;

(*v*) that the right of the licensee is non-assignable;

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(*vi*) that the licence is for the balance term of the patent unless a shorter term is consistent with public interest;

(*vii*) that the licence is granted with a predominant purpose of supply in the Indian market and that the licensee may also export the patented product, if need be in accordance with the provisions of sub-clause (*iii*) of clause (*a*) of sub-section (7) of section 84;

(*viii*) that in the case of semi-conductor technology, the licence granted is to work the invention for public non-commercial use;

(*ix*) that in case the licence is granted to remedy a practice determined after judicial or administrative process to be anti-competitive, the licensee shall be permitted to export the patented product, if need be.

(2) No licence granted by the Controller shall authorise the licensee to import the patented article or an article or substance made by a patented process from abroad where such importation would, but for such authorisation, constitute an infringement of the rights of the patentee.

(3) Notwithstanding anything contained in sub-section (2), the Central Government may, if in its opinion it is necessary so to do, in the public interest, direct the Controller at any time to authorise any licensee in respect of a patent to import the patented article or an article or substance made by a patented process from abroad (subject to such conditions as it considers necessary to impose relating among other matters to the royalty and other remuneration, if any, payable to the patentee, the quantum of import, the sale price of the imported article and the period of importation), and thereupon the Controller shall give effect to the directions.

91. Licensing of related patents. (1) Notwithstanding anything contained in the other provisions of this Chapter, at any time after the sealing of a patent, any person who has the right to work any other patented invention either as patentee or as licensee thereof, exclusive or otherwise, may apply to the Controller for the grant of a licence of the first mentioned patent on the ground that he is prevented or hindered without such licence from working the other invention efficiently or to the best advantage possible.

(2) No order under sub-section (1) shall be made unless the Controller is satisfied—

(*i*) that the applicant is able and willing to grant, or procure the grant to the patentee and his licensees if they so desire, of a licence in respect of the other invention on reasonable terms; and

(*ii*) that the other invention has made a substantial contribution to the establishment or development of commercial or industrial activities in the territory of India.

(3) When the Controller is satisfied that the conditions mentioned in sub-section (1) have been established by the applicant, he may make an order on such terms as he thinks fit granting a licence under the first mentioned patent and a similar order under the other patent if so requested by the proprietor of the first mentioned patent or his licensee:

Provided that the licence granted by the Controller shall be non-assignable except with the assignment of the respective patents.

(4) The provisions of sections 87, 88, 89 and 90 shall apply to licences granted under this section as they apply to licences granted under section 84.

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92. Special provision for compulsory licences on notifications by Central Government. (1) If the Central Government is satisfied, in respect of any patent in force in circumstances of national emergency or in circumstances of extreme urgency or in case of public non-commercial use, that it is necessary that compulsory licenses should be granted at any time after the sealing thereof to work the invention, it may make a declaration to that effect, by notification in the Official Gazette, and thereupon the following provisions shall have effect, that is to say—

(*i*) the Controller shall on application made at any time after the notification by any person interested grant to the applicant a licence under the patent on such terms and conditions as he thinks fit;

(*ii*) in setting the terms and conditions of a licence granted under this section, the Controller shall endeavour to secure that the articles manufactured under the patent shall be available to the public at the lowest prices consistent with the patentees deriving a reasonable advantage from their patent rights.

(2) The provisions of sections 83, 87, 88, 89 and 90 shall apply in relation to the grant of licences under this section as they apply in relation to the grant of licences under section 84.

(3) Notwithstanding anything contained in sub-section (2), where the Controller is satisfied on consideration of the application referred to in clause (*i*) of sub-section (1) that it is necessary in—

(*i*) a circumstance of national emergency; or

(*ii*) a circumstance of extreme urgency; or

(*iii*) a case of public non-commercial use,

which may arise or is required, as the case may be, including public health crises, relating to Acquired Immuno Deficiency Syndrome, human immuno deficiency virus, tuberculosis, malaria or other epidemics, he shall not apply any procedure specified in section 87 in relation to that application for grant of licence under this section:

Provided that the Controller shall, as soon as may be practicable, inform, the patentee of the patent relating to the application for such non-application of section 87.

92A. Compulsory licence for export of patented pharmaceutical products in certain exceptional circumstances. (1) Compulsory licence shall be available for manufacture and export of patented pharmaceutical products to any country having insufficient or no manufacturing capacity in the pharmaceutical sector for the concerned product to address public health problems, provided compulsory licence has been granted by such country or such country has, by notification or otherwise, allowed importation of the patented pharmaceutical products from India.

(2) The Controller shall, on receipt of an application in the prescribed manner, grant a compulsory licence solely for manufacture and export of the concerned pharmaceutical product to such country under such terms and conditions as may be specified and published by him.

(3) The provisions of sub-sections (1) and (2) shall be without prejudice to the extent to which pharmaceutical products produced under a compulsory license can be exported under any other provision of this Act.

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Explanation. For the purposes of this section, 'pharmaceutical products' means any patented product, or product manufactured through a patented process, of the pharmaceutical sector needed to address public health problems and shall be inclusive of ingredients necessary for their manufacture and diagnostic kits required for their use.

93. Order for licence to operate as a deed between parties concerned. Any order for the grant of a licence under this Chapter shall operate as if it were a deed granting a licence executed by the patentee and all other necessary parties embodying the terms and conditions, if any, settled by the Controller.

94. Termination of compulsory licence. (1) On an application made by the patentee or any other person deriving title or interest in the patent, a compulsory licence granted under section 84 may be terminated by the Controller, if and when the circumstances that gave rise to the grant thereof no longer exist and such circumstances are unlikely to recur:

Provided that the holder of the compulsory licence shall have the right to object to such termination.

(2) While considering an application under section (1), the Controller shall take into account that the interest of the person who had previously been granted the licence is not unduly prejudiced.

95-98. *Omitted.*

CHAPTER XVII

USE OF INVENTIONS FOR PURPOSES OF GOVERNMENT AND ACQUISITION OF INVENTIONS BY CENTRAL GOVERNMENT

99. Meaning of use of invention for purposes of Government. (1) For the purposes of this Chapter, an invention is said to be used for the purposes of Government if it is made, used, exercised or vended for the purposes of the Central Government, a State Government or a Government undertaking.

(2) *Omitted.*

(3) Nothing contained in this Chapter shall apply in respect of any such importation making or using of any machine, apparatus or other article or of any such using of any process or of any such importation using or distribution of any medicine or drug, as may be made by virtue of one or more of the conditions specified in section 47.

100. Power of Central Government to use inventions for purposes of Government. (1) Notwithstanding anything contained in this Act, at any time after an application for a patent has been filed at the patent office or a patent has been granted, the Central Government and any person authorised in writing by it, may use the invention for the purposes of Government in accordance with the provisions of this Chapter.

(2) Where an invention has, before the priority date of the relevant claim of the complete specification, been duly recorded in a document, or tested or tried, by or on behalf of the Government or a Government undertaking, otherwise than in consequence of the communication of the invention directly or indirectly by the patentee or by a person from whom he derives title, any use of the invention by the Central Government or any person authorised in writing by it for the purposes of Government may be made free of any royalty or other remuneration to the patentee.

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(3) If and so far as the invention has not been so recorded or tried or tested as aforesaid, any use of the invention made by the Central Government or any person authorised by it under sub-section (1), at any time after grant of the patent or in consequence of any such communication as aforesaid, shall be made upon terms as may be agreed upon either before or after the use, between the Central Government or any person authorised under sub-section (1) and the patentee, or, as may in default of agreement be determined by the High Court on a reference under section 103:

Provided that in case of any such use of any patent, the patentee shall be paid not more than adequate remuneration in the circumstances of each case, taking into account the economic value of the use of the patent.

(4) The authorisation by the Central Government in respect of an invention may be given under this section, either before or after the patent is granted and whether before or after the acts in respect of which such authorisation is given are done, and may be given to any person, whether or not he is authorised directly or indirectly by the applicant or the patentee to make, use, exercise or vend the invention or import the machine, apparatus or other article or medicine or drug covered by such patent.

(5) Where an invention has been used by or with the authority of the Central Government for the purposes of Government under this section, then, except in case of national emergency or other circumstances of extreme urgency or for non-commercial use, the Government shall notify the patentee as soon as practicable of the fact and furnish him with such information as to the extent of the use of the invention as he may, from time to time, reasonably require and where the invention has been used for the purposes of a Government undertaking, the Central Government may call for such information as may be necessary for this purpose from such undertaking.

(6) The right to make, use, exercise and vend an invention for the purposes of Government under sub-section (1) shall include the right to sell on non-commercial basis, the goods have been made in exercise of that right, and a purchaser of goods so sold, and a person claiming through him, shall have the power to deal with the goods as if the Central Government or the person authorised under sub-section (1) were the patentee of the invention.

(7) Where in respect of a patent which has been the subject of an authorisation under this section, there is an exclusive licensee as is referred to in sub-section (3) of section 101, or where such patent has been assigned to the patentee in consideration of royalties or other benefits determined by reference to the use of the invention (including payments by way of minimum royalty), the notice directed to be given under sub-section (5) shall also be given to such exclusive licensee or assignor, as the case may be, and the reference to the patentee in sub-section (3) shall be deemed to include a reference to such assignor or exclusive licensee.

101. Rights of third parties in respect of use of invention for purposes of Government. (1) In relation to any use of a patented invention, or an invention in respect of which an application for a patent is pending, made for the purposes of Government—

(a) by the Central Government or any person authorised by the Central Government under section 100; or

(b) by the patentee or applicant for the patent to the order made by the Central Government,

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the provisions of any licence, assignment or agreement granted or made ... between the patentee or applicant for the patent (or any person who derives title from him or from whom he derives title) and any person other than the Central Government shall be of no effect so far as those provisions—

(*i*) restrict or regulate the use for the purposes of Government of the invention, or of any model, document or information relating thereto, or

(*ii*) provide for the making of payments in respect of any use of the invention or of the model, document or information relating thereto for the purposes of Government ...,

and the reproduction or publication of any model or document in connection with the said use for the purposes of Government shall not be deemed to be an infringement of any copyright subsisting in the model or document.

(2) Where the patent, or the right to apply for or obtain the patent, has been assigned to the patentee in consideration of royalties or other benefits determined by reference to the use of the invention ..., then, in relation to any use of the invention made for the purposes of Government by the patentee to the order of the Central Government, sub-section (3) of section 100 shall have effect as if that use were made by virtue of an authority given under that section; and use of the invention for the purposes of Government by virtue of sub-section (3) of that section shall have effect as if the reference to the patentee included a reference to the assignor of the patent, and any sum payable by virtue of that sub-section shall be divided between the patentee and the assignor in such proportion as may be agreed upon between them or as may in default of agreement be determined by the High Court on a reference under section 103.

(3) Where by virtue of sub-section (3) of section 100, payments are required to be made by the Central Government or persons authorised under sub-section (1) of that section in respect of the use of an invention for the purposes of Government and where in respect of such patent there is an exclusive licensee authorised under his licence to use the invention for the purposes of Government, such sum shall be shared by the patentee and such licensee in such proportions, if any, as may be agreed upon between them or as may in default of agreement be determined by the High Court on a reference under section 103 to be just, having regard to any expenditure incurred by the licensee—

(*a*) in developing the said invention; or

(*b*) in making payments to the patentees other than royalties or other benefits determined by reference to the use of the invention ... in consideration of the licence.

102. Acquisition of inventions and patents by the Central Government. (1) The Central Government may, if satisfied that it is necessary that an invention which is the subject of an application for a patent or a patent should be acquired from the applicant or the patentee for a public purpose, publish a notification to that effect in the Official Gazette, and thereupon the invention or patent and all rights in respect of the invention or patent shall, by force of this section, stand transferred to and be vested in the Central Government.

(2) Notice of the acquisition shall be given to the applicant, and, where a patent has been granted, to the patentee and other persons, if any, appearing in the register as having an interest in the patent.

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(3) The Central Government shall pay to the applicant, or, as the case may be, the patentee and other persons appearing on the register as having an interest in the patent such compensation as may be agreed upon between the Central Government and the applicant, or the patentee and other persons; or, as may, in default of agreement, be determined by the High Court on a reference under section 103 to be just having regard to the expenditure incurred in connection with the invention and, in the case of a patent, the term thereof, the period during which and the manner in which it has already been worked including the profits made during such period by the patentee or by his licensee whether exclusive or otherwise) and other relevant factors.

103. Reference to High Court of disputes as to use for purposes of Government. (1) Any dispute as to the exercise by the Central Government or a person authorised by it of the powers conferred by section 100, or as to terms for the use of an invention for the purposes of Government thereunder or as to the right of any person to receive any part of a payment made in pursuance of sub-section (3) of that section or as to the amount of compensation payable for the acquisition of an invention or a patent under section 102, may be referred to the High Court by either party to the dispute in such manner as may be prescribed by the rules of the High Court.

(2) In any proceedings under this section to which the Central Government is a party, the Central Government may,—

(a) if the patentee is a party to the proceedings, petition by way of counter-claim for revocation of the patent on any ground upon which a patent may be revoked under section 64; and

(b) whether a patentee is or is not a party to the proceedings, put in issue the validity of the patent without petitioning for its revocation.

(3) If in such proceedings as aforesaid any question arises whether an invention has been recorded, tested or tried as is mentioned in section 100, and the disclosure of any document regarding the invention, or of any evidence of the test or trial thereof, would, in the opinion of the Central Government, be prejudicial to the public interest, the disclosure may be made confidentially to the advocate of the other party or to an independent expert mutually agreed upon.

(4) In determining under this section any dispute between the Central Government and any person as to terms for the use of an invention for the purposes of Government, the High Court shall have regard to any benefit or compensation which that person or any person from whom he derives title, may have received, or may be entitled to receive, directly or indirectly in respect of the use of the invention in question for the purposes of Government.

(5) In any proceedings under this section, the High Court may at any time order the whole proceedings or any question or issue of fact arising therein to be referred to an official referee, commissioner or an arbitrator on such terms as the High Court may direct, and references to the High Court in the foregoing provisions of this section shall be construed accordingly.

(6) Where the invention claimed in a patent was made by a person who at the time it was made was in the service of the Central Government or of a State Government or was an employee of a Government undertaking and the subject-matter of the invention is certified by the relevant Government or the principal officer of the Government undertaking to be connected with the work done in the course of the normal duties of the Government servant or employee of the

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Government undertaking, then, notwithstanding anything contained in this section, any dispute of the nature referred to in sub-section (1) relating to the invention shall be disposed of by the Central Government conformably to the provisions of this section so far as may be applicable, but before doing so the Central Government shall give an opportunity to the patentee and such other parties as it considers have an interest in the matter to be heard.

CHAPTER XVIII

SUITS CONCERNING INFRINGEMENT OF PATENTS

104. Jurisdiction. No suit for a declaration under section 105 or for any relief under section 106 or for infringement of a patent shall be instituted in any court inferior to a district court having jurisdiction to try the suit:

Provided that where a counter-claim for revocation of the patent is made by the defendant, the suit, along with the counter-claim, shall be transferred to the High Court for decision.

104A. Burden of proof in case of suits concerning infringement. (1) In any suit for infringement of a patent, where the subject matter of patent is a process for obtaining a product, the court may direct the defendant to prove that the process used by him to obtain the product, identical to the product of the patented process, is different from the patented process if,—

(*a*) the subject matter of the patent is a process for obtaining a new product; or

(*b*) there is a substantial likelihood that the identical product is made by the process, and the patentee or a person deriving title or interest in the patent from him, has been unable through reasonable efforts to determine the process actually used:

Provided that the patentee or a person deriving title or interest in the patent from him first proves that the product is identical to the product directly obtained by the patented process.

(2) In considering whether a party has discharged the burden imposed upon him by sub-section (1), the court shall not require him to disclose any manufacturing or commercial secrets, if it appears to the court that it would be unreasonable to do so.

105. Power of court to make declaration as to non-infringement. (1) Notwithstanding anything contained in section 34 of the Specific Relief Act, 1963, any person may institute a suit for a declaration that the use by him of any process, or the making, use or sale of any article by him does not, or would not, constitute an infringement of a claim of a patent against the patentee or the holder of an exclusive licence under the patent, notwithstanding that no assertion to the contrary has been made by the patentee or the licensee, if it is shown—

(*a*) that the plaintiff has applied in writing to the patentee or exclusive licensee for a written acknowledgment to the effect of the declaration claimed and has furnished him with full particulars in writing of the process or article in question; and

(*b*) that the patentee or licensee has refused or neglected to give such an acknowledgment.

(2) The costs of all parties in a suit for a declaration brought by virtue of this section shall, unless for special reasons the court thinks fit to order otherwise, be paid by the plaintiff.

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(3) The validity of a claim of the specification of a patent shall not be called in question in a suit for a declaration brought by virtue of this section, and accordingly the making or refusal of such a declaration in the case of a patent shall not be deemed to imply that the patent is valid or invalid.

(4) A suit for a declaration may be brought by virtue of this section at any time after the publication of grant of a patent, and references in this section to the patentee shall be construed accordingly.

106. Power of Court to grant relief in cases of groundless threats of infringement proceedings. (1) Where any person (whether entitled to or interested in a patent or an application for a patent or not) threatens any other person by circulars or advertisements or by communications, oral or in writing addressed to that or any other person, with proceedings for infringement of a patent, any person aggrieved thereby may bring a suit against him praying for the following reliefs, that is to say—

(*a*) a declaration to the effect that the threats are unjustifiable;

(*b*) an injunction against the continuance of the threats; and

(*c*) such damages, if any, as he has sustained thereby.

(2) Unless in such suit the defendant proves that the acts in respect of which the proceedings were threatened constitute or, if done, would constitute, an infringement of a patent or of rights arising from the publication of a complete specification in respect of a claim of the specification not shown by the plaintiff to be invalid, the court may grant to the plaintiff all or any of the reliefs prayed for.

Explanation. A mere notification of the existence of a patent does not constitute a threat of proceeding within the meaning of this section.

107. Defences, etc., in suits for infringement. (1) In any suit for infringement of a patent, every ground on which it may be revoked under section 64 shall be available as a ground for defence.

(2) In any suit for infringement of a patent by the making, using or importation of any machine, apparatus or other article or by the using of any process or by the importation, use or distribution of any medicine or drug, it shall be a ground for defence that such making, using, importation or distribution is in accordance with any one or more of the conditions specified in section 47.

107A. Certain acts not to be considered as infringement. For the purposes of this Act,—

(*a*) any act of making, constructing, using, selling or importing a patented invention solely for uses reasonably related to the development and submission of information required under any law for the time being in force, in India, or in a country other than India, that regulates the manufacture, construction, use, sale or import of any product;

(*b*) importation of patented products by any person from a person who is duly authorised under the law to produce and sell or distribute the product,

shall not be considered as a infringement of patent rights.

108. Reliefs in suit for infringement. 1 The reliefs which a court may grant in any suit for infringement include an injunction (subject to such terms, if any, as the court thinks fit) and, at the option of the plaintiff, either damages or an account of profits.

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(2) The court may also order that the goods which are found to be infringing and materials and implements, the predominant use of which is in the creation of infringing goods shall be seized, forfeited or destroyed, as the court deems fit under the circumstances of the case without payment of any compensation.

109. Right of exclusive licensee to take proceedings against infringement. (1) The holder of an exclusive licence shall have the like right as the patentee to institute a suit in respect of any infringement of the patent committed after the date of the licence, and in awarding damages or an account of profits or granting any other relief in any such suit the court shall take into consideration any loss suffered or likely to be suffered by the exclusive licensee as such or, as the case may be, the profits earned by means of the infringement so far as it constitutes an infringement of the rights of the exclusive licensee as such.

(2) In any suit for infringement of a patent by the holder of an exclusive licence under sub-section (1), the patentee shall, unless he has joined as a plaintiff in the suit, be added as a defendant, but a patentee so added as defendant shall not be liable for any costs unless he enters an appearance and takes part in the proceedings.

110. Right of licensee under section 84 to take proceedings against infringement. Any person to whom a licence has been granted under section 84 shall be entitled to call upon the patentee to take proceedings to prevent any infringement of the patent, and, if the patentee refuses or neglects to do so within two months after being so called upon, the licensee may institute proceedings for the infringement in his own name as though he were the patentee, making the patentee a defendant; but a patentee so added as defendant shall not be liable for any costs unless he enters an appearance and takes part in the proceedings.

111. Restriction on power of court to grant damages or account of profits for infringement. (1) In a suit for infringement of a patent, damages or an account of profits shall not be granted against the defendant who proves that at the date of the infringement he was not aware and had no reasonable grounds for believing that the patent existed.

Explanation. A person shall not be deemed to have been aware or to have had reasonable grounds for believing that a patent exists by reason only of the application to an article of the word "patent", "patented" or any word or words expressing or implying that a patent has been obtained for the article, unless the number of the patent accompanies the word or words in question.

(2) In any suit for infringement of a patent the court may, if it thinks fit, refuse to grant any damages or an account of profits in respect of any infringement committed after a failure to pay any renewal fee within the prescribed period and before any extension of that period.

(3) Where an amendment of a specification by way of disclaimer, correction or explanation has been allowed under this Act after the publication of the specification, no damages or account of profits shall be granted in any proceeding in respect of the use of the invention before the date of the decision allowing the amendment, unless the court is satisfied that the specification as originally published was framed in good faith and with reasonable skill and knowledge.

(4) Nothing in this section shall affect the power of the court to grant an injunction in any suit for infringement of a patent.

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112. Restriction on power of court to grant injunction in certain cases. Repealed by the Patents (Amendment) Act, 2002 (w.e.f. 20.5.2003).

113. Certificate of validity of specification and costs of subsequent suits for infringement thereof. (1) If in any proceedings before the Appellate Board or a High Court for the revocation of a patent under section 64 and section 104, as the case may be, the validity of any claim of a specification is contested and that claim is found by the Appellate Board or the Hich Court to be valid, the Appellate Board or the High Court may certify that the validity of that claim was contested in those proceedings and was upheld.

(2) Where any such certificate has been granted, then, if in any subsequent suit before a court for infringement of that claim of the patent or in any subsequent proceeding for revocation of the patent in so far as it relates to that claim, the patentee or other person relying on the validity of the claim obtains a final order or judgment in his favour, he shall be entitled to an order for the payment of his full costs, charges and expenses of and incidental to any such suit or proceeding properly incurred so far as they concern the claim in respect of which the certificate was granted, unless the court trying the suit or proceeding otherwise directs:

Provided that the costs as specified in this sub-section shall not be ordered when the party disputing the validity of the claim satisfies the court that he was not aware of the grant of the certificate when he raised the dispute and withdrew forthwith such defence when he became aware of such a certificate.

(3) Nothing contained in this section shall be construed as authorising the courts or the Appellate Board hearing appeals from decrees or orders in suits for infringement or petitions for revocation, as the case may be, to pass orders for costs on the scale referred to therein.

114. Relief for infringement of partially valid specification. (1) If in proceedings for infringement of a patent it is found that any claim of the specification, being a claim in respect of which infringement is alleged, is valid, but that any other claim is invalid, the court may grant relief in respect of any valid claim which is infringed:

Provided that the court shall not grant relief except by way of injunction save in the circumstances mentioned in sub-section (2).

(2) Where the plaintiff proves that the invalid claim was framed in good faith and with reasonable skill and knowledge, the court shall grant relief in respect of any valid claim which is infringed subject to the discretion of the court as to costs and as to the date from which damages or an account of profits should be reckoned, and in exercising such discretion the court may take into consideration the conduct of the parties in inserting such invalid claims in the specification or permitting them to remain there.

115. Scientific advisers. (1) In any suit for infringement or in any proceeding before a court under this Act, the court may at any time, and whether or not an application has been made by any party for that purpose, appoint an independent scientific adviser to assist the court or to inquire and report upon any such question of fact or of opinion (not involving a question of interpretation of law) as it may formulate for the purpose.

(2) The remuneration of the scientific adviser shall be fixed by the court and shall include the costs of making a report and a proper daily fee for any day on which the scientific adviser may be required to attend before the court, and

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such remuneration shall be defrayed out of moneys provided by Parliament by law for the purpose.

CHAPTER XIX

APPEALS TO THE APPELLATE BOARD

116. Appellate Board. (1) Subject to the provisions of this Act, the Appellate Board established under section 83 of the Trade Marks Act, 1999 shall be the Appellate Board for the purposes of this Act and the said Appellate Board shall exercise the jurisdiction, power and authority conferred on it by or under this Act:

Provided that the Technical Member of the Appellate Board for the purposes of this Act shall have the qualifications specified in sub-section (2).

(2) A person shall not be qualified for appointment as a Technical Member for the purposes of this Act unless he—

(*a*) has, at least five years held the post of Controller under this Act or has exercised the functions of the Controller under this Act for at least five years; or

(*b*) has, for at least ten years functioned as a Registered Patent Agent and possesses a degree in engineering or technology or a masters degree in science from any University established under law for the time being in force or equivalent; or

117. Staff of Appellate Board. (1) The Central Government shall determine the nature and categories of the officers and other employees required to assist the Appellate Board in the discharge of its functions under this Act and provide the Appellate Board with such officers and other employees as it may think fit.

(2) The salaries and allowances and conditions of service of the officers and other employees of the Appellate Board shall be such as may be prescribed.

(3) The officers and other employees of the Appellate Board shall discharge their functions under the general superintendence of the Chairman of the Appellate Board in the manner as may be prescribed.

117A. Appeals to Appellate Board. (1) Save as otherwise expressly provided in sub-section (2), no appeal shall lie from any decision, order or direction made or issued under this Act by the Central Government, or from any act or order of the Controller for the purpose of giving effect to any such decision, order or direction.

(2) An appeal shall lie to the Appellate Board from any decision, order or direction of the Controller or Central Government under section 15, section 16, section 17, section 18, section 19, section 20, sub-section (4) of section 25, section 28, section 51, section 54, section 57, section 60, section 61, section 63, section 66, sub-section (3) of section 69, section 78, sub-sections (1) to (5) of section 84, section 85, section 88, section 91, section 92 and section 94.

(3) Every appeal under this section shall be in the prescribed form and shall be verified in such manner as may be prescribed and shall be accompanied by a copy of the decision, order or direction appealed against and by such fees as may be prescribed.

(4) Every appeal shall be made within three months from the date of the decision, order or direction, as the case may be, of the Controller or the Central

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Government or within such further time as the Appellate Board may, in accordance with the rules made by it allow.

117B. Procedure and powers of Appellate Board. The provisions of sub-sections (2) to (6) of section 84, section 87, section 92, section 95 and section 96 of the Trade Marks Act, 1999 (47 of 1999) shall apply to the Appellate Board in the discharge of its functions under this Act as they apply to it in the discharger of its functions under the Trade Marks Act, 1999.

117C. Bar of jurisdiction of courts, etc. No court or other authority shall have or, be entitled to, exercise any jurisdiction, powers or authority in relation to the matters referred to in sub-section (2) of section 117A or section 117D.

117D. Procedure for application for rectification, etc., before Appellate Board. (1) An application for revocation of a patent before the Appellate Board under section 64 and an application for rectification of the register made to the Appellate Board under section 71 shall be in such form as may be prescribed.

(2) A certified copy of every order or judgment of the Appellate Board relating to a patent under this Act shall be communicated to the Controller by the Board and the Controller shall give effect to the order of the Board and shall, when so directed, amend the entries in, or rectify, the register in accordance with such order.

117E. Appearance of Controller in legal proceedings. (1) The Controller shall have the right to appear and be heard—

(*a*) in any legal proceedings before the Appellate Board in which the relief sought includes alteration or rectification of the register or in which any question relating to the practice of the patent office is raised;

(*b*) in any appeal to the Appellate Board from an order of the Controller on an application for grant to a patent—

(*i*) which is not opposed, and the application is either refused by the Controller or is accepted by him subject to any amendments, modifications, conditions or limitations, or

(*ii*) which has been opposed and the Controller considers that his appearance is necessary in the public interest,

and the Controller shall appear in any case if so directed by the Appellate Board.

(2) Unless the Appellate Board otherwise directs, the Controller may, in lieu of appearing, submit a statement in writing signed by him, giving such particulars as he thinks proper of the proceedings before him relating to the matter in issue or of the grounds of any decision given by him or of the practice of the patent office in like cases, or of other matters relevant to the issues and within his knowledge as the Controller may deem it necessary, and such statement shall be evidence in the proceeding.

117F. Costs of Controller in proceedings before Appellate Board. In all proceedings under this Act before the Appellate Board, the costs of the Controller shall be in the discretion of the Board, but the Controller shall not be ordered to pay the costs of any of the parties.

117G. Transfer of pending proceedings to Appellate Board. All cases of appeals against any order or decision of the Controller and all cases pertaining to revocation of patent other than on a counter-claim in a suit for infringement

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and rectification of register pending before any High Court, shall be transferred to the Appellate Board from such date as may be notified by the Central Government in the Official Gazette and the Appellate Board may proceed with the matter either *de novo* or from the stage it was so transferred.

117H. Power of Appellate Board to make rules. The Appellate Board may make rules consistent with this Act as to the conduct and procedure in respect of all proceedings before it under this Act.

CHAPTER XX

PENALTIES

118. Contravention of secrecy provisions relating to certain inventions. If any person fails to comply with any direction given under section 35 or makes or causes to be made an application for the grant of a patent in contravention of section 39, he shall be punishable with imprisonment for a term which may extend to two years, or with fine, or with both.

119. Falsification of entries in register, etc. If any person makes, or causes to be made, a false entry in any register kept under this Act, or a writing falsely purporting to be a copy of an entry in such a register, or produces or tenders, or causes to be produced or tendered, in evidence any such writing knowing the entry or writing to be false, he shall be punishable with imprisonment for a term which may extend to two years, or with fine or with both.

120. Unauthorised claim of patent rights. If any person falsely represents that any article sold by him is patented in India or is the subject of an application for a patent in India, he shall be punishable with fine which may extend to one lakh rupees.

Explanation 1. For the purposes of this section, a person shall be deemed to represent—

(*a*) that an article is patented in India if there is stamped, engraved or impressed on, or otherwise applied to, the article the word "patent" or "patented" or some other word expressing or implying that a patent for the article has been obtained in India;

(*b*) that an article is the subject of an application for a patent in India, if there are stamped, engraved or impressed on, or otherwise applied to, the article the words "patent applied for", "patent pending", or some other words implying that an application for a patent for the article has been made in India.

Explanation 2. The use of words "patent", "patented", "patent applied for", "patent pending" or other words expressing or implying that an article is patented or that a patent has been applied for shall be deemed to refer to a patent in force in India, or to a pending application for a patent in India, as the case may be, unless there is an accompanying indication that the patent has been obtained or applied for in any country outside India.

121. Wrongful use of words "patent office". If any person uses on his place of business or any document issued by him or otherwise the words "patent office" or any other words which would reasonably lead to the belief that his place of business is, or is officially connected with, the patent office, he shall be punishable with imprisonment for a term which may extend to six months; or with fine, or with both.

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122. Refusal or failure to supply information. (1) If any person refuses or fails to furnish—

(*a*) to the Central Government any information which he is required to furnish under sub-section (5) of section 100,

(*b*) to the Controller any information or statement which he is required to furnish by or under section 146,

he shall be punishable with fine which may extend to ten lakh rupees.

(2) If any person, being required to furnish any such information as is referred to in sub-section (1), furnishes information or statement which is false, and which he either knows or has reason to believe to be false or does not believe to be true, he shall be punishable with imprisonment which may extend to six months, or with fine, or with both.

123. Practice by non-registered patent agents. If any person contravenes the provisions of section 129, he shall be punishable with fine which may extend to one lakh rupees in the case of a first offence and five lakh rupees in the case of a second or subsequent offence.

124. Offences by companies. (1) If the person committing an offence under this Act is a company, the company as well as every person in charge of, and responsible to, the company for the conduct of its business at the time of the commission of the offence shall be deemed to be guilty of the offence and shall be liable to be proceeded against and punished accordingly:

Provided that nothing contained in this sub-section shall render any such person liable to any punishment if he proves that the offence was committed without his knowledge or that he exercised all due diligence to prevent the commission of such offence.

(2) Notwithstanding anything contained in sub-section (1), where an offence under this Act has been committed by a company and it is proved that the offence has been committed with the consent or connivance of, or that the commission of the offence is attributable to any neglect on the part of any director, manager, secretary or other officer of the company, such director, manager, secretary or other officer shall also be deemed to be guilty of that offence and shall be liable to be proceeded against and punished accordingly.

Explanation. For the purposes of this section,—

(*a*) "company" means any body corporate and includes a firm or other association of individuals; and

(*b*) "director", in relation to a firm, means a partner in the firm.

CHAPTER XXI

PATENT AGENTS

125. Register of patent agents. (1) The Controller shall maintain a register to be called the register of patent agents in which shall be entered the names, addresses and other relevant particulars, as may be prescribed, of all persons qualified to have their names so entered under section 126.

(2) Notwithstanding anything contained in sub-section (1), it shall be lawful for the Controller to keep the register of patent agents in computer floppies, diskettes or any other electronic form subject to such safeguards as may be prescribed.

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126. Qualifications for registration as patent agents. (1) A person shall be qualified to have his name entered in the register of patent agents if he fulfils the following conditions, namely:

(*a*) he is a citizen of India;

(*b*) he has completed the age of 21 years;

(*c*) he has obtained a degree in science, engineering or technology from any university established under law for the time being in force in the territory of India or possesses such other equivalent qualifications as the Central Government may specify in this behalf, and, in addition,—

(*i*) *Omitted.*

(*ii*) has passed the qualifying examination prescribed for the purpose; or

(*iii*) has, for a total period of not less than ten years, functioned either as an examiner or discharged the functions of the Controller under section 73 or both, but ceased to hold any such capacity at the time of making the application for registration;

(*d*) he has paid such fee as may be prescribed.

(2) Notwithstanding anything contained in sub-section (1), a person who has been registered as a patent agent before the commencement of the Patents (Amendment) Act, 2005 shall be entitled to continue to be, or when required to be re-registered, as a patent agent, on payment of the fee as may be prescribed.

127. Rights of patent agents. Subject to the provisions contained in this Act and in any rules made thereunder, every patent agent whose name is entered in the register shall be entitled—

(*a*) to practise before the Controller; and

(*b*) to prepare all documents, transact all business and discharge such other functions as may be prescribed in connection with any proceeding before the Controller under this Act.

128. Subscription and verification of certain documents by patent agents. (1) ...all applications and communications to the Controller under this Act may be signed by a patent agent authorised in writing in this behalf by the person concerned.

(2) *Omitted.*

Provided that if such person is absent from India, they may be signed and verified on his behalf by a patent agent authorised by him in writing in that behalf.

129. Restrictions on practice as patent agents. (1) No person, either alone or in partnership with any other person, shall practise, describe or hold himself out as a patent agent, or permit himself to be so described or held out, unless he is registered as a patent agent or, as the case may be, unless he and all his partners are so registered.

(2) No company or other body corporate shall practise, describe itself or hold itself out as patent agents or permit itself to be so described or held out.

Explanation. For the purposes of this section, practise as a patent agent includes any of the following acts, namely:

(*a*) applying for or obtaining patents in India or elsewhere;

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(*b*) preparing specifications or other documents for the purposes of this Act or of the patent law of any country;

(*c*) giving advice other than of a scientific or technical nature as to the validity of patents or their infringement.

130. Removal from register of patent agents and restoration. (1) The Controller may remove the name of any person from the register when he is satisfied, after giving that person a reasonable opportunity of being heard and after such further inquiry, if any, as he thinks fit to make—

(*i*) that his name has been entered in the register by error on account of misrepresentation or suppression of material fact;

(*ii*) that he has been convicted of any offence and sentenced to a term of imprisonment or has been guilty of misconduct in his professional capacity which in the opinion of the Controller renders him unfit to be kept in the register.

(2) The Controller may, on application and on sufficient cause being shown, restore to the register the name of any person removed therefrom.

131. Power of Controller to refuse to deal with certain agents. (1) Subject to any rules made in this behalf, the Controller may refuse to recognise as agent in respect of any business under this Act—

(*a*) any individual whose name has been removed from, and not restored to, the register;

(*b*) any person who has been convicted of an offence under section 123;

(*c*) any person, not being registered as a patent agent, who in the opinion of the Controller is engaged wholly or mainly in acting as agent in applying for patents in India or elsewhere in the name or for the benefit of the person by whom he is employed;

(*d*) any company or firm, if any person whom the Controller could refuse to recognise as agent in respect of any business under this Act, is acting as a director or manager of the company or is a partner in the firm.

(2) The Controller shall refuse to recognise as agent in respect of any business under this Act any person who neither resides nor has a place of business in India.

132. Savings in respect of other persons authorised to act as agents. Nothing in the Chapter shall be deemed to prohibit—

(*a*) the applicant for a patent ... from drafting any specification or appearing or acting before the Controller; or

(*b*) an advocate, not being a patent agent, from taking part in any hearing before the Controller on behalf of a party who is taking part in any proceeding under this Act.

CHAPTER XXII

INTERNATIONAL ARRANGEMENTS

133. Convention countries. Any country, which is a signatory or party or a group of countries, union of countries or intergovernmental organisations which are signatories or parties to an international, regional or bi-lateral treaty, convention or arrangement to which India is also a signatory or party and which affords to the applicants for patents in India or to citizens of India similar

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privileges as are granted to their own citizens or citizens to their member countries in respect of the grant of patents and protection of patent rights shall be a convention country or convention countries for the purposes of this Act.

134. Notification as to countries not providing for reciprocity. Where any country specified by the Central Government in this behalf by notification in the Official Gazette does not accord to citizens of India the same rights in respect of the grant of patents and the protection of patent rights as it accords to its own nationals, no national of such country shall be entitled, either solely or jointly with any other person,—

(*a*) to apply for the grant of a patent or be registered as the proprietor of a patent;

(*b*) to be registered as the assignee of the proprietor of a patent; or

(*c*) to apply for a licence or hold any licence under a patent granted under this Act.

135. Convention applications. (1) Without prejudice to the provisions contained in section 6, where a person has made an application for a patent in respect of an invention in a convention country (hereinafter referred to as the "basic application"), and that person or the legal representative or assignee of that person makes an application under this Act for a patent within twelve months after the date on which the basic application was made, the priority date of a claim of the complete specification, being a claim based on matter disclosed in the basic application, is the date of making of the basic application.

Explanation. Where applications have been made for similar protection in respect of an invention in two or more convention countries, the period of twelve months referred to in this sub-section shall be reckoned from the date on which the earlier or earliest of the said applications was made.

(2) Where applications for protection have been made in one or more convention countries in respect of two or more inventions which are cognate or of which one is a modification of another, a single convention application may, subject to the provisions contained in section 10, be made in respect of those inventions at any time within twelve months from the date of the earliest of the said applications for protection:

Provided that the fee payable on the making of any such application shall be the same as if separate applications have been made in respect of each of the said inventions, and the requirements of clause (*b*) of sub-section (1) of section 136 shall, in the case of any such application, apply separately to the applications for protection in respect of each of the said inventions.

(3) In case of an application filed under the Patent Cooperation Treaty designating India and claiming priority from a previously filed application in India, the provisions of sub-sections (1) and (2) shall apply as if the previously filed application were the basic application:

Provided that a request for examination under section 11B shall be made only for one of the applications filed in India.

136. Special provisions relating to convention applications. (1) Every convention application shall—

(*a*) be accompanied by a complete specification; and

(*b*) specify the date on which and the convention country in which the application for protection, or as the case may be, the first of such applications was made; and

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(c) state that no application for protection in respect of the invention has been made in a convention country before that date by the applicant or by any person from whom he derives title.

(2) Subject to the provisions contained in section 10, a complete specification filed with a convention application may include claims in respect of developments of, or additions to, the invention in respect of which the application for protection was made in a convention country, being developments or additions in respect of which the applicant would be entitled under the provisions of section 6 to make a separate application for a patent.

(3) A convention application shall not be postdated under sub-section (1) of section 17 to a date later than the date on which under the provisions of this Act the application could have been made.

137. Multiple priorities, (1) Where two or more applications for patents in respect of inventions have been made in one or more convention countries and those inventions are so related as to constitute one invention, one application may be made by any or all of the persons referred to in sub-section (1) of section 135 within twelve months from the date on which the earlier or earliest of those applications was made, in respect of the inventions, disclosed in the specifications which accompanied the basic applications.

(2) The priority date of a claim of the complete specification, being a claim based on matters disclosed in one or more of the basic applications, is the date on which that matter was first so disclosed.

(3) For the purposes of this Act, a matter shall be deemed to have been disclosed in a basic application for protection in a convention country if it was claimed or disclosed (otherwise than by way of disclaimer or acknowledgment of a prior art) in that application, or any documents submitted by the applicant for protection in support of and at the same time as that application, but no account shall be taken of any disclosure effected by any such document unless a copy of the document is filed at the patent office with the convention application or within such period as may be prescribed after the filing of that application.

138. Supplementary provisions as to convention applications. (1) Where a convention application is made in accordance with the provisions of this Chapter, the applicant shall furnish, when required by the Controller, in addition to the complete specification, copies of the specifications or corresponding documents filed or deposited by the applicant in the patent office of the convention country as referred to in section 133 verified to the satisfaction of the Controller, within the prescribed period from the date of communication by the Controller.

(2) If any such specification or other document is in a foreign language, a translation into English of the specification or document, verified by affidavit or otherwise to the satisfaction of the Controller, shall be furnished when required by the Controller.

(3) For the purposes of this Act, the date on which an application was made in a convention country is such date as the Controller is satisfied, by certificate of the official chief or head of the patent office of the convention country or otherwise, is the date on which the application was made in that convention country.

(4) An international application filed under the Patent Co-operation Treaty designating India shall have effect of filing an application for patent under section 7, section 54 and section 135, as the case may be, and the title, description,

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claim and abstract and drawings, if any, filed in the international application shall be taken as complete specification for the purposes of this Act.

(5) The filing date of application for patent and its complete specification processed by the patent office as designated office shall be the international filing date accorded under the Patent Cooperation Treaty.

(6) Amendment, if any, proposed by the applicant for an international application designation designating India or designating and electing India before international searching authority or preliminary examination authority shall, if the applicant so desires, be taken as an amendment made before the patent office.

139. Other provisions of Act to apply to convention applications. Save as otherwise provided in this Chapter, all the provisions of this Act shall apply in relation to a convention application and a patent granted in pursuance thereof as they apply in relation to an ordinary application and a patent granted in pursuance thereof.

CHAPTER XXIII

MISCELLANEOUS

140. Avoidance of certain restrictive conditions. (1) It shall not be lawful to insert—

(*i*) in any contract for or in relation to the sale or lease of a patented article or an article made by a patented process; or

(*ii*) in a licence to manufacture or use a patented article; or

(*iii*) in a licence to work any process protected by a patent, a condition the effect of which may be—

(*a*) to require the purchaser, lessee, or licensee to acquire from the vendor, lessor, or licensor, or his nominees, or to prohibit him from acquiring or to restrict in any manner or to any extent his right to acquire from any person or to prohibit him from acquiring except from the vendor, lessor, or licensor or his nominees, any article other than the patented article or an article other than that made by the patented process; or

(*b*) to prohibit the purchaser, lessee or licensee from using, or to restrict in any manner or to any extent the right of the purchaser, lessee or licensee, to use an article other than the patented article or an article other than that made by the patented process, which is not supplied by the vendor, lessor or licensor or his nominee; or

(*c*) to prohibit the purchaser, lessee or licensee from using or to restrict in any manner or to any extent the right of the purchaser, lessee or licensee to use any process other than the patented process,

(*d*) to provide exclusive grant back, prevention to challenges to validity of Patent & Coercive package licensing.

and any such condition shall be void.

(2) A condition of the nature referred to in clause (*a*) or clause (*b*) or clause (*c*) of sub-section (1) shall not cease to be a condition falling within that sub-section merely by reason of the fact that the agreement containing it has been

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entered into separately, whether before or after the contract relating to the sale, lease or licence of the patented article or process.

(3) In proceedings against any person for the infringement of a patent, it shall be a defence to prove that at the time of the infringement there was in force a contract relating to the patent and containing a condition declared unlawful by this section:

Provided that this sub-section shall not apply if the plaintiff is not a party to the contract and proves to the satisfaction of the court that the restrictive condition was inserted in the contract without his knowledge and consent, express or implied.

(4) Nothing in this section shall—

(a) affect a condition in a contract by which a person is prohibited from selling goods other than those of a particular person;

(b) validate a contract which, but for this section, would be invalid;

(c) affect a condition in a contract for the lease of, or licence to use, a patented article, by which the lessor or licensor reserves to himself or his nominee the right to supply such new parts of the patented article as may be required or to put or keep it in repair.

141. Determination of certain contracts. (1) Any contract for the sale or ase of a patented article or for licence to manufacture, use or work a patented ticle or process, or relating to any such sale, lease or licence, ... may at any ne after the patent or all the patents by which the article or process was otected at the time of the making of the contract has or have ceased to be in ce, and notwithstanding anything to the contrary in the contract or in any ier contract, be determined by the purchaser, lessee, or licensee, as the case ay be, of the patent on giving three months' notice in writing to the other rty.

(2) The provisions of this section shall be without prejudice to any right of rmining a contract exercisable apart from this section.

142. Fees. (1) There shall be paid in respect of the grant of patents and lications therefor, and in respect of other matters in relation to the grant of ents under this Act, such fees as may be prescribed by the Central vernment.

(2) Where a fee is payable in respect of the doing of an act by the Controller, Controller shall not do that act until the fee has been paid.

(3) Where a fee is payable in respect of the filing of a document at the patent ce, the fee shall be paid along with the document or within the prescribed e and the document shall be deemed not to have been filed at the office if fee has not been paid within such time.

(4) Where a principal patent is granted later than two years from the date ne filing of the application, the fees which have become due in the meantime be paid within a term of three months from the date of the recording of Patent in the register or within the extended period not later than nine ths from the date of recording.

143. Restrictions upon publication of specification. Subject to the provisions hapter VII, an application for a patent, and any specification filed in pursuance eof, shall not, except with the consent of the applicant, be published by the

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Controller before the expiration of the period prescribed under sub-section (1) of section 11A or before the same is open to public inspection in pursuance of sub-section (3) of section 11A or section 43.

144. Reports of examiners to be confidential. The reports of examiners to the Controller under this Act shall not be open to public inspection or be published by the Controller; and such reports shall not be liable to production or inspection in any legal proceeding unless the court certifies that the production or inspection is desirable in the interests of justice, and ought to be allowed.

145. Publication of official journal. The Controller shall publish periodically an official journal which shall contain such information as may be required to be published by or under the provisions of this Act or any rule made thereunder.

146. Power of Controller to call for information from patentees. (1) The Controller may, at any time during the continuance of the patent, by notice in writing, require a patentee or a licensee, exclusive or otherwise, to furnish to him within two months from the date of such notice or within such further time as the Controller may allow, such information or such periodical statements as to the extent to which the patented invention has been commercially worked in India as may be specified in the notice.

(2) Without prejudice to the provisions of sub-section (1), every patentee and every licensee (whether exclusive or otherwise) shall furnish in such manner and form and at such intervals (not being less than six months) as may be prescribed statements as to the extent to which the patented invention has been worked on a commercial scale in India.

(3) The Controller may publish the information received by him under sub-section (1) or sub-section (2) in such manner as may be prescribed.

147. Evidence of entries, documents, etc. (1) A certificate purporting to be signed by the Controller as to any entry, matter or thing which he is authorised by this Act or any rules made thereunder to make or do, shall be *prima facie* evidence of the entry having been made and of the contents thereof and of the matter or thing having been done or omitted to be done.

(2) A copy of any entry in any register or of any document kept in the patent office or of any patent, or an extract from any such register or document, purporting to be certified by the Controller and sealed with the seal of the patent office shall be admitted in evidence in all courts, and in all proceedings, without further proof or production of the original.

(3) The Controller or any other officer of the patent office shall not, in any legal proceedings to which he is not a party, be compellable to produce the register or any other document in his custody, the contents of which can be proved by the production of a certified copy issued under this Act or to appear as a witness to prove the matters therein recorded unless by order of the court made for special causes.

148. Declaration by infant, lunatic, etc. (1) If any person is, by reason of minority, lunacy or other disability, incapable of making any statement or doing anything required or permitted by or under this Act, the lawful guardian, committee or manager (if any) of the person subject to the disability, or if there be none, any person appointed by any court possessing jurisdiction in respect of his property, may make such statement or a statement as nearly corresponding thereto as circumstances permit, and do such thing in the name and on behalf of the person subject to the disability.

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(2) An appointment may be made by the court for the purposes of this section upon the petition of any person acting on behalf of the person subject to the disability or of any other person interested in the making of the statement or the doing of the thing.

149. Service of notices, etc., by post. Any notice required or authorised to be given by or under this Act, and any application or other document so authorised or required to be made or filed, may be given, made or filed by post.

150. Security for costs. If any party by whom notice of any opposition is given under this Act or by whom application is made to the Controller for the grant of a licence under a patent neither resides nor carries on business in India, the Controller may require him to give security for the costs of the proceedings, and in default of such security being given may treat the opposition or application as abandoned.

151. Transmission of orders of courts to Controller. (1) Every order of the High Court or the Appellate Board on a petition for revocation, including orders granting certificates of validity of any claim, shall be transmitted by the High Court or the Appellate Board to the Controller who shall cause an entry thereof and reference thereto to be made in the register.

(2) Where in any suit for infringement of a patent or in any suit under section 106 the validity of any claim or a specification is contested and that claim is found by the court to be valid or not valid, as the case may be, the court shall transmit a copy of its judgment and decree to the Controller who shall on receipt thereof cause an entry in relation to such proceeding to be made in the prescribed manner in a supplemental record.

(3) The provisions of sub-sections (1) and (2) shall also apply to the court to which appeals are preferred against decisions of the Appellate Board or the courts, as the case may be, referred to in those sub-sections.

152. Transmission of copies of specifications, etc., and inspection thereof. Repealed by the Patents (Amendment) Act, 2005 (w.r.e.f. 1.1.2005).

153. Information relating to patents. A person making a request to the Controller in the prescribed manner for information relating to any such matters as may be prescribed as respects any patent specified in the request or as respects any application for a patent so specified shall be entitled, subject to the payment of the prescribed fee, to have information supplied to him accordingly.

154. Loss or destruction of patents. If a patent is lost or destroyed, or its non-production is accounted for to the satisfaction of the Controller, the Controller may at any time, on application made in the prescribed manner and on payment of the prescribed fee, cause a duplicate thereof to be sealed and delivered to the applicant.

155. Reports of Controller to be placed before Parliament. The Central Government shall cause to be placed before both Houses of Parliament once a year a report respecting the execution of this Act by or under the Controller.

156. Patent to bind Government. Subject to the other provisions contained in this Act, a patent shall have to all intents the like effect as against Government as it has against any person.

157. Right of Government to sell or use forfeited articles. Nothing in this Act shall affect the power of the Government or of any person deriving title

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directly or indirectly from the Government to sell or use any articles forfeited under any law for the time being in force.

157A. Protection of security of India. Notwithstanding anything contained in this Act, the Central Government shall—

(*a*) not disclose any information relating to any patentable invention or any application relating to the grant of patent under this Act, which it considers prejudicial to the interest of security of India;

(*b*) take any action including the revocation of any patent which it considers necessary in the interest of the security of India by issue of a notification in the Official Gazette to that effect.

Explanation. For the purposes of this section, the expression "security of India" includes any action necessary for the security of India which—

(*i*) relates to fissionable materials or the materials from which they are derived; or

(*ii*) relates to the traffic in arms, ammunition and implements of war and to such traffic in other goods and materials as is carried on directly or indirectly for the purpose of supplying a military establishment; or

(*iii*) is taken in time of war or other emergency in international relations.

158. Power of High Courts to make rules. The High Court may make rules consistent with this Act as to the conduct and procedure In respect of all proceedings before it under this Act.

159. Power of Central Government to make rules. (1) The Central Government may, by notification in the Official Gazette, make rules for carrying out the purposes of this Act.

(2) Without prejudice to the generality of the foregoing power, the Central Government may make rules to provide for all or any of the following matters, namely:

(*i*) the form and manner in which any application for a patent, any specifications or drawings and any other application or document may be filed in the patent office;

(*ia*) the period which the Controller may allow for filing of statement and undertaking for in respect of applications under sub-section (1), the period within which the details relating to processing of applications may be filed before the Controller and the details to be furnished by the applicant to the Controller under sub-section (2) of section 8;

(*ib*) the period within which a reference to the deposit of materials shall be made in the specification under sub-clause (A) of clause (*ii*) of the proviso to sub-section (4) of section 10;

(*ic*) the period for which application for patent shall not be open to the public under sub-section (1) and the manner in which the applicant may make a request to the Controller to publish his application under sub-section (2) of section 11A;

(*id*) the manner of making the request for examination for an application for patent and the period within which such examination shall be made under sub-sections (1) and (3) of section 11B;

(*ie*) the manner in which an application for withdrawal of an application for grant of a patent shall be made and the period within which a

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request for examination from the date of revocation of secrecy directions shall be made under the proviso to sub-section (4) of section 11B.

(*ii*) the time within which any act or thing may be done under this Act, including the manner in which and the time within which any matter may be published under this Act;

(*iii*) the fees which may be payable under this Act and the manner and time of payment of such fees;

(*iv*) the matters in respect of which the examiner may make a report to the Controller;

(*v*) the manner in which and the period within which the Controller shall consider and dispose off a representation under sub-section (1) of section 25;

(*va*) the period within which the Controller is required to dispose off an application under section 39;

(*vi*) the form and manner in which and the time within which any notice may be given under this Act;

(*vii*) the provisions which may be inserted in an order for restoration of a patent for the protection of persons who may have availed themselves of the subject-matter of the patent after the patent had ceased;

(*viii*) the establishment of branch offices of the patent office and the regulation generally of the business of the patent office, including its branch offices;

(*ix*) the maintenance of the register of patents and the safeguards to be observed in the maintenance of such register in computer floppies, diskettes or any other electronic form and the matters to be entered therein;

(*x*) the matters in respect of which the Controller shall have powers of a civil court;

(*xi*) the time when and the manner in which the register and any other document open to inspection may be inspected under this Act;

(*xii*) the qualifications of, and the preparation of a roll of, scientific advisers for the purpose of section 115;

(*xiia*) the salaries and allowances and other conditions of service of the officers and other employees of the Appellate Board under sub-section (2) and the manner in which the officers and other employees of the Appellate Board shall discharge their functions under sub-section (3) of section 117;

(*xiib*) the form of making an appeal, the manner of verification and the fee payable under sub-section (3) of section 117A;

(*xiic*) the form in which, and the particulars to be included in the application to the Appellate Board under sub-section (1) of section 117D;

(*xiii*) the manner in which any compensation for acquisition by Government of an invention may be paid;

(*xiv*) the manner in which the register of patent agents may be maintained; under sub-section (1) of section 125 and the safeguards to be observed in the maintenance of such register of patent agents on computer floppies, diskettes or any other electronic form under

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sub-section (2) of that section; the conduct of qualifying examinations for patent agents; and matters connected with their practice and conduct, including the taking of disciplinary proceedings against patent agents for misconduct;

(*xv*) the regulation of the making, printing, publishing and selling of indexes to, and abridgments of, specifications and other documents in the patent office; and the inspection of indexes and abridgments and other documents;

(*xvi*) any other matter which has to be or may be prescribed.

(3) The power to make rules under this section shall be subject to condition of the rules being made after previous publication:

Provided that the Central Government may, if it is satisfied that the circumstances exist which render it practically not possible to comply with such condition of previous publication, dispense with such compliance.

160. Rules to be placed before Parliament. Every rule made under this Act shall be laid, as soon as may be after it is made, before each House of Parliament while it is in session for a total period of thirty days which may be comprised in one session or in two successive sessions, and, if before the expiry of the session in which it is so laid or in the session immediately following, both Houses agree in making any modification in the rule or both Houses agree that the rule should not be made, the rule shall thereafter have effect only in such modified form or be of no effect, as the case may be, so, however, that any such modification or annulment shall be without prejudice to the validity of anything previously done under that rule.

161. Special provisions with respect to certain applications deemed to have been refused under Act 2 of 1911. Repealed by the Patents (Amendment) Act, 2002 (w.e.f. 20.5.2003).

162. Repeal of Act 2 of 1911 in so far as it relates to patents and savings. (1) The Indian Patents and Designs Act, 1911, in so far as it relates to patents, is hereby repealed, that is to say, the said Act shall be amended in the manner specified in the Schedule.

(2) *Omitted.*

(3) *Omitted.*

(4) The mention of particular matters in this section shall not prejudice the general application of the General Clauses Act, 1897, with respect to repeals.

(5) Notwithstanding anything contained in this Act, any suit for infringement of a patent or any proceeding for revocation of a patent, pending in any court at the commencement of this Act, may be continued and disposed of, as if this Act had not been passed.

163. Amendment of Act 43 of 1958. Repealed by the Patents (Amendment) Act, 2005, (w.r.e.f. 1.1.2005).

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APPENDIX

2

The Designs Act, 2000

[16 OF 2000]

An Act to consolidate and amend the law relating to the protection of designs.

BE it enacted by Parliament in the fifty-first year of the Republic of India as follows:—

CHAPTER I

PRELIMINARY

1. Short title, extent and commencement. (1) This Act may be called the Designs Act, 2000.

(2) It extends to the whole of India.

(3) It shall come into force on such date as the Central Government may, by notification in the Official Gazette, appoint; and different dates may be appointed for different provisions of this Act, and any reference in any such provision to the commencement of this Act shall be construed as a reference to the coming into force of that provision.

2. Definitions. In this Act, unless there is anything repugnant in the subject or context:

(a) "article" means any article of manufacture and any substance, artificial, or partly artificial and partly natural; and includes any part of an article capable of being made and sold separately;

(b) "Controller" means the Controller-General of Patents, Designs and Trade Marks referred to in section 3;

(c) "copyright" means the exclusive right to apply a design to any article in any class in which the design is registered;

(d) "design" means only the features of shape, configuration, pattern, ornament or composition of lines or colours applied to any article

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whether in two dimensional or three dimensional or in both forms, by any industrial process or means, whether manual, mechanical or chemical, separate or combined, which in the finished article appeal to and are judged solely by the eye; but does not include any mode or principle of construction or anything which is in substance a mere mechanical device, and does not include any trade mark as defined in clause (*v*) of sub-section (1) of section 2 of the Trade and Merchandise Marks Act, 1958 or property mark as defined in section 479 of the Indian Penal Code or any artistic work as defined in clause (*c*) of section 2 of the Copyright Act, 1957.

(*e*) "High Court" shall have the same meaning as assigned to it in clause (*i*) of section 2 of the Patents Act, 1970;

(*f*) "legal representative" means a person who in law represents the estate of a deceased person;

(*g*) "original", in relation to a design, means originating from the author of such design and includes the cases which though old in themselves yet are new in their application;

(*h*) "patent office" means the patent office referred to in section 74 of the Patents Act, 1970.

(*i*) "prescribed" means prescribed by rules made under this Act;

(*j*) "proprietor of a new or original design"—

(*i*) where the author of the design, for good consideration, executes the work for some other person, means the person for whom the design is so executed;

(*ii*) where any person acquires the design or the right to apply the design to any article, either exclusively of any other person or otherwise, means, in the respect and to the extent in and to which the design or right has been so acquired, the person by whom the design or right is so acquired; and

(*iii*) in any other case, means the author of the design; and where the property in or the right to apply, the design has devolved from the original proprietor upon any other person, includes that other person.

CHAPTER II

REGISTRATION OF DESIGNS

3. Controller and other officers. (1) The Controller-General of Patents, Designs and Trade Marks appointed under sub-section (1) of section 4 of the Trade and Merchandise Marks Act, 1958 shall be the Controller of Designs for the purposes of this Act.

(2) For the purposes of this Act, the Central Government may appoint as many examiners and other officers with such designations as it thinks fit.

(3) Subject to the provisions of this Act, the officers appointed under sub-section (2) shall discharge under the superintendence and directions of the Controller such functions of the Controller under this Act as he may, from time to time, by general or special order in writing, authorise them to discharge.

(4) Without prejudice to the generality of the provisions of sub-section (3), the Controller may, by order in writing and for reasons to be recorded therein,

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withdraw any matter pending before an officer appointed under sub-section (2) and deal with such matter himself either *de novo* or from the stage it was so withdrawn or transfer the same to another officer appointed under sub-section (2) who may, subject to special directions in the order of transfer, proceed with the matter either *de novo* or from the stage it was so transferred.

4. Prohibition of registration of certain designs. A design which—

(*a*) is not new or original; or

(*b*) has been disclosed to the public any where in India or in any other country by publication in tangible form or by use or in any other way prior to the filing date, or where applicable, the priority date of the application for registration; or

(*c*) is not significantly distinguishable from known designs or combination of known designs; or

(*d*) comprises or contains scandalous or obscene matter,

shall not be registered.

5. Application for registration of designs. (1) The Controller may, on the application of any person claiming to be the proprietor of any new or original design not previously published in any country and which is not contrary to public order or morality, register the design under this Act:

Provided that the Controller shall before such registration refer the application for examination, by an examiner appointed under sub-section (2) of section 3, as to whether such design is capable of being registered under this Act and the rules made thereunder and consider the report of the examiner on such reference.

(2) Every application under sub-section (1) shall be in the prescribed form and shall be filed in the patent office in the prescribed manner and shall be accompanied by the prescribed fee.

(3) A design may be registered in not more than one class, and, in case of doubt as to the class in which a design ought to be registered, the Controller may decide the question.

(4) The Controller may, if he thinks fit, refuse to register any design presented to him for registration; but any person aggrieved by any such refusal may appeal to the High Court.

(5) An application which, owing to any default or neglect on the part of the applicant, has not been completed so as to enable registration to be effected within the prescribed time shall be deemed to be abandoned.

(6) A design when registered shall be registered as of the date of the application for registration.

6. Registration to be in respect of particular article. (1) A design may be registered in respect of any or all of the articles comprised in a prescribed class of articles.

(2) Any question arising as to the class within which any article falls shall be determined by the Controller whose decision in the matter shall be final.

(3) Where a design has been registered in respect of any article comprised in a class of article, the application of the proprietor of the design to register

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it in respect of some one or more other articles comprised in that class of articles shall not be refused, nor shall the registration thereof invalidated—

(*a*) on the ground of the design not being a new or original design, by reason only that it was so previously registered; or

(*b*) on the ground of the design having been previously published in India or in any other country, by reason only that it has been applied to article in respect of which it was previously registered:

Provided that such subsequent registration shall not extend the period of copyright in the design beyond that arising from previous registration.

(4) Where any person makes an application for the registration of a design in respect of any article and either—

(*a*) that design has been previously registered by another person in respect of some other article; or

(*b*) the design to which the application relates consists of a design previously registered by another person in respect of the same or some other article with modifications or variations not sufficient to alter the character or substantially to affect the identity thereof,

then, if at any time while the application is pending the applicant becomes the registered proprietor of the design previously registered, the foregoing provisions of this section shall apply as if at the time of making the application, the applicant, had been the registered proprietor of that design.

7. Publication of particulars of registered designs. The Controller shall, as soon as may be after the registration of a design, cause publication of the prescribed particulars of the design to be published in such manner as may be prescribed and thereafter the design shall be open to public inspection.

8. Power of Controller to make orders regarding substitution of application, etc. (1) If the Controller is satisfied on a claim made in the prescribed manner at any time before a design has been registered that by virtue of any assignment or agreement in writing made by the applicant or one of the applicants for registration of the design or by operation of law, the claimant would, if the design were then registered, be entitled thereto or to the interest of the applicant therein, or to an undivided share of the design or of that interest, the Controller may, subject to the provisions of this section, direct that the application shall proceed in the name of the claimant or in the names of the claimants and the applicant or the other joint applicant or applicants, accordingly, as the case may require.

(2) No such direction as aforesaid shall be given by virtue of any assignment or agreement made by one of two or more joint applicants for registration of a design except with the consent of the other joint applicant or applicants.

(3) No such direction as aforesaid shall be given by virtue of any assignment or agreement for the assignment of the benefit of a design unless—

(*a*) the design is identified therein by reference to the number of the application for the registration; or

(*b*) there is produced to the Controller an acknowledgment by the person by whom the assignment or agreement was made that the assignment or agreement relates to the design in respect of which that application is made; or

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(c) the rights of the claimant in respect of the design have been finally established by the decision of a court; or

(d) the Controller gives directions for enabling the application to proceed or for regulating the manner in which it should be proceeded with under sub-section (5).

(4) Where one of two or more joint applicants for registration of a design dies at any time before the design has been registered, the Controller may, upon a request in that behalf made by the survivor or survivors, and with the consent of the legal representative of the deceased, direct that the application shall proceed in the name of the survivor or survivors alone.

(5) If any dispute arises between joint applicants for registration of a design whether or in what manner the application should be proceeded with, the Controller may, upon application made to him in the prescribed manner by any of the parties, and after giving to all parties concerned an opportunity to be heard, give such directions as he thinks fit for enabling the application to proceed in the name of one or more of the parties alone or for regulating the manner in which it should be proceeded with, or for both those purposes, as the case may require.

9. Certificate of registration. (1) The Controller shall grant a certificate of registration to the proprietor of the design when registered.

(2) The Controller may, in case of loss of the original certificate, or in any other case in which he deems it expedient, furnish one or more copies of the certificate.

10. Register of designs. (1) There shall be kept at the patent office a book called the register of designs, wherein shall be entered the names and addresses of proprietors of registered designs, notifications of assignments and of transmissions of registered designs, and such other matter as may be prescribed and such register may be maintained wholly or partly on computer floppies or diskettes, subject to such safeguards as may be prescribed.

(2) Where the register is maintained wholly or partly on computer floppies or diskettes under sub-section (1), any reference in this Act to any entry in the register shall be construed as the reference to the entry so maintained on computer floppies or diskettes.

(3) The register of designs existing at the commencement of this Act shall be incorporated with and form part of the register of designs under this Act.

(4) The register of designs shall be *prima facie* evidence of any matter by this Act directed or authorized to be entered therein.

CHAPTER III

COPYRIGHT IN REGISTERED DESIGNS

11. Copyright on registration. (1) When a design is registered, the registered proprietor of the design shall, subject to the provisions of this Act, have copyright in the design during ten years from the date of registration.

(2) If, before the expiration of the said ten years, application for the extension of the period of copyright is made to the Controller in the prescribed manner, the Controller shall, on payment of the prescribed fee, extend the period of

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copyright for a second period of five years from the expiration of the original period of ten years.

12. Restoration of lapsed designs. (1) Where a design has ceased to have effect by reason of failure to pay the fee for the extension of copyright under sub-section (2) of section 11, the proprietor of such design or his legal representative and where the design was held by two or more persons, jointly, then, with the leave of the Controller one or more of them without joining the others, may, within one year from the date on which the design ceased to have effect, make an application for the restoration of the design in the prescribed manner on payment of such fee as may be prescribed.

(2) An application under this section shall contain a statement, verified in the prescribed manner, fully setting out the circumstances which led to the failure to pay the prescribed fee, and the Controller may require from the applicant such further evidence as he may think necessary.

13. Procedure for disposal of applications for restoration of lapsed designs. (1) If, after hearing the applicant in cases where the applicant so desires or the Controller thinks fit, the Controller is satisfied that the failure to pay the fee for extension of the period of copyright was unintentional and that there has been no undue delay in the making of the application, the Controller shall upon payment of any unpaid fee for extension of the period of copyright together with prescribed additional fee restore the registration of design.

(2) The Controller may, if he thinks fit as a condition of restoring the design, require that any entry shall be made in the register of any document or matter which under the provisions of this Act, has to be entered in the register but which has not been so entered.

14. Rights of proprietor of lapsed design which have been restored. (1) Where the registration of a design is restored, the rights of the registered proprietor shall be subject to such provisions as may be prescribed and to such other provisions as the Controller thinks fit to impose for the protection or compensation of persons who may have begun to avail themselves of, or have taken definite steps by contract or otherwise to avail themselves of, the benefit of applying the design between the date when the registration of the design ceased to have effect and the date of restoration of the registration of the design.

(2) No suit or other proceeding shall be commenced in respect of piracy of a registered design or infringement of the copyright in such design committed between the date on which the registration of the design ceased to have effect and the date of the restoration of the design.

15. Requirements before delivery on sales. (1) Before delivery on sale of any articles to which a registered design has been applied, the proprietor shall—

(*a*) (if exact representations or specimens were not furnished on the application for registration) furnish to the Controller the prescribed number of exact representations or specimens of the design; and, if he fails to do so, the Controller may, after giving notice thereof to the proprietor, erase his name from the register and thereupon the copyright in the design shall cease; and

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(b) cause each such article to be marked with the prescribed mark, or with the prescribed words or figures denoting that the design is registered; and, if he fails to do so, the proprietor shall not be entitled to recover any penalty or damages in respect of any infringement of his copyright in the design unless he shows that he took all proper steps to ensure the marking of the article, or unless he shows that the infringement took place after the person guilty thereof knew or had received notice of the existence of the copyright in the design.

(2) Where a representation is made to the Central Government by or on behalf of any trade or industry that in the interest of the trade or industry it is expedient to dispense with or modify as regards any class or description of articles any of the requirements of this section as to marking, the Central Government may, if it thinks fit, by rule under this Act, dispense with or modify such requirements as regards any such class or description of articles to such extent and subject to such conditions as it thinks fit.

16. Effect of disclosure on copyright. The disclosure of a design by the proprietor to any other person, in such circumstances as would make it contrary to good faith for that other person to use or publish the design, and the disclosure of a design in breach of good faith by any person, other than the proprietor of the design, and the acceptance of a first and confidential order for articles bearing a new or original textile design intended for registration, shall not be deemed to be a publication of the design sufficient to invalidate the copyright thereof if registration thereof is obtained subsequently to the disclosure or acceptance.

17. Inspection of registered designs. (1) During the existence of copyright in a design, any person on furnishing such information as may enable the Controller to identify the design and on payment of the prescribed fee may inspect the design in the prescribed manner.

(2) Any person may, on an application to the Controller and on payment of such fee as may be prescribed, obtain a certified copy of any registered design.

18. Information as to existence of copyright. On the request of any person furnishing such information as may enable the Controller to identify the design, and on payment of the prescribed fee, the Controller shall inform such person whether the registration still exists in respect of the design, and, if so, in respect of what classes of articles, and shall state the date of registration, and the name and address of the registered proprietor.

19. Cancellation of registration. (1) Any person interested may present a petition for the cancellation of the registration of a design at any time after the registration of the design, to the Controller on any of the following grounds, namely—

(a) that the design has been previously registered in India; or

(b) that it has been published in India or in any other country prior to the date of registration; or

(c) that the design is not a new or original design; or

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(*d*) that the design is not registrable under this Act; or

(*e*) that it is not a design as defined under clause (*d*) of section 2.

(2) An appeal shall lie from any order of the Controller under this section to the High Court, and the Controller may at any time refer any such petition to the High Court, and the High Court shall decide any petition so referred.

20. Designs to bind Government. A registered design shall have to all intents the like effect as against the Government as it has against any person and the provisions of Chapter XVII of the Patents Act, 1970 shall apply to registered designs as they apply to patents.

CHAPTER IV

INDUSTRIAL AND INTERNATIONAL EXHIBITIONS

21. Provisions as to exhibitions. The exhibition of a design, or of any article to which a design is applied, at an industrial or other exhibition to which the provisions of this section have been extended by the Central Government by notification in the Official Gazette, or the publication of a description of the design, during or after the period of the holding of the exhibition, or the exhibition of the design or the article or the publication of a description of the design by any person elsewhere during or after the period of the holding of the exhibition, without the privity or consent of the proprietor, shall not prevent the design from being registered or invalidate the registration thereof.

Provided that—

(*a*) the exhibitor exhibiting the design or article, or publishing a description of the design, gives to the Controller previous notice in the prescribed form; and

(*b*) the application for registration is made within six months from the date of first exhibiting the design or article or publishing a description of the design.

CHAPTER V

LEGAL PROCEEDINGS

22. Piracy of registered design. (1) During the existence of copyright in any design it shall not be lawful for any person—

(*a*) for the purpose of sale to apply or cause to be applied to any article in any class of articles in which the design is registered, the design or any fraudulent or obvious imitation thereof, except with the licence or written consent of the registered proprietor, or to do anything with a view to enable the design to be so applied; or

(*b*) to import for the purposes of sale, without the consent of the registered proprietor, any article belonging to the class in which the design has been registered, and having applied to it the design or any fraudulent or obvious imitation thereof; or

(*c*) knowing that the design or any fraudulent or obvious imitation thereof has been applied to any article in any class of articles in which the design is registered without the consent of the registered proprietor, to publish or expose or cause to be published or exposed for sale that article.

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(2) If any person acts in contravention of this section, he shall be liable for every contravention—

(a) to pay to the registered proprietor of the design a sum not exceeding twenty-five thousand rupees recoverable as a contract debt, or

(b) if the proprietor elects to bring a suit for the recovery of damages for any such contravention, and for an injunction against the repetition thereof, to pay such damages as may be awarded and to be restrained by injunction accordingly:

Provided that the total sum recoverable in respect of any one design under clause (a) shall not exceed fifty thousand rupees:

Provided further that no suit or any other proceeding for relief under this sub-section shall be instituted in any court below the court of District Judge.

(3) In any suit or any other proceedings for relief under sub-section (2), every ground on which the registration of a design may be cancelled under section 19 shall be available as a ground of defence.

(4) Notwithstanding anything contained in the second proviso to sub-section (2), where any ground on which the registration of a design may be cancelled under section 19 has been availed of as a ground of defence and sub-section (3) in any suit or other proceeding for relief under sub-section (2), the suit or such other proceeding shall be transferred by the court, in which the suit or such other proceeding is pending, to the High Court for decision.

(5) When the court makes a decree in a suit under sub-section (2), it shall send a copy of the decree to the Controller, who shall cause an entry thereof to be made in the register of designs.

23. Application of certain provisions of the Act as to patents to designs. The provisions of the Patents Act, 1970 with regard to certificates of the validity of a patent, and to the remedy in case of groundless threats of legal proceedings by a patentee shall apply in the case of registered designs in like manner as they apply in the case of patents, with the substitution of references to the copyright in a design for reference to a patent, and of references to the proprietor of a design for references to the patentee, and of references to the design for references to the invention.

CHAPTER VI
GENERAL

Fees

24. Fees. (1) There shall be paid in respect of the registration of designs and applications therefor and in respect of other matters relating to designs under this Act such fees as may be prescribed.

(2) A proceeding in respect of which a fee is payable under this Act or the rules made thereunder shall be of no effect unless the fee has been paid.

Provisions as to registers and other documents in the patent office

25. Notice of trust not to be entered in registers. There shall not be entered in any register kept under this Act, or be receivable by the Controller, any notice of any trust expressed, implied or constructive.

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26. Inspection of and extracts from registers. Every register kept under this Act shall at all convenient times be open to the inspection of the public, subject to the provisions of this Act; and certified copies, sealed with the seal of the patent office, of any entry in any such register shall be given to any person requiring the same on payment of the prescribed fee:

Provided that where such register is maintained wholly or partly on computer, the inspection of such register under this section shall be made by inspecting the computer print out of the relevant entry in the register so maintained on computer.

27. Privilege of reports of Controller. Reports of or to the Controller made under this Act other than the report referred to in section 45 shall not in any case be published or be open to public inspection.

28. Prohibition and publication of specification, drawings, etc., where application abandoned, etc. Where an application for a design has been abandoned or refused, the application and any drawings, photographs, tracings, representations or specimens left in connection with the application shall not at any time be open to public inspection or be published by the Controller.

29. Power of Controller to correct clerical errors. The Controller may, on request in writing accompanied by the prescribed fee, correct any clerical error in the representation of a design or in the name or address of the proprietor of any design, or in any other matter, which is entered upon the register of designs.

30. Entry of assignment and transmissions in registers. (1) Where a person becomes entitled by assignments, transmission or other operation of law to the copyright in a registered design, he may make an application in the prescribed form to the Controller to register his title, and the Controller shall, on receipt of such application and on proof of title to his satisfaction, register him as the proprietor of such design, and shall cause an entry to be made in the prescribed manner in the register of the assignment, transmission or other instrument affecting the title.

(2) Where any person becomes entitled as mortgagee, licensee or otherwise to any interest in a registered design, he may make an application in the prescribed form to the Controller to register his title, and the Controller shall, on receipt of such application and on proof of title to his satisfaction, cause notice of the interest to be entered in the prescribed manner in the register of designs, with particulars of the instrument, if any, creating such interest.

(3) For the purposes of sub-section (1) or sub-section (2), an assignment of a design or of a share in a design, a mortgage, licence or the creation of any other interest in a design shall not be valid unless the same were in writing and the agreement between the parties concerned is reduced to the form of an instrument embodying all the terms and conditions governing their rights and obligation and the application for registration of title under such instrument is filed in the prescribed manner with the Controller within six months from the execution of the instrument or within such further period not exceeding six months in the aggregate as the Controller on the application made in the prescribed manner allows:

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Provided that the instrument shall, on entry of its particulars in the register under sub-section (1) or sub-section (2), have the effect from the date of its execution.

(4) The person registered as the proprietor of a design shall, subject to the provisions of this Act and to any rights appearing from the register to be vested in any other person, have power absolutely to assign, grant licences as to, or otherwise deal with, the design and to give effectual receipts for any consideration for any such assignment, licence or dealing:

Provided that any equities in respect of the design may be enforced in like manner as in respect of any other movable property.

(5) Except in the case of an application made under section 31, a document or instrument in respect of which no entry has been made in the register in accordance with the provisions of sub-sections (1) and (2) shall not be admitted in evidence in any court in proof of the title to copyright in a design or to any interest therein, unless the court, for reasons to be recorded in writing, otherwise directs.

31. Rectification of register. (1) The Controller may, on the application in the prescribed manner of any person aggrieved by the non-insertion in or omission from the register of designs of any entry, or by any entry made in such register without sufficient cause, or by any entry wrongly remaining on such register, or by an error or defect in any entry in such register, make such order for making, expunging or varying such entry as he thinks fit and rectify the register accordingly.

(2) The Controller may, in any proceeding under this section, decide any question that may be necessary or expedient to decide in connection with the rectification of a register.

(3) An appeal shall lie to the High Court from any order of the Controller under this section and the Controller may refer any application under this section to the High Court for decision, and the High Court shall dispose of any application so referred.

(4) Any order of the Court rectifying a register shall direct that notice of the rectification be served on the Controller in the prescribed manner who shall upon the receipt of such notice rectify the register accordingly.

(5) Nothing in this section shall be deemed to empower the Controller to make any such order cancelling the registration of a design as is provided for in section 19.

CHAPTER VII

POWERS AND DUTIES OF CONTROLLER

32. Powers of Controller in proceedings under Act. Subject to any rules made in this behalf, the Controller in any proceedings before him under this Act shall have the powers of a civil court for the purpose of receiving evidence, administering oaths, enforcing the attendance of witnesses, compelling the discovery and production of documents, issuing commissions for the examining of witnesses and awarding costs and such award shall be executable in any court having jurisdiction as if it were a decree of that court.

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33. Exercise of discretionary power by Controller. Where any discretionary power is by or under this Act given to the Controller, he shall not exercise that power adversely to the applicant for registration of a design without (if so required within the prescribed time by the applicant) giving the applicant an opportunity of being heard.

34. Power of Controller to take directions of the Central Government. The Controller may, in any case of doubt or difficulty arising in the administration of any of the provisions of this Act, apply to the Central Government for directions in the matter.

35. Refusal to register a design in certain cases. (1) The Controller may refuse to register a design of which the use would, in his opinion, be contrary to public order or morality.

(2) An appeal shall lie to the High Court from an order of the Controller under this section.

36. Appeals to the High Court. (1) Where an appeal is declared by this Act to lie from the Controller to the High Court, the appeal shall be made within three months of the date of the order passed by the Controller.

(2) In calculating the said period of three months, the time (if any) occupied in granting a copy of the order appealed against shall be excluded.

(3) The High Court may, if it thinks fit, obtain the assistance of an expert in deciding such appeals, and the decision of the High Court shall be final.

(4) The High Court may make rules consistent with this Act as to the conduct and procedure of all proceedings under this Act before it.

CHAPTER VIII

EVIDENCE, ETC.

37. Evidence before the Controller. Subject to any rules made under section 44, in any proceeding under this Act before the Controller, the evidence shall be given by affidavit in the absence of directions by the Controller to the contrary; but in any case in which the Controller thinks it right so to do he may take evidence *viva voce* in lieu of or in addition to evidence by affidavit or may allow any party to be cross-examined on the contents of his affidavit.

38. Certificate of Controller to be evidence. A certificate purporting to be under the hand of the Controller as to any entry, matter or thing which he is authorized by this Act, or any rules made thereunder to make or do, shall be *prima facie* evidence of the entry having been made, and of the contents thereof, and of the matter or thing having been done or left undone.

39. Evidence of documents in patent office. Printed or written copies or extracts, purporting to be certified by the Controller and sealed with the seal of the patent office, of documents in the patent office, and of or from registers and other books kept there, shall be admitted in evidence in all courts in India, and in all proceedings, without further proof or production of the originals:

Provided that a court may, if it has reason to doubt the accuracy or authenticity of the copies tendered in evidence, require the production of the originals or such further proof as it considers necessary.

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40. Application and notices by post. Any application, notice or other document authorized or required to be left, made or given at the patent office or to the Controller, or to any other person under this Act, may be sent by post.

41. Declaration by infant, lunatic, etc. (1) If any person, is by reason of infancy, lunacy or other disability, incapable of making any statement or doing anything required or permitted by or under this Act, the lawful guardian, committee or manager (if any) of the person subject to the disability, or, if there be none, any person appointed by any court possessing jurisdiction in respect of his property, may make such statement or a statement as nearly corresponding thereto as circumstances permit, and do such thing in the name and on behalf of the person subject to the disability.

(2) An appointment may be made by the court for the purposes of this section upon the petition of any person acting on behalf of the person subject to the disability or of any other person interested in the making of the statement or the doing of the thing.

42. Avoidance of certain restrictive conditions. (1) It shall not be lawful to insert—

(*i*) in any contract for or in relation to the sale or lease of an article in respect of which a design is registered; or

(*ii*) in a licence to manufacture or use an article in respect of which a design is registered; or

(*iii*) in a licence to package the article in respect of which a design is registered, condition the effect of which may be—

(*a*) to require the purchaser, lessee, or licensee to acquire from the vendor, lessor, or licensor or his nominees, or to prohibit him from acquiring or to restrict in any manner or to any extent his right to acquire from any person or to prohibit him from acquiring except from the vendor, lessor, or licensor or his nominees any article other than the article in respect of which a design is registered; or

(*b*) to prohibit the purchaser, lessee or licensee from using or to restrict in any manner or to any extent the right of the purchaser, lessee or licensee, to use an article other than the article in respect of which a design is registered which is not supplied by the vendor, lessor or licensor or his nominee,

and any such condition shall be void.

(2) A condition of the nature referred to in clause (*a*) or clause (*b*) of sub-section (1) shall not cease to be a condition falling within that sub-section merely by reason of the fact that the agreement containing it has been entered into separately, whether before or after the contract relating to the sale, lease or licence of the article in respect of which a design is registered.

(3) In proceeding against any person for any act in contravention of section 22, it shall be a defence to prove that at the time of such contravention there was in force a contract relating to the registered design and containing a condition declared unlawful by this section:

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Provided that this sub-section shall not apply if the plaintiff is not a party to the contract and proves to the satisfaction of the court that the restrictive condition was inserted in the contract without his knowledge and consent, express or implied.

(4) Nothing in this section shall—

(*a*) affect a condition in a contract by which a person is prohibited from selling goods other than those of a particular person;

(*b*) validate a contract which, but for this section, would be invalid;

(*c*) affect a condition in a contract for the lease of, or licence to use, an article in respect of which a design is registered, by which the lessor or licensor reserves to himself or his nominee the right to supply such new parts of the article, in respect of which a design is registered, as may be required or to put or keep it in repair.

(5) The provision of this section shall also apply to contracts made before the commencement of this Act if, and in so far as, any restrictive conditions declared unlawful by this section continue in force after the expiration of one year from such commencement.

CHAPTER IX

AGENCY

43. Agency. (1) All applications and communications to the Controller under this Act may be signed by, and all attendances upon the Controller may be made by or through a legal practitioner or by or through an agent whose name and address had been entered in the register of patent agents maintained under section 125 of the Patents Act, 1970.

(2) The Controller may, if he sees fit, require—

(*a*) any such agent to be resident in India;

(*b*) any person not residing in India to employ an agent residing in India;

(*c*) the personal signature or presence of any applicant or other person.

CHAPTER X

POWERS, ETC., OF CENTRAL GOVERNMENT

44. Reciprocal arrangement with the United Kingdom and other convention countries or group of countries or intergovernmental organisations. (1) Any person who has applied for protection for any design in the United Kingdom or any of other convention countries or group of countries or countries which are members of intergovernmental organisations, or his legal representative or assignee shall, either alone or jointly with any other person, be entitled to claim that the registration of the said design under this Act shall be in priority to other applicants and shall have the same date as the date of the application in the United Kingdom or any of such other convention countries or group of countries or countries which are members of intergovernmental organisations, as the case may be:

Provided that—

(*a*) the application is made within six months from the application for protection in the United Kingdom or any such other convention

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countries or group of countries or countries which are members of intergovernmental organisations, as the case may be; and

(*b*) nothing in this section shall entitle the proprietor of the design to recover damages for piracy of design happening prior to the actual date on which the design is registered in India.

(2) The registration of a design shall not be invalidated by reason only of the exhibition or use of or the publication of a description or representation of the design in India during the period specified in this section as that within which the application may be made.

(3) The application for registration of a design under this section has been made in the same manner as an ordinary application under this Act.

(4) Where it is made to appear to the Central Government that the legislature of the United Kingdom or any such other convention country or a country which is member of any group of countries or intergovernmental organisation as may be notified by the Central Government in this behalf has made satisfactory provision for the protection of designs registered in India, the Central Government may, by notification in the Official Gazette, direct that the provisions of this section, with such variations or additions, if any, as may be set out in such notification, shall apply for the protection of designs registered in the United Kingdom or that other convention country or such country which is member of any group of countries or intergovernmental organisation, as the case may be.

Explanation 1. For the purposes of this section, the expression "convention countries", "group of countries" or "intergovernmental organisation" means, respectively, such countries, group of countries or intergovernmental organisation to which the Paris Convention for Protection of Industrial Property, 1883 as revised at Stockholm in 1967 and as amended in 1979 or the Final Act, embodying the results of the Uruguay Round of Multilateral Trade Negotiations, provided for the establishment of World Trade Organisation applies.

Explanation 2. Where more than one application for protection referred to in sub-section (1) has been made for similar protections in the United Kingdom or one or more convention countries, group of countries or countries which are members of intergovernmental organisations, the period of six months referred to in clause (*a*) of that sub-section shall be reckoned from the date of which the earlier or the earliest application, as the case may be, of such applications has been made.

45. Report of the Controller to be placed before Parliament. The Central Government shall cause to be placed before both Houses of Parliament once a year a report respecting the execution of this Act by or under the Controller.

46. Protection of security of India. Notwithstanding anything contained in this Act, the Controller shall—

(*a*) not disclose any information relating to the registration of a design or any application relating to the registration of a design under this Act, which he considers prejudicial to the interest of the security of India; and

(*b*) take any action regarding the cancellation of registration of such designs registered under this Act which the Central Government

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may, by notification in the Official Gazette, specify in the interest of the security of India.

Explanation. For the purposes of this section, the expression "security of India" means any action necessary for the security of Indian which relates to the application of any design registered under this Act to any article used for war or applied directly or indirectly for the purposes of military establishment or for the purposes of war or other emergency in international relations.

47. Power of Central Government to make rules. (1) The Central Government may, by notification in the Official Gazette, make rules for carrying out the provisions of this Act.

(2) In particular, and without prejudice to the generality of the foregoing power, such rules may provide for all or any of the following matters, namely:

(*a*) the form of application for registration of design, the manner of filing it at the patent office and the fee which shall accompany it, under sub-section (2) of section 5;

(*b*) the time with in which the registration is to be effected under sub-section (5) of section 5;

(*c*) the classification of articles for registration under sub-section (1) of section 6;

(*d*) the particulars of design to be published and the manner of their publication under section 7;

(*e*) the manner of making claim under sub-section (1) of section 8;

(*f*) the manner of making applications to the Controller under sub-section (5) of section 8;

(*g*) the additional matters required to be entered in the register of designs and the safeguards to be made in maintaining such register in computer floppies or diskettes under sub-section (1) of section 10;

(*h*) the manner of making application and fee to be paid for extension of the period of copyright under and the fee payable thereto, sub-section (2) of section 11;

(*i*) the manner of making application for restoration of design and the fee to be paid with it under sub-section (1) of section 12;

(*j*) the manner of verification of statement contained in an application under sub-section (2) of section 12;

(*k*) the additional fee to be paid for restoration of the registration of design under sub-section (1) of section 13;

(*l*) the provisions subject to which the right of the registered proprietor shall be under sub-section (1) of section 14.

(*m*) the number of exact representation or specimen of the design to be furnished to the Controller under clause (*a*) of sub-section (1) of section 15;

(*n*) the mark, words or figures with which the article is to be marked denoting that the design is registered under clause (*b*) of sub-section (1) of section 15;

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(*o*) the rules to dispense with or modify as regards any class or description of articles and any of the requirements of section 15 as to marking under sub-section (2) of that section;

(*p*) the fee to be paid for and the manner of inspection under sub-section (1) of section 17;

(*q*) the fee to be paid to obtain a certified copy of any design under sub-section (2) of section 17;

(*r*) the fee on payment of which the Controller shall inform under section 18;

(*s*) the form for giving notice to the Controller under clause (*a*) of the proviso to section 21;

(*t*) the fee to be paid in respect of the registration of designs and application therefor, and in respect of other matters relating to designs under sub-section (1) of section 24;

(*u*) the fee to be paid for giving certified copy of any entry in the register under section 26;

(*v*) the fee to be accompanied with the requests in writing for correcting any clerical error under section 29;

(*w*) the form in which an application for registration as proprietor shall be made and the manner in which the Controller shall cause an entry to be made in the register of the assignment, transmission or other instrument effecting the title under sub-section (1) of section 30;

(*x*) the form in which an application for title shall be made and the manner in which the Controller shall cause notice of the interest to be entered in the register of designs with particulars of the instrument, if any, creating such interest under sub-section (2) of section 30;

(*y*) the manner of filing an application for registration and for making application for extension of time as referred to in sub-section (3) of section 30;

(*z*) the manner of making application to the Controller for rectification of register under sub-section (1) of section 31;

(*za*) the manner in which the notice of rectification shall be served on the Controller under sub-section (4) of section 31;

(*zb*) the rules regulating the proceedings before the Controller under section 32;

(*zc*) the time which shall be granted to the applicants for being heard by the Controller under section 33;

(*zd*) the fee to be accompanied with an appeal under sub-section (1) of section 36;

(*ze*) any other matter which is required to be, or may be, prescribed.

(3) The power to make rules under this section shall be subject to the conditions of the rules being made after previous publication.

(4) Every rule made under this Act shall be laid, as soon as may be after it is made, before each House of Parliament, while it is in session, for a total period of thirty days which may be comprised in one session or in two or more successive sessions, and if, before the expiry of the session immediately following

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the session or the successive sessions aforesaid, both Houses agree in making any modification in the rule or both Houses agree that the rule should not be made, the rule shall thereafter have effect only in such modified form or be of no effect, as the case may be; so, however, that any such modification or annulment shall be without prejudice to the validity of anything previously done under that Act.

CHAPTER XI

REPEAL AND SAVING

48. Repeal and savings. (1) The Designs Act, 1911 is hereby repealed.

(2) Without prejudice to the provisions contained in the General Clauses Act, 1897 with respect to repeals, any notification, rule, order, requirement, registration, certificate, notice, decision, determination, direction, approval, authorisation, consent, application, request or thing made, issued, given or done under the Designs Act, 1911, shall, in force at the commencement of this Act, continue to be in force and have effect as if made, issued, given or done under the corresponding provisions of this Act.

(3) The provisions of this Act shall apply to all applications for registration of designs pending at the commencement of this Act and to any proceedings consequent thereon and to any registration granted in pursuance thereof.

(4) Notwithstanding anything contained in this Act, any proceeding pending in any court at the commencement of this Act may be continued in that court as if this Act has not been passed.

(5) Notwithstanding anything contained in sub-section (2), the date of expiration of the copyright in the designs registered before the commencement of this Act shall, subject to the provisions of this Act, be the date immediately after the period of five years for which it was registered or the date immediately after the period of five years for which the extension of the period of copyright for a second period from the expiration of the original period has been made.

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APPENDIX

3

The Trade Marks Act, 1999

As Amended by the Trade Marks (Amendment) Act 2010

An Act to amend and consolidate the law relating to trade marks, to provide for registration and better protection of trade marks for goods and services and for the prevention of the use of fraudulent marks.

BE it enacted by Parliament in the Fiftieth Year of the Republic of India as follows:

CHAPTER 1
PRELIMINARY

1. Short title, extent and commencement. (1) This Act may be called the Trade Marks Act, 1999.

(2) It extends to the whole of India.

(3) It shall come into force on such date as the Central Government may, by notification in the Official Gazette, appoint:

Provided that different dates may be appointed for different provisions of this Act, and any reference in any such provision to the commencement of this Act shall be construed as a reference to the coming into force of that provision.

2. Definitions and interpretation. (1) In this Act, unless the context otherwise requires,—

(*a*) "Appellate Board" means the Appellate Board established under section 83;

(*b*) "assignment" means an assignment in writing by act of the parties concerned;

(*c*) "associated trade marks" means trade marks deemed to be, or required to be, registered as associated trade marks under this Act;

(*d*) "Bench" means a Bench of the Appellate Board;

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(*e*) "certification trade mark" means a mark capable of distinguishing the goods or services in connection with which it is used in the course of trade which are certified by the proprietor of the mark in respect of origin, material, mode of manufacture of goods or performance of services, quality, accuracy or other characteristics from goods or services not so certified and registrable as such under Chapter IX in respect of those goods or services in the name, as proprietor of the certification trade mark, of that person;

(*f*) "Chairman" means the Chairman of the Appellate Board;

(*g*) "collective mark" means a trade mark distinguishing the goods or services of members of an association of persons (not being a partnership within the meaning of the Indian Partnership Act, 1932) which is the proprietor of the mark from those of others;

(*h*) "deceptively similar".—A mark shall be deemed to be deceptively similar to another mark if it so nearly resembles that other mark as to be likely to deceive or cause confusion;

(*i*) "false trade description" means—.

(*I*) a trade description which is untrue or misleading in a material respect as regards the goods or services to which it is applied; or

(*II*) any alteration of a trade description as regards the goods or services to which it is applied, whether by way of addition, effacement or otherwise, where that alteration makes the description untrue or misleading in a material respect; or

(*III*) any trade description which denotes or implies that there are contained, as regards the goods to which it is applied, more yards or metres than there are contained therein standard yards or standard metres; or

(*IV*) any marks or arrangement or combination thereof when applied—

(*a*) to goods in such a manner as to be likely to lead persons to believe that the goods are the manufacture or merchandise of some person other than the person whose merchandise or manufacture they really are;

(*b*) in relation to services in such a manner as to be likely to lead persons to believe that the services are provided or rendered by some person other than the person whose services they really are; or

(*V*) any false name or initials of a person applied to goods or services in such manner as if such name or initials were a trade description in any case where the name or initials—

(*a*) is or are not a trade mark or part of a trade mark; and

(*b*) is or are identical with or deceptively similar to the name or initials of a person carrying on business in connection with goods or services of the same description or both and who has not authorised the use of such name or initials; and

(*c*) is or are either the name or initials of a fictitious person or some person not *bona fide* carrying on business in connection with such goods or services,

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and the fact that a trade description is a trade mark or part of a trade mark shall not prevent such trade description being a false trade description within the meaning of this Act;

(*j*) "goods" means anything which is the subject of trade or manufacture;

(*k*) "Judicial Member" means a Member of the Appellate Board appointed as such under this Act, and includes the Chairman and the Vice-Chairman;

(*l*) "limitations" (with its grammatical variations) means any limitation of the exclusive right to the use of a trade mark given by the registration of a person as proprietor thereof, including limitations of that right as to mode or area of use within India or outside India;

(*m*) "mark" includes a device, brand, heading, label, ticket, name, signature, word, letter, numeral, shape of goods, packaging or combination of colours or any combination thereof;

(*n*) "Member" means a Judicial Member or a Technical Member of the Appellate Board and includes the Chairman and the Vice-Chairman;

(*o*) "name" includes any abbreviation of a name;

(*p*) "notify" means to notify in the Trade Mark Journal published by the Registrar;

(*q*) "package" includes any case, box, container, covering, folder, receptacle, vessel, casket, bottle, wrapper, label, band, ticket, reel, frame, capsule, cap, lid, stopper and cork;

(*r*) "permitted use", in relation to a registered trade mark, means the use of trade mark—

(*i*) by a registered user of the trade mark in relation to goods or services—

(*a*) with which he is connected in the course of trade; and

(*b*) in respect of which the trade mark remains registered for the time being; and

(*c*) for which he is registered as registered user; and

(*d*) which complies with any conditions or limitations to which the registration of registered user is subject; or

(*ii*) by a person other than the registered proprietor and registered user in relation to goods or services—

(*a*) with which he is connected in the course of trade; and

(*b*) in respect of which the trade mark remains registered for the time being; and

(*c*) by consent of such registered proprietor in a written agreement; and

(*d*) which complies with any conditions or limitations to which such user is subject and to which the registration of the trade mark is subject;

(*s*) "prescribed" means prescribed by rules made under this Act;

(*t*) "register" means the Register of Trade Marks referred to in sub-section (1) of section 6;

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(*u*) "registered" (with its grammatical variations) means registered under this Act;

(*v*) "registered proprietor", in relation to a trade mark, means the person for the time being entered in the register as proprietor of the trade mark;

(*w*) "registered trade mark" means a trade mark which is actually on the register and remaining in force;

(*x*) "registered user" means a person who is for the time being registered as such under section 49;

(*y*) "Registrar" means the Registrar of Trade Marks referred to in section 3;

(*z*) "service" means service of any description which is made available to potential users and includes the provision of services in connection with business of any industrial or commercial matters such as banking, communication, education, financing, insurance, chit funds, real estate, transport, storage, material treatment, processing, supply of electrical or other energy, boarding, lodging, entertainment, amusement, construction, repair, conveying of news or information and advertising;

(*za*) "trade description" means any description, statement or other indication, direct or indirect,—

(*i*) as to the number, quantity, measure, gauge or weight of any goods; or

(*ii*) as to the standard of quality of any goods or services according to a classification commonly used or recognised in the trade; or

(*iii*) as to fitness for the purpose, strength, performance or behaviour of any goods, being "drug" as defined in the Drugs and Cosmetics Act, 1940 (23 of 1940), or "food" as defined in the Prevention of Food Adulteration Act, 1954 (37 of 1954); or

(*iv*) as to the place or country in which or the time at which any goods or services were made, produced or provided, as the case may be; or

(*v*) as to the name and address or other indication of the identity of the manufacturer or of the person providing the services or of the person for whom the goods are manufactured or services are provided; or

(*vi*) as to the mode of manufacture or producing any goods or providing services; or

(*vii*) as to the material of which any goods are composed; or

(*viii*) as to any goods being the subject of an existing patent, privilege or copyright,

and includes—

(*a*) any description as to the use of any mark which according to the custom of the trade is commonly taken to be an indication of any of the above matters;

(*b*) the description as to any imported goods contained in any bill of entry or shipping bill;

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(c) any other description which is likely to be misunderstood or mistaken for all or any of the said matters;

(zb) "trade mark" means a mark capable of being represented graphically and which is capable of distinguishing the goods or services of one person from those of others and may include shape of goods, their packaging and combination of colours; and—

(i) in relation to Chapter XII (other than section 107), a registered trade mark or a mark used in relation to goods or services for the purpose of indicating or so as to indicate a connection in the course of trade between the goods or services, as the case may be, and some person having the right as proprietor to use the mark; and

(ii) in relation to the other provisions of this Act, a mark used or proposed to be used in relation to goods or services for the purpose of indicating or so to indicate a connection in the course of trade between the goods or services, as the case may be, and some person having the right, either as proprietor or by way of permitted user, to use the mark whether with or without any indication of the identity of that person, and includes a certification trade mark or collective mark;

(zc) "transmission" means transmission by operation of law, devolution on the personal representative of a deceased person and any other mode of transfer, not being assignment;

(zd) "Technical Member" means a Member who is not a Judicial Member;

(ze) "tribunal" means the Registrar or, as the case may be, the Appellate Board, before which the proceeding concerned is pending;

(zf) "Vice-Chairman" means a Vice-Chairman of the Appellate Board;

(zg) "well-known trade mark", in relation to any goods or services, means a mark which has become so to the substantial segment of the public which uses such goods or receives such services that the use of such mark in relation to other goods or services would be likely to be taken as indicating a connection in the course of trade or rendering of services between those goods or services and a person using the mark in relation to the first-mentioned goods or services.

(2) In this Act, unless the context otherwise requires, any reference—

(a) to "trade mark" shall include reference to "collective mark" or "certification trade mark";

(b) to the use of a mark shall be construed as a reference to the use of printed or other visual representation of the mark;

(c) to the use of a mark,—

(i) in relation to goods, shall be construed as a reference to the use of the mark upon, or in any physical or in any other relation whatsoever, to such goods;

(ii) in relation to services, shall be construed as a reference to the use of the mark as or as part any statement about the availability, provision or performance of such services;

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(*d*) to the Registrar shall be construed as including a reference to any officer when discharging the functions of the Registrar in pursuance of sub-section (2) of section 3;

(*e*) to the Trade Marks Registry shall be construed as including a reference to any office of the Trade Marks Registry.

(3) For the purposes of this Act, goods and services are associated with each other if it is likely that those goods might be sold or otherwise traded in and those services might be provided by the same business and so with descriptions of goods and descriptions of services.

(4) For the purposes of this Act, "existing registered trade mark" means a trade mark registered under the Trade and Merchandise Marks Act, 1958 (43 of 1958) immediately before the commencement of this Act.

CHAPTER II

THE REGISTER AND CONDITIONS FOR REGISTRATION

3. Appointment of Registrar and other officers. (1) The Central Government may, by notification in the Official Gazette, appoint a person to be known as the Controller-General of Patents, Designs and Trade Marks, who shall be the Registrar of Trade Marks for the purposes of this Act.

(2) The Central Government may appoint such other officers with such designations as it thinks fit for the purpose of discharging, under the superintendence and direction of the Registrar, such functions of the Registrar under this Act as he may from time to time authorise them to discharge.

4. Power of Registrar to withdraw or transfer cases, etc. Without prejudice to the generality of the provisions of sub-section (2) of section 3, the Registrar may, by order in writing and for reasons to be recorded therein, withdraw any matter pending before an officer appointed under the said sub-section (2) and deal with such matter himself either *de novo* or from the stage it was so withdrawn or transfer the same to another officer so appointed who may, subject to special directions in the order of transfer, proceed with the matter either *de novo* or from the stage it was so transferred.

5. Trade Marks Registry and offices thereof. (1) For the purposes of this Act, there shall be a trade marks registry and the Trade Marks Registry established under the Trade and Merchandise Marks Act, 1958 (43 of 1958) shall be the Trade Marks Registry under this Act.

(2) The head office of the Trade Marks Registry shall be at such place as the Central Government may specify, and for the purpose of facilitating the registration of trade marks, there may be established at such places as the Central Government may think fit, branch offices of the Trade Marks Registry.

(3) The Central Government may, by notification in the Official Gazette, define the territorial limits within which an office of the Trade Marks Registry may exercise its functions.

(4) There shall be a seal of the Trade Marks Registry.

6. The Register of Trade Marks. (1) For the purposes of this Act, a record called the Register of Trade Marks shall be kept at the head office of the Trade Marks Registry, wherein shall be entered all registered trade marks with the names, addresses and description of the proprietors, notifications of assignments

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and transmissions, the names, addresses and descriptions of registered users, conditions, limitations and such other matter relating to registered trade marks as may be prescribed.

(2) Notwithstanding anything contained in sub-section (1), it shall be lawful for the Registrar to keep the records wholly or partly in computer floppies diskettes or in any other electronic form subject to such safeguards as may be prescribed.

(3) Where such register is maintained wholly or partly on computer under sub-section (2) any reference in this Act to entry in the register shall be construed as the reference to any entry as maintained on computer or in any other electronic form.

(4) No notice of any trust, express or implied or constructive, shall be entered in the register and no such notice shall be receivable by the Registrar.

(5) The register shall be kept under the control and management of the Registrar.

(6) There shall be kept at each branch office of the Trade Marks Registry a copy of the register and such of the other documents mentioned in section 148 as the Central Government may, by notification in the Official Gazette, direct.

(7) The Register of Trade Marks, both Part A and Part B, existing at the commencement of this Act, shall be incorporated in and form part of the register under this Act.

7. Classification of goods and services. (1) The Registrar shall classify goods and services, as far as may be, in accordance with the International classification of goods and services for the purposes of registration of trade marks.

(2) Any question arising as to the class within which any goods or services ulis shall be determined by the Registrar whose decision shall be final.

8. Publication of alphabetical index. (1) The Registrar may publish in the prescribed manner an alphabetical index of classification of goods and services referred to in section 7.

(2) Where any goods or services are not specified in the alphabetical index goods and services published under sub-section (1), the classification of ods or services shall be determined by the Registrar in accordance with sub-ction (2) of section 7.

9. Absolute grounds for refusal of registration. (1) The trade marks—

(a) which are devoid of any distinctive character, that is to say, not capable of distinguishing the goods or services of one person from those of another person;

(b) which consist exclusively of marks or indications which may serve in trade to designate the kind, quality, quantity, intended purpose, values, geographical origin or the time of production of the goods or rendering of the service or other characteristics of the goods or service;

(c) which consist exclusively of marks or indications which have become customary in the current language or in the *bona fide* and established practices of the trade,

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shall not be registered:

Provided that a trade mark shall not be refused registration if before the date of application for registration it has acquired a distinctive character as a result of the use made of it or is a well-known trade mark.

(2) A mark shall not be registered as a trade mark if—

(*a*) it is of such nature as to deceive the public or cause confusion;

(*b*) it contains or comprises of any matter likely to hurt the religious susceptibilities of any class or section of the citizens of India;

(*c*) it comprises or contains scandalous or obscene matter;

(*d*) its use is prohibited under the Emblems and Names (Prevention of Improper Use) Act, 1950 (12 of 1950).

(3) A mark shall not be registered as a trade mark if it consists exclusively of—

(*a*) the shape of goods which results from the nature of the goods themselves; or

(*b*) the shape of goods which is necessary to obtain a technical result; or

(*c*) the shape which gives substantial value to the goods.

Explanation.—For the purposes of this section, the nature of goods or services in relation to which the trade mark is used or proposed to be used shall not be a ground for refusal of registration.

10. Limitation as to colour. (1) A trade mark may be limited wholly or in part to any combination of colours and any such limitation shall be taken into consideration by the tribunal having to decide on the distinctive character of the trade mark.

(2) So far as a trade mark is registered without limitation of colour, it shall be deemed to be registered for all colours.

11. Relative grounds for refusal of registration. (1) Save as provided in section 12, a trade mark shall not be registered if, because of—

(*a*) its identity with an earlier trade mark and similarity of goods or services covered by the trade mark; or

(*b*) its similarity to an earlier trade mark and the identity or similarity of the goods or services covered by the trade mark,

there exists a likelihood of confusion on the part of the public, which includes the likelihood of association with the earlier trade mark.

(2) A trade mark which—

(*a*) is identical with or similar to an earlier trade mark; and

(*b*) is to be registered for goods or services which are not similar to those for which the earlier trade mark is registered in the name of a different proprietor,

shall not be registered if or to the extent the earlier trade mark is a well-known trade mark in India and the use of the later mark without due cause would take unfair advantage of or be detrimental to the distinctive character or repute of the earlier trade mark.

(3) A trade mark shall not be registered if, or to the extent that, its use in India is liable to be prevented—

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(a) by virtue of any law in particular the law of passing off protecting an unregistered trade mark used in the course of trade; or

(b) by virtue of law of copyright.

(4) Nothing in this section shall prevent the registration of a trade mark where the proprietor of the earlier trade mark or other earlier right consents to the registration, and in such case the Registrar may register the mark under special circumstances under section 12.

Explanation.—For the purposes of this section, earlier trade mark means—

(a) a registered trade mark or an application under section 18 bearing an earlier date of filing or an international registration referred to in section 36E or convention application referred to in section 154 which has a date of application earlier than that of the trade mark in question, taking account, where appropriate, of the priorities claimed in respect of the trade marks;

(b) a trade mark which, on the date of the application for registration of the trade mark in question, or where appropriate, of the priority claimed in respect of the application, was entitled to protection as a well-known trade mark.

(5) A trade mark shall not be refused registration on the grounds specified in sub-sections (2) and (3), unless objection on any one or more of those grounds is raised in opposition proceedings by the proprietor of the earlier trade mark.

(6) The Registrar shall, while determining whether a trade mark is a well-known trade mark, take into account any fact which he considers relevant for determining a trade mark as a well-known trade mark including—

(i) the knowledge or recognition of that trade mark in the relevant section of the public including knowledge in India obtained as a result of promotion of the trade mark;

(ii) the duration, extent and geographical area of any use of that trade mark;

(iii) the duration, extent and geographical area of any promotion of the trade mark, including advertising or publicity and presentation, at fairs or exhibition of the goods or services to which the trade mark applies;

(iv) the duration and geographical area of any registration of or any application for registration of that trade mark under this Act to the extent they reflect the use or recognition of the trade mark;

(v) the record of successful enforcement of the rights in that trade mark, in particular, the extent to which the trade mark has been recognised as a well-known trade mark by any court or Registrar under that record.

(7) The Registrar shall, while determining as to whether a trade mark is known or recognised in a relevant section of the public for the purposes of sub-section (6), take into account—

(i) the number of actual or potential consumers of the goods or services;

(ii) the number of persons involved in the channels of distribution of the goods or services;

(iii) the business circles dealing with the goods or services, to which that trade mark applies.

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(8) Where a trade mark has been determined to be well-known in at least one relevant section of the public in India by any court or Registrar, the Registrar shall consider that trade mark as a well-known trade mark for registration under this Act.

(9) The Registrar shall not require as a condition, for determining whether a trade mark is a well-known trade mark, any of the following, namely:

(*i*) that the trade mark has been used in India;

(*ii*) that the trade mark has been registered;

(*iii*) that the application for registration of the trade mark has been filed in India;

(*iv*) that the trade mark—

(*a*) is well-known in; or

(*b*) has been registered in; or

(*c*) in respect of which an application for registration has been filed in, any jurisdiction other than India; or

(*v*) that the trade mark is well-known to the public at large in India.

(10) While considering an application for registration of a trade mark and opposition filed in respect thereof, the Registrar shall—

(*i*) protect a well-known trade mark against the identical or similar trade marks;

(*ii*) take into consideration the bad faith involved either of the applicant or the opponent affecting the right relating to the trade mark.

(11) Where a trade mark has been registered in good faith disclosing the material information to the Registrar or where right to a trade mark has been acquired through use in good faith before the commencement of this Act, then, nothing in this Act shall prejudice the validity of the registration of that trade mark or right to use that trade mark on the ground that such trade mark is identical with or similar to a well-known trade mark.

12. Registration in the case of honest concurrent use, etc. In the case of honest concurrent use or of other special circumstances which in the opinion of the Registrar, make it proper so to do, he may permit the registration by more than one proprietor of the trade marks which are identical or similar (whether any such trade mark is already registered or not) in respect of the same or similar goods or services, subject to such conditions and limitations, if any, as the Registrar may think fit to impose.

13. Prohibition of registration of names of chemical elements or international non-proprietary names. No word—

(*a*) which is the commonly used and accepted name of any single chemical element or single chemical compound (as distinguished from a mixture) in respect of a chemical substance or preparation, or

(*b*) which is declared by the World Health Organisation and notified in the prescribed manner by the Registrar from time to time, as an international non-proprietary name or which is deceptively similar to such name,

shall be registered as a trade mark and any such registration shall be deemed for the purpose of section 57 to be an entry made in the register without

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sufficient cause or an entry wrongly remaining on the register, as the circumstances may require.

14. Use of names and representations of living persons or persons recently dead. Where an application is made for the registration of a trade mark which falsely suggests a connection with any living person, or a person whose death took place within twenty years prior to the date of application for registration of the trade mark, the Registrar may, before he proceeds with the application, require the applicant to furnish him with the consent in writing of such living person or, as the case may be, of the legal representative of the deceased person to the connection appearing on the trade mark, and may refuse to proceed with the application unless the applicant furnishes the registrar with such consent.

15. Registration of parts of trade marks and of trade marks as a series. (1) Where the proprietor of a trade mark claims to be entitled to the exclusive use of any part thereof separately, he may apply to register the whole and the part as separate trade marks.

(2) Each such separate trade mark shall satisfy all the conditions applying to and have all the incidents of, an independent trade mark.

(3) Where a person claiming to be the proprietor of several trade marks in respect of the same or similar goods or services or description of goods or description of services, which, while resembling each other in the material particulars thereof, yet differ in respect of—

(*a*) statement of the goods or services in relation to which they are respectively used or proposed to be used; or

(*b*) statement of number, price, quality or names of places; or

(*c*) other matter of a non-distinctive character which does not substantially affect the identity of the trade mark; or

(*d*) colour,

seeks to register those trade marks, they may be registered as a series in one registration.

16. Registration of trade marks as associated trade marks. (1) Where a trade mark which is registered, or is the subject of an application for registration, in respect of any goods or services is identical with another trade mark which is registered, or is the subject of an application for registration, in the name of the same proprietor in respect of the same goods or description of goods or same services or description of services or so nearly resembles it as to be likely to deceive or cause confusion if used by a person other than the proprietor, the Registrar may, at any time, require that the trade marks shall be entered on the register as associated trade marks.

(2) Where there is an identity or near resemblance of marks that are registered, or are the subject of applications for registration in the name of the same proprietor, in respect of goods and in respect of services which are associated with those goods or goods of that description and with those services or services of that description, sub-section (1) shall apply as it applies as where there is an identity or near resemblance of marks that are registered, or are the subject of applications for registration, in the name of the same proprietor in respect of the same goods or description of goods or same services or description of services.

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(3) Where a trade mark and any part thereof are, in accordance with the provisions of sub-section (1) of section 15, registered as separate trade marks in the name of the same proprietor, they shall be deemed to be, and shall be registered as, associated trade marks.

(4) All trade marks registered in accordance with the provisions of sub-section (3) of section 15 as a series in one registration shall be deemed to be, and shall be registered as, associated trade marks.

(5) On application made in the prescribed manner by the registered proprietor of two or more trade marks registered as associated trade marks, the Registrar may dissolve the association as respects any of them if he is satisfied that there would be no likelihood of deception or confusion being caused if that trade mark were used by any other person in relation to any of the goods or services or both in respect of which it is registered, and may amend the register accordingly.

17. Effect of registration of parts of a mark. (1) When a trade mark consists of several matters, its registration shall confer on the proprietor exclusive right to the use of the trade mark taken as a whole.

(2) Notwithstanding anything contained in sub-section (1), when a trade mark—

(*a*) contains any part—

(*i*) which is not the subject of a separate application by the proprietor for registration as a trade mark; or

(*ii*) which is not separately registered by the proprietor as a trade mark; or

(*b*) contains any matter which is common to the trade or is otherwise of a non-distinctive character,

the registration thereof shall not confer any exclusive right in the matter forming only a part of the whole of the trade mark so registered.

CHAPTER III

PROCEDURE FOR AND DURATION OF REGISTRATION

18. Application for registration. (1) Any person claiming to be the proprietor of a trade mark used or proposed to be used by him, who is desirous of registering it, shall apply in writing to the Registrar in the prescribed manner for the registration of his trade mark.

(2) A single application may be made for registration of a trade mark for different classes of goods and services and fee payable thereof shall be in respect of each such class of goods or services.

(3) Every application under sub-section (1) shall be filed in the office of the Trade Marks Registry within whose territorial limits the principal place of business in India of the applicant or in the case of joint applicants the principal place of business in India of the applicant whose name is first mentioned in the application as having a place of business in India, is situate:

Provided that where the applicant or any of the joint applicants does not carry on business in India, the application shall be filed in the office of the Trade Marks Registry within whose territorial limits the place mentioned in the address for service in India as disclosed in the application, is situate.

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(4) Subject to the provisions of this Act, the Registrar may refuse the application or may accept it absolutely or subject to such amendments, modifications, conditions or limitations, if any, as he may think fit.

(5) In the case of a refusal or conditional acceptance of an application, the Registrar shall record in writing the grounds for such refusal or conditional acceptance and the materials used by him in arriving at his decision.

19. Withdrawal of acceptance. Where, after the acceptance of an application for registration of a trade mark but before its registration, the Registrar is satisfied—

(*a*) that the application has been accepted in error; or

(*b*) that in the circumstances of the case of trade mark should not be registered or should be registered subject to conditions or limitations or to conditions additional to or different from the conditions or limitations subject to which the application has been accepted;

the Registrar may, after hearing the applicant if he so desires, withdraw the acceptance and proceed as if the application had not been accepted.

20. Advertisement of application. (1) When an application for registration of a trade mark has been accepted, whether absolutely or subject to conditions or limitations, the Registrar shall, as soon as may be after acceptance, cause the application as accepted together with the conditions or limitations, if any, subject to which it has been accepted, to be advertised in the prescribed manner:

Provided that the Registrar may cause the application to be advertised before acceptance if it relates to a trade mark to which sub-section (1) of section 9 and sub-sections (1) and (2) of section 11 apply, or in any other case where it appears to him that it is expedient by reason of any exceptional circumstances so to do.

(2) Where—

(*a*) an application has been advertised before acceptance under sub-section (1); or

(*b*) after advertisement of an application—

(*i*) an error in the application has been corrected; or

(*ii*) the application has been permitted to be amended under section 22;

the Registrar may in his discretion cause the application to be advertised again or in any case falling under clause (*b*) may, instead of causing the application to be advertised again, notify in the prescribed manner the correction or amendment made in the application.

21. Opposition to registration. (1) Any person may, within four months from the date of the advertisement or re-advertisement of an application for registration, give notice in writing in the prescribed manner and on payment of such fee as may be prescribed, to the Registrar, of opposition to the registration.

(2) The Registrar shall serve a copy of the notice on the applicant for registration and, within two months from the receipt by the applicant of such copy of the notice of opposition, the applicant shall send to the Registrar in the prescribed manner a counter-statement of the grounds on which he relies for his application, and if he does not do so he shall be deemed to have abandoned his application.

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(3) If the applicant sends such counter-statement, the Registrar shall serve a copy thereof on the person giving notice of opposition.

(4) Any evidence upon which the opponent and the applicant may rely shall be submitted in the prescribed manner and within the prescribed time to the Registrar, and the Registrar shall give an opportunity to them to be heard, if they so desire.

(5) The Registrar shall, after hearing the parties, if so required, and considering the evidence, decide whether and subject to what conditions or limitations, if any, the registration is to be permitted, and may take into account a ground of objection whether relied upon by the opponent or not.

(6) Where a person giving notice of opposition or an applicant sending a counter-statement after receipt of a copy of such notice neither resides nor carries on business in India, the Registrar may require him to give security for the costs of proceedings before him, and in default of such security being duly given, may treat the opposition or application, as the case may be, as abandoned.

(7) The Registrar may, on request, permit correction of any error in, or any amendment of, a notice of opposition or a counter-statement on such terms as he thinks just.

22. Correction and amendment. The Registrar may, on such terms as he thinks just, at any time, whether before or after acceptance of an application for registration under section 18, permit the correction of any error in or in connection with the application or permit an amendment of the application:

Provided that if an amendment is made to a single application referred to in sub-section (2) of section 18 involving division of such application into two or more applications, the date of making of the initial application shall be deemed to be the date of making of the divided applications so divided.

23. Registration. (1) Subject to the provisions of section 19, when an application for registration of a trade mark has been accepted and either—

(*a*) the application has not been opposed and the time for notice of opposition has expired; or

(*b*) the application has been opposed and the opposition has been decided in favour of the applicant,

the Registrar shall, unless the Central Government otherwise directs, register the said trade mark within eighteen months of the filing of the application and the trade mark when registered shall be registered as of the date of the making of the said application and that date shall, subject to the provisions of section 154, be deemed to be the date of registration.

(2) On the registration of a trade mark, the Registrar shall issue to the applicant a certificate in the prescribed form of the registration thereof, sealed with the seal of the Trade Marks Registry.

(3) Where registration of a trade mark is not completed within twelve months from the date of the application by reason of default on the part of the applicant, the Registrar may, after giving notice to the applicant in the prescribed manner, treat the application as abandoned unless it is completed within the time specified in that behalf in the notice.

(4) The Registrar may amend the register or a certificate of registration for the purpose of correcting a clerical error or an obvious mistake.

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24. Jointly owned trade marks. (1) Save as provided in sub-section (2), nothing in this Act shall authorise registration of two or more persons who use a trade mark independently, or propose so to use it, as joint proprietors thereof.

(2) Where the relations between two or more persons interested in a trade mark are such that no one of them is entitled as between himself and the other or others of them to use it except—

(*a*) on behalf of both or all of them; or

(*b*) in relation to an article or service with which both or all of them are connected in the course of trade;

those persons may be registered as joint proprietors of the trade mark, and this Act shall have effect in relation to any rights to the use of the trade mark vested in those persons as if those rights had been vested in a single person.

25. Duration, renewal, removal and restoration of registration. (1) The registration of a trade mark, after the commencement of this Act, shall be for a period of ten years, but may be renewed from time to time in accordance with the provisions of this section.

(2) The Registrar shall, on application made by the registered proprietor of a trade mark in the prescribed manner and within the prescribed period and subject to payment of the prescribed fee, renew the registration of the trade mark for a period of ten years from the date of expiration of the original registration or of the last renewal of registration, as the case may be (which date is in this section referred to as the expiration of the last registration).

(3) At the prescribed time before the expiration of the last registration of a trade mark the Registrar shall send notice in the prescribed manner to the registered proprietor of the date of expiration and the conditions as to payment of fees and otherwise upon which a renewal of registration may be obtained, and, if at the expiration of the time prescribed in that behalf those conditions have not been duly complied with the Registrar may remove the trade mark from the register:

Provided that the Registrar shall not remove the trade mark from the register if an application is made in the prescribed form and the prescribed fee and surcharge is paid within six months from the expiration of the last registration of the trade mark and shall renew the registration of the trade mark for a period of ten years under sub-section (2).

(4) Where a trade mark has been removed from the register for non-payment of the prescribed fee, the Registrar shall, after six months and within one year from the expiration of the last registration of the trade mark, on receipt of an application in the prescribed form and on payment of the prescribed fee, if satisfied that it is just so to do, restore the trade mark to the register and renew the registration of the trade mark either generally or subject to such conditions or limitations as he thinks fit to impose, for a period of ten years from the expiration of the last registration.

26. Effect of removal from register for failure to pay fee for renewal. Where a trade mark has been removed from the register for failure to pay the fee for renewal, it shall nevertheless, for the purpose of any application for the registration of another trade mark during one year, next after the date of the removal, be deemed to be a trade mark already on the register, unless the tribunal is satisfied either—

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(*a*) that there has been no *bona fide* trade use of the trade mark which has been removed during the two years immediately preceding its removal; or

(*b*) that no deception or confusion would be likely to arise from the use of the trade mark which is the subject of the application for registration by reason of any previous use of the trade mark which has been removed.

CHAPTER IV

EFFECT OF REGISTRATION

27. No action for infringement of unregistered trade mark. (1) No person shall be entitled to institute any proceeding to prevent, or to recover damages for, the infringement of an unregistered trade mark.

(2) Nothing in this Act shall be deemed to affect rights of action against any person for passing off goods or services as the goods of another person or as services provided by another person, or the remedies in respect thereof.

28. Rights conferred by registration. (1) Subject to the other provisions of this Act, the registration of a trade mark shall, if valid, give to the registered proprietor of the trade mark the exclusive right to the use of the trade mark in relation to the goods or services in respect of which the trade mark is registered and to obtain relief in respect of infringement of the trade mark in the manner provided by this Act.

(2) The exclusive right to the use of a trade mark given under sub-section (1) shall be subject to any conditions and limitations to which the registration is subject.

(3) Where two or more persons are registered proprietors of trade marks, which are identical with or nearly resemble each other, the exclusive right to the use of any of those trade marks shall not (except so far as their respective rights are subject to any conditions or limitations entered on the register) be deemed to have been acquired by any one of those persons as against any other of those persons merely by registration of the trade marks but each of those persons has otherwise the same rights as against other persons (not being registered users using by way of permitted use) as he would have if he were the sole registered proprietor.

29. Infringement of registered trade marks. (1) A registered trade mark is infringed by a person who, not being a registered proprietor or a person using by way of permitted use, uses in the course of trade, a mark which is identical with, or deceptively similar to, the trade mark in relation to goods or services in respect of which the trade mark is registered and in such manner as to render the use of the mark likely to be taken as being used as a trade mark.

(2) A registered trade mark is infringed by a person who, not being a registered proprietor or a person using by way of permitted use, uses in the course of trade, a mark which because of—

(*a*) its identity with the registered trade mark and the similarity of the goods or services covered by such registered trade mark; or

(*b*) its similarity to the registered trade mark and the identity or similarity of the goods or services covered by such registered trade mark; or

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(c) its identity with the registered trade mark and the identity of the goods or services covered by such registered trade mark,

is likely to cause confusion on the part of the public, or which is likely to have an association with the registered trade mark.

(3) In any case falling under clause (c) of sub-section (2), the court shall presume that it is likely to cause confusion on the part of the public.

(4) A registered trade mark is infringed by a person who, not being a registered proprietor or a person using by way of permitted use, uses in the course of trade, a mark which—

(a) is identical with or similar to the registered trade mark; and

(b) is used in relation to goods or services which are not similar to those for which the trade mark is registered; and

(c) the registered trade mark has a reputation in India and the use of the mark without due cause takes unfair advantage of or is detrimental to, the distinctive character or repute of the registered trade mark.

(5) A registered trade mark is infringed by a person if he uses such registered trade mark, as his trade name or part of his trade name, or name of his business concern or part of the name, of his business concern dealing in goods or services in respect of which the trade mark is registered.

(6) For the purposes of this section, a person uses a registered mark, if, in particular, he—

(a) affixes it to goods or the packaging thereof;

(b) offers or exposes goods for sale, puts them on the market, or stocks them for those purposes under the registered trade mark, or offers or supplies services under the registered trade mark;

(c) imports or exports goods under the mark; or

(d) uses the registered trade mark on business papers or in advertising.

(7) A registered trade mark is infringed by a person who applies such registered trade mark to a material intended to be used for labelling or packaging goods, as a business paper, or for advertising goods or services, provided such person, when he applied the mark, knew or had reason to believe that the application of the mark was not duly authorised by the proprietor or a licensee.

(8) A registered trade mark is infringed by any advertising of that trade mark if such advertising—

(a) takes unfair advantage of and is contrary to honest practices in industrial or commercial matters; or

(b) is detrimental to its distinctive character; or

(c) is against the reputation of the trade mark.

(9) Where the distinctive elements of a registered trade mark consist of or include words, the trade mark may be infringed by the spoken use of those words as well as by their visual representation and reference in this section to the use of a mark shall be construed accordingly.

30. Limits on effect of registered trade mark. (1) Nothing in section 29 shall be construed as preventing the use of a registered trade mark by any person for the purposes of identifying goods or services as those of the proprietor provided the use—

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(*a*) is in accordance with honest practices in industrial or commercial matters, and

(*b*) is not such as to take unfair advantage of or be detrimental to the distinctive character or repute of the trade mark.

(2) A registered trade mark is not infringed where—

(*a*) the use in relation to goods or services indicates the kind, quality, quantity, intended purpose, value, geographical origin, the time of production of goods or of rendering of services or other characteristics of goods or services;

(*b*) a trade mark is registered subject to any conditions or limitations, the use of the trade mark in any manner in relation to goods to be sold or otherwise traded in, in any place, or in relation to goods to be exported to any market or in relation to services for use or available or acceptance in any place or country outside India or in any other circumstances, to which, having regard to those conditions or limitations, the registration does not extend;

(*c*) the use by a person of a trade mark—

(*i*) in relation to goods connected in the course of trade with the proprietor or a registered user of the trade mark if, as to those goods or a bulk or which they form part, the registered proprietor or the registered user conforming to the permitted use has applied the trade mark and has not subsequently removed or obliterated it, or has at any time expressly or impliedly consented to the use of the trade mark; or

(*ii*) in relation to services to which the proprietor of such mark or of a registered user conforming to the permitted use has applied the mark, where the purpose and effect of the use of the mark is to indicate, in accordance with the fact, that those services have been performed by the proprietor or a registered user of the mark;

(*d*) the use of a trade mark by a person in relation to goods adapted to form part of, or to be accessory to, other goods or services in relation to which the trade mark has been used without infringement of the right given by registration under this Act or might for the time being be so used, if the use of the trade mark is reasonably necessary in order to indicate that the goods or services are so adapted, and neither the purpose nor the effect of the use of the trade mark is to indicate, otherwise than in accordance with the fact, a connection in the course of trade between any person and the goods or services, as the case may be;

(*e*) the use of a registered trade mark, being one of two or more trade marks registered under this Act which are identical or nearly resemble each other, in exercise of the right to the use of that trade mark given by registration under this Act.

(3) Where the goods bearing a registered trade mark are lawfully acquired by a person, the sale of the goods in the market or otherwise dealing in those goods by that person or by a person claiming under or through him is not infringement of a trade by reason only of—

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(a) the registered trade mark having been assigned by the registered proprietor to some other person, after the acquisition of those goods; or

(b) the goods having been put on the market under the registered trade mark by the proprietor or with his consent.

(4) Sub-section (3) shall not apply where there exists legitimate reasons for the proprietor to oppose further dealings in the goods in particular, where the condition of the goods, has been changed or impaired after they have been put on the market.

31. Registration to be prima facie evidence of validity. (1) In all legal proceedings relating to a trade mark registered under this Act (including applications under section 57), the original registration of the trade mark and of all subsequent assignments and transmissions of the trade mark shall be *prima facie* evidence of the validity thereof.

(2) In all legal proceedings as aforesaid a registered trade mark shall not be held to be invalid on the ground that it was not a registrable trade mark under section 9 except upon evidence of distinctiveness and that such evidence was not submitted to the Registrar before registration, if it is proved that the trade mark had been so used by the registered proprietor or his predecessor in title as to have become distinctive at the date of registration.

32. Protection of registration on ground of distinctiveness in certain cases. Where a trade mark is registered in breach of sub-section (1) of section 9, it shall not be declared invalid if, in consequence of the use which has been made of it, it has after registration and before commencement of any legal proceedings challenging the validity of such registration, acquired a distinctive character in relation to the goods or services for which it is registered.

33. Effect of acquiescence. (1) Where the proprietor of an earlier trade mark has acquiesced for a continuous period of five years in the use of a registered trade mark, being aware of that use, he shall no longer be entitled on the basis of that earlier trade mark—

(a) to apply for a declaration that the registration of the later trade mark is invalid, or

(b) to oppose the use of the later trade mark in relation to the goods or services in relation to which it has been so used,

unless the registration of the later trade mark was not applied in good faith.

(2) Where sub-section (1) applies, the proprietor of the later trade mark is not entitled to oppose the use of the earlier trade mark, or as the case may be, the exploitation of the earlier right, notwithstanding that the earlier trade mark may no longer be invoked against his later trade mark.

34. Saving for vested rights. Nothing in this Act shall entitle the proprietor or a registered user of registered trade mark to interfere with or restrain the use by any person of a trade mark identical with or nearly resembling it in relation to goods or services in relation to which that person or a predecessor in title of his has continuously used that trade mark from a date prior—

(a) to the use of the first-mentioned trade mark in relation to those goods or services be the proprietor or a predecessor in title of his; or

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(*b*) to the date of registration of the first-mentioned trade mark in respect of those goods or services in the name of the proprietor of a predecessor in title of his;

whichever is the earlier, and the Registrar shall not refuse (on such use being proved) to register the second mentioned trade mark by reason only of the registration of the first mentioned trade mark.

35. Saving for use of name, address or description of goods or services. Nothing in this Act shall entitle the proprietor or a registered user of a registered trade mark to interfere with any *bona fide* use by a person of his own name or that of his place of business, or of the name, or of the name of the place of business, of any of his predecessors in business, or the use by any person of any *bona fide* description of the character or quality of his goods or services.

36. Saving for words used as name or description of an article or substance or service. (1) The registration of a trade mark shall not be deemed to have become invalid by reason only of any use after the date of the registration of any word or words which the trade mark contains or of which it consists as the name or description of an article or substance or service:

Provided that, if it is proved either—

(*a*) that there is a well known and established use of the said word as the name or description of the article or substance or service by a person or persons carrying on trade therein, not being use in relation to goods or services connected in the course of trade with the proprietor or a registered user of the trade mark or (in the case of a certification trade mark) in relation to goods or services certified by the proprietor; or

(*b*) that the article or substance was formerly manufactured under a patent that a period of two years or more after the cesser of the patent has elapsed and that the said word is the only practicable name or description of the article or substance,

the provisions of sub-section (2) shall apply.

(2) Where the facts mentioned in clause (*a*) or clause (*b*) of the proviso to sub-section (1) are proved with respect to any words, then,—

(*a*) for the purposes of any proceedings under section 57 if the trade mark consists solely of such words, the registration of the trade mark, so far as regards registration in respect of the article or substance in question or of any goods of the same description, or of the services or of any services of the same description, as the case requires, shall be deemed to be an entry wrongly remaining on the register;

(*b*) for the purposes of any other legal proceedings relating to the trade mark,—

(*i*) if the trade mark consists solely of such words, all rights of the proprietor under this Act or any other law to the use of the trade mark; or

(*ii*) if the trade mark contains such words and other matter, all such right of the proprietor to the use of such words,

in relation to the article or substance or to any goods of the same description, or to the service or to any services of the same description,

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as the case requires, shall be deemed to have ceased on the date on which the use mentioned in clause (*a*) of the proviso to sub-section (1) first became well known and established or at the expiration of the period of two years mentioned in clause (*b*) of the said proviso.

CHAPTER IVA

SPECIAL PROVISIONS RELATING TO PROTECTION OF TRADE MARKS THROUGH INTERNATIONAL REGISTRATION UNDER THE MADRID PROTOCOL

36A. Application of Act in case of international registration under Madrid Protocol. The provisions of this Chapter shall apply to international applications and international registrations under the Madrid Protocol.

36B. Definitions. In this Chapter, unless the context otherwise requires,—

(*a*) "application", in relation to a Contracting State or a Contracting Organisation, means an application made by a person who is a citizen of, or is domiciled in, or has a real and effective industrial or commercial establishment in, that Contracting State or a State which is a member of that Contracting Organisation, as the case may be.

Explanation. For the purposes of this clause, "real and effective industrial or commercial establishment" means and includes any establishment where some *bona fide* industrial or commercial activity takes place and need not necessarily be the principal place of business;

(*b*) "basic application" means an application for the registration of a trade mark filed under section 18 and which is used as a basis for applying for an international registration;

(*c*) "basic registration" means the registration of a trade mark under section 23 and which is used as a basis for applying for an international registration;

(*d*) "Common Regulations" means the Regulations concerning the implementation of the Madrid Protocol;

(*e*) "Contracting Organisation" means a Contracting Party that is an inter-governmental organisation;

(*f*) "Contracting Party" means a Contracting State or Contracting Organisation party to the Madrid Protocol;

(*g*) "Contracting State" means a country party to the Madrid Protocol;

(*h*) "international application" means an application for international registration or for extension of the protection resulting from an international registration to any Contracting Party made under the Madrid Protocol;

(*i*) "International Bureau" means the International Bureau of the World Intellectual Property Organisation;

(*j*) "international registration" means the registration of a trade mark in the register of the International Bureau effected under the Madrid Protocol;

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(*k*) "Madrid Agreement" means the Madrid Agreement Concerning the International Registration of Marks adopted at Madrid on the 14th day of April, 1891, as subsequently revised and amended;

(*l*) "Madrid Protocol" means the Protocol relating to the Madrid Agreement Concerning the International Registration of Marks adopted at Madrid on the 27th day of June, 1989, as amended from time-to-time.

36C. Trade Marks Registry to deal with international applications. Notwithstanding anything contained in sub-section (3) of section 5, an international application shall be dealt with by the head office of the Trade Marks Registry or such branch office of the Registry, as the Central Government may, by notification in the Official Gazette, specify.

36D. International application originating from India. (1) Where an application for the registration of a trade mark has been made under section 18 or a trade mark has been registered under section 23, the applicant or the registered proprietor may make an international application on the form prescribed by the Common Regulations for international registration of that trade mark.

(2) A person holding an international registration may make an international application on the form prescribed by the Common Regulations for extension of the protection resulting from such registration to any other Contracting Party.

(3) An international application under sub-section (1) or sub-section (2) shall designate the Contracting Parties where the protection resulting from the international registration is required.

(4) The Registrar shall certify in the prescribed manner that the particulars appearing in the international application correspond to the particulars appearing, at the time of the certification, in the application under section 18 or the registration under section 23, and shall indicate the date and number of that application or the date and number of that registration as well as the date and number of the application from which that registration resulted, as the case may be, and shall within the prescribed period, forward the international application to the International Bureau for registration, also indicating the date of the international application.

(5) Where at any time before the expiry of a period of five years of an international registration, whether such registration has been transferred to another person or not, the application under section 18 or the registration under section 23, as the case may be, has been withdrawn or cancelled or has expired or has been finally refused in respect of all or some of the goods or services listed in the international registration, the protection resulting from such international registration shall cease to have effect:

Provided that where an appeal is made against the decision of registration and an action requesting for withdrawal of application or an opposition to the application has been initiated before the expiry of the period of five years of an international registration, any final decision resulting into withdrawal, cancellation, expiration or refusal shall be deemed to have taken place before the expiry of five years of the international registration.

(6) The Registrar shall, during the period of five years beginning with the date of international registration, transmit to the International Bureau every information referred to in sub-section (5).

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(7) The Registrar shall notify the International Bureau the cancellation to be effected to an international registration keeping in view the current status of the basic application or the basic registration, as the case may be.

36E. International registrations where India has been designated. (1) The Registrar shall, after receipt of an advice from the International Bureau about any international registration where India has been designated, keep a record of the particulars of that international registration in the prescribed manner.

(2) Where, after recording the particulars of any international registration referred to in sub-section (1), the Registrar is satisfied that in the circumstances of the case the protection of trade mark in India should not be granted or such protection should be granted subject to conditions or limitations or to conditions additional to or different from the conditions or limitations subject to which the international registration has been accepted, he may, after hearing the applicant if he so desires, refuse grant of protection and inform the International Bureau in the prescribed manner within eighteen months from the date on which the advice referred to in sub-section (1) was received.

(3) Where the Registrar finds nothing in the particulars of an international registration to refuse grant of protection under sub-section (2), he shall within the prescribed period cause such international registration to be advertised in the prescribed manner.

(4) The provisions of sections 9 to 21 (both inclusive), 63 and 74 shall apply *mutatis mutandis* in relation to an international registration as if such international registration was an application for registration of a trade mark under section 18.

(5) When the protection of an international registration has not been opposed and the time for notice of opposition has expired, the Registrar shall within a period of eighteen months of the receipt of advice under sub-section (1) notify the International Bureau its acceptance of extension of protection of the trade mark under such international registration and, in case the Registrar fails to notify the International Bureau, it shall be deemed that the protection has been extended to the trade mark.

(6) Where a registered proprietor of a trade mark makes an international registration of that trade mark and designates India, the international registration from the date of the registration shall be deemed to replace the registration held in India without prejudice to any right acquired under such previously held registration and the Registrar shall, upon request by the applicant, make necessary entry in the register referred to in sub-section (1) of section 6.

(7) A holder of international registration of a trade mark who designates India and who has not been extended protection in India shall have the same remedy which is available to any person making an application for the registration of a trade mark under section 18 and which has not resulted in registration under section 23.

(8) Where at any time before the expiry of a period of five years of an international registration, whether such registration has been transferred to another person or not, the related basic application or, as the case may be, the basic registration in a Contracting Party other than India has been withdrawn or cancelled or has expired or has been finally refused in respect of all or some of the goods or services listed in the international registration, the protection resulting from such international registration in India shall cease to have effect.

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36F. Effects of international registration. (1) From the date of the international registration of a trade mark where India has been designated or the date of the recording in the register of the International Bureau about the extension of the protection resulting from an international registration of a trade mark of India, the protection of the trade mark in India shall be the same as if the trade mark had been registered in India.

(2) The indication of classes of goods and services given by the applicant shall not bind the Registrar with regard to the determination of the scope of the protection of the trade mark.

36G. Duration and renewal of international registration. (1) The international registration of a trade mark at the International Bureau shall be for a period of ten years and may be renewed for a period of ten years from the expiry of the preceding period.

(2) Subject to payment of a surcharge prescribed by the rules, a grace period of six months shall be allowed for renewal of the international registration.

CHAPTER V

ASSIGNMENT AND TRANSMISSION

37. Power of registered proprietor to assign and give receipts. The person for the time being entered in the register as proprietor of a trade mark shall, subject to the provisions of this Act and to any rights appearing from the register to be vested in any other person, have power to assign the trade mark, and to give effectual receipts for any consideration for such assignment.

38. Assignability and transmissibility of registered trade marks. Notwithstanding anything in any other law to the contrary, a registered trade mark shall, subject to the provisions of this Chapter, be assignable and transmissible, whether with or without the goodwill of the business concerned and in respect either of all the goods or services in respect of which the trade mark is registered or of some only of those goods or services.

39. Assignability and transmissibility of unregistered trade marks. An unregistered trade mark may be assigned or transmitted with or without the goodwill of the business concerned.

40. Restriction on assignment or transmission where multiple exclusive rights would be created. (1) Notwithstanding anything in sections 38 and 39, a trade mark shall not be assignable or transmissible in a case in which as a result of the assignment or transmission there would in the circumstances subsist, whether under this Act or any other law, exclusive rights in more than one of the persons concerned to the use, in relation to—

(*a*) same goods or services;

(*b*) same description of goods or services;

(*c*) goods or services or description of goods or services which are associated with each other,

of trade marks nearly resembling each other or of identical trade mark, if having regard to the similarity of the goods and services and to the similarity of the trade marks, the use of the trade marks in exercise of those rights would be likely to deceive or cause confusion:

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Provided that an assignment or transmission shall not be deemed to be invalid under this sub-section if the exclusive rights subsisting as a result thereof in the persons concerned respectively are, having regard to limitations imposed thereon, such as not to be exercisable by two or more of those persons in relation to goods to be sold, or otherwise traded in, within India otherwise than for export therefrom, or in relation to goods to be exported to the same market outside India or in relation to services for use at any place in India or any place outside India in relation to services available for acceptance in India.

(2) The proprietor of a registered trade mark who proposes to assign it may submit to the Registrar in the prescribed manner a statement of case setting out the circumstances and the Registrar may issue to him a certificate stating whether, having regard to the similarity of the goods or services and of the trade marks referred to in the case, the proposed assignment would or would not be invalid under sub-section (1), and a certificate so issued shall, subject to appeal and unless it is shown that the certificate was obtained by fraud or misrepresentation, be conclusive as to the validity or invalidity under sub-section (1) of the assignment in so far as such validity or invalidity depends upon the facts set out in the case, but, as regards a certificate in favour of validity, only if application for the registration under section 45 of the title of the person becoming entitled is made within six months from the date on which the certificate is issued.

41. Restriction on assignment or transmission when exclusive rights would be created in different parts of India. Notwithstanding anything in sections 38 and 39, a trade mark shall not be assignable or transmissible in a case in which as a result of the assignment or transmission there would in the circumstances subsist, whether under this Act or any other law—

(*a*) an exclusive right in one of the persons concerned, to the use of the trade mark limited to use in relation to goods to be sold or otherwise traded in, in any place in India, or in relation to services for use, or services available for acceptance in any place in India; and

(*b*) an exclusive right in another of these persons concerned, to the use of a trade mark nearly resembling the first-mentioned trade mark or of an identical trade mark in relation to—

(*i*) the same goods or services; or

(*ii*) the same description of goods or services; or

(*iii*) services which are associated with those goods or goods of that description or goods which are associated with those services or services of that description,

limited to use in relation to goods to be sold or otherwise traded in, or services for use, or available for acceptance, in any other place in India:

Provided that in any such case, on application in the prescribed manner by the proprietor of a trade mark who proposes to assign it, or by a person who claims that a registered trade mark has been transmitted to him or to a predecessor in title of his since the commencement of this Act, the Registrar, if he is satisfied that in all the circumstances the use of the trade mark in exercise of the said rights would not be contrary to the public interest may approve the assignment or transmission, and an assignment or transmission so approved shall not, unless it is shown that the approval was obtained by

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fraud or misrepresentation, be deemed to be invalid under this section or section 40 if application for the registration under section 45 of the title of the person becoming entitled is made within six months from the date on which the approval is given or, in the case of a transmission, was made before that date.

42. Conditions for assignment otherwise than in connection with the goodwill of a business. Where an assignment of a trade mark, whether registered or unregistered is made otherwise than in connection with the goodwill of the business in which the mark has been or is used, the assignment shall not take effect unless the assignee, not later than the expiration of six months from the date on which the assignment is made or within such extended period, if any, not exceeding three months in the aggregate, as the Registrar may allow, applies to the Registrar for directions with respect to the advertisement of the assignment, and advertises it in such form and manner and within such period as the Registrar may direct.

Explanation. For the purposes of this section, an assignment of a trade mark of the following description shall not be deemed to be an assignment made otherwise than in connection with the goodwill of the business in which the mark is used, namely:

(*a*) an assignment of a trade mark in respect only of some of the goods or services for which the trade mark is registered accompanied by the transfer of the goodwill of the business concerned in those goods or services only; or

(*b*) an assignment of a trade mark which is used in relation to goods exported from India or in relation to services for use outside India if the assignment is accompanied by the transfer of the goodwill of the export business only.

43. Assignability and transmissibility of certification trade marks. A certification trade mark shall not be assignable or transmissible otherwise than with the consent of the Registrar, for which application shall be made in writing in the prescribed manner.

44. Assignability and transmissibility or associated trade marks. Associated trade marks shall be assignable and transmissible only as a whole and not separately, but, subject to the provisions of this Act, they shall, for all other purposes, be deemed to have been registered as separate trade marks.

45. Registration of assignments and transmissions. (1) Where a person becomes entitled by assignment or transmission to a registered trade mark, he shall apply in the prescribed manner to the Registrar to register his title, and the Registrar shall, on receipt of the application, register him as the proprietor of the trade mark in respect of the goods or services in respect of which the assignment or transmission has effect, and shall cause particulars of such assignment or transmission to be entered on the register.

(2) The Registrar may require the applicant to furnish evidence or further evidence in proof of title only where there is a reasonable doubt about the veracity of any statement or any document furnished.

(3) Where the validity of an assignment or transmission is in dispute between the parties, the Registrar may refuse to register the assignment or transmission until the rights of the parties have been determined by a competent

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...ort and in all other cases the Registrar shall dispose of the application within ...e prescribed period.

(4) Until an application under sub-section (1) has been filed, the assignment ... transmission shall be ineffective against a person acquiring a conflicting ...erest in or under the registered trade mark without the knowledge of ...signment or transmission.

CHAPTER VI

USE OF TRADE MARKS AND REGISTERED USERS

46. Proposed use of trade mark by company to be formed, etc. (1) No ...plication for the registration of a trade mark in respect of any goods or ...rvices shall be refused nor shall permission for such registration be withheld, ... the ground only that it appears that the applicant does not use or propose ... use the trade mark if the Registrar is satisfied that—

(*a*) a company is about to be formed and registered under the Companies Act, 1956 and that the applicant intends to assign the trade mark to that company with a view to the use thereof in relation to those goods or services by the company, or

(*b*) the proprietor intends it to be used by a person, as a registered user after the registration of the trade mark.

(2) The provisions of section 47 shall have effect, in relation to a trade mark ...gistered under the powers conferred by this sub-section, as if for the reference, ... clause (*a*) of sub-section (1) of that section, to the intention on the part of ... applicant for registration that a trade mark should be used by him there were ...bstituted a reference to the intention on his part that it should be used by the ...mpany or registered user concerned.

(3) The tribunal may, in a case to which sub-section (1) applies, require the ...plicant to give security for the costs of any proceedings relating to any ...position or appeal, and in default of such security being duly given, may treat ... application as abandoned.

(4) Where in a case to which sub-section (1) applies, a trade mark in ...spect of any goods or services is registered in the name of an applicant who, ...es on intention to assign the trade mark to a company, then, unless within ...ch period as may be prescribed or within such further period not exceeding ... months as the Registrar may, on application being made to him in the ...scribed manner, allow, the company has been registered as the proprietor ... the trade mark in respect of those goods or services, the registration shall ...se to have effect in respect thereof at the expiration of that period and the ...gistrar shall amend the register accordingly.

47. Removal from register and imposition of limitations on ground of non-use. (1) A registered trade mark may be taken off the register in respect ... the goods or services in respect of which it is registered on application made ... the prescribed manner to the Registrar or the Appellate Board by any person ...ggrieved on the ground either—

(*a*) that the trade mark was registered without any *bona fide* intention on the part of the applicant for registration that it should be used in relation to those goods or services by him or, in a case to which the provisions of section 46 apply, by the company concerned or

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the registered user, as the case may be, and that there has, in fact, been no *bona fide* use of the trade mark in relation to those goods or services by any proprietor thereof for the time being up to a date three months before the date of the application; or

(*b*) that up to a date three months before the date of the application, a continuous period of five years from the date on which the trade mark is actually entered in the register or longer had elapsed during which the trade mark was registered and during which there was no *bona fide* use thereof in relation to those goods or services by any proprietor thereof for the time being:

Provided that except where the applicant has been permitted under section 12 to register an identical or nearly resembling trade mark in respect of the goods or services in question, or where the tribunal is of opinion that he might properly be permitted so to register such a trade mark, the tribunal may refuse an application under clause (*a*) or clause (*b*) in relation to any goods or services, if it is shown that there has been, before the relevant date or during the relevant period, as the case may be, *bona fide* use of the trade mark by any proprietor thereof for the time being in relation to—

(*i*) goods or services of the same description; or

(*ii*) goods or services associated with those goods or services of that description being goods or services, as the case may be, in respect of which the trade mark is registered.

(2) Where in relation to any goods or services in respect of which a trade mark is registered—

(*a*) the circumstances referred to in clause (*b*) of sub-section (1) are shown to exist so far as regards non-use of the trade mark in relation to goods to be sold, or otherwise traded in a particular place in India (otherwise than for export from India), or in relation to goods to be exported to a particular market outside India; or in relation to services for use or available for acceptance in a particular place in India or for use in a particular market outside India; and

(*b*) a person has been permitted under section 12 to register an identical or nearly resembling trade mark in respect of those goods, under a registration extending to use in relation to goods to be so sold, or otherwise traded in, or in relation to goods to be so exported, or in relation to services for use or available for acceptance in that place or for use in that country, or the tribunal is of opinion that he might properly be permitted so to register such a trade mark;

on application by that person in the prescribed manner to the Appellate Board or to the Registrar, the tribunal may impose on the registration of the first-mentioned trade mark such limitations as it thinks proper for securing that that registration shall cease to extend to such use.

(3) An application shall not be entitled to rely for the purpose of clause (*b*) of sub-section (1) or for the purposes of sub-section (2) on any non-use of a trade mark which is shown to have been due to special circumstances in the trade, which includes restrictions on the use of the trade mark in India imposed by any law or regulation and not to any intention to abandon or not to use the trade mark in relation to the goods or services to which the application relates.

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48. Registered users. (1) Subject to the provisions of section 49, a person other than the registered proprietor of a trade mark may be registered as a registered user thereof in respect of any or all of the goods or services in respect of which the trade mark is registered.

(2) The permitted use of a trade mark shall be deemed to be used by the proprietor thereof, and shall be deemed not to be used by a person other than the proprietor, for the purposes of section 47 or for any other purpose for which such use is material under this Act or any other law.

49. Registration as registered user. (1) Where it is proposed that a person should be registered as a registered user of a trade mark, the registered proprietor and the proposed registered user shall jointly apply in writing to the Registrar in the prescribed manner, and every such application shall be accompanied by—

(*a*) the agreement in writing or a duly authenticated copy thereof, entered into between the registered proprietor and the proposed registered user with respect to the permitted use of the trade mark; and

(*b*) an affidavit made by the registered proprietor or by some person authorised to the satisfaction of the Registrar to act on his behalf,—

(*i*) giving particulars of the relationship, existing or proposed, between the registered proprietor and the proposed registered user, including particulars showing the degree of control by the proprietor over the permitted use which their relationship will confer and whether it is a term of their relationship that the proposed registered user shall be the sole registered user or that there shall be any other restriction as to persons for whose registration as registered users application may be made;

(*ii*) stating the goods in respect of which registration is proposed;

(*iii*) stating the conditions or restrictions, if any, proposed with respect to the characteristics of the goods or services, to the mode or place of permitted use, or to any other matter;

(*iv*) stating whether the permitted use is to be for a period or without limit of period, and, if for a period, the duration thereof; and

(*c*) such further documents or other evidence as may be required by the Registrar or as may be prescribed.

(2) When the requirements of sub-section (1) have been complied with, the Registrar shall register the proposed registered user in respect of the goods or services as to which he is so satisfied.

(3) The Registrar shall issue notice in the prescribed manner of the registration of a person as a registered user, to other registered users of the trade mark, if any.

(4) The Registrar shall, if so requested by the applicant, take steps for securing that information given for the purposes of an application under this section (other than matters entered in the register) is not disclosed to rivals in trade.

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50. Power of Registrar for variation or cancellation of registration as registered user. (1) Without prejudice to the provisions of section 57, the registration of a person as registered user—

(*a*) may be varied by the Registrar as regards the goods or services in respect of which it has effect on the application in writing in the prescribed manner of the registered proprietor of the trade mark;

(*b*) may be cancelled by the Registrar on the application in writing in the prescribed manner of the registered proprietor or of the registered user or of any other registered user of the trade mark;

(*c*) may be cancelled by the Registrar on the application in writing in the prescribed manner of any person on any of the following grounds, namely:—

(*i*) that the registered user has used the trade mark otherwise than in accordance with the agreement under clause (*a*) of sub-section (1) of section 49 or in such way as to cause or to be likely to cause, deception or confusion;

(*ii*) that the proprietor or the registered user misrepresented, or failed to disclose, some fact material to the application for registration which if accurately represented or disclosed would not have justified the registration of the registered user;

(*iii*) that the circumstances have changed since the date of registration in such a way that at the date of such application for cancellation they would not have justified registration of the registered user;

(*iv*) that the registration ought not to have been effected having regard to rights vested in the applicant by virtue of a contract in the performance of which he is interested;

(*d*) may be cancelled by the Registrar on his own motion or on the application in writing in the prescribed manner by any person, on the ground that any stipulation in the agreement between the registered proprietor and the registered user regarding the quality of the goods or services in relation to which the trade mark is to be used is either not being enforced or is not being complied with;

(*e*) may be cancelled by the Registrar in respect of any goods or services in relation to which the trade mark is no longer registered.

(2) The Registrar shall issue notice in the prescribed manner in respect of every application under this section to the registered proprietor and each registered user (not being the applicant) of the trade mark.

(3) The procedure for cancelling a registration shall be such as may be prescribed:

Provided that before cancelling of registration, the registered proprietor shall be given a reasonable opportunity of being heard.

51. Power of Registrar to call for information relating to agreement in respect of registered users. (1) The Registrar may, at any time during the continuance of the registration of the registered user, by notice in writing, require the registered proprietor to confirm to him within one month that the agreement filed under clause (*a*) of sub-section (1) of section 49 continues to be in force.

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(2) If the registered proprietor fails to furnish the confirmation within one month as required under sub-section (1), the registered user shall cease to be the registered user on the day immediately after the expiry of the said period and the Registrar shall notify the same.

52. Right of registered user to take proceedings against infringement. (1) Subject to any agreement subsisting between the parties, a registered user may institute proceedings for infringement in his own name as if he were the registered proprietor, making the registered proprietor a defendant and the rights and obligations of such registered user in such case being concurrent with those of the registered proprietor.

(2) Notwithstanding anything contained in any other law, a registered proprietor so added as defendant shall not be liable for any costs unless he enters an appearance and takes part in the proceedings.

53. No right of permitted user to take proceeding against infringement. A person referred to in sub-clause (*ii*) of clause (*r*) of sub-section (1) of section 2 shall have no right to institute any proceeding for any infringement.

54. Registered user not to have right of assignment or transmission. Nothing in this Act shall confer on a registered user of a trade mark any assignable or transmissible right to the use thereof.

Explanation I. The right of a registered user of a trade mark shall not be deemed to have been assigned or transmitted within the meaning of this section in the following cases, namely:

(*a*) where the registered user being an individual enters into a partnership with any other person for carrying on the business concerned; but in any such case the firm may use the trade mark, if otherwise in force, only for so long as the registered user is a member of the firm;

(*b*) where the registered user being a firm subsequently undergoes a change in its constitution; but in any such case the reconstituted firm may use the trade mark, if otherwise in force, only for so long as any partner of the original firm at the time of its registration as registered user, continues to be a partner of the reconstituted firm.

Explanation II. For the purposes of *Explanation I*, "firm" has the same meaning as in the Indian Partnership Act, 1932.

55. Use of one of associated or substantially identical trade marks equivalent to use of another. (1) Where under the provisions of this Act, use of a registered trade mark is required to be proved for any purpose, the tribunal may, if and, so far as it shall think right, accept use of a registered associated trade mark, or of the trade mark with additions or alterations not substantially affecting its identity, as an equivalent for the use required to be proved.

(2) The use of the whole of a registered trade mark shall, for the purpose of this Act, be deemed to be also use of any trade mark being a part thereof and registered in accordance with sub-section (1) of section 15 in the name of the same proprietor.

(3) Notwithstanding anything in section 32, the use of part of the registered trade mark in sub-section (2) shall not be conclusive as to its evidence of distinctiveness for any purpose under this Act.

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56. Use of trade mark for export trade and use when form of trade connection changes. (1) The application in India of trade mark to goods to be exported from India or in relation to services for use outside India and any other act done in India in relation to goods to be so exported or services so rendered outside India which, if done in relation to goods to be sold or services provided or otherwise traded in within India would constitute use of a trade mark therein, shall be deemed to constitute use of the trade mark in relation to those goods or services for any purpose for which such use is material under this Act or any other law.

(2) The use of a registered trade mark in relation to goods or services between which and the person using the mark any form of connection in the course of trade subsists shall not be deemed to be likely to cause deception or confusion on the ground only that the mark has been or is used in relation to goods or services between which and the said person or a predecessor in title of that person a different form of connection in the course of trade subsisted or subsists.

CHAPTER VII

RECTIFICATION AND CORRECTION OF THE REGISTER

57. Power to cancel or vary registration and to rectify the register. (1) On application made in the prescribed manner to the Appellate Board or to the Registrar by any person aggrieved, the tribunal may make such order as it may think fit for cancelling or varying the registration of a trade mark on the ground of any contravention, or failure to observe a condition entered on the register in relation thereto.

(2) Any person aggrieved by the absence or omission from the register of any entry, or by any entry made in the register without sufficient cause, or by any entry wrongly remaining on the register, or by any error or defect in any entry in the register, may apply in the prescribed manner to the Appellate Board or to the Registrar, and the tribunal may make such order for making, expunging or varying the entry as it may think fit.

(3) The tribunal may in any proceeding under this section decide any question that may be necessary or expedient to decide in connection with the rectification of the register.

(4) The tribunal, of its own motion, may, after giving notice in the prescribed manner to the parties concerned and after giving them an opportunity of being heard, make any order referred to in sub-section (1) or sub-section (2).

(5) Any order of the Appellate Board rectifying the register shall direct that notice of the rectification shall be served upon the Registrar in the prescribed manner who shall upon receipt of such notice rectify the register accordingly.

58. Correction of register. (1) The Registrar may, on application made in the prescribed manner by the registered proprietor,—

(*a*) correct any error in the name, address or description of the registered proprietor of a trade mark, or any other entry relating to the trade mark;

(*b*) enter any change in the name, address or description of the person who is registered as proprietor of a trade mark;

(*c*) cancel the entry of a trade mark on the register;

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(*d*) strike out any goods or classes of goods or services from those in respect of which a trade mark is registered;

and may make any consequential amendment or alteration in the certificate of registration, and for that purpose, may require the certificate of registration to be produced to him.

(2) The Registrar may, on application made in the prescribed manner by a registered user of a trade mark, and after notice to the registered proprietor, correct any error, or enter any change, in the name, address or description of the registered user.

59. Alteration of registered trade marks. (1) The registered proprietor of a trade mark may apply in the prescribed manner to the Registrar for leave to add to or alter the trade mark in any manner not substantially affecting the identity thereof, and the Registrar may refuse leave or may grant it on such terms and subject to such limitations as he may think fit.

(2) The Registrar may cause an application under this section to be advertised in the prescribed manner in any case where it appears to him that it is expedient so to do, and where he does so, if within the prescribed time from the date of the advertisement any person gives notice to the Registrar in the prescribed manner of opposition to the application, the Registrar shall, after hearing the parties if so required, decide the matter.

(3) Where leave is granted under this section, the trade mark as altered shall be advertised in the prescribed manner, unless the application has already been advertised under sub-section (2).

60. Adaptation of entries in register to amended or substituted classification of goods or services. (1) The Registrar shall not make any amendment of the register which would have the effect of adding any goods or classes of goods or services to those in respect of which a trade mark is registered (whether in one or more classes) immediately before the amendment is to be made or of antedating the registration of a trade mark in respect of any goods or services:

Provided that this sub-section, shall not apply when the Registrar is satisfied that compliance therewith would involve undue complexity and that the addition or antedating, as the case may be, would not affect any substantial quantity of goods or services and would not substantially prejudice the rights of any person.

(2) A proposal so to amend the register shall be brought to the notice of the registered proprietor of the trade mark affected and advertised in the prescribed manner, and may be opposed before the Registrar by any person aggrieved on the ground that the proposed amendment contravenes the provisions of sub-section (1).

CHAPTER VIII

COLLECTIVE MARKS

61. Special provisions for collective marks. (1) The provisions of this Act shall apply to collective marks subject to the provisions contained in this Chapter.

(2) In relation to a collective mark the reference in clause (*zb*) of sub-section (1) of section 2 to distinguishing the goods or services of one person from those of others shall be construed as a reference to distinguishing the goods or services of members of an association of persons which is the proprietor of the mark from those of others.

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62. Collective mark not to be misleading as to character or significance. A collective mark shall not be registered if it is likely to deceive or cause confusion on the part of public in particular if it is likely to be taken to be something other than a collective mark, and in such case the Registrar may require that a mark in respect of which application is made for registration comprise some indication that it is a collective mark.

63. Application to be accompanied by regulations governing use of collective marks. (1) An application for registration of a collective mark shall be accompanied by the regulations governing the use of such collective mark.

(2) The regulations referred to in sub-section (1) shall specify the persons authorised to use the mark, the conditions of membership of the association and, the conditions of use of the mark, including any sanctions against misuse and such other matters as may be prescribed.

64. Acceptance of application and regulations by Registrar. If it appears to the Registrar that the requirements for registration are satisfied, he shall accept the application together with the regulations, either unconditionally or subject to such conditions including amendments of the said regulations, if any, as he may deem fit or refuse to accept it and if accepted shall notify the regulations.

65. Regulations to be open to inspection. The regulations referred to in sub-section (1) of section 63 shall be open to public inspection in the same way as the register as provided in section 148.

66. Amendment of regulations. Any amendment of regulations referred to in sub-section (1) of section 63 shall not be effective unless the amended regulations are filed with the Registrar, and accepted and published by him in accordance with section 64.

67. Infringement proceedings by registered proprietor of collective mark. In a suit for infringement instituted by the registered proprietor of a collective mark as plaintiff the court shall take into account any loss suffered or likely to be suffered by authorised users and may give such directions as it thinks fit as to the extent to which the plaintiff shall hold the proceeds of any pecuniary remedy on behalf of such authorised users.

68. Additional grounds for removal of registration of collective mark. The registration of a collective mark may also be removed from the register on the ground—

(a) that the manner in which the collective mark has been used by the proprietor or authorised user has caused it to become liable to mislead the public as a collective mark; or

(b) that the proprietor has failed to observe, or to secure the observance of the regulations governing the use of the mark.

Explanation I. For the purposes of this Chapter, unless the context otherwise requires, "authorised user" means a member of an association authorised to use the registered collective mark of the association.

Explanation II. For the purposes of this Act, use of a collective mark by an authorised user referred to in *Explanation* I shall be deemed to be the use by the registered proprietor thereof.

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CHAPTER IX

CERTIFICATION TRADE MARKS

69. Certain provisions of this Act not applicable to certification trade marks. The following provisions of this Act shall not apply to certification trade marks, that is to say,—

(*a*) clauses (*a*) and (*c*) of sub-section (1) of section 9;

(*b*) sections 18, 20 and 21, except as expressly applied by this Chapter;

(*c*) sections 28, 29, 30, 41, 42, 47, 48, 49, 50, 52, 54 and sub-section (2) of section 56;

(*d*) Chapter XII, except section 107.

70. Registration of certification trade marks. A mark shall not be registrable as a certification trade mark in the name of a person who carries on a trade in goods of the kind certified or a trade of the provision of services of the kind certified.

71. Applications for registration of certification trade marks. (1) An application for the registration of a mark as a certification trade mark shall be made to the Registrar in the prescribed manner by the person proposed to be registered as the proprietor thereof, and accompanied by a draft of the regulations to be deposited under section 74.

(2) Subject to the provisions of section 70, the provisions of sections 18, 19 and 22 shall apply in relation to an application under this section as they apply in relation to an application under section 18, subject to the modification that references therein to acceptance of an application shall be construed as references to authorisation to proceed with an application.

(3) In dealing under the said provisions with an application under this section, the tribunal shall have regard to the like considerations, so far as relevant, as if the application were applications under section 18 and to any other considerations relevant to applications under this section, including the desirability of securing that a certification trade mark shall comprise some indication that it is a certification trade mark.

72. Consideration of application for registration by Registrar. (1) The Registrar shall consider the application made under section 71 with regard to the following matters, namely:

(*a*) whether the applicant is competent to certify the goods in respect of which the mark is to be registered;

(*b*) whether the draft of the regulations to be filed under section 74 is satisfactory;

(*c*) whether in all the circumstances the registration applied for would be to the public advantage,

and may either—

(*i*) refuse the application; or

(*ii*) accept the application and approve the said draft of the regulations either without modification and unconditionally or subject to any conditions or limitations, or to any amendments or modifications of the application or of the regulations, which he thinks requisite having regard to any of the said matters.

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(2) Except in the case of acceptance and approval without modification and unconditionally, the Registrar shall not decide any matter under sub-section (1) without giving the applicant an opportunity of being heard.

73. Opposition to registration of certification trade marks. When an application has been accepted, the Registrar shall, as soon as may be thereafter, cause the application as accepted to be advertised in the prescribed manner, and the provisions of section 21 shall apply in relation to the registration of the mark as they apply in relation to an application under section 18.

74. Filing of regulations governing use of a certification trade mark. (1) There shall be filed at the Trade Marks Registry in respect of every mark registered as a certification trade mark regulations for governing the use thereof, which shall include provisions as to the cases in which the proprietor is to certify goods or services and to authorise the use of the certification trade mark, and may contain any other provisions which the Registrar may by general or special order, require or permit to be inserted therein (including provisions conferring a right of appeal to the Registrar against any refusal of the proprietor to certify goods or to authorise the use of the certification trade mark in accordance with the regulations); and regulations so filed shall be open to inspection in like manner as the register as provided in section 148.

(2) The regulations so filed may, on the application of the registered proprietor, be altered by the Registrar.

(3) The Registrar may cause such application to be advertised in any case where it appears to him expedient so to do, and where he does so, if within the time specified in the advertisement any person gives notice of opposition to the application, the Registrar shall not decide the matter without giving the parties an opportunity of being heard.

75. Infringement of certification trade marks. The right conferred by section 78 is infringed by any person who, not being the registered proprietor of the certification trade mark or a person authorised by him in that behalf under the regulations filed under section 74, using it in accordance therewith, uses in the course of trade, a mark, which is identical with, or deceptively similar to the certification trade mark in relation to any goods or services in respect of which it is registered, and in such manner as to render the use of the mark likely to be taken as being a use as a trade mark.

76. Acts not constituting infringement of certification trade marks. (1) Notwithstanding anything contained in this Act, the following acts do not constitute an infringement of the right to the use of a registered certification trade mark—

(*a*) where a certification trade mark is registered subject to any conditions or limitations entered on the register, the use of any such mark in any mode, in relation to goods to be sold or otherwise traded in any place, or in relation to goods to be exported to any market or in relation to services for use or available for acceptance in any place, country or territory or in any other circumstances, to which having regard to any such limitations, the registration does not extend;

(*b*) the use of a certification trade mark in relation to goods or services certified by the proprietor of the mark if, as to those goods or

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services or a bulk of which they form part, the proprietor or another in accordance with his authorisation under the relevant regulations has applied the mark and has not subsequently removed or obliterated it, or the proprietor has at any time expressly or impliedly consented to the use of the mark;

(*c*) the use of a certification trade mark in relation to goods or services adapted to form part of, or to be accessory to, other goods in relation to which the mark has been used without infringement of the right given as aforesaid or might for the time being be so used, if the use of the mark is reasonably necessary in order to indicate that the goods or services are so adapted and neither the purpose nor the effect of the use of the mark is to indicate otherwise than in accordance with the fact that the goods or services are certified by the proprietor.

(2) Clause (*b*) of sub-section (1) shall not apply to the case of use consisting of the application of a certification trade mark to goods or services, notwithstanding that they are such goods or services as are mentioned in that clause if such application is contrary to the regulations referred to in that clause.

(3) Where a certification trade mark is one of two or more trade marks registered under this Act, which are identical or nearly resemble each other, the use of any of those trade marks in exercise of the right to the use of that trade mark given by registration, shall not be deemed to be an infringement of the right so given to the use of any other of those trade marks.

77. Cancellation or varying of registration of certification trade marks. The Registrar may, on the application in the prescribed manner of any person aggrieved and after giving the proprietor an opportunity of opposing the application, make such order as he thinks fit for expunging or varying any entry in the register to a certification trade mark, or for varying the regulations, on any of the following grounds, namely:—

(*a*) that the proprietor is no longer competent, in the case of any of the goods or services in respect of which the mark is registered, to certify those goods or services;

(*b*) that the proprietor has failed to observe any provisions of the regulations to be observed on his part;

(*c*) that it is no longer to the public advantage that the mark should remain registered;

(*d*) that it is requisite for the public advantage that if the mark remains registered, the regulations should be varied.

78. Rights conferred by registration of certification trade marks. (1) Subject to the provisions of sections 34, 35 and 76, the registration of a person as a proprietor of certification trade mark in respect of any goods or services shall, if valid, give to that person the exclusive right to the use of the mark in relation to those goods or services.

(2) The exclusive right to the use of a certification trade mark given under sub-section (1) shall be subject to any conditions and limitations to which the registration is subject.

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CHAPTER X—SPECIAL PROVISIONS FOR TEXTILE GOODS—*Omitted.*

79. Textile goods. *Omitted.*

80. Restriction on registration of textile goods. *Omitted.*

81. Stamping of piece goods, cotton yarn and thread. *Omitted.*

82. Determination of character of textile goods by sampling. *Omitted.*

CHAPTER XI

APPELLATE BOARD

83. Establishment of Appellate Board. The Central Government shall, by notification in the Official Gazette, establish an Appellate Board to be known as the Intellectual Property Appellate Board to exercise the jurisdiction, powers and authority conferred on it by or under this Act.

84. Composition of Appellate Board. (1) The Appellate Board shall consist of a Chairman, Vice-Chairman and such number of other Members, as the Central Government may deem fit and, subject to the other provisions of this Act, the jurisdiction, powers and authority of the Appellate Board may be exercised by Benches thereof.

(2) Subject to the other provisions of this Act, a Bench shall consist of one Judicial Member and one Technical Member and shall sit at such place as the Central Government may, by notification in the Official Gazette, specify.

(3) Notwithstanding anything contained in sub-section (2), the Chairman—

(*a*) may, in addition to discharging the functions of the Judicial Member or Technical Member of the Bench to which he is appointed, discharge the functions of the Judicial Member or, as the case may be, the Technical Member, of any other Bench;

(*b*) may transfer a Member from one Bench to another Bench;

(*c*) may authorise the Vice-Chairman, the Judicial Member or the Technical Member appointed to one Bench to discharge also the functions of the Judicial Member or the Technical Member, as the case may be, of another Bench.

(4) Where any Benches are constituted, the Central Government may, from time to time, by notification, make provisions as to the distribution of the business of the Appellate Board amongst the Benches and specify the matters which may be dealt with by each Bench.

(5) If any question arises as to whether any matter falls within the purview of the business allocated to a Bench, the decision of the Chairman shall be final.

Explanation. For the removal of doubts, it is hereby declared that the expression "matter" includes an appeal under section 91.

(6) If the Members of a Bench differ in opinion on any point, they shall state the point or points on which they differ, and make a reference to the Chairman who shall either hear the point or points himself or refer the case for hearing on such point or points by one or more of the other Members and such point or points shall be decided according to the opinion of the majority of the Members who have heard the case, including those who first heard it.

85. Qualifications for appointment as Chairman, Vice-Chairman or other Members. (1) A person shall not be qualified for appointment as the Chairman unless he—

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(a) is, or has been, a Judge of a High Court; or

(b) has, for at least two years, held the office of a Vice-Chairman.

(2) A person shall not be qualified for appointment as the Vice-Chairman, unless he—

(a) has, for at least two years, held the office of a Judicial Member or a Technical Member; or

(b) has been a member of the Indian Legal Service and has held a post in Grade I of that Service or any higher post for at least five years.

(3) A person shall not be qualified for appointment as a Judicial Member, unless he—

(a) has been a member of the Indian Legal Service and has held the post in Grade I of that Service for at least three years; or

(b) has, for at least ten years, held a civil judicial office.

(4) A person shall not be qualified for appointment as a Technical Member, unless he—

(a) has, for at least ten years, exercised functions of a tribunal under this Act or under the Trade and Merchandise Marks Act, 1958 (43 of 1958), or both, and has held a post not lower than the post of a Joint Registrar for at least five years; or

(b) has, for at least ten years, been an advocate of a proven specialised experience in trade mark law.

(5) Subject to the provisions of sub-section (6), the Chairman, Vice-Chairman and every other Member shall be appointed by the President of India.

(6) No appointment of a person as the Chairman shall be made except after consultation with the Chief Justice of India.

86. Term of office of Chairman, Vice-Chairman and other Members. The Chairman, Vice-Chairman or other Members shall hold office as such for a term of five years from the date on which he enters upon his office or until he attains,—

(a) in the case of Chairman and Vice-Chairman, the age of sixty-five years; and

(b) in the case of a Member, the age of sixty-two years,

whichever is earlier.

87. Vice-Chairman or senior-most Member to act as Chairman or discharge his functions in certain circumstances. (1) In the event of or any vacancy in the office of the Chairman by reasons of his death, resignation or otherwise, the Vice-Chairman and in his absence the senior-most Member shall act as Chairman until the date on which a new Chairman, appointed in accordance with the provisions of this Act to fill such vacancy, enters upon his office.

(2) When the Chairman is unable to discharge his functions owing to his absence, illness or any other cause, the Vice-Chairman and in his absence the senior-most Member shall discharge the functions of the Chairman until the date on which the Chairman resumes his duty.

88. Salaries, allowances and other terms and conditions of service of Chairman, Vice-Chairman and other Members. (1) The salaries and allowances payable to, and other terms and conditions of service (including pension,

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gratuity and other retirement benefits), of the Chairman, Vice-Chairman and other Members shall be such as may be prescribed.

(2) Notwithstanding anything contained in sub-section (1), a person who, immediately before the date of assuming office as the Chairman, Vice-Chairman or other Member was in service of Government, shall be deemed to have retired from service on the date on which he enters upon office as the Chairman, Vice-Chairman or other Member.

89. Resignation and removal. (1) The Chairman, Vice-Chairman or any other Member may, by notice in writing under his hand addressed to the President of India, resign his office:

Provided that the Chairman, Vice-Chairman or any other Member shall, unless he is permitted by the President of India to relinquish his office sooner, continue to hold office until the expiry of three months from the date of receipt of such notice or until a person duly appointed as his successor enters upon his office or until the expiry of his term of office, whichever is earlier.

(2) The Chairman, Vice-Chairman or any other Member shall not be removed from his office except by an order made by the President of India on the ground of proved misbehaviour or incapacity after an inquiry made by a Judge of the Supreme Court in which the Chairman, Vice-Chairman or other Member had been informed of the charges against him and given a reasonable opportunity of being heard in respect of those charges.

(3) The Central Government may, by rules, regulate the procedure for the investigation of misbehaviour or incapacity of the Chairman, Vice-Chairman or other Member referred to in sub-section (2).

90. Staff of Appellate Board. (1) The Central Government shall determine the nature and categories of the officers and other employees required to assist the Appellate Board in the discharge of its functions and provide the Appellate Board with such officers and other employees as it may think fit.

(2) The salaries and allowances and conditions of service of the officers and other employees of the Appellate Board shall be such as may be prescribed.

(3) The officers and other employees of the Appellate Board shall discharge their functions under the general superintendence of the Chairman in the manner as may be prescribed.

91. Appeals to Appellate Board. (1) Any person aggrieved by an order or decision of the Registrar under this Act, or the rules made thereunder may prefer an appeal to the Appellate Board within three months from the date on which the order or decision sought to be appealed against is communicated to such person preferring the appeal.

(2) No appeal shall be admitted if it is preferred after the expiry of the period specified under sub-section (1):

Provided that an appeal may be admitted after the expiry of the period specified therefor, if the appellant satisfies the Appellate Board that he had sufficient cause for not preferring the appeal within the specified period.

(3) An appeal to the Appellate Board shall be in the prescribed form and shall be verified in the prescribed manner and shall be accompanied by a copy of the order or decision appealed against and by such fees as may be prescribed.

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92. Procedure and powers of Appellate Board. (1) The Appellate Board shall not be bound by the procedure laid down in the Code of Civil Procedure, 1908 (5 of 1908) but shall be guided by principles of natural justice and subject to the provisions of this Act and the rules made thereunder, the Appellate Board shall have powers to regulate its own procedure including the fixing of places and times of its hearing.

(2) The Appellate Board shall have, for the purpose of discharging its functions under this Act, the same powers as are vested in a civil court under the Code of Civil Procedure, 1908 (5 of 1908) while trying a suit in respect of the following matters, namely:

(*a*) receiving evidence;

(*b*) issuing commissions for examination of witnesses;

(*c*) requisitioning any public record; and

(*d*) any other matter which may be prescribed.

(3) Any proceeding before the Appellate Board shall be deemed to be a judicial proceeding within the meaning of sections 193 and 228, and for the purpose of section 196, of the Indian Penal Code (45 of 1860), and the Appellate Board shall be deemed to be a civil court for all the purposes of section 195 and Chapter XXVI of the Code of Criminal Procedure, 1973 (2 of 1974).

93. Bar of jurisdiction of courts, etc. No court or other authority shall have or, be entitled to, exercise any jurisdiction, powers or authority in relation to the matters referred to in sub-section (1) of section 91.

94. Bar to appear before Appellate Board. On ceasing to hold office, the Chairman, Vice-Chairman or other Members shall not appear before the Appellate Board or the Registrar.

95. Conditions as to making of interim orders. Notwithstanding anything contained in any other provisions of this Act or in any other law for the time being in force, no interim order (whether by way of injunction or stay or any other manner) shall be made on, or in any proceedings relating to, an appeal unless—

(*a*) copies of such appeal and of all documents in support of the plea for such interim order are furnished to the party against whom such appeal is made or proposed to be made; and

(*b*) opportunity is given to such party to be heard in the matter.

96. Power of Chairman to transfer cases from one Bench to another. On the application of any of the parties and after notice to the parties, and after hearing such of them as he may desire to be heard, or on his own motion without such notice, the Chairman, may transfer any case pending before one Bench, for disposal, to any other Bench.

97. Procedure for application for rectification, etc., before Appellate Board. (1) An application for rectification of the register made to the Appellate Board under section 57 shall be in such form as may be prescribed.

(2) A certified copy of every order or judgment of the Appellate Board relating to a registered trade mark under this Act shall be communicated to the Registrar by the Board and the Registrar shall give effect to the order of the Board and shall, when so directed, amend the entries in, or rectify, the register in accordance with such order.

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98. Appearance of Registrar in legal proceedings. (1) The Registrar shall have the right to appear and be heard—

(*a*) in any legal proceedings before the Appellate Board in which the relief sought includes alteration or rectification of the register or in which any question relating to the practice of the Trade Marks Registry is raised;

(*b*) in any appeal to the Board from an order of the Registrar on an application for registration of a trade mark—

(*i*) which is not opposed, and the application is either refused by the Registrar or is accepted by him subject to any amendments, modifications, conditions or limitations, or

(*ii*) which has been opposed and the Registrar considers that his appearance is necessary in the public interest,

and the Registrar shall appear in any case if so directed by the Board.

(2) Unless the Appellate Board otherwise directs, the Registrar may, in lieu of appearing, submit a statement in writing signed by him, giving such particulars as he thinks proper of the proceedings before him relating to the matter in issue or of the grounds of any decision given by him affecting it, or of the practice of the Trade Marks Registry in like cases, or of other matters relevant to the issues and within his knowledge as Registrar, and such statement shall be evidence in the proceeding.

99. Costs of Registrar in proceedings before Appellate Board. In all proceedings under this Act before the Appellate Board the costs of the Registrar shall be in the discretion of the Board, but the Registrar shall not be ordered to pay the costs of any of the parties.

100. Transfer of pending proceedings to Appellate Board. All cases of appeals against any order or decision of the Registrar and all cases pertaining to rectification of register, pending before any High Court, shall be transferred to the Appellate Board from the date as notified by the Central Government in the Official Gazette and the Appellate Board may proceed with the matter either *de novo* or from the stage it was so transferred.

CHAPTER XII

OFFENCES, PENALTIES AND PROCEDURE

101. Meaning of applying trade marks and trade descriptions. (1) A person shall be deemed to apply a trade mark or mark or trade description to goods or services who—

(*a*) applies it to the goods themselves or uses it in relation to services; or

(*b*) applies it to any package in or with which the goods are sold, or exposed for sale, or had in possession for sale or for any purpose of trade or manufacture; or

(*c*) places, encloses, or annexes any goods which are sold, or exposed for sale, or had in possession for sale or for any purpose of trade or manufacture, in or with any package or other thing to which a trade mark or mark or trade description has been applied; or

(*d*) uses a trade mark or mark or trade description in any manner reasonably likely to lead to the belief that the goods or services in

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connection with which it is used are designated or described by that trade mark or mark or trade description; or

(e) in relation to the goods or services uses a trade mark or trade description in any sign, advertisement, invoice, catalogue, business letter, business paper, price list, or other commercial document and goods are delivered or services are rendered to a person in pursuance of a request or order made by reference to the trade mark or trade description as so used.

(2) A trade mark or mark or trade description shall be deemed to be applied to goods whether it is woven in, impressed on, or otherwise worked into, or annexed or affixed to, the goods or to any package or other thing.

102. Falsifying and falsely applying trade marks. (1) A person shall be deemed to falsify a trade mark who, either,—

(a) without the assent of the proprietor of the trade mark makes that trade mark or a deceptively similar mark; or

(b) falsifies any genuine trade mark, whether by alteration, addition, effacement or otherwise.

(2) A person shall be deemed to falsely apply to goods or services a trade mark who, without the assent of the proprietor of the trade mark,—

(a) applies such trade mark or a deceptively similar mark to goods or services or any package containing goods;

(b) uses any package bearing a mark which is identical with or deceptively similar to the trade mark of such proprietor, for the purpose of packing, filling or wrapping therein any goods other than the genuine goods of the proprietor of the trade mark.

(3) Any trade mark falsified as mentioned in sub-section (1) or falsely applied as mentioned in sub-section (2), is in this Act referred to as a false trade mark.

(4) In any prosecution for falsifying a trade mark or falsely applying a trade mark to goods or services, the burden of proving the assent of the proprietor shall lie on the accused.

103. Penalty for applying false trade marks, trade descriptions, etc. Any person who—

(a) falsifies any trade mark; or

(b) falsely applies to goods or services any trade mark; or

(c) makes, disposes of, or has in his possession, any die, block, machine, plate or other instrument for the purpose of falsifying, or of being used for falsifying, a trade mark; or

(d) applies any false trade description to goods or services; or

(e) applies to any goods to which an indication of the country or place in which they were made or produced or the name and address of the manufacturer or person for whom the goods are manufactured is required to be applied under section 139, a false indication of such country, place, name or address; or

(f) tampers with, alters or effaces an indication of origin which has been applied to any goods to which it is required to be applied under section 139; or

(g) causes any of the things above-mentioned in this section to be done,

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shall, unless he proves that he acted, without intent to defraud, be punishable with imprisonment for a term which shall not be less than six months but which may extend to three years and with fine which shall not be less than fifty thousand rupees but which may extend to two lakh rupees:

Provided that the court may, for adequate and special reasons to be mentioned in the judgment, impose a sentence of imprisonment for a term of less than six months or a fine of less than fifty thousand rupees.

104. Penalty for selling goods or providing services to which false trade mark or false trade description is applied. Any person who sells, lets for hire or exposes for sale, or hires or has in his possession for sale, goods or things, or provides or hires services, to which any false trade mark or false trade description is applied or which, being required under section 139 to have applied to them an indication of the country or place in which they were made or produced or the name and address of the manufacturer, or person for whom the goods are manufactured or services provided, as the case may be, are without the indications so required, shall, unless he proves,—

(*a*) that, having taken all reasonable precautions against committing an offence against this section, he had at the time of commission of the alleged offence no reason to suspect the genuineness of the trade mark or trade description or that any offence had been committed in respect of the goods or services; or

(*b*) that, on demand by or on behalf of the prosecutor, he gave all the information in his power with respect to the person from whom he obtained such goods or things or services; or

(*c*) that otherwise he had acted innocently;

be punishable with imprisonment for a term which shall not be less than six months but which may extend to three years and with fine which shall not be less than fifty thousand rupees but which may extend to two lakh rupees:

Provided that the court may, for adequate and special reasons to be mentioned in the judgment, impose a sentence of imprisonment for a term of less than six months or a fine of less than fifty thousand rupees.

105. Enhanced penalty on second or subsequent conviction. Whoever having already been convicted of an offence under section 103 or section 104 is again convicted of any such offence shall be punishable for the second and for every subsequent offence, with imprisonment for a term which shall not be less than one year but which may extend to three years and with fine which shall not be less than one lakh rupees but which may extend to two lakh rupees:

Provided that the court may, for adequate and special reason to be mentioned in the judgment, impose a sentence of imprisonment for a term of less than one year or a fine of less than one lakh rupees:

Provided further that for the purposes of this section, no cognizance shall be taken of any conviction made before the commencement of this Act.

106. Penalty for removing piece goods, etc., contrary to section 81. If any person removes or attempts to remove or causes or attempts to cause to be removed for sale from any premises referred to in section 81 or sells or exposes for sale or has in his possession for sale or for any purpose of trade or manufacture piece goods or cotton yarn or cotton thread which is not marked as required

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by that section, every such piece and every such bundle of yarn and all such thread and everything used for the packing thereof shall be forfeited to Government and such person shall be punishable with fine which may extend to one thousand rupees.

107. Penalty for falsely representing a trade mark as registered. (1) No person shall make any representation—

(*a*) with respect to a mark, not being a registered trade mark, to the effect that it is a registered trade mark; or

(*b*) with respect to a part of a registered trade mark, not being a part separately registered as a trade mark, to the effect that it is separately registered as a trade mark; or

(*c*) to the effect that a registered trade mark is registered in respect of any goods or services in respect of which it is not in fact registered; or

(*d*) to the effect that registration of a trade mark gives an exclusive right to the use thereof in any circumstances in which, having regard to limitations entered on the register, the registration does not in fact give that right.

(2) If any person contravenes any of the provisions of sub-section (1), he shall be punishable with imprisonment for a term which may extend to three years, or with fine, or with both.

(3) For the purposes of this section, the use in India in relation to a trade mark of the word "registered", or of any other expression, symbol or sign referring whether expressly or impliedly to registration, shall be deemed to import a reference to registration in the register, except—

(*a*) where that word or other expression, symbol or sign is used in direct association with other words delineated in characters at least as large as those in which that word or other expression, symbol or sign is delineated and indicating that the reference is to registration as a trade mark under the law of a country outside India being a country under the law of which the registration referred to is in fact in force; or

(*b*) where that other expression, symbol or sign is of itself such as to indicate that the reference is to such registration as is mentioned in clause (*a*); or

(*c*) where that word is used in relation to a mark registered as trade mark under the law of a country outside India and in relation solely to goods to be exported to that country or in relation to services for use in that country.

108. Penalty for improperly describing a place of business as connected with the Trade Marks Office. If any person uses on his place of business, or on any document issued by him, or otherwise, words which would reasonably lead to the belief that his place of business is, or is officially connected with, the Trade Marks Office, he shall be punishable with imprisonment for a term which may extend to two years, or with fine, or with both.

109. Penalty for falsification of entries in the register. If any person makes, or causes to be made, a false entry in the register, or a writing falsely purporting to be a copy of an entry in the register, or produces or tenders, or causes to be

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produced or tendered, in evidence any such writing, knowing the entry or writing to be false, he shall be punishable with imprisonment for a term which may extend to two years, or with fine, or with both.

110. No offence in certain cases. The provisions of sections 102, 103, 104 and 105 shall, in relation to a registered trade mark or proprietor of such mark, be subject to the rights created or recognised by this Act and no act or omission shall be deemed to be an offence under the aforesaid sections if,—

(*a*) the alleged offence relates to a registered trade mark and the act or omission is permitted under this Act; and

(*b*) the alleged offence relates to a registered or an unregistered trade mark and the act or omission is permitted under any other law for the time being in force.

111. Forfeiture of goods. (1) Where a person is convicted of an offence under section 103 or section 104 or section 105 or is acquitted of an offence under section 103 or section 104 on proof that he acted without intent to defraud, or under section 104 on proof of the matters specified in clause (*a*), clause (*b*) or clause (*c*) of that section, the court convicting or acquitting him may direct the forfeiture to Government of all goods and things by means of, or in relation to, which the offence has been committed, or but for such proof as aforesaid would have been committed.

(2) When a forfeiture is directed on a conviction and an appeal lies against the conviction, an appeal shall lie against the forfeiture also.

(3) When a forfeiture is directed on acquittal and the goods or things to which the direction relates are of value exceeding fifty rupees, an appeal against the forfeiture may be preferred, within thirty days from the date of the direction, to the court to which in appealable cases appeals lie from sentences of the court which directed the forfeiture.

(4) When a forfeiture is directed on a conviction, the court, before whom the person is convicted, may order any forfeited articles to be destroyed or otherwise disposed of as the court thinks fit.

112. Exemption of certain persons employed in ordinary course of business. Where a person accused of an offence under section 103 proves—

(*a*) that in the ordinary course of his business he is employed on behalf of other persons to apply trade marks or trade descriptions, or as the case may be, to make dies, blocks, machines, plates, or other instruments for making, or being used in making, trade marks; and

(*b*) that in the case which is the subject of the charge he was so employed, and was not interested in the goods or other thing by way of profit or commission dependent on the sale of such goods or providing of services, as the case may be; and

(*c*) that, having taken all reasonable precautions against committing the offence charged, he had, at the time of the commission of the alleged offence, no reason to suspect the genuineness of the trade mark or trade description; and

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(*d*) that, on demand made by or on behalf of the prosecutor, he gave all the information in his power with respect to the persons on whose behalf the trade mark or trade description was applied;

he shall be acquitted.

113. Procedure where invalidity of registration is pleaded by the accused. (1) Where the offence charged under section 103 or section 104 or section 105 is in relation to a registered trade mark and the accused pleads that the registration of the trade mark is invalid, the following procedure shall be followed:

(*a*) If the court is satisfied that such defence is *prima facie* tenable, it shall not proceed with the charge but shall adjourn the proceeding for three months from the date on which the plea of the accused is recorded to enable the accused to file an application before the Appellate Board under this Act, for the rectification of the register on the ground that the registration is invalid.

(*b*) If the accused proves to the court that he has made such application within the time so limited or within such further time as the court may for sufficient cause allow, the further proceedings in the prosecution shall stand stayed till the disposal of such application for rectification.

(*c*) If within a period of three months or within such extended time as may be allowed by the court the accused fails to apply to the Appellate Board for rectification of the register, the court shall proceed with the case as if the registration were valid.

(2) Where before the institution of a complaint of an offence referred to in sub-section (1), any application for the rectification of the register concerning the trade mark in question on the ground of invalidity of the registration thereof has already been properly made to and is pending before the tribunal, the court shall stay the further proceedings in the prosecution pending the disposal of the application aforesaid and shall determine the charge against the accused in conformity with the result of the application for rectification in so far as the complainant relies upon the registration of his mark.

114. Offences by companies. (1) If the person committing an offence under this Act is a company, the company as well as every person in charge of, and responsible to, the company for the conduct of its business at the time of the commission of the offence shall be deemed to be guilty of the offence and shall be liable to be proceeded against and punished accordingly:

Provided that nothing contained in this sub-section shall render any such person liable to any punishment if he proves that the offence was committed without his knowledge or that he exercised all due diligence to prevent the commission of such offence.

(2) Notwithstanding anything contained in sub-section (1), where an offence under this Act has been committed by a company and it is proved that the offence has been committed with the consent or connivance of, or that the commission of the offence is attributable to any neglect on the part of, any director, manager, secretary or other officer of the company, such director, manager, secretary or other officer shall also be deemed to be guilty of that offence and shall be liable to be proceeded against and punished accordingly.

Explanation. For the purposes of this section—

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(*a*) "company" means any body corporate and includes a firm or other association of individuals; and

(*b*) "director", in relation to a firm, means a partner in the firm.

115. Cognizance of certain offences and the powers of police officer for search and seizure. (1) No court shall take cognizance of an offence under section 107 or section 108 or section 109 except on complaint in writing made by the Registrar or any officer authorised by him in writing:

Provided that in relation to clause (*c*) of sub-section (1) of section 107, a court shall take cognizance of an offence on the basis of a certificate issued by the Registrar to the effect that a registered trade mark has been represented as registered in respect of any goods or services in respect of which it is not in fact registered.

(2) No court inferior to that of a Metropolitan Magistrate or Judicial Magistrate of the first class shall try an offence under this Act.

(3) The offences under section 103 or section 104 or section 105 shall be cognizable.

(4) Any police officer not below the rank of deputy superintendent of police or equivalent, may, if he is satisfied that any of the offences referred to in sub-section (3) has been, is being, or is likely to be, committed, search and seize without warrant the goods, die, block, machine, plate, other instruments or things involved in committing the offence, wherever found, and all the articles so seized shall, as soon as practicable, be produced before a Judicial Magistrate of the first class or Metropolitan Magistrate, as the case may be:

Provided that the police officer, before making any search and seizure, shall obtain the opinion of the Registrar on facts involved in the offence relating to trade mark and shall abide by the opinion so obtained.

(5) Any person having an interest in any article seized under sub-section (4), may, within fifteen days of such seizure, make an application to the Judicial Magistrate of the first class or Metropolitan Magistrate, as the case may be, for such article being restored to him and the Magistrate, after hearing the applicant and the prosecution, shall make such order on the application as he may deem fit.

116. Evidence of origin of goods imported by sea. In the case of goods brought into India by sea, evidence of the port of shipment shall, in a prosecution for an offence under this Act or under clause (*b*) of section 112 of the Customs Act, 1962 (52 of 1962), relating to confiscation of goods under clause (*d*) of section 111 and notified by the Central Government under clause (*n*) of sub-section (2) of section 11 of the said Act for the protection of trade marks relating to import of goods, be *prima facie* evidence of the place or country in which the goods are made or produced.

117. Costs of defence or prosecution. In any prosecution under this Act, the court may order such costs to be paid by the accused to the complainant, or by the complainant to the accused, as the court deems reasonable having regard to all the circumstances of the case and the conduct of the parties and the costs so awarded shall be recoverable as if they were a fine.

118. Limitation of prosecution. No prosecution for an offence under this Act or under clause (*b*) of section 112 of the Customs Act, 1962 (52 of 1962),

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relating to confiscation of goods under clause (*d*) of section 111 and notified by the Central Government under clause (*n*) of sub-section (2) of section 11 of the said Act for the protection of trade marks, relating to import of goods shall be commenced after expiration of three years next after the commission of the offence charged, or two years after the discovery thereof by the prosecutor, whichever expiration first happens.

119. Information as to commission of offence. An officer of the Government whose duty it is to take part in the enforcement of the provisions of this Chapter shall not be compelled in any court to say whence he got any information as to the commission of any offence against this Act.

120. Punishment of abetment in India of acts done out of India. If any person, being within India, abets the commission, without India, of any act which, if committed in India, would, under this Act, be an offence, he may be tried for such abetment in any place in India in which he may be found, and be punished therefor with the punishment to which he would be liable if he had himself committed in that place the act which he abetted.

121. Instructions by Central Government as to permissible variation to be observed by criminal courts. The Central Government may, by notification in the Official Gazette, issue instructions for the limits of variation, as regards number, quantity, measure, gauge or weight, which are to be recognised by criminal courts as permissible in the case of any goods.

CHAPTER XIII
MISCELLANEOUS

122. Protection of action taken in good faith. No suit or other legal proceedings shall lie against any person in respect of anything which is in good faith done or intended to be done in pursuance of this Act.

123. Certain persons to be public servants. Every person appointed under this Act and every Member of the Appellate Board shall be deemed to be a public servant within the meaning of section 21 of the Indian Penal Code (45 of 1860).

124. Stay of proceedings where the validity of registration of the trade mark is questioned, etc. (1) Where in any suit for infringement of a trade mark—

(*a*) the defendant pleads that registration of the plaintiff's trade mark is invalid; or

(*b*) the defendant raises a defence under clause (*e*) of sub-section (2) of section 30 and the plaintiff pleads the invalidity of registration of the defendant's trade mark,

the court trying the suit (hereinafter referred to as the court), shall,—

(*i*) if any proceedings for rectification of the register in relation to the plaintiff's or defendant's trade mark are pending before the Registrar or the Appellate Board, stay the suit pending the final disposal of such proceedings;

(*ii*) if no such proceedings are pending and the court is satisfied that the plea regarding the invalidity of the registration of the plaintiff's or defendant's trade mark is *prima facie* tenable, raise an issue regarding the same and adjourn the case for a

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period of three months from the date of the framing of the issue in order to enable the party concerned to apply to the Appellate Board for rectification of the register.

(2) If the party concerned proves to the court that he has made any such application as is referred to in clause (*b*) (*ii*) of sub-section (1) within the time specified therein or within such extended time as the court may for sufficient cause allow, the trial of the suit shall stand stayed until the final disposal of the rectification proceedings.

(3) If no such application as aforesaid has been made within the time so specified or within such extended time as the court may allow, the issue as to the validity of the registration of the trade mark concerned shall be deemed to have been abandoned and the court shall proceed with the suit in regard to the other issues in the case.

(4) The final order made in any rectification proceedings referred to in sub-section (1) or sub-section (2) shall be binding upon the parties and the court shall dispose of the suit conformably to such order in so far as it relates to the issue as to the validity of the registration of the trade mark.

(5) The stay of a suit for the infringement of a trade mark under this section shall not preclude the court from making any interlocutory order (including any order granting an injunction, directing account to be kept, appointing a receiver or attaching any property), during the period of the stay of the suit.

125. Application for rectification of register to be made to Appellate Board in certain cases. (1) Where in a suit for infringement of a registered trade mark the validity of the registration of the plaintiff's trade mark is questioned by the defendant or where in any such suit the defendant raises a defence under clause (*e*) of sub-section (2) of section 30 and the plaintiff questions the validity of the registration of the defendant's trade mark, the issue as the validity of the registration of the trade mark concerned shall be determined only on an application for the rectification of the register and, notwithstanding anything contained in section 47 or section 57, such application shall be made to the Appellate Board and not to the Registrar.

(2) Subject to the provisions of sub-section (1), where an application for rectification of the register is made to the Registrar under section 47 or section 57, the Registrar may, if he thinks fit, refer the application at any stage of the proceedings to the Appellate Board.

126. Implied warranty on sale of marked goods. Where a mark or a trade mark or trade description has been applied to the goods on sale or in the contract for sale of any goods or in relation to any service, the seller shall be deemed to warrant that the mark is a genuine mark and not falsely applied, or that the trade description is not a false trade description within the meaning of this Act unless the contrary is expressed in writing signed by or on behalf of the seller and delivered at the time of the sale of goods or providing of services on contract to and accepted by the buyer.

127. Powers of Registrar. In all proceedings under this Act before the Registrar,—

(*a*) The Registrar shall have all the powers of a civil court for the purposes of receiving evidence, administering oaths, enforcing the attendance of witnesses, compelling the discovery and

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production of documents and issuing commissions for the examination of witnesses;

(*b*) the Registrar may, subject to any rules made in this behalf under section 157, make such orders as to costs as he considers reasonable, and any such order shall be executable as a decree of a civil court:

Provided that the Registrar shall have no power to award costs to or against any party on an appeal to him against a refusal of the proprietor of a certification trade mark to certify goods or provision of service or to authorise the use of the mark;

(*c*) the Registrar may, on an application made in the prescribed manner, review his own decision.

128. **Exercise of discretionary power by Registrar.** Subject to the provisions of section 131, the Registrar shall not exercise any discretionary or other power vested in him by this Act or the rules made thereunder adversely to a person applying for the exercise of that power without (if so required by that person within the prescribed time) giving to the person an opportunity of being heard.

129. **Evidence before Registrar.** In any proceeding under this Act before the Registrar, evidence shall be given by affidavit:

Provided that the Registrar may, if he thinks fit, take oral evidence in lieu of, or in addition to, such evidence by affidavit.

130. **Death of party to a proceeding.** If a person who is a party to a proceeding under this Act (not being a proceeding before the Appellate Board or a court), dies pending the proceeding, the Registrar may, on request, and on proof to his satisfaction of the transmission of the interest of the deceased person, substitute in the proceeding his successor in interest in his place, or, if the Registrar is of opinion that the interest of the deceased person is sufficiently represented by the surviving parties, permit the proceeding to continue without the substitution of his successor in interest.

131. **Extension of time.** (1) If the Registrar is satisfied, on application made to him in the prescribed manner and accompanied by the prescribed fee, that there is sufficient cause for extending the time for doing any act (not being a time expressly provided in this Act), whether the time so specified has expired or not, he may, subject to such conditions as he may think fit to impose, extend the time and inform the parties accordingly.

(2) Nothing in sub-section (1) shall be deemed to require the Registrar to hear the parties before disposing of an application for extension of time, and no appeal shall lie from any order of the Registrar under this section.

132. **Abandonment.** Where, in the opinion of the Registrar, an applicant is in default in the prosecution of an application filed under this Act or any Act relating to trade marks in force prior to the commencement of this Act, the Registrar may, by notice require the applicant to remedy the default within a time specified and after giving him, if so, desired, an opportunity of being heard, treat the application as abandoned, unless the default is remedied within the time specified in the notice.

133. **Preliminary advice by the Registrar as to distinctiveness.** (1) The Registrar may, on application made to him in the prescribed manner by any

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person who proposes to apply for the registration of a trade mark, give advice as to whether the trade mark appears to him *prima facie* to be distinctive.

(2) If, on an application for the registration of a trade mark as to which the Registrar has given advice as aforesaid in the affirmative made within three months after the advice was given, the Registrar, after further investigation or consideration, gives notice, to the applicant of objection on the ground that the trade mark is not distinctive, the applicant shall be entitled, on giving notice of withdrawal of the application within the prescribed period, to have repaid to him any fee paid on the filing of the application.

134. Suit for infringement, etc. to be instituted before District Court. (1) No suit—

(*a*) for the infringement of a registered trade mark; or

(*b*) relating to any right in a registered trade mark; or

(*c*) for passing off arising out of the use by the defendant of any trade mark which is identical with or deceptively similar to the plaintiff's trade mark, whether registered or unregistered;

shall be instituted in any court inferior to a District Court having jurisdiction to try the suit.

(2) For the purpose of clauses (*a*) and (*b*) of sub-section (1), a "District Court having jurisdiction" shall, notwithstanding anything contained in the Code of Civil Procedure, 1908 (5 of 1908) or any other law for the time being in force, include a District Court within the local limits of whose jurisdiction, at the time of the institution of the suit or other proceeding, the person instituting the suit or proceeding, or, where there are more than one such persons any of them, actually and voluntarily resides or carries on business or personally works for gain.

Explanation. For the purposes of sub-section (2), "person" includes the registered proprietor and the registered user.

135. Relief in suits for infringement or for passing off. (1) The relief which a court may grant in any suit for infringement or for passing off referred to in section 134 includes injunction (subject to such terms, if any, as the court thinks fit) and at the option of the plaintiff, either damages or an account of profits, together with or without any order for the delivery-up of the infringing labels and marks for destruction or erasure.

(2) The order of injunction under sub-section (1) may include an *ex parte* injunction or any interlocutory order for any of the following matters, namely:

(*a*) for discovery of documents;

(*b*) preserving of infringing goods, documents or other evidence which are related to the subject-matter of the suit;

(*c*) restraining the defendant from disposing of or dealing with his assets in a manner which may adversely affect plaintiff's ability to recover damages, costs or other pecuniary remedies which may be finally awarded to the plaintiff.

(3) Notwithstanding anything contained in sub-section (1), the court shall not grant relief by way of damages (other than nominal damages) or on account of profits in any case—

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(a) where in a suit for infringement of a trade mark, the infringement complained of is in relation to a certification trade mark or collective mark; or

(b) where in a suit for infringement the defendant satisfies the court—

(i) that at the time he commenced to use the trade mark complained of in the suit, he was unaware and had no reasonable ground for believing that the trade mark of the plaintiff was on the register or that the plaintiff was a registered user using by way of permitted use; and

(ii) that when he became aware of the existence and nature of the plaintiff's right in the trade mark, he forthwith ceased to use the trade mark in relation to goods or services in respect of which it was registered; or

(c) where in a suit for passing off, the defendant satisfies the court—

(i) that at the time he commenced to use the trade mark complained of in the suit he was unaware and had no reasonable ground for believing that the trade mark of the plaintiff was in use; and

(ii) that when he became aware of the existence and nature of the plaintiff's trade mark he forthwith ceased to use the trade mark complained of.

136. Registered user to be impleaded in certain proceedings. (1) In every proceeding under Chapter VII or under section 91, every registered user of a trade mark using by way of permitted use, who is not himself an applicant in respect of any proceeding under that Chapter or section, shall be made a party to the proceeding.

(2) Notwithstanding anything contained in any other law, a registered user so made a party to the proceeding shall not be liable for any costs unless he enters an appearance and takes part in the proceeding.

137. Evidence of entries in register, etc., and things done by the Registrar. (1) A copy of any entry in the register or of any document referred to in sub-section (1) of section 148 purporting to be certified by the Registrar and sealed with the seal of the Trade Marks Registry shall be admitted in evidence in all courts and in all proceedings without further proof or production of the original.

(2) A certificate purporting to be under the hand of the Registrar as to any entry, matter or thing that he is authorised by this Act or the rules to make or do shall be *prima facie* evidence of the entry having been made, and of the contents thereof, or of the matter or things having been done or not done.

138. Registrar and other officers not compellable to produce register, etc. The Registrar or any officer of the Trade Marks Registry shall not, in any legal proceedings to which he is not a party, be compellable to produce the register or any other document in his custody, the contents of which can be proved by the production of a certified copy issued under this Act or to appear as a witness to prove the matters therein recorded unless by order of the court made for special cause.

139. Power to require goods to show indication of origin. (1) The Central Government may, by notification in the Official Gazette, require that goods

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of any class specified in the notification which are made or produced beyond the limits of India and imported into India, or, which are made or produced within the limits of India, shall, from such date as may be appointed by the notification not being less than three months from its issue, have applied to them an indication of the country or place in which they were made or produced, or of the name and address of the manufacturer or the person for whom the goods were manufactured.

(2) The notification may specify the manner in which such indication shall be applied that is to say, whether to goods themselves or in any other manner, and the times or occasions on which the presence of the indication shall be necessary, that is to say, whether on importation only, or also at the time of sale, whether by wholesale or retail or both.

(3) No notification under this section shall be issued, unless application is made for its issue by persons or associations substantially representing the interests of dealers in, or manufacturers, producers, or users of, the goods concerned, or unless the Central Government is otherwise convinced that it is necessary in the public interest to issue the notification, with or without such inquiry, as the Central Government may consider necessary.

(4) The provisions of section 23 of the General Clauses Act, 1897 (10 of 1897) shall apply to the issue of a notification under this section as they apply to the making of a rule or bye-law the making of which is subject to the condition of previous publication.

(5) A notification under this section shall not apply to goods made or produced beyond the limits of India and imported into India, if in respect of those goods, the Commissioner of Customs is satisfied at the time of importation that they are intended for exportation whether after transhipment in or transit through India or otherwise.

140. Power to require information of imported goods bearing false trade marks. (1) The proprietor or a licensee of a registered trade mark may give notice in writing to the Collector of Customs to prohibit the importation of any goods if the import of the said goods constitute infringement under clause (c) of sub-section (6) of section 29.

(2) Where goods, which are prohibited to be imported into India by notification of the Central Government under clause (*n*) of sub-section (2) of section 11 of the Customs Act, 1962 (52 of 1962), for the protection of trade marks, and are liable to confiscation on importation under that Act, are imported into India, the Commissioner of Customs if, upon representation made to him, he has reason to believe that the trade mark complained of is used as a false trade mark, may require the importer of the goods, or his agent, to produce any documents in his possession relating to the goods and to furnish information as to the name and address of the person by whom the goods were consigned to India and the name and address of the person to whom the goods were sent in India.

(3) The importer or his agent shall, within fourteen days, comply with the requirement as aforesaid, and if he fails to do so, he shall be punishable with fine which may extend to five hundred rupees.

(4) Any information obtained from the importer of the goods or his agent under this section may be communicated by the Commissioner of Customs to

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the registered proprietor or registered user of the trade mark which is alleged to have been used as a false trade mark.

141. Certificate of validity. If in any legal proceeding for rectification of the register before the Appellate Board a decision is on contest given in favour of the registered proprietor of the trade mark on the issue as to the validity of the registration of the trade mark, the Appellate Board may grant a certificate to that effect, and if such a certificate is granted, then, in any subsequent legal proceeding in which the said validity comes into question the said proprietor on obtaining a final order or judgment in his favour affirming the validity of the registration of the trade mark shall, unless the said final order or judgment for sufficient reason directs otherwise, be entitled to his full cost charges and expenses as between legal practitioner and client.

142. Groundless threats of legal proceedings. (1) Where a person, by means of circulars, advertisements or otherwise, threatens a person with an action or proceeding for infringement of a trade mark which is registered, or alleged by the first-mentioned person to be registered, or with some other like proceeding, a person aggrieved may, whether the person making the threats is or is not the registered proprietor or the registered user of the trade mark, bring a suit against the first-mentioned person and may obtain a declaration to the effect that the threats are unjustifiable, and an injunction against the continuance of the threats and may recover such damages (if any) as he has sustained, unless the first-mentioned person satisfies the court that the trade mark is registered and that the acts in respect of which the proceedings were threatened, constitute, or, if done, would constitute, an infringement of the trade mark.

(2) The last preceding sub-section does not apply if the registered proprietor of the trade mark, or a registered user acting in pursuance of sub-section (1) of section 52, with due diligence commences and prosecutes an action against the person threatened for infringement of the trade mark.

(3) Nothing in this section shall render a legal practitioner or a registered trade marks agent liable to an action under this section in respect of an act done by him in his professional capacity on behalf of a client.

(4) A suit under sub-section (1) shall not be instituted in any court inferior to a District Court.

143. Address for service. An address for service stated in an application or notice of opposition shall for the purposes of the application or notice of opposition be deemed to be the address of the applicant or opponent, as the case may be, and all documents in relation to the application or notice of opposition may be served by leaving them at or sending them by post to the address for service of the applicant or opponent, as the case may be.

144. Trade usages, etc., to be taken into consideration. In any proceeding relating to a trade mark, the tribunal shall admit evidence of the usages of the trade concerned and of any relevant trade mark or trade name or get up legitimately used by other persons.

145. Agents. Where, by or under this Act, any act, other than the making of an affidavit, is required to be done before the Registrar by any person, the act may, subject to the rules made in this behalf, be done instead of by that person himself, by a person duly authorised in the prescribed manner, who is—

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(*a*) a legal practitioner, or

(*b*) a person registered in the prescribed manner as a trade marks agent, or

(*c*) a person in the sole and regular employment of the principal.

146. Marks registered by an agent or representative without authority. If an agent or a representative of the proprietor of a registered trade mark, without authority uses or attempts to register or registers the mark in his own name, the proprietor shall be entitled to oppose the registration applied for or secure its cancellation or rectification of the register so as to bring him as the registered proprietor of the said mark by assignment in his favour:

Provided that such action shall be taken within three years of the registered proprietor of the trade mark becoming aware of the conduct of the agent or representative.

147. Indexes. There shall be kept under the direction and supervision of the Registrar—

(*a*) an index of registered trade marks;

(*b*) an index of trade marks in respect of which applications for registration are pending;

(*c*) an index of the names of the proprietors of registered trade marks; and

(*d*) an index of the names of registered users.

148. Documents open to public inspection. (1) Save as otherwise provided in sub-section (4) of section 49,—

(*a*) the register and any document upon which any entry in the register is based;

(*b*) every notice of opposition to the registration of a trade mark application for rectification before the Registrar, counter-statement thereto, and any affidavit or document filed by the parties in any proceedings before the Registrar;

(*c*) all regulations deposited under section 63 or section 74, and all applications under section 66 or section 77 for varying such regulations;

(*d*) the indexes mentioned in section 147; and

(*e*) such other documents as the Central Government may, by notification in the Official Gazette, specify,

shall, subject to such conditions as may be prescribed, be open to public inspection at the Trade Marks Registry:

Provided that when such register is maintained wholly or partly on computer, the inspection of such register under this section shall be made by inspecting the computer print-out of the relevant entry in the register so maintained on computer.

(2) Any person may, on an application to the Registrar and on payment of such fees as may be prescribed, obtain a certified copy of any entry in the register or any document referred to in sub-section (1).

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149. Reports of Registrar to be placed before Parliament. The Central Government shall cause to be placed before both Houses of Parliament once a year a report respecting the execution by or under the Registrar of this Act.

150. Fees and surcharge. (1) There shall be paid in respect of applications, international applications and registration and other matters under this Act such fees and surcharge as may be prescribed by the Central Government.

(2) Where a fee is payable in respect of the doing of an act by the Registrar, the Registrar shall not do that act until the fee has been paid.

(3) Where a fee is payable in respect of the filing of a document at the Trade Marks Registry, the document shall be deemed not to have been filed at the registry until the fee has been paid.

151. Savings in respect of certain matters in Chapter XII. Nothing in Chapter XII shall—

(*a*) exempt any person from any suit or other proceeding which might, but for anything in that Chapter, be brought against him; or

(*b*) entitle any person to refuse to make a complete discovery, or to answer any question or interrogatory in any suit or other proceeding, but such discovery or answer shall not be admissible in evidence against such person in any such prosecution for an offence under that Chapter or against clause (*h*) of section 112 of the Customs Act, 1962 (52 of 1962) relating to confiscation of goods under clause (*d*) of section 111 of that Act and notified by the Central Government under clause (*n*) of sub-section (2) of section 11 thereof for the protection of trade marks relating to import of goods; or

(*c*) be construed so as to render liable to any prosecution or punishment any servant of a master resident in India who in good faith acts in obedience to the instructions of such master, and, on demand made by or on behalf of the prosecutor, has given full information as to his master and as to the instructions which he has received from his master.

152. Declaration as to ownership of trade mark not registrable under the Registration Act, 1908. Notwithstanding anything contained in the Registration Act, 1908 (16 of 1908), no document declaring or purporting to declare the ownership or title of a person to a trade mark other than a registered trade mark shall be registered under that Act.

153. Government to be bound. The provisions of this Act shall be binding on the Government.

154. Special provisions relating to applications for registration from citizens of convention countries. (1) With a view to the fulfilment of a treaty, convention or arrangement with any country or country which is a member of a group of countries or union of countries or Inter-Governmental Organisation outside India which affords to citizens of India similar privileges as granted to its own citizens, the Central Government may, by notification in the Official Gazette, declare such country or group of countries or union of countries or Inter-Governmental Organisation to be a convention country or group of

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countries or union of countries or Inter-Governmental Organisations, as the case may be, for the purposes of this Act.

(2) Where a person has made an application for the registration of a trade mark in a convention country or country which is a member of a group of countries or union of countries or Inter-Governmental Organisation and that person, or his legal representative or assignee, makes an application for the registration of the trade mark in India within six months after the date on which the application was made in the convention country or country which is a member of a group of countries or union of countries or Inter-Governmental Organisations, the trade mark shall, if registered under this Act, be registered as of the date on which the application was made in the convention country or country which is a member of a group of countries or union of countries or Inter-Governmental Organisation and that date shall be deemed for the purposes of this Act to be the date of registration.

(3) Where applications have been made for the registration of a trade mark in two or more convention countries or country which are members of group of countries or union of countries or Inter-Governmental Organisation, the period of six months referred to in the last preceding sub-section shall be reckoned from the date on which the earlier or earliest of those applications was made.

(4) Nothing in this Act shall entitle the proprietor of a trade mark to recover damages for infringement which took place prior to the date of application for registration under this Act.

155. Provision as to reciprocity. Where any country or country which is a member of a group of countries or union of countries or Inter-Governmental Organisation specified by the Central Government in this behalf by notification in the Official Gazette does not accord to citizens of India the same rights in respect of the registration and protection of trade marks as it accords to its own nationals, no national of such country or country which is a member of a group of countries or union of countries or Inter-Governmental Organisation, as the case may be, shall be entitled, either solely or jointly with any other person,—

(*a*) to apply for the registration of, or be registered as the proprietor of, a trade mark;

(*b*) to be registered as the assignee of the proprietor of a registered trade mark; or

(*c*) to apply for registration or be registered as a registered user of a trade mark under section 49.

156. Power of Central Government to remove difficulties. (1) If any difficulty arises in giving effect to the provisions of this Act, the Central Government may, by order published in the Official Gazette, make such provisions not inconsistent with the provisions of this Act as may appear to be necessary for removing the difficulty:

Provided that no order shall be made under this section after the expiry of five years from the commencement of this Act.

(2) Every order made under this section shall, as soon as may be after it is made, be laid before each House of Parliament.

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157. **Power to make rules.** (1) The Central Government may, by notification in the Official Gazette and subject to the conditions of previous publication, make rules to carry out the provisions of this Act.

(2) In particular, and without prejudice to the generality of the foregoing power, such rules may provide for all or any of the following matters, namely:

(*i*) the matters to be included in the Register of Trade Marks under sub-section (1) of section 6, and the safeguards to be observed in the maintenance of records on computer floppies or diskettes or in any other electronic form under sub-section (2) of that section;

(*ii*) the manner of publication of alphabetical index of classification of goods and services under sub-section (1) of section 8;

(*iii*) the manner in which the Registrar may notify a word as an international non-proprietary name under section 13;

(*iv*) the manner of making an application for dissolution of an association under sub-section (5) of section 16;

(*v*) the manner of making an application for registration of a trade mark under sub-section (1) of section 18;

(*vi*) the manner of advertising of an application for registration under sub-section (1), and the manner of notifying corrections or amendments under sub-section (2) of section 20;

(*vii*) the manner of giving a notice of opposition and the fee payable for such notice under sub-section (1) and sending counter-statement under sub-section (2) and submission of evidence and the time therefor under sub-section (4) of section 21;

(*viii*) the form of certificate of registration under sub-section (2), and the manner of giving notice to the applicant under sub-section (3) of section 23;

(*ix*) the forms of application for renewal and restoration the time within which such application is to be made and fee and surcharge if any payable with each application, under section 25 and the time within which the Registrar shall send a notice and the manner of such notice under sub-section (3) of that section;

(*ixa*) the time within which the international application is to be forwarded to the International Bureau and the manner of certifying the particulars by the Registrar under sub-section (4) of section 36D;

(*ixb*) the manner of keeping a record of particulars of an international registration under sub-section (1) of section 36E.

(*ixc*) the manner of informing the International Bureau under sub-section (2) of section 36E;

(*ixd*) the manner of advertising the international registration and the time within which the international registration shall be advertised under sub-section (3) of section 36E;

(*x*) the manner of submitting statement of cases under sub-section (2) of section 40;

(*xi*) the manner of making an application by the proprietor of a trade mark under section 41;

(*xii*) the manner of making an application for assignment or transmission of a certification trade mark under section 43;

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(*xiii*) the manner of making an application to the Registrar to register title under sub-section (1) of section 45;

(*xiiia*) the period within which the Registrar shall dispose of an application under sub-section (3) of section 45;

(*xiv*) the manner in which and the period within which an application is to be made under sub-section (4) of section 46;

(*xv*) the manner of marking an application under sub-section (2) of section 47;

(*xvi*) the manner of making an application, documents and other evidence to accompany such application under sub-section (1) and the manner in which notice is to be issued under sub-section (3) of section 49;

(*xvii*) the manner of making an application under sub-section (1), the manner of issuing a notice under sub-section (2) and the procedure for cancelling a registration under sub-section (3) of section 50;

(*xviii*) the manner of making applications under sub-sections (1) and (2), the manner of giving notice under sub-section (4) and the manner of service of notice of rectification under sub-section (5) of section 57;

(*xix*) the manner of making an application under section 58;

(*xx*) the manner of making an application under sub-section (1), the manner of advertising an application, time and manner of notice by which application may be opposed under sub-sections (2) and (3) of section 59;

(*xxi*) the manner of advertisement under sub-section (2) of section 60;

(*xxii*) the other matters to be specified in the regulations under sub-section (2) of section 63;

(*xxiii*) the manner of making an application under sub-section (1) of section 71;

(*xxiv*) the manner of advertising an application under section 73;

(*xxv*) the manner of making an application under section 77;

(*xxvi*) *omitted*;

(*xxvii*) *omitted*;

(*xxviii*) *omitted*;

(*xxix*) the salaries and allowances payable to, and the other terms and conditions of service of, the Chairman, Vice-Chairman and other Members under sub-section (1) of section 88;

(*xxx*) the procedure for investigation of misbehaviour or incapacity of the Chairman, Vice-Chairman and other Members under sub-section (3) of section 89;

(*xxxi*) the salaries and allowances and other conditions of service of the officers and other employees of the Appellate Board under sub-section (2), and the manner in which the officers and other employees of the Appellate Board shall discharge their functions under sub-section (3) of section 90;

(*xxxii*) the form of making an appeal, the manner of verification and the fee payable under sub-section (3) of section 91;

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(xxxiii) the form in which and the particulars to be included in the application to the Appellate Board under sub-section (1) of section 97;

(xxxiv) the manner of making an application for review under clause (c) of section 127;

(xxxv) the time within which an application is to be made to the Registrar for exercising his discretionary power under section 128;

(xxxvi) the manner of making an application and the fee payable therefor under sub-section (1) of section 131;

(xxxvii) the manner of making an application under sub-section (1) and the period for withdrawal of such application under sub-section (2) of section 133;

(xxxviii) the manner of authorising any person to act and the manner of registration as a trade mark agent under section 145;

(xxxix) the conditions for inspection of documents under sub-section (1) and the fee payable for obtaining a certified copy of any entry in the register under sub-section (2) of section 148;

(xl) the fees and surcharge payable for making applications and registration and other matters under section 150;

(xli) any other matter which is required to be or may be prescribed.

(3) The power to make rules conferred by this section shall include the power to give retrospective effect in respect of the matters referred to in clauses (xxix) and (xxxi) of sub-section (2) from a date not earlier than the date of commencement of this Act, but no retrospective effect shall be given to any such rule so as to prejudicially affect the interests of any person to whom sub-rule may be applicable.

(4) Every rule made by the Central Government under this Act shall be laid, as soon as may be after it is made, before each House of Parliament, while it is in session for a total period of thirty days which may be comprised in one session or in two or more successive sessions, and if, before the expiry of the session immediately following the session or the successive sessions aforesaid, both Houses agree in making any modification in the rule or both Houses agree that the rule should not be made, the rule shall thereafter have effect only in such modified form or be of no effect, as the case may be; so, however, that any such modification or annulment shall be without prejudice to the validity of anything previously done under that rule.

158. Amendments. The enactment specified in the Schedule shall be amended in the manner specified therein.

159. Repeal and savings. (1) The Trade and Merchandise Marks Act, 1958 (43 of 1958) is hereby repealed.

(2) Without prejudice to the provisions contained in the General Clauses Act, 1897 (10 of 1897), with respect to repeals, any notification, rule, order, requirement, registration, certificate, notice, decision, determination, direction, approval, authorisation, consent, application, request or thing made, issued, given or done under the Trade and Merchandise Marks Act, 1958 (43 of 1958), shall, if in force at the commencement of this Act, continue to be in force and have effect as if made, issued, given or done under the corresponding provisions of this Act.

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(3) The provisions of this Act shall apply to any application for registration of a trade mark pending at the commencement of this Act and to any proceedings consequent thereon and to any registration granted in pursuance thereof.

(4) Subject to the provisions of section 100 and notwithstanding anything contained in any other provision of this Act, any legal proceeding pending in any court at the commencement of this Act may be continued in that court as if this Act had not been passed.

(5) Notwithstanding anything contained in this Act, where a particular use of a registered trade mark is not an infringement of a trade mark registered before the commencement of this Act, then, the continued use of that mark shall not be an infringement under this Act.

(6) Notwithstanding anything contained in sub-section (2), the date of expiration of registration of a trade mark registered before the commencement of this Act shall be the date immediately after the period of seven years for which it was registered or renewed:

Provided that the registration of a defensive trade mark referred to in section 47 of the Trade and Merchandise Marks Act, 1958 (43 of 1958) shall cease to have effect on the date immediately after the expiry of five years of such commencement or after the expiry of the period for which it was registered or renewed, whichever is earlier.

THE SCHEDULE

(*See* section 158)

AMENDMENTS

Year	Act No.	Short title	Amendment
1956	1	The Companies Act, 1956	(I) In section 20, for sub-section (2), the following sub-sections shall be substituted, namely: "(2) Without prejudice to the generality of the foregoing power, a name which is identical with, or too nearly resembles,— (*i*) the name by which a company in existence has been previously registered, or (*ii*) a registered trade mark, or a trade mark which is subject of an application for registration, of any other person under the Trade Marks Act, 1999, may be deemed to be undesirable by the Central Government within the meaning of sub-section (1). (3) The Central Government may, before deeming a name as

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THE SCHEDULE — *continued*

Year	Act No.	Short title	Amendment
			undesirable under clause (*ii*) of sub-section (2), consult the Registrar of Trade Marks." (II) In section 22, in sub-section (1),— (*i*) for the portion beginning with "if, through" and ending with "the first-mentioned company—" the following shall be substituted, namely: "If, through inadvertence or otherwise, a company on its first registration or on its registration by a new name, is registered by a name which,— (*i*) in the opinion of the Central Government, is identical with, or too nearly resembles, the name by which a company in existence has been previously registered, whether under this Act or any previous companies law, the first-mentioned company, or (*ii*) on an application by a registered proprietor of a trade mark, is in the opinion of the Central Government identical with, or too nearly resembles, a registered trade mark of such proprietor under the Trade Marks Act, 1999, such company,—"; (*ii*) the following proviso shall be added, namely: "Provided that no application under clause (*ii*) made by a registered proprietor of a trade mark after five years of coming to notice of registration of the company shall be considered by the Central Government."

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APPENDIX

4

The Copyright Act, 1957

[14 OF 1957]

As amended by subsequent amendment Acts including the Copyright (Amendment) Act, 2012

An Act to amend and consolidate the law relating to copyright.

BE IT enacted by Parliament in the Eighth Year of the Republic of India as follows:

CHAPTER I

PRELIMINARY

1. Short title, extent and commencement. (1) This Act may be called the Copyright Act, 1957.

(2) It extends to the whole of India.

(3) It shall come into force on such date as the Central Government may, by notification in the Official Gazette, appoint.

2. Interpretation. In this Act, unless the context otherwise requires,—

(a) "adaptation" means—

(*i*) in relation to a dramatic work, the conversion of the work into a non-dramatic work;

(*ii*) in relation to a literary work or an artistic work, the conversion of the work into a dramatic work by way of performance in public or otherwise;

(*iii*) in relation to a literary or dramatic work, any abridgement of the work or any version of the work in which the story or action is conveyed wholly or mainly by means of pictures in a form suitable for reproduction in a book, or in a newspaper, magazine or similar periodical;

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(*iv*) in relation to a musical work, any arrangement or transcription of the work; and

(*v*) in relation to any work, any use of such work involving its rearrangement or alteration;

(*b*) "work of architecture" means any building or structure having an artistic character or design, or any model for such building or structure;

(*c*) "artistic work" means—

(*i*) a painting, a sculpture, a drawing (including a diagram, map, chart or plan), an engraving or a photograph, whether or not any such work possesses artistic quality;

(*ii*) a work of architecture; and

(*iii*) any other work of artistic craftsmanship;

(*d*) "author" means—

(*i*) in relation to a literary or dramatic work, the author of the work;

(*ii*) in relation to a musical work, the composer;

(*iii*) in relation to an artistic work other than a photograph, the artist;

(*iv*) in relation to a photograph, the person taking the photograph;

(*v*) in relation to a cinematograph film or sound recording, the producer; and

(*vi*) in relation to any literary, dramatic, musical or artistic work which is computer-generated, the person who causes the work to be created;

(*dd*) "broadcast" means communication to the public,—

(*i*) by any means of wireless diffusion, whether in any one or more of the forms of signs, sounds or visual images; or

(*ii*) by wire,

and includes a re-broadcast;

(*e*) "calendar year" means the year commencing on the 1st day of January;

(*f*) "cinematograph film" means any work of visual recording and includes a sound recording accompanying such visual recording and "cinematograph" shall be construed as including any work produced by any process analogous to cinematography including video films;

(*fa*) "commercial rental" does not include the rental, lease or lending of a lawfully acquired copy of a computer programme, sound recording, visual recording or cinematograph film for non-profit purposes by a non-profit library or non-profit educational institution;

Explanation. For the purposes of this clause, a "non-profit library or non-profit educational institution" means a library or educational institution which receives grants from the Government or exempted from payment of tax under the Income-tax Act, 1961 (43 of 1961).

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(*ff*) "communication to the public" means making any work or performance available for being seen or heard or otherwise enjoyed by the public directly or by any means of display or diffusion other than by issuing physical copies of it, whether simultaneously or at places and times chosen individually, regardless of whether any member of the public actually sees, hears or otherwise enjoys the work or performance so made available.

Explanation. For the purposes of this clause, communication through satellite or cable or any other means of simultaneous communication to more than one household or place of residence including residential rooms of any hotel or hostel shall be deemed to be communication to the public;

(*ffa*) "composer", in relation to a musical work, means the person who composes the music regardless of whether he records it in any form of graphical notation;

(*ffb*) "computer" includes any electronic or similar device having information processing capabilities;

(*ffc*) "computer programme" means a set of instructions expressed in words, codes, schemes or in any other form, including a machine readable medium, capable of causing a computer to perform a particular task or achieve a particular result;

(*ffd*) "copyright society" means a society registered under sub-section (3) of section 33;

(*g*) "delivery" in relation to a lecture, includes delivery by means of any mechanical instrument or by broadcast;

(*h*) "dramatic work" includes any piece for recitation, choreographic work or entertainment in dumb show, the scenic arrangement or acting form of which is fixed in writing or otherwise but does not include a cinematograph film;

(*hh*) "duplicating equipment" means any mechanical contrivance or device used or intended to be used for making copies of any work;

(*i*) "engravings" include etchings, lithographs, wood-cuts, prints and other similar works, not being photographs;

(*j*) "exclusive licence" means a licence which confers on the licensee or on the licensee and persons authorised by him, to the exclusion of all other persons (including the owner of the copyright), any right comprised in the copyright in a work, and "exclusive licensee" shall be construed accordingly;

(*k*) "Government work" means a work which is made or published by or under the direction or control of—

(*i*) the Government or any department of the Government;

(*ii*) any Legislature in India;

(*iii*) any court, tribunal or other judicial authority in India;

(*l*) "Indian work" means a literary, dramatic or musical work,—

(*i*) the author of which is a citizen of India; or

(*ii*) which is first published in India; or

(*iii*) the author of which, in the case of an unpublished work is, at the time of the making of the work, a citizen of India;

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(*m*) "infringing copy" means—

(*i*) in relation to a literary, dramatic, musical or artistic work, a reproduction thereof otherwise than in the form of a cinematograph film;

(*ii*) in relation to a cinematographic film, a copy of the film made on any medium by any means;

(*iii*) in relation to a sound recording, any other recording embodying the same sound recording, made by any means;

(*iv*) in relation to a programme or performance in which such a broadcast reproduction right or a performer's right subsists under the provisions of this Act, the sound recording or a cinematographic film of such programme or performance,

if such reproduction, copy or sound recording is made or imported in contravention of the provisions of this Act;

(*n*) "lecture" includes address, speech and sermon;

(*o*) "literary work" includes computer programmes, tables and compilations including computer databases;

(*p*) "musical work" means a work consisting of music and includes any graphical notation of such work but does not include any words or any action intended to be sung, spoken or performed with the music;

(*q*) "performance", in relation to performer's right, means any visual or acoustic presentation made live by one or more performers;

(*qq*) "performer" includes an actor, singer, musician, dancer, acrobat, juggler, conjurer, snake charmer, a person delivering a lecture or any other person who makes a performance:

Provided that in a cinematograph film a person whose performance is casual or incidental in nature and, in the normal course of the practice of the industry, is not acknowledged anywhere including in the credits of the film shall not be treated as a performer except for the purpose of clause (*b*) of section 38B;

(*r*) *Omitted.*

(*s*) "photograph" includes photolithograph and any work produced by any process analogous to photography but does not include any part of a cinematograph film;

(*t*) "plate" includes any stereotype or other plate, stone, block, mould, matrix, transfer, negative, duplicating equipment or other device used or intended to be used for printing or reproducing copies of any work, and any matrix or other appliance by which sound recording for the acoustic presentation of the work are or are intended to be made;

(*u*) "prescribed" means prescribed by rules made under this Act;

(*uu*) "producer", in relation to a cinematograph film or sound recording, means a person who takes the initiative and responsibility for making the work;

(*v*) *Omitted.*

(*w*) *Omitted.*

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(*x*) "reprography" means the making of copies of a work, by photocopying or similar means;

(*xa*) "Rights Management Information" means,—

(a) the title or other information identifying the work or performance;

(*b*) the name of the author or performer;

(*c*) the name and address of the owner of rights;

(*d*) terms and conditions regarding the use of the rights; and

(*e*) any number or code that represents the information referred to in sub-clauses (*a*) to (*d*),

but does not include any device or procedure intended to identify the user;

(*xx*) "sound recording" means a recording of sounds from which such sounds may be produced regardless of the medium on which such recording is made or the method by which the sounds are produced.

(*xxa*) "visual recording" means the recording in any medium, by any method including the storing of it by any electronic means, of moving images or of the representations thereof, from which they can be perceived, reproduced or communicated by any method;

(*y*) "work" means any of the following works, namely:—

(*i*) a literary, dramatic, musical or artistic work;

(*ii*) a cinematograph film;

(*iii*) a sound recording;

(*z*) "work of joint authorship" means a work produced by the collaboration of two or more authors in which the contribution of one author is not distinct from the contribution of the other author or authors;

(*za*) "work of sculpture" includes casts and models.

3. Meaning of publication. For the purposes of this Act, "publication" means making a work available to the public by issue of copies or by communicating the work to the public.

4. When work not deemed to be published or performed in public. Except in relation to infringement of copyright, a work shall not be deemed to be published or performed in public, if published or performed in public without the licence of the owner of the copyright.

5. When work deemed to be first published in India. For the purposes of this Act, a work published in India shall be deemed to be first published in India, notwithstanding that it has been published simultaneously in some other country, unless such other country provides a shorter term of copyright for such work; and a work shall be deemed to be published simultaneously in India and in another country if the time between the publication in India and the publication in such other country does not exceed thirty days or such other period as the Central Government may, in relation to any specified country, determine.

6. Certain disputes to be decided by Copyright Board. If any question arises—

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(a) whether a work has been published or as to the date on which a work was published for the purposes of Chapter V, or

(b) whether the term of copyright for any work is shorter in any other country than that provided in respect of that work under this Act,

it shall be referred to the Copyright Board constituted under section 11 whose decision thereon shall be final:

Provided that if in the opinion of the Copyright Board, the issue of copies or communication to the public referred to in section 3 was of an insignificant nature it shall not be deemed to be publication for the purposes of that section.

7. Nationality of author where the making of unpublished work is extended over considerable period. Where in the case of an unpublished work, the making of the work is extended over a considerable period, the author of the work shall, for the purposes of this Act, be deemed to be a citizen of, or domiciled in, that country of which he was a citizen or wherein he was domiciled during any substantial part of that period.

8. Domicile of corporations. For the purposes of this Act, a body corporate shall be deemed to be domiciled in India if it is incorporated under any law in force in India.

CHAPTER II

COPYRIGHT OFFICE AND COPYRIGHT BOARD

9. Copyright Office. (1) There shall be established for the purposes of this Act an office to be called the Copyright Office.

(2) The Copyright Office shall be under the immediate control of the Registrar of Copyrights who shall act under the superintendence and direction of the Central Government.

(3) There shall be a seal for the Copyright Office.

10. Registrar and Deputy Registrars of Copyrights. (1) The Central Government shall appoint a Registrar of Copyrights and may appoint one or more Deputy Registrars of Copyrights.

(2) A Deputy Registrar of Copyrights shall discharge under the superintendence and direction of the Registrar of Copyrights such functions of the Registrar under this Act as the Registrar may, from time to time, assign to him; and any reference in this Act to the Registrar of Copyrights shall include a reference to a Deputy Registrar of Copyrights when so discharging any such functions.

11. Copyright Board. (1) As soon as may be after the commencement of this Act, the Central Government shall constitute a Board to be called the Copyright Board which shall consist of a Chairman and two other members.

(2) The salaries and allowances payable to and the other terms and conditions of service of the Chairman and other members of the Copyright Board shall be such as may be prescribed:

Provided that neither the salary and allowances nor the other terms and conditions of service of the Chairman or any other member shall be varied to his disadvantage after appointment.

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(3) The Chairman of the Copyright Board shall be a person who is, or has been, a Judge of a High Court or is qualified for appointment as a Judge of a High Court.

(4) The Central Government may after consultation with the Chairman of the Copyright Board, appoint a Secretary to the Copyright Board and such other officers and employees as may be considered necessary for the efficient discharge of the functions of the Copyright Board.

12. Powers and procedure of Copyright Board. (1) The Copyright Board shall, subject to any rules that may be made under this Act, have power to regulate its own procedure, including the fixing of places and times of its sittings:

Provided that the Copyright Board shall ordinarily hear any proceeding instituted before it under this Act within the zone in which, at the time of the institution of the proceeding, the person instituting the proceeding actually and voluntarily resides or carries on business or personally works for gain.

Explanation. In this sub-section "zone" means a zone specified in section 15 of the States Reorganisation Act, 1956 (37 of 1956).

(2) The Copyright Board may exercise and discharge its powers and functions through Benches constituted by the Chairman of the Copyright Board from amongst its members:

Provided that, if the Chairman is of opinion that any matter of importance is required to be heard by a larger Bench, he may refer the matter to a special Bench consisting of five members.

(3) If there is a difference of opinion among the members of the Copyright Board or any Bench thereof in respect of any matter coming before it for decision under this Act, the opinion of the majority shall prevail:

Provided that where there is no such majority, the opinion of the Chairman shall prevail.

(4) The Chairman may authorise any of its members to exercise any of the powers conferred on it by section 74 and any order made or act done in exercise of those powers by the member so authorised shall be deemed to be the order or act, as the case may be, of the Board.

(5) No member of the Copyright Board shall take part in any proceedings before the Board in respect of any matter in which he has a personal interest.

(6) No act done or proceeding taken by the Copyright Board under this Act shall be questioned on the ground merely of the existence of any vacancy in, or defect in the constitution of, the Board.

(7) The Copyright Board shall be deemed to be a Civil Court for the purposes of sections 345 and 346 of the Code of Criminal Procedure, 1973 (2 of 1974) and all proceedings before the Board shall be deemed to be judicial proceedings within the meaning of sections 193 and 228 of the Indian Penal Code (45 of 1860).

CHAPTER III

COPYRIGHT

13. Works in which copyright subsists. (1) Subject to the provisions of this section and the other provisions of this Act, copyright shall subsist throughout India in the following classes of works, that is to say,—

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(a) original literary, dramatic, musical and artistic works;
(b) cinematograph films; and
(c) sound recording.

(2) Copyright shall not subsist in any work specified in sub-section (1), other than a work to which the provisions of section 40 or section 41 apply, unless,—

(i) in the case of a published work, the work is first published in India, or where the work is first published outside India, the author is at the date of such publication, or in a case where the author was dead at that date, was at the time of his death, a citizen of India;

(ii) in the case of an unpublished work other than a work of architecture, the author is at the date of the making of the work a citizen of India or domiciled in India; and

(iii) in the case of a work of architecture, the work is located in India.

Explanation. In the case of a work of joint authorship, the conditions conferring copyright specified in this sub-section shall be satisfied by all the authors of the work.

(3) Copyright shall not subsist—

(a) in any cinematograph film if a substantial part of the film is an infringement of the copyright in any other work;

(b) in any sound recording made in respect of a literary, dramatic or musical work, if in making the sound recording, copyright in such work has been infringed.

(4) The copyright in a cinematograph film or a sound recording shall not affect the separate copyright in any work in respect of which or a substantial part of which, the film, or, as the case may be, the sound recording is made.

(5) In the case of a work of architecture, copyright shall subsist only in the artistic character and design and shall not extend to processes or methods of construction.

14. Meaning of copyright. For the purposes of this Act, "copyright" means the exclusive right subject to the provisions of this Act to do or authorise the doing of any of the following acts in respect of a work or any substantial part thereof, namely—

(a) in the case of a literary, dramatic or musical work, not being a computer programme,—

(i) to reproduce the work in any material form including the storing of it in any medium by electronic means;

(ii) to issue copies of the work to the public and not being copies already in circulation;

(iii) to perform the work in public, or communicate it to the public;

(iv) to make any cinematograph film or sound recording in respect of the work;

(v) to make any translation of the work;

(vi) to make any adaptation of the work;

(vii) to do, in relation to a translation or an adaptation of the work, any of the acts specified in relation to the work in sub-clauses (i) to (vi);

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(*b*) in the case of a computer programme—

(*i*) to do any of the acts specified in clause (*a*);

(*ii*) to sell or give on commercial rental or offer for sale or for commercial rental any copy of the computer programme:

Provided that such commercial rental does not apply in respect of computer programmes where the programme itself is not the essential object of the rental.

(*c*) in the case of an artistic work,—

(*i*) to reproduce the work in any material form including—

(A) the storing of it in any medium by electronic or other means; or

(B) depiction in three-dimensions of a two-dimensional work; or

(C) depiction in two-dimensions of a three-dimensional work;

(*ii*) to communicate the work to the public;

(*iii*) to issue copies of the work to the public not being copies already in circulation;

(*iv*) to include the work in any cinematograph film;

(*v*) to make any adaptation of the work;

(*vi*) to do in relation to an adaptation of the work any of the acts specified in relation to the work in sub-clauses (*i*) to (*iv*);

(*d*) in the case of a cinematograph film,—

(*i*) to make a copy of the film, including—

(A) a photograph of any image forming part thereof; or

(B) storing of it in any medium by electronic or other means;

(*ii*) to sell or give on commercial rental or offer for sale or for such rental, any copy of the film;

(*iii*) to communicate the film to the public;

(*e*) in the case of a sound recording,—

(*i*) to make any other sound recording embodying it including storing of it in any medium by electronic or other means;

(*ii*) to sell or give on commercial rental or offer for sale or for such rental, any copy of the sound recording;

(*iii*) to communicate the sound recording to the public.

Explanation. For the purposes of this section, a copy which has been sold once shall be deemed to be a copy already in circulation.

15. Special provision regarding copyright in designs registered or capable of being registered under the Designs Act, 2000 (16 of 2000). (1) Copyright shall not subsist under this Act in any design which is registered under the Designs Act, 2000 (16 of 2000).

(2) Copyright in any design, which is capable of being registered under the Designs Act, 2000 (16 of 2000), but which had not been so registered, shall cease as soon as any article to which the design has been applied has been reproduced more than fifty times by an industrial process by the owner of the copyright, or, with his licence, by any other person.

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16. No copyright except as provided in this Act. No person shall be entitled to copyright or any similar right in any work, whether published or unpublished, otherwise than under and in accordance with the provisions of this Act or of any other law for the time being in force, but nothing in this section shall be construed as abrogating any right or jurisdiction to restrain a breach of trust or confidence.

CHAPTER IV

OWNERSHIP OF COPYRIGHT AND THE RIGHTS OF THE OWNER

17. First owner of copyright. Subject to the provisions of this Act, the author of a work shall be the first owner of the copyright therein:

Provided that—

(*a*) in the case of a literary, dramatic or artistic work made by the author in the course of his employment by the proprietor of a newspaper, magazine or similar periodical under a contract of service or apprenticeship, for the purpose of publication in a newspaper, magazine or similar periodical, the said proprietor shall, in the absence of any agreement to the country, be the first owner of the copyright in the work in so far as the copyright relates to the publication of the work in any newspaper, magazine or similar periodical, or to the reproduction of the work for the purpose of its being so published, but in all other respects the author shall be the first owner of the copyright in the work;

(*b*) subject to the provisions of clause (*a*), in the case of photograph taken, or a painting or portrait drawn, or an engraving or a cinematograph film made, for valuable consideration at the instance of any person, such person shall, in the absence of any agreement to the contrary, be the first owner of the copyright therein;

(*c*) in the case of a work made in the course of the author's employment under a contract of service or apprenticeship, to which clause (*a*) or clause (*b*) does not apply, the employer shall, in the absence of any agreement to the contrary, be the first owner of the copyright therein;

(*cc*) in the case of any address or speech delivered in public, the person who has delivered such address or speech or if such person has delivered such address or speech on behalf of any other person, such other person shall be the first owner of the copyright therein notwithstanding that the person who delivers such address or speech, or, as the case may be, the person on whose behalf such address or speech is delivered, is employed by any other person who arranges such address or speech or on whose behalf or premises such address or speech is delivered;

(*d*) in the case of a Government work, Government shall, in the absence of any agreement to the contrary, be the first owner of the copyright therein;

(*dd*) in the case of a work made or first published by or under the direction or control of any public undertaking, such public undertaking shall, in the absence of any agreement to the contrary, be the first owner of the copyright therein.

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Explanation. For the purposes of this clause and section 28A, "pubic undertaking" means—

(*i*) an undertaking owned or controlled by Government; or

(*ii*) a Government company as defined in section 617 of the Companies Act, 1956 (1 of 1956); or

(*iii*) a body corporate established by or under any Central, Provincial or State Act;

(*c*) in the case of a work to which the provisions of section 41 apply, the international organisation concerned shall be the first owner of the copyright therein:

Provided that in case of any work incorporated in a cinematograph work, nothing contained in clauses (*b*) and (*c*) shall affect the right of the author in the work referred to in clause (*a*) of sub-section (l) of section 13.

18. Assignment of copyright. (1) The owner of the copyright in an existing work or the prospective owner of the copyright in a further work may assign to any person the copyright either wholly or partially and either generally or subject to limitation and either for the whole of the copyright or any part thereof:

Provided that in the case of the assignment of copyright in any future work, the assignment shall take effect only when the work comes into existence.

Provided further that no such assignment shall be applied to any medium or mode of exploitation of the work which did not exist or was not in commercial use at the time when the assignment was made, unless the assignment specifically referred to such medium or mode of exploitation of the work:

Provided also that the author of the literary or musical work included in a cinematograph film shall not assign or waive the right to receive royalties to be shared on an equal basis with the assignee of copyright for the utilisation of such work in any form other than for the communication to the public of the work along with the cinematograph film in a cinema hall, except to the legal heirs of the authors or to a copyright society for collection and distribution and any agreement to contrary shall be void:

Provided also that the author of the literary or musical work included in the sound recording but not forming part of any cinematograph film shall not assign or waive the right to receive royalties to be shared on an equal basis with the assignee of copyright for any utilisation of such work except to the legal heirs of the authors or to a collecting society for collection and distribution and any assignment to the contrary shall be void.

(2) Where the assignee of a copyright becomes entitled to any right comprised in the copyright the assignee as respects the rights so assigned, and the assignor as respects the rights not assigned shall be treated for the purposes of this Act as the owner of copyright and the provisions of this Act shall have effect accordingly.

(3) In this section, the expression 'assignee' as respects the assignment of the copyright in any future work includes the legal representatives of the assignee, if the assignee dies before the work comes into existence.

19. Mode of assignment. (1) No assignment of the copyright in any work shall be valid unless it is in writing signed by the assignor or by his duly authorised agent.

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(2) The assignment of copyright in any work shall identify such work, and shall specify the rights assigned and the duration and territorial extent of such assignment.

(3) The assignment of copyright in any work shall also specify the amount of royalty and any other consideration payable, to the author or his legal heirs during the currency of the assignment and the assignment shall be subject to revision, extension or termination on terms mutually agreed upon by the parties.

(4) Where the assignee does not exercise the rights assigned to him under any of the other sub-sections of this section within a period of one year from the date of assignment, the assignment in respect of such rights shall be deemed to have lapsed after the expiry of the said period unless otherwise specified in the assignment.

(5) If the period of assignment is not stated, it shall be deemed to be five years from the date of assignment.

(6) If the territorial extent of assignment of the rights is not specified, it shall be presumed to extend within India.

(7) Nothing in sub-section (2) or sub-section (3) or sub-section (4) or sub-section (5) or sub-section (6) shall be applicable to assignments made before the coming into force of the Copyright (Amendment) Act, 1994.

(8) The assignment of copyright in any work contrary to the terms and conditions of the rights already assigned to a copyright society in which the author of the work is a member shall be void.

(9) No assignment of copyright in any work to make a cinematograph film shall affect the right of the author of the work to claim an equal share of royalties and consideration payable in case of utilisation of the work in any form other than for the communication to the public of the work, along with the cinematograph film in a cinema hall.

(10) No assignment of the copyright in any work to make a sound recording which does not form part of any cinematograph film shall affect the right of the author of the work to claim an equal share of royalties and consideration payable for any utilisation of such work in any form.

19A. Disputes with respect to assignment of copyright. (1) If an assignee fails to make sufficient exercise of the rights assigned to him, and such failure is not attributable to any act or omission of the assignor, then, the Copyright Board may, on receipt of a complaint from the assignor and after holding such inquiry as it may deem necessary, revoke such assignment.

(2) If any dispute arises with respect to the assignment of any copyright the Copyright Board may, on receipt of a complaint from the aggrieved party and after holding such inquiry as it considers necessary, pass such order as it may deem fit including an order for the recovery of any royalty payable:

Provided that the Copyright Board shall not pass any order under this sub-section to revoke the assignment unless it is satisfied that the terms of assignment are harsh to the assignor in case the assignor is also the author:

Provided further that, pending the disposal of an application for revocation of assignment under this sub-section, the Copyright Board may pass such order, as it deems fit regarding implementation of the terms and conditions of

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assignment including any consideration to be paid for the enjoyment of the rights assigned:

Provided also that no order of revocation of assignment under this sub-section, shall be made within a period of five years from the date of such assignment.

(3) Every complaint received under sub-section (2) shall be dealt with by the Copyright Board as far as possible and efforts shall be made to pass the final order in the matter within a period of six months from the date of receipt of the complaint and any delay in compliance of the same, the Copyright Board shall record the reasons thereof.

20. Transmission of copyright in manuscript by testamentary disposition. Where under a bequest a person is entitled to the manuscript of a literary, dramatic or musical work, or to an artistic work, and the work was not published before the death of the testator, the bequest shall, unless the contrary intention is indicated in the testator's will or any codicil thereto, be construed as including the copyright in the work in so far as the testator was the owner of the copyright immediately before his death.

Explanation. In this section, the expression "manuscript" means the original document embodying the work, whether written by hand or not.

21. Right of author to relinquish copyright. (1) The author of a work may relinquish all or any of the rights comprised in the copyright in the work by giving notice in the prescribed form to the Registrar of Copyrights or by way of public notice and thereupon such rights shall, subject to the provisions of sub-section (3), cease to exist from the date of the notice.

(2) On receipt of a notice under sub-section (1), the Registrar of Copyrights shall cause it to be published in the Official Gazette and in such other manner as he may deem fit.

(2A) The Registrar of Copyrights shall, within fourteen days from the publication of the notice in the Official Gazette, post the notice on the official website of the Copyright Office so as to remain in the public domain for a period of not less than three years.

(3) The relinquishment of all or any of the rights comprised in the copyright in a work shall not affect any rights subsisting in favour of any person on the date of the notice referred to in sub-section (1).

CHAPTER V

TERM OF COPYRIGHT

22. Term of copyright in published literary, dramatic, musical and artistic works. Except as otherwise hereinafter provided, copyright shall subsist in any literary, dramatic, musical or artistic work published within the lifetime of the author until sixty years from the beginning of the calendar year next following the year in which the author dies.

Explanation. In this section the reference to the author shall, in the case of a work of joint authorship, be construed as a reference to the author who dies last.

23. Term of copyright in anonymous and pseudonymous works. (1) In the case of a literary, dramatic, musical or artistic work (other than a photograph),

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which is published anonymously or pseudonymously, copyright shall subsist until sixty years from the beginning of the calendar year next following the year in which the work is first published:

Provided that where the identity of the author is disclosed before the expiry of the said period, copyright shall subsist until sixty years from the beginning of the calendar year next following the year in which the author dies.

(2) In sub-section (1), reference to the author shall, in the case of an anonymous work of joint authorship, be construed,—

(*a*) where the identity of the authors is disclosed, as references to that author;

(*b*) where the identity of more authors than one is disclosed, as references to the author who dies last from amongst such authors.

(3) In sub-section (1), references to the author shall, in the case of a pseudonymous work of joint authorship, be construed,—

(*a*) where the names of one or more (but not all) of the authors are pseudonymous and his or their identity is not disclosed, as references to the author whose name is not a pseudonym, or, if the names of two or more of the authors are not pseudonyms, as references to such of those authors who dies last;

(*b*) where the names of one or more (but not all) of the authors are pseudonyms and the identity of one or more of them is disclosed, as references to the author who dies last from amongst the authors whose names are not pseudonyms and the authors whose names are pseudonyms and are disclosed; and

(*c*) where the names of all the authors are pseudonyms and the identity of one of them is disclosed, as references to the author whose identity is disclosed or if the identity of two or more of such authors is disclosed, as references to such of those authors who die last.

Explanation. For the purposes of this section, the identity of an author shall be deemed to have been disclosed, if either the identity of the author is disclosed publicly by both the author and the publisher or is otherwise established to the satisfaction of the Copyright Board by that author.

24. Term of copyright in posthumous work. (1) In the case of a literary, dramatic or musical work or an engraving, in which copyright subsists at the date of the death of the author or, in the case of any such work of joint authorship, at or immediately before the date of the death of the author who dies last, but which, or any adaptation of which, has not been published before that date, copyright shall subsist until sixty years from the beginning of the calendar year next following the year in which the work is first published or, where an adaptation of the work is published in any earlier year, from the beginning of the calendar year next following that year.

(2) For the purposes of this section a literary, dramatic or musical work or an adaptation of any such work shall be deemed to have been published, if it has been performed in public or if any sound recordings made in respect of the work have been sold to the public or have been offered for sale to the public.

25. Term of copyright in photographs. *Omitted.*

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26. Term of copyright in cinematograph films. In the case of a cinematograph film, copyright shall subsist until sixty years from the beginning of the calendar year next following the year in which the film is published.

27. Term of copyright in sound recording. In the case of a sound recording, copyright shall subsist until sixty years from the beginning of the calendar year next following the year in which the sound recording is published.

28. Term of copyright in Government works. In the case of Government work, where Government is the first owner of the copyright therein, copyright shall subsist until sixty years from the beginning of the calendar year next following the year in which the work is first published.

28A. Term of copyright in works of public undertakings. In the case of a work, where a public undertaking is the first owner of the copyright therein, copyright shall subsist until sixty years from the beginning of the calendar year next following the year in which the work is first published.

29. Term of copyright in works of international organisations. In the case of a work of any international organisation to which the provisions of section 41 apply, copyright shall subsist until sixty years from the beginning of the calendar year next following the year in which the work is first published.

CHAPTER VI

LICENCES

30. Licences by owners of copyright. The owner of the copyright in any existing work or the prospective owner of the copyright in any future work may grant any interest in the right by licence in writing by him or by his duly authorised agent:

Provided that in the case of a licence relating to copyright in any future work, the licence shall take effect only when the work comes into existence.

Explanation. Where a person to whom a licence relating to copyright in any future work is granted under this section dies before the work comes into existence, his legal representatives shall, in the absence of any provision to the contrary in the licence, be entitled to the benefit of the licence.

30A. Application of section 19. The provisions of section 19 shall, with any necessary adaptations and modifications, apply in relation to a licence under section 30 as they apply in relation to assignment of copyright in a work.

31. Compulsory licence in works withheld from public. (1) If at any time during the term of copyright in any work which has been published or performed in public, a complaint is made to the Copyright Board that the owner of copyright in the work—

(*a*) has refused to republish or allow the republication of the work or has refused to allow the performance in public of the work, and by reason of such refusal the work is withheld from the public; or

(*b*) has refused to allow communication to the public by broadcast, of such work or in the case of a sound recording the work recorded in such sound recording, on terms which the complainant considers reasonable;

the Copyright Board, after giving to the owner of the copyright in the work a reasonable opportunity of being heard and after holding such inquiry as it may

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deem necessary, may, if it is satisfied that the grounds for such refusal are not reasonable, direct the Registrar of Copyrights to grant to the complainant a licence to republish the work, perform the work in public or communicate the work to the public by broadcast, as the case may be, subject to payment to the owner of the copyright of such compensation and subject to such other terms and conditions as the Copyright Board may determine; and thereupon the Registrar of Copyrights shall grant the licence to such person or persons who, in the opinion of the Copyright Board, is or are qualified to do so in accordance with the directions of the Copyright Board, on payment of such fee as may be prescribed.

31A. Compulsory licence in unpublished or published works. (1) Where, in the case of any unpublished work or any work published or communicated to the public and the work is withheld from the public in India, the author is dead or unknown or cannot be traced, or the owner of the copyright in such work cannot be found, any person may apply to the Copyright Board for a licence to publish or communicate to the public such work or a translation thereof in any language.

(2) Before making an application under sub-section (1), the applicant shall publish his proposal in one issue of a daily newspaper in the English language having circulation in the major part of the country and where the application is for the publication of a translation in any language, also in one issue of any daily newspaper in that language.

(3) Every such application shall be made in such form as may be prescribed and shall be accompanied with a copy of the advertisement issued under sub-section (2) and such fee as may be prescribed.

(4) Where an application is made to the Copyright Board under this section, it may, after holding such inquiry as may be prescribed, direct the Registrar of Copyrights to grant to the applicant a licence to publish the work or a translation thereof in the language mentioned in the application subject to the payment of such royalty and subject to such other terms and conditions as the Copyright Board may determine, and thereupon the Registrar of Copyrights shall grant the licence to the applicant in accordance with the direction of the Copyright Board.

(5) Where a licence is granted under this section, the Registrar of Copyrights may, by order, direct the applicant to deposit the amount of the royalty determined by the Copyright Board in the public account of India or in any other account specified by the Copyright Board so as to enable the owner of the copyright or, as the case may be, his heirs, executors or the legal representatives to claim such royalty at any time.

(6) Without prejudice to the foregoing provisions of this section, in the case of a work referred to in sub-section (1), if the original author is dead, the Central Government may, if it considers that the publication of the work is desirable in the national interest, require the heirs, executors or legal representatives of the author to publish such work within such period as may be specified by it.

(7) Where any work is not published within the period specified by the Central Government under sub-section (6), the Copyright Board may, on an application made by any person for permission to publish the work and after

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hearing the parties, concerned, permit such publication on payment of such royalty as the Copyright Board may, in the circumstances of such case, determine in the prescribed manner.

31B. Compulsory licence for benefit of disabled. (1) Any person working for the benefit of persons with disability on a profit basis or for business may apply to the Copyright Board, in such form and manner and accompanied by such fee as may be prescribed, for a compulsory licence to publish any work in which copyright subsists for the benefit of such persons, in a case to which clause (*zb*) of sub-section (*1*) of section 52 does not apply and the Copyright Board shall dispose of such application as expeditiously as possible and endeavour shall be made to dispose of such application within a period of two months from the date of receipt of the application.

(2) The Copyright Board may, on receipt of an application under sub-section (1), inquire, or direct such inquiry as it considers necessary to establish the credentials of the applicant and satisfy itself that the application has been made in good faith.

(3) If the Copyright Board is satisfied, after giving to the owners of rights in the work a reasonable opportunity of being heard and after holding such inquiry as it may deem necessary, that a compulsory licence needs to be issued to make the work available to the disabled, it may direct the Registrar of Copyrights to grant to the applicant such a licence to publish the work.

(4) Every compulsory licence issued under this section shall specify the means and format of publication, the period during which the compulsory licence may be exercised and, in the case of issue of copies, the number of copies that may be issued including the rate or royalty:

Provided that where the Copyright Board has issued such a compulsory licence it may, on a further application and after giving reasonable opportunity to the owners of rights, extend the period of such compulsory licence and allow the issue of more copies as it may deem fit.

31C. Statutory licence for cover versions. (1) Any person desirous of making a cover version, being a sound recording in respect of any literary, dramatic or musical work, where sound recordings of that work have been made by or with the licence or consent of me owner of the right in the work, may do so subject to the provisions of this section:

Provided that such sound recordings shall be in the same medium as the last recording, unless the medium of the last recording is no longer in current commercial use.

(2) The person making the sound recordings shall give prior notice of his intention to make the sound recordings in the manner as may be prescribed, and provide in advance copies of all covers or labels with which the sound recordings are to be sold, and pay in advance, to the owner of rights in each work royalties in respect of all copies to be made by him, at the rate fixed by the Copyright Board in this behalf:

Provided that such sound recordings shall not be sold or issued in any form of packaging or with any cover or label which is likely to mislead or confuse the public as to their identity, and in particular shall not contain the name or depict in any way any performer of an earlier sound recording of the same work or any

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cinematograph film in which such sound recording was incorporated and, further, shall state on the cover that it is a cover version made under this section.

(3) The person making such sound recordings shall not make any alteration in the literary or musical work which has not been made previously by or with the consent of the owner of rights, or which is not technically necessary for the purpose of making the sound recordings:

Provided that such sound recordings shall not be made until the expiration of five calendar years after the end of the year in which the first sound recordings of the work was made.

(4) One royalty in respect of such sound recordings shall be paid for a minimum of fifty thousand copies of each work during each calender year in which copies of it are made:

Provided that the Copyright Board may, by general order, fix a lower minimum in respect of works in a particular language or dialect having regard to the potential circulation of such works.

(5) The person making such sound recordings shall maintain such registers and books of account in respect thereof, including full details of existing stock as may be prescribed and shall allow the owner of rights or his duly authorised agent or representative to inspect all records and books of account relating to such sound recording:

Provided that if on a complaint brought before the Copyright Board to the effect that the owner of rights has not been paid in full for any sound recordings purporting to be made in pursuance of this section, the Copyright Board is, *prima facie*, satisfied that the complaint is genuine, it may pass an order *ex parte* directing the person making the sound recording to cease from making further copies and, after holding such inquiry as it considers necessary, make such further order as it may deem fit, including an order for payment of royalty.

Explanation.—For the purposes of this section "cover version" means a sound recording made in accordance with this section.

31D. Statutory licence for broadcasting of literary and musical works and sound recording. (1) Any broadcasting organisation desirous of communicating to the public by way of a broadcast or by way of performance of a literary or musical work and sound recording which has already been published may do so subject to the provisions of this section.

(2) The broadcasting organisation shall give prior notice, in such manner as may be prescribed, of its intention to broadcast the work stating the duration and territorial coverage of the broadcast, and shall pay to the owner of rights in each work royalties in the manner and at the rate fixed by the Copyright Board.

(3) The rates of royalty for radio broadcasting shall be different from television broadcasting and the Copyright Board shall fix separate rates for radio broadcasting and television broadcasting.

(4) In fixing the manner and the rate of royalty under sub-section (2), the Copyright Board may require the broadcasting organisation to pay an advance to the owners of rights.

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(5) The names of the authors and the principal performers of the work shall, except in case of the broadcasting organisation communicating such work by way of performance, be announced with the broadcast.

(6) No fresh alteration to any literary or musical work, which is not technically necessary for the purpose of broadcasting, other than shortening the work for convenience of broadcast, shall be made without the consent of the owners of rights.

(7) The broadcasting organisation shall—

(*a*) maintain such records and books of account, and render to the owners of rights such reports and accounts; and

(*b*) allow the owner of rights or his duly authorised agent or representative to inspect all records and books of account relating to such broadcast,

in such manner as may be prescribed.

(8) Nothing in this section shall affect the operation of any licence issued or any agreement entered into before the commencement of the Copyright (Amendment) Act, 2012.

32. Licence to produce and publish translations. (1) Any person may apply to the Copyright Board for a licence to produce and publish a translation of a literary or dramatic work in any language after a period of seven years from the first publication of the work.

(1A) Notwithstanding anything contained in sub-section (1), any person may apply to the Copyright Board for a licence to produce and publish a translation, in printed or analogous forms of reproduction, of a literary or dramatic work, other than an Indian work, in any language in general use in India after a period of three years from the first publication of such work, if such translation is required for the purposes of teaching, scholarship or research:

Provided that where such translation is in a language not in general use in any developed country, such application may be made after a period of one year from such publication.

(2) Every application under this section shall be made in such form as may be prescribed and shall state the proposed retail price of a copy of the translation of the work.

(3) Every applicant for a licence under this section shall, along with his application, deposit with the Registrar of Copyrights such fee as may be prescribed.

(4) Where an application is made to the Copyright Board under this section, it may, after holding such inquiry as may be prescribed, grant to the applicant a licence, not being an exclusive licence, to produce and publish a translation of the work in the language mentioned in the application—

(*i*) subject to the condition that the applicant shall pay to the owner of the copyright in the work royalties in respect of copies of the trans-lation of the work sold to the public, calculated at such rate as the Copyright Board may, in the circumstances of each case, determine in the prescribed manner; and

(*ii*) where such licence is granted on an application under sub-section (1A), subject also to the condition that the licence shall

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not extend to the export of copies of the translation of the work outside India and every copy of such translation shall contain a notice in the language of such translation that the copy is available for distribution only in India:

Provided that nothing in clause (*ii*) shall apply to the export by Government or any authority under the Government of copies of such translation in a language other than English, French or Spanish to any country if—

(1) such copies are sent to citizens of India residing outside India or to any association of such citizens outside India; or

(2) such copies are meant to be used for purposes of teaching, scholarship or research and not for any commercial purpose; and

(3) in either case, the permission for such export has been given by the Government of that country:

Provided further that no licence under this section shall be granted, unless—

(*a*) a translation of the work in the language mentioned in the application has not been published by the owner of the copyright in the work or any person authorised by him, within seven years or three years or one year, as the case may be, of the first publication of the work, or if a translation has been so published, it has been out of print;

(*b*) the applicant has proved to the satisfaction of the Copyright Board that he had requested and had been denied authorisation by the owner of the copyright to produce and publish such translation, or that he was, after due diligence on his part, unable to find the owner of the copyright;

(*c*) where the applicant was unable to find the owner of the copyright, he had sent a copy of his request for such authorisation by registered air mail post to the publisher whose name appears from the work, and in the case of an application for a licence under sub-section (1) not less than two months before such application;

(*cc*) a period of six months in the case of an application under sub-section (1A) (not being an application under the proviso thereto, or nine months in the case of an application under the proviso to that sub-section has elapsed from the date of making the request under clause (*b*) of this proviso, or where a copy of the request has been sent under clause (*c*) of this proviso, from the date of sending of such copy, and the translation of the work in the language mentioned in the application had not been published by the owner of the copyright in the work or any person authorised by him within the said period of six months or nine months, as the case may be;

(*ccc*) in the case of any application made under sub-section (1A),—

(*i*) the name of the author and the title of the particular edition of the work proposed to be translated are printed on all the copies of the translation;

(*ii*) if the work is composed mainly of illustrations, the provisions of section 32A are also complied with;

(*d*) the Copyright Board is satisfied that the applicant is competent to produce and publish a correct translation of the work and

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possesses the means to pay to the owner of the copyright the royalties payable to him under this section;

(*e*) the author has not withdrawn from circulation copies of the work; and

(*f*) an opportunity of being heard is given, wherever practicable, to the owner of the copyright in the work.

(5) Any broadcasting authority may apply to the Copyright Board for a licence to produce and publish the translation of—

(*a*) a work referred to in sub-section (1A) and published in printed or analogous forms of reproduction; or

(*b*) any text incorporated in audio-visual fixations prepared and published solely for the purpose of systematic instructional activities,

for broadcasting such translation for the purposes of teaching or for the dissemination of the results of specialised, technical or scientific research to the experts in any particular field.

(6) The provisions of sub-sections (2) to (4) in so far as they are relatable to an application under sub-section (1A), shall, with the necessary modifications, apply to the grant of a licence under sub-section (5) and such licence shall not also be granted unless—

(*a*) the translation is made from a work lawfully acquired;

(*b*) the broadcast is made through the medium of sound and visual recordings;

(*c*) such recording has been lawfully and exclusively made for the purpose of broadcasting in India by the applicant or by any other broad-casting agency; and

(*d*) the translation and the broadcasting of such translation are not used for any commercial purposes.

Explanation. For the purposes of this section,—

(*a*) "developed country" means a country which is not a developing country;

(*b*) "developing country" means a country which is for the time being regarded as such in conformity with the practice of the General Assembly of the United Nations;

(*c*) "purposes of research" does not include purposes of industrial research, or purposes of research by bodies corporate (not being bodies corporate owned or controlled by Government) or other associations or body of persons for commercial purposes;

(*d*) "purposes of teaching, research or scholarship" includes—

(*i*) purposes of instructional activity at all levels in educational institutions, including Schools, Colleges, Universities and tutorial institutions; and

(*ii*) purposes of all other types of organised educational activity.

32A. Licence to reproduce and publish works for certain purposes. (1) Where, after the expiration of the relevant period from the date of the first publication of an edition of a literary, scientific or artistic work,—

(*a*) the copies of such edition are not made available in India; or

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(*b*) such copies have not been put on sale in India for a period of six months,

to the general public, or in connection with systematic instructional activities at a price reasonably related to that normally charged in India for comparable works by the owner of the right of reproduction or by any person authorised by him in this behalf, any person may apply to the Copyright Board for a licence to reproduce and publish such work in printed or analogous forms of reproduction at the price at which such edition is sold or at a lower price for the purposes of systematic instructional activities.

(2) Every such application shall be made in such form as may be prescribed and shall state the proposed retail price of a copy of the work to be reproduced.

(3) Every applicant for a licence under this section shall, along with his application, deposit with the Registrar of Copyrights such fee as may be prescribed.

(4) Where an application is made to the Copyright Board under this section, it may, after holding such inquiry as may be prescribed, grant to the applicant a licence, not being an exclusive licence, to produce and publish a reproduction of the work mentioned in the application subject to the conditions that,—

(*i*) the applicant shall pay to the owner of the copyright in the work royalties in respect of copies of the reproduction of the work sold to the public, calculated at such rate as the Copyright Board may, in the circumstances of each case, determine in the prescribed manner;

(*ii*) a licence granted under this section shall not extend to the export of copies of the reproduction of the work outside India and every copy of such reproduction shall contain a notice that the copy is available for distribution only in India:

Provided that no such licence shall be granted unless—

(*a*) the applicant has proved to the satisfaction of the Copyright Board that he had requested and had been denied authorisation by the owner of the copyright in the work to reproduce and publish such work or that he was, after due diligence on his part, unable to find such owner;

(*b*) where the applicant was unable to find the owner of the copyright, he had sent a copy of his request for such authorisation by registered air mail post to the publisher whose name appears from the work not less than three months before the application for the licence;

(*c*) the Copyright Board is satisfied that the applicant is competent to reproduce and publish an accurate reproduction of the work and possesses the means to pay to the owner of the copyright the royalties payable to him under this section;

(*d*) the applicant undertakes to reproduce and publish the work at such price as may be fixed by the Copyright Board, being a price reasonably related to the price normally charged in India for works of the same standard on the same or similar subjects;

(*e*) a period of six months in the case of an application for the reproduction and publication of any work of natural science, physical science, mathematics or technology, or a period of three

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months in the case of an application for the reproduction and publication of any other work, has elapsed from the date of making the request under clause (*a*), or where a copy of the request has been sent under clause (*b*), from the date of sending of a copy, and reproduction of the work has not been published by the owner of the copyright in the work or any person authorised by him within the said period of six months or, three months, as the case may be;

(*f*) the name of the author and the title of the particular edition of the work proposed to be reproduced are printed on all the copies of the reproduction;

(*g*) the author has not withdrawn from circulation copies of the work; and

(*h*) an opportunity of being heard is given wherever practicable, to the owner of the copyright in the work.

(5) No licence to reproduce and publish the translation of a work shall be granted under this section unless such translation has been published by the owner of the right of translation or any person authorised by him and the translation is not in a language in general use in India.

(6) The provisions of this section shall also apply to the reproduction and publication, or translation into a language in general use in India, of any text incorporated in audio-visual fixations prepared and published solely for the purpose of systematic instructional activities.

Explanation. For the purposes of this section, "relevant period", in relation to any work, means a period of—

(*a*) seven years from the date of the first publication of that work, where the application is for the reproduction and publication of any work of, or relating to, fiction, poetry, drama, music or art;

(*b*) three years, from the date of the first publication of that work, where the application is for the reproduction and publication of any work of, or relating to, natural science, physical science, mathematics or technology; and

(*c*) five years from the date of the first publication of that work, in any other case.

32B. Termination of licences issued under this Chapter. (1) If, at any time after the granting of a licence to produce and publish the translation of a work in any language under sub-section (1A) of section 32 (hereafter in this sub-section referred to as the licensed work), the owner of the copyright in the work or any person authorised by him publishes a translation of such work in the same language and which is substantially the same in content at a price reasonably related to the price normally charged in India for the translation of works of the same standard on the same or similar subject, the licence so granted shall be terminated:

Provided that no such termination shall take effect until after the expiry of a period of three months from the date of service of a notice in the prescribed manner on the person holding such licence by the owner of the right of translation intimating the publication of the translation as aforesaid:

Provided further that copies of the licensed work produced and published by the person holding such licence before the termination of the licence takes

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effect may continue to be sold or distributed until the copies already produced and published are exhausted.

(2) If, at any time after the granting of a licence to produce and publish the reproduction or translation of any work under section 32A, the owner of the right of reproduction or any person authorised by him sells or distributes copies of such work or a translation thereof, as the case may be, in the same language and which is substantially the same in content at a price reasonably related to the price normally charged in India for works of the same standard on the same or similar subject, the licence so granted shall be terminated:

Provided that no such termination shall take effect until after the expiry of a period of three months from the date of service of a notice in the prescribed manner on the person holding the licence by the owner of the right of reproduction intimating the sale or distribution of the copies of the editions of work as aforesaid:

Provided further that any copies already reproduced by the licensee before such termination takes effect may continue to be sold or distributed until the copies already produced are exhausted.

CHAPTER VII
COPYRIGHT SOCIETIES

33. Registration of copyright society. (1) No person or association of persons shall, after coming into force of the Copyright (Amendment) Act, 1994 commence or, carry on the business of issuing or granting licences in respect of any work in which copyright subsists or in respect of any other rights conferred by this Act except under or in accordance with the registration granted under sub-section (3):

Provided that an owner of copyright shall, in his individual capacity, continue to have the right to grant licences in respect of his own works consistent with his obligations as a member of the registered copyright society:

Provided further that the business of issuing or granting license in respect of literary, dramatic, musical and artistic works incorporated in a cinematograph films or sound recordings shall be carried out only through a copyright society duly registered under this Act:

Provided also that a performing rights society functioning in accordance with the provisions of section 33 on the date immediately before the coming into force of the Copyright (Amendment) Act, 1994 shall be deemed to be a copyright society for the purposes of this Chapter and every such society shall get itself registered within a period of one year from the date of commencement of the Copyright (Amendment) Act, 1994.

(2) Any association of persons who fulfils such conditions as may be prescribed may apply for permission to do the business specified in sub-section (1) to the Registrar of Copyrights who shall submit the application to the Central Government.

(3) The Central Government may, having regard to the interests of the authors and other owners of rights under this Act, the interest and convenience of the public and in particular of the groups of persons who are most likely to seek licences in respect of the relevant rights and the ability and professional competence of the applicants, register such association of persons as a copyright society subject to such conditions as may be prescribed:

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Provided that the Central Government shall not ordinarily register more than one copyright society to do business in respect of the same class of works.

(3A) The registration granted to a copyright society under sub-section (3) shall be for a period of five years and may be renewed from time to time before the end of every five years on a request in the prescribed form and the Central Government may renew the registration after considering the report of Registrar of Copyrights on the working of the copyright society under section 36:

Provided that the renewal of the registration of a copyright society shall be subject to the continued collective control of the copyright society being shared with the authors of works in their capacity as owners of copyright or of the right to receive royalty:

Provided further that every copyright society already registered before the coming into force of the Copyright (Amendment) Act, 2012 shall get itself registered under this Chapter within a period of one year from the date of commencement of the Copyright (Amendment) Act, 2012.

(4) The Central Government may, if it is satisfied that a copyright society is being managed in a manner detrimental to the interests of the authors and other owners of right concerned, cancel the registration of such society after such inquiry as may be prescribed.

(5) If the Central Government is of the opinion that in the interest of the authors and other owners of right concerned, or for non-compliance of sections 33A, sub-section (3) of section 35 and section 36 or any change carried out in the instrument by which the copyright society is established or incorporated and registered by the Central Government without prior notice to it, it is necessary so to do, it may, by order, suspend the registration of such society pending inquiry for such period not exceeding one year as may be specified in such order under sub-section (4) and that Government shall appoint an administrator to discharge the functions of the copyright society.

33A. Tariff Scheme by copyright societies. (1) Every copyright society shall publish its tariff scheme in such manner as may be prescribed.

(2) Any person who is aggrieved by the tariff scheme may appeal to the Copyright Board and the Board may, if satisfied after holding such inquiry as it may consider necessary, make such orders as may be required to remove any unreasonable element, anomaly or inconsistency therein:

Provided that the aggrieved person shall pay to the copyright society any fee as may be prescribed that has fallen due before making an appeal to the Copyright Board and shall continue to pay such fee until the appeal is decided, and the Board shall not issue any order staying the collection of such fee pending disposal of the appeal:

Provided further that the Copyright Board may after hearing the parties fix an interim tariff and direct the aggrieved parties to make the payment accordingly pending disposal of the appeal.

34. Administration of rights of owner by copyright society. (1) Subject to such conditions as may be prescribed,—

(*a*) a copyright society may accept from an author and other owners of right exclusive authorisation to administer any right in any work by issue of licences or collection of licence fees or both; and

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(*b*) an owner of rights shall have the right to withdraw such authorisation without prejudice to the rights of the copyright society under any contract.

(2) It shall be competent for a copyright society to enter into agreement with any foreign society or organisation administering rights corresponding to rights under this Act, to entrust to such foreign society or organisation the administration in any foreign country of rights administered by the said copyright society in India, or for administering in India the rights administered in a foreign country by such foreign society or organisation:

Provided that no such society or organisation shall permit any discrimination in regard to the terms of licence or the distribution of fees collected between rights in Indian and other works.

(3) Subject to such conditions as may be prescribed, a copyright society may—

(*i*) issue licences under section 30 in respect of any rights under this Act;

(*ii*) collect fees in pursuance of such licences;

(*iii*) distribute such fees among owners of rights after making deductions for its own expenses;

(*iv*) perform any other functions consistent with the provisions of section 35.

34A. Payment of remuneration by copyright society. *Omitted.*

35. Control over the copyright society by the authors and other owners of right. (1) Every copyright society shall be subject to the collective control of the authors and other owners of right under this Act whose rights it administers (not being authors and other owners of right under this Act administered by a foreign society or organisation referred to in sub-section (2) of section 34) and shall, in such manner as may be prescribed,—

(*a*) obtain the approval of such authors and other owners of right for its procedures of collection and distribution of fees;

(*b*) obtain their approval for the utilisation of any amounts collected as fees for any purpose other than distribution to the authors and other owners of right; and

(*c*) provide to such owners regular, full and detailed information concerning all its activities, in relation to the administration of their rights.

(2) All fees distributed among the authors and other owners of right shall, as far as may be, be distributed in proportion to the actual use of their works.

(3) Every copyright society shall have a governing body with such number of persons elected from among the members of the society consisting of equal number of authors and owners of work for the purpose of the administration of the society as may be specified.

(4) All members of copyrights society shall enjoy equal membership rights and there shall be no discrimination between authors and owners of rights in the distribution of royalties.

36. Submission of returns and reports. (1) Every copyright society shall submit to the Registrar of Copyrights such returns as may be prescribed.

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(2) Any officer duly authorised by the Central Government in this behalf may call for any report and also call for any records of any copyright society for the purpose of satisfying himself that the fees collected by the society in respect of rights administered by it are being utilised or distributed in accordance with the provisions of this Act.

36A. Rights and liabilities of copyright societies. Nothing in this Chapter shall affect any rights or liabilities in any work in connection with a copyright society which had accrued or were incurred on or before the day prior to the commencement of the Copyright (Amendment) Act, 2012, or any legal proceedings in respect of any such rights or liabilities pending on that day.

CHAPTER VIII

RIGHTS OF BROADCASTING ORGANISATION AND OF PERFORMERS

37. Broadcast reproduction right. (1) Every broadcasting organisation shall have a special right to be known as "broadcast reproduction right" in respect of its broadcasts.

(2) The broadcast reproduction right shall subsist until twenty-five years from the beginning of the calendar year next following the year in which the broadcast is made.

(3) During the continuance of a broadcast reproduction right in relation to any broadcast, any person who, without the licence of the owner of the right does any of the following acts of the broadcast or any substantial part thereof,—

(*a*) re-broadcasts the broadcast; or

(*b*) causes the broadcast to be heard or seen by the public on payment of any charges; or

(*c*) makes any sound recording or visual recording of the broadcast; or

(*d*) makes any reproduction of such sound recording or visual recording where such initial recording was done without licence or, where it was licensed, for any purpose not envisaged by such licence; or

(*e*) sells or gives on commercial rental or offer for sale or for such rental, any such sound recording or visual recording referred to in clause (*c*) or clause (*d*),

shall, subject to the provisions of section 39, be deemed to have infringed the broadcast reproduction right.

38. Performer's right. (1) Where any performer appears or engages in any performance, he shall have a special right to be known as the "performer's right" in relation to such performance.

(2) The performer's right shall subsist until fifty years from the beginning of the calendar year next following the year in which the performance is made.

38A. Exclusive right of performers. (1) Without prejudice to the rights conferred on authors, the performer's right which is an exclusive right subject to the provisions of this Act to do or authorise for doing any of the following acts in respect of the performance or any substantial part thereof, namely:—

(*a*) to make a sound recording or a visual recording of the performance, including—

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(*i*) reproduction of it in any material form including the storing of it in any medium by electronic or any other means;

(*ii*) issuance of copies of it to the public not being copies already in circulation;

(*iii*) communication of it to the public;

(*iv*) selling or giving it on commercial rental or offer for sale or for commercial rental any copy of the recording;

(*b*) to broadcast or communicate the performance to the public except where the performance is already broadcast.

(2) Once a performer has, by written agreement, consented to the incorporation of his performance in a cinematograph film he shall not, in the absence of any contract to the contrary, object to the enjoyment by the producer of the film of the performer's right in the same film:

Provided that, notwithstanding anything contained in this sub-section, the performer shall be entitled for royalties in case of making of the performances for commercial use.

38B. Moral rights of the performer. The performer of a performance shall, independently of his right after assignment, ehher wholly or partially of his right, have the right,—

(*a*) to claim to be identified as the performer of his performance except where omission is dictated by the manner of the use of the performance; and

(*b*) to restrain or claim damages in respect of any distortion, mutilation or other modification of his performance that would be prejudicial to his reputation.

Explanation.—For the purposes of this clause, it is hereby clarified that mere removal of any portion of a performance for the purpose of editing, or to fit the recording within a limited duration, or any other modification required for purely technical reasons shall not be deemed to be prejudicial to the performer's reputation.

39. Acts not infringing broadcast reproduction right or performer's right. No broadcast reproduction right or performer's right shall be deemed to be infringed by—

(*a*) the making of any sound recording or visual recording for the private use of the person making such recording, or solely for purposes of *bona fide* teaching or research; or

(*b*) the use, consistent with fair dealing, of excerpts of a performance or of a broadcast in the reporting of current events or for *bona fide* review, teaching or research; or

(*c*) such other acts, with any necessary adaptations and modifications, which do not constitute infringement of copyright under section 52.

39A. Certain provisions to apply in case of broadcast reproduction right and performer's rights. (1) Sections 18,19, 30, 30A, 33, 33A, 34, 35, 36, 53, 55, 58, 63, 64, 65, 65A, 65B and 66 shall, with necessary adaptations and modifications, apply in relation to the broadcast reproduction right in any broadcast and the performer's right in any performance as they apply in relation to copyright in a work:

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Provided that where copyright or performer's right subsists in respect of any work or performance that has been broadcast, no licence to reproduce such broadcast, shall be given without the consent of the owner of right or performer, as the case may be, or both of them:

Provided further that the broadcast reproduction right or performer's right shall not subsist in any broadcast or performance if that broadcast or performance is an infringement of the copyright in any work.

(2) The broadcast reproduction right or the performer's right shall not affect the separate copyright in any work in respect of which, the broadcast or the performance, as the case may be, is made.

CHAPTER IX

INTERNATIONAL COPYRIGHT

40. Power to extend copyright to foreign works. The Central Government may, by order published in the Official Gazette, direct that all or any provisions of this Act shall apply—

(*a*) to work first published in any territory outside India to which the order relates in like manner as if they were first published within India;

(*b*) to unpublished works, or any class thereof, the authors whereof were at the time of the making of the work, subjects or citizens of a foreign country to which the order relates, in like manner as if the authors were citizens of India;

(*c*) in respect of domicile in any territory outside India to which the order relates in like manner as if such domicile were in India;

(*d*) to any work of which the author was at the date of the first publication thereof, or, in a case where the author was dead at that date, was at the time of his death, a subject or citizen of a foreign country to which the order relates in like manner as if the author was a citizen of India at that date or time,

and thereupon, subject to the provisions of this Chapter and of this order, this Act shall apply accordingly:

Provided that—

(*i*) before making an order under this section in respect of any foreign country (other than a country with which India has entered into a treaty or which is a party) to a convention relating to copyright to which India is also a party, the Central Government shall be satisfied that that foreign country has made, or has undertaken to make, such provisions, if any, as it appears to the Central Government expedient to require for the protection in that country of works entitled to copyright under the provisions of this Act;

(*ii*) the order may provide that the provisions of this Act shall apply either generally or in relation to such classes of works or such classes of cases as may be specified in the order;

(*iii*) the order may provide that the term of copyright in India shall not exceed that conferred by the law of the country to which the order relates but such a term of copyright shall not exceed the term of copyright provided under this Act;

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(iv) the order may provide that the enjoyment of the rights conferred by this Act shall be subject to the accomplishment of such conditions and formalities, if any, as may be prescribed by the order;

(v) in applying the provisions of this Act as to ownership of copyright, the order may make such exception and modifications as appear necessary, having regard to the law of the foreign country;

(vi) the order may provide that this Act or any part thereof shall not apply to works made before the commencement of the order or that this Act or any part thereof shall not apply to works first published before the commencement of the order.

40A. Power of Central Government to apply Chapter VIII to broadcasting organisations and performers in certain other countries. (1) If the Central Government is satisfied that a foreign country (other than a country with which India has entered into a treaty or which is a party to a convention relating to rights of broadcasting organisations and performers to which India is also a party) has made or has undertaken to make such provisions, if any, as it appears to the Central Government expedient to require, for the protection in that foreign country, of the rights of broadcasting organisations and performers as is available under this Act, it may, by order published in the Official Gazette, direct that the provisions of Chapter VIII shall apply—

(a) to broadcasting organisations whose headquarters is situated in a country to which the order relates or, the broadcast was transmitted from a transmitter situated in a country to which the order relates as if the headquarters of such organisation were situated in India or such broadcast were made from India;

(b) to performances that took place outside India to which the order relates in like manner as if they took place in India;

(c) to performances that are incorporated in a sound recording published in a country to which the order relates as if it were published in India;

(d) to performances not fixed on a sound recording broadcast by a broadcasting organisation the headquarters of which is located in a country to which the order relates or where the broadcast is transmitted from a transmitter which is situated in a country to which the order relates as if the headquarters of such organisation were situated in India or such broadcast were made from India.

(2) Every order made under sub-section (1) may provide that—

(i) the provisions of Chapter VIII shall apply either generally or in relation to such class or classes of broadcasts or performances or such other class or classes of cases as may be specified in the order;

(ii) the term of the rights of broadcasting organisations and performers in India shall not exceed such term as is conferred by the law of the country to which the order relates;

Provided that it does not exceed the period provided under this Act;

(iii) the enjoyment of the rights conferred by Chapter VIII shall be subject to the accomplishment of such conditions and formalities, if any, as may be specified in that order;

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(*iv*) Chapter VIII or any part thereof shall not apply to broadcast and performances made before the commencement of the order or that Chapter VIII or any part thereof shall not apply to broadcasts and performances broadcast or performed before the commencement of the order;

(*v*) in case of ownership of rights of broadcasting organisations and performers, the provisions of Chapter VIII shall apply with such exceptions and modifications as the Central Government may, having regard to the law of the foreign country, consider necessary.

41. Provisions as to works of certain international organisations. (1) Where—

(*a*) any work is made or first published by or under the directions or control of any organisation to which this section applies, and

(*b*) there would, apart from this section, be no copyright in the work in India at the time of the making or, as the case may be, of the first publication thereof, and

(*c*) either—

(*i*) the work is published as aforesaid in pursuance of an agreement in that behalf with the author, being an agreement which does not reserve to the author the copyright, if any, in the work, or

(*ii*) under section 17 any copyright in the work would belong to the organisation,

there shall, by virtue of this section, be copyright in the work throughout India.

(2) Any organisation to which this section applies which at the material time had not the legal capacity of a body corporate shall have and be deemed at all material times to have had the legal capacity of a body corporate for the purpose of holding, dealing with, and enforcing copyright and in connection with all legal proceedings relating to copyright.

(3) The organisations to which this section applies are such organisations as the Central Government may, by order published in the Official Gazette, declare to be organisations of which one or more sovereign powers or the Government or Governments thereof are members to which it is expedient that this section shall apply.

42. Power to restrict rights in works of foreign authors first published in India. If it appears to the Central Government that a foreign country does not give or has not undertaken to give adequate protection to the works of Indian authors, the Central Government may, by order, published in the Official Gazette, direct that such of the provisions of this Act as confer copyright on works first published in India shall not apply to works, published after the date specified in the order, the authors whereof are subjects or citizens of such foreign country and are not domiciled in India, and thereupon those provisions shall not apply to such works.

42A. Power to restrict rights of foreign broadcasting organisations and performers. If it appears to the Central Government that a foreign country does not give or has not undertaken to give adequate protection to rights of broadcasting organisations or performers, the Central Government may, by order

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published in the Official Gazette, direct that such of the provisions of this Act as confer right to broadcasting organisations or performers, as the case may be, shall not apply to broadcasting organisations or performers whereof are based or incorporated in such foreign country or are subjects or citizens of such foreign country and are not incorporated or domiciled in India, and thereupon those provisions shall not apply to such broadcasting organisations or performers.

43. Orders under this Chapter to be laid before Parliament. Every order made by the Central Government under this Chapter shall, as soon as may be after it is made, be laid before both Houses of Parliament and shall be subject to such modifications as Parliament may make during this session in which it is so laid or the session immediately following.

CHAPTER X

REGISTRATION OF COPYRIGHT

44. Register of Copyrights. There shall be kept at the Copyright Office a register in the prescribed form to be called the Register of Copyrights in which may be entered the names or titles of works and the names and addresses of authors, publishers and owners of copyright and such other particulars as may be prescribed.

45. Entries in register of Copyrights. (1) The author or publisher of, or the owner of or other person interested in the copyright in, any work may make an application in the prescribed form accompanied by the prescribed fee to the Registrar of Copyrights for entering particulars of the work in the Register of Copyrights:

Provided that in respect of an artistic work which is used or is capable of being used in relation to any goods or services, the application shall include a statement to that effect and shall be accompanied by a certificate from the Registrar of Trade Marks referred to in section 3 of the Trade Marks Act, 1999, to the effect that no trade mark identical with or deceptively similar to such artistic work has been registered under that Act in the name of, or that no application has been made under that Act for such registration by, any person other than the applicant.

(2) On receipt of an application in respect of any work under sub-section (1), the Registrar of Copyrights may, after holding such inquiry as he may deem fit, enter the particulars of the work in the Register of Copyrights.

46. Indexes. There shall be also kept at the Copyright Office such indexes of the Register of Copyrights as may be prescribed.

47. Form and inspection of register. The Register of Copyrights and indexes thereof kept under this Act shall at all reasonable times be open to inspection, and any person shall be entitled to take copies of, or make extracts from, such register or indexes on payment of such fee and subject to such conditions as may be prescribed.

48. Register of Copyrights to be prima facie evidence of particulars entered therein. The Register of Copyrights shall be *prima facie* evidence of the particulars entered therein and documents purporting to be copies of any entries therein, or extracts therefrom certified by the Registrar of Copyrights.

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and sealed with the seal of the Copyright Office shall be admissible in evidence in all courts without further proof or production of the original.

49. Correction of entries in the Register of Copyrights. The Registrar of Copyrights may, in the prescribed cases and subject to the prescribed conditions, amend or alter the Register of Copyrights by—

(*a*) correcting any error in any name, address or particulars, or

(*b*) correcting any other error which may have arisen therein by accidental slip or omission.

50. Rectification of Register by Copyright Board. The Copyright Board, on application of the Registrar of Copyrights or of any person aggrieved, shall order the rectification of the Register of Copyrights by—

(*a*) the making of any entry wrongly omitted to be made in the register, or

(*b*) the expunging of any entry wrongly made in, or remaining on, the register, or

(*c*) the correction of any error or defect in the register.

50A. Entries in the Register of Copyrights, etc., to be published. Every entry made in the Register of Copyrights or the particulars of any work entered under section 45, the correction of every entry made in such register under section 49, and every rectification ordered under section 50, shall be published by the Registrar of Copyrights in the Official Gazette or in such other manner as he may deem fit.

CHAPTER XI

INFRINGEMENT OF COPYRIGHT

51. When copyright infringed. Copyright in a work shall be deemed to be infringed—

(*a*) when any person, without a licence granted by the owner of the copyright or the Registrar of Copyrights under this Act or in contravention of the conditions of a licence so granted or of any condition imposed by a competent authority under this Act—

(*i*) does anything, the exclusive right to do which is by this Act conferred upon the owner of the copyright, or

(*ii*) permits for profit any place to be used for the communication of the work to the public where such communication constitutes an infringement of the copyright in the work, unless he was not aware and had no reasonable ground for believing that such communication to the public would be an infringement of copyright; or

(*b*) when any person—

(*i*) makes for sale or hire, or sells or lets for hire, or by way of trade displays or offers for sale or hire, or

(*ii*) distributes either for the purpose of trade or to such an extent as to affect prejudicially the owner of the copyright, or

(*iii*) by way of trade exhibits in public, or

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(*iv*) imports into India,

any infringing copies of the work:

Provided that nothing in sub-clause (*iv*) shall apply to the import of one copy of any work for the private and domestic use of the importer.

Explanation. For the purposes of this section, the reproduction of a literary, dramatic, musical or artistic work in the form of a cinematograph film shall be deemed to be an "infringing copy".

52. Certain acts not to be infringement of copyright. (1) The following acts shall not constitute an infringement of copyright, namely:—

(*a*) a fair dealing with any work, not being a computer programme, for the purposes of—

(*i*) private or personal use, including research;

(*ii*) criticism or review, whether of that work or of any other work;

(*iii*) the reporting of current events and current affairs, including the reporting of a lecture delivered in public.

Explanation. The storing of any work in any electronic medium for the purposes mentioned in this clause, including the incidental storage of any computer programme which is not itself an infringing copy for the said purposes, shall not constitute infringement of copyright;

(*aa*) the making of copies or adaptation of a computer programme by the lawful possessor of a copy of such computer programme, from such copy—

(*i*) in order to utilise the computer programme for the purpose for which it was supplied; or

(*ii*) to make back-up copies purely as a temporary protection against loss, destruction or damage in order only to utilise the computer programme for the purpose for which it was supplied;

(*ab*) the doing of any act necessary to obtain information essential for operating inter-operability of an independently created computer programme with other programmes by a lawful possessor of a computer programme provided that such information is not otherwise readily available;

(*ac*) the observation, study or test of functioning of the computer programme in order to determine the ideas and principles which underline any elements of the programme while performing such acts necessary for the functions for which the computer programme as supplied;

(*ad*) the making of copies or adaptation of the computer programme from a personally legally obtained copy for non-commercial personal use;

(*b*) the transient or incidental storage of a work or performance purely in the technical process of electronic transmission or communication to the public;

(c) transient or incidental storage of a work or performance for the purpose of providing electronic links, access or integration, where

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such links, access or integration has not been expressly prohibited by the right holder, unless the person responsible is aware or has reasonable grounds for believing that such storage is of an infringing copy:

Provided that if the person responsible for the storage of the copy has received a written complaint from the owner of copyright in the work, complaining that such transient or incidental storage is an infringement, such person responsible for the storage shall refrain from facilitating such access for a period of twenty-one days or till he receives an order from the competent court refraining from facilitating access and in case no such order is received before the expiry of such period of twenty-one days, he may continue to provide the facility of such access;

(*d*) the reproduction of any work for the purpose of a judicial proceeding or for the purpose of a report of a judicial proceeding;

(*e*) the reproduction or publication of any work prepared by the Secretariat of a Legislature or, where the Legislature consists of two Houses, by the Secretariat of either House of the Legislature, exclusively for the use of the members of that Legislature;

(*f*) the reproduction of any work in a certified copy made or supplied in accordance with any law for the time being in force;

(*g*) the reading or recitation in public of reasonable extracts from a published literacy or dramatic work;

(*h*) the publication in a collection, mainly composed of non-copyright matter, *bona fide* intended for instructional use, and so described in the title and in any advertisement issued by or on behalf of the publisher, of short passages from published literary or dramatic works, not themselves published for such use in which copyright subsists:

Provided that not more than two such passages from works by the same author are published by the same publisher during any period of five years.

Explanation. In the case of a work of joint authorship, references in this clause to passages from works shall include references to passages from works by any one or more of the authors of those passages or by any one or more of those authors in collaboration with any other person;

(*i*) the reproduction of any work—

(*i*) by a teacher or a pupil in the course of instruction; or

(*ii*) as part of the questions to be answered in an examination; or

(*iii*) in answers to such questions;

(*j*) the performance, in the course of the activities of an educational institution, of a literary, dramatic or musical work by the staff and students of the institution, or of a cinematograph film or a sound recording if the audience is limited to such staff and students, the parents and guardians of the students and persons connected with the activities of the institution or the communication to such an audience of a cinematograph film or sound recording;

(*k*) the causing of a recording to be heard in public by utilising it,—

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(*i*) in an enclosed room or hall meant for the common use of residents in any residential premises (not being a hotel or similar commercial establishment) as part of the amenities provided exclusively or mainly for residents therein; or

(*ii*) as part of the activities of a club or similar organisation which is not established or conducted for profit;

(*l*) the performance of a literary, dramatic or musical work by an amateur club or society, if the performance is given to a non-paying audience, or for the benefit of a religious institution;

(*m*) the reproduction in a newspaper, magazine or other periodical of an article on current economic, political, social or religious topics, unless the author of such article has expressly reserved to himself the right of such reproduction;

(*n*) the storing of a work in any medium by electronic means by a non-commercial public library, for preservation if the library already possesses a non-digital copy of the work;

(*o*) the making of not more than three copies of a book (including a pamphlet, sheet of music, map, chart or plan) by or under the direction of the person in charge of a non-commercial public library for the use of the library if such book is not available for sale in India;

(*p*) the reproduction, for the purpose of research or private study, or with a view to publication, of an unpublished literary, dramatic or musical work kept in a library, museum or other institution to which the public has access:

Provided that where the identity of the author of any such work or, in the case of a work of joint authorship, of any of the authors is known to the library, museum or other institution, as the case may be, the provisions of this clause shall apply only if such reproduction is made at a time more than sixty years from the date of the death of the author or, in the case of a work of joint authorship, from the death of the author whose identity is known or, if the identity of more authors than one is known from the death of such of those authors who died last;

(*q*) the reproduction or publication of—

(*i*) any matter which has been published in any Official Gazette except an Act of a Legislature;

(*ii*) any Act of a Legislature subject to the condition that such Act is reproduced or published together with any commentary thereon or any other original matter;

(*iii*) the report of any committee, commission, council, board or other like body appointed by the Government if such report has been laid on the Table of the Legislature, unless the reproduction or publication of such report is prohibited by the Government;

(*iv*) any judgment or order of a court, tribunal or other judicial authority, unless the reproduction or publication of such judgment or order is prohibited by the court, the tribunal or other judicial authority, as the case may be;

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(*r*) the production or publication of a translation in any Indian language of an Act of a Legislature and of any rules or orders made thereunder—

(*i*) if no translation of such Act or rules or orders in that language has been produced or published by the Government; or

(*ii*) where a translation of such Act or rules or orders in that language has been produced or published by the Government, if the translation is not available for sale to the public:

Provided that such translation contains a statement at a prominent place to the effect that the translation has not been authorised or accepted as authentic by the Government;

(*s*) the making of publishing of a painting, drawing, engraving or photograph of a work of architecture or the display of a work of architecture;

(*t*) the making or publishing of a painting, drawing, engraving or photograph of sculpture or other artistic work falling under sub-clause (*iii*) of clause (*c*) of section 2, if such work is permanently situate in a public place or any premises to which the public has access;

(*u*) the inclusion in a cinematograph film of—

(*i*) any artistic work permanently situate in a public place or any premises to which the public has access; or

(*ii*) any other artistic work, if such inclusion is only by way of background or is otherwise incidental to the principal matters represented in the film;

(*v*) the use by the author of an artistic work, where the author of such work is not the owner of the copyright therein, or any mould, cast, sketch, plan, model or study made by him for the purpose of the work:

Provided that he does not thereby repeat or imitate the main design of the work;

(*w*) the making of a three-dimensional object from a two-dimensional artistic work, such as a technical drawing, for the purposes of industrial application of any purely functional part of a useful device;

(*x*) the reconstruction of a building or structure in accordance with the architectural drawings or plans by reference to which the building or structure was originally constructed:

Provided that the original construction was made with the consent or licence of the owner of the copyright in such drawings and plans;

(*y*) in relation to a literary, dramatic, artistic or musical work recorded or reproduced in any cinematograph film, the exhibition of such film after the expiration of the term of copyright therein:

Provided that the provisions of sub-clause (*ii*) of clause (*a*), sub-clause (*i*) of clause (*b*) and clauses (*d*), (*f*), (*g*), (*m*) and (*p*) shall not apply as respects any act unless that act is accompanied by an acknowledgement—

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(*i*) identifying the work by its title or other description; and

(*ii*) unless the work is anonymous or the author of the work has previously agreed or required that no acknowledgement of his name should be made, also identifying the author;

(*z*) the making of an ephemeral recording, by a broadcasting organisation using its own facilities for its own broadcast by a broadcasting organisation of a work which it has the right to broadcast; and the retention of such recording for archival purposes on the ground of its exceptional documentary character;

(*za*) the performance of a literary, dramatic or musical work or the communication to the public of such work or of a sound recording in the course of any *bona fide* religious ceremony or an official ceremony held by the Central Government or the State Government or any local authority.

Explanation. For the purpose of this clause, religious ceremony including a marriage procession and other social festivities associated with a marriage.

(*zb*) the adaptation, reproduction, issue of copies or communication to the public of any work in any accessible format, by—

(*i*) any person to facilitate persons with disability to access to works including sharing with any person with disability of such accessible format for private or personal use, educational purpose or research; or

(*ii*) any organisation working for the benefit of the persons with disabilities in case the normal format prevents the enjoyment of such works by such persons:

Provided that the copies of the works in such accessible format are made available to the persons with disabilities on a non-profit basis but to recover only the cost of production:

Provided further that the organisation shall ensure that the copies of works in such accessible format are used only by persons with disabilities and takes reasonable steps to prevent its entry into ordinary channels of business.

Explanation. For the purposes of the sub-clause, "any organisation" includes and organisation registered under section 12A of the Income-tax Act, 1961 (43 of 1961) and working for the benefit of persons with disability or recognised under Chapter X of the Persons with Disabilities (Equal Opportunities, Protection or Rights and Full Participation) Act, 1995 (1 of 1996) or receiving grants from the government for facilitating access to persons with disabilities or an educational institution or library or archives recognised by the Government.

(*zc*) the importation of copies of any literary or artistic work, such as labels, company logos or promotional or explanatory material, that is purely incidental to other goods or products being imported lawfully.

(2) The provisions of sub-section (1) shall apply to the doing of any act in relation to the translation of a literary, dramatic or musical work or the adaptation of a literary, dramatic, musical or artistic work as they apply in relation to the work itself.

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52A. Particulars to be included in sound recording and video films. (1) No person shall publish a sound recording in respect of any work unless the following particulars are displayed on the sound recording and on any container thereof, namely:—

(*a*) the name and address of the person who has made the sound recording;

(*b*) the name and address of the owner of the copyright in such work; and

(*c*) the year of its first publication.

(2) No person shall publish a video film in respect of any work unless the following particulars are displayed in the video film, when exhibited, and on the video cassette or other container thereof, namely:

(*a*) if such work is a cinematograph film required to be certified for exhibition under the provisions of the Cinematograph Act, 1952 (37 of 1952), a copy of the certificate granted by the Board of Film Certification under section 5A of that Act in respect of such work;

(*b*) the name and address of the person who has made the video film and a declaration by him that he obtained the necessary licence or consent from the owner of the copyright in such work for making such video film; and

(*c*) the name and address of the owner of the copyright in such work.

52B. Accounts and audit. *Omitted.*

53. Importation of infringing copies. (1) The owner of any right conferred by this Act in respect of any work or any performance embodied in such work, or his duly authorised agent, may give notice in writing to the Commissioner of Customs, or to any other officer authorised in this behalf by the Central Board of Excise and Customs,—

(*a*) that he is the owner of the said right, with proof thereof; and

(*b*) that he requests the Commissioner for a period specified in the notice, which shall not exceed one year, to treat infringing copies of the work as prohibited goods, and that infringing copies of the work are expected to arrive in India at a time and a place specified in the notice.

(2) The Commissioner, after scrutiny of the evidence furnished by the owner of the right and on being satisfied may, subject to the provisions of sub-section (3), treat infringing copies of the work as prohibited goods that have been imported into India, excluding goods in transit:

Provided that the owner of the work deposits such amount as the Commissioner may require as security having regard to the likely expenses on demurrage, cost of storage and compensation to the importer in case it is found that the works are not infringing copies.

(3) When any goods treated as prohibited under sub-section (2) have been detained, the Customs Officer detaining them shall inform the importer as well as the person who gave notice under sub-section (1) of the detention of such goods within forty-eight hours of their detention.

(4) The Customs Officer shall release the goods, and they shall no longer be treated as prohibited goods, if the person who gave notice under

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sub-section (1) does not produce any order from a court having jurisdiction as to the temporary or permanent disposal of such goods within fourteen days from the date of their detention.

53A. Resale share right in original copies. (1) In the case of resale for a price exceeding ten thousand rupees, of the original copy of a painting, sculpture or drawing, or of the original manuscript of a literary or dramatic work or musical work, the author of such work if he was the first owner of rights under section 17 or his legal heirs shall, notwithstanding any assignment of copyright in such work, have a right to share in the resale price of such original copy or manuscript in accordance with the provisions of this section:

Provided that such right shall cease to exist on the expiration of the term of copyright in the work.

(2) The share referred to in sub-section (1) shall be such as the Copyright Board may fix and the decision of the Copyright Board in this behalf shall be final:

Provided that the Copyright Board may fix different shares for different classes of work:

Provided further that in no case shall the share exceed ten percent. of the resale price.

(3) If any dispute arises regarding the right conferred by this section, it shall be referred to the Copyright Board whose decision shall be final.

CHAPTER XII

CIVIL REMEDIES

54. Definition. For the purposes of this Chapter, unless the context otherwise requires, the expression "owner of copyright" shall include—

(*a*) an exclusive licensee;

(*b*) in the case of an anonymous or pseudonymous literary, dramatic, musical or artistic work, the publisher of the work, until the identity of the author or, in the case of an anonymous work of joint authorship, or a work of joint authorship published under names all of which are pseudonyms, the identity of any of the authors, is disclosed publicly by the author and the publisher or is otherwise established to the satisfaction of the Copyright Board by that author or his legal representatives.

55. Civil remedies for infringement of copyright. (1) Where copyright in any work has been infringed, the owner of the copyright shall, except as otherwise provided by this Act, be entitled to all such remedies by way of injunction, damages, accounts and otherwise as are or may be conferred by law for the infringement of a right:

Provided that if the defendant proves that at the date of the infringement he was not aware and had no reasonable ground for believing that copyright subsisted in the work, the plaintiff shall not be entitled to any remedy other than an injunction in respect of the infringement and a decree for the whole or part of the profits made by the defendant by the sale of the infringing copies as the court may in the circumstances deem reasonable.

(2) Where, in the case of a literary, dramatic, musical or artistic work, or, subject to the provisions of sub-section (3) of section 13, a cinematograph film

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or sound recording, a name purporting to be that of the author, or the publisher, as the case may be, of that work, appears on copies of the work as published, or, in the case of an artistic work, appeared on the work when it was made, the person whose name so appears or appeared shall, in any proceeding in respect of infringement of copyright in such work, be presumed, unless the contrary is proved, to be the author or the publisher of the work, as the case may be.

(3) The costs of all parties in any proceedings in respect of the infringement of copyright shall be in the discretion of the court.

56. Protection of separate rights. Subject to the provisions of this Act, where the several rights comprising the copyright in any work are owned by different persons, the owner of any such right shall, to the extent of that right, be entitled to the remedies provided by this Act and may individually enforce such right by means of any suit, action or other proceeding without making the owner of any other right a party to such suit, action or proceeding.

57. Author's special rights. (1) Independently of the author's copyright, and even after the assignment either wholly or partially of the said copyright, the author of a work shall have the right—

(*a*) to claim authorship of the work; and

(*b*) to restrain or claim damages in respect of any distortion, mutilation, modification or other act in relation to the said work if such distortion, mutilation, modification or other act would be prejudicial to his honour or reputation:

Provided that the author shall not have any right to restrain or claim damages in respect of any adaptation of a computer programme to which clause (*aa*) of sub-section (1) of section 52 applies.

Explanation. Failure to display a work or to display it to the satisfaction of the author shall not be deemed to be an infringement of the rights conferred by this section.

(2) The right conferred upon an author of a work by sub-section (1), may be exercised by the legal representatives of the author.

58. Rights of owner against persons possessing or dealing with infringing copies. All infringing copies of any work in which copyright subsists, and all plates used or intended to be used for the production of such infringing copies shall be deemed to be the property of the owner of the copyright, who accordingly may take proceedings for the recovery of possession thereof or in respect of the conversion thereof:

Provided that the owner of the copyright shall not be entitled to any remedy in respect of the conversion of any infringing copies, if the opponent proves—

(*a*) that he was not aware and had no reasonable ground to believe that copyright subsisted in the work of which such copies are alleged to be infringing copies; or

(*b*) that he had reasonable grounds for believing that such copies or plates do not involve infringement of the copyright in any work.

59. Restriction on remedies in the case of works of architecture. (1) Notwithstanding anything contained in the Specific Relief Act, 1963 (47 of 1963), where the construction of a building or other structure which infringes or

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which, if completed, would infringe the copyright in some other work has been commenced, the owner of the copyright shall not be entitled to obtain an injunction to restrain the construction of such building or structure or to order its demolition.

(2) Nothing in section 58 shall apply in respect of the construction of a building or other structure which infringes or which, if completed, would infringe the copyright in some other work.

60. Remedy in the case of groundless threat of legal proceedings. Where any person claiming to be the owner of copyright in any work, by circulars, advertisements or otherwise, threatens any other person with any legal proceedings or liability in respect of an alleged infringement of the copyright, any person aggrieved thereby may, notwithstanding anything contained in section 34 of the Specific Relief Act, 1963 (47 of 1963) institute a declaratory suit that the alleged infringement to which the threats related was not in fact an infringement of any legal rights of the person making such threats and may in any such suit—

(*a*) obtain an injunction against the continuance of such threats; and

(*b*) recover such damages, if any, as he has sustained by reason of such threats:

Provided that this section shall not apply if the person making such threats, with due diligence, commences and prosecutes an action for infringement of the copyright claimed by him.

61. Owner of copyright to be party to the proceeding. (1) In every civil suit or other proceeding regarding infringement of copyright instituted by an exclusive licensee, the owner of the copyright shall, unless the court otherwise directs, be made a defendant and where such owner is made a defendant, he shall have the right to dispute the claim of the exclusive licensee.

(2) Where any civil suit or other proceeding regarding infringement of copyright instituted by an exclusive licensee is successful, no fresh suit or other proceeding in respect of the same cause of actions shall lie at the instance of the owner of the copyright.

62. Jurisdiction of court over matters arising under this Chapter. (1) Every suit or other civil proceeding arising under this Chapter in respect of the infringement of copyright in any work or the infringement of any other right conferred by this Act shall be instituted in the district court having jurisdiction.

(2) For the purpose of sub-section (1), a "district court having jurisdiction" shall, notwithstanding anything contained in the Code of Civil Procedure, 1908 (5 of 1908), or any other law for the time being in force, include a district court within the local limits of whose jurisdiction, at the time of the institution of the suit or other proceeding, the person instituting the suit or other proceeding or, where there are more than one such persons, any of them actually and voluntarily resides or carries on business or personally works for gain.

CHAPTER XIII

OFFENCES

63. Offence of infringement of copyright or other rights conferred by this Act. Any person who knowingly infringes or abets the infringement of—

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(*a*) the copyright in a work, or

(*b*) any other right conferred by this Act, except the right conferred by section 53A,

shall be punishable with imprisonment for a term which shall not be less than six months but which may extend to three years and with fine which shall not be less than fifty thousand rupees but which may extent to two lakh rupees:

Provided that where the infringement has not been made for gain in the course of trade or business the court may, for adequate and special reasons to be mentioned in the judgment, impose a sentence of imprisonment for a term of less than six months or a fine of less than fifty thousand rupees.

Explanation. Construction of a building or other structure which infringes or which, if completed, would infringe the copyright in some other work shall not be an offence under this section.

63A. Enhanced penalty on second and subsequent convictions. Whoever having already been convicted of an offence under section 63 is again convicted of any such offence shall be punishable for the second and for every subsequent offence, with imprisonment for a term which shall not be less than one year but which may extend to three years and with fine which shall not be less than one lakh rupees but which may extend to two lakh rupees:

Provided that where the infringement has not been made for gain in the course of trade or business the court may, for adequate and special reasons to be mentioned in the judgment, impose a sentence of imprisonment for a term of less than one year or a fine of less than one lakh rupees:

Provided further that for the purposes of this section, no cognizance shall be taken of any conviction made before the commencement of the Copyright (Amendment) Act, 1984 (65 of 1984).

63B. Knowing use of infringing copy of computer programme to be an offence. Any person who knowingly makes use on a computer of an infringing copy of a computer programme shall be punishable with imprisonment for a term which shall not be less than seven days but which may extent to three years and with fine which shall not be less than fifty thousand rupees but which may extend to two lakh rupees:

Provided that where the computer programme has not been used for gain or in the course of trade or business, the court may, for adequate and special reasons to be mentioned in the judgment, not impose any sentence of imprisonment and may impose a fine which may extend to fifty thousand rupees.

64. Power of policy to seize infringing copies. (1) Any police officer, not below the rank of a sub-inspector, may, if he is satisfied that an offence under section 63 in respect of the infringement of copyright in any work has been, is being, or is likely to be, committed, seize without warrant, all copies of the work, and all plates used for the purpose of making infringing copies of the work, wherever found, and all copies and plates so seized shall, as soon as practicable, be produced before a Magistrate.

(2) Any person having an interest in any copies of a work or plates seized under sub-section (1) may, within fifteen days of such seizure, make an application to the Magistrate for such copies or plates being restored to him

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and the Magistrate, after hearing the applicant and the complainant and making such further inquiry as may be necessary, shall make such order on the application as he may deem fit.

65. Possession of plates for purpose of making infringing copies. Any person who knowingly makes, or has in his possession, any plate for the purpose of making infringing copies of any work in which copyright subsists shall be punishable with imprisonment which may extend to two years and shall also be liable to fine.

65A. Protection of technological measures. (1) Any person who circumvents an effective technological measure applied for the purpose of protecting any of the rights conferred by this Act, with the intention of infringing such rights, shall be punishable with imprisonment which may extend to two years and shall also be liable to fine.

(2) Nothing in sub-section (1) shall prevent any person from,—

(*a*) doing anything referred to therein for a purpose not expressly prohibited by this Act:

Provided that any person facilitating circumvention by another person of a technological measure for such a purpose shall maintain a complete record of such other person including his name, address and all relevant particulars necessary to identify him and the purpose for which he has been facilitated; or

(*b*) doing anything necessary to conduct encryption research using a lawfully obtained encrypted copy; or

(*c*) conducting any lawful investigation; or

(*d*) doing anything necessary for the purpose of testing the security of a computer system or a computer network with the authorisation of its owner; or

(*e*) operator; or

(*f*) doing anything necessary to circumvent technological measures intended for identification or surveillance of a user; or

(*g*) taking measures necessary in the interest of national security.

65B. Protection of Rights Management Information. Any person, who knowingly,—

(*i*) removes or alters any rights management information without Management authority, or

(*ii*) distributes, imports for distribution, broadcasts or communicates to the public, without authority, copies of any work, or performance knowing that electronic rights management information has been removed or altered without authority,

shall be punishable with imprisonment which may extend to two years and shall also be liable to fine:

Provided that if the rights management information has been tampered with in any work, the owner of copyright in such work may also avail of civil remedies provided under Chapter XII against the persons indulging in such acts.

66. Disposal of infringing copies or plates for purpose of making infringing copies. The court trying any offence under this Act may, whether the alleged

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offender is convicted or not, order that all copies of the work or all plates in the possession of the alleged offender, which appear to be infringing copies, or plates for the purpose of making infringing copies, be delivered up to the owner of the copyright or may make such order as it may deem fit regarding the disposal of such copies or plates.

67. Penalty for making false entries in register, etc., for producing or tendering false entries. Any person who,—

(*a*) makes or causes to be made a false entry in the Register of Copyrights kept under this Act, or

(*b*) makes or causes to be made a writing falsely purporting to be a copy of any entry in such register, or

(*c*) produces or tenders or causes to be produced or tendered as evidence any such entry or writing, knowing the same to be false,

shall be punishable with imprisonment which may extend to one year, or with fine, or with both.

68. Penalty for making false statements for the purpose of deceiving or influencing any authority or officer. Any person who,—

(*a*) with a view to deceiving any authority or officer in the execution of the provisions of this Act, or

(*b*) with a view to procuring or influencing the doing or omission of anything in relation to this Act or any matter thereunder,

makes a false statement or representation knowing the same to be false, shall be punishable with imprisonment which may extend to one year, or with fine, or with both.

68A. Penalty for contravention of section 52A. Any person who publishes a sound recording or a video film in contravention of the provisions of section 52A shall be punishable with imprisonment which may extend to three years and shall also be liable to fine.

69. Offences by companies. (1) Where any offence under this Act has been committed by a company, every person who at the time the offence was committed was in charge of, and was responsible to the company for, the conduct of the business of the company, as well as the company shall be deemed to be guilty of such offence and shall be liable to be proceeded against and punished accordingly:

Provided that nothing contained in this sub-section shall render any person liable to any punishment, if he proves that the offence was committed without his knowledge or that he exercised all due diligence to prevent the commission of such offence.

(2) Notwithstanding anything contained in sub-section (1), where an offence under this Act has been committed by a company, and it is proved that the offence was committed with the consent or connivance of, or is attributable to any negligence on the part of, any director, manager, secretary or other

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officer of the company, such director, manager, secretary or other officer shall also be deemed to be guilty of that offence and shall be liable to be proceeded against and punished accordingly.

Explanation. For the purposes of this section—

(*a*) "company" means any body corporate and includes a firm or other association of persons; and

(*b*) "director" in relation to a firm means a partner in the firm.

70. Cognizance of offences. No court inferior to that of a Metropolitan Magistrate or a Judicial Magistrate of the first class shall try any offence under this Act.

CHAPTER XIV

APPEALS

71. Appeals against certain orders of Magistrate. Any person aggrieved by an order made under sub-section (2) of section 64 or section 66 may, within thirty days of the date of such order, appeal to the court to which appeals from the court making the order ordinarily lie, and such appellate court may direct that execution of the order be stayed pending disposal of the appeal.

72. Appeals against orders of Registrar of Copyrights and Copyright Board. (1) Any person aggrieved by any final decision or order of the Registrar of Copyrights may, within three months from the date of the order or decision, appeal to the Copyright Board.

(2) Any person aggrieved by any final decision or order of the Copyright Board, not being a decision or order made in an appeal under sub-section (1) may, within three months from the date of such decision or order, appeal to the High Court within whose jurisdiction the appellant actually and voluntarily resides or carries on business or personally works for gain:

Provided that no such appeal shall lie against a decision of the Copyright Board under section 6.

(3) In calculating the period of three months provided for an appeal under this section, the time taken in granting a certified copy of the order or record of the decision appealed against shall be excluded.

73. Procedure for appeals. The High Court may make rules consistent with this Act as to the procedure to be followed in respect of appeals made to it under section 72.

CHAPTER XV

MISCELLANEOUS

74. Registrar of Copyrights and Copyright Board to possess certain powers of civil courts. The Registrar of Copyrights and the Copyright Board shall have the powers of civil court when trying a suit under the Code of Civil Procedure, 1908 (5 of 1908) in respect of the following matters, namely—

(*a*) summoning and enforcing the attendance of any person and examining him on oath;

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(*b*) requiring the discovery and production of any document;

(*c*) receiving evidence on affidavits;

(*d*) issuing commissions for the examination of witnesses or documents;

(*e*) requisitioning any public record or copy thereof from any court or office;

(*f*) any other matter which may be prescribed.

Explanation. For the purpose of enforcing the attendance of witnesses, the local limits of the jurisdiction of the Registrar of Copyrights or the Copyright Board, as the case may be, shall be the limits of the territory of India.

75. Orders for payment of money passed by Registrar of Copyrights and Copyright Board to be executable as a decree. Every order made by the Registrar of Copyrights or the Copyright Board under this Act for the payment of any money or by the High Court in any appeal against any such order of the Copyright Board shall, on a certificate issued by the Registrar of Copyrights, the Copyright Board or the Registrar of the High Court, as the case may be, be deemed to be a decree of a civil court and shall be executable in the same manner as a decree of such court.

76. Protection of action taken in good faith. No suit or other legal proceeding shall lie against any person in respect of anything which is in good faith done or intended to be done in pursuance of this Act.

77. Certain persons to be public servants. Every officer appointed under this Act and every member of the Copyright Board shall be deemed to be a public servant within the meaning of section 21 of the Indian Penal Code (45 of 1860).

78. Power to make rules. (1) The Central Government may, by notification in the Official Gazette, make rules for carrying out the purposes of this Act.

(2) In particular, and without prejudice to the generality of the foregoing power, the Central Government may make rules to provide for all or any of the following matters, namely:—

(*a*) the salaries and allowances payable to and the other terms and conditions of service of the chairman and other members of the Copyright Board under sub-section (2) of section 11;

(*b*) the form of complaints and applications to be made, and the licences to be granted, under this Act;

(*c*) the procedure to be followed in connection with any proceeding before the Registrar of Copyrights;

(*CA*) the form and manner in which an organisation may apply to the Copyright Board for compulsory licence for disabled and the fee which may accompany such application under sub-section (1) of section 31B;

(*CB*) the manner in which a person making sound recording may give prior notice of his intention to make sound recording under sub-section (2) of section 31C;

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(*CC*) the register and books of account and the details of existing stock which a person making sound recording may maintain under sub-section (5) of section 31C;

(*CD*) the manner in which prior notice may be given by a broadcasting organisation under sub-section (2) of section 31D;

(*CE*) the reports and accounts which may be maintained under clause (*a*), and the inspection of records and books of account which may be made under clause (*b*) of sub-section (7) of section 31D;

(*ca*) the conditions for submission of application under sub-section (2) of section 33;

(*cb*) the conditions subject to which a copyright society may be registered under sub-section (3) of section 33;

(*cc*) the inquiry for cancellation of registration under sub-section (4) of section 33;

(*CCA*) the manner in which a copyright society may publish its Tariff Scheme under sub-section (1) of section 33A;

(*CCB*) the fee which is to be paid before filing an appeal to the Copyright Board under sub-section (2) of section 33A;

(*CCC*) the form of application for renewal of registration of a copyright society and the fee which may accompany such application under sub-section (3A) of section 33;

(*cd*) the conditions subject to which the copyright society may accept authorisation under clause (*a*) of sub-section (1) of section 34 and the conditions subject to which owners of rights have right to withdraw such authorisation under clause (*d*) of that sub-section;

(*ce*) the conditions subject to which a copyright society may issue licences, collect fees and distribute such fees amongst owners of rights under sub-section (3) of section 34;

(*cf*) the manner in which the approval of the owners of rights regarding collection and distribution of fees, approval for utilisation of any amount collected as fees and to provide to such owners information concerning activities in relation to the administration of their rights under sub-section (1) of section 35;

(*cg*) the returns to be filed by copyright societies to the Registrar of Copyrights under sub-section (1) of section 36;

(*d*) the manner of determining any royalties payable under this Act, and the security to be taken for the payment of such royalties;

(*da*) the manner of payment of royalty under clause (*j*) of sub-section (*l*) of section 52;

(*db*) *omitted.*

(*e*) the form of Register of Copyrights to be kept under this Act and the particulars to be entered therein;

(*f*) the matters in respect of which the Registrar of Copyrights and the Copyright Board shall have powers of a civil court;

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(*g*) the fees which may be payable under this Act;

(*h*) the regulation of business of the Copyright Office and of all things by this Act placed under the direction or control of the Registrar of Copyrights.

(3) Every rule made under this section shall be laid, as soon as may be after it is made, before each House of Parliament, while it is in session, for a total period of thirty days which may be comprised in one session or in two or more successive sessions, and if, before the expiry of the session immediately following the session or the successive sessions, aforesaid, both Houses agree in making any modification in the rule or both Houses agree that the rule should not be made, the rule shall thereafter have effect only in such modified form or be of no effect, as the case may be; so, however, that any such modification or annulment shall be without prejudice to the validity of anything previously done under that rule.

79. Repeals, savings and transitional provisions. (1) The Indian Copyright Act, 1914 (3 of 1914) and the Copyright Act of 1911 passed by the Parliament of the United Kingdom as modified in its application to India by the Indian Copyright Act, 1914, are hereby repealed.

(2) Where any person has, before the commencement of this Act, taken any action whereby he has incurred any expenditure or liabilities in connection with the reproduction or performance of any work in a manner which at the time was lawful or for the purpose of or with view to the reproduction or performance of a work at a time when such reproduction or performance would but for the coming into force of this Act, have been lawful, nothing in this section shall diminish or prejudice any rights or interests arising from or in connection with such action which are subsisting and valuable at the said date, unless the person who, by virtue of this Act, becomes entitled to restrain such reproduction or performance agrees to pay such compensation as, failing agreement, may be determined by the Copyright Board.

(3) Copyright shall not subsist by virtue of this Act in any work in which copyright did not subsist immediately before the commencement of this Act under any Act repealed by sub-section (1).

(4) Where copyright subsisted in any work immediately before the commencement of this Act, the rights comprising such copyright shall, as from the date of such commencement, be the rights specified in section 14 in relation to the class of works to which such work belongs, and where any new rights are conferred by that section, the owner of such rights shall be—

(*a*) in any case where copyright in the work was wholly assigned before the commencement of this Act, the assignee or his successor-in-interest;

(*b*) in any other case, the person who was the first owner of the copyright in the work under any Act repealed by sub-section (1) or his legal representatives.

(5) Except as otherwise provided in this Act, where any person is entitled immediately before commencement of this Act to copyright in any work or

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any right in such copyright or to an interest in any such right, he shall continue to be entitled to such right or interest for the period for which he would have been entitled thereto if this Act had not come into force.

(6) Nothing contained in this Act shall be deemed to render any act done before its commencement an infringement of copyright if that act would not otherwise have constituted such an infringement.

(7) Save as otherwise provided in this section, nothing in this section shall be deemed to affect the application of the General Clauses Act, 1897 (10 of 1897), with respect to the effect of repeals.

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APPENDIX

5

Ratification of Paris Convention

NOTIFICATION NO. S.O. 1041 (E)

MINISTRY OF INDUSTRY

(Department of Industrial Development)

New Delhi, the 3rd December, 1998

Whereas the countries specified in the table given below (hereinafter referred to as the said countries) have ratified the Paris Convention for the Protection of Industrial Property, administered by the World Intellectual Property Organisation to which India is also a signatory country.

And whereas the said countries would afford to applicants for Trade Marks in India or to citizens of India similar privileges as are granted to their own citizens in respect of the grant of Trade Marks and the protection of Trade Mark rights;

And whereas for the fulfillment of arrangements with the said countries as per the said Convention, it is necessary to declare such countries as convention countries.

Now, therefore, in exercise of the powers conferred by sub-section (1) of section 131 of the Trade and Merchandise Marks Act, 1958 (43 of 1958), the Central Government hereby declares each of the said countries to be a convention country for in relation to the said convention all the provisions of the said Act.

TABLE

Sl. No.	Name of the country	Sl. No.	Name of the country	Sl. No.	Name of the country
(1)	(2)	(1)	(2)	(1)	(2)
1.	Albania	3.	Argentina	5.	Australia
2.	Algeria	4.	Armenia	6.	Austria

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TABLE — *continued*

(1)	(2)
7.	Azerbaijan
8.	Bahamas
9.	Bahrain
10.	Bangladesh
11.	Barbados
12.	Belarus
13.	Belgium
14.	Benin
15.	Bolivia
16.	Bosnia and Herzegovina
17.	Botswana
18.	Brazil
19.	Bulgaria
20.	Burkina Faso
21.	Burundi
22.	Combodia
23.	Cameroon
24.	Canada
25.	Central African Republic
26.	Chad
27.	Chile
28.	China
29.	Colombia
30.	Congo
31.	Costa Rica
32.	Cote d'Ivoire
33.	Croatia
34.	Cuba
35.	Cyprus
36.	Czech Republic
37.	Democratic People's Republic Korea
38.	Democratic Republic of the Congo
39.	Denmark
40.	Dominican Republic
41.	Egypt
42.	El Salvador
43.	Equatorial Guinea
44.	Estonia
45.	Finland
46.	France
47.	Gabon
48.	Gambia
49.	Georgia
50.	Germany
51.	Ghana
52.	Greece
53.	Grenada
54.	Guatemala
55.	Guinea
56.	Guinea-Bissau
57.	Guvana
58.	Haiti
59.	Holy See
60.	Honduras
61.	Hungary
62.	Iceland
63.	Indonesia
64.	Iran (Islamic Republic of)
65.	Iraq
66.	Ireland
67.	Israel
68.	Italy
69.	Japan
70.	Jordan
71.	Kazakhastan
72.	Kenya
73.	Kyrgyzstan
74.	Laos
75.	Latvia
76.	Lebanon
77.	Lesotho
78.	Liberia
79.	Libya
80.	Liechtenstein
81.	Lithuania
82.	Luxembourg
83.	Madagascar
84.	Malawi
85.	Malaysia
86.	Mali
87.	Malta
88.	Mauritania
89.	Mauritius
90.	Mexico
91.	Monaco
92.	Mongolia
93.	Morocco
94.	Mozambique
95.	Netherlands
96.	New Zealand
97.	Nicaragua
98.	Niger
99.	Nigeria
100.	Norway
101.	Panama
102.	Paraguay
103.	Peru
104.	Philippines
105.	Poland
106.	Portugal
107.	Republic of Korea
108.	Republic of Moldova
109.	Romania
110.	Russian Federation
111.	Rwanda
112.	Saint Kitts and Nevis
113.	Saint Lucia
114.	Saint Vincent and the Grenadines
115.	San Marino
116.	Sao Tome and Principe

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TABLE — *continued*

(1)	(2)	(1)	(2)	(1)	(2)
117.	Senegal	131.	Tajikistan	141.	United Kingdom
118.	Sierra Leone	132.	The former Yugoslav Republic of Macedonian	142.	United Republic of Tanzania
119.	Singapore	133.	Togo	143.	United States of America
120.	Slovakia	134.	Trinidad and Tobago	144.	Uruguay
121.	Slovenia	135.	Tunisia	145.	Uzbekistan
122.	South Africa	136.	Turkey	146.	Venezuela
123.	Spain	137.	Turkmenistan	147.	Viet Nam
124.	Sri Lanka	138.	Uganda	148.	Yugoslavia
125.	Sudan	139.	Ukraine	149.	Zambia
126.	Sunname	140.	United Arab Emirates	150.	Zimbabwe
127.	Swaziland				
128.	Sweden				
129.	Switzerland				
130.	Syria				

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APPENDIX

6

TRIPs Agreement

[Extracts]

Part II: STANDARDS CONCERNING THE AVAILABILITY, SCOPE AND USE OF INTELLECTUAL PROPERTY RIGHTS

Section 1—Copyright and Related Rights

ARTICLE 9

Relation to Berne Convention

1. Members shall comply with Articles 1-21 and the Appendix of the Berne Convention (1971). However, Members shall not have rights or obligations under this Agreement in respect of the rights conferred under Article 6*bis* of that Convention or of the rights derived therefrom.

2. Copyright protection shall extend to expressions and not to ideas, procedures, methods of operation or mathematical concepts as such.

ARTICLE 10

Computer Programs and Compilations of Data

1. Computer programs, whether in source or object code, shall be protected as literary works under the Berne Convention (1971).

2. Compilations of data or other material, whether in machine readable or other form, which by reason of the selection or arrangement of their contents constitute intellectual creations shall be protected as such. Such protection, which shall not extend to the data or material itself, shall be without prejudice to any copyright subsisting in the data or material itself.

ARTICLE 11

Rental Rights

In respect of at least computer programs and cinematographic works, a Member shall provide authors and their successors in title the right to authorise

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or to prohibit the commercial rental to the public of originals or copies of their copyright works. A Member shall be expected from this obligation in respect of cinematographic works unless such rentals has led to widespread copying of such works which is materially impairing the exclusive right of reproduction conferred in that Member on authors and their successors in title. In respect of computer programs, this obligation does not apply to rentals where the program itself is not the essential object of the rental.

ARTICLE 12

Term of Protection

Whenever the term of protection of a work, other than a photographic work or a work of applied art, is calculated on a basis other than the life of a natural person, such term shall be no less than fifty years from the end of the calendar year of authorised publication, or, failing such authorised publication within fifty years from the making of the work, fifty years from the end of the calendar year of making.

ARTICLE 13

Limitations and Exceptions

Members shall confine limitations or exceptions to exclusive rights to certain special cases which do not conflict with a normal exploitation of the work and do not unreasonably prejudice the legitimate interests of the right holder.

ARTICLE 14

Protection of Performers, Producers of Phonograms (Sound Recordings) and Broadcasting Organisations

1. In respect of a fixation of their performance on a phonogram, performers shall have the possibility of preventing the following acts when undertaken without their authorisation: the fixation of their unfixed performance and the reproduction of such fixation. Performers shall also have the possibility of preventing the following acts when undertaken without their authorisation: the broadcasting by wireless means and the communication to the public of their live performance.

2. Producers of phonograms shall enjoy the right to authorise or prohibit the direct or indirect reproduction of their phonograms.

3. Broadcasting organisation shall have the right to prohibit the following acts when undertaken without authorisation: the fixation, the reproduction of fixations, and the rebroadcasting by wireless means of broadcasts, as well as the communication to the public of television broadcasts of the same. Where Members do not grant such rights to broadcasting organisations, they shall provide owners of copyright in the subject matter of broadcasts with the possibility of preventing the above acts, subject to the provisions of the Berne Convention (1971).

4. The provisions of Article 11 in respect of computer programs shall apply *mutatis mutandis* to producers of phonograms and any other right holders in phonograms as determined in Member's. If, on April 15, 1994, a Member has in force a system of equitable remuneration of right holders in respect of the rental of phonograms, it may maintain such system provided

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that the commercial rental of phonograms is not giving rise to the material impairment of the exclusive rights of reproduction of right holders.

5. The term of the protection available under this Agreement to performers and producers of phonograms shall last at least until the end of a period of fifty years computed from the end of the calendar year in which the fixation was made or the performance took place. The term of protection granted pursuant to paragraph 3 shall last for at least twenty years from the end of the calendar year in which the broadcast took place.

6. Any Member may, in relation to the rights conferred under paragraphs 1-3, provide for conditions, limitations, exceptions and reservations to the extent permitted by the Rome Convention however, the provisions of Article 18 of the Berne Convention (1971) shall also apply, *mutatis mutandis*, to the rights of performers and producers of phonograms in phonograms.

Section 2—Trade Marks

ARTICLE 15

Protectable Subject Matter

1. Any sign, or any combination of signs, capable of distinguishing the goods or services of one undertaking from those of other undertakings, shall be capable of constituting a trade mark. Such signs, in particular words including personal names, letters, numerals, figurative elements and combinations of colours as well as any combination of such signs, shall be eligible for registration as trade marks. Where signs are not inherently capable of distinguishing the relevant goods or services. Members may make registrability depend on distinctiveness acquired through use. Members may require, as a condition of registration, that signs be visually perceptible.

2. Paragraph 1 shall not be understood to prevent a Member from denying registration of a trade mark on other grounds, provided that they do not derogate from the provisions of the Paris Convention (1967).

3. Members may make registrability depend on use. However, actual use of a trade mark shall not be a condition for filing an application for registration. An application shall not be refused solely on the ground that intended use has not taken place before the expiry of a period of three years from the date of application.

4. The nature of the goods or services to which a trade mark is to be applied shall in no case form an obstacle to registration of the trade mark.

5. Members shall publish each trade mark either before it is registered or promptly after it is registered and shall afford a reasonable opportunity for petitions to cancel the registration. In addition, members may afford an opportunity for the registration of a trade mark to be opposed.

ARTICLE 16

Rights Conferred

1. The owner of a registered trade mark shall have the exclusive right to prevent all third parties not having the owner's consent from using in the course of trade identical or similar signs for goods or services which are identical or similar to those in respect of which the trade mark is registered where such

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use would result in a likelihood of confusion. In case of the use of an identical sign for identical goods or services, a likelihood of confusion shall be presumed. The rights described above shall not prejudice any existing prior rights, nor shall they affect the possibility of Members making rights available on the basis of use.

2. Article 6*bis* of the Paris Convention (1967) shall apply, *mutatis mutandis*, to services. In determining whether a trade mark is well-known, Member shall take account of the knowledge of the trade mark in the relevant sector of the public, including knowledge in that Member concerned which has been obtained as a result of the promotion of the trade mark.

3. Article 6*bis* of the Paris Convention (1967) shall apply, *mutatis mutandis*, to goods or services which are not similar to those in respect of which a trade mark is registered, provided that use of that trade mark in relation to those goods or services would indicate a connection between those goods or services and the owner of the registered trade mark and provided that the interests of the owner of the registered trade mark are likely to be damaged by such use.

ARTICLE 17

Exceptions

Members may provide limited exceptions to the rights conferred by a trade mark, such as fair use of descriptive terms, provided that such exceptions take account of the legitimate interests of the owner of the trade mark and of third parties.

ARTICLE 18

Term of Protection

Initial registration, and each renewal of registration, of a trade mark shall be for a term of no less than seven years. The registration of a trade mark shall be renewable indefinitely.

ARTICLE 19

Requirement of Use

1. If use is required to maintain a registration, the registration may be cancelled only after an uninterrupted period of at least three years of non-use, unless valid reasons based on the existence of obstacles to such use are shown by the trade mark owner. Circumstances arising independently of the will of the owner of the trade mark which constitute an obstacle to the use of the trade mark, such as import restrictions on or other government requirements for goods or services protected by the trade mark, shall be recognized as valid reasons for non-use.

2. When subject to the control of its owner, use of a trade mark by another person shall be recognized as use of the trade mark for the purpose of maintaining the registration.

ARTICLE 20

Other Requirements

The use of a trade mark in the course of trade shall not be unjustifiably encumbered by special requirements, such as use with another trade mark, use in a special form or use in a manner detrimental to its capability to distinguish

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the goods or services of one undertaking from those of other undertakings. This will not preclude a requirement prescribing the use of the trade mark identifying the undertaking producing the goods or services along with, but without linking it to, the trade mark distinguishing the specific goods or services in question of that undertaking.

ARTICLE 21

Licensing and Assignment

Members may determine conditions on the licensing and assignment of trade marks, it being understood that the compulsory licensing of trade marks shall not be permitted and that the owner of a registered trade mark shall have the right to assign the trade mark with or without the transfer of the business to which the trade mark belongs.

Section 3—Geographical Indications

ARTICLE 22

Protection of Geographical Indications

1. Geographical indications are, for the purposes of this Agreement, indications which identify a good as originating in the territory of a Member or a region or locality in that territory, where a given quality, reputation or other characteristic of the good is essentially attributable to its geographical origin.

2. In respect of geographical indications, Members shall provide the legal means for interested parties to prevent:

(*a*) the use of any means in the designation or presentation of a good that indicates or suggests that the good in question originates in a geographical area other than the true place of origin in a manner which misleads the public as to the geographical origin of the good;

(*b*) any use which constitutes an act of unfair competition within the meaning of Article 10*bis* of the Paris Convention (1967).

3. A Member shall, *ex officio* if its legislation so permits or at the request of an interested party, refuse or invalidate the registration of a trade mark which contains or consists of a geographical indication with respect to goods not originating in the territory indicated, if use of the indication in the trade mark for such goods in that Member is of such a nature as to mislead the public as to the true place of origin.

4. The protection under paragraphs 1, 2 and 3 shall be applicable against a geographical indication which, although literally true as to the territory, region or locality in which the goods originate, falsely represents to the public that the goods originate in another territory.

ARTICLE 23

Additional Protection for Geographical Indications for Wines and Spirits

1. Each Member shall provide the legal means for interested parties to prevent use of a geographical indication identifying wines not originating in the place indicated by the geographical indication in question or identifying spirits for spirits not originating in the place indicated by the geographical

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indication in question, even where the true origin of the goods is indicated or the geographical indication is used in translation or accompanied by expressions such as "kind", "type", "style", "imitation" or the like.

2. The registration of a trade mark for wines which contains or consists of a geographical indication identifying wines or for spirits which contains or consists of a geographical indication identifying spirits shall be refused or invalidated, *ex officio* if a Member legislation so permits or at the request of an interested party, with respect to such wines or spirits not having this origin.

3. In the case of homonymous geographical indications for wines, protection shall be accorded to each indication, subject to the provisions of paragraph 4 of Article 22. Each Member shall determine the practical conditions under which the homonymous indications in question will be differentiated from each other, taking into account the need to ensure equitable treatment of the producers concerned and that consumers are not misled.

4. In order to facilitate the protection of geographical indications for wines, negotiations shall be undertaken in the Council for Trade-Related Aspects of Intellectual Property Rights concerning the establishment of a multilateral system of notification and registration of geographical indications for wines eligible for protection in those Members participating in the system.

ARTICLE 24

International Negotiations: Exceptions

1. Members agree to enter into negotiations aimed at increasing the protection of individual geographical indications under Article 23. The provisions of paragraphs 4-8 below shall not be used by a Member to refuse to conduct negotiations or to conclude bilateral or multilateral agreements. In the context of such negotiations, Members shall be willing to consider the continued applicability of these provisions to individual geographical indications whose use was the subject of such negotiations.

2. The Council for Trade-Related Aspects of Intellectual Property Rights shall keep under review the application of the provisions of this Section; the first such review shall take place within two years of the entry into force of the WTO Agreement. Any matter affecting the compliance with the obligations under these provisions may be drawn to the attention of the Council, which, at the request of a Member, shall consult with any Member or Members in respect of such matter in respect of which it has not been possible to find a satisfactory solution through bilateral or plurilateral consultations between the Members concerned. The Council shall take such action as may be agreed to facilitate the operation and further the objectives of this Section.

3. In implementing this Section, a Member shall not diminish the protection of geographical indications that existed in that Member immediately prior to the date of entry into force of the WTO Agreement.

4. Nothing in this Section shall require a Member to prevent continued and similar use of a particular geographical indication of another Member identifying wines or spirits in connection with goods or services by any of its nationals or domiciliaries who have used that geographical indication in a continuous manner with regard to the same or related goods or services in the territory of that

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Member either (*a*) for at least 10 years preceding April 15, 1994 (*b*) in good faith preceding that date.

5. Where a trade mark has been applied for or registered in good faith, or where rights to a trade mark have been acquired through use in good faith either:

(*a*) before the date of application of these provisions in that Member as defined in Part VI; or

(*b*) before the geographical indication is protected in its country or origin;

measures adopted to implement this Section shall not prejudice eligibility for or the validity of the registration of a trade mark, or the right to use a trade mark, on the basis that such a trade mark is identical with, or similar to, a geographical indication.

6. Nothing in this Section shall require a Member to apply its provisions in respect of a geographical indication of any other Member with respect to goods or services for which the relevant indication is identical with the term customary in common language as the common name for such goods or services in the territory of that Member. Nothing in this Section shall require a Member to apply its provisions in respect of a geographical indication of any other Member with respect to products of the vine for which the relevant indication is identical with the customary name of a grape variety existing in the territory of that Member as of the date of entry into force of the WTO Agreement.

7. A Member may provide that any request made under this Section in connection with the use or registration of a trade mark must be presented within five years after the adverse use of the protected indication has become generally known in that Member or after the date of registration of the trade mark in that Member provided that the trade mark has been published by that date, if such date is earlier than the date on which the adverse use became generally known in that Member, provided that the geographical indication is not used or registered in bad faith.

8. The provisions of this Section shall in no way prejudice the right of any person to use, in the course of trade, that person's name or the name of that person's predecessor in business, except where such name is used in such a manner as to mislead the public.

9. There shall be no obligation under this Agreement to protect geographical indications which are not or cease to be protected in their country of origin, or which have fallen into disuse in that country.

Section 4—Industrial Designs

ARTICLE 25

Requirements for Protection

1. Members shall provide for the protection of independently created industrial designs that are new or original. Members may provide that designs are not new or original if they do not significantly differ from known designs or combinations of known design features. Members may provide that such

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protection shall not extend to designs dictated essentially by technical or functional considerations.

2. Each Member shall ensure that requirements for securing protection for textile designs, in particular in regard to any cost, examination or publication, do not unreasonably impair the opportunity to seek and obtain such protection. Members shall be free to meet this obligation through industrial design law or through copyright law.

ARTICLE 26

Protection

1. The owner of a protected industrial design shall have the right to prevent third parties not having the owner's consent from making, selling or importing articles bearing or embodying a design which is a copy, or substantially a copy, of the protected design, when such acts are undertaken for commercial purposes.

2. Members may provide limited exceptions to the protection of industrial designs, provided that such exceptions do not unreasonably conflict with the normal exploitation of protected industrial designs and do not unreasonably prejudice the legitimate interests of the owner of the protected design, taking account of the legitimate interests of third parties.

3. The duration of protection available shall amount to at least ten years.

Section 5—Patents

ARTICLE 27

Patentable Subject Matter

1. Subject to the provisions of paragraphs 2 and 3 below, patents shall be available for any inventions, whether products or processes, in all fields of technology, provided that they are new, involve an inventive step and are capable of industrial application. Subject to paragraph 4 of Article 65, paragraph 8 of Article 70 and paragraph 3 of this Article, patents shall be available and patent rights enjoyable without discrimination as to the place of invention, the field of technology and whether products are imported or locally produced.

2. Members may exclude from patentability inventions, the prevention within their territory of the commercial exploitation of which is necessary to protect order public or morality, including to protect human, animal or plant life or health or to avoid serious prejudice to the environment, provided that such exclusion is not made merely because the exploitation is prohibited by domestic law.

3. Members may also exclude from patentability:

(*a*) diagnostic, therapeutic and surgical methods for the treatment of humans or animals;

(*b*) plants and animals other than microorganisms, and essentially biological processes for the production of plants or animals other than non-biological and microbiological processes. However, Members shall provide for the protection of plant varieties either by patents or by an effective *sui generis* system or by any combination thereof. The provisions of this sub-paragraph shall be reviewed four years after the date of entry into force of the WTO Agreement.

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ARTICLE 28

Rights Conferred

1. A patent shall confer on its owner the following exclusive rights:

(*a*) where the subject matter of a patent is a product, to prevent third parties not having owner's consent from the acts of: making, using, offering for sale, selling, or importing for these purposes that product;

(*b*) where the subject matter of a patent is a process, to prevent third parties not having owner's consent from the act of using the process, and from the acts of: using, offering for sale, or importing for these purposes at least the product obtained directly by that process.

2. Patent owners shall also have the right to assign, or transfer by succession, the patent and to conclude licensing contracts.

ARTICLE 29

Conditions on Patent Applicants

1. Members shall require that an applicant for a patent shall disclose the invention in a manner sufficiently clear and complete for the invention to be carried out by a person skilled in the art and may require the applicant to indicate the best mode for carrying out the invention known to the inventor at the filing date, or, where priority is claimed, at the priority date of the application.

2. Members may require an applicant for a patent to provide information concerning the applicants corresponding foreign applications and grants.

ARTICLE 30

Exceptions to Rights Conferred

Members may provide limited exceptions to the exclusive rights conferred by a patent, provided that such exceptions do not unreasonably conflict with a normal exploitation of the patent and do not unreasonably prejudice the legitimate interests of the patent owner, taking account of the legitimate interests of third parties.

ARTICLE 31

Other Use Without Authorisation of the Right Holder

Where the law of a Member allows for other use of the subject-matter of a patent without the authorisation of the right holder, including use by the government or third parties authorised by the government, the following provisions shall be respected:

(*a*) authorisation of such use shall be considered on its individual merits;

(*b*) such use may only be permitted if, prior to such use, the proposed user has made efforts to obtain authorisation from the right holder on reasonably commercial terms and conditions and that such efforts have not been successful within a reasonable period of time. This requirement may be waived by a Member in the case of a national emergency or other circumstances of extreme urgency or in cases of public non-commercial use. In situations of national emergency or other circumstances of extreme urgency, the right holder shall,

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nevertheless, be notified as soon as reasonably practicable. In the case of public non-commercial use, where the government or contractor, without making a patent search, knows or has demonstrable grounds to know that a valid patent is or will be used by or for the government, the right holder shall be informed promptly;

(*c*) the scope and duration of such use shall be limited to the purpose for which it was authorised, and in the case of semi-conductor technology shall only be for public non-commercial use or to remedy a practice determined after judicial or administrative process to be anti-competitive.

(*d*) such use shall be non-exclusive;

(*e*) such use shall be non-assignable, except with that part of the enterprise or goodwill which enjoys such use;

(*f*) any such use shall be authorised predominantly for the supply of the domestic market of the Member authorising such use;

(*g*) authorisation for such use shall be liable, subject to adequate protection of the legitimate interests of the persons so authorised, to be terminated if and when the circumstances which led to it cease to exist and are unlikely to recur. The competent authority shall have the authority to review, upon motivated request, the continued existence of these circumstances;

(*h*) the right holder shall be paid adequate remuneration in the circumstances of each case, taking into account the economic value of the authorisation;

(*i*) the legal validity of any decision relating to the authorisation of such use shall be subject to judicial review or other independent review by a distinct higher authority in that Member;

(*j*) any decision relating to the remuneration provided in respect of such use shall be subject to judicial review or other independent review by a distinct higher authority in that Member;

(*k*) Members are not obliged to apply the conditions set forth in sub-paragraphs (*b*) and (*f*) where such use is permitted to remedy a practice determined after judicial or administrative process to be anti-competitive. The need to correct anti-competitive practices may be taken into account in determining the amount of remuneration in such cases. Competent authorities shall have the authority to refuse termination of authorisation if and when the conditions which led to such authorisation are likely to recur;

(*l*) where such use us authorised to permit the exploitation of a patent ("the second patent") which cannot be exploited without infringing another patent ("the first patent"), the following additional conditions shall apply:

(*i*) the invention claimed in the second patent shall involve an important technical advance of considerable economic significance in relation to the invention claimed in the first patent;

(*ii*) the owner of the first patent shall be entitled to a cross-licence on reasonable terms to use the invention claimed in the second patent; and

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(*iii*) the use authorised in respect of the first patent shall be non-assignable except with the assignment of the second patent.

ARTICLE 32

Revocation/Forfeiture

An opportunity for judicial review of any decision to revoke or forfeit a patent shall be available.

ARTICLE 33

Term of Protection

The term of protection available shall not end before the exploitation of a period of twenty years counted from the filing date.

ARTICLE 34

Process Patents: Burden of Proof

1. For the purposes of civil proceedings in respect of the infringement of the rights of the owner referred to in paragraph 1(*b*) of Article 28, if the subject- matter of a patent is a process for obtaining a product, the judicial authorities shall have the authority to order the defendant to prove that the process to obtain an identical product is different from the patented process. Therefore, Members shall provide, in at least one of the following circumstances, that any identical product when produced without the consent of the patent owner shall, in the absence of proof to the contrary, be deemed to have been obtained by the patented process:

(*a*) if the product obtained by the patented process is new;

(*b*) if there is a substantial likelihood that the identical product was made by the process and the owner of the patent has been unable through reasonable efforts to determine the process actually used.

2. Any Member shall be free to provide that the burden of proof indicated in paragraph 1 shall be on the alleged infringer only if the condition referred to in sub-paragraph (*a*) is fulfilled or only if the condition referred to in sub-paragraph (*b*) is fulfilled.

3. In the adduction of proof to the contrary, the legitimate interests of the defendants in protecting their manufacturing and business secrets shall be taken into account.

Section 6—Layout-Designs (Topographies) of Integrated Circuits

ARTICLE 35

Relation to IPIC Treaty

Members agree to provide protection to the layout-designs (topographies) of integrated circuits (hereinafter referred to as "layout-designs") in accordance with Articles 2-7 (other than paragraph 3 of Article 6), Article 12 and paragraph 3 of Article 16 of the Treaty on Intellectual Property in Respect of Integrated Circuits and, in addition, to comply with the following provisions.

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ARTICLE 36

Scope of Protection

Subject to the provisions of paragraph 1 of Article 37, Members shall consider unlawful the following acts if performed without the authorisation of the right holder: importing, selling, or otherwise distributing for commercial purposes a protected layout-design, an integrated circuit in which a protected layout-design is incorporated, or an article incorporating such an integrated circuit only insofar as it continues to contain an unlawfully reproduced layout-design.

ARTICLE 37

Acts not Requiring the Authorisation of the Right Holder

1. Notwithstanding Article 36 above, no Member shall consider unlawful the performance of any of the acts referred to in that Article in respect of an integrated circuit incorporating an unlawfully reproduced layout-design or any article incorporating such an integrated circuit where the person performing or ordering such acts did not know and had no reasonable ground to know, when acquiring the integrated circuit or article incorporating such an integrated circuit, that it incorporated an unlawfully reproduced layout-design. Members shall provide that, after the time that such person has received sufficient notice that the layout-design was unlawfully reproduced, that person may perform any of the acts with respect to the stock on hand or ordered before such time, but shall be liable to pay to the right holder a sum equivalent to a reasonable royalty such as would be payable under a freely negotiated licence in respect of such a layout-design.

2. The conditions set out in sub-paragraphs (*a*)-(*k*) of Article 31 shall apply *mutatis mutandis* in the event of any non-voluntary licensing of a layout-design or of its use by or for the government without the authorisation of the right holder.

ARTICLE 38

Term of Protection

1. In Members requiring registration as a condition of protection, the term of protection of layout-designs shall not end before the expiration of a period of ten years counted from the date of filing an application for registration or from the first commercial exploitation wherever in the world it occurs.

2. In Members not requiring registration as a condition for protection, layout-designs shall be protected for a term of no less than ten years from the date of the first commercial exploitation wherever in the world it occurs.

3. Notwithstanding paragraphs 1 and 2 above, a Member may provide that protection shall lapse fifteen years after the creation of the layout-design.

Section 7—Protection of Undisclosed Information

ARTICLE 39

1. In the course of ensuring effective protection against unfair competition as provided in Article 10*bis* of the Paris Convention (1967), Members shall protect undisclosed information in accordance with paragraph 2 and data

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submitted to governments or governmental agencies in accordance with paragraph 3.

2. Natural and legal persons shall have the possibility of preventing information lawfully within their control from being disclosed to, acquired by, or used by others without their consent in a manner contrary to honest commercial practices so long as such information:

(*a*) is secret in the sense that it is not, as a body or in the precise configuration and assembly of its components, generally known among or readily accessible to persons within the circles that normally deal with the kind of information in question;

(*b*) has commercial value because it is secret; and

(*c*) has been subject to reasonable steps under the circumstances, by the person lawfully in control of the information, to keep it secret.

3. Members, when requiring, as a condition of approving the marketing of pharmaceutical or of agricultural chemical products which utilise new chemical entities, the submission of undisclosed test or other data, the origination of which involves a considerable effort, shall protect such data against unfair commercial use. In addition, Members shall protect such data against disclosure, except where necessary to protect the public, or unless steps are taken to ensure that the data are protected against unfair commercial use.

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APPENDIX

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GATT

[Extracts]

Part II: STANDARDS CONCERNING THE AVAILABILITY, SCOPE AND USE OF INTELLECTUAL PROPERTY RIGHTS

Section 1—Copyright and Related Rights

ARTICLE 9

Relation to Berne Convention

1. Members shall comply with Articles 1 through 21 of the Berne Convention (1971) and the Appendix thereto. However, Members shall not have rights or obligations under this Agreement in respect of the rights conferred under Article 6*bis* of that Convention or of the rights derived therefrom.

2. Copyright protection shall extend to expressions and not to ideas, procedures, methods of operation or mathematical concepts as such.

ARTICLE 10

Computer Programs and Compilations of Data

1. Computer programs, whether in source or object code, shall be protected as literary works under the Berne Convention (1971).

2. Compilations of data or other material, whether in machine readable or other form, which by reason of the selection or arrangement of their contents constitute intellectual creations shall be protected as such. Such protection, which shall not extend to the data or material itself, shall be without prejudice to any copyright subsisting in the data or material itself.

ARTICLE 11

Rental Rights

In respect of at least computer programs and cinematographic works, a Member shall provide authors and their successors in title the right to authorize

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or to prohibit the commercial rental to the public of originals or copies of their copyright works. A Member shall be expected from this obligation in respect of cinematographic works unless such rentals has led to widespread copying of such works which is materially impairing the exclusive right of reproduction conferred in that Member on authors and their successors in title. In respect of computer programs, this obligation does not apply to rentals where the program itself is not the essential object of the rental.

ARTICLE 12

Term of Protection

Whenever the term of protection of a work, other than a photographic work or a work of applied art, is calculated on a basis other than the life of a natural person, such term shall be no less than 50 years from the end of the calendar year of authorized publication, or, failing such authorized publication within 50 years from the making of the work, 50 years from the end of the calendar year of making.

ARTICLE 13

Limitations and Exceptions

Members shall confine limitations or exceptions to exclusive rights to certain special cases which do not conflict with a normal exploitation of the work and do not unreasonably prejudice the legitimate interests of the right holder.

ARTICLE 14

Protection of Performers, Producers of Phonograms (Sound Recordings) and Broadcasting Organizations

1. In respect of a fixation of their performance on a phonogram, performers shall have the possibility of preventing the following acts when undertaken without their authorization: the fixation of their unfixed performance and the reproduction of such fixation. Performers shall also have the possibility of preventing the following acts when undertaken without their authorization: the broadcasting by wireless means and the communication to the public of their live performance.

2. Producers of phonograms shall enjoy the right to authorize or prohibit the direct or indirect reproduction of their phonograms.

3. Broadcasting organizations shall have the right to prohibit the following acts when undertaken without their authorization: the fixation, the reproduction of fixations, and the rebroadcasting by wireless means of broadcasts, as well as the communication to the public of television broadcasts of the same. Where Members do not grant such rights to broadcasting organizations, they shall provide owners of copyright in the subject-matter of broadcasts with the possibility of preventing the above acts, subject to the provisions of the Berne Convention (1971).

4. The provisions of Article 11 in respect of computer programs shall apply *mutatis mutandis* to producers of phonograms and any other right holders in phonograms as determined in a Member's law. If on 15th April 1994 a Member has in force a system of equitable remuneration of right holders in respect of the rental of phonograms, it may maintain such system provided that the

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commercial rental of phonograms is not giving rise to the material impairment of the exclusive rights of reproduction of right holders.

5. The term of the protection available under this Agreement to performers and producers of phonograms shall last at least until the end of a period of 50 years computed from the end of the calendar year in which the fixation was made or the performance took place. The term of protection granted pursuant to paragraph 3 shall last for at least 20 years from the end of the calendar year in which the broadcast took place.

6. Any Member may, in relation to the rights conferred under paragraphs 1, 2 and 3, provide for conditions, limitations, exceptions and reservations to the extent permitted by the Rome Convention. However, the provisions of Article 18 of the Rome Convention (1971) shall also apply, *mutatis mutandis*, to the rights of performers and producers of phonograms in phonograms.

Section 2—Trade marks

ARTICLE 15

Protectable Subject-Matter

1. Any sign, or any combination of signs, capable of distinguishing the goods or services of one undertaking from those of other undertakings, shall be capable of constituting a trade mark. Such signs in particular words including personal names, letters, numerals, figurative elements and combinations of colours as well as any combination of such signs, shall be eligible for registration as trade marks. Where signs are not inherently capable of distinguishing the relevant goods or services, Members may make registrability depend on distinctiveness acquired through use. Members may require, as a condition or registration, that signs be visually perceptible.

2. Paragraph 1 shall not be understood to prevent a Member from denying registration of a trade mark on other grounds, provided that they do not derogate from the provisions of the Paris Convention (1967).

3. Members may make registrability depend on use. However, actual use of a trade mark shall not be a condition for filing an application for registration. An application shall not be refused solely on the ground that intended use has not taken place before the expiry of a period of three years from the date of application.

4. The nature of the goods or services to which a trade mark is to be applied shall in no case form an obstacle to registration of the trade mark.

5. Members shall publish each trade mark either before it is registered or promptly after it is registered and shall afford a reasonable opportunity for petitions to cancel the registration. In addition, Members may afford an opportunity for the registration of a trade mark to be opposed.

ARTICLE 16

Rights Conferred

1. The owner of a registered trade mark shall have the exclusive right to prevent all third parties not having the owner's consent from using in the course of trade identical or similar signs for goods or services which are identical or similar to those in respect of which the trade mark is registered where such

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use would result in a likelihood of confusion. In case of the use of an identical sign for identical goods or services, a likelihood of confusion shall be presumed. The rights described above shall not prejudice any existing prior rights, nor shall they affect the possibility of Members making rights available on the basis of use.

2. Article 6*bis* of the Paris Convention (1967) shall apply, *mutatis mutandis*, to services. In determining whether a trade mark is well-known, Members shall take account of the knowledge of the trade mark in the relevant sector of the public, including knowledge in the Member concerned which has been obtained as a result of the promotion of the trade mark.

3. Article 6*bis* of the Paris Convention (1967) shall apply, *mutatis mutandis*, to goods or services which are not similar to those in respect of which a trade mark is registered, provided that use of that trade mark in relation to those goods or services would indicate a connection between those goods or services and the owner of the registered trade mark and provided that the interests of the owner of the registered trade mark are likely to be damaged by such use.

ARTICLE 17

Exceptions

Members may provide limited exceptions to the rights conferred by a trade mark, such as fair use of descriptive terms, provided that such exceptions take account of the legitimate interests of the owner of the trade mark and of third parties.

ARTICLE 18

Term of Protection

Initial registration, and each renewal of registration, of a trade mark shall be for a term of no less than seven years. The registration of a trade mark shall be renewable indefinitely.

ARTICLE 19

Requirement of Use

1. If use is required to maintain a registration, the registration may be cancelled only after an uninterrupted period of at least three years of non-use, unless valid reasons based on the existence of obstacles to such use are shown by the trade mark owner. Circumstances arising independently of the will of the owner of the trade mark which constitute an obstacle to the use of the trade mark, such as import restrictions on or other government requirements for goods or services protected by the trade mark, shall be recognized as valid reasons for non-use.

2. When subject to the control of its owner, use of a trade mark by another person shall be recognized as use of the trade mark for the purpose of maintaining the registration.

ARTICLE 20

Other Requirements

The use of a trade mark in the course of trade shall not be unjustifiably encumbered by special requirements, such as use with another trade mark, use in a special form or use in a manner detrimental to its capability to distinguish the goods or services of one undertaking from those of other undertakings.

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This will not preclude a requirement prescribing the use of the trade mark identifying the undertaking producing the goods or services along with, but without linking it to, the trade mark distinguishing the specific goods or services in question of that undertaking.

ARTICLE 21

Licensing and Assignment

Members may determine conditions on the licensing and assignment of trade marks, it being understood that the compulsory licensing of trade marks shall not be permitted and that the owner of a registered trade mark shall have the right to assign the trade mark with or without the transfer of the business to which the trade mark belongs.

Section 3—Geographical Indications

ARTICLE 22

Protection of Geographical Indications

1. Geographical indications are, for the purposes of this Agreement, indications which identify a good as originating in the territory of a Member, or a region or locality in that territory, where a given quality, reputation or other characteristic of the good is essentially attributable to its geographical origin.

2. In respect of geographical indications, Members shall provide the legal means for interested parties to prevent:

(*a*) the use of any means in the designation or presentation of a good that indicates or suggests that the good in question originates in a geographical area other than the true place of origin in a manner which misleads the public as to the geographical origin of the good;

(*b*) any use which constitutes an act of unfair competition within the meaning of Article 10*bis* of the Paris Convention (1967).

3. A Member shall, *ex officio* if its legislation so permits or at the request of an interested party, refuse or invalidate the registration of a trade mark which contains or consists of a geographical indication with respect to goods not originating in the territory indicated, if use of the indication in the trade mark for such goods in that Member is of such a nature as to mislead the public as to the true place of origin.

4. The protection under paragraphs 1, 2 and 3 shall be applicable against a geographical indication which, although literally true as to the territory, region or locality in which the goods originate, falsely represents to the public that the goods originate in another territory.

ARTICLE 23

Additional Protection for Geographical Indications for Wines and Spirits

1. Each Member shall provide the legal means for interested parties to prevent use of a geographical indication identifying wines for wines not originating in the place indicated by the geographical indication in question or identifying spirits for spirits not originating in the place indicated by the geographical indication in question, even where the true origin of the goods

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is indicated or the geographical indication is used in translation or accompanied by expressions such as "kind", "type", "style", "imitation" or the like.[1]

2. The registration of a trade mark for wines which contains or consists of a geographical indication identifying wines or for spirits which contains or consists of a geographical indication identifying spirits shall be refused or invalidated, *ex officio* if a Member's legislation so permits or at the request of an interested party, with respect to such wines or spirits not having this origin.

3. In the case of homonymous geographical indications for wines, protection shall be accorded to each indication, subject to the provisions of paragraph 4 of Article 22. Each Member shall determine the practical conditions under which the homonymous indications in question will be differentiated from each other, taking into account the need to ensure equitable treatment of the producers concerned and that consumers are not misled.

4. In order to facilitate the protection of geographical indications for wines, negotiations shall be undertaken in the Council for TRIPS concerning the establishment of a multilateral system of notification and registration of geographical indications for wines eligible for protection in those Members participating in the system.

ARTICLE 24

International Negotiations: Exceptions

1. Members agree to enter into negotiations aimed at increasing the protection of individual geographical indications under Article 23. The provisions of paragraphs 4 through 8 below shall not be used by a Member to refuse to conduct negotiations or to conclude bilateral or multilateral agreements. In the context of such negotiations, Members shall be willing to consider the continued applicability of these provisions to individual geographical indications whose use was the subject of such negotiations.

2. The Council for TRIPS shall keep under review the application of the provisions of this Section; the first such review shall take place within two years of the entry into force of the WTO Agreement. Any matter affecting the compliance with the obligations under these provisions may be drawn to the attention of the Council, which, at the request of a Member, shall consult with any Member or Members in respect of such matter in respect of which it has not been possible to find a satisfactory solution through bilateral or plurilateral consultations between the Members concerned. The Council shall take such action as may be agreed to facilitate the operation and further the objectives of this Section.

3. In implementing this Section, a Member shall not diminish the protection of geographical indications that existed in that Member immediately prior to the date of entry into force of the WTO Agreement.

4. Nothing in this Section shall require a Member to prevent continued and similar use of a particular geographical indication of another Member identifying wines or spirits in connection with goods or services by any of its nationals or

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1 Notwithstanding the first sentence of Article 42, Members may, with respect to these obligations, instead provide for enforcement by administrative action.

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domiciliaries who have used that geographical indication in a continuous manner with regard to the same or related goods or services in the territory of that Member either (*a*) for at least 10 years preceding 15 April 1994 or (*b*) in good faith preceding that date.

5. Where a trade mark has been applied for or registered in good faith, or where rights to a trade mark have been acquired through use in good faith either:

(*a*) before the date of application of these provisions in that Member as defined in Part VI: or

(*b*) before the geographical indication is protected in its country of origin

measures adopted to implement this Section shall not prejudice eligibility for or the validity of the registration of a trade mark, or the right to use a trade mark, on the basis that such a trade mark is identical with, or similar to, a geographical indication.

6. Nothing in this Section shall require a Member to apply its provisions in respect of a geographical indication of any other Member with respect to goods or services for which the relevant indication is identical with the term customary in common language as the common name for such goods or services in the territory of that Member. Nothing in this Section shall require a Member to apply its provisions in respect of a geographical indication of any other Member with respect to products of the vine for which the relevant indication is identical with the customary name of a grape variety existing in the territory of that Member as of the date of entry into force of the WTO Agreement.

7. A Member may provide that any request made under this Section in connection with the use or registration of a trade mark must be presented within five years after the adverse use of the protected indication has become generally known in that Member or after the date or registration of the trade mark in that Member provided that the trade mark has been published by that date, if such date is earlier than the date on which the adverse use became generally known in that Member, provided that the geographical indication is not used or registered in bad faith.

8. The provisions of this Section shall in no way prejudice the right of any person to use, in the course of trade, that person's name or the name of that person's predecessor in business, except where such name is used in such a manner as to mislead the public.

9. There shall be no obligation under this Agreement to protect geographical indications which are not or cease to be protected in their country of origin, or which have fallen into disuse in that country.

Section 4—Industrial Designs

ARTICLE 25

Requirements for Protection

1. Members shall provide for the protection of independently created industrial designs that are new or original. Members may provide that designs are not new or original if they do not significantly differ from known designs or combinations of known design features. Members may provide that such protection shall not extend to designs dictated essentially by technical or functional considerations.

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2. Each Member shall ensure that requirements for securing protection for textile designs, in particular in regard to any cost, examination or publication, do not unreasonably impair the opportunity to seek and obtain such protection. Members shall be free to meet this obligation through industrial design law or through copyright law.

ARTICLE 26

Protection

1. The owner of a protected industrial design shall have the right to prevent third parties not having the owner's consent from making, selling or importing articles bearing or embodying a design which is a copy, or substantially a copy, of the protected design, when such acts are undertaken for commercial purposes.

2. Members may provide limited exceptions to the protection of industrial designs, provided that such exceptions do not unreasonably conflict with the normal exploitation of protected industrial designs and do not unreasonably prejudice the legitimate interests of the owner of the protected design, taking account of the legitimate interests of third parties.

3. The duration of protection available shall amount to at least 10 years.

Section 5—Patents

ARTICLE 27

Patentable Subject-matter

1. Subject to the provisions of paragraphs 2 and 3, patents shall be available for any inventions, whether products or processes, in all fields of technology, provided that they are new, involve an inventive step and are capable of industrial application.[2] Subject to paragraph 4 of Article 65, paragraph 8 of Article 70 and paragraph 3 of this Article, patents shall be available and patent rights enjoyable without discrimination as to the place of invention, the field of technology and whether products are imported or locally produced.

2. Members may exclude from patentability inventions, the prevention within their territory of the commercial exploitation of which is necessary to protect public order or morality, including to protect human, animal or plant life or health or to avoid serious prejudice to the environment, provided that such exclusion is not made merely because the exploitation is prohibited by their law.

3. Members may also exclude from patentability:

(*a*) diagnostic, therapeutic and surgical methods for the treatment of humans or animals;

(*b*) plants and animals other than micro-organisms, and essentially biological processes for the production of plants or animals other than non-biological and microbiological processes. However, Members shall provide for the protection of plant varieties either by patents or

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2 For the purposes of this Article, the terms "inventive step" and "capable of industrial application" may be deemed by a Member to be synonymous with the terms "non-obvious" and "useful" respectively.

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by an effective *sui generis* system or by any combination thereof. The provisions of this sub-paragraph shall be reviewed four years after the date of entry into force of the WTO Agreement.

ARTICLE 28

Rights Conferred

1. A patent shall confer on its owner the following exclusive rights:

(a) where the subject matter of a patent is a product, to prevent third parties not having the owner's consent from the acts of: making, using, offering for sale, selling, or importing[3] for these purposes that product:

(*b*) where the subject matter of a patent is a process, to prevent third parties not having the owner's consent from the act of using the process, and from the acts of: using, offering for sale, selling, or importing for these purposes at least the product obtained directly by that process.

2. Patent owners shall also have the right to assign, or transfer by succession, the patent and to conclude licensing contracts.

ARTICLE 29

Conditions on Patent Applicants

1. Members shall require that an applicant for a patent shall disclose the invention in a manner sufficiently clear and complete for the invention to be carried out by a person skilled in the art and may require the applicant to indicate the best mode for carrying out the invention known to the inventor at the filing date or, where priority is claimed, at the priority date of the application.

2. Members may require an applicant for a patent to provide information concerning the applicant's corresponding foreign applications and grants.

ARTICLE 30

Exceptions to Rights Conferred

Members may provide limited exceptions to the exclusive rights conferred by a patent, provided that such exceptions do not unreasonably conflict with a normal exploitation of the patent and do not unreasonably prejudice the legitimate interests of the patent owner, taking account of the legitimate interests of third parties.

ARTICLE 31

Other Use Without Authorization of the Right Holder

Where the law of a Member allows for other use[4] of the subject matter of a patent without the authorization of the right holder, including use by the government or third parties authorized by the government, the following provisions shall be respected:

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3 This right, like all other rights conferred under this Agreement in respect of the use, sale, importation or other distribution of goods, is subject to the provisions of Article 6.

4 "Other use" refers to use other than that allowed under Article 30.

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(*a*) authorization of such use shall be considered on its individual merits;

(*b*) such use may only be permitted if, prior to such use, the proposed user has made efforts to obtain authorization from the right holder on reasonably commercial terms and conditions and that such efforts have not been successful within a reasonable period of time. This requirement may be waived by a Member in the case of a national emergency or other circumstances of extreme urgency or in cases of public non-commercial use. In situations of national emergency or other circumstances of extreme urgency, the right holder shall, nevertheless, be notified as soon as reasonably practicable. In the case of public non-commercial use, where the government or contractor, without making a patent search, knows or has demonstrable grounds to know that a valid patent is or will be used by or for the government, the right holder shall be informed promptly;

(*c*) the scope and duration of such use shall be limited to the purpose for which it was authorized, and in the case of semi-conductor technology shall only be for public non-commercial use or to remedy a practice determined after judicial or administrative process to be anti-competitive;

(*d*) such use shall be non-exclusive;

(*e*) such use shall be non-assignable, except with that part of the enterprise or goodwill which enjoys such use;

(*f*) any such use shall be authorized predominantly for the supply of the domestic market of the Member authorizing such use;

(*g*) authorization for such use shall be liable, subject to adequate protection of the legitimate interests of the persons so authorized, to be terminated if and when the circumstances which led to it cease to exist and are unlikely to recur. The competent authority shall have the authority to review, upon motivated request, the continued existence of these circumstances;

(*h*) the right holder shall be paid adequate remuneration in the circumstances of each case, taking into account the economic value of the authorization;

(*i*) the legal validity of any decision relating to the authorization of such use shall be subject to judicial review or other independent review by a distinct higher authority in that Member;

(*j*) any decision relating to the remuneration provided in respect of such use shall be subject to judicial review or other independent review by a distinct higher authority in that Member;

(*k*) Members are not obliged to apply the conditions set forth in sub-paragraphs (*b*) and (*f*) where such use is permitted to remedy a practice determined after judicial or administrative process to be anti-competitive. The need to correct anti-competitive practices may be taken into account in determining the amount of remuneration in such cases. Competent authorities shall have the authority to refuse termination of authorization if and when the conditions which led to such authorization are likely to recur;

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(*l*) where such use is authorized to permit the exploitation of a patent ("the second patent") which cannot be exploited without infringing another patent ("the first patent"), the following additional conditions shall apply:

(*i*) the invention claimed in the second patent shall involve an important technical advance of considerable economic significance in relation to the invention claimed in the first patent;

(*ii*) the owner of the first patent shall be entitled to a cross-licence on reasonable terms to use the invention claimed in the second patent; and

(*iii*) the use authorized in respect of the first patent shall be non-assignable except with the assignment of the second patent.

ARTICLE 32

Revocation/Forfeiture

An opportunity for judicial review of any decision to revoke or forfeit a patent shall be available.

ARTICLE 33

Term of Protection

The term of protection available shall not end before the exploitation of a period of twenty years counted from the filing date.[5]

ARTICLE 34

Process Patents: Burden of Proof

1. For the purposes of civil proceedings in respect of the infringement of the rights of the owner referred to in paragraph 1 (*b*) of Article 28, if the subject matter of a patent is a process for obtaining a product, the judicial authorities shall have the authority to order the defendant to prove that the process to obtain an identical product is different from the patented process. Therefore, Members shall provide, in at least one of the following circumstances, that any identical product when produced without the consent of the patent owner shall, in the absence of proof to the contrary, be deemed to have been obtained by the patented process:

(*a*) if the product obtained by the patented process is new;

(*b*) if there is a substantial likelihood that the identical product was made by the process and the owner of the patent has been unable through reasonable efforts to determine the process actually used.

2. Any Member shall be free to provide that the burden of proof indicated in paragraph 1 shall be on the alleged infringer only if the condition referred to in sub-paragraph (*a*) is fulfilled or only if the condition referred to in sub-paragraph (*b*) is fulfilled.

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5 It is understood that those Members which do not have a system of original grant may provide that the term of protection shall be computed from the filing date in the system of original grant.

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